

The Directors of the Company whose names appear both on the Company's directorship register and under the heading "Management of the Company" accept responsibility for the information contained in this document. To the best of the knowledge and belief of the Directors (who have taken all reasonable care to ensure that such is the case) the information contained in this document is in accordance with the facts and does not omit anything likely to affect the import of such information.



iShares III Public Limited Company

Prospectus

Dated 31 July 2026

(An umbrella investment company with variable capital and having segregated liability between its Funds incorporated with limited liability in Ireland under registration number 452278 and authorised by the Central Bank pursuant to the European Communities (Undertakings for Collective Investment in Transferable Securities) Regulations 2011, as amended)

iShares \$ Asia Investment Grade Corp Bond UCITS ETF	iShares Developed World ex-UK UCITS ETF*
iShares \$ Corp Bond Enhanced Active UCITS ETF	iShares EM Local Govt Bond Active UCITS ETF
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	iShares Emerging Asia Local Govt Bond UCITS ETF
iShares \$ Development Bank Bonds UCITS ETF	iShares Emerging Markets Equity Enhanced Active UCITS ETF
iShares \$ EM Bond Active UCITS ETF	iShares EURO STOXX 50 UCITS ETF (Acc)**
iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF	iShares Europe Equity Enhanced Active UCITS ETF
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	iShares Global Aggregate Bond ESG SRI UCITS ETF
iShares \$ Intermediate Credit Bond UCITS ETF	iShares Global Govt Bond Climate UCITS ETF***
iShares € Aggregate Bond ESG SRI UCITS ETF	iShares Global Govt Bond UCITS ETF
iShares € Cash UCITS ETF	iShares Global Inflation Linked Govt Bond UCITS ETF
iShares € Corp Bond 1-5yr UCITS ETF	iShares Global Real Estate Environmental Tilt UCITS ETF
iShares € Corp Bond BBB-BB UCITS ETF	iShares Growth Portfolio UCITS ETF
iShares € Corp Bond Enhanced Active UCITS ETF	iShares India Equity Enhanced Active UCITS ETF
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	iShares Japan Equity Enhanced Active UCITS ETF
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	iShares J.P. Morgan € EM Bond UCITS ETF
iShares € Corp Bond ex-Financials UCITS ETF	iShares J.P. Morgan EM Local Govt Bond UCITS ETF
iShares € Covered Bond UCITS ETF	iShares Moderate Portfolio UCITS ETF
iShares € Flexible Income Bond Active UCITS ETF	iShares MSCI Australia UCITS ETF
iShares € Govt Bond 0-1yr UCITS ETF	iShares MSCI EM Small Cap UCITS ETF
iShares € Govt Bond 10-15yr UCITS ETF	iShares MSCI EM UCITS ETF USD (Acc)
iShares € Govt Bond 5-7yr UCITS ETF	iShares MSCI Europe Small Cap UCITS ETF
iShares € Govt Bond Climate UCITS ETF	iShares MSCI Japan Small Cap UCITS ETF
iShares € High Yield Corp Bond Enhanced Active UCITS ETF	iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	iShares MSCI Pacific ex-Japan UCITS ETF
iShares £ Corp Bond ex-Financials UCITS ETF	iShares MSCI Saudi Arabia Capped UCITS ETF
iShares AI Adopters & Applications UCITS ETF	iShares MSCI South Africa UCITS ETF
iShares AI Infrastructure UCITS ETF	iShares MSCI Target UK Real Estate UCITS ETF
iShares AI Innovation Active UCITS ETF	iShares MSCI World ex-USA UCITS ETF
iShares Asia ex Japan Equity Enhanced Active UCITS ETF	iShares MSCI World Paris-Aligned Climate UCITS ETF
iShares AT1 Bond Active UCITS ETF	iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF
iShares Blockchain Technology UCITS ETF	iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF
iShares Broad \$ Corp Bond UCITS ETF	iShares MSCI World Small Cap UCITS ETF
iShares Broad \$ High Yield Corp Bond UCITS ETF	iShares S&P 500 Equal Weight UCITS ETF
iShares Broad € High Yield Corp Bond UCITS ETF	iShares S&P 500 Scored and Screened UCITS ETF
iShares Broad Global Govt Bond UCITS ETF	iShares S&P SmallCap 600 UCITS ETF
iShares Conservative Portfolio UCITS ETF	iShares U.S. Equity High Income Active UCITS ETF
iShares Core € Corp Bond UCITS ETF	iShares UK Gilts 0-5yr UCITS ETF
iShares Core € Govt Bond UCITS ETF	iShares US Equity Enhanced Active UCITS ETF
iShares Core Global Aggregate Bond UCITS ETF	iShares World Equity Enhanced Active UCITS ETF
iShares Core MSCI Europe UCITS ETF EUR (Acc)	iShares World Equity High Income Active UCITS ETF
iShares Core MSCI Japan IMI UCITS ETF	iShares World Equity Factor Rotation Active UCITS ETF
iShares Core MSCI World UCITS ETF	iShares World Thematic Rotation Active UCITS ETF

* This Fund was closed to new investment on 24 October 2013 and is in the process of being terminated.

** This Fund was closed to new investment on 8 September 2014 and is in the process of being terminated.

*** This Fund was closed to new investment on 13 August 2025 and is in the process of being terminated.

Distribution of this document is not authorised unless it is accompanied by a copy of the latest annual report and audited financial statements and, if published thereafter, the latest semi-annual report and unaudited financial statements. Such reports will form part of this Prospectus.

IMPORTANT INFORMATION

This document contains important information and should be read carefully before investing. If you have any questions about the content of this Prospectus you should consult your broker, intermediary, bank manager, legal adviser, financial accountant or other independent financial adviser.

The value of the Shares and any income from them may go down as well as up and accordingly an investor may not get back the full amount invested.

An investment in the Funds of the Company should not constitute a substantial proportion of an investment portfolio and may not be suitable for all investors. Please refer to the "Risk Factors" section for more information. As determined as at the date of this Prospectus, the Net Asset Value of each of iShares Blockchain Technology UCITS ETF, iShares J.P. Morgan EM Local Govt Bond UCITS ETF, iShares MSCI Australia UCITS ETF, iShares MSCI EM Small Cap UCITS ETF, iShares MSCI EM UCITS ETF USD (Acc), iShares MSCI Pacific ex-Japan UCITS ETF, iShares MSCI South Africa UCITS ETF and iShares S&P SmallCap 600 UCITS ETF is likely to have a high volatility due to the nature of the investment policies of these Funds as reflected in their risk and reward profiles as set out in the relevant KIID or KID.

iShares U.S. Equity High Income Active UCITS ETF and iShares World Equity High Income Active UCITS ETF may make distributions from capital as well as from net revenue in order to generate income and thereby provide increased distributions to holders of Shares. Whilst this might allow more income to be distributed, it may also have the effect of reducing capital and the potential for long-term capital growth, potentially depleting all capital. Distributions from capital may diminish the value of future returns and can be understood as a type of capital reimbursement. Distributions paid out of capital may have different tax implications to distributions paid out of net revenue and it is recommended that investors seek advice in this regard.

Capitalised terms used in this Prospectus are defined on pages 8 to 16.

The distribution of this Prospectus and the offering or purchase of the Shares of the Company may be restricted in certain jurisdictions. No persons receiving a copy of this Prospectus or the accompanying Account Opening Form and Dealing Form in any such jurisdiction may treat this Prospectus or such Account Opening Form and Dealing Form as constituting an invitation to them to purchase or subscribe for Shares, nor should they in any event use such Account Opening Form and Dealing Form, unless in the relevant jurisdiction such an invitation could lawfully be made to them and such Account Opening Form and Dealing Form could lawfully be used. Accordingly, this Prospectus does not constitute an offer or solicitation by anyone in any jurisdiction in which such offer or solicitation is not lawful or in which the person making such offer or solicitation is not qualified to do so or to anyone to whom it is unlawful to make such offer or solicitation. It is the responsibility of any persons in possession of this Prospectus and any persons wishing to apply for Shares pursuant to this Prospectus to inform themselves of, and to observe, all applicable laws and regulations of any relevant jurisdiction. Prospective applicants for Shares should inform themselves as to the legal requirements of so applying and subscribing, holding or disposing of such Shares and any applicable exchange control regulations and taxes in the countries of their respective citizenship, residence, incorporation or domicile, including any requisite government or other consents and the observing of any other formalities.

The Shares of each Fund will normally be primarily listed and admitted for trading on the main market of the LSE (but may be primarily listed on an alternative stock exchange). It is also intended that the Shares of each Fund will be listed and admitted for trading on a number of other stock exchanges (including without limitation, Xetra, SIX Swiss Exchange, Euronext, Borsa Italiana, Bolsa Mexicana de Valores (Mexican Stock Exchange) and CBOE (Chicago Board Options Exchange)) but the Company does not warrant or guarantee that such listings will take place or continue to exist. In the event that such listings do take place, the primary listing of the Shares of the Funds will normally be on the main market of the LSE (although a number of Funds may be primarily listed on an alternative stock exchange) and any other listings shall be secondary to the primary listing.

For details of where Shares are listed or admitted for trading, please refer to the official iShares website (www.ishares.com).

It is possible that in certain jurisdictions, parties entirely unaffiliated with the Company (and any Fund), the Manager or the Investment Manager, may make the Shares of any Fund(s) available for investment by investors in those jurisdictions through off market trading mechanisms. Neither the Company, nor the Manager, nor the Investment Manager, endorse or promote such activities and are not in any way connected to such parties or these activities and do not accept any liability in relation to their operation and trading.

The Shares have not been, and will not be registered under the 1933 Act or the securities laws of any of the states of the United States. The Shares may not be offered or sold directly or indirectly in the United States or for the account or benefit of any US Person. Any re-offer or resale of any of the Shares in the United States or to US Persons may constitute a violation of US law.

Shares may not, except pursuant to a relevant exemption, be acquired or owned by, or acquired with the assets of an ERISA Plan.

Additionally, Shares may not be acquired by a person who is deemed to be a US Person under the 1940 Act and regulations thereunder or a person who is deemed to be a US Person under the CEA and regulations thereunder.

The Shares have not been, nor will they be, qualified for distribution to the public in Canada as no prospectus for the Company has been filed with any securities commission or regulatory authority in Canada or any province or territory thereof. This document is not, and under no circumstances is to be construed, as an advertisement or any other step in the furtherance of a public offering of Shares in Canada. No Canadian Resident may purchase or accept a transfer of Shares unless he is eligible to do so under applicable Canadian or provincial laws.

In order to ensure compliance with the restrictions referred to above, the Company is, accordingly, not open for investment by any non-Qualified Holder except in exceptional circumstances and then only with the prior consent of the Directors or Manager. A prospective investor may be required at the time of acquiring Shares to represent that such investor is a Qualified Holder and is not acquiring Shares for or on behalf of a non-Qualified Holder. The granting of prior consent by the Directors to an investment does not confer on the investor a right to acquire Shares in respect of any future or subsequent application.

Applicants for Shares will be required to declare if they are a US Person. Investors (whether they invested through the Primary Market or the Secondary Market) are required to notify the Administrator immediately in the event that they cease to be a Qualified Holder. Where the Company becomes aware that any Shares are directly or beneficially owned by a non-Qualified Holder, it may redeem the Shares so held compulsorily and may also impose a fee on each such person who is not a Qualified Holder to compensate the Company for any loss it has suffered (or may suffer) in respect of such holding of Shares.

Each Fund which invests physically in Indian securities ("Fund with India Exposure") is required to be registered as a Category II FPI under the SEBI Regulations. In order to be registered as a Category II FPI, each Fund with India Exposure is required to demonstrate that it satisfies the following broad based criteria: (i) The Fund must have a minimum of 20 investors including, both, direct investors and underlying investors in pooling vehicles. (ii) No investor shall hold over 49% of the Shares (by number and value) of the Fund. Institutional investors who hold over 49% of a Fund with India Exposure must themselves comply with broad based criteria. Underlying beneficial owners who hold over 25% of the Fund are required to provide their consent to the FPI registration and, to that end, have their client information disclosed to the relevant depository participant and Securities and Exchange Board of India. For the reasons above, **no investor in a Fund with India Exposure may hold over 49% of Shares (by number and value) of the Fund (apart from Common Depository's Nominee). Any investor who holds more than 25% of the Shares (by number and value) of a Fund with India Exposure hereby consents to the FPI registration of the relevant Fund and consents to have their client information disclosed to the Company and to the relevant depository participant and SEBI by brokers, custodians, nominees, local Central Securities Depositories, International Central Securities Depositories, and any other intermediary and by the Company and its service providers.**

Shares in each Fund with India Exposure have not been and will not be registered under the laws of India and are not intended to benefit from any laws in India promulgated for the protection of shareholders. Shares in each Fund with India Exposure are not being offered to, and may not be, directly or indirectly, sold or delivered within India, acquired by, transferred to or held for the benefit of an Indian Origin Restricted Entity or to any person for re-offering or re-sale directly or indirectly to an Indian Origin Restricted Entity. The Company does not knowingly permit the sale of Shares of each Fund with India Exposure or any beneficial interests therein to Indian Origin Restricted Entities.

A prospective investor in a Fund with India Exposure may be required at the time of acquiring Shares (or subsequently) to represent that such investor is not an Indian Origin Restricted Entity and/or is not acquiring Shares for or on behalf of an Indian Origin Restricted Entity. Shareholders in a Fund with India Exposure are required to notify the Company and Investment Manager immediately in the event that they become Indian Origin Restricted Entities or hold Shares for the benefit of Indian Origin Restricted Entities. The Company, the Manager or the Investment Manager may request information from Shareholders on themselves and the beneficial owners of the Shares for the purpose of determining whether or not the Shareholders or the beneficial owners are Indian Origin Restricted Entities. By investing in a Fund with India Exposure (whether directly or indirectly), investors consent to the provision of such information and to any disclosure of such information to the Company, the Manager and the Investment Manager.

If it comes to the attention of the Company that any Shares in a Fund with India Exposure are legally or beneficially owned, directly or indirectly, by any person in breach of the above restrictions, whether alone or in conjunction with any other person, it will, to the extent the Shares can be identified and redeemed, compulsorily redeem the Shares so held. Where Shares are compulsorily redeemed, the investor will receive the proceeds less costs incurred and less such amounts as may be required to compensate or indemnify the Company, the Manager and the Investment Manager for any loss suffered (or may be suffered) by any of them in respect of the holding of Shares by or for the benefit of an Indian Origin Restricted Entity.

If any Shareholder or beneficial owner fails to disclose the requested information and, due to such nondisclosure or inadequate disclosure, the Directors believe there is an issue regarding such Shareholder and/or the beneficial owner being an Indian Origin Restricted Entity, the Company will, to the extent the Shares can be identified and redeemed, compulsorily redeem the Shares in the relevant Fund with India Exposure held by or for the benefit of such person.

Where Shares are compulsorily redeemed, the investor will receive any proceeds less costs incurred and less such amounts as may be required to compensate or indemnify the Company, the Manager and the Investment Manager for any loss suffered (or may be suffered) by any of them in respect of the holding of Shares by or for the benefit of such person.

Any person who breaches any of the above restrictions shall indemnify each of the Company, the Manager and the Investment Manager from any losses or claims suffered or incurred by any of them in connection with such breach.

Shares are offered only on the basis of the information contained in the current Prospectus and the latest annual report and audited financial statements and any subsequent semi-annual report and unaudited financial statements. These reports will form part of this Prospectus.

Any further information or representation given or made by any dealer, salesman or other person should be disregarded and, accordingly, should not be relied upon.

Statements made in this Prospectus are based on the Directors' understanding of the law and practice currently in force in Ireland and are subject to changes therein. Figures contained in this Prospectus are accurate as at the date of this Prospectus only and are subject to changes therein.

This Prospectus may also be translated into other languages. Any such translation shall only contain the same information and have the same meaning as the English language Prospectus. To the extent that there is any inconsistency between the English language Prospectus and the Prospectus in another language, the English language Prospectus will prevail, except to the extent (and only to the extent) that it is required by law of any jurisdiction where the Shares are sold, that in an action based upon disclosure in a Prospectus in a language other than English, the language of the Prospectus on which such action is based shall prevail. Any disputes as to the terms of the Prospectus, regardless of the language of the Prospectus, shall be governed by and construed in accordance with the laws of Ireland. Additionally, each investor irrevocably submits to the jurisdiction of the courts of Ireland for resolution of any disputes arising out of or in connection with the offering of Shares in the Company.

The Company may make application to register and distribute its Shares in jurisdictions outside Ireland. In the event that such registrations take place, local regulations may require the appointment of paying/facilities agents and the maintenance of accounts by such agents through which subscription and redemption monies may be paid. Investors who choose or are obliged under local regulations to pay/receive subscription/redemption monies via an intermediary rather than directly to the Depositary bear a credit risk against that intermediate entity with respect to (a) subscription monies prior to the transmission of such monies to the Depositary and (b) redemption monies payable by such intermediate entity to the relevant investor. The fees and expenses in connection with the registration and distribution of Shares in such jurisdictions, including the appointment of representatives, distributors or other agents in the relevant jurisdictions and the production of local country information documents, will be at normal commercial rates and may be borne by the Company and/or the Funds.

This Prospectus, and the KIID or KID for the relevant Fund and/or Share Class, should each be read in its entirety before making an application for Shares.

While not forming part of the investment objectives or investment policies of the Funds, investors should note the provisions relating to taxation in Germany set out in the section entitled "German Taxation".

For NOTICE TO RESIDENTS OF THE KINGDOM OF SAUDI ARABIA:

This document may not be distributed in the Kingdom of Saudi Arabia except to such persons as are permitted under the Investment Funds Regulations issued by the Capital Market Authority. The Capital Market Authority does not make any representation as to the accuracy or completeness of this document, and expressly disclaims any liability whatsoever for any loss arising from, or incurred in reliance upon, any part of this document. Prospective subscribers of the securities offered hereby should conduct their own due diligence on the accuracy of the information relating to the securities to be offered. If you do not understand the contents of this document, you should consult an authorised financial adviser.

Distribution in or from the Abu Dhabi Global Market ("ADGM")

This Prospectus may not be distributed in or from the ADGM except to persons meeting the Professional Client criteria set out in Rule 2.4.1 of the conduct of business rules (**COBS**) in the Financial Services Regulatory Authority of the Abu Dhabi Global Market ("**FSRA**") handbook. **This Prospectus and any related document is strictly not directed to those who would be considered a retail client under COBS.**

This Prospectus relates to the Company which is not subject to any form of regulation or approval by the FSRA.

The FSRA accepts no responsibility for reviewing or verifying any prospectus or documents in connection with the Company. Accordingly, the FSRA has not approved the Prospectus or any other associated documents nor taken any steps to verify the information set out in the Prospectus and has no responsibility for it.

The shares to which the Prospectus relates may be illiquid and/or subject to restrictions on its resale. Prospective purchasers should conduct their own due diligence on the Company.

If you do not understand the contents of this Prospectus you should consult an authorised financial adviser.

DATA PROTECTION

Investors should note that the Company and/or Manager may handle their personal data (within the meaning of GDPR, "Personal Data") or Personal Data of individuals connected with an investor's directors, officers, employees and/or beneficial owners.

The privacy notice prepared in respect of the Company and the Manager in its capacity as the management company of the Company (the "Privacy Notice") contains information on the collection, use, disclosure, transfer and processing of Personal Data by the Company and/or Manager and sets out the rights of individuals in relation to their Personal Data held by the Company and/or Manager.

The Privacy Notice is available at www.ishares.com.

Requests for further information in relation to the Company's use, Manager's use and/or BlackRock's use of Personal Data and requests to exercise the rights in relation to Personal Data, as set out in the Privacy Notice, should be addressed to: The Data Protection Officer, BlackRock, 12 Throgmorton Avenue, London, EC2N 2DL.

DIRECTORY

iShares III public limited company

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Ireland

Board of Directors of the Company

William McKechnie (Chairman)
Ros O'Shea
Deirdre Somers
Padraig Kenny
Manuela Sperandeo

Registered Office of the Manager

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Investment Manager

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78 Sir John Rogerson's Quay
Dublin 2
Ireland

Administrator and Registrar

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78 Sir John Rogerson's Quay
Dublin 2
Ireland

Secretary

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Auditors and Reporting Accountant

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Legal Advisors (as to Irish Law)

Maples and Calder (Ireland) LLP
75 St Stephen's Green
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Ireland

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DEFINITIONS

"Account Opening Form", such account opening form or application form (as the context requires) as the Directors may prescribe, to be completed by the Authorised Participant for the purposes of opening a Primary Market dealing account in relation to the Company and/or relevant Fund; or to be completed by the Common Depositary's Nominee for the purposes of applying for Shares of the Funds to be issued in its name and to include authorisation for the Company to deal with Authorised Participants (as applicable).

"Accumulating Share Class", a Share Class designated as being "Accumulating" in the list of Share Classes listed under the heading "Classes of Share" in "The Company" section of this Prospectus or "Acc" in the "Current and Launched Share Classes" table in "The Company" section of this Prospectus and in respect of which income and other profits will be accumulated and reinvested.

"Act", the Companies Act 2014 (of Ireland), as may be amended.

"Active Funds", iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares Asia ex Japan Equity Enhanced Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF, iShares Emerging Markets Equity Enhanced Active UCITS ETF, iShares Europe Equity Enhanced Active UCITS ETF, iShares India Equity Enhanced Active UCITS ETF, iShares Japan Equity Enhanced Active UCITS ETF, iShares U.S. Equity High Income Active UCITS ETF, iShares US Equity Enhanced Active UCITS ETF, iShares World Equity Enhanced Active UCITS ETF, iShares World Equity Factor Rotation Active UCITS ETF, iShares World Equity High Income Active UCITS ETF and iShares World Thematic Rotation Active UCITS ETF.

"Administrator", State Street Fund Services (Ireland) Limited, and/or such other person as may be appointed, with the prior approval of the Central Bank, to provide administration, transfer agency and registrar services to the Company.

"Administration Agreement", the agreement made between the Manager and the Administrator in respect of the provision of administration, transfer agency and registrar services to the Company as may be amended from time to time in accordance with the requirements of the Central Bank.

"ADR", American Depositary Receipt.

"Affiliate", a company which has the ultimate parent of the Investment Manager as its ultimate parent, or a company in which the ultimate parent of the Investment Manager has at least 50% direct or indirect ownership.

"AMF ESG Rules", the position and recommendation DOC-2020-03 of the French Autorité des Marchés Financiers (AMF). For further information please refer to <https://www.amf-france.org/en/regulation/policy/doc-2020-03>.

"Articles", the Articles of Association of the Company, as amended from time to time.

"Australian Dollar" or "AUD", the lawful currency of the Commonwealth of Australia.

"Authorised Participant", a market maker or broker entity which is registered with the Company as an authorised participant and therefore able to subscribe directly to, or redeem directly from, the Company for Shares in a Fund (i.e. the Primary Market).

"Base Currency", the base currency of a Fund.

"BASEL III", the BASEL III Accord.

"Benchmark Index", where applicable, in relation to a Fund, the index against which the return of the Fund will be compared.

"Benchmarks Regulation", Regulation (EU) 2016/1011 of the European Parliament and of the Council as amended by Regulation (EU) 2019/2089 of The European Parliament and of the Council of 27 November 2019 as may be amended or replaced.

"Benchmarks Regulation Register", register of administrators and benchmarks maintained by ESMA under the Benchmarks Regulation.

"Benefit Plan Investor" shall have the meaning contained in Section 3(42) of US Employee Retirement Income Security Act of 1974 ("ERISA"), and includes (a) an "employee benefit plan" as defined in Section 3(3) of ERISA that is subject to Part 4 of Title I of ERISA; (b) a "plan" described in Section 4975(e)(1) of the Code that is subject to Section 4975 of the Code; and (c) an entity whose underlying assets include "plan assets" by reason of an employee benefit plan's or a plan's investment in such entity. For purposes of the foregoing, a "Benefit Plan Investor" does not include a governmental plan (as defined in Section 3(32) of ERISA), a non-US plan (as defined in Section 4(b)(4) of ERISA) or a church plan (as defined in Section 3(33) of ERISA) that has not elected to be subject to ERISA.

"BlackRock Group", the BlackRock, Inc. group of companies and any of their affiliates and connected persons.

"Board of Directors", the board of Directors of the Company.

"Bond Connect", is an initiative launched in July 2017 for mutual bond market access between the PRC and Hong Kong, established by the CFETS, China Central Depository & Clearing Co., Ltd, Shanghai Clearing House, HKEX and Central Moneymarkets Unit.

"Business Day", in relation to all Funds, a day on which markets are open for business in England (or such other day as the Directors may from time to time determine subject to advance Shareholder notice).

"Canadian Dollar" or "CAD", the lawful currency of Canada.

"Canadian Resident", a person resident in Canada for the purposes of Canadian income tax legislation.

"Capital Market Authority" or "CMA" the securities and investments regulatory authority in the Kingdom of Saudi Arabia, and its successors and assigns.

"Cash Component", the cash component of the Portfolio Composition File. The Cash Component will be made up of three elements, namely, (i) the accrued dividend attributable to Shares of a particular Share Class of the Fund (generally dividends and interest earned less fees and expenses incurred since the previous distribution), (ii) cash amounts representing amounts arising as a result of rounding the number of Shares to be delivered, capital cash held by the Fund or amounts representing differences between the weightings of the Portfolio Composition File and the Fund and (iii) any Duties and Charges which may be payable.

"CCASS", the Hong Kong Central Clearing and Settlement System.

"CEA", the Commodities Exchange Act (of the United States), as amended.

"Central Bank", the Central Bank of Ireland or any successor thereof.

"Central Bank UCITS Regulations", Central Bank (Supervision and Enforcement) Act 2013 (Section 48(1)) (Undertakings for Collective Investment in Transferable Securities) Regulations 2019, as may be amended or replaced.

"Central Securities Depositories", such Recognised Clearing Systems which are national settlement systems for individual national markets. As the Funds issue Shares through the International Central Securities Depository settlement system, Central Securities Depositories would be Participants in an International Central Securities Depository.

"CFETS", the China Foreign Exchange Trade System & National Funding Centre.

"China A Shares", securities of companies that are incorporated in the PRC and denominated and traded in Renminbi on the Shanghai and Shenzhen Stock Exchanges.

"ChinaClear", means China Securities Depository and Clearing Corporation Limited which is the PRC's central securities depository in respect of China A Shares.

"Citigroup", Citigroup Index, a division of Citigroup Inc.

"Clearstream", Clearstream Banking, Société Anonyme, Luxembourg and any successor in business thereto.

"Common Depositary", the entity appointed as a depositary for the International Central Securities Depositories, currently Citibank Europe plc, having its registered office at 1 North Wall Quay, Dublin 1.

"Common Depositary's Nominee", the entity appointed as nominee for any Common Depositary and as such acts as the registered holder of the Shares in the Funds, currently Citivic Nominees Limited.

"Company", iShares III plc.

"CRD IV Directive", Directive 2013/36/EU of the European Parliament and of the Council of 26 June 2013 on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms, amending Directive 2002/87/EC and repealing Directives 2006/48/EC and 2006/49/EC as may be amended or replaced.

"CSDCC", China Securities Depository and Clearing Corporation Limited.

"CSRC", China Securities Regulatory Commission.

"Currency Hedging Agreement", the agreement made between the Investment Manager and State Street Bank & Trust Company, London Branch pursuant to which State Street Bank & Trust Company, London Branch has been appointed to provide currency hedging services for Currency Hedged Share Classes, as may be amended from time to time in accordance with the requirements of the Central Bank.

"*Currency Hedged Share Class*", a Share Class of a Fund which allows the use of hedging transactions to reduce the effect of exchange rate fluctuations as described under the heading "Currency Hedged Share Classes" in "The Company" section of this Prospectus.

"*Current Funds*", the Funds in existence as at the date of this Prospectus as listed on page 1 of this Prospectus.

"*Current Share Classes*", the Share Classes of the Current Funds available for launch at the discretion of the Manager as at the date of this Prospectus as listed on pages 24 to 29 of this Prospectus.

"*Danish Krone*" or "*DKK*", the lawful currency of the Kingdom of Denmark.

"*Dealing Day*", in general, in relation to the Current Funds except iShares MSCI Saudi Arabia Capped UCITS ETF each Business Day will be a Dealing Day. However, some Business Days will not be Dealing Days where, for example, on such Business Day or the immediately following Business Day markets on which a Fund's Investments are listed or traded or markets relevant to a Benchmark Index are suspended or closed or where there is a public holiday in the relevant jurisdiction in which a delegate of the Investment Manager is based, provided there is at least one Dealing Day per fortnight, subject always to the Directors' discretion to temporarily suspend the determination of the Net Asset Value and the sale, switching and/or redemption of Shares in the Company or any Fund in accordance with the provisions of the Prospectus and the Articles. The Investment Manager produces dealing calendars which detail in advance the Dealing Days for each Fund. The dealing calendar may be amended from time to time by the Investment Manager where, for example, the relevant market operator, regulator or exchange (as applicable) declares a relevant market closed for trading and/or settlement (such closure may be made with little or no notice to the Investment Manager). The dealing calendar for each Fund (and each Share Class within a Fund) is available from the Investment Manager. iShares MSCI Saudi Arabia Capped UCITS ETF will not deal on any day where settlement in an underlying market occurs on a day where the markets are closed for business in England. In the case of iShares MSCI Saudi Arabia Capped UCITS ETF each Business Day (excluding a Thursday) will be a Dealing Day provided that Significant Markets are not suspended or closed on the Business Day immediately following the Dealing Day.

"*Dealing Form*", such dealing form as the Directors may prescribe for the purposes of dealing in Shares of the Company and/or relevant Fund.

"*Depository*", State Street Custodial Services (Ireland) Limited or such other person as may be appointed, with the prior approval of the Central Bank, to act as depository to the Company.

"*Depository Agreement*", the agreement between the Company, the Manager and the Depository as may be amended from time to time in accordance with the requirements of the Central Bank.

"*Distressed Security*", a security of an issuer that is determined by the Investment Manager as being either in default or at risk of default.

"*Directive*", Directive No. 2009/65/EC of the European Parliament and of the Council of 13 July 2009 as amended by Directive No. 2014/91/EU of the European Parliament and of the Council of 23 July 2014 as may be amended or replaced.

"*Directors*", the directors of the Company or any duly authorised committee thereof.

"*Distributing Share Class*", a Share Class designated as being "Distributing" in the list of Share Classes listed under the heading "Classes of Share" in "The Company" section of this Prospectus or "Dist" in the "Current and Launched Share Classes" table in "The Company" section of this Prospectus and in respect of which distributions of income will be declared.

"*Duties and Charges*", in relation to any Fund or Share Class, all stamp and other duties, taxes, governmental charges, brokerage, bank charges, foreign exchange spreads, interest, Depository or sub-custodian charges (relating to sales and purchases), transfer fees, registration fees and other duties and charges (including hedging-related costs, transaction costs) whether in connection with the original acquisition or increase of the assets of the relevant Fund or Share Class or the creation, issue, sale, redemption, switching or repurchase of Shares or the sale or purchase of Investments or in respect of certificates or otherwise which may have become or may be payable in respect of or prior to or in connection with or arising out of or upon the occasion of the transaction or dealing in respect of which such duties and charges are payable, which, for the avoidance of doubt, includes, when calculating subscription and redemption prices, any provision for spreads (to take into account the difference between the price at which assets were valued for the purpose of calculating the Net Asset Value and the estimated price at which such assets shall be bought as a result of a subscription and sold as a result of a redemption and to take into account unrealised gains or losses (and their crystallisation, reinvestment or settlement) from currency forwards in connection with a sale, redemption, switching or repurchase of Shares in a Currency Hedged Share Class), but shall not include any commission payable to agents on sales and purchases of Shares or any commission, taxes, charges or costs which may have been taken into account in ascertaining the Net Asset Value per Share of Shares in the relevant Fund or Share Class.

"*DVP*", delivery versus payment settlement.

"*Electronic Order Entry Facility*", the website facility which may be used by Authorised Participants to submit dealing requests in respect of Shares in a Fund and to obtain information in relation to the dealing procedures.

"Electronic Order Entry Facility Operator", the operator of the Electronic Order Entry Facility from time to time.

"Equity Funds", Funds of the Company which track or replicate the performance of a Benchmark Index, the constituents of which are comprised of equities and which are, as at the date of the Prospectus, iShares AI Adopters & Applications UCITS ETF, iShares AI Infrastructure UCITS ETF, iShares Blockchain Technology UCITS ETF, iShares Core MSCI Europe UCITS ETF EUR (Acc), iShares Core MSCI Japan IMI UCITS ETF, iShares Core MSCI World UCITS ETF, iShares Global Real Estate Environmental Tilt UCITS ETF, iShares MSCI Australia UCITS ETF, iShares MSCI EM Small Cap UCITS ETF, iShares MSCI EM UCITS ETF USD (Acc), iShares MSCI Europe Small Cap UCITS ETF, iShares MSCI Japan Small Cap UCITS ETF, iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF, iShares MSCI Pacific ex-Japan UCITS ETF, iShares MSCI Saudi Arabia Capped UCITS ETF, iShares MSCI South Africa UCITS ETF, iShares MSCI Target UK Real Estate UCITS ETF, iShares MSCI World ex-USA UCITS ETF, iShares MSCI World Paris-Aligned Climate UCITS ETF, iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF, iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF, iShares MSCI World Small Cap UCITS ETF, iShares S&P 500 Equal Weight UCITS ETF, iShares S&P 500 Scored and Screened UCITS ETF and iShares S&P SmallCap 600 UCITS ETF (the Benchmark Index constituents of iShares MSCI Target UK Real Estate UCITS ETF are comprised of equities and fixed income securities).

"ERISA Plan", (i) any retirement plan subject to Title I of the United States Employee Retirement Income Security Act of 1974, as amended ("ERISA"); or (ii) any individual retirement account or plan subject to Section 4975 of the United States Internal Revenue Code of 1986, as amended.

"ESG", in relation to the Multi-Asset Funds, the "environmental, social and governance" criteria, which are three central factors used in measuring the sustainability and ethical impact of an investment in securities of an issuer. By way of example, "environmental" may cover themes such as climate risks and natural resources scarcity, "social" may include labour issues and product liability risks such as data security and "governance" may encompass items such as business ethics and executive pay. These are only examples and do not necessarily determine the policy of the Multi-Asset Fund. Investors should refer to the investment policy of the Multi-Asset Fund and the section entitled "ESG Integration", including the websites referred to therein, for more detailed information.

"ESG Screens", in relation to the Multi-Asset Funds, the ESG / sustainable or socially responsible investing (SRI) screens which, exclude issuers that are involved in business lines / activities (or related activities) that are contrary to ESG criteria. Examples of such business lines / activities include: controversial weapons (including landmines, cluster munitions, biological and chemical weapons, depleted uranium weapons, blinding lasers, incendiary weapons and non-detectable fragments), nuclear weapons, conventional weapons, civilian firearms, tobacco, adult entertainment, alcohol, gambling, nuclear power, genetically modified organisms, oil sands and thermal coal. The definition "involvement" in each business line / activity may be based on percentage of revenue, a defined total revenue threshold, or any connection to a business line / activity regardless of the amount of revenue received.

"ESMA", the European Securities and Markets Authority.

"EU Capital Requirements Regulation" or "CRR", Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012 as may be amended or replaced.

"Euro", "EUR" or "€", the single European currency unit referred to in Council Regulation (EC) No. 974/98 on 3 May 1998 on the introduction of the Euro, and, at the discretion of the Manager, the currencies of any countries that at any time formed part of the Eurozone.

"Euroclear", Euroclear Bank S.A./N.V. and any such successor in business thereto.

"Euronext", Euronext N.V.

"EMU" or "Eurozone", the Member States that adopt or have adopted the Euro as its lawful currency, at the date of this Prospectus being Austria, Belgium, Cyprus, Estonia, Finland, France, Germany, Greece, Ireland, Italy, Latvia, Lithuania, Luxembourg, Malta, the Netherlands, Portugal, Slovakia, Slovenia and Spain.

"European Economic Area" or "EEA", the European Economic Area, the participating member states of which are the Member States, Iceland, Liechtenstein and Norway.

"European MiFID Template" or "EMT", a template developed by FinDatEx and maintained on <https://findatex.eu/> for the purposes of communicating by product manufacturers to distributors information on the target market and costs of financial products.

"EU Climate Transition Benchmark", a benchmark which is labelled as an EU Climate Transition Benchmark and fulfils the requirements for Climate Transition Benchmarks as set out in the Benchmarks Regulation.

"Euro Short-Term Rate" or "€STR", the rate published by the European Central Bank which reflects the wholesale euro unsecured overnight borrowing costs of banks located in the Euro area.

"FDI", financial derivative instruments.

"Fitch", Fitch Ratings, a division of the Fitch Group.

"Fixed Income Funds", Funds of the Company which track or replicate the performance of a Benchmark Index, the constituents of which are comprised of fixed income securities and which are, as at the date of the Prospectus, iShares \$ Asia Investment Grade Corp Bond UCITS ETF, iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ Development Bank Bonds UCITS ETF, iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ Intermediate Credit Bond UCITS ETF, iShares € Aggregate Bond ESG SRI UCITS ETF, iShares € Corp Bond 1-5yr UCITS ETF, iShares € Corp Bond BBB-BB UCITS ETF, iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF, iShares € Corp Bond ex-Financials UCITS ETF, iShares € Covered Bond UCITS ETF, iShares € Govt Bond 0-1yr UCITS ETF, iShares € Govt Bond 10-15yr UCITS ETF, iShares € Govt Bond 5-7yr UCITS ETF, iShares € Govt Bond Climate UCITS ETF, iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares £ Corp Bond ex-Financials UCITS ETF, iShares Broad \$ Corp Bond UCITS ETF, iShares Broad \$ High Yield Corp Bond UCITS ETF, iShares Broad € High Yield Corp Bond UCITS ETF, iShares Broad Global Govt Bond UCITS ETF, iShares Core € Corp Bond UCITS ETF, iShares Core € Govt Bond UCITS ETF, iShares Core Global Aggregate Bond UCITS ETF, iShares Emerging Asia Local Govt Bond UCITS ETF, iShares Global Aggregate Bond ESG SRI UCITS ETF, iShares Global Govt Bond UCITS ETF, iShares Global Inflation Linked Govt Bond UCITS ETF, iShares J.P. Morgan € EM Bond UCITS ETF, iShares J.P. Morgan EM Local Govt Bond UCITS ETF, iShares MSCI Target UK Real Estate UCITS ETF and iShares UK Gilts 0-5yr UCITS ETF (the Benchmark Index constituents of iShares MSCI Target UK Real Estate UCITS ETF are comprised of equities and fixed income securities).

"FOP", free of payment settlement.

"FTSE", FTSE Russell, a division of the London Stock Exchange Group plc.

"Fund", a fund of assets established (with the prior approval of the Central Bank) for one or more classes of Shares which is invested in accordance with the investment objectives applicable to such fund and which forms part of the Company; a reference to a "Fund" shall, in the context where no particular Share Class is specified, include all Share Classes attributable to that Fund.

"GDN", Global Depositary Note.

"GDPR", Regulation (EU) 2016/679 (General Data Protection Regulation) of the European Parliament and of the Council of 27 April 2016 as may be amended or replaced.

"GDR", Global Depositary Receipt.

"Global Share Certificate", the certificate evidencing entitlement to Shares of a Fund (as described in further detail under the section of this Prospectus entitled "General Information on Dealings in the Company").

"High Credit Quality", an instrument or issuer that is considered, following a credit assessment by the Manager as described in the section entitled "Credit Assessment" of the fund description of iShares € Cash UCITS ETF, to be high quality.

"Hong Kong Dollar" or "HKD", the lawful currency of the Hong Kong Special Administrative Region of the People's Republic of China.

"HKEX", Hong Kong Exchanges and Clearing Limited.

"HKSCC", Hong Kong Securities Clearing Company Limited.

"Indian Origin Restricted Entity", (i) any "Resident Indian citizen" as such term is defined in the Foreign Exchange Management (Transfer or Issuer of Security by a Person Resident Outside of India) Regulations (as amended or supplemented from time to time), (ii) any person who is a "Non-Resident Indian", an "Overseas Citizens of India" as such terms are defined in the Foreign Exchange Management (Transfer or Issuer of Security by a Person Resident Outside of India) Regulations (as amended or supplemented from time to time), (iii) any entity incorporated or registered in India, and/or (iv) any person who has the intention of purchasing Shares in the Fund to circumvent or otherwise avoid any requirements applicable under the SEBI Regulations and/or any other subsidiary regulations or circulars issued pursuant thereto.

"Insolvency Event", occurs in relation to a person where (i) an order has been made or an effective resolution passed for the liquidation or bankruptcy of the person; (ii) a receiver or similar officer has been appointed in respect of the person or of any of the person's assets or the person becomes subject to an administration order, (iii) the person enters into an arrangement with one or more of its creditors or is deemed to be unable to pay its debts, (iv) the person ceases or threatens to cease to carry on its business or substantially the whole of its business or makes or threatens to make any material alteration to the nature of its business, (v) an event occurs in relation to the person in any jurisdiction that has an effect similar to that of any of the events referred to in (i) to (iv) above or (vi) the Company in good faith believes that any of the above may occur.

"International Central Securities Depositories", such Recognised Clearing Systems used by the Funds in issuing their Shares through an International Central Securities Depositary settlement system, which is an international settlement system connected to multiple national markets, and which includes Euroclear and/or Clearstream.

"Investment", any investment authorised by the Memorandum which is permitted by the Regulations and the Articles.

"Investment Manager", BlackRock Advisors (UK) Limited and/or such other person as may be appointed, in accordance with the requirements of the Central Bank, to provide investment management services to the Funds.

"Investment Management Agreement", the agreement between the Manager and the Investment Manager in respect of the provision of investment management services to the Funds as may be amended from time to time in accordance with the requirements of the Central Bank.

"J.P. Morgan", a division of JPMorgan Chase & Co.

"Japanese Yen" or "JPY", the lawful currency of Japan.

"KIID" or "KID", the key investor information document issued in respect of each Fund pursuant to either the Regulations or the PRIIPs Regulation, as may be amended from time to time.

"Kingdom of Saudi Arabia Sub-custodian", HSBC Saudi Arabia Limited or such other person appointed as a sub-custodian of the Fund for assets in the Kingdom of Saudi Arabia.

"Launched Share Class", a Share Class in existence and available for investment as at the date of this Prospectus as listed on pages 24 to 29 of this Prospectus.

"LSE", the London Stock Exchange, a division of the London Stock Exchange Group plc.

"Manager", BlackRock Asset Management Ireland Limited, a limited liability company incorporated in Ireland.

"Management Agreement", the agreement between the Company and the Manager as may be amended from time to time in accordance with the requirements of the Central Bank.

"Member State", a member state of the European Union as at the date of this Prospectus.

"Memorandum", the Memorandum of Association of the Company, as amended from time to time.

"Mexican Peso" or "MXP", the lawful currency of Mexico.

"MiFID II", Directive 2014/65/EU (Markets in Financial Instruments Directive), as may be amended, replaced, supplemented or novated.

"Money Market Fund" or "MMF", a collective investment scheme authorised pursuant to the MMF Regulation.

"MMF Regulation", Regulation (EU) 2017/1131 of the European Parliament and of the Council of 14 June 2017 on money market funds, as may be amended or replaced, and any delegated regulation published pursuant to it.

"Moody's", Moody's Investors Service, a division of Moody's Corporation.

"MSCI", MSCI Inc.

"Multi-Asset Funds", iShares Conservative Portfolio UCITS ETF, iShares Growth Portfolio UCITS ETF and iShares Moderate Portfolio UCITS ETF.

"Net Asset Value", the net asset value of a Fund or Share Class (as appropriate) determined in accordance with the Articles.

"Non-Significant Markets", any market that is not a Significant Market.

"New Zealand Dollar" or "NZD", the lawful currency of New Zealand.

"OECD", the Organisation for Economic Co-operation and Development.

"OTC", over the counter.

"Paris Agreement", the agreement adopted under the United Nations Framework Convention on Climate Change on 12 December 2015 and approved by the European Union on 5 October 2016 with the aim of holding the increase in the global average temperature to well below 2°C above pre-industrial levels and pursuing efforts to limit the temperature increase to 1.5°C above pre-industrial levels.

"Participants", accountholders in an International Central Securities Depository, which may include Authorised Participants, their nominees or agents, and who hold their interest in Shares of the Funds settled and/or cleared through the applicable International Central Securities Depository.

"Paying Agent", the entity appointed to act as paying agent to the Funds.

"PBOC", People's Bank of China.

"Portfolio Composition File", the file setting out the Investments and Cash Component which may be transferred to the Fund, in the case of subscriptions, and by the Company, in the case of redemptions, in satisfaction of the

price of Shares thereof. Each Share Class of a Fund will have a Portfolio Composition File, which may (but need not) differ from the Portfolio Composition Files for other Share Classes within the same Fund.

"PRC", the People's Republic of China.

"Primary Market", the off exchange market whereon Shares of a Fund are created and redeemed directly with the Company.

"PRIIPs Regulation", Regulation (EU) No.1286/2014 of the European Parliament and of the Council of 26 November 2014 as may be amended or replaced.

"Prospectus", this document as it may be amended from time to time in accordance with the Central Bank UCITS Regulations together with, where the context requires or implies, any Supplement or addendum.

"Qualified Foreign Investor" or "QFI", pursuant to the QFI Rules, the relevant Funds which have directly invested in to listed shares on the Saudi Stock Exchange and which, along with their investment manager, have each registered with the CMA as QFIs.

"QFI Rules" Rules for Qualified Foreign Financial Institutions Investment in Listed Shares issued by the Board of Capital Market Authority of the Kingdom of Saudi Arabia pursuant to its Resolution Number (1-42-2015) on 15/07/1436 Hijri corresponding to 04/05/2015 Gregorian and based on the Capital Market Law issued by Royal Decree No. M/30 dated 02/06/1424 Hijri as amended by the Board of Capital Market Authority of the Kingdom of Saudi Arabia pursuant to Resolution Number (1-3-2018) on 22/04/1439 Hijri corresponding to 09/01/2018 Gregorian.

"Qualified Holder", any person, corporation or entity other than (i) a US Person as defined under Rule 902(k) of the 1933 Act; (ii) an ERISA Plan; (iii) any other person, corporation or entity to whom a sale or transfer of Shares, or in relation to whom the holding of Shares (whether directly or indirectly affecting such person, and whether taken alone or in conjunction with other persons, connected or not, or any other circumstances appearing to the Directors to be relevant) would (a) cause the Company to be required to register as an "investment company" under the 1940 Act, (b) would cause the Shares in the Company to be required to be registered under the 1933 Act, (c) would cause the Company to become a "controlled foreign corporation" within the meaning of the US Internal Revenue Code of 1986, (d) would cause the Company to have to file periodic reports under section 13 of the US Exchange Act of 1934, (e) would cause the assets of the Company to be deemed to be "plan assets" of a Benefit Plan Investor, or (f) would cause the Company otherwise not to be in compliance with the 1940 Act, the 1933 Act, the US Employee Retirement Income Security Act of 1974, the US Internal Revenue Code of 1986 or the US Exchange Act of 1934; (iv) a custodian, nominee, trustee or the estate of any person, corporation or entity described in (i) to (iii) above, or (v) in relation to a Fund with India Exposure, an Indian Origin Restricted Entity or any person, corporation or entity acquiring or holding Shares for and on behalf of an Indian Origin Restricted Entity.

"Recognised Clearing System", a "recognised clearing system" so designated by the Irish Revenue Commissioners (e.g. CREST or Euroclear).

"Regulated Markets", the stock exchanges and/or regulated markets listed in Schedule I and in the relevant Supplement, if any.

"Regulations", European Communities (Undertakings for Collective Investment in Transferable Securities) Regulations 2011 as amended by European Union (Undertakings for Collective Investment in Transferable Securities) (Amendment) Regulations 2016 as may be amended or replaced.

"Regulatory Information Service", any of the news services set out in Schedule 12 to the Listing Rules of the UKLA.

"Remuneration Policy", the policy as described in the section entitled "The Manager" including, but not limited to, a description as to how remuneration and benefits are calculated and identification of those individuals responsible for awarding remuneration and benefits.

"RQFII", Renminbi Qualified Foreign Institutional Investor.

"Saudi Arabian Riyal" or "SAR", or "Riyal" the lawful currency of the Kingdom of Saudi Arabia.

"Saudi Stock Exchange" or "Tadawul", the Stock Exchange of the Kingdom of Saudi Arabia.

"SEBI", Securities and Exchange Board of India.

"SEBI Regulations", Securities and Exchange Board of India (Foreign Portfolio Investors) Regulations, 2014 (as amended or supplemented from time to time).

"SEC", the US Securities and Exchange Commission.

"Secondary Market", a market on which Shares of the Funds are traded between investors rather than with the Company itself, which may either take place on a recognised stock exchange or OTC.

"*Securitisation Regulation*", Regulation (EU) 2017/2402 of the European Parliament and of the Council of 12 December 2017 laying down a general framework for securitisation and creating a specific framework for simple, transparent and standardised securitisation, as may be amended or replaced.

"*SEHK*", the Stock Exchange of Hong Kong.

"*SFDR*", Regulation (EU) 2019/2088 of the European Parliament and of the Council of 27 November 2019 on sustainability-related disclosures in the financial services sector.

"*Share*", a participating share of no par value in a Fund or any Share Class representing a participation in the capital of the Company and carrying rights attributable to the relevant Fund or Share Class, issued in accordance with the Articles and with the rights provided for under the Articles.

"*Share Class*", any class of Share attributable to a particular Fund and carrying rights to participate in the assets and liabilities of such Fund, as further described below under "Classes of Share", in "The Company" section of this Prospectus.

"*Shareholder*", the registered holder of a Share in a Fund of the Company.

"*Short-Term MMF*", a Short Term Money Market Fund as defined in the MMF Regulation.

"*Significant Markets*", in respect of a Fund, any market or combination of markets where the value of a Fund's Investments or exposure in those markets exceeds 30% of that Fund's Net Asset Value, calculated as at that Fund's most recent annual accounting date and recorded in the Company's financial statements unless the Investment Manager determines to apply a different percentage and/or date which it believes to be more appropriate.

"*Significant Markets Business Day*", in respect of each Fund, a Business Day on which Significant Markets are open for trading and settlement.

"*Singapore Dollar*" or "*SGD*", the lawful currency of the Republic of Singapore.

"*SIX*", SIX Swiss Exchange.

"*S&P*", Standard & Poor's, a division of S&P Global Inc.

"*Sterling*", "*GBP*" or "*Stg£*", the lawful currency of the United Kingdom.

"*STOXX*", STOXX Ltd, a division of Deutsche Börse AG.

"*SSE*", the Shanghai Stock Exchange.

"*Stock Connect*", the Shanghai-Hong Kong Stock Connect and/or the Shenzhen-Hong Kong Stock Connect.

"*Stock Connect Funds*", Funds that invest in China A Shares on the SSE or SZSE via the Stock Connect.

"*Structured Finance Securities*", eligible debt or equity securities or other financial instruments, including asset-backed securities and credit-linked securities, which may be issued by a member of the BlackRock Group.

"*Subscriber Shares*", shares of Stg£1.00 each in the capital of the Company designated as "Subscriber Shares" in the Articles and subscribed by or on behalf of the Manager for the purposes of incorporating the Company.

"*Supplement*", any document issued by the Company expressed to be a supplement to this Prospectus.

"*Sustainable Investment*", means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.

"*Swedish Krona*" or "*SEK*", the lawful currency of the Kingdom of Sweden.

"*Swiss Francs*" or "*CHF*", the lawful currency of the Swiss Confederation.

"*SZSE*", the Shenzhen Stock Exchange

"*Taxonomy Regulation*", Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment, and amending Regulation (EU) 2019/2088.

"*UCITS*", an Undertaking for Collective Investment in Transferable Securities established pursuant to the Directive, as amended.

"*UKLA*", the United Kingdom Listing Authority, part of the UK Financial Conduct Authority.

"*Umbrella Cash Collection Account*", a collection account established by the Company at umbrella level in the name of the Company.

"*Unhedged Share Class*", a Share Class which is not a Currency Hedged Share Class.

"*United Kingdom*" and "*UK*", the United Kingdom of Great Britain and Northern Ireland.

"*United States*" and "*US*", the United States of America, its territories, possessions, any State of the United States and the District of Columbia

"*UNSC Trade Sanctions*", *The United Nations Security Council can take action to maintain or restore international peace and security under Chapter VII of the United Nations Charter. Sanctions measures, under Article 41, encompass a broad range of enforcement options that do not involve the use of armed force. These measures include trade sanctions preventing sanctioned countries from the provision or procurement of certain goods, services and technology among other measures.*

"*US Dollar*", "*USD*", "*US\$*" or "*\$*", the lawful currency of the United States.

"*US Person*", any person or entity deemed by the SEC from time to time to be a "US Person" under Rule 902(k) of the 1933 Act or other person or entity as the Directors may determine. The Directors may amend the definition of "US Person" without Shareholder notice as necessary in order best to reflect then-current applicable US law and regulation. Further information regarding the meaning of "US Person" is set out in Schedule V.

"*Valuation Currency*", in respect of a Share Class, the currency in which a class of Shares is priced by the Administrator and in which such Shares are denominated.

"*Valuation Point*", such time and day as the Directors may from time to time determine (with the consent of the Administrator) in relation to the valuation of the assets and liabilities of a Fund and the Share Classes within that Fund. Please see the Primary Market Dealing Timetable on pages 189 to 192 for further details of the Valuation Point applicable to the Current Funds.

"*VNAV MMF*", a variable NAV money market fund, pursuant to the MMF Regulation.

"*Xetra*", Deutsche Börse Xetra, in Frankfurt, Germany.

"*1933 Act*", the Securities Act of 1933 (of the United States), as amended.

"*1940 Act*", the Investment Company Act of 1940 (of the United States), as amended.

THE COMPANY

General

The Company is an umbrella open-ended investment company with variable capital and having segregated liability between its Funds. The Company is organised under the laws of Ireland as a public limited company pursuant to the Act. The Company has been authorised by the Central Bank as a UCITS pursuant to the Regulations and is regulated under the Regulations. The Company is an exchange traded fund. It was incorporated on 22 January 2008 under registration number 452278. **Authorisation of the Company by the Central Bank is not an endorsement or guarantee of the Company by the Central Bank nor is the Central Bank responsible for the contents of the Prospectus. The authorisation of the Company shall not constitute a warranty as to performance of the Company and the Central Bank shall not be liable for the performance or default of the Company.**

Clause 3 of the Memorandum provides that the Company's sole objective is the collective investment in transferable securities and/or other liquid financial assets referred to in Regulation 68 of the Regulations of capital raised from the public and which operates on the principle of risk spreading.

The Company is a UCITS and accordingly each of the Funds are subject to the investment and borrowing restrictions set out in the Regulations and the Central Bank UCITS Regulations. These are set out in detail in Schedule III below. iShares € Cash UCITS ETF is also authorised and regulated as an MMF pursuant to the MMF Regulation.

iShares € Cash UCITS ETF is a Short-Term MMF and a VNAV MMF in accordance with the MMF Regulation. iShares € Cash UCITS ETF is a money market fund and investors should note (a) that a money market fund is not a guaranteed investment; (b) that an investment in a money market fund is different from an investment in deposits, including in particular because of the risk that the principal invested in a money market fund is capable of fluctuation; (c) that a money market fund does not rely on external support for guaranteeing liquidity of the money market fund or stabilising the Net Asset Value per Share; and (d) that the risk of loss of the principal is borne by the investor.

Funds

This Prospectus relates to the following Funds:

iShares \$ Asia Investment Grade Corp Bond UCITS ETF	iShares Core MSCI World UCITS ETF
iShares \$ Corp Bond Enhanced Active UCITS ETF	iShares Developed World ex-UK UCITS ETF*
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	iShares EM Local Govt Bond Active UCITS ETF
iShares \$ EM Bond Active UCITS ETF	iShares Emerging Asia Local Govt Bond UCITS ETF
iShares \$ Development Bank Bonds UCITS ETF	iShares Emerging Markets Equity Enhanced Active UCITS ETF
iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF	iShares EURO STOXX 50 UCITS ETF (Acc)**
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	iShares Europe Equity Enhanced Active UCITS ETF
iShares \$ Intermediate Credit Bond UCITS ETF	iShares Global Aggregate Bond ESG SRI UCITS ETF
iShares € Aggregate Bond ESG SRI UCITS ETF	iShares Global Govt Bond Climate UCITS ETF***
iShares € Cash UCITS ETF	
iShares € Corp Bond 1-5yr UCITS ETF	iShares Global Govt Bond UCITS ETF
iShares € Corp Bond BBB-BB UCITS ETF	iShares Global Inflation Linked Govt Bond UCITS ETF
iShares € Corp Bond Enhanced Active UCITS ETF	iShares Global Real Estate Environmental Tilt UCITS ETF
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	iShares Growth Portfolio UCITS ETF
	iShares India Equity Enhanced Active UCITS ETF
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	iShares Japan Equity Enhanced Active UCITS ETF
iShares € Corp Bond ex-Financials UCITS ETF	iShares J.P. Morgan € EM Bond UCITS ETF
iShares € Covered Bond UCITS ETF	iShares J.P. Morgan EM Local Govt Bond UCITS ETF
iShares € Flexible Income Bond Active UCITS ETF	iShares Moderate Portfolio UCITS ETF
iShares € Govt Bond 0-1yr UCITS ETF	iShares MSCI Australia UCITS ETF
iShares € Govt Bond 10-15yr UCITS ETF	iShares MSCI EM Small Cap UCITS ETF
iShares € Govt Bond 5-7yr UCITS ETF	iShares MSCI EM UCITS ETF USD (Acc)
iShares € Govt Bond Climate UCITS ETF	iShares MSCI Europe Small Cap UCITS ETF
iShares € High Yield Corp Bond Enhanced Active UCITS ETF	iShares MSCI Japan Small Cap UCITS ETF
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF
iShares £ Corp Bond ex-Financials UCITS ETF	iShares MSCI Pacific ex-Japan UCITS ETF
iShares AI Adopters & Applications UCITS ETF	
iShares AI Infrastructure UCITS ETF	iShares MSCI Saudi Arabia Capped UCITS ETF
	iShares MSCI South Africa UCITS ETF
	iShares MSCI Target UK Real Estate UCITS ETF

iShares AI Innovation Active UCITS ETF	iShares MSCI World ex-USA UCITS ETF
iShares Asia ex Japan Equity Enhanced Active UCITS ETF	iShares MSCI World Paris-Aligned Climate UCITS ETF
iShares AT1 Bond Active UCITS ETF	iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF
	iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF
iShares Blockchain Technology UCITS ETF	iShares MSCI World Small Cap UCITS ETF
iShares Broad \$ Corp Bond UCITS ETF	iShares S&P 500 Equal Weight UCITS ETF
iShares Broad \$ High Yield Corp Bond UCITS ETF	iShares S&P 500 Scored and Screened UCITS ETF
iShares Broad € High Yield Corp Bond UCITS ETF	iShares S&P SmallCap 600 UCITS ETF
iShares Broad Global Govt Bond UCITS ETF	iShares U.S. Equity High Income Active UCITS ETF
iShares Conservative Portfolio UCITS ETF	iShares UK Gilts 0-5yr UCITS ETF
iShares Core € Corp Bond UCITS ETF	iShares US Equity Enhanced Active UCITS ETF
iShares Core € Govt Bond UCITS ETF	iShares World Equity Enhanced Active UCITS ETF
iShares Core Global Aggregate Bond UCITS ETF	iShares World Equity High Income Active UCITS ETF
iShares Core MSCI Europe UCITS ETF EUR (Acc)	iShares World Equity Factor Rotation Active UCITS ETF
iShares Core MSCI Japan IMI UCITS ETF	iShares World Thematic Rotation Active UCITS ETF

* This Fund was closed to new investment on 24 October 2013 and is in the process of being terminated.

** This Fund was closed to new investment on 8 September 2014 and is in the process of being terminated.

*** This Fund was closed to new investment on 13 August 2025 and is in the process of being terminated.

The Company may, with the prior approval of the Central Bank, create additional Funds or Share Classes in which case the Company will issue either a revised prospectus or a Supplement describing such Funds or Share Classes. Details of any Share Classes available for subscription may from time to time be set out in separate Supplements. In addition, a list of all Funds and Launched Share Classes thereof and their fees will be set out in the annual and semi-annual reports of the Company.

ESG Integration

Environmental, social and governance (ESG) investing, is often conflated or used interchangeably with the term "sustainable investing." BlackRock has identified sustainable investing as being the overall framework and ESG as a data toolkit for identifying and informing our solutions. BlackRock has defined ESG integration as the practice of incorporating material ESG information and consideration of sustainability risks into investment decisions in order to enhance risk-adjusted returns. BlackRock recognises the relevance of material ESG information across all asset classes and styles of portfolio management. The Investment Manager incorporates sustainability considerations into its investment processes across all Funds. ESG information and sustainability risks are included as a consideration in investment research and portfolio construction (in respect of actively managed Funds), Benchmark Index selection (in respect of passively managed Funds), portfolio review and investment stewardship processes.

Each Fund is passively managed with the exception of the Active Funds, iShares € Cash UCITS ETF and the Multi-Asset Funds which are actively managed.

Actively managed Funds

The Investment Manager considers ESG insights and data, including sustainability risks, within the total set of information in its research process and makes a determination as to the materiality of such information in its investment process. ESG insights are not the sole consideration when making investment decisions and the extent to which ESG insights are considered during the investment decision making process will also be determined by the ESG characteristics or objectives of the Fund. The Investment Manager's evaluation of ESG data may be subjective and could change over time in light of emerging sustainability risks or changing market conditions. This approach is consistent with the Investment Manager's regulatory duty to manage the Funds in accordance with their investment objectives and policies and in the best interests of the Funds' investors. For each of the Funds, the firm's Risk and Quantitative Analysis group will review portfolios in partnership with the Investment Manager to ensure that sustainability risks are considered regularly alongside traditional financial risks, that investment decisions are taken in light of relevant sustainability risks and that decisions exposing portfolios to sustainability risks are deliberate, and the risks diversified and scaled according to the investment objectives of the Funds.

BlackRock's approach to ESG integration is to broaden the total amount of information that the Investment Manager considers with the aim of improving investment analysis and understanding the likely impact of sustainability risks on the Funds' investments. The Investment Manager assesses a variety of economic and financial indicators, which may include ESG data and insights, to make investment decisions appropriate for the Funds' objectives. This can include relevant third-party insights or data, internal research or engagement commentary and input from BlackRock Investment Stewardship.

Sustainability risks are identified at various steps of the investment process, where relevant, from research, allocation, selection, portfolio construction decisions, or management engagement, and are considered relative to the Funds' risk and return objectives. Assessment of these risks is done relative to their materiality (i.e. likelihood of impacting returns of the investment) and in tandem with other risk assessments (e.g. liquidity, valuation, etc.).

BlackRock discloses further information about ESG risk integration practices for investment strategies through a series of integration statements that are publicly available on product pages of the BlackRock website where permitted by law/regulation or otherwise made available to current and prospective investors and investment advisors.

Passively managed Funds

The objective of passively managed Funds is to provide investors with a return that reflects the return of the relevant Benchmark Index. A Benchmark Index have a sustainability objective or may be designed to avoid certain issuers based on ESG criteria or gain exposure to issuers with better ESG ratings, an ESG theme, or to generate positive environmental or social impact. BlackRock considers the suitability characteristics and risk assessments of the index provider and BlackRock may adapt its investment approach appropriately in line with the Fund's investment objective and policy. A Benchmark Index may also not have explicit sustainability objectives or sustainability requirements. Across all passively managed Funds, ESG integration includes:

- Engagement with index providers relating to the Benchmark Index; and
- Consultation across the industry on ESG considerations.
- Advocacy in relation to transparency and reporting, including methodology criteria and reporting on sustainability-related information.
- Investment stewardship activities that are undertaken across all equity funds to advocate for sound corporate governance and business practices in relation to the material ESG factors that are likely to impact long-term financial performance.

Where a Benchmark Index explicitly includes a sustainability objective, BlackRock conducts regular reviews with index providers to ensure the Benchmark Index retains consistency with its sustainability objectives.

BlackRock discloses portfolio-level ESG and sustainability related data that is publicly available on product pages of the BlackRock website where permitted by law/regulation so current and prospective investors and investment advisors can view sustainability-related information for a Fund.

All Funds

Unless otherwise stated in Fund documentation and included within a Fund's investment objective and investment policy, ESG integration does not change a Fund's investment objective or constrain the Investment Manager's investable universe, and there is no indication that an ESG or impact focused investment strategy or any exclusionary screens will be adopted by a Fund. Impact investments are investments made with the intention to generate positive, measurable social and /or environmental impact alongside a financial return. Similarly, ESG integration does not determine the extent to which a Fund may be impacted by sustainability risks. Please refer to "Sustainability Risk" in the "Risk Factors" section of this Prospectus.

Investment Stewardship

BlackRock seeks to advance the financial interests of investors through its investment stewardship efforts, consistent with the investment strategy in which they are invested. It does this by engaging with public companies, proxy voting on the Funds' behalf, contributing to industry dialogue on stewardship, and reporting on its stewardship activities.

BlackRock's stewardship approach is comprised of the following core elements (as further described below):

- Global principles
- Engagement
- Proxy voting

Global principles

A key focus of the stewardship program is the promotion of sound corporate governance practices and financial resilience. While accepted standards and norms of corporate governance can differ between markets, there are certain globally-applicable fundamental principles of corporate governance that, in BlackRock's experience, contribute to a company's ability to create long-term financial value for shareholders. Some of the focus areas in these global principles include boards and directors (including their effectiveness and composition), shareholder proposals (in particular, their implications for financial value) and material sustainability-related risks and opportunities.

Engagement

Engagement is core to BlackRock's stewardship efforts as it provides the opportunity to better understand a company's business model and material risks and opportunities. When assessing material risks and opportunities, BlackRock focuses on the factors that could impact a company's long-term financial performance, which are unique to its business model and/or operating environment.

Engagement may also inform BlackRock's voting decisions, particularly on issues where company disclosures are not sufficiently clear or complete, or management's approach seems misaligned with the financial interests of investors.

BlackRock's engagement priorities reflect the themes on which it most frequently engages companies, where they are relevant and a source of material business risk or opportunity. These themes focus on:

- Board quality and effectiveness: consideration of board performance, which is critical to the long-term financial success of a company and the protection of shareholders' economic interests.

- Strategy, purpose, and financial resilience: understanding how boards and management align their business decision-making with the company's purpose and adjust strategy as necessary.
- Incentives aligned with financial value creation: evaluation of companies' disclosures on the connection between compensation policies and outcomes and the financial interests of shareholders.
- Climate and natural capital: understanding companies' approach to, and oversight of, material climate-related risks and opportunities as well as how they manage material natural-related risks and opportunities, in the context of their business model and sector.
- Company impacts on people: understanding companies' approach to human capital management and their management of the human rights issues that are material to their businesses

Proxy voting

BlackRock uses proxy voting to communicate its support for, or concerns about, how companies are serving the long-term financial interests of investors. BlackRock's regional voting guidelines set out guidance on its position on common voting matters. These guidelines are not prescriptive as BlackRock takes into consideration the context in which companies are operating their businesses.

Climate and Decarbonisation Stewardship Guidelines

Certain Funds that apply, or which track indices that apply, decarbonisation or climate-related criteria have adopted additional climate and decarbonisation stewardship guidelines (Guidelines). Guidelines will apply to the following Funds: iShares MSCI Pacific ex-Japan ESG Enhanced UCITS ETF, iShares MSCI World Paris-Aligned Climate UCITS ETF and iShares MSCI World Small Cap ESG Enhanced UCITS ETF.

Guidelines are focused on matters related to climate risks and the transition to a low-carbon economy at companies that are held by the applicable Funds. In respect of these matters, BlackRock will apply Guidelines, and for all other matters, BlackRock's core stewardship approach (described above) will continue to apply. Guidelines differ from the core stewardship approach in that they consider, in addition to financial considerations and consistent with the investment objective of each applicable Fund, the alignment of companies' business models and strategies with the financial opportunities presented by the transition to a low carbon economy and the more ambitious goal of the Paris Agreement¹, namely, to limit average temperature rise to 1.5°C above pre-industrial levels.

Guidelines will apply to companies which produce goods and services that contribute to real world decarbonisation or have a carbon intensive business model and face outsized impacts from the low carbon transition, based on reported and estimated scopes 1, 2, and 3 greenhouse gas emissions. Where Guidelines apply, BlackRock looks for these companies to provide sufficient corporate disclosure to allow it to determine the extent to which decarbonisation and the low-carbon transition are strategic priorities.

In implementing Guidelines, BlackRock will generally support non-executive directors standing for election where, in BlackRock's assessment based on company disclosures and engagement, a company is executing on its commitment to align with the transition to a low-carbon economy, as defined above. Where BlackRock determines this is not the case, it may vote against the election of one or more non-executive directors who have responsibility for the issue.

Shareholder proposals on a company's approach to the low-carbon transition or climate risk will be considered on their merit. The BlackRock Group's assessment will take into consideration the implications for, and the relevance to, the company's stated low-carbon transition strategy and targets.

Implementation

BlackRock implements its stewardship programme either through the BlackRock Investment Stewardship (BIS) team or the BlackRock Active Investment Stewardship (BAIS) team. Stewardship in respect of the Funds is implemented as follows:

- (i) by BIS in respect of all Funds except for the Active Funds; and
- (ii) by BAIS in respect of the Active Funds.

More detailed information on the policies and guidelines of BIS and BAIS can be found here:

<https://www.blackrock.com/corporate/insights/investment-stewardship>

Reporting

BlackRock provides periodic reporting of its stewardship activities, which can be accessed here, as part of a comprehensive library of materials on its stewardship policies and activities: <https://www.blackrock.com/corporate/insights/investment-stewardship>

Profile of a Typical Investor

In relation to the Funds other than iShares AT1 Bond Active UCITS ETF:

The Funds are suitable for both retail and professional investors seeking to achieve investment objectives which align with those of the relevant Fund in the context of the investor's overall portfolio.

¹ The Paris Agreement to the United Nations Framework Convention on Climate Change, December 12, 2015.

In relation to iShares AT1 Bond Active UCITS ETF:

The Fund is suitable for: (a) professional investors, (b) "advanced investors" as prescribed in the EMT (including retail investors who qualify as such), and (c) "informed investors" as prescribed in the EMT (including retail investors who qualify as such) who, in each case, can (i) bear loss of capital; (ii) have specific knowledge or experience of investing in the underlying assets of the Fund; (iii) have experience of investing in similar products; and (iv) seek a fund offering with a similar risk and return profile to that of the Fund, in each case seeking to achieve investment objectives which align with those of the Fund in the context of the investor's overall portfolio. For the avoidance of doubt, the Fund is not suitable for "basic investors" as prescribed in the EMT, being investors who have a basic knowledge of the relevant financial instruments and no financial industry experience.

Investors are expected to be able to make an investment decision based on the information set out in this Prospectus and the relevant Fund's KIID or KID. In addition, investors should consider obtaining professional advice. Investors should also be able to bear capital and income risk and view an investment in a Fund as a medium to long term investment, although a passively managed Fund may also be suitable for providing shorter term exposure to its Benchmark Index where such exposure is sought by the investor.

Supplements

Each Supplement should be read in the context of and together with this Prospectus.

Classes of Share

Each Fund of the Company comprises a distinct portfolio of Investments. The Shares of each Fund may be issued with different rights, features and on different terms and conditions to those of the other Funds. Shares of a Fund may be divided into different Share Classes with different dividend policies, currency hedging and Valuation Currencies and may therefore have different fees and expenses.

The types of Share Classes that may be made available by the Company in its Funds, are set out below, although not all types of Share Classes are available in every Current Fund.

Funds with multiple Share Classes, except for iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and the Multi-Asset Funds

Currency(ies) of the constituents of the Benchmark Index (Fund portfolio in the case of Active Funds)	Income Treatment	Share Class Valuation Currency	Hedged / Unhedged	Currency into which the Share Class is Hedged
All in Base Currency	Accumulating	Base Currency	Unhedged	N/A
All in Base Currency	Accumulating	Differs from the Base Currency	Unhedged	N/A
All in Base Currency	Accumulating	Differs from the Base Currency	Hedged	The same as the Valuation Currency
All in Base Currency	Distributing	Base Currency	Unhedged	N/A
All in Base Currency	Distributing	Differs from the Base Currency	Unhedged	N/A
All in Base Currency	Distributing	Differs from the Base Currency	Hedged	The same as the Valuation Currency
A single currency, different from the Base Currency	Accumulating	Base Currency	Unhedged	N/A
A single currency, different from the Base Currency	Accumulating	Base Currency	Hedged	The same as the Valuation Currency
A single currency, different from the Base Currency	Accumulating	Differs from the Base Currency	Unhedged	N/A

Currency(ies) of the constituents of the Benchmark Index (Fund portfolio in the case of Active Funds)	Income Treatment	Share Class Valuation Currency	Hedged / Unhedged	Currency into which the Share Class is Hedged
A single currency, different from the Base Currency	Accumulating	Differs from the Base Currency and from the currency of the constituents of the Benchmark Index	Hedged	The same as the Valuation Currency
A single currency, different from the Base Currency	Distributing	Base Currency	Unhedged	N/A
A single currency, different from the Base Currency	Distributing	Base Currency	Hedged	The same as the Valuation Currency
A single currency, different from the Base Currency	Distributing	Differs from the Base Currency	Unhedged	N/A
A single currency, different from the Base Currency	Distributing	Differs from the Base Currency and from the currency of the constituents of the Benchmark Index	Hedged	The same as the Valuation Currency
Multiple currencies	Accumulating	Base Currency	Unhedged	N/A
Multiple currencies	Accumulating	Base Currency	Hedged	The same as the Valuation Currency
Multiple currencies	Accumulating	Differs from the Base Currency	Unhedged	N/A
Multiple currencies	Accumulating	Differs from the Base Currency	Hedged	The same as the Valuation Currency
Multiple currencies	Distributing	Base Currency	Unhedged	N/A
Multiple currencies	Distributing	Base Currency	Hedged	The same as the Valuation Currency
Multiple currencies	Distributing	Differs from the Base Currency	Unhedged	N/A
Multiple currencies	Distributing	Differs from the Base Currency	Hedged	The same as the Valuation Currency

iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and the Multi-Asset Funds

Income Treatment	Share Class Valuation Currency	Hedged / Unhedged	Currency into which the Share Class is Hedged
Accumulating	Base Currency	Unhedged	N/A
Accumulating	Differs from the Base Currency	Unhedged	N/A
Accumulating	Differs from the Base Currency	Hedged	The same as the Valuation Currency
Distributing	Base Currency	Unhedged	N/A
Distributing	Differs from the Base Currency	Unhedged	N/A

Income Treatment	Share Class Valuation Currency	Hedged / Unhedged	Currency into which the Share Class is Hedged
Distributing	Differs from the Base Currency	Hedged	The same as the Valuation Currency

iShares AT1 Bond Active UCITS ETF, iShares India Equity Enhanced Active UCITS ETF and iShares World Thematic Rotation Active UCITS ETF

Income Treatment	Share Class Valuation Currency	Hedged / Unhedged	Currency into which the Share Class is Hedged
Accumulating	Base Currency	Unhedged	N/A
Accumulating	Base Currency	Hedged	The same as the Valuation Currency
Accumulating	Differs from the Base Currency	Unhedged	N/A
Accumulating	Differs from the Base Currency	Hedged	The same as the Valuation Currency
Distributing	Base Currency	Unhedged	N/A
Distributing	Base Currency	Hedged	The same as the Valuation Currency
Distributing	Differs from the Base Currency	Unhedged	N/A
Distributing	Differs from the Base Currency	Hedged	The same as the Valuation Currency

For details of the Share Classes available in each of the Current Funds as at the date of this Prospectus please refer to the tables below under the heading "Current and Launched Share Classes". Additional classes of Shares, including Share Classes of the type not currently listed above, may be added by the Company to any Fund in the future, at its discretion, in accordance with the requirements of the Central Bank. The creation of additional Share Classes will not result in any material prejudice to the rights attaching to existing Share Classes. Details of the Share Classes available for subscription, and to which different fee structures may apply, may be set out in separate Supplements. In addition a list of all Funds and issued Share Classes thereof will be set out in the annual and semi-annual reports of the Company.

Please note that if you hold a Share Class and you wish to change your holding to a different Share Class of the same Fund, any such change may be treated by tax authorities as a redemption and sale and may be a realisation for the purposes of capital gains taxation.

Please refer to the "Risk Factors" section of this Prospectus for the specific risks associated with investment in a Fund's Share Class.

Currency Hedged Share Classes

The Company may issue Currency Hedged Share Classes which allow the use of hedging transactions to reduce the effect of currency exchange rate fluctuations. For details regarding the hedging methodology please refer to the section below entitled "Currency Hedged Share Classes".

The Investment Manager may use derivatives (for example, currency forwards, futures, options and swaps, or such other instruments as are permitted under Schedule II of this Prospectus) to hedge the rate of exchange between the currency of all or some of the currencies in which the assets of a Fund (including cash and income) are denominated and the Share Class Valuation Currency.

For further information on the hedging methodology for Currency Hedged Share Classes, please refer to the section titled "Methodologies for Currency Hedging". The transactions, costs and related liabilities and benefits arising from instruments entered into for the purposes of hedging the currency exposure for the benefit of any particular Currency Hedged Share Classes shall be attributed only to the relevant Currency Hedged Share Classes. Currency exposures of different Share Classes may not be combined or offset and currency exposures of the assets of a Fund may not be allocated to separate Share Classes.

CURRENT AND LAUNCHED SHARE CLASSES

The Current Share Classes are indicated with a 'Y' and are available to launch at the discretion of the Manager. The Launched Share Classes as at the date of this Prospectus are indicated with an 'L'.

The table below does not contain information in respect of iShares Core MSCI Europe UCITS ETF EUR (Acc) and iShares MSCI EM UCITS ETF USD (Acc) as these Funds have only one Share Class. Please refer to the "Fund Descriptions" section for the Base Currency and the "Dividend Policy" section for the dividend policy of the Funds.

Current and Launched Unhedged Share Classes (Current Funds other than the Funds listed above that have only one Share Class)

Fund Name	Fund Base Ccy	Valuation Currency											
		DKK		EUR		GBP		JPY		SEK		USD	
		Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist
iShares \$ Asia Investment Grade Corp Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares \$ Corp Bond Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y*	Y*
iShares \$ Development Bank Bonds UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares \$ EM Bond Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares \$ Intermediate Credit Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares € Aggregate Bond ESG SRI UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Cash UCITS ETF	EUR	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Corp Bond 1-5yr UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Corp Bond BBB-BB UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Corp Bond Enhanced Active UCITS ETF	EUR	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	EUR	Y	Y	L	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Corp Bond ex-Financials UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Covered Bond UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Flexible Income Bond Active UCITS ETF	EUR	Y	Y	L	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Govt Bond 0-1yr UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Govt Bond 10-15yr UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Govt Bond 5-7yr UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € Govt Bond Climate UCITS ETF	EUR	Y	Y	L	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares € High Yield Corp Bond Enhanced Active UCITS ETF	EUR	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y

Fund Name	Fund Base Ccy	Valuation Currency											
		DKK		EUR		GBP		JPY		SEK		USD	
		Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares £ Corp Bond ex-Financials UCITS ETF	GBP	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y
iShares AI Adopters & Applications UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares AI Infrastructure UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares AI Innovation Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares Asia ex Japan Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares AT1 Bond Active UCITS ETF	EUR	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Blockchain Technology UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares Broad \$ Corp Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares Broad \$ High Yield Corp Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares Broad € High Yield Corp Bond UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares Broad Global Govt Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares Conservative Portfolio UCITS ETF	EUR	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Core € Corp Bond UCITS ETF	EUR	Y	Y	L	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares Core € Govt Bond UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares Core Global Aggregate Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares Core MSCI Japan IMI UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares Core MSCI World UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares EM Local Govt Bond Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y*	Y
iShares Emerging Asia Local Govt Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	L
iShares Emerging Markets Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares Europe Equity Enhanced Active UCITS ETF	EUR	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Global Aggregate Bond ESG SRI UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares Global Govt Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	L
iShares Global Inflation Linked Govt Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares Global Real Estate Environmental Tilt UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares Growth Portfolio UCITS ETF	EUR	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares India Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y*	Y
iShares Japan Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y

Fund Name	Fund Base Ccy	Valuation Currency											
		DKK		EUR		GBP		JPY		SEK		USD	
		Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist
iShares J.P. Morgan € EM Bond UCITS ETF	EUR	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y
iShares J.P. Morgan EM Local Govt Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y*	Y
iShares Moderate Portfolio UCITS ETF	EUR	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI Australia UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares MSCI EM Small Cap UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares MSCI Europe Small Cap UCITS ETF	EUR	Y	Y	Y*	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI Japan Small Cap UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares MSCI Pacific ex-Japan UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares MSCI Saudi Arabia Capped UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	L
iShares MSCI South Africa UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares MSCI Target UK Real Estate UCITS ETF	GBP	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y
iShares MSCI World ex-USA UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares MSCI World Paris-Aligned Climate UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares MSCI World Small Cap UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares S&P 500 Equal Weight UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares S&P 500 Scored and Screened UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares S&P SmallCap 600 UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L
iShares U.S. Equity High Income Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	L
iShares UK Gilts 0-5yr UCITS ETF	GBP	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y
iShares US Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares World Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares World Equity Factor Rotation Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares World Equity High Income Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	L
iShares World Thematic Rotation Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y*	Y

*It is intended that this Share Class will be the first Share Class of the Fund to become a Launched Share Class.

Current and Launched Currency Hedged Share Classes (Current Funds other than the Funds listed above that have only one Share Class)

Fund Name	Fund Base Ccy	Currency into which the exposure is hedged and Valuation Currency																											
		AUD		CAD		CHF		DKK		EUR		GBP		HKD		JPY		MXP		NZD		SEK		SGD		USD			
		Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist		
iShares \$ Asia Investment Grade Corp Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-		
iShares \$ Corp Bond Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-		
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-		
iShares \$ Development Bank Bonds UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-		
iShares \$ EM Bond Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-		
iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-		
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-		
iShares \$ Intermediate Credit Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-		
iShares € Aggregate Bond ESG SRI UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Cash UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Corp Bond 1-5yr UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Corp Bond BBB-BB UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Corp Bond Enhanced Active UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Corp Bond ex-Financials UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Covered Bond UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Flexible Income Bond Active UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Govt Bond 0-1yr UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Govt Bond 10-15yr UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Govt Bond 5-7yr UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € Govt Bond Climate UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € High Yield Corp Bond Enhanced Active UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares AI Adopters & Applications UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares AI Infrastructure UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares AI Innovation Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares Asia ex Japan Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	

Fund Name	Fund Base Ccy	Currency into which the exposure is hedged and Valuation Currency																										
		AUD		CAD		CHF		DKK		EUR		GBP		HKD		JPY		MXP		NZD		SEK		SGD		USD		
		Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	
iShares AT1 Bond Active UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares Blockchain Technology UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	
iShares Broad \$ Corp Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y*	Y	Y	Y	Y	Y	Y	Y	Y	-	-
iShares Broad \$ High Yield Corp Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-
iShares Broad € High Yield Corp Bond UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Broad Global Govt Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y
iShares Conservative Portfolio UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Core € Corp Bond UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Core € Govt Bond UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares £ Corp Bond ex-Financials UCITS ETF	GBP	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Core Global Aggregate Bond UCITS ETF	USD	Y	Y	Y	Y	L	Y	Y	Y	L	Y	Y	L	Y	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	L	Y
iShares Core MSCI Japan IMI UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Core MSCI World UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares EM Local Govt Bond Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-
iShares Emerging Asia Local Govt Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Emerging Markets Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Europe Equity Enhanced Active UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Global Aggregate Bond ESG SRI UCITS ETF	USD	Y	L	Y	Y	Y	Y	Y	Y	L	Y	L	Y	Y	Y	Y	Y	Y	Y	L	Y	L	Y	Y	Y	Y	L	Y
iShares Global Govt Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Global Inflation Linked Govt Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Global Real Estate Environmental Tilt UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Growth Portfolio UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares India Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Japan Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares J.P. Morgan € EM Bond UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares J.P. Morgan EM Local Govt Bond UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares Moderate Portfolio UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI Australia UCITS ETF	USD	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI EM Small Cap UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y

Fund Name	Fund Base Ccy	Currency into which the exposure is hedged and Valuation Currency																									
		AUD		CAD		CHF		DKK		EUR		GBP		HKD		JPY		MXP		NZD		SEK		SGD		USD	
		Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist	Acc	Dist
iShares MSCI Europe Small Cap UCITS ETF	EUR	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI Japan Small Cap UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI Pacific ex-Japan UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI Saudi Arabia Capped UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI South Africa UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI Target UK Real Estate UCITS ETF	GBP	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI World ex-USA UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI World Paris-Aligned Climate UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares MSCI World Small Cap UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares S&P 500 Equal Weight UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-
iShares S&P 500 Scored and Screened UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	L	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-
iShares S&P SmallCap 600 UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-
iShares U.S. Equity High Income Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares UK Gilts 0-5yr UCITS ETF	GBP	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares US Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	-	-
iShares World Equity Enhanced Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares World Equity Factor Rotation Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares World Equity High Income Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y
iShares World Thematic Rotation Active UCITS ETF	USD	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y

*It is intended that this Share Class will be the first Share Class of the Fund to become a Launched Share Class.

INVESTMENT OBJECTIVES AND POLICIES

The specific investment objectives and policies of each Fund will be formulated by the Directors at the time of the creation of the Fund. Each Fund is passively managed, with the exception of the Active Funds, iShares € Cash UCITS ETF and the Multi-Asset Funds which are actively managed. Please refer to the investment policy of each Fund for more detailed information. Each Fund's Investments will be limited to investments permitted by the Regulations (and in the case of iShares € Cash UCITS ETF, the MMF Regulation) which are described in more detail in Schedule III and will, save in respect of its Investments in unlisted open-ended collective investment schemes, normally be listed or traded on the Regulated Markets set out in Schedule I. Each Fund, except for iShares € Cash UCITS ETF, may use the techniques and instruments outlined in the section entitled "Investment Techniques" and so may invest in collective investment schemes and FDI as described in that section.

The Company has been authorised by the Central Bank with the flexibility to invest up to 100% of each Fund's assets in transferable securities and money market instruments issued by a Member State, its local authorities, a non-Member State, or public international bodies of which one or more Member States are members.

Each Fund's aggregate investment in other collective investment schemes, with the exception of the Multi-Asset Funds, is not permitted to exceed 10% of the relevant Fund's assets in accordance with the Regulations and Schedule III. The investment policies of the Current Funds, with the exception of the Multi-Asset Funds, do not permit the Funds to invest more than 10% of their assets in other collective investment schemes. The Multi-Asset Funds may be fully invested in collective investment schemes, subject to the conditions set out in Schedule III, and they may invest up to 20% of their assets in each collective investment scheme.

Each Fund's extent of securities lending may vary in accordance with demand and applicable tax regulations. Please see the section "Efficient Portfolio Management" for further details.

Any change to a Fund's investment objective and/or material change to the investment policy of a Fund will be subject to prior Shareholder approval. Please see the section entitled "General Information on Dealings in the Company" for information on exercising voting rights by investors in the Funds. In the event of a change in the investment objective and/or investment policy of a Fund a reasonable notification period will be provided by the Company to enable Shares to be redeemed or sold prior to the implementation of the change.

The investment objective, investment policy and, where applicable, Benchmark Index description listed for a particular Fund applies to all Share Classes (as applicable) offered in that Fund.

BENCHMARK INDICES

General

The capitalisation of the companies (for Equity Funds) or minimum amount of qualifying bonds (for Fixed Income Funds) to which a Fund is exposed or invested is defined by the provider of the Fund's Benchmark Index. The constituents of a Fund's Benchmark Index and, where applicable, ESG criteria and selection methodology may change over time. Potential investors in a Fund may obtain a breakdown of the constituents held by the Fund from the official iShares website (www.ishares.com) or from the Investment Manager, subject to any applicable restrictions under the licence which the Investment Manager has in place with the relevant Benchmark Index providers.

There is no assurance that a Fund's Benchmark Index will continue to be calculated and published on the basis described in this Prospectus or that it will not be amended significantly. The past performance of each Benchmark Index is not a guide to future performance.

In respect of those Funds that track a Benchmark Index, or are managed by reference to a Benchmark Index, or use a Benchmark Index to compute a performance fee, the Company works with the applicable benchmark administrators for the in-scope Benchmark Indices of the Funds to confirm that the benchmark indices are, or intend to be, included in the register maintained by ESMA under the Benchmarks Regulation.

The list of benchmark administrators that are included in the Benchmarks Regulation Register is available on ESMA's website at www.esma.europa.eu.

As at the date of this Prospectus, in-scope Benchmark Indices include non-significant benchmarks (as defined in the Benchmarks Regulation) and the following benchmark administrators of in-scope Benchmark Indices are included in the Benchmarks Regulation Register:

- Markit N.V. (in respect of the in-scope iBoxx indices, except for iBoxx USD Asia ex-Japan Corporates Investment Grade ESG Screened Index, the Benchmark Index of iShares \$ Asia Investment Grade Corp Bond UCITS ETF);
- MSCI Limited (in respect of the in-scope MSCI indices);
- S&P Dow Jones Indices LLC (in respect of the in-scope S&P and Dow Jones indices); and
- STOXX Limited (in respect of the in-scope iSTOXX® and STOXX indices).

As at the date of this Prospectus, the following benchmark administrators of in-scope Benchmark Indices are not included in the Benchmarks Regulation Register:

- Bloomberg Index Services Limited (in respect of the in-scope Bloomberg indices);
- FTSE International Limited (in respect of the in-scope FTSE indices);
- ICE Data Indices LLC (in respect of the in-scope ICE indices);
- IHS Markit Benchmark Administration Limited (in respect of the iBoxx USD Asia ex-Japan Corporates Investment Grade ESG Screened Index, the Benchmark Index of iShares \$ Asia Investment Grade Corp Bond UCITS ETF); and
- J.P. Morgan Securities LLC (in respect of the in-scope J.P. Morgan indices).

The benchmark administrators of in-scope Benchmark Indices that are not included in the Benchmarks Regulation Register continue to provide in-scope Benchmark Indices on the basis of their current application with ESMA to be included in the Benchmarks Regulation Register, their application for which was made prior to the end of the transitional period provided under the Benchmarks Regulation which is due to end on 31 December 2025.

From 1 January 2026, only the following categories of benchmark indices will be subject to the Benchmarks Regulation (each as defined / outlined in the Benchmarks Regulation):

- Critical Benchmarks
- Significant Benchmarks
- EU Climate Transition Benchmarks
- EU Paris-Aligned Benchmarks
- certain commodity benchmarks

The Company will monitor the Benchmarks Regulation Register and, if there are any changes, this information as well as the removal of references to the benchmark administrators of non-significant benchmarks will be updated in the Prospectus at the next opportunity. The Company has in place and maintains robust written plans setting out the actions that it would take in the event that a benchmark is materially changed or ceases to be provided.

The Directors may, if they consider it in the interests of the Company or any Fund to do so and with the consent of the Depositary, substitute another index for the Benchmark Index if:

- the composition or the weightings of constituent securities of the Benchmark Index would cause the Fund (if it were to follow the Benchmark Index closely) to be in breach of the Regulations, Central Bank UCITS Regulations, other requirements of the Central Bank, local regulations or requirements of other jurisdictions and/or any tax law or tax regulations that the Directors may consider to have a material impact on the Company and / or any Fund;
- the particular Benchmark Index or index series ceases to exist;
- a new index becomes available which supersedes the existing Benchmark Index;
- a new index becomes available which is regarded as the market standard for investors in the particular market and/or would be regarded as of greater benefit to investors than the existing Benchmark Index;
- it becomes difficult to invest in securities comprised within the particular Benchmark Index;
- the Benchmark Index provider increases its charges to a level which the Directors consider too high;
- the quality (including accuracy and availability of data) of a particular Benchmark Index has, in the opinion of the Directors, deteriorated;
- a liquid futures market in which a particular Fund is investing ceases to be available; or
- where an index becomes available which more accurately represents the likely tax treatment of the investing Fund in relation to the component securities in that index.

Where such a change would result in a material difference between the constituent securities of the Benchmark Index and the proposed Benchmark Index, Shareholder approval will be sought in advance. In circumstances where immediate action is required and it is not possible to obtain Shareholder approval in advance of a change in a Fund's Benchmark Index, Shareholder approval will be sought for either the change in the Benchmark Index or, if not so approved, the winding up of the Fund, as soon as practicable and reasonable.

Any change of a Benchmark Index will be cleared in advance with the Central Bank, reflected in revised Prospectus documentation and will be noted in the annual and semi-annual reports of the relevant Fund issued after any such change takes place. In addition, any material change in the description of a Benchmark Index will be noted in the annual and semi-annual reports of the relevant Fund.

The Directors may change the name of a Fund, particularly if its Benchmark Index, or the name of its Benchmark Index, is changed. Any change to the name of a Fund will be approved in advance by the Central Bank and the relevant documentation pertaining to the relevant Fund will be updated to reflect the new name.

Any of the above changes may have an impact on the tax status of the Company and/or a Fund in a jurisdiction. Therefore, it is recommended that investors should consult their professional tax adviser to understand any tax implications of the change in their holdings in the jurisdiction in which they are resident.

FUND DESCRIPTIONS

Each Fund may invest in FDI for direct investment purposes, with the exception of iShares € Cash UCITS ETF which may invest in FDI in accordance with its investment policy and with the exception of the Multi-Asset Funds which may invest in FDI for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management". For FDI, any ESG, SRI or other type of rating or analyses will apply only to the underlying securities. For details regarding investment in FDI please refer to the section headed "Investment Techniques".

Each Fund's Investments, other than its Investments in OTC FDI and unlisted open-ended collective investment schemes, will normally be listed or traded on the Regulated Markets set out in Schedule I.

The following are the investment objectives and policies for each of the Current Funds. Investors should note that the description of the Benchmark Index provided in relation to a Fund is subject to change.

The investment objective, investment policy and, where applicable, Benchmark Index description listed for a particular Fund applies to all Share Classes (as applicable) offered in that Fund.

Currency Hedged Share Classes, where offered in a Fund, aim to reduce the impact of exchange rate fluctuations between the underlying portfolio currency exposures of the Fund (or, in the case of iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and the Multi-Asset Funds, between the Base Currency of the Fund) and the Valuation Currency of the Currency Hedged Share Class on returns of the relevant Benchmark Index (or, in the case of the Active Funds, iShares € Cash UCITS ETF and the Multi-Asset Funds, on the returns of the Fund) to investors in that Share Class, through entering into foreign exchange contracts for currency hedging. Only Funds which track a Benchmark Index which does not incorporate a currency hedging methodology may launch Currency Hedged Share Classes.

Share Classes, including Currency Hedged Share Classes may have different valuation currencies from the Base Currency of their Funds.

SFDR

The following Funds have been categorised as Article 8 funds under the SFDR, i.e. funds that promote environmental and/or social characteristics provided that companies in which the investments are made follow good governance practices ("**Article 8 Funds**"): the Active Funds (namely, iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares Asia ex Japan Equity Enhanced Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF, iShares Emerging Markets Equity Enhanced Active UCITS ETF, iShares Europe Equity Enhanced Active UCITS ETF, iShares India Equity Enhanced Active UCITS ETF, iShares Japan Equity Enhanced Active UCITS ETF, iShares U.S. Equity High Income Active UCITS ETF, iShares US Equity Enhanced Active UCITS ETF, iShares World Equity Enhanced Active UCITS ETF, iShares World Equity Factor Rotation Active UCITS ETF, iShares World Equity High Income Active UCITS ETF and iShares World Thematic Rotation Active UCITS ETF), the Multi-Asset Funds (namely, iShares Conservative Portfolio UCITS ETF, iShares Growth Portfolio UCITS ETF and iShares Moderate Portfolio UCITS ETF), iShares \$ Asia Investment Grade Corp Bond UCITS ETF, iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Aggregate Bond ESG SRI UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF, iShares € Govt Bond Climate UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares AI Adopters & Applications UCITS ETF, iShares AI Infrastructure UCITS ETF, iShares Global Aggregate Bond ESG SRI UCITS ETF, iShares Global Real Estate Environmental Tilt UCITS ETF, iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF, iShares MSCI World Paris-Aligned Climate UCITS ETF, iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF and iShares S&P 500 Scored and Screened UCITS ETF.

The following Fund has been categorised as an Article 9 fund under the SFDR, i.e. a fund that has sustainable investment as its objective ("**Article 9 Fund**"): iShares \$ Development Bank Bonds UCITS ETF.

Schedule VIII sets out the pre-contractual disclosures required under the SFDR and the Taxonomy Regulation for the Article 8 Funds and the Article 9 Fund. The pre-contractual disclosures have been prepared based on information available from the index providers and other third-party data providers shortly prior to the date of this Prospectus.

A Fund other than the Article 8 Funds and the Article 9 Fund does not promote environmental and/or social characteristics and does not have sustainable investment as its objective, and therefore it has not been categorised as an Article 8 fund or an Article 9 fund under the SFDR.

In relation to the Funds other than the Active Funds and iShares € Cash UCITS ETF:

While index providers of the Benchmark Indices of the Article 8 Funds and the Article 9 Fund (or, in respect of the Multi-Asset Funds, the index providers of the BlackRock-managed underlying index funds of the Multi-Asset Funds)

provide descriptions of what each index is designed to achieve, index providers do not generally provide any warranty or accept any liability in relation to the quality, accuracy or completeness of data in respect of their benchmark indices or in their index methodology documents, nor any guarantee that the published indices will be in line with their described benchmark index methodologies. Errors in respect of the quality, accuracy and completeness of the data may occur from time to time and may not be identified and corrected for a period of time, in particular where the indices are less commonly used.

In relation to the Funds that track an EU Climate Transition benchmark or an EU Paris-aligned benchmark:

The following Funds seek to track the performance of a Benchmark Index which is labelled by the index provider as either an EU Climate Transition benchmark or an EU Paris-aligned benchmark (within the meaning of the Benchmarks Regulation): iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF, iShares MSCI World Paris-Aligned Climate UCITS ETF and iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF. Where an index provider has labelled the Benchmark Index as either an EU Climate Transition benchmark or an EU Paris-aligned benchmark, the methodology of the Benchmark Index has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation in respect of the criteria for the selection, weighting and, where applicable, exclusion of the underlying assets, based on the climate commitments laid down in the Paris Agreement.

EU Paris-aligned benchmark exclusions

For funds using environmental-, impact- or sustainability-related terms in their name (including “ESG”), other than as described in ‘EU Climate Transition Benchmark Exclusions’ below, the Benchmark Index will also apply exclusions consistent with the outcomes of EU Paris-aligned Benchmark Exclusions.

The EU Paris-aligned Benchmark Exclusions prohibit investments in companies that are involved in any activities related to controversial weapons; are involved in the cultivation and production of tobacco; have violated the United Nations Global Compact (UNGC) principles or the Organisation for Economic Cooperation and Development’s (OECD) Guidelines for Multinational Enterprises; or derive more than a set percentage of revenues from electricity generation (that produces GHG emissions above a set GHG intensity threshold), coal, oil or gas.

For funds using environmental-, impact- or sustainability-related terms in their name, the Benchmark Index may hold Green, Social and Sustainability (GSS) bonds issued by a company, which are intended to raise proceeds specifically for projects that promote positive environmental and/or social contributions and aimed at mitigating adverse sustainability impacts, such as investment in renewable energy or energy efficiency, based on information available in the bond’s issuance documentation. will, instead of being subject to all the EU Paris-aligned Benchmark Exclusions at issuer level, be subject to:

- the EU Paris-aligned Benchmark Exclusions relating to UNGC and OECD violations at the issuer level; and
- the other EU Paris-aligned Benchmark Exclusions described above at the level of the economic activities financed by the GSS bond.

EU Climate Transition benchmark exclusions

For funds using only transition-, social- or governance-related terms in their name, or where the name combines transition-related and environmental- or impact-related terms, the Benchmark Index will also apply exclusions consistent with the outcomes of the EU Climate Transition Benchmark Exclusions.

The EU Climate Transition Benchmark Exclusions prohibit investments in companies that are involved in any activities related to controversial weapons; are involved in the cultivation and production of tobacco; or have violated the UNGC principles or the OECD Guidelines for Multinational Enterprises.

In respect of iShares € High Yield Corp Bond Enhanced Active UCITS ETF:

Through the application of the Fund’s ESG Policy (as described below), the Fund promotes environmental characteristics related to the reduction of environmental pollution. The Fund promotes social characteristics related to: (i) the reduction of the availability of weapons; (ii) better health and wellbeing; and (iii) support for human rights, labour standards, the environment and anti-corruption. Details of the environmental and social characteristics promoted by the Fund are set out in Schedule VIII.

In respect of iShares AT1 Bond Active UCITS ETF:

Through the application of the Fund’s ESG Policy (as described below), the Fund promotes environmental and social characteristics related to: (i) the support for the transition to a lower carbon economy, and (ii) climate change mitigation, by seeking to enhance, by at least 5% as compared to the Index, exposure to investments that are deemed to have associated positive externalities, and seeking to exclude exposure to investments that are deemed to have associated negative externalities (as further described in the Fund’s ESG Policy); and (iii) the support for human rights, labour standards, the environment and anti-corruption through the application of the BlackRock EMEA Baseline Screens (as described in Schedule VII). Details of the environmental and social characteristics promoted by the Fund are set out in Schedule VIII.

Consideration of principal adverse impacts on sustainability factors ("PAIs")

All Funds except for the Article 8 Funds and the Article 9 Fund:

The Investment Manager has access to a range of data sources, including PAI data, when managing fund portfolios. However, whilst the Manager is responsible for considering the aggregate PAI data relating to the portfolios of all funds under its management, the Funds do not commit to considering PAIs in the selection of their investments.

Article 8 Funds and the Article 9 Fund:

The pre-contractual disclosures in Schedule VIII set out the PAIs considered for each Fund.

Sustainability Risk

All Funds (except for the Active Funds, the Article 8 Funds, the Article 9 Fund, the Multi-Asset Funds and iShares € Cash UCITS ETF):

Each Fund tracks a Benchmark Index and is managed with a focus on minimising its performance tracking error versus the Benchmark Index. The Investment Manager has considered the sustainability risk of the Funds when carrying out due diligence on the Benchmark Index as part of the index selection for the Funds. As each Fund is managed to track its Benchmark Index, the sustainability risk of the Funds will not influence individual security selection unless specifically incorporated into the methodology of the Benchmark Index by the index provider. As each Fund is passively managed, management of the portfolio does not include any separate integration of sustainability risks into the investment process. However, given the investment strategy of the Funds and the Funds' risk profile, the impact of sustainability risk on the Funds' returns is considered to be not material.

For further information on how ESG integration is incorporated into the investment process, please see the "ESG Integration" section of the Prospectus.

The Article 8 Funds (except for the Active Funds, the Multi-Asset Funds and iShares € Cash UCITS ETF) and the Article 9 Fund:

Each Fund tracks a Benchmark Index and is managed with a focus on minimising its performance tracking error versus the Benchmark Index (which includes the consideration of ESG criteria as part of the index methodology). The Investment Manager has considered the sustainability risk of the Funds when carrying out due diligence on the Benchmark Index as part of the index selection for the Funds. As each Fund is managed to track its Benchmark Index, the sustainability risk of the Funds will only influence individual security selection where ESG criteria are incorporated into the methodology of the Benchmark Index by the index provider. As each Fund is passively managed, management of the portfolio does not include any separate integration of sustainability risks into the investment process. However, given the investment strategy of the Funds and the Funds' risk profile, the impact of sustainability risk on the Funds' returns is considered to be not material.

For further information on how ESG integration is incorporated into the investment process, please see the "ESG Integration" section of the Prospectus.

The Active Funds (except for iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF), the Multi-Asset Funds and iShares € Cash UCITS ETF:

The Investment Manager will apply each Fund's ESG policy and will consider such criteria as part of its investment process such that assets align with each Fund's investment objectives and policy (including its binding sustainability commitments). Additionally, the Investment Manager, as the delegate of the Management Company, will consider sustainability risk alongside other investment risks in its processes. In order to seek the best risk-adjusted returns for the Funds, the Investment Manager will manage material risks and opportunities that could impact each Fund's portfolio, including financially material Environmental, Social and/or Governance (ESG) risks where relevant data or information is available. ESG integration links sustainability risks to investment decisions by using ESG data in financial analysis and risk management to identify, assess, and mitigate risks that could impact an investment's long-term value and performance. The Investment Manager considers this data and information, within the total set of information in its research process and will make a determination as to its materiality in its investment process, alongside the application of each Fund's ESG policy (as described above). For further information on how ESG integration is incorporated into the investment process, please see the "ESG Integration" section of this Prospectus.

The potential exposure to, and impact of, sustainability risk on each Fund's returns is determined by each Fund's investment strategy (including its ESG Policy, geographical focus, portfolio management style, liquidity, sector allocation and product design). Given the investment strategy of each Fund and each Fund's risk profile, the impact of sustainability risk on each Fund is considered to be not material.

iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF:

The Investment Manager, as the delegate of the Management Company, considers sustainability risk alongside other investment risks in its processes. In order to seek the best risk-adjusted returns for the Fund, the Investment Manager will manage material risks and opportunities that could impact the Fund's portfolio, including financially material environmental, social and/or governance (ESG) risks where relevant data or information is available. ESG integration links sustainability risks to investment decisions by using ESG data in financial analysis and risk

management to identify, assess, and mitigate risks that could impact an investment's long-term value and performance. The Investment Manager will consider such ESG data or information within the total set of information in its research process and make a determination as to its materiality in its investment process. This information is not the sole consideration when making investment decisions and the extent to which sustainability risk is considered during investment decision making will also be determined by the materiality of such risks. For further information on how ESG integration is incorporated into the investment process, please see the section "Environmental Social and Governance Integration".

The potential exposure to, and impact of, sustainability risk on the Fund's returns is determined by the Fund's investment strategy (including the geographical focus, portfolio management style, liquidity, sector allocation and product design). Given the investment strategy of the Fund and the Fund's risk profile, the impact of sustainability risk on the Fund is considered to be not material.

For further explanation of sustainability risk, please see the Risk Factors.

Taxonomy Regulation

All Funds except for Article 8 Funds and the Article 9 Fund:

The investments underlying these Funds do not take into account the EU criteria for environmentally sustainable economic activities.

iShares \$ Asia Investment Grade Corp Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the iBoxx USD Asia ex-Japan Corporates Investment Grade ESG Screened Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that, as far as possible and practicable, consists of the component securities of the iBoxx USD Asia ex-Japan Corporates Investment Grade ESG Screened Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index. It is intended that the Fund's direct investments will only be in securities of issuers that comply with the index provider's environmental, social and governance ("ESG") requirements.

The Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is investment grade. While it is intended that the Fund's investments will comprise investment grade issues that make up the Benchmark Index, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Fund's direct investments will, at the time of purchase, comply with the ESG requirements of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the minimum proportion of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, that are rated or analysed in accordance with the ESG criteria of the Benchmark Index shall, where an issuer is from (i) developed markets (as defined by the index provider) be 90%, and (ii) emerging markets (as defined by the index provider) be 75%. As a result of the application of the ESG criteria of the Benchmark Index, the weighted average ESG rating of the Fund will be higher than the market for US Dollar denominated investment grade corporate bonds across the Asia ex-Japan region.

The Base Currency of iShares \$ Asia Investment Grade Corp Bond UCITS ETF is US Dollar (US\$).

Benchmark Index

The iBoxx USD Asia ex-Japan Corporates Investment Grade ESG Screened Index measures the performance of US Dollar denominated investment grade corporate bonds across the Asia ex-Japan region countries, as defined by the index provider, and excludes issuers based on the index provider's ESG and other exclusionary criteria.

To be eligible for inclusion in the Benchmark Index the bonds must (i) be USD denominated; (ii) have a time to maturity of at least 18 months at issuance; (iii) have a minimum of one year to maturity remaining; (iv) have a minimum outstanding amount of US\$ 300 million; and (v) be rated investment grade (Baa3/BBB-/BBB- or higher) by one or more of Moody's, S&P and Fitch, using the average rating consolidated to the nearest rating grade where rated by more than one of these credit rating agencies.

Bonds with known cash flows are eligible for inclusion in the Benchmark Index as detailed in the index methodology.

The Benchmark Index applies screens which exclude issuers that are involved in the following business lines/activities (or related activities): small arms, controversial weapons, thermal coal, oil sands and tobacco. The index provider defines what constitutes "involvement" in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. The Benchmark Index also excludes issuers based on ESG principles which measure each issuer's involvement in severe ESG controversies and how well they adhere to international norms and principles

The Fund may trade China onshore bonds on the China Interbank Bond Market and/or via Bond Connect.

The Benchmark Index is rebalanced on a monthly basis and uses a market-value weighted methodology with a cap on each issuer of 4%. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.spglobal.com/spdji/en/methodology/article/iboxx-usd-asia-ex-japan-corporates-investment-grade-esg-screened-index-methodology/>.

iShares \$ Corp Bond Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 80% of its total assets in investment grade (or where unrated deemed by the Investment Manager to be of an equivalent rating) fixed income securities issued by corporate issuers (i.e. corporate bonds) in developed markets and instruments relating to such securities (namely credit default swaps, currency swaps, futures and forwards) and denominated in US Dollar. The Fund may (in addition to fixed income securities issued by corporate issuers and related instruments) invest in government bonds, municipal bonds, sovereign and supranational debt, and instruments relating to such bonds denominated in US Dollar.

The Fund may invest up to 20% of its total assets in fixed income securities (or instruments related to such securities) of issuers domiciled in emerging markets and denominated in US Dollar.

The fixed income securities and instruments relating to such securities in which the Fund invests may be fixed or floating rate. Although the Fund's focus is on investment grade securities it may also hold securities that are below investment grade or unrated. The Fund does not have any specific industry focus.

The Investment Manager employs a systematic credit strategy to assist the Investment Manager in achieving the Fund's investment objective, which is to participate in greater market upside and to reduce market downside relative to the Index (defined below). This strategy uses a systematic process that combines quantitative modelling techniques with the Investment Manager's analysis. The systematic credit models include US Dollar denominated corporate bonds that are scored and ranked on quantitative factors such as fundamentals and valuation. Within the fundamentals category, the Investment Manager uses techniques to assess security characteristics such as corporate quality using a proprietary probability of default measure. Within the valuations category, the Investment Manager uses techniques to compare the most mispriced bonds versus their intrinsic value.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures, forward contracts and swap contracts (including credit default swaps and currency swaps) in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the fixed income securities described above and for currency hedging purposes. Details of indices used by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Base Currency of iShares \$ Corp Bond Enhanced Active UCITS ETF is US Dollar (\$).

ESG Policy

The Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out below.

The Investment Manager will apply the BlackRock EMEA Baseline Screens (which include screens related to an issuer's involvement in certain tobacco-related activities and an issuer's involvement in the production of controversial weapons) (as described in Schedule VII).

The Fund will invest in Sustainable Investments as further set out in Schedule VIII.

The Investment Manager will manage the Fund's portfolio so that the Fund will have a lower carbon emissions intensity than the Bloomberg US Corporate Index (the "**Index**").

BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy (as defined below), subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

Benchmark

The Fund is actively managed and the Investment Manager has discretion to select the Fund's investments. In doing so, the Investment Manager will refer to the Index when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the Index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). The Index should be used by investors to compare the performance of the Fund.

iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg MSCI US Corporate Climate Paris-Aligned ESG Select Index (PAB).

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg MSCI US Corporate Climate Paris-Aligned ESG Select Index (PAB), the Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is investment grade. While it is intended that the Fund's investments will comprise investment grade issues that make up the Benchmark Index, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

It is intended that the Fund's direct investments will, at the time of purchase, comply with the environmental, social and governance ("**ESG**") requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements and/or ESG ratings of the Fund's

Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the Fund will adopt a best-in-class approach to sustainable investing. The best-in-class approach means that by investing in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index, it is expected that the Fund will invest in the best issuers from an ESG perspective (based on the ESG criteria of the Benchmark Index) within each relevant sector of activities covered by the Benchmark Index. More than 90% of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities. By adopting the ESG methodology of the Benchmark Index, the Fund applies the extra-financial indicator upgrade approach for the purposes of the AMF ESG Rules, which means that the weighted average environmental indicator of the Fund (being the relevant extra-financial indicator of the Fund) will be at least 20% better than the weighted average environmental indicator of the Parent Index (as defined below) based on a reduction of carbon emission intensity.

The Base Currency of iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF is US Dollar (\$).

Benchmark Index

The Bloomberg MSCI US Corporate Climate Paris-Aligned ESG Select Index (PAB) aims to reflect the performance of a sub-set of fixed income securities within the Bloomberg US Corporate Index (the "**Parent Index**") which excludes issuers from the Parent Index based on the index provider's ESG exclusionary criteria. The remaining constituents of the Parent Index are then weighted by the index provider, for inclusion in the Benchmark Index, using an optimisation process. The optimisation process aims to weight the Benchmark Index constituents to exceed the minimum standards for an EU Paris-aligned benchmark ("**PAB**") whilst minimising ex-ante tracking error of the Benchmark Index relative to the Parent Index.

The minimum standards for PABs, as benchmark indices aligned with the objectives of the Paris Agreement, are set out in the Commission Delegated Regulation (EU) 2020/1818.

The Parent Index measures the performance of fixed-rate, US Dollar-denominated securities issued by industrial, utility and financial corporations. Inclusion is based on the currency of the issue. The Parent Index includes investment grade bonds that have a minimum remaining time to maturity of one year and a minimum amount outstanding of US\$300 million.

To be eligible for inclusion in the Benchmark Index, the bonds must be rated investment grade (Baa3/BBB-/BBB- or higher) using the middle rating of Moody's, S&P and Fitch. Where a rating from only two agencies is available, the lower is used. When a rating from only one agency is available, that rating is used. Where an explicit bond level rating is not available, other sources may be used by the index provider to classify the credit quality of the bonds.

The Benchmark Index excludes issuers that are involved in the following business lines/activities (or related activities): controversial weapons; nuclear weapons; civilian firearms; conventional weapons; weapon systems, components, support systems and services; tobacco; thermal coal; oil and gas; unconventional oil and gas and power generation. The index provider defines what constitutes "involvement" in each restricted activity. This may be based on a percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. Issuers that are classified as violating the United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment) are also excluded.

The Benchmark Index also excludes companies which are identified by the index provider as being involved in controversies that have a negative ESG impact on their operations and/or products and services based on an MSCI ESG controversy score ("**MSCI ESG Controversy Score**"). Companies which are identified by the index provider as having faced controversies pertaining to environmental issues are excluded from the Benchmark Index based on an MSCI environmental controversy score ("**MSCI Environmental Controversy Score**"). The minimum MSCI ESG Controversy Score and the minimum MSCI Environmental Controversy Score set by the index provider to determine eligibility for inclusion in the Benchmark Index can be found at the index provider's website <https://www.msci.com/index-methodology>.

Securities must have an MSCI ESG Rating of B or higher for inclusion in the Benchmark Index. Issuers that have not been assessed by the index provider for an MSCI ESG rating are excluded from the Benchmark Index. An MSCI ESG rating is designed to measure an issuer's resilience to long-term, industry material ESG risks and how well it manages those ESG risks relative to industry peers. The MSCI ESG rating methodology aims to provide greater transparency and understanding of the ESG characteristics of issuers by identifying issuers with stronger MSCI ESG ratings as issuers that may be better positioned for future ESG-related challenges and that may experience fewer ESG-related controversies.

The remaining constituents are then weighted by the index provider in the Benchmark Index using the optimisation process outlined in the first paragraph of this section. In order to aim to exceed minimum standards of a PAB, the optimisation process has the following transition and physical climate risk targets:

- reduction of the weighted average absolute greenhouse gas (GHG) emissions relative to the Parent Index;
- reduction of the weighted average GHG emissions by a minimum annual rate relative to the GHG emissions at the Benchmark Index inception date;

- reduction of the weighted average carbon intensity relative to the Parent Index;
- reduction of the weighted average carbon intensity by a minimum annual rate relative to the carbon intensity at the Benchmark Index inception date;
- increased weighted average green revenue relative to the Parent Index;
- maintaining a minimum green to fossil-fuel based ratio relative to the Parent Index; and
- maintaining a minimum weighted average ESG score relative to the Parent Index;

according to the thresholds for such constraints determined by the index provider in the index methodology.

The optimisation process also applies certain index level constraints to its constituents, for example constituent weight, duration and yield related constraints, sector weightings and country weightings, relative to the Parent Index. Turnover of the Benchmark Index is also controlled by the optimisation process at each Benchmark Index review.

The Benchmark Index also seeks to allocate a proportion of the Benchmark Index to: (1) issuers that derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, (2) issuers that have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi), or (3) fixed-income securities classified as "Green Bonds" by the index provider.

The Benchmark Index rebalances on a monthly basis to take into account changes to the Parent Index in addition to applying the exclusionary and other criteria described above. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits>.

iShares \$ Development Bank Bonds UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the FTSE World Broad Investment-Grade USD Multilateral Development Bank Bond Capped Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that, as far as possible and practicable, consists of the component securities of the FTSE World Broad Investment-Grade USD Multilateral Development Bank Bond Capped Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is investment grade. While it is intended that the Fund's investments will comprise investment grade issues that make up the Benchmark Index, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares \$ Development Bank Bonds UCITS ETF is US Dollar (US\$).

Benchmark Index

The FTSE World Broad Investment-Grade USD Multilateral Development Bank Bond Capped Index measures the performance of a sub-set of global US Dollar denominated, fixed-rate, investment grade multilateral development bank debt in the FTSE World Broad Investment-Grade Bond Index (the "Parent Index"). Multilateral development banks are supranational institutions set up by sovereign states. The multilateral development banks' aim is to foster economic and social progress mostly in developing countries by making finance available for sustainable projects.

The Parent Index provides a broad-based measure of the global fixed income markets and includes government, government-sponsored / supranational, collateralised, and corporate debt. The Parent Index seeks to provide a comprehensive representation of the global, investment grade debt universe.

To be eligible for inclusion in the Benchmark Index, the multilateral development bank bonds must (1) be issued by a multilateral development bank the shareholders of which are (but are not limited to) all of the G7 country members, (2) be issued by a multilateral development bank with a mission statement that states the intent to promote sustainable economic development in developing countries by financially supporting their sustainable development goals or by providing non-financial support for infrastructure development such as policy advice or technical assistance, (3) have a minimum amount outstanding of USD 500 million, (4) have at least one year until maturity and (5) be rated investment grade by S&P (BBB- or higher) or, in the absence of an S&P rating, by Moody's (Baa3 or higher). When a bond is rated investment-grade by one rating agency and high-yield by the other, the S&P equivalent of the investment-grade credit quality rating is assigned to the bond. Where an explicit or implicit (an implicit rating is assigned to an issue where the individual issue is not rated by S&P or Moody's, but its issuer is rated by S&P or Moody's, in which case the issuer's rating is assigned to the issue) bond level rating is

not available, the bond is not included in the Benchmark Index. Zero-coupon bonds are excluded from the Benchmark Index.

Issuers that do not disclose they have safeguard policies in place to mitigate and reduce environmental and social risks in the public domain arising from the projects they finance are excluded from the Benchmark Index. Issuers that are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment) are also excluded.

The Benchmark Index is market capitalisation weighted and issuer exposure is capped at 25%. The Benchmark Index rebalances on a monthly basis in accordance with the index provider's methodology and the list of multilateral development banks eligible for inclusion is reviewed annually. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.yieldbook.com/m/indexes/fund/> and <http://www.yieldbook.com/m/indices/search.shtml>.

iShares \$ EM Bond Active UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in fixed income transferable securities issued by and/or guaranteed by the governments and/or government agencies of emerging market countries (including emerging market government bonds, municipal bonds, sovereign, quasi-sovereign, supranational and local authority debt and instruments relating to such bonds) and in corporate bonds issued by companies domiciled or exercising the predominant part of their economic activity in emerging markets, in each case, such fixed income securities being denominated predominantly in US Dollars.

The fixed income securities and instruments in which the Fund invests may be investment grade (or deemed by the Investment Manager to be of an equivalent rating), below investment grade or unrated and may be fixed or floating rate. However, given the Fund's emerging market geographic focus, it is likely that the Fund will invest in excess of 30% of its Net Asset Value in below investment grade securities. The Fund does not have any specific industry or sector focus.

The Investment Manager selects securities for investment based upon a research-driven investment process that considers fundamental, valuation and technical factors (e.g. market flows, positioning, liquidity, risk sentiment and supply) as part of the portfolio construction process which includes conducting qualitative country and macro analysis and utilising a wide range of quantitative (i.e. mathematical or statistical) tools to formulate investment convictions. The selection of securities may be based on the Investment Manager's view of the relevant issuer, the potential for ratings upgrade and the expected changes in the value of such Investments due to ratings changes.

The Fund's exposure to Distressed Securities is limited to 15% of its total assets.

The Fund's assets will also be invested in accordance with the ESG Policy described below.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures (namely interest rate and credit index futures), forward contracts (namely FX forwards) and swap contracts (namely interest rate swaps, credit default swaps, currency swaps and total return swaps) in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the fixed income securities described above and for currency hedging purposes. The reference assets underlying the FDI, if any, in which the Fund invests may also include any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund. Details of indices used by the Fund, if any, will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Base Currency of iShares \$ EM Bond Active UCITS ETF is US Dollar (\$).

ESG Policy

The Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out below.

The Investment Manager will apply the BlackRock EMEA Baseline Screens (as described in Schedule VII).

The Investment Manager will also employ its proprietary methodology to assess investments based on the extent to which they are associated with positive externalities, that is environmental and social benefits or costs as defined by the Investment Manager from time to time. In determining positive externalities, the Investment Manager may have regard to the considerations set out below.

The Fund's investments that may be considered by the Investment Manager to have positive externalities include where:

- the issuer has involvement in positive environmental and social impact activities, as determined by the Investment Manager, which may be based on third-party vendor data or on the Investment Manager's own research and analysis;
- the issuer demonstrates very strong management of environmental, social, and governance (ESG) risks and opportunities compared with its industry peers (this may be based on ratings from a third party data vendor or based on the Investment Manager's own research and analysis);
- the investment is a "green bond" (which complies with the International Capital Markets Association's four Green Bond Principles). Green bonds are specifically issued with an environmental financing objective. The proceeds of a green bond are ringfenced for its environmental financing objective;
- the investment is a "social bond" (which complies with the International Capital Markets Association's Social Bond Principles). Social bonds are specifically issued with a social financing objective. The proceeds of a social bond are ringfenced for its positive social objective; and/or
- the investment is a "sustainability bond" (which complies with the International Capital Markets Association's Sustainability Bond Guidelines). Sustainability bonds are specifically issued with an environmental or social financing objective. The proceeds of a sustainability bond are ringfenced for its environmental or social objective.

The Investment Manager will seek to enhance exposure to investments that are deemed to have associated positive externalities (by ensuring that the Fund maintains an exposure greater than the Index (as defined below) by at least 5% to issuers with positive externalities) in order to promote environmental and social characteristics related to (i) the support for the transition to a lower carbon economy, (ii) climate change mitigation, and (iii) financing positive social objectives.

The Investment Manager will apply the BlackRock Sovereign Sustainability Indicator ("BSSI") by excluding sovereign bonds that score less than or equal to 2.0 in the BSSI. The BSSI ranks sovereign debt issuers based on a country's overall sustainability measures from an environmental, social and governance perspective using UN Sustainable Development goals to guide factor selection. Environmental factors include carbon performance and climate policy as well as other environmental factors such as air quality and wastewater treatment. Social factors include equality, public health and other socioeconomic issues.

The Investment Manager will also exclude sovereign bonds of countries that are subject to official arms and/or trade embargo restrictions imposed by the United Nations Security Council (UNSC) and which are legally binding on all UN member states.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy (including the ESG Policy), subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

SFDR

Through the application of the Fund's ESG Policy (as described above), the Fund promotes environmental and social characteristics related to (i) the support for the transition to a lower carbon economy, (ii) climate change mitigation, (iii) financing positive social objectives, (iv) a country's environmental and socioeconomic issues, (v) the reduction of environmental pollution, (vi) reduction of the availability of weapons, (vii) better health and wellbeing, (viii) support for human rights, labour standards, the environment and anti-corruption and (ix) key social issues deemed to be relevant to sovereign bond issuers. Details of the environmental and social characteristics promoted by the Fund are set out in Appendix IV.

The Investment Manager evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. The Investment Manager may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

Benchmark

The Fund is actively managed and the Investment Manager has discretion to select the Fund's investments. In doing so, the Investment Manager may refer to the JP Morgan EMBI Global Diversified Index (the "**Index**") when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Index may be used by investors to compare the performance of the Fund. The Index is a market-capitalisation-weighted, total-return index tracking the liquid universe of U.S. dollar-denominated sovereign and quasi-sovereign debt issued by emerging market countries.

iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 80% of its total assets in high yield (or where unrated deemed by the Investment Manager to be of an equivalent rating) fixed income securities issued by corporate issuers (i.e. corporate bonds) in developed markets and instruments relating to such securities (namely credit default swaps, currency swaps, futures and forwards), in each case denominated in US Dollar. The Fund may (in addition to fixed income securities issued by corporate issuers and related instruments) invest in government bonds, municipal bonds, sovereign and supranational debt, and instruments relating to such bonds denominated in US Dollar.

The Fund may invest up to 20% of its total assets in fixed income securities (or instruments related to such securities) of issuers domiciled in emerging markets and denominated in US Dollar.

The fixed income securities and instruments in which the Fund invests may be investment grade (or deemed by the Investment Manager to be of an equivalent rating), below investment grade or unrated and may be fixed or floating rate. The Fund does not have any specific industry focus.

The Investment Manager employs its systematic credit strategy to assist the Investment Manager in achieving the Fund's investment objective, which is to participate in greater market upside and to reduce market downside relative to the Index (defined below). This strategy uses a systematic (i.e. rules based) process that combines quantitative (i.e. mathematical or statistical) modelling techniques with the Investment Manager's analysis. The systematic credit models include US Dollar denominated corporate bonds that are scored and ranked on quantitative factors such as fundamentals and valuation. Within the fundamentals category, the Investment Manager uses techniques to assess security characteristics such as corporate quality using its proprietary probability of default measure. Within the valuations category, the Investment Manager uses techniques to identify and compare the most mispriced bonds versus their intrinsic value.

The Investment Manager will monitor and manage the Fund's exposure to Distressed Securities. The level of Distressed Securities held within the Fund will be maintained at no more than 50% greater than the proportion of such securities in the ICE BofA US High Yield Master II Constrained Index (the "**Index**").

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures, forward contracts and swap contracts (including credit default swaps, currency swaps and total return swaps) in accordance with the limitations set down in Schedule II (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the fixed income securities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund. Details of indices used by the Fund will be provided in the annual report of the Company.

The maximum proportion of the Net Asset Value of the Fund that can be subject to total return swaps is 50%. The expected proportion of the Net Asset Value of the Fund that will be subject to total return swaps is 0%. The

expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Base Currency of iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF is US Dollar (\$).

Benchmark

The Fund is actively managed and the Investment Manager has discretion to select the Fund's investments. In doing so, the Investment Manager will refer to the Index when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the Index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). Although the Fund is not constrained by the Index's composition or weightings and may invest in securities outside the Index, the Index is nonetheless representative of the general investment universe and risk-return characteristics relevant to the Fund's strategy. Accordingly, the Index should be used by investors to compare the performance of the Fund.

iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg MSCI US Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB).

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg MSCI US Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB), the Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

It is intended that the Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is sub-investment grade. While it is intended that the Fund's investments will comprise sub-investment grade issues, issues may be upgraded or downgraded in certain circumstances from time to time. In such event the Fund may continue to hold such investment grade or unrated issues until such time as the issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

It is intended that the Fund's direct investments will, at the time of purchase, comply with the environmental, social and governance ("ESG") requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements and/or ESG ratings of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the Fund will adopt a best-in-class approach to sustainable investing. The best-in-class approach means that by investing in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index, it is expected that the Fund will invest in the best issuers from an ESG perspective (based on the ESG criteria of the Benchmark Index) within each relevant sector of activities covered by the Benchmark Index. More than 90% of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities.

By adopting the ESG methodology of the Benchmark Index, the Fund applies the extra-financial indicator upgrade approach for the purposes of the AMF ESG Rules, which means that the weighted average environmental indicator of the Fund (being the relevant extra-financial indicator of the Fund) will be at least 20% better than the weighted average environmental indicator of the Parent Index (as defined below) based on a reduction of carbon emission intensity.

The Base Currency of iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF is US Dollar (US\$).

Benchmark Index

The Bloomberg MSCI US Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB) aims to reflect the performance of a sub-set of fixed income securities within the Bloomberg US Corporate High Yield 3% Issuer Capped Index (the "**Parent Index**") which excludes issuers from the Parent Index based on the index provider's ESG exclusionary criteria. The remaining constituents of the Parent Index are then weighted by the index provider, for inclusion in the Benchmark Index, using an optimisation process. The optimisation process aims to weight the Benchmark Index constituents to exceed the minimum standards for an EU Paris-aligned benchmark ("**PAB**") whilst minimising ex-ante tracking error of the Benchmark Index relative to the Parent Index.

The minimum standards for PABs, as benchmark indices aligned with the objectives of the Paris Agreement, are set out in the Commission Delegated Regulation (EU) 2020/1818.

The Parent Index measures the performance of fixed-rate, US Dollar-denominated, high yield securities issued by developed market issuers as determined by the index provider. Inclusion is based on the currency of the issue. The Parent Index includes investment grade bonds that have a minimum remaining time to maturity of one year and a minimum amount outstanding of US\$150 million.

To be eligible for inclusion in the Benchmark Index, the bonds must be rated high yield (Ba2/BB+/BB+ or lower) using the middle rating of Moody's, S&P and Fitch. Where a rating from only two agencies is available, the lower is used. When a rating from only one agency is available, that rating is used. Where an explicit bond level rating is not available, other sources may be used by the index provider to classify the credit quality of the bonds.

The Benchmark Index excludes issuers that are involved in the following business lines/activities (or related activities): controversial weapons; nuclear weapons; civilian firearms; conventional weapons; weapon systems, components, support systems and services; tobacco; thermal coal; oil and gas; unconventional oil and gas and power generation. The index provider defines what constitutes "involvement" in each restricted activity. This may be based on a percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. Issuers that are classified as violating the United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment) are also excluded.

The Benchmark Index also excludes companies which are identified by the index provider as being involved in controversies that have a negative ESG impact on their operations and/or products and services based on an MSCI ESG controversy score ("MSCI ESG Controversy Score"). Companies which are identified by the index provider as having faced controversies pertaining to environmental issues are excluded from the Benchmark Index based on an MSCI environmental controversy score ("MSCI Environmental Controversy Score"). The minimum MSCI ESG Controversy Score and the minimum MSCI Environmental Controversy Score set by the index provider to determine eligibility for inclusion in the Benchmark Index can be found at the index provider's website <https://www.msci.com/index-methodology>.

Securities must have an MSCI ESG Rating of B or higher for inclusion in the Benchmark Index. Issuers that have not been assessed by the index provider for an MSCI ESG rating are excluded from the Benchmark Index. An MSCI ESG rating is designed to measure an issuer's resilience to long-term, industry material ESG risks and how well it manages those ESG risks relative to industry peers. The MSCI ESG rating methodology aims to provide greater transparency and understanding of the ESG characteristics of issuers by identifying issuers with stronger MSCI ESG ratings as issuers that may be better positioned for future ESG-related challenges and that may experience fewer ESG-related controversies.

The remaining constituents are then weighted by the index provider in the Benchmark Index using the optimisation process outlined in the first paragraph of this section. In order to aim to exceed minimum standards of a PAB, the optimisation process has the following transition and physical climate risk targets:

- reduction of the weighted average absolute greenhouse gas (GHG) emissions relative to the Parent Index;
- reduction of the weighted average GHG emissions by a minimum annual rate relative to the GHG emissions at the Benchmark Index inception date;
- reduction of the weighted average carbon intensity relative to the Parent Index;
- reduction of the weighted average carbon intensity by a minimum annual rate relative to the carbon intensity at the Benchmark Index inception date;
- increased weighted average green revenue relative to the Parent Index;
- maintaining a minimum green to fossil-fuel based ratio relative to the Parent Index; and
- maintaining a minimum weighted average ESG score relative to the Parent Index;

according to the thresholds for such constraints determined by the index provider in the index methodology.

The optimisation process also applies certain index level constraints to its constituents, for example constituent weight, duration and yield related constraints, sector weightings and country weightings, relative to the Parent

Index. Turnover of the Benchmark Index is also controlled by the optimisation process at each Benchmark Index review.

The Benchmark Index also seeks to allocate a proportion of the Benchmark Index to: (1) issuers that derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, (2) issuers that have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi), or (3) fixed-income securities classified as "Green Bonds" by the index provider.

The Benchmark Index rebalances on a monthly basis to take into account changes to the Parent Index in addition to applying the exclusionary and other criteria described above. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits>.

iShares \$ Intermediate Credit Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg U.S. Intermediate Credit Bond Index (Total Return).

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg U.S. Intermediate Credit Bond Index (Total Return), this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues that make up the Benchmark Index, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares \$ Intermediate Credit Bond UCITS ETF is US Dollar (US\$), and the Fund will not undertake any exposure to currencies other than the US Dollar, except in the efficient portfolio management of changes to the Benchmark Index of the Fund and in the management of Share Classes denominated in a currency other than US Dollar.

Benchmark Index

The Bloomberg U.S. Intermediate Credit Bond Index (Total Return) aims to reflect the performance of a subset of fixed income securities within the Bloomberg US Credit Index ("Parent Index"). The Benchmark Index measures the performance of US Dollar denominated, fixed rate, investment grade, taxable corporate and government-related bonds that have a remaining maturity of over 1 and less than 10 years. The Benchmark Index uses a market-value weighted methodology. Currently, the bonds eligible for inclusion in the Benchmark Index include US Dollar denominated corporate bonds (issued by companies in the industrial, financial institutions and utilities industry sectors) and government-related bonds that: (i) are issued by issuers who have complied with the full listing requirements of the Securities and Exchange Commission for US domestic market listings; (ii) are rated investment grade, taking the middle rating given by Fitch, Moody's and Standard & Poor's Ratings Services; and; (iii) have at least US\$250 million amount outstanding per individual bond. Bonds that convert from fixed rate to floating rate will be removed from the Benchmark Index one year prior to conversion.

The Parent Index measures the performance of the investment grade, US Dollar denominated, fixed-rate, taxable corporate and government related bond markets. The Parent Index is composed of the Bloomberg US Corporate Index and a non-corporate component that includes non-US government agencies, sovereigns, supranationals and local authorities.

The Benchmark Index rebalances on a monthly basis. Further details regarding the Benchmark Index and Parent Index (including constituents) are available on the index provider's website at <https://www.bloomberqindices.com/bloomberg-indices/>.

iShares € Aggregate Bond ESG SRI UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg MSCI Euro Aggregate and Green Bond ESG SRI Index .

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg MSCI Euro Aggregate and Green Bond ESG SRI Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index. It is intended that the Fund's direct investments will only be in securities of issuers that comply with the index provider's socially responsible investment ("SRI") requirements and/or environmental, social and governance ("ESG") ratings.

The Fund will invest in transferable securities and money market instruments issued or guaranteed by governments, public international bodies or corporations. These could include asset-backed securities, mortgage-backed securities, commercial mortgage-backed securities, covered bonds and collateralised bonds. Such instruments may be fixed and/or floating rate. Such instruments will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Fund's direct investments will, at the time of purchase, comply with the SRI requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the SRI requirements and/or ESG ratings of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with the AMF ESG Rules, the Fund will adopt a best-in-class approach to sustainable investing. The best-in-class approach means that by investing in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index, it is expected that the Fund will invest in the best issuers from an ESG / SRI perspective (based on the ESG and SRI criteria of the Benchmark Index) within each relevant sector of activities covered by the Benchmark Index. More than 90% of the number of issuers in the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG and SRI criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities. As a result of the application of the ESG and SRI criteria of the Benchmark Index, the Fund applies the selectivity approach for the purposes of the AMF ESG Rules which means that the portfolio of the Fund is reduced by at least 30% compared to the market for fixed-rate, investment-grade Euro denominated bonds across treasury, corporate, government-related and securitised sectors, calculated by the number of issuers in the Benchmark Index.

The Base Currency of iShares € Aggregate Bond ESG SRI UCITS ETF is Euro (€) and the Fund will not undertake any exposure to currencies other than Euro, except in the efficient portfolio management of changes to the Benchmark Index of the Fund and in the management of any future Share classes of the Fund which may be denominated in a currency other than Euro.

Benchmark Index

The Bloomberg MSCI Euro Aggregate and Green Bond ESG SRI Index measures the performance of fixed-rate, investment-grade Euro denominated bonds across treasury, corporate, government-related and securitised sectors from developed markets and excludes issuers based on the index provider's ESG, SRI and other criteria.

The Benchmark Index applies exclusions in line with EU Paris-Aligned Benchmarks as set out in Commission Delegated Regulation (EU) 2020/1818 (as further described in the "EU Paris-aligned benchmark exclusions" sub-section of the "SFDR" section of the Prospectus).

Inclusion in the Benchmark Index is based on the currency of the issue, and not the domicile of the issuer. To be eligible for inclusion in the Benchmark Index, the bonds must have at least one year until final maturity, a minimum amount outstanding of €300 million and be rated investment grade (Baa3/BBB-/BBB- or higher) using the middle rating of Moody's, S&P and Fitch. Where a rating from only two agencies is available, the lower is used. When a rating from only one agency is available, that rating is used. Where an explicit bond level rating is not available, other sources may be used by the index provider to classify the credit quality of the bonds. Contingent capital securities, bonds with equity type features, tax exempt municipal securities, inflation-linked bonds, floating rate issues, private placements, retail bonds, and certain other types of bonds are excluded from the Benchmark Index.

The Benchmark Index is tilted to allocate at least 10% of its total market value to securities classified as green bonds under the index methodology. The Benchmark Index defines green bonds as fixed income securities the proceeds of which are exclusively and formally applied to projects or activities that promote climate or other environmental sustainability purposes. In accordance with the Benchmark Index methodology, securities (whether or not labelled as green by the issuer) are independently evaluated by MSCI ESG Research under the following four criteria to determine whether they should be classified as green bonds: (i) stated use of proceeds; (ii) process for green project evaluation and selection; (iii) process for management of proceeds; and (iv) commitment to ongoing reporting of the environmental performance of the use of proceeds. To be considered a green bond for the purpose of the index methodology, all four criteria must be met for bonds issued after the publication of the

Green Bond Principles (an agreement among market participants on a set of standards for the green credentials of labelled issuance), although bonds issued prior to that date that do not satisfy all four criteria may still qualify for inclusion in the Benchmark Index. The Benchmark Index also seeks to allocate a proportion of the Benchmark Index to (1) companies that derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, (2) companies that have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi), or (3) securities that qualify as green bonds by MSCI.

Bonds belonging to sectors with an MSCI ESG rating and not classified as green bonds for the purposes of the index methodology will only be included in the Benchmark Index if their issuers have an MSCI ESG rating and the rating is BBB or higher. An MSCI ESG rating is designed to measure an issuer's resilience to long-term, industry material ESG risks and how well it manages those ESG risks relative to industry peers. The MSCI ESG rating methodology provides greater transparency and understanding of the ESG characteristics of issuers, identifying issuers with strong MSCI ESG ratings as issuers that may be better positioned for future ESG-related challenges and that may experience fewer ESG-related controversies.

The Benchmark Index applies the Bloomberg MSCI SRI screen that excludes issuers that are involved in the following business lines/activities: (i) alcohol, (ii) tobacco, (iii) gambling, (iv) adult entertainment, (v) genetically modified organisms, (vi) nuclear power, (vii) civilian firearms, (viii) conventional weapons, (ix) nuclear weapons, (x) controversial weapons, (xi) thermal coal, (xii) generation of power from thermal coal, (xiii) unconventional oil and gas and (xiv) fossil fuels (exposure and exploration) and reserves. The Bloomberg MSCI SRI screen defines involvement for each restricted activity which is based on a percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

The Benchmark Index also excludes issuers pursuant to ESG principles which measure each issuer's involvement in major ESG controversies and how well they adhere to international norms and principles. The Benchmark Index also excludes companies which are identified by the index provider as being involved in controversies that have a negative ESG impact on their operations and/or products and services based on an MSCI ESG controversy score ("MSCI ESG Controversy Score"). Issuers that have not been assessed or rated by the index provider for an ESG Controversy Score are also excluded from the Benchmark Index. The minimum MSCI ESG Controversy Score set by the index provider to determine eligibility for inclusion in the Benchmark Index can be found at the index provider's website <https://www.msci.com/index-methodology>. The Benchmark Index excludes issuers classified as being in violation of the United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment). In addition, the Benchmark Index excludes sovereign issuers that are subject to United Nations Security Council Trade Sanctions and allocates no more than 50% of its total market value to sovereign issuers that are not classified as green bonds.

The Benchmark Index rebalances on a monthly basis to take into account changes to the ratings and exclusionary screenings described above ensuring a minimum 10% allocation to securities classified as green bonds under the index methodology. Further details regarding the constituents of the Benchmark Index and their weightings are available at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares € Cash UCITS ETF

The Investment Manager shall ensure that the Fund invests only in:

- (a) High Credit Quality money-market instruments, in accordance with Article 10 of the MMF Regulation;
- (b) High Credit Quality securitisations and asset-backed commercial paper, eligible in accordance with Article 11 of the MMF Regulation;
- (c) deposits with credit institutions, in accordance with Article 12 of the MMF Regulation;
- (d) financial derivative instruments, in accordance with Article 13 of the MMF Regulation;
- (e) repurchase agreements, in accordance with Article 14 of the MMF Regulation;
- (f) reverse repurchase agreements, in accordance with Article 15 of the MMF Regulation; and
- (g) units or shares in money market funds, in accordance with Article 16 of the MMF Regulation.

The Fund has been authorised by the Central Bank with the flexibility to invest up to 100% of its assets in different money market instruments issued or guaranteed by administrations, institutions or organisations listed in paragraph 2.9 of Schedule III – iShares € Cash UCITS ETF.

Investment Objective

The investment objective of the Fund is to provide a return in line with money market rates consistent with preservation of principal and liquidity by the maintenance of a portfolio of High Credit Quality short term "money market" instruments.

Investment Policy

In pursuit of its investment objective, the Fund may invest in a broad range of High Credit Quality fixed income securities (such as bonds) and money market instruments (MMIs) (i.e. debt securities with short term maturities) such as securities, instruments and obligations that may be available in the relevant markets (both within and outside the Eurozone) and in cash. Instruments denominated in euro may include securities, instruments and obligations issued or guaranteed by the Governments of Member States (whether or not participating in EMU) or other sovereign governments or their agencies and securities, instruments and obligations issued or guaranteed by supranational or public international bodies, banks, corporate or other commercial issuers. These types of

securities, instruments and obligations shall include those set out below and may be issued by issuers both inside and outside of the Eurozone, but shall be denominated in Euro. The list is not exhaustive and such other securities, instruments and obligations (which will generally be traded or listed on stock exchanges or regulated markets listed in Schedule I) as may from time to time be consistent with its investment objectives and policies may be used. The Fund will invest only in securities with a maturity at issuance or residual term to maturity of 397 days or less. At least 7.5% of the Fund's assets will be daily maturing and at least 15% of the Fund's assets will be weekly maturing (provided that units or shares in other money market funds may be included in the weekly maturity assets, up to 7.5%, provided they can be redeemed and settled within five working days). The Fund will maintain a weighted average maturity of 60 days or less and a weighted average life of 120 days or less.

Certificates of Deposit ("CDs") – Negotiable interest-bearing instruments with a specific maturity. CDs are issued by banks, building societies and other financial institutions in exchange for the deposit of funds, and normally can be traded in the secondary market prior to maturity.

Commercial Paper – Unsecured short-term promissory notes issued by corporations or other entities (including public or local authorities) with maturities up to 397 days, including asset-backed commercial paper but excluding securitisations that meet the criteria for simple, transparent and standardised (STS) securitisations under the Securitisation Regulation (Regulation (EU) 2017/2402).

Floating Rate Notes ("FRNs") – FRNs are unsecured notes issued by banks, building societies and other financial institutions. The interest rate payable on FRNs may fluctuate based upon changes in specified interest rates or be set periodically according to a prescribed formula.

Government Bonds – Bonds issued by the Governments of the Member States (whether or not participating in the EMU).

Government T-Bills (Eurozone) – Short-term securities issued by the Governments of Member States (whether or not participating in the EMU).

Government (Ex-Eurozone) Sovereign Bonds – Bonds denominated in euro which are issued or guaranteed by one or more sovereign governments outside the Eurozone or by any of their political subdivisions, agencies or instrumentalities. Bonds of such political subdivisions, agencies or instrumentalities are often, but not always, supported by the full faith and credit of the relevant government.

Repurchase Agreements ("Repos") – Instruments under which the Company sells portfolio securities and at the time of sale the Company agrees to repurchase those securities at a mutually agreed time and price including a mutually agreed interest payment.

Reverse Repurchase Agreements ("Reverses") – Instruments under which the Company acquires ownership of debt securities and agrees at the time of the transaction for the repurchase by the seller of the instrument at a mutually agreed time and price, thereby pre-determining the yield to the Fund during the period when the Company holds the instrument.

The Company will only enter into Reverses with institutions believed by the Investment Manager to present minimal credit risk to the Company and with a minimum short term credit rating of A1 or P1 (or its equivalent) or higher from a recognised credit agency or, if not so rated, deemed by the Investment Manager to be of equivalent credit quality.

Repos and Reverses will be used only as described in Schedule II.

Short and Medium Term Obligations – Debt obligations, notes, debentures or bonds or any other type of debt instrument (including bonds issued by corporations or other entities (including public or local authorities)) with remaining maturities of 397 days or less.

Supranational Bonds and Agency Debt – Debt obligations issued or guaranteed by supranational entities and public international bodies including international organisations designated or supported by governmental entities to promote economic reconstruction or development and international banking institutions and related government agencies including the Asian Development Bank, the European Bank for Reconstruction and Development, the European Central Bank, the European Investment Bank, the Inter-American Development Bank, the International Monetary Fund and the International Bank for Reconstruction and Development (the World Bank) (collectively **"Supranational and Agency Entities"**).

Where the Fund invests in other collective investment schemes, including other Funds of the Company, these other collective investment schemes must be Short-Term MMFs in accordance with the MMF Regulation.

The Fund will only invest in instruments denominated in the Base Currency of the Fund. The Base Currency of the Fund is Euro (€).

The Fund will only invest in High Credit Quality money market instruments.

In addition, the Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund's Investments will be limited to investments permitted by the MMF Regulation which are described in more detail in Schedule III.

Investment in FDI

Investment in FDI will only be used to hedge the interest rate or exchange rate hedging risks inherent in other investments and may only be used where the underlying consists of interest rates, foreign exchange rates, currencies or indices representing one of those. Such FDI may be exchange-traded on Regulated Markets or over-the-counter financial derivative instruments, such as futures and currency forwards (which may be used to manage currency risk respectively), options (including call and put options which may be used to achieve cost efficiencies in hedging) and swaps (which may be used to manage interest rate risk).

The Fund will not invest in total return swaps or contracts for difference.

Use of Benchmark

The Fund is actively managed. The Investment Manager has discretion to select the Fund's investments and is not constrained by any benchmark in this process. The Euro Short-Term Rate (€STR) should be used by investors to compare the performance of the Fund. This benchmark is not used for the selection of investments with environmental, social or governance characteristics.

Credit Assessment

The Investment Manager shall follow a credit analysis process agreed with the Manager in determining whether a given investment or issuer is "High Credit Quality". This process takes into account and documents the assessment of at least the following factors:

- (i) the quantification of the credit risk of the issuer and of the relative risk of default of the issuer and of the instrument;
- (ii) qualitative indicators on the issuer of the instrument, including in the light of the macroeconomic and financial market situation;
- (iii) the short-term nature of money market instruments;
- (iv) the asset class of the instrument;
- (v) the type of issuer distinguishing at least the following types of issuers: national, regional or local administrations, financial corporations, and non-financial corporations;
- (vi) for structured financial instruments, the operational and counterparty risk inherent within the structured financial transaction and, in case of exposure to securitisations, the credit risk of the issuer, the structure of the securitisation and the credit risk of the underlying assets; and
- (vii) the liquidity profile of the instrument.

The credit assessment process generates an approved list of issuers that forms the investment universe for the Fund (the "**Investment Universe**"). The Investment Universe is compiled of issuers holding at least two out of three short-term credit ratings of A-1/P-1/F1 by S&P, Moody's and/or Fitch and have passed the credit assessment described above.

Liquidity Management

The Manager operates prudent and rigorous liquidity management procedures with respect to the Fund to ensure compliance with the applicable liquidity thresholds.

The Investment Manager reviews daily reports that provide a detailed breakdown of available liquidity across maturity buckets and asset classes, and the Investment Manager also utilises certain trading tools that allow for portfolio liquidity to be monitored on a real time basis. The Investment Manager shall be systematically restricted from making investments that would not comply with established daily and weekly minimum liquidity requirements of the Fund.

The anticipated volatility of the Fund's cash flows (particularly redemptions) may necessitate that the Fund maintain a greater level of liquidity than would be required by the Fund's regulatory minimum daily and weekly liquidity requirements. In an effort to assess whether assets are sufficiently liquid to meet reasonably foreseeable redemptions, the volatility of the Fund's assets is frequently monitored by the Manager. Historical Fund subscriptions and redemptions over a given period, including seasonal requirements, are utilized to make such an assessment. These historical flows are then subject to a stress test to determine if liquidity is expected to be adequate under more acute conditions. Based on the stress testing described above, an internal weekly liquidity requirement as a percentage of the Fund's assets will be calculated and compared with regulatory weekly liquidity requirements. The Investment Manager will use this comparison to assess whether the Fund's liquidity is appropriate and readjust the Fund's portfolio as necessary by maintaining additional liquid assets.

The Manager shall review and evaluate, at least annually, the operation of the liquidity management procedures.

ESG Policy

The Investment Manager will, in addition to the investment objective set out above, and subject always to investing in such assets as required for the Fund to meet its investment objective, manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out below, when selecting the Fund's investments and will, as a nonfinancial objective, exclude direct investment in issuers of money market instruments which (at the time of investment):

- (i) derive 5% or more of their revenues from fossil fuel mining, exploration and/or refinement;
- (ii) have a MSCI ESG rating of CCC;
- (iii) have a MSCI Controversy Score of '0';

- (iv) any Supranational and Agency Entities (defined above) that have an MSCI ESG rating of B or below; and
- (v) apply the BlackRock EMEA Baseline Screens, including involvement in certain tobacco-related activities and the production of controversial weapons (as described in Schedule VII).

More than 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. The Investment Manager will also aim to ensure that at least 80% of Fund assets (which are not investments in government and public securities and instruments) have above average environmental practices (for example, lower carbon emissions, sustainable use of natural resources, responsible waste management practices and use of renewable energy) as determined by MSCI or such other external ESG research provider used by the Investment Manager from time to time.

To undertake this analysis, the Investment Manager may use data provided by one or more external environmental research providers and/or proprietary models. Further information about the research provider(s) and/or proprietary models used by the Investment Manager can be obtained on request.

The Fund will have 20% lower greenhouse gas emissions (measured using data from MSCI) than its Investment Universe (defined above).

BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

The criteria set out above are not taken into account when selecting the Fund's investments issued by governments. Instead, the social criteria will be the application of UNSC Trade Sanctions to the government issuers of the bonds the Fund holds.

Sustainable Cash

The credit assessment process described above incorporates Sustainable Cash, which is BlackRock's proprietary scoring model that seeks to differentiate non-financial and financial corporate issuers in short-term money markets on their relative performance versus peers based upon an evaluation of factors of environmental risk, social awareness, and strength of governance.

The model considers data points across three pillars: environmental risk measures (for example, emissions intensity, energy intensity and water intensity), social risk measures (for example, gender diversity and employee turnover) and governance risk measures (for example, percentage of independent directors). The model includes a dynamic weighting of governance, taking on an increasing weight where a corporate issuer's governance is weaker, and a decreasing weight where a corporate issuer's governance is stronger. The model assumes that a corporate firm with weaker governance is more likely than a corporate firm with stronger governance to face greater levels of idiosyncratic risk that may impact short-term credit.

The scoring model has a focus on momentum, or the progress a corporate issuer is making on key ESG risk measures. Momentum gauges the relative progress (or not) a corporate issuer has made on various data points over an appropriate time period (typically 2 years' worth of data). The model scores corporate issuers on their relative momentum across relevant key performance indicators (e.g. emissions intensity reduction). This helps to balance a corporate issuer's relative risk measures with progress it may be achieving in these non-financial factors, giving credit to those corporate issuers who are believed to be progressing on the United Nations Sustainable Development Goals.

Finally, given the short-term nature of cash investing, where securities mature and are invested daily, the model also considers a corporate issuer's controversy. By accounting for whether a firm is making controversial headlines across media sources, this data can help evidence risks that have yet to be reflected in formally reported data and offer real-time differentiation which is critical for short-term investing.

General

The Fund may have indirect exposure to the above-described issuers, for example where the Fund may through FDI (and for hedging purposes only) gain exposure to an index which is comprised of one or more of such issuers.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

AMF ESG Rules

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

iShares € Corp Bond 1-5yr UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Euro Corporate 1-5 Year Bond Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income debt securities that as far as possible and practicable consists of the component securities of the Bloomberg Euro Corporate 1-5 Year Bond Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities which will typically be fixed income debt securities denominated in Euro. They will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares € Corp Bond 1-5yr UCITS ETF is Euro (€).

Benchmark Index

The Bloomberg Euro Corporate 1-5 Year Bond Index measures the performance of fixed-rate Euro-denominated securities issued by industrial, utility and financial corporations. Inclusion is based on the currency of the issue, and not the domicile of the issuer. The Benchmark Index includes investment grade bonds that have at least one to five years remaining until maturity and a minimum amount outstanding of €300 million. The Benchmark Index rebalances on a monthly basis and is market capitalisation weighted. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares € Corp Bond BBB-BB UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the iBoxx EUR Corporates BBB-BB (5% Issuer Cap) Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consist of the component securities of the iBoxx EUR Corporates BBB-BB (5% Issuer Cap) Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares € Corp Bond BBB-BB UCITS ETF is Euro (€).

Benchmark Index

The iBoxx EUR Corporates BBB-BB (5% Issuer Cap) Index measures the performance of fixed and floating rate Euro denominated corporate bonds rated BBB and BB or equivalent (which represent the lower end of investment grade to the higher end of sub-investment grade). The Benchmark Index comprises Euro denominated corporate bonds which, at the time of inclusion in the Benchmark Index, have a credit rating of between BBB+ and BB- (inclusive) or equivalent based on the index provider's rating which uses the average of the ratings by the credit rating agencies Fitch, Moody's and S&P. The market-value weighted average rating of the bonds within the Benchmark Index must be at least BBB- or higher at each index rebalance. If the market-value weighted average rating of the bonds eligible for inclusion in the Benchmark Index is lower than BBB-, the weighting of bonds with the lowest credit rating will be reduced and their allocations distributed amongst the remaining bonds in proportion to their market values, subject to a cap on each issuer of 5%, until the desired credit rating is achieved. Only bonds rated BBB+ to BBB- (inclusive) and at least €500m in outstanding issuance or bonds rated BB+ to BB- (inclusive) and at least €250m in outstanding issuance will be eligible for inclusion in the Benchmark Index. While it is intended that the Fund's Investments will meet the credit rating requirements of the Benchmark Index, issues may be downgraded or upgraded in certain circumstances from time to time. In such event the Fund may continue to hold such downgraded or upgraded issues until such time as the issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Benchmark Index is market-value weighted with a cap on each issuer of 5% and rebalances on a monthly basis. Further details regarding the Benchmark Index (including its constituents) and the index provider's bond rating methodology are available on the index provider's website at products.markit.com/indices/UCITS/Indices.aspx.

iShares € Corp Bond Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 80% of its total assets in investment grade (or where unrated deemed by the Investment Manager to be of an equivalent rating) fixed income securities issued by corporate issuers (i.e. corporate bonds) in developed markets and instruments relating to such securities (namely credit default swaps, currency swaps, futures and forwards) and denominated in Euro. The Fund may (in addition to fixed income securities issued by corporate issuers and related instruments) invest in government bonds, municipal bonds, sovereign and supranational debt, and instruments relating to such bonds denominated in Euro.

The Fund may invest up to 20% of its total assets in fixed income securities (or instruments related to such securities) of issuers domiciled in emerging markets and denominated in Euro.

The fixed income securities and instruments relating to such securities in which the Fund invests may be fixed or floating rate. Although the Fund's focus is on investment grade securities it may also hold securities that are below investment grade or unrated. The Fund does not have any specific industry focus.

The Investment Manager employs a systematic credit strategy to assist the Investment Manager in achieving the Fund's investment objective, which is to participate in greater market upside and to reduce market downside relative to the Index (defined below). This strategy uses a systematic process that combines quantitative modelling techniques with the Investment Manager's analysis. The systematic credit models include Euro denominated corporate bonds that are scored and ranked on quantitative factors such as fundamentals and valuation. Within the fundamentals category, the Investment Manager uses techniques to assess security characteristics such as corporate quality using a proprietary probability of default measure. Within the valuations category, the Investment Manager uses techniques to compare the most mispriced bonds versus their intrinsic value.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures, forward contracts and swap contracts (including credit default swaps and currency swaps) in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the fixed income securities described above and for currency hedging purposes. Details of indices used by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Base Currency of iShares € Corp Bond Enhanced Active UCITS ETF is Euro (€).

ESG Policy

The Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out below.

The Investment Manager will apply the BlackRock EMEA Baseline Screens (which include screens related to an issuer's involvement in certain tobacco-related activities and an issuer's involvement in the production of controversial weapons) (as described in Schedule VII).

The Fund will invest in Sustainable Investments as further set out in Schedule VIII.

The Investment Manager will manage the Fund's portfolio so that the Fund will have a lower carbon emissions intensity than the Bloomberg Euro Corporate Index (the "**Index**").

BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy (as defined below), subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

Benchmark

The Fund is actively managed and the Investment Manager has discretion to select the Fund's investments. In doing so, the Investment Manager will refer to the Index when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the Index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). The Index should be used by investors to compare the performance of the Fund.

iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg MSCI Euro Corporate Climate Paris-Aligned ESG Select Index (PAB).

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg MSCI Euro Corporate Climate Paris-Aligned ESG Select Index (PAB), the Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is investment grade. While it is intended that the Fund's investments will comprise investment grade issues that make up the Benchmark Index, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

It is intended that the Fund's direct investments will, at the time of purchase, comply with the environmental, social and governance ("**ESG**") requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements and/or ESG ratings of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the Fund will adopt a best-in-class approach to sustainable investing. The best-in-class approach means that by investing in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index, it is expected that the Fund will invest in the best issuers from an ESG perspective (based on the ESG criteria of the Benchmark Index) within each relevant sector of activities covered by the Benchmark Index. More than 90% of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities. By adopting the ESG methodology of the Benchmark Index, the Fund applies the extra-financial indicator upgrade approach for the purposes of the AMF ESG Rules, which means that the weighted average environmental indicator of the Fund (being the relevant extra-financial indicator of the Fund) will be at least 20% better than the weighted average environmental indicator of the Parent Index (as defined below) based on a reduction of carbon emission intensity.

The Base Currency of iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF is Euro (€).

Benchmark Index

The Bloomberg MSCI Euro Corporate Climate Paris-Aligned ESG Select Index (PAB) aims to reflect the performance of a sub-set of fixed income securities within the Bloomberg Euro Corporate Index (the "**Parent Index**") which excludes issuers from the Parent Index based on the index provider's ESG exclusionary criteria. The remaining constituents of the Parent Index are then weighted by the index provider, for inclusion in the Benchmark Index, using an optimisation process. The optimisation process aims to weight the Benchmark Index constituents to exceed the minimum standards for an EU Paris-aligned benchmark ("**PAB**") whilst minimising ex-ante tracking error of the Benchmark Index relative to the Parent Index.

The minimum standards for PABs, as benchmark indices aligned with the objectives of the Paris Agreement, are set out in the Commission Delegated Regulation (EU) 2020/1818.

The Parent Index measures the performance of fixed-rate, Euro-denominated securities issued by industrial, utility and financial corporations. Inclusion is based on the currency of the issue. The Parent Index includes investment grade bonds that have a minimum remaining time to maturity of one year and a minimum amount outstanding of €300 million.

To be eligible for inclusion in the Benchmark Index, the bonds must be rated investment grade (Baa3/BBB-/BBB- or higher) using the middle rating of Moody's, S&P and Fitch. Where a rating from only two agencies is available, the lower is used. When a rating from only one agency is available, that rating is used. Where an explicit bond level rating is not available, other sources may be used by the index provider to classify the credit quality of the bonds.

The Benchmark Index excludes issuers that are involved in the following business lines/activities (or related activities): controversial weapons; nuclear weapons; civilian firearms; conventional weapons; weapon systems, components, support systems and services; tobacco; thermal coal; oil and gas; unconventional oil and gas and power generation. The index provider defines what constitutes "involvement" in each restricted activity. This may be based on a percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. Issuers that are classified as violating the United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment) are also excluded.

The Benchmark Index also excludes companies which are identified by the index provider as being involved in controversies that have a negative ESG impact on their operations and/or products and services based on an MSCI ESG controversy score ("**MSCI ESG Controversy Score**"). Companies which are identified by the index provider as having faced controversies pertaining to environmental issues are excluded from the Benchmark Index based on an MSCI environmental controversy score ("**MSCI Environmental Controversy Score**"). The minimum MSCI ESG Controversy Score and the minimum MSCI Environmental Controversy Score set by the index provider to determine eligibility for inclusion in the Benchmark Index can be found at the index provider's website <https://www.msci.com/index-methodology>.

Securities must have an MSCI ESG Rating of B or higher for inclusion in the Benchmark Index. Issuers that have not been assessed by the index provider for an MSCI ESG rating are excluded from the Benchmark Index. An MSCI ESG rating is designed to measure an issuer's resilience to long-term, industry material ESG risks and how well it manages those ESG risks relative to industry peers. The MSCI ESG rating methodology aims to provide greater transparency and understanding of the ESG characteristics of issuers by identifying issuers with stronger MSCI ESG ratings as issuers that may be better positioned for future ESG-related challenges and that may experience fewer ESG-related controversies.

The remaining constituents are then weighted by the index provider in the Benchmark Index using the optimisation process outlined in the first paragraph of this section. In order to aim to exceed minimum standards of a PAB, the optimisation process has the following transition and physical climate risk targets:

- reduction of the weighted average absolute greenhouse gas (GHG) emissions relative to the Parent Index;
- reduction of the weighted average GHG emissions by a minimum annual rate relative to the GHG emissions at the Benchmark Index inception date;
- reduction of the weighted average carbon intensity relative to the Parent Index;
- reduction of the weighted average carbon intensity by a minimum annual rate relative to the carbon intensity at the Benchmark Index inception date;
- increased weighted average green revenue relative to the Parent Index;
- maintaining a minimum green to fossil-fuel based ratio relative to the Parent Index; and
- maintaining a minimum weighted average ESG score relative to the Parent Index;

according to the thresholds for such constraints determined by the index provider in the index methodology.

The optimisation process also applies certain index level constraints to its constituents, for example constituent weight, duration and yield related constraints, sector weightings and country weightings, relative to the Parent Index. Turnover of the Benchmark Index is also controlled by the optimisation process at each Benchmark Index review.

The Benchmark Index also seeks to allocate a proportion of the Benchmark Index to: (1) issuers that derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or

society, (2) issuers that have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi), or (3) fixed-income securities classified as "Green Bonds" by the index provider.

The Benchmark Index rebalances on a monthly basis to take into account changes to the Parent Index, in addition to applying the exclusionary and other criteria described above. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits>.

iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg MSCI Euro Corporate ex-Financials 1-5 Year ESG SRI Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income debt securities that as far as possible and practicable consists of the component securities of the Bloomberg MSCI Euro Corporate ex-Financials 1-5 Year ESG SRI Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index. It is intended that the Fund's direct investments will only be in the securities of issuers that comply with the index provider's socially responsible investment ("SRI") requirements and/or environmental, social and governance ("ESG") ratings and criteria.

The Fund will invest in transferable securities which will typically be fixed income debt securities, denominated in Euro. They will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Fund's direct investments will, at the time of purchase, comply with the SRI requirements and/or ESG ratings and criteria of the Fund's Benchmark Index. The Fund may hold securities which do not comply with the ESG rating requirements of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the Fund will adopt a best-in-class approach to sustainable investing. The best-in-class approach means that by investing in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index, it is expected that the Fund will invest in the best issuers from an ESG / SRI perspective (based on the ESG and SRI criteria of the Benchmark Index) within each relevant sector of activities covered by the Benchmark Index. More than 90% of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG and SRI criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities. As a result of the application of the ESG and SRI criteria of the Benchmark Index, the Fund applies the selectivity approach for the purposes of the AMF ESG Rules which means that the portfolio of the Fund is reduced by at least 20% compared to the Bloomberg Euro Aggregate Corporate Index (the "**Parent Index**"), calculated either (i) by number of issuers or (ii) by the relative weighting of the worst performers in the Benchmark Index.

The Base Currency of iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF is Euro (€).

Benchmark Index

The Bloomberg MSCI Euro Corporate ex-Financials 1-5 Year ESG SRI Index measures the performance of a subset of fixed-rate, investment-grade Euro denominated securities with remaining maturities between one and up to, but not including, five years issued by industrial and utility corporations in the Parent Index that meet the index provider's ESG, SRI and other criteria.

The Benchmark Index includes investment-grade bonds (based on the index provider's rating which uses the middle rating of the credit rating agencies Fitch, Moody's and Standard & Poor's) that have a remaining time to maturity of one and up to, but not including, five years and a minimum amount outstanding of €300 million. Inclusion is based on the currency of the issue, and not the domicile of the issuer. Financial corporations are excluded in the Benchmark Index.

The Benchmark Index applies exclusions in line with EU Paris-Aligned Benchmarks as set out in Commission Delegated Regulation (EU) 2020/1818 (as further described in the "EU Paris-aligned benchmark exclusions" sub-section of the "SFDR" section of the Prospectus).

In addition, the Benchmark Index applies the following ESG screens:

The Benchmark Index only includes issuers that have an MSCI ESG rating of BBB or higher. An MSCI ESG rating is designed to measure an issuer's resilience to long-term, industry material ESG risks and how well it manages those ESG risks relative to industry peers. The MSCI ESG rating methodology aims to provide greater transparency and understanding of the ESG characteristics of issuers by identifying issuers with stronger MSCI ESG ratings that may be better positioned to manage future ESG-related challenges and that may experience fewer ESG-related controversies.

The Benchmark Index applies the Bloomberg MSCI SRI Screen that excludes issuers that are involved in the following business lines/activities: adult entertainment, alcohol, civilian firearms, controversial weapons, conventional weapons, fossil fuels, gambling, genetically modified organisms, nuclear power, nuclear weapons, thermal coal and tobacco. The Bloomberg MSCI SRI Screen defines what constitutes "involvement" in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. Issuers that are classified as violating the United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment) are also excluded.

The Benchmark Index excludes issuers with a "Red" MSCI ESG Controversies score (less than 1) pursuant to ESG principles which measure each issuer's involvement in major ESG controversies.

Further details regarding the above mentioned ratings and exclusionary screenings methodology are available at <https://www.bloombergindeces.com/bloomberg-indices/>.

The Benchmark Index is market capitalisation weighted and rebalances on a monthly basis to take into account changes to the investable universe of the Benchmark Index in addition to applying the ratings and exclusionary screenings described above. Further details regarding the constituents of the Benchmark Index and their weightings are available at <https://www.bloombergindeces.com/bloomberg-indices/>.

iShares € Corp Bond ex-Financials UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Euro Corporate ex-Financials Bond Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income debt securities that as far as possible and practicable consists of the component securities of the Bloomberg Euro Corporate ex-Financials Bond Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities which will typically be fixed income debt securities, denominated in Euro. They will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares € Corp Bond ex-Financials UCITS ETF is Euro (€).

Benchmark Index

The Bloomberg Euro Corporate ex-Financials Bond Index measures the performance of fixed-rate Euro-denominated securities issued by industrial and utility corporations. Financial corporations are excluded in the Benchmark Index. Inclusion is based on the currency of the issue, and not the domicile of the issuer. The Benchmark Index includes investment grade bonds that have a minimum remaining time to maturity of one year and a minimum amount outstanding of €300 million. The Benchmark Index rebalances on a monthly basis and is

market capitalisation weighted. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares € Covered Bond UCITS ETF

Investment Objective

The investment objective of this Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the total return of the Euro-denominated covered bond market.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of covered bonds that as far as possible and practicable consists of the component securities of the iBoxx Euro Covered Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in bonds which at the time of purchase, meets the credit rating requirements of the Benchmark Index which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares € Covered Bond UCITS ETF is Euro (€), and the Fund will not undertake any exposure to currencies other than Euro, except in the efficient portfolio management of changes to the Benchmark Index of this Fund and in the management of any future Share classes of this Fund which may be denominated in a currency other than Euro.

Benchmark Index

The iBoxx Euro Covered Index measures the performance of Euro denominated fixed rate covered bonds which are secured by a general pool of assets in case the issuer becomes insolvent. Eligible covered bonds are selected for inclusion in accordance with iBoxx's index methodology and include criteria such as UCITS specification, structure, trading patterns, issuance process, liquidity and spread levels. Bonds must have a minimum issue size of at least €500 million.

Bonds must be rated investment grade according to the index provider's methodology and have at least one year remaining to maturity to be eligible for the Benchmark Index. The iBoxx Euro Covered Index is weighted by market capitalisation. The Benchmark Index rebalances on a monthly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at products.markit.com/indices/UCITS/Indices.aspx.

iShares € Flexible Income Bond Active UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to maximise income by primarily investing in debt and income-producing securities while seeking to maintain long term capital growth.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest in fixed income transferable securities (i.e. bonds) issued by governments, government agencies, companies, supranationals worldwide, including in emerging markets, and asset-backed securities, described further below. In order to maximise income, the Fund will seek diversified income sources across a variety of such fixed income transferable securities, namely fixed rate, floating rate, inflation-linked, investment grade, non-investment grade and unrated. The Fund may invest up to 60% of its assets in non-investment grade and unrated securities.

The Fund will seek to invest in fixed income transferable securities and asset-backed securities that are, in the opinion of the Investment Manager, attractively priced, having regard to top-down asset allocation factors (such as interest rates, global economic trends as well as the credit cycle and geopolitical developments), bottom-up security analysis (identifying fixed-income transferable securities that are undervalued by the market), the contribution to the Fund's income, leverage and/or subordination, default risk and liquidity as well as risk factors as outlined below. The Investment Manager seeks to add value across a broad investment universe in order to identify attractive investment opportunities while mitigating macroeconomic risks. Macro regime (i.e. periods of time that set the conditions for the economy as a whole) identification informs the top-down asset allocation and takes into account a variety of factors including, but not limited to, inflation, central bank policies and interest rates. From a bottom-up security analysis the Investment Manager will form a view on the underlying issuer's creditworthiness and valuations of the fixed income transferable securities, as well as credit fundamentals, sector trends, idiosyncratic risk, and market technicals, such as investor flows into the asset class. Having formed a view on the credit of an issuer, the Investment Manager will also consider which tranche in the debt stack of the issuer is most attractively valued. Additionally, both fundamental and quantitative analysis are integral to the research process and are considered by the Investment Manager when identifying potential opportunities and reviewing securities held in the portfolio.

Currency exposure is flexibly managed, this means that the Investment Manager may be expected to regularly employ currency management and hedging techniques in the Fund. Techniques used may include hedging the currency exposure on the Fund's portfolio or/and using currency management techniques such as currency overlays to generate positive returns. A currency overlay strategy involves the creation of long positions and synthetic trades in currencies to implement tactical views using currency derivatives, namely forward foreign exchange contracts, currency futures, options and swaps providing exposure to changes in exchange rates. This does not mean that the Fund's portfolio will always be hedged in whole or in part.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund may invest up to 20% in aggregate of its total assets in emerging markets.

The Fund may invest up to 35% of total assets in asset-backed securities ("ABS"). Within this limit the Fund may invest up to 25% of its total assets in collateralised loan obligations ("CLOs"), provided at least 80% of the Fund's investment in CLOs is invested in AAA-rated tranches and the remainder in investment grade tranches, or, alternatively, the Fund may invest up to 10% of its total assets in CLOs without credit rating restrictions. In circumstances where the Fund invests over 10% of its total assets in CLOs, the credit rating restrictions outlined above will apply to the entire CLO allocation. Other types of ABS that the Fund may invest in include mortgage-backed securities, asset-backed commercial paper, commercial mortgage-backed securities, real estate mortgage investment conduits and residential mortgage-backed securities.

The underlying assets of residential mortgage-backed securities and commercial mortgage-backed securities are residential mortgage loans and commercial mortgage loans respectively. Other types of ABS include credit card ABS which are backed by credit card receivables, auto ABS which are backed by auto loans and leases, student loan ABS which are backed by student loans, CLOs which are backed by corporate loans and Asset-Backed Commercial Paper ("ABCP") which can be backed by any type of financial receivable. Certain asset-backed securities may be structured by using a derivative such as a credit default swap or a basket of such derivatives to gain exposure to the performance of securities of various issuers without having to invest in the securities directly. Further information on the ABS the Fund may invest in can be found in the section entitled "Risk Factors" - "Considerations relating to specific types of ABS in which the Fund may invest".

ABS are typically split into tranches, representing differing levels of risk. The Fund's investments in ABS will typically be in investment grade tranches (rated from AAA to BBB-), however up to 10% of the Fund's total ABS may be in tranches that are rated below investment grade (i.e. a rating below BBB-, as rated by a recognised rating agency including but not limited to Standard & Poor's, Moody's, Fitch, DBRS Morningstar or Kroll Bond Rating Agency; or if unrated, deemed to be of equivalent quality in the opinion of the Investment Manager). ABS held by the Fund will comply with the Securitisation Regulation and may be unlisted or be listed or traded on a Regulated Market.

The Fund's exposure to contingent convertible bonds is limited to 10% of total assets.

The Fund may invest in securities of an issuer in high risk of default (i.e. a credit rating below CCC-, as rated by a recognised rating agency including but not limited to Standard & Poor's, Moody's, Fitch, DBRS Morningstar or Kroll Bond Rating Agency; or if unrated, deemed to be of equivalent quality in the opinion of the Investment Manager) and may remain invested in securities of an issuer that is in default. The Fund's exposure to securities of an issuer that is either in default or in high risk of default is limited to 10% of the Fund's total assets.

The Fund may also invest up to 20% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures, options, forward contracts and options on such contracts, mortgage TBAs (to-be-announced securities) and swap contracts (including credit default swaps and total return swaps) and credit derivatives in accordance with the limitations set down in Schedule II (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the fixed income securities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund. Details of indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

ESG Policy

The Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out below. A minimum of 80% of the Fund's total assets will be invested in assets that are aligned with the environmental and/or social criteria. A maximum of 20% of the portfolio may consist of assets that are not aligned with such environmental and social criteria. Such assets may include cash and cash equivalents, units of other collective investment schemes, FDI and securities issued by unscreened issuers.

The Investment Manager will apply the BlackRock EMEA Baseline Screens or, where applicable, screens for CLOs, which include the involvement in certain tobacco-related activities, the production of controversial weapons and the reduction of environmental pollution (as described in Schedule VII and further below). For ABS other than CLOs, the Investment Manager will seek to limit exposure to investments that are deemed to have associated negative externalities.

Screens for CLOs

The Investment Manager intends to limit, to the extent sufficient data is available to do so, direct investment in CLO issuers which are identified as being involved in certain activities as summarised below, namely CLO issuers which:

- are engaged in, or are otherwise exposed to, the production of controversial weapons (including cluster munitions, biological-chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons);
- derive any revenue from direct involvement in the production of nuclear weapons, nuclear weapon components or delivery platforms or the provision of auxiliary services related to nuclear weapons;
- produce, or are exposed to issuers that produce, civilian firearms and/or civilian small arms ammunitions intended for retail to civilians;
- have themselves, or whose underlying issuers have, been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption);
- are engaged in the production of tobacco;
- have in aggregate more than 5% of their assets exposed to issuers which individually derive more than 5% of their revenues from retail distribution of small arms intended for civilian use;
- have in aggregate more than 5% of their assets exposed to issuers which individually derive more than 5% of their revenues from thermal coal extraction or power generation, or, oil tar sands production (also known as oil sands);
- have in aggregate more than 5% of their assets exposed to issuers which individually derive more than 5% of their revenues from tobacco distribution, retail, and supply of certain tobacco-related products; and
- have in aggregate more than 5% of their assets exposed to issuers which individually derive more than 5% of their revenues from adult entertainment materials or services.

The screens for CLOs will be applied to CLO issuers only to the extent that sufficient ESG data is available. Where sufficient data is not available to screen a CLO issuer (an "**Unscreened CLO Issuer**"), the Fund may hold the Unscreened CLO Issuer provided that the assets that are not aligned with the Fund's environmental and social criteria do not comprise more than 20% of the Fund.

The Investment Manager will also employ its proprietary methodology to assess investments based on the extent to which they are associated with positive or negative externalities, that is environmental and social benefits or costs as defined by the Investment Manager. The Investment Manager will seek to enhance exposure to investments that are deemed to have associated positive externalities (e.g. lower carbon emitting issuers and issuers with positive ESG credentials) and seek to limit exposure to investments that are deemed to have associated negative externalities (e.g. higher carbon emitters, issuers with certain controversial business practices, and issuers with negative ESG credentials).

The assessment of the level of involvement in each activity may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. The remaining issuers (i.e. those issuers which have not yet been excluded from investment by the Fund) are then evaluated by the Investment Manager based on, among other factors, their ability to manage the risks and opportunities associated with ESG compliant business practices and their ESG risk and opportunity credentials, such as their leadership and governance framework, which is considered essential for sustainable growth, their ability to strategically manage longer-term issues surrounding ESG and the potential impact this may have on an issuer's financials. To undertake this analysis, the Investment Manager may use data provided by external ESG providers, proprietary models and local intelligence and may undertake site visits.

The ESG criteria, as described above, may evolve and advance over time. Furthermore, the Fund may gain indirect exposure (through, including but not limited to, derivatives and shares or units of collective investment schemes) to issuers with exposures that are inconsistent with the ESG criteria used by the Investment Manager as described above. Circumstances in which such indirect exposure may arise include, but are not limited to, where a counterparty to a derivative in which the Fund invests posts collateral which is inconsistent with the Fund's ESG criteria or where a collective investment scheme in which the Fund invests does not apply any or the same ESG criteria as the Fund and so provides exposure to securities which are inconsistent with the Fund's ESG criteria. The Investment Manager may take corrective action in such circumstances.

BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy (as defined below), subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

Benchmark

The Fund is actively managed, and the Investment Manager has full discretion to select the Fund's investments and is not bound by any index. The Bloomberg Euro Aggregate Bond Index may be used by investors to compare the performance of the Fund to the performance of the market for Euro-denominated bonds.

The Base Currency of iShares € Flexible Income Bond Active UCITS ETF is Euro (€).

iShares € Govt Bond 0-1yr UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Euro Short Treasury (0-12 Months) Bond Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg Euro Short Treasury (0-12 Months) Bond Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities and money market instruments issued or guaranteed by governments or public international bodies. Such instruments may be fixed and/or floating rate and will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares € Govt Bond 0-1yr UCITS ETF is Euro (€), and the Fund will not undertake any exposure to currencies other than Euro, except in the efficient portfolio management of changes to the Benchmark Index of the Fund and in the management of any future Share classes of the Fund which may be denominated in a currency other than Euro.

Benchmark Index

The Bloomberg Euro Short Treasury (0-12 Months) Bond Index measures the performance of fixed rate Euro denominated government bonds with remaining maturity of 0 to 12 months issued by governments of the Eurozone. Only investment grade bonds with maturities greater than 12 months at original issuance and a minimum amount outstanding of €300 million are eligible for the Benchmark Index. The Benchmark Index rebalances on a monthly basis and is market capitalisation weighted. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares € Govt Bond 10-15yr UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Euro Government Bond 10-15 yr Term Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg Euro Government Bond 10-15 yr Term Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities which will typically be fixed income debt securities. They will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares € Govt Bond 10-15yr UCITS ETF is Euro (€), and the Fund will not undertake any exposure to currencies other than Euro, except in the efficient portfolio management of changes to the Benchmark Index of the Fund and in the management of any future Share classes of the Fund which may be denominated in a currency other than Euro.

Benchmark Index

The Bloomberg Euro Government Bond 10-15 yr Term Index measures the performance of Euro denominated fixed rate government bonds that have recently been issued and have a remaining maturity of between ten and fifteen years. The Benchmark Index includes investment grade bonds issued by certain EMU member states that have a minimum amount outstanding of €2 billion. The Benchmark Index rebalances on a monthly basis and is market capitalisation weighted. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares € Govt Bond 5-7yr UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Euro Government Bond 5-7yr Term Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg Euro Government Bond 5-7yr Term Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities which will typically be fixed income debt securities. They will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares € Govt Bond 5-7yr UCITS ETF is Euro (€), and the Fund will not undertake any exposure to currencies other than Euro, except in the efficient portfolio management of changes to the Benchmark Index of the Fund and in the management of any future Share classes of the Fund which may be denominated in a currency other than Euro.

Benchmark Index

The Bloomberg Euro Government Bond 5-7yr Term Index measures the performance of Euro denominated fixed rate government bonds that have recently been issued and have a remaining maturity of between five and seven years. The Benchmark Index includes investment grade bonds issued by certain EMU member states that have a minimum amount outstanding of €2 billion. The Benchmark Index rebalances on a monthly basis and is market capitalisation weighted. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares € Govt Bond Climate UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the FTSE Advanced Climate Risk-Adjusted European Monetary Union Government Bond Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that, as far as possible and practicable, consists of the component securities of the FTSE Advanced Climate Risk-Adjusted European Monetary Union Government Bond Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in fixed income securities issued by governments. They will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is investment grade. While it is intended that the Fund's investments will comprise investment grade issues that make up the Benchmark Index, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares € Govt Bond Climate UCITS ETF is Euro (€).

Benchmark Index

The FTSE Advanced Climate Risk-Adjusted European Monetary Union Government Bond Index measures the performance of government bonds in the FTSE EMU Government Bond Index (the "Parent Index"), which consists of government bonds of countries participating in the EMU (subject to the eligibility criteria listed below), while seeking to provide higher exposure to countries less exposed to climate change risks and lower exposure to countries that are more exposed to climate change risks. The Benchmark Index weights the government bonds of each country based on the market capitalisation of the country's eligible debt (in the same way as the Parent Index) but the index provider also applies a tilting methodology to adjust the weights based on its assessment of each country's relative climate risk exposure. The index provider will also apply constraints to the constituents of the Benchmark Index, relative to the Parent Index, to help ensure index diversification and manage concentration risk.

The exposure of each country to climate risk is measured across three distinct and quantitative climate-related pillars: (i) transition risk, which represents the effort required to reduce the country's greenhouse gas emissions to reach the level of modelled emissions budgeted for the country in order to ensure the global average temperature does not exceed the level designated by the index provider; (ii) physical risk, which represents the level of climate related risk exposure to the country and its economy from the physical effects of climate change (for example, sea level exposure and climate related natural disasters); and (iii) resilience, which represents a country's preparedness (for example its governmental effectiveness and its disaster preparedness) and actions taken (for example, the percentage of the country's territory (terrestrial and marine) that is protected and the country's afforestation rate) to cope with its level of climate related risk exposure. A single combined score across these three pillars is derived for each country in the Parent Index and this score is used to reweight the exposure to the country within the Benchmark Index. In deriving this combined score, the three pillars are given equal weight.

To be eligible for inclusion in the Benchmark Index, a government bond must (1) be fixed rate; (2) be issued in Euro (€) by a country within the EMU; (3) have at least one year until maturity; (4) meet minimum thresholds for market accessibility and issue size; and (5) be rated investment grade by S&P (A- or higher) and by Moody's (A3 or higher). Existing constituents will be removed from the Benchmark Index if they become rated below investment grade by both S&P (below BBB-) and Moody's (below Baa3). When a bond is rated investment grade by one rating agency and high-yield by the other, the S&P equivalent of the investment-grade credit quality rating is assigned to the bond.

The Benchmark Index rebalances on a monthly basis save that each country's climate score is only updated and applied annually. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.yieldbook.com/m/indexes/fund/> and <http://www.yieldbook.com/m/indices/search.shtml>.

iShares € High Yield Corp Bond Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 80% of its total assets in high yield (or where unrated deemed by the Investment Manager to be of an equivalent rating) fixed income securities issued by corporate issuers (i.e. corporate bonds) in developed markets and instruments relating to such securities (namely credit default swaps, currency swaps, futures and forwards), in each case denominated in Euro. The Fund may (in addition to fixed income securities issued by corporate issuers and related instruments) invest in government bonds, municipal bonds, sovereign and supranational debt, and instruments relating to such bonds denominated in Euro.

The Fund may invest up to 20% of its total assets in fixed income securities (or instruments related to such securities) of issuers domiciled in emerging markets and denominated in Euro.

The fixed income securities and instruments in which the Fund invests may be investment grade (or deemed by the Investment Manager to be of an equivalent rating), below investment grade or unrated and may be fixed or floating rate. The Fund does not have any specific industry focus.

The Investment Manager employs its systematic credit strategy to assist the Investment Manager in achieving the Fund's investment objective, which is to participate in greater market upside and to reduce market downside relative to the Index (defined below). This strategy uses a systematic (i.e. rules-based) process that combines quantitative (i.e. mathematical or statistical) modelling techniques with the Investment Manager's analysis. The systematic credit models include Euro denominated corporate bonds that are scored and ranked on quantitative factors such as fundamentals and valuation. Within the fundamentals category, the Investment Manager uses techniques to assess security characteristics such as corporate quality using its proprietary probability of default measure. Within the valuations category, the Investment Manager uses techniques to identify and compare the most mispriced bonds versus their intrinsic value.

The Investment Manager will monitor and manage the Fund's exposure to Distressed Securities. The level of Distressed Securities held within the Fund will be maintained at no more than 50% greater than the proportion of such securities in the ICE BofA Euro High Yield Constrained Index (the "**Index**").

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures, forward contracts and swap contracts (including credit default swaps, currency swaps and total return swaps) in accordance with the limitations set down in Schedule II (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the fixed income securities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund. Details of indices used by the Fund will be provided in the annual report of the Company.

The maximum proportion of the Net Asset Value of the Fund that can be subject to total return swaps is 50%. The expected proportion of the Net Asset Value of the Fund that will be subject to total return swaps is 0%. The expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Base Currency of iShares € High Yield Corp Bond Enhanced Active UCITS ETF is Euro (€).

ESG Policy

The Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out below.

The Investment Manager will apply the BlackRock EMEA Baseline Screens (which include screens related to an issuer's involvement in certain tobacco-related activities and an issuer's involvement in the production of controversial weapons) (as described in Schedule VII).

The Fund will invest in Sustainable Investments as further set out in Schedule VIII.

The Investment Manager will manage the Fund's portfolio so that the Fund will have a lower carbon emissions intensity than the Index.

BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy (including the ESG Policy), subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

Benchmark

The Fund is actively managed and the Investment Manager has discretion to select the Fund's investments. In doing so, the Investment Manager will refer to the Index when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the Index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). Although the Fund is not constrained by the Index's composition or weightings and may invest in securities outside the Index, the Index is nonetheless representative of the general investment universe and risk-return characteristics relevant to the Fund's strategy. Accordingly, the Index should be used by investors to compare the performance of the Fund.

iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg MSCI Euro Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB).

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg MSCI Euro Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB), the Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

It is intended that the Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is sub-investment grade. While it is intended that the Fund's investments will comprise sub-investment grade issues, issues may be upgraded or downgraded in certain circumstances from time to time. In such event the Fund may continue to hold such investment grade or unrated issues until such time as the issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

It is intended that the Fund's direct investments will, at the time of purchase, comply with the environmental, social and governance ("ESG") requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements and/or ESG ratings of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the Fund will adopt a best-in-class approach to sustainable investing. The best-in-class approach means that by investing in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index, it is expected that the Fund will invest in the best issuers from an ESG perspective (based on the ESG criteria of the Benchmark Index) within each relevant sector of activities covered by the Benchmark Index. More than 90% of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities. By adopting the ESG methodology of the Benchmark Index, the Fund applies the extra-financial indicator upgrade approach for the purposes of the AMF ESG Rules, which means that the weighted average environmental indicator of the Fund (being the relevant extra-financial indicator of the Fund) will be at least 20% better than the weighted average environmental indicator of the Parent Index (as defined below) based on a reduction of carbon emission intensity.

The Base Currency of iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF is Euro (€).

Benchmark Index

The Bloomberg MSCI Euro Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB) aims to reflect the performance of a sub-set of fixed income securities within the Bloomberg European High Yield 3% Issuer Capped Index (the "**Parent Index**") which excludes issuers from the Parent Index based on the index provider's ESG exclusionary criteria. The remaining constituents of the Parent Index are then weighted by the index provider, for inclusion in the Benchmark Index, using an optimisation process. The optimisation process aims to weight the Benchmark Index constituents to exceed the minimum standards for an EU Paris-aligned benchmark ("**PAB**") whilst minimising ex-ante tracking error of the Benchmark Index relative to the Parent Index.

The minimum standards for PABs, as benchmark indices aligned with the objectives of the Paris Agreement, are set out in the Commission Delegated Regulation (EU) 2020/1818.

The Parent Index measures the performance of fixed-rate, Euro-denominated, high yield securities issued by developed market issuers as determined by the index provider. Inclusion is based on the currency of the issue. The Parent Index includes investment grade bonds that have a minimum remaining time to maturity of one year and a minimum amount outstanding of €100 million.

To be eligible for inclusion in the Benchmark Index, the bonds must be rated high yield (Ba2/BB+/BB+ or lower) using the middle rating of Moody's, S&P and Fitch. Where a rating from only two agencies is available, the lower is used. When a rating from only one agency is available, that rating is used. Where an explicit bond level rating is not available, other sources may be used by the index provider to classify the credit quality of the bonds.

The Benchmark Index excludes issuers that are involved in the following business lines/activities (or related activities): controversial weapons; nuclear weapons; civilian firearms; conventional weapons; weapon systems, components, support systems and services; tobacco; thermal coal; oil and gas; unconventional oil and gas and power generation. The index provider defines what constitutes "involvement" in each restricted activity. This may be based on a percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. Issuers that are classified as violating the United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment) are also excluded.

The Benchmark Index also excludes companies which are identified by the index provider as being involved in controversies that have a negative ESG impact on their operations and/or products and services based on an MSCI ESG controversy score ("MSCI ESG Controversy Score"). Companies which are identified by the index provider as having faced controversies pertaining to environmental issues are excluded from the Benchmark Index based on an MSCI environmental controversy score ("MSCI Environmental Controversy Score"). The minimum MSCI ESG Controversy Score and the minimum MSCI Environmental Controversy Score set by the index provider to determine eligibility for inclusion in the Benchmark Index can be found at the index provider's website <https://www.msci.com/index-methodology>.

Securities must have an MSCI ESG Rating of B or higher for inclusion in the Benchmark Index. Issuers that have not been assessed by the index provider for an MSCI ESG rating are excluded from the Benchmark Index. An MSCI ESG rating is designed to measure an issuer's resilience to long-term, industry material ESG risks and how well it manages those ESG risks relative to industry peers. The MSCI ESG rating methodology aims to provide greater transparency and understanding of the ESG characteristics of issuers by identifying issuers with stronger MSCI ESG ratings as issuers that may be better positioned for future ESG-related challenges and that may experience fewer ESG-related controversies.

The remaining constituents are then weighted by the index provider in the Benchmark Index using the optimisation process outlined in the first paragraph of this section. In order to aim to exceed minimum standards of a PAB, the optimisation process has the following transition and physical climate risk targets:

- reduction of the weighted average absolute greenhouse gas (GHG) emissions relative to the Parent Index;
- reduction of the weighted average GHG emissions by a minimum annual rate relative to the GHG emissions at the Benchmark Index inception date;
- reduction of the weighted average carbon intensity relative to the Parent Index;
- reduction of the weighted average carbon intensity by a minimum annual rate relative to the carbon intensity at the Benchmark Index inception date;
- increased weighted average green revenue relative to the Parent Index;
- maintaining a minimum green to fossil-fuel based ratio relative to the Parent Index; and
- maintaining a minimum weighted average ESG score relative to the Parent Index;

according to the thresholds for such constraints determined by the index provider in the index methodology.

The optimisation process also applies certain index level constraints to its constituents, for example constituent weight, duration and yield related constraints, sector weightings and country weightings, relative to the Parent Index. Turnover of the Benchmark Index is also controlled by the optimisation process at each Benchmark Index review.

The Benchmark Index also seeks to allocate a proportion of the Benchmark Index to: (1) issuers that derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or

society, (2) issuers that have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi), or (3) fixed-income securities classified as "Green Bonds" by the index provider.

The Benchmark Index rebalances on a monthly basis to take into account changes to the Parent Index in addition to applying the exclusionary and other criteria described above. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits>.

iShares £ Corp Bond ex-Financials UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the iBoxx GBP Non-Financials Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income debt securities that as far as possible and practicable consists of the component securities of the iBoxx GBP Non-Financials Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities which will typically be fixed income debt securities denominated in Sterling. They will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares £ Corp Bond ex-Financials UCITS ETF is Sterling (Stg£).

Benchmark Index

The iBoxx GBP Non-Financials Index measures the performance of fixed-rate Sterling-denominated securities issued by public or private corporations in the basic materials, consumer goods, consumer services, health care, industrials, oil and gas, telecommunications, technology and utilities sectors. Financial corporations are excluded in the Benchmark Index. Inclusion is based on the currency of the issue, and not the domicile of the issuer. The Benchmark Index includes investment grade bonds that have a minimum remaining time to maturity of one year and a minimum amount outstanding of Stg£250 million. The Benchmark Index rebalances on a monthly basis and is market capitalisation weighted. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at products.markit.com/indices/UCITS/Indices.aspx.

iShares AI Adopters & Applications UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the STOXX Global AI Adopters and Applications Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the STOXX Global AI Adopters and Applications Index, this Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

It is intended that the Fund's direct investments will, at the time of purchase, comply with the environmental, social and governance ("ESG") requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements and/or ESG ratings of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares AI Adopters & Applications UCITS ETF is US Dollar (US\$).

Benchmark

The STOXX Global AI Adopters and Applications Index aims to reflect the performance of a subset of equity securities of eligible countries globally within the STOXX World AC Universal All Cap Index (the "**Underlying Index**"). The Benchmark Index is comprised of companies that benefit from the advancement of artificial intelligence across various domains such as finance, healthcare, mobility, process automation and operational areas (the "**AI Adopters & Applications Theme**").

The index provider uses data generated from independent research providers to identify issuers which have exposure to the AI Adopters & Applications Theme.

To be eligible for inclusion in the Benchmark Index, companies must (i) have a 3-month median daily traded volume greater than or equal to \$1 million (USD); (ii) have a free float market capitalisation greater than or equal to \$200 million (USD); (iii) meet the inclusion criteria defined by their patent and revenue exposure to the AI Adopters & Applications Theme as outlined below and determined by the index provider; and (iv) be domiciled in an eligible country, as determined by the index provider.

To determine the eligible universe, companies are screened for their patent exposure to technologies associated with the AI Adopters & Applications Theme and revenue exposure to sectors identified for AI Adopters & Applications Theme per thresholds set by the index provider. Patent quality and exposure to the AI Adopters & Applications Theme is assessed based on the citations as a measure of technology relevance and market coverage of the patents held as determined by the index provider. Both citations and markets coverage are weighted so that newer citations or larger countries are more relevant to determine the patent quality metric. The index provider further assigns companies to two pillars depending on how they gain exposure to the AI Adopters & Applications Theme and selects companies that satisfy at least one of the following inclusion criteria:

- Pillar 1 includes highest ranking companies in terms of high quality active patents relevant to the AI Adopters & Applications Theme based on thresholds set by the index provider in accordance with the Benchmark Index methodology;
- Pillar 2 includes highest ranking companies in terms of market share based on revenue thresholds set by the index provider in accordance with the Benchmark Index methodology

In addition to the above, the Benchmark Index seeks to exclude companies classified as Non-Compliant with Sustainalytics' Global Standards Screening ("GSS"). GSS provides an assessment of a company's impact on stakeholders and the extent to which a company causes, contributes or is linked to violations of international norms and standards. The basis of the GSS assessments include the United Nations Global Compact ("UNGC") Principles. The Benchmark Index also excludes issuers based on ESG principles which measure each issuer's involvement in severe ESG controversies.

The Benchmark Index also seeks to exclude companies based on ESG exclusionary criteria. The Benchmark Index seeks to exclude issuers from the Underlying Index based on their involvement in the following business lines/activities (or related activities): controversial weapons, weapons (such as small arms and military contracting), tobacco, nuclear power, thermal coal, conventional oil and gas and unconventional oil and gas. The index provider defines what constitutes "involvement" in each restricted activity. This may be based on percentage of revenue, defined total revenue threshold, ownership threshold or any connection to a restricted activity regardless of the amount of revenue received.

The index provider seeks to allocate a proportion of the Benchmark Index to companies that either: (1) derive a minimum net positive revenue from products or services that seek to contribute to addressing environmental or social issues, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi).

The Benchmark Index is adjusted equally weighted. The Benchmark Index constituents' weights are capped at each rebalance and on a quarterly basis if it is deemed necessary by the index provider in accordance with the issuer capping limits of the index methodology.

The Benchmark Index rebalances on an annual basis in June. Companies which are no longer eligible for the Underlying Index will be removed from the Benchmark Index at the time of the annual rebalance. In addition, on a quarterly basis, current constituents of the Benchmark Index are screened for their involvement in severe ESG controversies and adherence to international norms and principles, and issuers which are no longer eligible will be removed at the relevant quarter. Any removed companies are not replaced in the Benchmark Index.

The Fund may trade China A Shares via Stock Connect. Further details regarding the Benchmark Index and the Underlying Index (including constituents) are available on the index provider's website at <https://www.stoxx.com/indices> and <https://stoxx.com/index/stxaiapv/?components=true>.

iShares AI Infrastructure UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the STOXX Global AI Infrastructure Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the STOXX Global AI Infrastructure Index, this Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

It is intended that the Fund's direct investments will, at the time of purchase, comply with the environmental, social and governance ("ESG") requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements and/or ESG ratings of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares AI Infrastructure UCITS ETF is US Dollar (US\$).

Benchmark

The STOXX Global AI Infrastructure Index aims to reflect the performance of a subset of equity securities of eligible countries globally within the STOXX World AC Universal All Cap Index (the "**Underlying Index**"). The Benchmark Index is comprised of companies that are expected to play a central role in the development and evolution of the building block components for artificial intelligence, such as semiconductors, cloud computing and big data technologies (the "**AI Infrastructure Theme**").

The index provider uses data generated from independent research providers to identify issuers which have exposure to the AI Infrastructure Theme.

To be eligible for inclusion in the Benchmark Index, companies must (i) have a 3-month median daily traded volume greater than or equal to \$1 million (USD); (ii) have a free float market capitalisation greater than or equal to \$200 million (USD); (iii) meet the inclusion criteria defined by their patent and revenue exposure to the AI Infrastructure Theme as outlined below and determined by the index provider; and (iv) be domiciled in an eligible country, also determined by the index provider.

To determine the eligible universe, companies are initially screened for their patent exposure to technologies associated with the AI Infrastructure Theme and revenue exposure to sectors identified for AI Infrastructure Theme per thresholds set by the index provider. Patent quality and exposure to the AI Infrastructure Theme is assessed based on citations as a measure of technology relevance and market coverage of the patents held as determined by the index provider. Both citations and markets coverage are weighted so that newer citations or larger countries are more relevant to determine the patent quality metric. The index provider further assigns companies to three pillars depending on how they gain exposure to the AI Infrastructure Theme and selects companies that satisfy at least one of the following inclusion criteria:

- Pillar 1 includes companies that have significant exposure to the AI Infrastructure Theme and generate annual revenues that meet thresholds set by the index provider in accordance with the Benchmark Index methodology;
- Pillar 2 includes highest ranking companies that hold high quality active patents relevant to the AI Infrastructure Theme based on thresholds set by the index provider in accordance with the Benchmark Index methodology;
- Pillar 3 includes highest ranking companies in terms of market share based on revenue thresholds set by the index provider in accordance with the Benchmark Index methodology

In addition to the above, the Benchmark Index seeks to exclude companies classified as Non-Compliant with Sustainalytics' Global Standards Screening ("GSS"). GSS provides an assessment of a company's impact on stakeholders and the extent to which a company causes, contributes or is linked to violations of international norms and standards. The basis of the GSS assessments include the United Nations Global Compact ("UNGC") Principles. The Benchmark Index also excludes issuers based on ESG principles which measure each issuer's involvement in severe ESG controversies.

The Benchmark Index also seeks to exclude companies based on ESG exclusionary criteria. The Benchmark Index seeks to exclude issuers from the Underlying Index based on their involvement in the following business lines/activities (or related activities): controversial weapons, weapons (such as small arms and military contracting), tobacco, nuclear power, thermal coal, conventional oil and gas, unconventional oil and gas. The index provider defines what constitutes "involvement" in each restricted activity. This may be based on percentage of revenue, defined total revenue threshold, ownership threshold or any connection to a restricted activity regardless of the amount of revenue received.

The index provider seeks to allocate a proportion of the Benchmark Index to companies that either: (1) derive a minimum net positive revenue from products or services that seek to contribute to addressing environmental or social issues, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi).

The Benchmark Index is adjusted equally weighted. The Benchmark Index constituents' weights are capped at each rebalance and on a quarterly basis if it is deemed necessary by the index provider in accordance with the issuer capping limits of the index methodology.

The Benchmark Index rebalances on an annual basis in June. Companies which are no longer eligible for the Underlying Index will be removed from the Benchmark Index at the time of the annual rebalance. In addition, on a quarterly basis, current constituents of the Benchmark Index are screened for their involvement in severe ESG controversies and adherence to international norms and principles, and issuers which are no longer eligible will be removed at the relevant quarter. Any removed companies are not replaced in the Benchmark Index.

The Fund may trade China A Shares via Stock Connect. Further details regarding the Benchmark Index and the Underlying Index (including constituents) are available on the index provider's website at <https://www.stoxx.com/indices> and <https://stoxx.com/index/stxainfv/?components=true>.

iShares AI Innovation Active UCITS ETF

Investment Objective

The investment objective of the Fund is to achieve long-term capital growth.

Investment Policy

The Fund is actively managed and the Investment Manager has full discretion to select the Fund's investments. The Fund will employ a fundamental active equity investment strategy. The Fund invests globally at least 70% of its total assets in the equity securities of large, medium and small market capitalisation developed and emerging market companies whose predominant economic activity is the advancement, development, and use of artificial intelligence ("**AI**") technology.

The Investment Manager considers a company to be an AI company if it is expected to derive future revenue from the advancement, enablement, development, and/or use of AI technology. Such companies are generally expected to operate in one or more of the following business areas: (i) computing and infrastructure (e.g., Graphics Processing Units (GPUs), cloud computing and data centres); (ii) foundational models (machine learning models trained on broad, large-scale data for the purposes of performing a wide variety of tasks); (iii) data (e.g., vertical industry data and proprietary data); (iv) software (e.g., enterprise applications); (v) services (e.g., information technology ("**IT**") services); (vi) internet (e.g., chatbots or content creation); or (vii) hardware (e.g., robotics, smart glasses). The Investment Manager determines, at its discretion, whether a company is an AI-related company.

The Investment Manager stores and analyses data from various sources, including company meetings, company conference calls, sell-side analysts and multiple data services and databases for the initial part of the investment process while determining appropriateness for this strategy. Depending on the business area as described above and maturity of the company, the Investment Manager uses a range of valuation metrics including discounted cash flow (i.e. valuing a company based on the present value of its expected future cash flows), and free cash flow yield (i.e. ratio of the cash flow from a company's operations to the company's market capitalisation), among others. Once the Investment Manager has initiated due diligence on the company, identified alignment to the AI theme and conducted analysis of the valuation and potential risks, stocks are selected by the Investment Manager on the basis of the team's bottom-up fundamental analysis (i.e. analysis that focuses on an individual company's intrinsic value by reference to its earnings, level of debt, competitive strengths, etc. rather than broader market conditions). The portfolio management team seeks to mitigate portfolio risk through diversification by business area as described above, country, market-capitalisation, issuer, and, to a lesser extent, investment style.

In normal market conditions the Fund will invest in equity securities of companies with large, medium and small market capitalisation (market capitalisation is the share price of the company multiplied by the number of shares issued). Although it is likely that most of the Fund's investments will be in companies located in developed markets globally, the Fund may also invest in emerging markets.

The Fund may invest up to 20% of its total assets in China via Stock Connect. Please refer to the "Risk Factors" section under the headings "Investment in the PRC" and "Risks Related to Investment in the PRC via the Stock Connect" for further information on investment in China.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or

the main business of which is in, global developed markets. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management".

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

ESG Policy

The Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out below.

The Investment Manager will apply the BlackRock EMEA Baseline Screens (which include screens related to issuer's involvement in certain tobacco-related activities and issuer's involvement in the production of controversial weapons) (as described in Schedule VII) and the Fundamental Insights Methodology (as described in Schedule VIIA).

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

Benchmark

The Fund is actively managed, and the Investment Manager has full discretion to select the Fund's investments and is not bound by any index. The MSCI ACWI Index (the "**Index**") should be used by investors to compare the performance of the Fund. As the Fund is actively managed, the Investment Manager is not bound by the components or weighting of the Index when selecting investments. The Fund's portfolio holdings are expected to deviate materially from the Index and the Investment Manager's discretion may result in performance that differs from the Index. The Fund will not seek to track the performance of, or replicate, the Index.

The Investment Manager will refer to the Morningstar Global Artificial Intelligence Select Index (the "**AI Index**") for risk management purposes to ensure that the active risk (i.e. degree of deviation from the AI Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the AI Index when selecting investments.

The Base Currency of iShares AI Innovation Active UCITS ETF is US Dollar (US\$).

iShares Asia ex Japan Equity Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to achieve long-term capital growth.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, Asia (not including Japan). The Fund does not have any specific industry focus.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund may invest up to 70% of its total assets in emerging markets. Such exposure may include up to 50% of its total assets in China via Stock Connect and up to 50% of its total assets in India. Please refer to the "Risk Factors" section under the headings "Investment in the PRC", "Risks Related to Investment in the PRC via the Stock Connect" and "India" for further information on investment in these countries.

The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value (companies whose

share price is indicative of good value, for example by reference to its estimated future earnings), momentum (companies that have experienced share price increases over a period of time) and quality (companies that demonstrate good quality characteristics such as the profitability of the company, the stability of its earnings and low levels of leverage/debt)), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy outlined below and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets outside Asia. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities. Such underlying equity securities may be issued from within emerging markets jurisdictions.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of this Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of this Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, Asia (not including Japan). Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" in this Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of this Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of this Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

ESG Policy

The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds) including but not limited to:

- (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.

- (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.
- (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

To undertake its analysis of ESG criteria, the Investment Manager may use data generated internally by the Investment Manager and/or its Affiliates or provided by one or more third party ESG research providers.

Should existing holdings, compliant at the time of investment subsequently become ineligible, they will be divested within a reasonable period of time.

The Fund may gain limited indirect exposure (through, including but not limited to, FDI and shares or units of collective investment schemes) to issuers with exposures that do not meet the ESG criteria described above.

It is the Investment Manager's intention that the above screens will evolve over time as improved data and more research on this subject becomes available. The full list may be amended from time to time at the Investment Manager's discretion and (unless it alters the description in this section) may be implemented without notification to Shareholders.

The Fund will invest in Sustainable Investments as set out above.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI AC Asia ex Japan Index (the "**Parent Index**"). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

Benchmark

The Fund is actively managed. The Investment Manager has discretion to select the Fund's investments and in doing so will refer to the MSCI AC Asia ex Japan 10/40 Index (the "**Index**") when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the Index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). The Parent Index should be used by investors to compare the performance of the Fund.

The Base Currency of iShares Asia ex Japan Equity Enhanced Active UCITS ETF is US Dollar (US\$).

iShares AT1 Bond Active UCITS ETF

Investment Objective

The investment objective of the Fund is to provide a total return, taking into account both capital and income returns, by primarily investing in additional tier 1 ("**AT1**") bonds.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 80% of its total assets in AT1 bonds denominated in different currencies and issued by banks domiciled in developed markets globally. AT1 bonds are described in further detail below.

The Fund will seek to identify AT1 bonds and other fixed-income securities (as specified below) that are, in the opinion of the Investment Manager, attractive investments that are appropriately priced based on fundamental (i.e. core analyses in respect of specific securities, such as cash flow, returns and leverage) and quantitative analyses (i.e. mathematical or statistical analyses on a macro level) conducted by the Investment Manager both when identifying potential opportunities and also reviewing securities held in the portfolio. The Investment Manager undertakes a fundamental analysis of the balance and earnings resilience of the relevant issuer in order to form a view on the issuer's creditworthiness. Sovereign risk (the risk relating to a government's credit rating) is also assessed, given the correlated nature of sovereign risk and banking sector risk, as is the relevant country's banking market structure. Quantitative analysis is also undertaken, which includes evaluation of macro-economic factors such as interest rates, recession risks, global economic trends, credit cycles and geopolitical risk. The resulting considerations are an input into the credit selection, as well as overall portfolio construction and positioning.

The Fund has full flexibility to invest in investment grade and sub-investment grade AT1 bond issues.

The Fund may invest up to 20% of its total assets in assets other than AT1 bonds issued by developed market banks, including AT1 bonds issued by banks domiciled in emerging markets and other fixed-income securities which may include government bonds, corporate bonds (including bonds issued by banks that do not qualify as regulatory capital), corporate hybrid bonds, tier 2 bonds (as further described below) and other securities issued by financial institutions that qualify as regulatory capital such as restricted tier 1 securities issued by insurance companies or CET1 equity securities (for further information on regulatory capital see the section entitled 'AT1 bonds and other regulatory capital' below). In each case fixed-income securities may be investment grade or sub-investment grade. The Fund may also invest in other equity securities (subject to a maximum limit of all equity securities (including CET1 equities) of 10%), FDI, other funds and money-market instruments. Please see further below for further information on these asset types.

The Fund's assets will be invested in accordance with the Fund's ESG Policy described below.

The Fund may invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

To assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures, forward contracts, options and swap contracts (including credit default swaps and currency swaps) in accordance with the limitations set down in Schedule II (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to exposure to the securities described above and for currency hedging purposes. Details of indices used by the Fund will be provided in the annual report of the Company.

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

AT1 bonds and other regulatory capital

AT1 bonds are a type of fixed-income security issued by banks to meet regulatory capital requirements. AT1 capital forms part of the Basel III global regulatory framework (an internationally agreed set of measures) which prescribes capital requirements for banks in order to strengthen their ability to withstand financial stress. Banks are required to hold minimum levels of common equity tier 1 capital ("**CET1**", which generally includes common stock and retained earnings) under this framework and AT1 bonds are an 'additional tier' of capital requirement over the CET1 capital requirements. The other category of securities issued by banks that qualifies as regulatory capital is tier 2 (upper and lower) bonds. Tier 2 bonds are senior to AT1 bonds and as such have a different risk and return profile. In the event of a trigger, AT1 bonds are written down prior to tier 2 bonds.

AT1 bonds are hybrid fixed-income securities that were created to help banks absorb capital losses in times of market stress in one or more of the following ways: by converting into equity securities or having their principal partly or wholly written off, in each case when the bank's capital ratio falls below a certain trigger level or when the issuer's regulator has determined that the bank has reached the point of non-viability (such as when the bank has been declared by the regulator as failing or likely to fail and no other private sector alternative or supervisory action other than the write-down and conversion of capital instruments could be found). The features of an AT1 issue are determined by the terms set out in the bonds' issuance documentation. All AT1 bonds are subordinated bonds designed to absorb the issuer's capital losses before other higher-ranking liabilities (such as more senior secured and unsecured debt securities), however, the loss absorption mechanism may take the form of conversion to equity or principal write-down.

AT1 bonds have no final maturity (i.e. are perpetual) and are callable subject to regulatory approval.

AT1 bonds typically have 'non-call' periods of between 5 and 10 years during which fixed rate coupons may be payable and after which the issuer may call and replace the AT1 bonds with a new issue. If AT1 bonds are not called, the coupon payment resets to the level over the prevailing market rate that the AT1 bond was initially created with. Coupon payments are non-cumulative and discretionary, and non-payment of a coupon is not considered a default.

Restricted tier 1 securities are bonds issued by insurance companies that have equivalent features to those of AT1 bonds described above (qualify as regulatory capital, subordinated to tier 2 bonds and have a loss absorption mechanism which may take the form of conversion to equity or principal write-down).

ESG Policy

The Investment Manager will manage the Fund to promote environmental and social characteristics based on the environmental and social criteria set out below.

The Investment Manager will apply the BlackRock EMEA Baseline Screens (as described in Schedule VII).

The Investment Manager will also employ its proprietary methodology to assess investments based on the extent to which they are associated with positive or negative externalities, that is environmental and social benefits or costs as defined by the Investment Manager from time to time. In determining positive and negative externalities, the Investment Manager may have regard to the considerations set out below.

The Fund's investments that may be considered by the Investment Manager to have positive externalities include where:

- the issuer has one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi) as validated by third-party vendor data or by way of the Investment Manager's own research and analysis;
- the issuer has involvement in positive environmental and social impact activities, as determined by the Investment Manager, which may be based on third-party vendor data or on the Investment Manager's own research and analysis (where the issuer is a bank, these may be revenues from financing green building and renewable energy projects, small and medium-sized enterprises and affordable real estate);
- the issuer demonstrates very strong management of environmental, social, and governance (ESG) risks and opportunities compared with its industry peers (this may be based on ratings from a third party data vendor or based on the Investment Manager's own research and analysis); and/or
- the investment is a "green bond" (which complies with the International Capital Markets Association's four Green Bond Principles) and which may or may not also be an AT1 security. Green bonds (AT1 or otherwise) are specifically issued with an environmental financing objective. The proceeds of a green bond are ringfenced for its environmental financing objective.

The Fund's investments that may be considered by the Investment Manager to have negative externalities include where:

- the issuer has been directly involved in a ESG controversy with a very serious, large-scale negative impact on the environment or society (which may include an issuer's involvement in gross human rights violations, major environmental disasters or large-scale corruption and fraud cases). This determination may be based on ratings from a third-party data vendor or on the Investment Manager's own research and analysis;
- the issuer demonstrates poor management measures concerning environmental, social, and governance (ESG) risks and opportunities compared with its industry peers (this may be based on ratings from a third-party data vendor or on the Investment Manager's own research and analysis).

The Investment Manager will seek to enhance exposure to investments that are deemed to have associated positive externalities (by ensuring that the Fund maintains an exposure greater than the Index (as defined below) by at least 5% to issuers with positive externalities) and seek to exclude exposure to investments that are deemed to have associated negative externalities in each case in order to promote environmental and social characteristics related to (i) the support for the transition to a lower carbon economy and (ii) climate change mitigation.

The Investment Manager will evaluate underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. The Investment Manager may also consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy (including the ESG Policy), subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, the ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

Benchmark

The Fund is actively managed, and the Investment Manager has full discretion to select the Fund's investments and is not bound by any index. The ICE Developed Markets Contingent Capital Index (the "**Index**") may be used by investors to compare the performance of the Fund to the performance of the market for developed markets AT1 bonds.

The Base Currency of iShares AT1 Bond Active UCITS ETF is Euro (€).

iShares Blockchain Technology UCITS ETF

Investment Objective

The investment objective of this Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the NYSE FactSet Global Blockchain Technologies Capped Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the NYSE FactSet Global Blockchain Technologies Capped Index, the Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

The Base Currency of iShares Blockchain Technology UCITS ETF is US Dollar (US\$).

Benchmark Index

The NYSE FactSet Global Blockchain Technologies Capped Index aims to measure the performance of globally listed companies that are involved in the research, enablement, development, and deployment of blockchain and cryptocurrency technologies and applications which comply with the index provider's size, liquidity and free-float criteria. Blockchain can be defined as technologies characterised by a suite of shared, peer-to-peer, decentralised, and immutable ledgers ideally suited for recording information. These unique characteristics make blockchain an important and valuable innovation with many potential applications, spanning across the areas of finance, healthcare, manufacturing, consumers, and public sector services. Cryptocurrency is a digital asset that typically uses blockchain's decentralised and secured ledger as a method of verifying transactions and ownership.

The universe from which the Benchmark Index constituents are selected is comprised of common stocks, ADRs, or GDRs of companies that are listed on a major exchange that is accessible by foreign investors in an eligible developed or emerging market country, as determined by the index provider.

Securities of companies whose primary business is the research, development, and deployment of blockchain technologies, mining and transacting of cryptocurrency, as well as broader use cases of blockchain beyond cryptocurrencies are categorised as Tier 1. Securities of companies that design and manufacture graphics processing unit (GPU) chips necessary for the validation ("mining") of blocks in the blockchain network and securities of companies whose ancillary businesses are the blockchain technologies and applications (as described in respect of Tier 1 above) are categorised as Tier 2. All qualifying Tier 1 securities are included in the Benchmark Index. The top ten qualifying Tier 2 securities, as ranked based on their security-level float-adjusted market capitalisation, are included in the Benchmark Index. If the resulting number of securities in the Benchmark Index is less than 35 securities, then additional qualifying Tier 2 securities are included in the Benchmark Index based on their rank until the minimum constituent count is met.

The Benchmark Index aims to have at least 75% of Tier 1 securities subject to capping of individual security weights (12% in respect of Tier 1 securities, provided that the cumulative weight of Tier 1 securities whose weights are greater than 4.5% does not exceed 45%, and 4% in respect of Tier 2 securities) and additional capping of securities deemed to be less liquid in accordance with the index provider's criteria.

The Benchmark Index rebalances on a semi-annual basis and is free-float market capitalisation weighted. The Fund may trade China A Shares via Stock Connect. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.theice.com/market-data/indices/equity-indices/funds>.

iShares Broad \$ Corp Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Global Aggregate Corporate - United States Dollar Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that, as far as possible and practicable, consists of the component securities of the Bloomberg Global Aggregate Corporate - United States Dollar Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues that make up the Benchmark Index, issues may be downgraded in certain circumstances

from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares Broad \$ Corp Bond UCITS ETF is US Dollar (\$).

Benchmark Index

The Bloomberg Global Aggregate Corporate - United States Dollar Index measures the performance of US Dollar denominated investment grade bonds within the corporate sector of the Bloomberg Global Aggregate Index (the "**Parent Index**").

The Parent Index measures the performance of the global investment-grade fixed-rate debt markets. The Parent Index contains four major components: the Bloomberg US Aggregate Index, the Bloomberg Pan-European Aggregate Index, the Bloomberg Canadian Aggregate Index and the Bloomberg Asian-Pacific Aggregate Index. In addition to securities from these four benchmarks, the Parent Index includes a small percentage of other Bloomberg index-eligible securities not already in the four regional aggregate indices.

As at the date of this Supplement, to be eligible for inclusion in the Benchmark Index, the bonds must: (i) have a minimum par amount outstanding of USD 300 million; (ii) have at least one year until maturity; and (iii) be rated investment grade (Baa3/BBB-/BBB- or higher) using the middle rating of Moody's, S&P and Fitch. Where a rating from only two agencies is available, the lower is used. When a rating from only one agency is available, that rating is used.

The Benchmark Index rebalances on a monthly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/#/ucits>.

iShares Broad \$ High Yield Corp Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the ICE BofAML US High Yield Constrained Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that, as far as possible and practicable, consists of the component securities of the ICE BofAML US High Yield Constrained Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

It is intended that the Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is sub-investment grade. However, from time to time in certain circumstances, the issues may be subsequently upgraded to investment grade or become unrated. In such event the Fund may continue to hold such investment grade or unrated issues until such time as the issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares Broad \$ High Yield Corp Bond UCITS ETF is US Dollar (\$).

Benchmark Index

The ICE BofAML US High Yield Constrained Index measures the performance of US Dollar denominated, fixed rate sub-investment grade (based on an average rating of Moody's, S&P and Fitch), corporate bonds publicly issued in the US domestic market. To be eligible for inclusion in the Benchmark Index, the bonds must have at least 18 months to final maturity at the time of issuance, at least one year remaining term to final maturity as of the rebalancing date of the Benchmark Index, a fixed coupon schedule and a minimum amount outstanding of USD 250 million.

Qualifying securities must have risk exposure to countries that are members of the FX-G10, Western Europe or territories of the US and Western Europe.

Original issue zero coupon bonds (i.e. bonds that do not pay interest), 144a securities and pay-in-kind (PIK) bonds (i.e. bonds that pay interest with additional bonds), including PIK toggle notes (i.e. PIK bonds that, at the issuer's option pay interest in cash or in additional PIK toggle notes) qualify for inclusion in the Benchmark Index.

Callable (i.e. may be repaid at the issuer's option on specified dates (a "call date")) perpetual securities (i.e. bonds with no maturity date) qualify for inclusion in the Benchmark Index provided they are at least one year from the first call date.

Fixed-to-floating rate bonds (i.e. initially pay a fixed amount and switch to paying a floating amount after a certain period) qualify for inclusion provided they are callable within the fixed rate period and are at least one year from

the last call prior to the date the bond transitions from a fixed to a floating rate security. Once a fixed-to-floating rate bond has less than one year to the point it transitions from a fixed to a floating rate security, it will be removed from the Benchmark Index at the next rebalance.

Contingent capital securities are excluded, but capital securities where conversion can be mandated by a regulatory authority, but which have no specified trigger, are included. Other hybrid capital securities, such as those issues that potentially convert into preference shares, those with both cumulative and non-cumulative coupon deferral provisions (i.e., those where interest accrues where payment is deferred and those where it does not), and those with alternative coupon mechanisms (e.g. where interest can be paid in the form of additional securities), are also eligible for inclusion in the Benchmark Index.

Floating rate notes, equity linked securities, securities in legal default, hybrid securitised corporates, Eurodollar bonds (i.e. US Dollar denominated bonds not issued in the US domestic market), taxable and tax-exempt US municipal securities and dividend received deduction (DRD) eligible securities (i.e. may be eligible for a US federal tax deduction on income from these securities corporations applicable to corporations on the dividends distributed to them by other companies whose stock they own) are excluded from the Benchmark Index.

The Benchmark Index is market capitalisation weighted and individual issuers are capped at 2% of index weight. Issuers that exceed the limit are reduced to 2% and the weighting of each of their bonds is adjusted on a pro-rata basis. Similarly, the weighting of bonds of all other issuers that fall below the 2% cap are increased on a pro-rata basis. In the event there are fewer than 50 issuers in the Benchmark Index, each issuer will be equally weighted and the weighting of their respective bonds will be increased or decreased on pro-rata basis.

The Benchmark Index rebalances on a monthly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://indices.theice.com/>

iShares Broad € High Yield Corp Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the ICE BofAML Euro High Yield Constrained Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that, as far as possible and practicable, consists of the component securities of the ICE BofAML Euro High Yield Constrained Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

It is intended that the Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is sub-investment grade. However, from time to time in certain circumstances, the issues may be subsequently upgraded to investment grade or become unrated. In such event the Fund may continue to hold such investment grade or unrated issues until such time as the issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares Broad € High Yield Corp Bond UCITS ETF is Euro (€).

Benchmark Index

The ICE BofAML Euro High Yield Constrained Index measures the performance of the ICE BofAML Euro High Yield Index (the "Parent Index"), but applies a 3% cap to issuer concentration levels. The Benchmark Index measures the performance of Euro denominated, fixed rate, sub-investment grade (based on an average rating of Moody's, S&P and Fitch) corporate bonds publicly issued in the Euro domestic or Eurobond markets. To be eligible for inclusion in the Benchmark Index, the bonds must have at least 18 months to final maturity at the time of issuance, at least one year remaining term to final maturity as of the rebalancing date of the Benchmark Index, a fixed coupon schedule and a minimum amount outstanding of €250 million.

Original issue zero coupon bonds (i.e. bonds that do not pay interest), "global securities" (debt issued simultaneously in the eurobond and euro domestic markets), 144a securities and pay-in-kind (PIK) bonds (i.e. bonds that pay interest with additional bonds), including PIK toggle notes (i.e. PIK bonds that, at the issuer's option pay interest in cash or in additional PIK toggle notes) qualify for inclusion in the Benchmark Index.

Callable (i.e. may be repaid at the issuer's option on specified dates (a "call date")) perpetual securities (i.e. bonds with no maturity date) qualify for inclusion in the Benchmark Index provided they are at least one year from the first call date.

Fixed-to-floating rate bonds (i.e. initially pay a fixed amount and switch to paying a floating amount after a certain period) qualify for inclusion provided they are callable within the fixed rate period and are at least one year from the last call prior to the date the bond transitions from a fixed to a floating rate security. Once a fixed-to-floating

rate bond has less than one year to the point it transitions from a fixed to a floating rate security, it will be removed from the Benchmark Index at the next rebalance.

Contingent capital securities are excluded, but capital securities where conversion can be mandated by a regulatory authority, but which have no specified trigger, are included. Other hybrid capital securities, such as those issues that potentially convert into preference shares, those with both cumulative and non-cumulative coupon deferral provisions (i.e., those where interest accrues where payment is deferred and those where it does not), and those with alternative coupon mechanisms (e.g. where interest can be paid in the form of additional securities), are also eligible for inclusion in the Benchmark Index.

Floating rate notes, equity linked securities, securities in legal default, and euro legacy currency securities are excluded from the Benchmark Index.

The Benchmark Index is market capitalisation weighted and individual issuers are capped at 3% of the index weight. Issuers that exceed the limit are reduced to 3% and the weighting of each of their bonds is adjusted on a pro-rata basis. Similarly, the weighting of bonds of all other issuers that fall below the 3% cap are increased on a pro-rata basis. In the event there are fewer than 34 issuers in the Benchmark Index, each issuer will be equally weighted and the weighting of their respective bonds will be increased or decreased on pro-rata basis.

The Benchmark Index rebalances on a monthly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://indices.theice.com/>

iShares Broad Global Govt Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Global Aggregate Treasuries Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg Global Aggregate Treasuries Index, the Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in fixed income securities issued or guaranteed by governments. They will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is investment grade. While it is intended that the Fund's investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares Broad Global Govt Bond UCITS ETF is US Dollar (US\$).

Benchmark Index

The Bloomberg Global Aggregate Treasuries Index measures the performance of fixed rate, local currency, investment grade government bonds representing debt issued or guaranteed by developed and emerging market countries, within the treasury sector of the Bloomberg Global Aggregate Index.

Only bonds that meet the index provider's criteria for time to maturity and amount outstanding are included in the Benchmark Index. Such bonds will, at the time of inclusion in the Benchmark Index, be rated at least investment grade by rating agencies such as Moody's, Standard and Poor's and Fitch or an equivalent rating from another agency. The Fund may trade China bonds via Bond Connect. The Benchmark Index rebalances on a monthly basis and is market capitalisation weighted. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/#/ucits>.

iShares Conservative Portfolio UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, through an actively managed, multi-asset portfolio, whilst targeting a conservative risk profile. The Fund will invest in accordance with the ESG criteria described below.

Investment Policy

The Fund is actively managed and the Investment Manager has the discretion to select the Fund's Investments. In order to achieve its investment objective, the investment policy of this Fund is to invest its assets predominantly in other EEA domiciled UCITS collective investment schemes including UCITS exchange traded funds which may be managed by the Investment Manager or an Affiliate. The underlying asset class exposure of UCITS exchange traded funds invested in by the Fund will comprise equities and fixed income.

The Fund may also invest in UCITS eligible exchange traded commodities. The issue of the exchange traded commodities invested in by the Fund may be arranged and advised by the Investment Manager or an Affiliate. The underlying asset class exposure of the exchange traded commodities invested in by the Fund will comprise precious metals.

The Fund's assets and their weights are chosen by the Investment Manager based on four criteria: 1) consistency between the Fund's portfolio expected risk characteristics and the Fund's investment objective; 2) compliance with the Fund's ESG criteria (as defined below); 3) attractiveness determined in accordance with the Investment Manager's investment models; and 4) the Investment Manager's discretionary insights.

The Investment Manager will seek to maintain a conservative risk profile of the Fund's portfolio, being a 3%-7% volatility of the Fund's returns converted into an annual rate, over a five-year period. The Fund will target the stated risk profile by varying its underlying asset exposure in different market conditions. Given the risk profile of the Fund, under normal market conditions the Fund will seek a lower exposure to equity securities, compared to a fund with a higher risk profile which would normally seek to have a lower exposure to fixed income securities. The fixed income exposure of the Fund will comprise mainly investment grade rated (but may also comprise non-investment grade or unrated) fixed and floating rate global government and corporate fixed income securities / bonds. The equity exposure will comprise mainly large and mid-capitalisation companies globally. It is not expected that the Fund's exposure to emerging markets will exceed 25% of its assets. The Fund's risk profile may fall outside the stated range from time to time.

The Fund will seek to invest at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG Screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprised of bonds issued by governments that have an ESG sovereign rating from MSCI of at least BB (or equivalent from another third party data vendor) (together the "ESG Criteria").

The Fund's investments will, at the time of purchase, comply with the Fund's ESG Criteria. If any of the Fund's investments cease to comply with the Fund's ESG Criteria, the Fund may continue to hold the investment until such time it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund's ESG Criteria may change over time.

The models used by the Investment Manager will take into account the Investment Manager's forward-looking assumptions on risk and returns from across multiple asset classes, including fixed income market segments and emerging and developed market equities. The forward-looking assumptions are based on the Investment Manager's fundamental and quantitative (i.e. mathematical or statistical) insights, driven by research into the underlying sources of rewarded risk within investment markets (i.e. considering valuations, the relative attractiveness of various risk factor premia and economic growth metrics that assist the Investment Manager to make reasoned projections for expected risks and returns). The assumptions are long-term focused and incorporate the results of macroeconomic analysis (e.g. the assessment of GDP developments, inflation, unemployment rates and monetary policies).

These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform the composition of the Fund's portfolio. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent information in relation to the underlying positions within the collective investment schemes the Fund may invest in such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The maximum level of the annual management fee charged to the collective investment schemes in which the Fund invests will be no more than 1%. The annual report of the Company shall indicate the maximum proportion of management fees charged both to the Fund and the collective investment schemes in which it invests for the period covered by such report.

The Fund does not use a target benchmark, constraining benchmark or comparator benchmark. The Fund's performance may be assessed by considering the extent to which the return of the Fund is achieved within the predefined risk profile, measured as the volatility of the Fund's returns converted into an annual rate, over a five-year period. The Fund's returns and volatility (converted into an annual rate) will be published on the product pages of the BlackRock website.

The Base Currency of iShares Conservative Portfolio UCITS ETF is Euro (€).

iShares Core € Corp Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Euro Corporate Bond Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg Euro Corporate Bond Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in

order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities and money market instruments issued or guaranteed by public international bodies or corporations. These could include credit instruments, such as corporate bonds, supranational bonds and agency bonds. Such instruments may be fixed and/or floating rate. Such instruments will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares Core € Corp Bond UCITS ETF is Euro (€), and the Fund will not undertake any exposure to currencies other than Euro, except in the efficient portfolio management of changes to the Benchmark Index of the Fund and in the management of any future Share classes of the Fund which may be denominated in a currency other than Euro.

Benchmark Index

The Bloomberg Euro Corporate Bond Index measures the performance of fixed-rate Euro-denominated securities issued by industrial, utility and financial corporations. Inclusion is based on the currency of the issue, and not the domicile of the issuer. The Benchmark Index includes investment grade bonds that have a minimum remaining time to maturity of one year and a minimum amount outstanding of €300 million. The Benchmark Index rebalances on a monthly basis and is market capitalisation weighted. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares Core € Govt Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Euro Treasury Bond Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg Euro Treasury Bond Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities which will typically be fixed income debt securities issued in Euro or the legacy currencies of sovereign countries participating in the European Economic and Monetary Union. They will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares Core € Govt Bond UCITS ETF is Euro (€), and the Fund will not undertake any exposure to currencies other than Euro, except in the efficient portfolio management of changes to the Benchmark Index of the Fund and in the management of any future Share classes of the Fund which may be denominated in a currency other than Euro.

Benchmark Index

The Bloomberg Euro Treasury Bond Index measures the performance of Euro denominated fixed rate government bonds issued by EMU member states. The Benchmark Index includes investment grade bonds with at least one year remaining until maturity with a minimum amount outstanding of €300 million. The Benchmark Index rebalances on a monthly basis and is market capitalisation weighted. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares Core Global Aggregate Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Global Aggregate Bond Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Bloomberg Global Aggregate Bond Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities and money market instruments issued or guaranteed by governments, public international bodies or corporations. These could include asset-backed securities, mortgage-backed securities, commercial mortgage-backed securities, covered bonds and collateralised bonds. Such instruments may be fixed and/or floating rate and will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares Core Global Aggregate Bond UCITS ETF is US Dollar (US\$).

Benchmark Index

The Bloomberg Global Aggregate Bond Index measures the performance of the global investment-grade fixed-rate debt markets. As at the date of this Prospectus, the Bloomberg Global Aggregate Bond Index contains four major components: the Bloomberg US Aggregate Index, the Bloomberg Pan-European Aggregate Index, the Bloomberg Canadian Aggregate Index and the Bloomberg Asian-Pacific Aggregate Index. In addition to securities from these four benchmarks, the Bloomberg Global Aggregate Bond Index includes a small percentage of other Bloomberg index-eligible securities not already in the four regional aggregate indices. The Bloomberg Global Aggregate Index family includes a wide range of standard and customised sub indices by liquidity constraint, sector, quality, and maturity. Such bonds will, at the time of inclusion in the Benchmark Index, be rated at least investment grade by rating agencies such as Moody's, Standard and Poor's and Fitch or an equivalent rating from another agency. The Fund may trade China bonds via Bond Connect. The Benchmark Index rebalances on a monthly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares Core MSCI Europe UCITS ETF EUR (Acc)

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI Europe Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI Europe Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares Core MSCI Europe UCITS ETF EUR (Acc) is Euro (€).

Benchmark Index

The MSCI Europe Index measures the performance of the large and mid capitalisation stocks across developed European countries which comply with MSCI's size, liquidity, and free-float criteria. The Benchmark Index is market capitalisation weighted and rebalances on a quarterly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares Core MSCI Japan IMI UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI Japan Investable Market Index (IMI).

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI Japan Investable Market Index (IMI), this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their

weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares Core MSCI Japan IMI UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI Japan Investable Market Index (IMI) measures the performance of large, mid and small capitalisation stocks of the Japanese equity market which comply with MSCI's size, liquidity, and free-float criteria. The Benchmark Index is market capitalisation weighted and rebalances on a quarterly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares Core MSCI World UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI World Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI World Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. Other markets may be added or removed as the index provider, MSCI, determines. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares Core MSCI World UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI World Index measures the performance of large and mid capitalisation stocks across Developed Market countries which comply with MSCI's size, liquidity, and free-float criteria. The Benchmark Index is market capitalisation weighted and rebalances on a quarterly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares EM Local Govt Bond Active UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in local currency denominated fixed income transferable securities issued by and/or guaranteed by governments and/or government agencies of emerging market countries (including emerging market government bonds, municipal bonds, sovereign, quasi-sovereign, supranational and local authority debt and instruments relating to such bonds) and in corporate bonds issued by companies domiciled or exercising the predominant part of their economic activity in emerging markets.

The fixed income securities and instruments in which the Fund invests may be investment grade (or deemed by the Investment Manager to be of an equivalent rating), below investment grade or unrated and may be fixed or floating rate. However, given the Fund's emerging market geographic focus, it is likely that the Fund will invest in excess of 30% of its Net Asset Value in below investment grade securities. The Fund does not have any specific industry or sector focus.

The Investment Manager selects securities for investment based upon a research-driven investment process that considers fundamental, valuation, and technical factors (e.g. market flows, positioning, liquidity, risk sentiment and supply) as part of the portfolio construction process which includes conducting qualitative country and macro analysis and utilising a wide range of quantitative (i.e. mathematical or statistical) tools to formulate investment convictions. The selection of securities may be based on the Investment Manager's view of the relevant issuer, the potential for ratings upgrade and the expected changes in the value of such Investments due to ratings changes.

The Fund may trade China onshore bonds on the China Interbank Bond Market and/or via Bond Connect.

The Fund's exposure to Distressed Securities is limited to 10% of its total assets.

The Fund's assets will also be invested in accordance with the ESG Policy described below.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures (namely interest rate and credit index futures), forward contracts (namely FX forwards) and swap contracts (namely interest rate swaps, credit default swaps, currency swaps and total return swaps) in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the fixed income securities described above and for currency hedging purposes. The reference assets underlying the FDI, if any, in which the Fund invests may also include any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund. Details of indices used by the Fund, if any, will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Base Currency of iShares EM Local Govt Bond Active UCITS ETF is US Dollar (US\$).

ESG Policy

The Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out below.

The Investment Manager will apply the BlackRock EMEA Baseline Screens (as described in Schedule VII).

The Investment Manager will also employ its proprietary methodology to assess investments based on the extent to which they are associated with positive externalities, that is environmental and social benefits or costs as defined by the Investment Manager from time to time. In determining positive externalities, the Investment Manager may have regard to the considerations set out below.

The Fund's investments that may be considered by the Investment Manager to have positive externalities include where:

- the issuer has involvement in positive environmental and social impact activities, as determined by the Investment Manager, which may be based on third-party vendor data or on the Investment Manager's own research and analysis;
- the issuer demonstrates very strong management of environmental, social, and governance (ESG) risks and opportunities compared with its industry peers (this may be based on ratings from a third party data vendor or based on the Investment Manager's own research and analysis);
- the investment is a "green bond" (which complies with the International Capital Markets Association's four Green Bond Principles). Green bonds are specifically issued with an environmental financing objective. The proceeds of a green bond are ringfenced for its environmental financing objective;
- the investment is a "social bond" (which complies with the International Capital Markets Association's Social Bond Principles). Social bonds are specifically issued with a social financing objective. The proceeds of a social bond are ringfenced for its positive social objective; and/or
- the investment is a "sustainability bond" (which complies with the International Capital Markets Association's Sustainability Bond Guidelines). Sustainability bonds are specifically issued with an environmental or social financing objective. The proceeds of a sustainability bond are ringfenced for its environmental or social objective.

The Investment Manager will seek to enhance exposure to investments that are deemed to have associated positive externalities (by ensuring that the Fund maintains an exposure greater than the Index (as defined below) by at least 5% to issuers with positive externalities) in order to promote environmental and social characteristics related

to (i) the support for the transition to a lower carbon economy, (ii) climate change mitigation, and (iii) financing positive social objectives.

The Investment Manager will apply the BlackRock Sovereign Sustainability Indicator ("BSSI") by excluding sovereign bonds that score less than or equal to 2.0 in the BSSI. The BSSI ranks sovereign debt issuers based on a country's overall sustainability measures from an environmental, social and governance perspective using UN Sustainable Development goals to guide factor selection. Environmental factors include carbon performance and climate policy as well as other environmental factors such as air quality and wastewater treatment. Social factors include equality, public health and other socioeconomic issues.

The Investment Manager will also exclude sovereign bonds of countries that are subject to official arms and/or trade embargo restrictions imposed by the United Nations Security Council (UNSC) and which are legally binding on all UN member states.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy (including the ESG Policy), subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

SFDR

Through the application of the Fund's ESG Policy (as described above), the Fund promotes environmental and social characteristics related to (i) the support for the transition to a lower carbon economy, (ii) climate change mitigation, (iii) financing positive social objectives, (iv) a country's environmental and socioeconomic issues, (v) the reduction of environmental pollution, (vi) reduction of the availability of weapons, (vii) better health and wellbeing, (viii) support for human rights, labour standards, the environment and anti-corruption and (ix) key social issues deemed to be relevant to sovereign bond issuers. Details of the environmental and social characteristics promoted by the Fund are set out in Appendix IV.

The Investment Manager evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. The Investment Manager may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

Benchmark

The Fund is actively managed and the Investment Manager has discretion to select the Fund's investments. In doing so, the Investment Manager may refer to the JP Morgan GBI-EM Global Diversified Index (the "**Index**") when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Index may be used by investors to compare the performance of the Fund. The Index is a market-capitalisation-weighted, total-return index tracking the liquid universe of local currency denominated government debt issued by emerging market countries.

iShares Emerging Asia Local Govt Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a net-total return, taking into account both capital and income returns, which reflects the return of the Bloomberg Emerging Markets Asia Local Currency Govt Country Capped Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities, such as government bonds, that as far as possible and practicable consists of the component securities of the Bloomberg Emerging Markets Asia Local Currency Govt Country Capped Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares Emerging Asia Local Govt Bond UCITS ETF is US Dollar (US\$).

Benchmark Index

The Bloomberg Emerging Markets Asia Local Currency Govt Country Capped Index measures the performance of local currency government debt of emerging countries in Asia. To ensure diversification within the Benchmark Index, country weights are capped to 20% of the Benchmark Index. The Fund may trade China bonds via Bond Connect. The Benchmark Index rebalances on a monthly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares Emerging Markets Equity Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to achieve long-term capital growth.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, the emerging markets. The Fund does not have any specific industry focus.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund may invest up to 100% of its total assets in emerging markets. Such exposure may include up to 50% of its total assets in China via Stock Connect and up to 50% of its total assets in India. Please refer to the risk factors under the headings "Investment in the PRC", "Risks Related to Investment in the PRC via the Stock Connect" and "India" for further information on investment in these countries.

The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value (companies whose share price is indicative of good value, for example by reference to its estimated future earnings), momentum (companies that have experienced share price increases over a period of time) and quality (companies that demonstrate good quality characteristics such as the profitability of the company, the stability of its earnings and low levels of leverage/debt)), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy outlined below and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets outside emerging markets. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities. Such underlying equity securities may be issued from within emerging markets jurisdictions.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of this Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of this Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, the emerging markets. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" in this Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of this Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of this Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

ESG Policy

The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds) including but not limited to:

- (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.
- (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.
- (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

To undertake its analysis of ESG criteria, the Investment Manager may use data generated internally by the Investment Manager and/or its Affiliates or provided by one or more third party ESG research providers.

Should existing holdings, compliant at the time of investment subsequently become ineligible, they will be divested within a reasonable period of time.

The Fund may gain limited indirect exposure (through, including but not limited to, FDI and shares or units of collective investment schemes) to issuers with exposures that do not meet the ESG criteria described above.

It is the Investment Manager's intention that the above screens will evolve over time as improved data and more research on this subject becomes available. The full list may be amended from time to time at the Investment Manager's discretion and (unless it alters the description in this section) may be implemented without notification to Shareholders.

The Fund will invest in Sustainable Investments as set out above.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI Emerging Markets Index (the "**Parent Index**"). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

Benchmark

The Fund is actively managed. The Investment Manager has discretion to select the Fund's investments and in doing so will refer to the MSCI Emerging Markets 10/40 Index (the "**Index**") when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the Index in order to seek a commensurate active return in excess of applicable management fees over the long

term (i.e. 5 years or more). The Parent Index should be used by investors to compare the performance of the Fund.

The Base Currency of iShares Emerging Markets Equity Enhanced Active UCITS ETF is US Dollar (US\$).

iShares Europe Equity Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to achieve long-term capital growth.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, Europe. The Fund does not have any specific industry focus.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value (companies whose share price is indicative of good value, for example by reference to its estimated future earnings), momentum (companies that have experienced share price increases over a period of time) and quality (companies that demonstrate good quality characteristics such as the profitability of the company, the stability of its earnings and low levels of leverage/debt)), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy outlined below and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of this Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of this Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, Europe. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" in this Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of this Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of this Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

ESG Policy

The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds) including but not limited to:

- (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.
- (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.
- (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

To undertake its analysis of ESG criteria, the Investment Manager may use data generated internally by the Investment Manager and/or its Affiliates or provided by one or more third party ESG research providers.

Should existing holdings, compliant at the time of investment subsequently become ineligible, they will be divested within a reasonable period of time.

The Fund may gain limited indirect exposure (through, including but not limited to, FDI and shares or units of collective investment schemes) to issuers with exposures that do not meet the ESG criteria described above.

It is the Investment Manager's intention that the above screens will evolve over time as improved data and more research on this subject becomes available. The full list may be amended from time to time at the Investment Manager's discretion and (unless it alters the description in this section) may be implemented without notification to Shareholders.

The Fund will invest in Sustainable Investments as set out above.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI Europe Index (the "**Index**"). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

Benchmark

The Fund is actively managed. The Investment Manager has discretion to select the Fund's investments and in doing so will refer to the Index when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). The Index should be used by investors to compare the performance of the Fund.

The Base Currency of iShares Europe Equity Enhanced Active UCITS ETF is Euro (€).

iShares Global Aggregate Bond ESG SRI UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg MSCI Global Aggregate and Green Bond ESG SRI Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of fixed income securities that, as far as possible and practicable, consists of the component securities of the Bloomberg MSCI Global Aggregate and Green Bond ESG SRI Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index. It is intended that the Fund's direct investments will only be in securities of issuers that comply with the index provider's socially responsible investment ("**SRI**") requirements and/or environmental, social and governance ("**ESG**") ratings.

The Fund's investments will, at the time of purchase, comply with the credit rating requirements of the Fund's Benchmark Index, which is investment grade, although this may include unrated or split-rated bonds judged to be of comparable quality with investment grade bonds at the time of purchase. While it is intended that the Fund's investments will comprise investment grade issues that make up the Benchmark Index, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Fund's direct investments will, at the time of purchase, comply with the SRI requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the SRI requirements and/or ESG ratings of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with the AMF ESG Rules, the Fund will adopt a best-in-class approach to sustainable investing. The best-in-class approach means that by investing in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index, it is expected that the Fund will invest in the best issuers from an ESG / SRI perspective (based on the ESG and SRI criteria of the Benchmark Index) within each relevant sector of activities covered by the Benchmark Index. More than 90% of the number of issuers in the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG and SRI criteria of the Benchmark Index. As a result of the application of the ESG and SRI criteria of the Benchmark Index, the Fund applies the selectivity approach for the purposes of the AMF ESG Rules which means that the portfolio of the Fund is reduced by at least 20% compared to the Bloomberg Global Aggregate Index ("Parent Index"), calculated either (i) by number of issuers or (ii) by the relative weighting of the worst performers in the Benchmark Index.

The Base Currency of iShares Global Aggregate Bond ESG SRI UCITS ETF is US Dollar (US\$).

Benchmark Index

The Bloomberg MSCI Global Aggregate and Green Bond ESG SRI Index measures the performance of local currency denominated, fixed-rate, investment grade, government, government-related, corporate and securitised bonds from developed and emerging markets that are included in the Parent Index, and excludes issuers based on the index provider's ESG, SRI and other criteria.

The Benchmark Index applies exclusions in line with EU Paris-Aligned Benchmarks as set out in Commission Delegated Regulation (EU) 2020/1818 (as further described in the "EU Paris-aligned benchmark exclusions" sub-section of the "SFDR" section of the Prospectus).

To be eligible for inclusion in the Benchmark Index, the bonds must have at least one year until final maturity, comply with minimum local currency par amounts outstanding set by the index provider and be rated investment grade (Baa3/BBB-/BBB- or higher) using the middle rating of Moody's, S&P and Fitch. Where a rating from only two agencies is available, the lower is used. When a rating from only one agency is available, that rating is used. Where an explicit bond level rating is not available, other sources may be used by the index provider to classify the credit quality of the bonds. Contingent capital securities, bonds with equity type features, tax exempt municipal securities, inflation-linked bonds, floating rate issues, private placements, retail bonds, and certain other types of bonds are excluded from the Benchmark Index.

The Benchmark Index is tilted to allocate at least 10% of its total market value to securities classified as green bonds under the index methodology. The Benchmark Index defines green bonds as fixed income securities the proceeds of which are exclusively and formally applied to projects or activities that promote climate or other environmental sustainability purposes. In accordance with the Benchmark Index methodology, securities (whether or not labelled as green by the issuer) are independently evaluated by MSCI ESG Research under the following four criteria to determine whether they should be classified as green bonds: (i) stated use of proceeds; (ii) process for green project evaluation and selection; (iii) process for management of proceeds; and (iv) commitment to

ongoing reporting of the environmental performance of the use of proceeds. To be considered a green bond for the purpose of the index methodology, all four criteria must be met for bonds issued after the publication of the Green Bond Principles (an agreement among market participants on a set of standards for the green credentials of labelled issuance), although bonds issued prior to that date that do not satisfy all four criteria may still qualify for inclusion in the Benchmark Index. The Benchmark Index also seeks to allocate a proportion of the Benchmark Index to (1) companies that derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, (2) companies that have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi), or (3) securities that qualify as green bonds by MSCI.

Bonds belonging to sectors with an MSCI ESG rating and not classified as green bonds for the purposes of the index methodology will only be included in the Benchmark Index if their issuers have an MSCI ESG rating and the rating is BBB or higher. An MSCI ESG rating is designed to measure an issuer's resilience to long-term, industry material ESG risks and how well it manages those ESG risks relative to industry peers. The MSCI ESG rating methodology provides greater transparency and understanding of the ESG characteristics of issuers, identifying issuers with strong MSCI ESG ratings as issuers that may be better positioned for future ESG-related challenges and that may experience fewer ESG-related controversies.

The Benchmark Index applies the Bloomberg MSCI SRI screen that excludes issuers that are involved in the following business lines/activities: adult entertainment, alcohol, civilian firearms, controversial weapons, conventional weapons, fossil fuels, gambling, genetically modified organisms, nuclear weapons, thermal coal and tobacco. Except for the green bond component of the Benchmark Index, which does not exclude issuers involved in nuclear power, thermal coal, fossil-fuel reserves and unconventional oil & gas. The Bloomberg MSCI SRI screen defines involvement for each restricted activity which is based on a percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

The Benchmark Index also excludes issuers pursuant to ESG principles which measure each issuer's involvement in major ESG controversies and how well they adhere to international norms and principles. The Benchmark Index also excludes companies which are identified by the index provider as being involved in controversies that have a negative ESG impact on their operations and/or products and services based on an MSCI ESG controversy score ("MSCI ESG Controversy Score"). Issuers that have not been assessed or rated by the index provider for an ESG Controversy Score are also excluded from the Benchmark Index. The minimum MSCI ESG Controversy Score set by the index provider to determine eligibility for inclusion in the Benchmark Index can be found at the index provider's website <https://www.msci.com/index-methodology>. The Benchmark Index also excludes sovereign issuers that are subject to United Nations Security Council Trade Sanctions.

The Fund may trade China onshore bonds on the China Interbank Bond Market and/or via Bond Connect.

The Benchmark Index rebalances on a monthly basis to take into account changes to the ratings and exclusionary screenings described above ensuring a minimum 10% allocation to securities classified as green bonds under the index methodology. Further details regarding the constituents of the Benchmark Index and their weightings are available at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares Global Govt Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the FTSE Group-of-Seven (G7) Government Bond Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the FTSE Group-of-Seven (G7) Government Bond Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities and money market instruments issued or guaranteed by governments. They will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares Global Govt Bond UCITS ETF is US Dollar (US\$).

Benchmark Index

The FTSE Group-of-Seven (G7) Government Bond Index measures the performance of fixed rate investment grade government bonds with a remaining maturity of at least one year. The Benchmark Index rebalances on a monthly

basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.yieldbook.com/m/indexes/reg/>.

iShares Global Inflation Linked Govt Bond UCITS ETF

Investment Objective

The investment objective of this Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the Bloomberg World Government Inflation-Linked Bond Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of government bond issues that as far as possible and practicable consists of the component securities of the Bloomberg World Government Inflation-Linked Bond Index, this Fund's Benchmark Index. The Benchmark Index is designed to provide a representation of the world's major government inflation-linked bond markets. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares Global Inflation Linked Govt Bond UCITS ETF is US Dollar (US\$).

Benchmark Index

The Bloomberg World Government Inflation-Linked Bond Index measures the performance of the major investment grade, government inflation-linked bond markets. The Benchmark Index is designed to include only those markets in which a global government linker fund is likely and able to invest. Only government domestic inflation-linked debt issued in the domestic currency of that country is eligible. Bonds must be capital indexed and linked to a commonly used domestic inflation index, with a minimum remaining time to maturity of one year. The Benchmark Index rebalances on a monthly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.bloombergindices.com/bloomberg-indices/>.

iShares Global Real Estate Environmental Tilt UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the FTSE EPRA Nareit Developed Green Low Carbon Target Select UCITS Capped Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the FTSE EPRA Nareit Developed Green Low Carbon Target Select UCITS Capped Index, the Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

It is intended that the Fund's direct investments will, at the time of purchase, comply with the environmental, social and governance ("ESG") requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements and/or ESG ratings of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. In addition, it is intended that the Fund's direct investments will not, at the time of purchase, include investments in companies involved in severe ESG controversies, as determined by the Investment Manager. The Fund may continue to hold securities of such companies until such time as it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the Fund will adopt a binding and significantly engaging ESG integration approach to sustainable investing. As part of this approach, the Fund will aim to invest in a portfolio of securities that, as far as possible and practicable, consists of the component securities of the Benchmark Index. The Benchmark Index tilts exposure to issuers based on their allocation to green certification and its exposure to green certification is increased compared to the Investment Universe (as defined below). More than 90% of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities. By adopting the ESG methodology of the Benchmark Index, the Fund applies the extra-financial indicator upgrade approach for the purposes of the AMF ESG Rules, which means that the weighted average environmental indicator of the Fund (being the relevant extra-financial indicator of the Fund) will be at least 20% better than the average environmental indicator of the Investment Universe (as defined below) based on an increase in green certification.

The Base Currency of iShares Global Real Estate Environmental Tilt UCITS ETF is US Dollar (US\$).

Benchmark Index

The FTSE EPRA Nareit Developed Green Low Carbon Target Select UCITS Capped Index aims to reflect the performance of a subset of listed real estate companies and Real Estate Investment Trusts (REITS) within the FTSE EPRA Nareit Developed Index (the "Investment Universe") in developed countries globally which excludes issuers from the Investment Universe based on the index provider's ESG exclusionary criteria and tilts the composition of the Benchmark Index towards issuers exhibiting specific environmental metrics (green certification, energy usage and carbon emission intensity, as further described below).

The Investment Universe is free float market capitalisation weighted and measures the performance of listed real estate companies and REITS across developed countries globally which comply with FTSE's size, revenue, liquidity and free-float criteria.

The Benchmark Index applies ESG exclusionary criteria to issuers from the Investment Universe based on their involvement in the following business lines/activities (or related activities): oil sands, thermal coal, controversial weapons, military contracting, tobacco and small arms. The index provider defines what constitutes "involvement" in each restricted activity. This may be based on percentage of revenue, defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. Issuers without involvement data in such business lines or activities are excluded from the Benchmark Index.

In addition to the above, the Benchmark Index seeks to exclude companies classified as Non-Compliant with Sustainalytics' Global Standards Screening ("GSS"). GSS provides an assessment of a company's impact on stakeholders and the extent to which a company causes, contributes or is linked to violations of international norms and standards. The basis of the GSS assessments are the United Nations Global Compact ("UNGC") Principles.

Remaining constituents' weights of the Investment Universe will be tilted by the index provider which aims to effectively overweight or underweight constituents relative to the Investment Universe based on three environmental metrics: green certification, energy usage and carbon emission intensity. Green certification is defined as the share of total net leasable area owned and/or managed by a constituent that is certified as part of an eligible green certification scheme. Green certifications are issued for properties who meet specific environmental, energy, human health, and other standards in their design, construction, and performance. Energy usage is the average modelled energy consumption per square meter of net leasable area owned and/or managed by a constituent. Carbon emission intensity is defined as the total operational emissions scaled by enterprise value including cash. By tilting constituents weights the index aims to achieve the following:

- improvement relative to the Investment Universe to the allocation of green certification as defined by the index provider;
- reduction relative to the Investment Universe in energy usage as defined by the index provider;
- reduction relative to the Investment Universe in carbon intensity as defined by the index provider;

according to the thresholds for each metric as determined by the index provider in the index methodology.

In addition to the above and to limit deviation from the Investment Universe capping constraints are applied in accordance with the Benchmark Index methodology.

The Benchmark Index rebalances on an annual basis. In addition, on a quarterly basis, current constituents of the Benchmark Index are screened based on the ESG exclusionary criteria of the Benchmark Index and issuers which are no longer eligible will be removed at the relevant quarter.

Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at: <https://www.lseg.com/en/ftse-russell/indices/custom-methodologies> and <https://www.lseg.com/en/ftse-russell/index-resources/constituent-weights>.

iShares Growth Portfolio UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, through an actively managed, multi-asset portfolio, whilst targeting a growth risk profile. The Fund will invest in accordance with the ESG criteria described below.

Investment Policy

The Fund is actively managed and the Investment Manager has the discretion to select the Fund's Investments. In order to achieve its investment objective, the investment policy of this Fund is to invest its assets predominantly in other EEA domiciled UCITS collective investment schemes including UCITS exchange traded funds which may be managed by the Investment Manager or an Affiliate. The underlying asset class exposure of UCITS exchange traded funds invested in by the Fund will comprise equities and fixed income.

The Fund may also invest in UCITS eligible exchange traded commodities. The issue of the exchange traded commodities invested in by the Fund may be arranged and advised by the Investment Manager or an Affiliate. The underlying asset class exposure of the exchange traded commodities invested in by the Fund will comprise precious metals.

The Fund's assets and their weights are chosen by the Investment Manager based on four criteria: 1) consistency between the Fund's portfolio expected risk characteristics and the Fund's investment objective; 2) compliance with

the Fund's ESG criteria (as defined below); 3) attractiveness determined in accordance with the Investment Manager's investment models; and 4) the Investment Manager's discretionary insights.

The Investment Manager will seek to maintain a growth risk profile of the Fund's portfolio, being a 10%-15% volatility of the Fund's returns converted into an annual rate, over a five-year period. The Fund will target the stated risk profile by varying its underlying asset exposure in different market conditions. Given the risk profile of the Fund, under normal market conditions the Fund will seek a higher exposure to equity securities, compared to a fund with a lower risk profile which would normally seek to have a higher exposure to fixed income securities. The fixed income exposure of the Fund will comprise mainly investment grade rated (but may also comprise non-investment grade or unrated) fixed and floating rate global government and corporate fixed income securities / bonds. The equity exposure will comprise mainly large and mid-capitalisation companies globally. It is not expected that the Fund's exposure to emerging markets will exceed 25% of its assets. The Fund's risk profile may fall outside the stated range from time to time.

The Fund will seek to invest at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG Screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprised of bonds issued by governments that have an ESG sovereign rating from MSCI of at least BB (or equivalent from another third party data vendor) (together the "ESG Criteria").

The Fund's investments will, at the time of purchase, comply with the Fund's ESG Criteria. If any of the Fund's investments cease to comply with the Fund's ESG Criteria, the Fund may continue to hold the investment until such time it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund's ESG Criteria may change over time.

The models used by the Investment Manager will take into account the Investment Manager's forward-looking assumptions on risk and returns from across multiple asset classes, including fixed income market segments and emerging and developed market equities. The forward-looking assumptions are based on the Investment Manager's fundamental and quantitative (i.e. mathematical or statistical) insights, driven by research into the underlying sources of rewarded risk within investment markets (i.e. considering valuations, the relative attractiveness of various risk factor premia and economic growth metrics that assist the Investment Manager to make reasoned projections for expected risks and returns). The assumptions are long-term focused and incorporate the results of macroeconomic analysis (e.g. the assessment of GDP developments, inflation, unemployment rates and monetary policies).

These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform the composition of the Fund's portfolio. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent information in relation to the underlying positions within the collective investment schemes the Fund may invest in such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The maximum level of the annual management fee charged to the collective investment schemes in which the Fund invests will be no more than 1%. The annual report of the Company shall indicate the maximum proportion of management fees charged both to the Fund and the collective investment schemes in which it invests for the period covered by such report.

The Fund does not use a target benchmark, constraining benchmark or comparator benchmark. The Fund's performance may be assessed by considering the extent to which the return of the Fund is achieved within the predefined risk profile, measured as the volatility of the Fund's returns converted into an annual rate, over a five-year period. The Fund's returns and volatility (converted into an annual rate) will be published on the product pages of the BlackRock website.

The Base Currency of iShares Growth Portfolio UCITS ETF is Euro (€).

iShares India Equity Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to achieve long-term capital growth.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity related instruments (namely, futures) of companies domiciled in, listed in, or the main business of which is in, India. The Fund does not have any specific industry focus.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility,

correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value (companies whose share price is indicative of good value, for example by reference to its estimated future earnings), momentum (companies that have experienced share price increases over a period of time) and quality (companies that demonstrate good quality characteristics such as the profitability of the company, the stability of its earnings and low levels of leverage/debt)), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform the Investment Manager's selection of stocks in the Fund's portfolio, removing any that conflict with the Fund's ESG Policy outlined below and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before trading them to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel. The Investment Manager may therefore decline to implement a position generated by the automated tool where it considers this appropriate in light of such factors.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets outside India. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities. Such underlying equity securities may be issued from within emerging markets jurisdictions.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely, futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management".

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Base Currency of iShares India Equity Enhanced Active UCITS ETF is US Dollar (US\$).

ESG Policy

The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds) including but not limited to:

- (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.

- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.
- (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.
- (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

To undertake its analysis of ESG criteria, the Investment Manager may use data generated internally by the Investment Manager and/or its Affiliates or provided by one or more third party ESG research providers.

Should existing holdings, compliant at the time of investment subsequently become ineligible, they will be divested within a reasonable period of time.

The Fund may gain limited indirect exposure (through, including but not limited to, FDI and shares or units of collective investment schemes) to issuers with exposures that do not meet the ESG criteria described above.

It is the Investment Manager's intention that the above screens will evolve over time as improved data and more research on this subject becomes available. The full list may be amended from time to time at the Investment Manager's discretion and (unless it alters the description in this section) may be implemented without notification to Shareholders.

The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI India Index (the "**Index**"). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

SFDR

Through the application of the Fund's ESG Policy (as described above), the Fund promotes environmental characteristics related to: (i) the reduction of environmental pollution; and (ii) the reduction of carbon emissions. The Fund promotes social characteristics related to: (i) the reduction of the availability of weapons; (ii) better health and wellbeing; and (iii) support for human rights, labour standards, the environment and anti-corruption. Details of the environmental and social characteristics promoted by the Fund are set out in Appendix III.

BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

Benchmark

The Fund is actively managed. The Investment Manager has discretion to select the Fund's investments and in doing so, the Investment Manager will refer to the Index when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the Index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). The Index should be used by investors to compare the performance of the Fund.

iShares Japan Equity Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to achieve long-term capital growth.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, Japan. The Fund does not have any specific industry focus.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value (companies whose share price is indicative of good value, for example by reference to its estimated future earnings), momentum (companies that have experienced share price increases over a period of time) and quality (companies that demonstrate good quality characteristics such as the profitability of the company, the stability of its earnings and low levels of leverage/debt)), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform the Investment Manager's selection of stocks in the Fund's portfolio, removing any that conflict with the Fund's ESG Policy outlined below and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before trading them to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel. The Investment Manager retains the ultimate discretion when selecting stocks identified by the quantitative model and may therefore decline to implement a position generated by the automated tool where it considers this appropriate in light of such factors.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets outside Japan. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities. Such underlying equity securities may be issued from within emerging markets jurisdictions.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, Japan. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of this Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of this Prospectus. Potential investors in the Fund may obtain

a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Base Currency of iShares Japan Equity Enhanced Active UCITS ETF US Dollar (US\$).

ESG Policy

The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds) including but not limited to:

- (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.
- (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.
- (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

To undertake its analysis of ESG criteria, the Investment Manager may use data generated internally by the Investment Manager and/or its Affiliates or provided by one or more third party ESG research providers.

Should existing holdings, compliant at the time of investment subsequently become ineligible, they will be divested within a reasonable period of time.

The Fund may gain limited indirect exposure (through, including but not limited to, FDI and shares or units of collective investment schemes) to issuers with exposures that do not meet the ESG criteria described above.

It is the Investment Manager's intention that the above screens will evolve over time as improved data and more research on this subject becomes available. The full list may be amended from time to time at the Investment Manager's discretion and (unless it alters the description in this section) may be implemented without notification to Shareholders.

The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI Japan Index (the "Index"). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

SFDR

Through the application of the Fund's ESG Policy (as described above), the Fund promotes environmental characteristics related to: (i) the reduction of environmental pollution; and (ii) the reduction of carbon emissions. The Fund promotes social characteristics related to: (i) the reduction of the availability of weapons; (ii) better health and wellbeing; and (iii) support for human rights, labour standards, the environment and anti-corruption. Details of the environmental and social characteristics promoted by the Fund are set out in Schedule VIII.

BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

Benchmark

The Fund is actively managed and the Investment Manager has discretion to select the Fund's investments. In doing so, the Investment Manager will refer to the Index when constructing the Fund's portfolio, and also for risk

management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the Index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). The Index should be used by investors to compare the performance of the Fund.

iShares J.P. Morgan € EM Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the J.P. Morgan Euro EMBI Global Diversified Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the J.P. Morgan Euro EMBI Global Diversified Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares J.P. Morgan € EM Bond UCITS ETF is Euro (€).

Benchmark Index

The J.P. Morgan Euro EMBI Global Diversified Index measures the performance of a subset of Euro denominated fixed and floating rate emerging market bonds, issued by sovereign and quasi-sovereign entities.

Quasi-sovereign entities are entities that are 100% guaranteed or 100% owned by their respective national governments and reside in the relevant index-eligible country.

The Benchmark Index may consist of both investment grade and non-investment grade bonds, including bonds that are in default. The Benchmark Index includes bonds that: (i) are denominated in Euro; (ii) have a minimum amount outstanding of €500 million; (iii) have at least 2 and a half years until maturity at the time of inclusion; and (iv) are able to settle internationally through Euroclear or another institution domiciled outside the issuing country. Convertible securities and inflation-linked instruments are excluded from the Benchmark Index.

The Benchmark Index is comprised of only those countries that meet JP Morgan's criteria for an emerging market country and each country is also capped at 10%.

Fixed rate, floating rate, capitalizing (i.e. bonds in which a percentage of coupon payments, rather than being paid out, is converted into capital, meaning the principal amount outstanding is increased over the bond's life) and amortizing (i.e. bonds which, in addition to the coupon payments, make partial repayment of the principal, meaning the principal amount outstanding is decreased over the bond's life) bonds qualify for inclusion in the Benchmark Index.

The Fund may trade China onshore bonds on the CIBM and/or on the Shanghai and/or Shenzhen Stock Exchanges and/or via Bond Connect.

The Benchmark Index is market capitalisation weighted and rebalances on a monthly basis, in accordance with the index provider's methodology. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.jpmorgan.com/insights/research/index-research/composition>

iShares J.P. Morgan EM Local Govt Bond UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the J.P. Morgan GBI – EM Global Diversified 10% Cap 1% Floor.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities, such as government bonds, that as far as possible and practicable consists of the component securities of the J.P. Morgan GBI – EM Global Diversified 10% Cap 1% Floor, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar

performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares J.P. Morgan EM Local Govt Bond UCITS ETF is US Dollar (US\$).

Benchmark Index

The J.P. Morgan GBI – EM Global Diversified 10% Cap 1% Floor measures the performance of local currency emerging markets (EM) government debt. The Benchmark Index limits country exposure to maximum of 10% at all times and a minimum of 1% only at the time of inclusion in the Benchmark Index. To be included in the Benchmark Index, each bond must (i) have a minimum amount outstanding of either \$1 billion (for local issues) or \$500 million (for global issues), and (ii) have an original term to maturity of greater than 13 months in accordance with the index criteria for each eligible country. There are currently no minimum credit rating requirements or credit rating restrictions on either the bonds or the country of issuance. The Fund may trade China bonds via Bond Connect. The Benchmark Index rebalances on a monthly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.jpmorgan.com/pages/jpmorgan/investbk/solutions/research/>

iShares Moderate Portfolio UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, through an actively managed, multi-asset portfolio, whilst targeting a moderate risk profile. The Fund will invest in accordance with the ESG criteria described below.

Investment Policy

The Fund is actively managed and the Investment Manager has the discretion to select the Fund's Investments. In order to achieve its investment objective, the investment policy of this Fund is to invest its assets predominantly in other EEA domiciled UCITS collective investment schemes including UCITS exchange traded funds which may be managed by the Investment Manager or an Affiliate. The underlying asset class exposure of UCITS exchange traded funds invested in by the Fund will comprise equities and fixed income.

The Fund may also invest in UCITS eligible exchange traded commodities. The issue of the exchange traded commodities invested in by the Fund may be arranged and advised by the Investment Manager or an Affiliate. The underlying asset class exposure of the exchange traded commodities invested in by the Fund will comprise precious metals.

The Fund's assets and their weights are chosen by the Investment Manager based on four criteria: 1) consistency between the Fund's portfolio expected risk characteristics and the Fund's investment objective; 2) compliance with the Fund's ESG criteria (as defined below); 3) attractiveness determined in accordance with the Investment Manager's investment models; and 4) the Investment Manager's discretionary insights.

The Investment Manager will seek to maintain a moderate risk profile of the Fund's portfolio, being a 5%-10% volatility of the Fund's returns converted into an annual rate, over a five-year period. The Fund will target the stated risk profile by varying its underlying asset exposure in different market conditions. Given the risk profile of the Fund, under normal market conditions the Fund will seek a moderate exposure to equity securities, which may be higher compared to a fund with a conservative risk profile which would normally seek to have a higher exposure to fixed income securities. The fixed income exposure of the Fund will comprise mainly investment grade rated (but may also comprise non-investment grade or unrated) fixed and floating rate global government and corporate fixed income securities / bonds. The equity exposure will comprise mainly large and mid-capitalisation companies globally. It is not expected that the Fund's exposure to emerging markets will exceed 25% of its assets. The Fund's risk profile may fall outside the stated range from time to time.

The Fund will seek to invest at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG Screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprised of bonds issued by governments that have an ESG sovereign rating from MSCI of at least BB (or equivalent from another third party data vendor) (together the "ESG Criteria").

The Fund's investments will, at the time of purchase, comply with the Fund's ESG Criteria. If any of the Fund's investments cease to comply with the Fund's ESG Criteria, the Fund may continue to hold the investment until such time it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund's ESG Criteria may change over time.

The models used by the Investment Manager will take into account the Investment Manager's forward-looking assumptions on risk and returns from across multiple asset classes, including fixed income market segments and emerging and developed market equities. The forward-looking assumptions are based on the Investment Manager's fundamental and quantitative (i.e. mathematical or statistical) insights, driven by research into the underlying sources of rewarded risk within investment markets (i.e. considering valuations, the relative attractiveness of various risk factor premia and economic growth metrics that assist the Investment Manager to make reasoned projections for expected risks and returns). The assumptions are long-term focused and incorporate the results of macroeconomic analysis (e.g. the assessment of GDP developments, inflation, unemployment rates and monetary policies).

These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform the composition of the Fund's portfolio. The Investment Manager reviews the positions

generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent information in relation to the underlying positions within the collective investment schemes the Fund may invest in such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The maximum level of the annual management fee charged to the collective investment schemes in which the Fund invests will be no more than 1%. The annual report of the Company shall indicate the maximum proportion of management fees charged both to the Fund and the collective investment schemes in which it invests for the period covered by such report.

The Fund does not use a target benchmark, constraining benchmark or comparator benchmark. The Fund's performance may be assessed by considering the extent to which the return of the Fund is achieved within the predefined risk profile, measured as the volatility of the Fund's returns converted into an annual rate, over a five-year period. The Fund's returns and volatility (converted into an annual rate) will be published on the product pages of the BlackRock website.

The Base Currency of iShares Moderate Portfolio UCITS ETF is Euro (€).

iShares MSCI Australia UCITS ETF

Investment Objective

The investment objective of this Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI Australia Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI Australia Index, this Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **It is the intention of the Investment Manager to replicate the constituents of the Benchmark Index and therefore this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body in order to replicate its Benchmark Index. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

The Base Currency of iShares MSCI Australia UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI Australia Index measures the performance of large and mid capitalisation stocks of the Australian equity market which comply with MSCI's size, liquidity, and free-float criteria. The Benchmark Index is market capitalisation weighted and rebalances on a quarterly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI EM Small Cap UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI Emerging Markets Small Cap Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI Emerging Markets Small Cap Index, this Fund's Benchmark Index. The Fund's Net Asset Value is likely to have a high volatility due to its investment policy. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

As the Fund is approved by the CMA as a QFI under the QFI Rules, it can invest in Saudi listed shares on the Saudi Stock Exchange subject to the applicable foreign ownership limits under the QFI Rules and Saudi Capital Markets Law. As approved QFIs are not permitted under the current QFI Rules to also be the ultimate beneficial owners of Saudi-listed securities underlying FDI (e.g. swaps or participation notes) traded through the Saudi swap framework, to the extent the Fund invests in FDI, the Fund as a QFI will only be able to invest in FDI that have non-Saudi listed securities as the underlying security.

The Base Currency of iShares MSCI EM Small Cap UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI Emerging Markets Small Cap Index measures the performance of small capitalisation stocks across Emerging Market countries which comply with MSCI's size, liquidity, and free-float criteria. The Benchmark Index

is market capitalisation weighted and rebalances on a quarterly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI EM UCITS ETF USD (Acc)

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI Emerging Markets Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI Emerging Markets Index, this Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

As the Fund is approved by the CMA as a QFI under the QFI Rules, it can invest in Saudi listed shares on the Saudi Stock Exchange subject to the applicable foreign ownership limits under the QFI Rules and Saudi Capital Markets Law. As approved QFIs are not permitted under the current QFI Rules to also be the ultimate beneficial owners of Saudi-listed securities underlying FDI (e.g. swaps or participation notes) traded through the Saudi swap framework, to the extent the Fund invests in FDI, the Fund as a QFI will only be able to invest in FDI that have non-Saudi listed securities as the underlying security.

The Base Currency of iShares MSCI EM UCITS ETF USD (Acc) is US Dollar (US\$).

Benchmark Index

The MSCI Emerging Markets Index measures the performance of large and mid capitalisation stocks across Emerging Market countries which comply with MSCI's size, liquidity, and free-float criteria. The Benchmark Index is market capitalisation weighted and rebalances on a quarterly basis. The Fund may trade China A Shares via Stock Connect. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI Europe Small Cap UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI Europe Small Cap Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI Europe Small Cap Index, the Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares MSCI Europe Small Cap UCITS ETF is Euro (€).

Benchmark Index

The MSCI Europe Small Cap Index is a free float-adjusted, market-capitalisation-weighted index designed to reflect the performance of small-cap stocks across European developed market countries as defined by MSCI.

The Benchmark Index is reviewed and rebalanced on a quarterly basis and may also be rebalanced at other times in order to reflect corporate activity such as mergers and acquisitions.

Further details regarding the Benchmark Index (including constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI Japan Small Cap UCITS ETF

Investment Objective

The investment objective of this Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI Japan SmallCap Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI Japan SmallCap

Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares MSCI Japan Small Cap UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI Japan SmallCap Index measures the performance of small capitalisation stocks of the Japanese equity market which comply with MSCI's size, liquidity, and free-float criteria. The Benchmark Index is market capitalisation weighted and rebalances on a quarterly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI Pacific ex-Japan ESG Enhanced CTB Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI Pacific ex-Japan ESG Enhanced CTB Index, the Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

The Fund's direct investments will, at the time of purchase, comply with the ESG requirements of the Fund's Benchmark Index. The Fund may hold securities which do not comply with the ESG requirements of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the Fund will adopt a binding and significant ESG optimisation approach to sustainable investing. As part of this approach, the Fund will aim to invest in a portfolio of securities that, as far as possible and practicable, consists of the component securities of the Benchmark Index, optimises exposure to issuers in order to achieve a higher ESG rating and reduces exposure to carbon emissions compared to the Parent Index while meeting other constraints of the ESG optimisation. More than 90% of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities. By adopting the ESG methodology of the Benchmark Index, the Fund applies the extra-financial indicator upgrade approach for the purposes of the AMF ESG Rules, which means that the weighted average environmental indicator of the Fund (being the relevant extra-financial indicator of the Fund) will be at least 20% better than the weighted average environmental indicator of the Parent Index (as defined below) based on a reduction of carbon emission intensity.

The Base Currency of iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI Pacific ex-Japan ESG Enhanced CTB Index measures the performance of a sub-set of equity securities of companies within the MSCI Pacific ex-Japan Index (the "**Parent Index**") which excludes issuers from the Parent Index based on the index provider's ESG exclusionary criteria. The remaining constituents of the Parent Index are then weighted by the index provider, for inclusion in the Benchmark Index, using an optimisation process. The optimisation process aims to meet the decarbonisation targets and other minimum standards for an EU Climate Transition Benchmark ("CTB"), while targeting a similar risk and return profile, and maintaining a better ESG score, each in relation to the Parent Index.

The Parent Index measures the performance of large and mid-capitalisation stocks across developed markets countries in the Pacific region, excluding Japan, which comply with MSCI's size, liquidity and free-float criteria.

The Benchmark Index excludes issuers that are involved in the following business lines/activities (or related activities):

- controversial weapons;
- nuclear weapons;
- production of civilian firearms (relating to automatic and semi-automatic civilian firearms and small arms ammunition);
- distribution of civilian firearms or small arms ammunition;
- tobacco;
- thermal coal; and
- unconventional oil and gas.

The index provider defines what constitutes “involvement” in each restricted activity, this may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. Issuers that are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment) are also excluded.

The Benchmark Index also excludes companies which are identified by the index provider as being involved in controversies that have a negative ESG impact on their operations and/or products and services based on an MSCI ESG controversy score (“**MSCI ESG Controversy Score**”). Companies which are identified by the index provider as having faced controversies pertaining to environmental issues are excluded from the Benchmark Index based on an MSCI environmental controversy score (“**MSCI Environmental Controversy Score**”). The minimum MSCI ESG Controversy Score and the minimum MSCI Environmental Controversy Score set by the index provider to determine eligibility for inclusion in the Benchmark Index can be found at the index provider’s website <https://www.msci.com/index-methodology>.

The MSCI ESG ratings take into account numerous metrics that capture key ESG related issues. An MSCI ESG rating is designed to measure an issuer’s resilience to long-term, industry material ESG risks and how well it manages those ESG risks relative to industry peers. The MSCI ESG rating methodology provides greater transparency and understanding of the ESG characteristics of issuers, identifying issuers with a strong MSCI ESG ratings as issuers that may be better positioned for future ESG-related challenges and that may experience fewer ESG-related controversies. Further details are available on the index provider’s website at <https://www.msci.com/esg-ratings>. Issuers that have not been assessed by the index provider for an MSCI ESG Controversies Score, or an MSCI ESG rating, are also excluded from the Benchmark Index.

The remaining constituents are then weighted by the index provider in the Benchmark Index using the optimisation process outlined in the first paragraph of this section. In order to aim to meet the minimum standards for a CTB, the optimisation process has the following transition and physical climate risk targets:

- reduction of weighted average greenhouse gas (GHG) intensity compared with the Parent Index;
- minimum decarbonisation rate of GHG intensity reduction per year;
- exposure to sectors with a high impact on climate change that is at least equivalent to the Parent Index;
- a better ESG score than the Parent Index;

according to the thresholds for such constraints determined by the index provider in the index methodology.

The optimisation process also applies certain risk diversification constraints to the constituents of the Benchmark Index, for example minimum and maximum constituent weightings, sector weightings and country weightings, relative to the Parent Index. Turnover of the Benchmark Index is also controlled by the optimisation process at each Benchmark Index review.

The Benchmark Index also seeks to allocate a proportion of the Benchmark Index to companies that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi).

The Benchmark Index has been labelled by the index provider as an EU Climate Transition Benchmark and does not aim to meet the minimum standards for EU Paris-Aligned Benchmarks (as set out in the Commission Delegated Regulation (EU) 2020/1818). Both EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks are subject to minimum standards that are based on the commitments laid down in the Paris Agreement. While EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks pursue similar objectives and minimum standards that are common to both benchmarks, they vary in their level of ambition. As such, the Benchmark Index does not incorporate any thresholds or exclusionary criteria to meet any minimum standards applicable only to EU Paris-Aligned benchmarks.

The Benchmark Index rebalances on a quarterly basis. In addition, companies which have been identified as having a ‘red’ MSCI ESG controversy flag, or which have been classified as violating United Nations Global Compact principles, or that are involved in activities related to controversial weapons or tobacco production, may also be removed from the Benchmark Index in between index rebalances, in accordance with the index methodology.

Further details regarding the Benchmark Index (including its constituents) are available on the index provider’s website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI Pacific ex-Japan UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI Pacific ex Japan Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI Pacific ex Japan Index, this Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **It is the intention of the Investment Manager to replicate the constituents of the Benchmark Index and therefore this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body in order to replicate its Benchmark Index. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

The Base Currency of iShares MSCI Pacific ex-Japan UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI Pacific ex Japan Index measures the performance of large and mid capitalisation stocks across developed markets countries in the Pacific region, excluding Japan, which comply with MSCI's size, liquidity and free-float criteria. The Benchmark Index is market capitalisation weighted and rebalances on a quarterly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI Saudi Arabia Capped UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI Saudi Arabia 20/35 Index.

Investment Policy

In order to achieve its investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that, as far as possible and practicable, consists of the component securities of the MSCI Saudi Arabia 20/35 Index, this Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **It is the intention of the Investment Manager to replicate the constituents of the Benchmark Index and therefore this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body in order to replicate its Benchmark Index. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III of the Prospectus).**

As the Fund is approved by the CMA as a QFI under the QFI Rules, it can invest in Saudi listed shares on the Saudi Stock Exchange subject to the applicable foreign ownership limits under the QFI Rules and Saudi Capital Markets Law. As approved QFIs are not permitted under the current QFI Rules to also be the ultimate beneficial owners of Saudi-listed securities underlying FDI (e.g. swaps or participation notes) traded through the Saudi swap framework, to the extent the Fund invests in FDI, the Fund as a QFI will only be able to invest in FDI that have non-Saudi listed securities as the underlying security.

The Base Currency of iShares MSCI Saudi Arabia Capped UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI Saudi Arabia 20/35 Index, is designed to measure the performance of large and mid-capitalisation stocks of the Saudi Arabia equity market which comply with MSCI's size, liquidity, and free-float criteria. The Benchmark Index caps the weight of the largest issuer at 35% and other issuers at 20%.

The constituent securities of the Benchmark Index change from time to time (a "rebalancing"). The Benchmark Index rebalances on a quarterly basis. The Benchmark Index also rebalances on an "as needed" basis, meaning that the Benchmark Index is rebalanced at the end of any day on which the 20/35 issuer caps referred to above are breached. Such "as needed" rebalancings ensure that the Benchmark Index remains within the specified weight limits. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI South Africa UCITS ETF

Investment Objective

The investment objective of this Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI South Africa 20/35 Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI South Africa 20/35 Index, this Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **It is the intention of the Investment Manager to replicate the constituents of the Benchmark Index and therefore this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body in order to replicate its Benchmark Index. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

The Base Currency of iShares MSCI South Africa UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI South Africa 20/35 Index measures the performance of large and mid capitalisation stocks of the South African equity market which comply with MSCI's size, liquidity, and free-float criteria.

The constituent securities of the Benchmark Index change from time to time (a "rebalancing"). The Benchmark Index is market capitalisation weighted and rebalances on a quarterly basis. The weight of the largest group entity in the Benchmark Index is capped at 35% and the weights of all other group entities are capped at 20% with a buffer of 10% applied on these limits at each Benchmark Index rebalancing. The Benchmark Index also rebalances on an "as needed" basis, meaning that the Benchmark Index is rebalanced at the end of any day on which the 20/35 issuer caps referred to above are breached. Such "as needed" rebalancings ensure that the Benchmark Index remains within the specified weight limits. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI Target UK Real Estate UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI UK IMI Liquid Real Estate Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities and UK Government inflation-linked bonds that as far as possible and practicable consist of the component securities of the MSCI UK IMI Liquid Real Estate Index, this Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III of the Prospectus).**

The Base Currency of iShares MSCI Target UK Real Estate UCITS ETF is Sterling (Stg£).

Benchmark Index

The MSCI UK IMI Liquid Real Estate Index aims to achieve a risk and return profile as close as possible to direct investment in physical real estate (relative to an index which is comprised solely of Real Estate Investment Trusts (REITs)) through exposure to UK REITs and property companies with small, medium and large market capitalisation and through exposure to liquid fixed income transferable securities. The inclusion of UK REITs and property companies in the Benchmark Index provides exposure to the performance of the UK real estate market but, since REITs are typically leveraged investment vehicles, and REITs and property companies have a risk and reward profile commensurate with that of an equity security, liquid fixed income securities are used within the Benchmark Index to reduce the impact of leverage, volatility and the performance of equity markets on its returns. In order to achieve this, the Benchmark Index is constructed using a combination of the MSCI UK IMI Core Real Estate Volatility Tilt Index and the iBoxx UK Gilt Inflation-Linked Short Index. The Benchmark Index rebalances on a semi-annual basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

The MSCI UK IMI Core Real Estate Volatility Tilt Index is derived from the market capitalisation weighted MSCI UK IMI Core Real Estate Index, which measures the performance of core UK real estate assets such as REITs and property companies with small, medium and large market capitalisation. While both indices have the same securities, weightings of the constituents of the MSCI UK IMI Core Real Estate Volatility Tilt Index are adjusted so that securities with lower volatility have their weightings increased and vice versa.

The iBoxx UK Gilt Inflation-Linked Short Index aims to capture exposure to investment grade UK Gilts. UK Gilts are UK government bonds the value of which is linked with inflation. The constituents of the iBoxx UK Gilt Inflation-Linked Short Index are included in the Benchmark Index with the aim of reducing the impact of leverage of the constituents of the MSCI UK IMI Core Real Estate Volatility Tilt Index on the returns of the Benchmark Index. The weighting of the iBoxx UK Gilt Inflation-Linked Short Index in the Benchmark Index is determined at each Benchmark Index rebalance by the weighted average level of leverage present in the constituents of the MSCI UK IMI Core Real Estate Volatility Tilt Index.

iShares MSCI World ex-USA UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI World ex USA Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI World ex USA Index, the Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net**

Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).

The Base Currency of iShares MSCI World ex-USA UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI World ex USA Index measures the performance of large and mid capitalisation stocks across developed market countries excluding the United States which comply with MSCI's size, liquidity, and free-float criteria.

The Benchmark Index is market capitalisation weighted and rebalances on a quarterly basis. Further details regarding the Benchmark Index (including its constituents) are available by accessing the MSCI Global Investable Market Indexes Methodology on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI World Paris-Aligned Climate UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI World Climate Paris Aligned Benchmark Select PAB Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI World Climate Paris Aligned Benchmark Select PAB Index, the Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III of the Prospectus).**

It is intended that the Fund's direct investments will, at the time of purchase, comply with the ESG requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements and/or ESG ratings of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the Fund will adopt a best-in-class approach to sustainable investing. The best-in-class approach means that by investing in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index, it is expected that the Fund will invest in the best issuers from an ESG perspective (based on the ESG criteria of the Benchmark Index) within each relevant sector of activities covered by the Benchmark Index. More than 90% of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities. By adopting the ESG methodology of the Benchmark Index, the Fund applies the extra-financial indicator upgrade approach for the purposes of the AMF ESG Rules, which means that the weighted average environmental indicator of the Fund (being the relevant extra-financial indicator of the Fund) will be at least 20% better than the weighted average environmental indicator of the Parent Index (as defined below) based on a reduction of carbon emission intensity.

The Base Currency of iShares MSCI World Paris-Aligned Climate UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI World Climate Paris Aligned Benchmark Select PAB Index aims to reflect the performance of a sub-set of equity securities of companies within the MSCI World Index (the "**Parent Index**") which are selected and weighted in accordance with the Benchmark Index methodology to reduce exposure to transition and physical climate risks, pursue opportunities arising from the transition to a lower-carbon economy whilst seeking to align with the Paris Agreement requirements.

The Parent Index measures the performance of large and mid capitalisation stocks across developed market countries which comply with MSCI's size, liquidity, and free-float criteria.

The Benchmark Index aims to meet the minimum standards for EU Paris-Aligned benchmarks set out in the Commission Delegated Regulation (EU) 2020/1818 for the methodology of benchmark indices that would be aligned with the objectives of the Paris Agreement.

The Benchmark Index excludes issuers that are involved in the following business lines/activities (or related activities):

- controversial weapons;
- tobacco;
- thermal coal mining;
- power generation (relating to thermal coal-based power generation, liquid fuel-based power generation and natural gas based power generation);

- oil fuels; and
- gaseous fuels.

The index provider defines what constitutes “involvement” in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

The Benchmark Index also excludes companies which are identified by the index provider as being involved in controversies that have a negative ESG impact on their operations and/or products and services based on an MSCI ESG controversy score (“**MSCI ESG Controversy Score**”). Companies which are identified by the index provider as having faced controversies pertaining to environmental issues are excluded from the Benchmark Index based on an MSCI environmental controversy score (“**MSCI Environmental Controversy Score**”). The minimum MSCI ESG Controversy Score and the minimum MSCI Environmental Controversy Score set by the index provider to determine eligibility for inclusion in the Benchmark Index can be found at the index provider’s website <https://www.msci.com/index-methodology>.

The remaining constituents are then selected and weighted for inclusion in the Benchmark Index to reduce exposure to transition and physical climate risks, pursue opportunities arising from transition to a lower-carbon economy while seeking to align with the objectives of the Paris Agreement and minimising ex-ante tracking error relative to the Parent Index, by:

- reducing the weighted average greenhouse gas (GHG) emissions relative to the Parent Index;
- reducing the weighted average GHG emissions by a minimum annual rate relative to the GHG emissions at the Benchmark Index inception date;
- targeting exposure to sectors with a high impact on climate change at least equivalent to the Parent Index to align with the objectives of the Paris Agreement to include exposure to sectors that should actively reduce GHG emissions; and
- applying constituent-level liquidity and diversification caps

according to the thresholds for such constraints determined by the index provider in the index methodology.

The Benchmark Index also seeks to allocate a proportion of the Benchmark Index to companies that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi).

The Benchmark Index rebalances on a semi-annual basis to take into account changes to the Parent Index in addition to applying the exclusionary and other criteria described above. In addition, companies which have been identified as having a ‘red’ MSCI ESG controversy flag, or that are involved in activities related to controversial weapons or tobacco production, may also be removed from the Benchmark Index in between index rebalances, in accordance with the index methodology. Further details regarding the Benchmark Index (including its constituents) are available on the index provider’s website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI World Equal Weighted Country and Sector Neutral Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI World Equal Weighted Country and Sector Neutral Index, the Fund’s Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

The Base Currency of iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI World Equal Weighted Country and Sector Neutral Index aims to reflect the performance of securities within the MSCI World Index (“Parent Index”). The Benchmark Index includes the constituents of the Parent Index but, at each rebalance date, all Benchmark Index issuers are weighted equally, effectively removing the influence of the size of each constituent’s market capitalisation. The constituent weights are then updated to implement the Global Industry Classification Standard (“GICS”) sector and country neutrality, meaning the weight of each sector and country in the Benchmark Index is equated with the weight of that sector and country in the Parent Index.

The Parent Index is designed to provide representation of the equity markets in developed countries. Companies are included in the Parent Index based on the proportion of their shares in issue that are available for purchase by international investors. Due to the weighting methodology being applied to the Benchmark Index, the Benchmark

Index will have different weightings compared to the Parent Index and will therefore have a different performance and risk profile to the Parent Index.

Between index rebalances, Benchmark Index constituent weightings will fluctuate due to price performance. The Benchmark Index rebalances on a quarterly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI World Small Cap ESG Enhanced CTB Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI World Small Cap ESG Enhanced CTB Index, the Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index. It is intended that the Fund's direct investments will only be in securities of issuers that comply with the index provider's environmental, social and governance ("**ESG**") requirements.

It is intended that the Fund's direct investments will, at the time of purchase, comply with the ESG requirements of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the Fund will adopt a binding and significant ESG optimisation approach to sustainable investing. As part of this approach, the Fund will aim to invest in a portfolio of securities that, as far as possible and practicable, consists of the component securities of the Benchmark Index, optimises exposure to issuers in order to achieve a higher ESG rating and reduces exposure to carbon emissions compared to the Parent Index while meeting other constraints of the ESG optimisation. More than 90% of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities. By adopting the ESG methodology of the Benchmark Index, the Fund applies the extra-financial indicator upgrade approach for the purposes of the AMF ESG Rules, which means that the weighted average environmental indicator of the Fund (being the relevant extra-financial indicator of the Fund) will be at least 20% better than the weighted average environmental indicator of the Parent Index (as defined below) based on a reduction of carbon emission intensity.

The Base Currency of iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI World Small Cap ESG Enhanced CTB Index measures the performance of a sub-set of small capitalisation stocks across developed markets globally within the MSCI World Small Cap Index (the "**Parent Index**") which excludes issuers from the Parent Index based on the index provider's ESG exclusionary criteria. The remaining constituents of the Parent Index are then weighted by the index provider, for inclusion in the Benchmark Index, using an optimisation process. The optimisation process aims to meet the decarbonisation targets and other minimum standards for an EU Climate Transition Benchmark ("CTB"), while targeting a similar risk and return profile, and maintaining a better ESG score, each in relation to the Parent Index.

The Parent Index measures the performance of small capitalisation stocks across developed markets globally which comply with MSCI's size, liquidity, and free-float criteria.

The Benchmark Index excludes issuers that are involved in the following business lines/activities (or related activities):

- controversial weapons;
- nuclear weapons;
- production of civilian firearms (relating to automatic and semi-automatic civilian firearms and small arms ammunition);
- distribution of civilian firearms or small arms ammunition;
- tobacco;
- thermal coal; and
- unconventional oil and gas.

The index provider defines what constitutes "involvement" in each restricted activity, this may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. Issuers that are classified as violating United Nations Global Compact principles

(which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment) are also excluded.

The Benchmark Index also excludes companies which are identified by the index provider as being involved in controversies that have a negative ESG impact on their operations and/or products and services based on an MSCI ESG controversy score ("**MSCI ESG Controversy Score**"). Companies which are identified by the index provider as having faced controversies pertaining to environmental issues are excluded from the Benchmark Index based on an MSCI environmental controversy score ("**MSCI Environmental Controversy Score**"). The minimum MSCI ESG Controversy Score and the minimum MSCI Environmental Controversy Score set by the index provider to determine eligibility for inclusion in the Benchmark Index can be found at the index provider's website <https://www.msci.com/index-methodology>.

The MSCI ESG ratings take into account numerous metrics that capture key ESG related issues. An MSCI ESG rating is designed to measure an issuer's resilience to long-term, industry material ESG risks and how well it manages those ESG risks relative to industry peers. The MSCI ESG rating methodology provides greater transparency and understanding of the ESG characteristics of issuers, identifying issuers with a strong MSCI ESG ratings as issuers that may be better positioned for future ESG-related challenges and that may experience fewer ESG-related controversies. Further details are available on the index provider's website at <https://www.msci.com/esg-ratings>. Issuers that have not been assessed by the index provider for an MSCI ESG Controversies Score, or an MSCI ESG rating, are also excluded from the Benchmark Index.

The remaining constituents are then weighted by the index provider in the Benchmark Index using the optimisation process outlined in the first paragraph of this section. In order to aim to meet the minimum standards of a CTB, the optimisation process has the following transition and physical climate risk targets:

- reduction of weighted average greenhouse gas (GHG) intensity compared with the Parent Index;
- minimum decarbonisation rate of GHG intensity reduction per year;
- exposure to sectors with a high impact on climate change that is at least equivalent to the Parent Index;
- a better ESG score than the Parent Index

according to the thresholds for such constraints determined by the index provider in the index methodology.

The optimisation process also applies certain risk diversification constraints to the constituents of the Benchmark Index, for example minimum and maximum constituent weightings and sector weightings relative to the Parent Index. Turnover of the Benchmark Index is also controlled by the optimisation process at each Benchmark Index review.

The Benchmark Index also seeks to allocate a proportion of the Benchmark Index to companies that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi).

The Benchmark Index has been labelled by the index provider as an EU Climate Transition Benchmark and does not aim to meet the minimum standards for EU Paris-Aligned Benchmarks (as set out in the Commission Delegated Regulation (EU) 2020/1818). Both EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks are subject to minimum standards that are based on the commitments laid down in the Paris Agreement. While EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks pursue similar objectives and minimum standards that are common to both benchmarks, they vary in their level of ambition. As such, the Benchmark Index does not incorporate any thresholds or exclusionary criteria to meet any minimum standards applicable only to EU Paris-Aligned benchmarks.

The Benchmark Index rebalances on a quarterly basis. In addition, companies which have been identified as having a 'red' MSCI ESG controversy flag, or which have been classified as violating United Nations Global Compact principles, or that are involved in activities related to controversial weapons or tobacco production, may also be removed from the Benchmark Index in between index rebalances, in accordance with the index methodology.

Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares MSCI World Small Cap UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the MSCI World Small Cap Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the MSCI World Small Cap Index, the Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying

constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares MSCI World Small Cap UCITS ETF is US Dollar (US\$).

Benchmark Index

The MSCI World Small Cap Index measures the performance of small capitalisation stocks across developed markets globally which comply with MSCI's size, liquidity, and free-float criteria.

The Benchmark Index is free float-adjusted market capitalisation weighted and rebalances on a semi-annual basis. The Benchmark Index rebalances on a semi-annual basis. The Benchmark Index also undergoes quarterly reviews. These quarterly reviews may involve limited rebalancing, consisting of the addition and/or removal of constituents from the Benchmark Index but not amounting to a full reconstitution of the Benchmark Index. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.msci.com/indexes/ishares> and <https://www.msci.com/constituents>.

iShares S&P 500 Equal Weight UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the S&P 500 Equal Weight Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the S&P 500 Equal Weight Index, the Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

The Base Currency of iShares S&P 500 Equal Weight UCITS ETF is US Dollar (US\$).

Benchmark Index

The S&P 500 Equal Weight Index aims to reflect the performance of securities within the S&P 500 Index (the "Parent Index") with each security being equally weighted within the Benchmark Index.

The Benchmark Index includes all the constituents of the Parent Index but, at each rebalance date, all Benchmark Index constituents are weighted equally. This means that, at each index rebalance, the Benchmark Index will have a larger weighting in the smaller market capitalisation securities compared to its Parent Index. Between index rebalances, Benchmark Index constituent weightings will fluctuate due to price performance.

The Parent Index measures the performance of 500 stocks from top US companies in leading industries of the US economy which comply with S&P's size, liquidity and free-float criteria.

The Benchmark Index rebalances on a quarterly basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.spglobal.com/spdji/en/supplemental-data/europe/>.

iShares S&P 500 Scored and Screened UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the S&P 500 Scored and Screened Index.

Investment Policy

In order to achieve this investment objective, the investment policy of the Fund is to invest in a portfolio of equity securities that so far as possible and practicable consists of the component securities of the S&P 500 Scored and Screened Index, the Fund's Benchmark Index. The Fund intends to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index. **In order to replicate its Benchmark Index, this Fund may invest up to 20% of its Net Asset Value in shares issued by the same body. This limit may be raised to 35% for a single issuer when exceptional market conditions apply (as set out in section 4 of Schedule III).**

It is intended that the Fund's direct investments will, at the time of purchase, comply with the ESG requirements and/or ESG ratings of the Fund's Benchmark Index. The Fund may continue to hold securities which no longer comply with the ESG requirements and/or ESG ratings of the Fund's Benchmark Index until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

For the purposes of complying with AMF ESG Rules, the Fund will adopt a best-in-class approach to sustainable investing. The best-in-class approach means that by investing in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index, it is expected that the Fund will invest in

the best issuers from an ESG perspective (based on the ESG criteria of the Benchmark Index) within each relevant sector of activities covered by the Benchmark Index. More than 90% of the net assets of the Fund, excluding Cash Holdings and daily dealing money market collective investment schemes, are rated or analysed in accordance with the ESG criteria of the Benchmark Index. For FDI, any such analyses will apply only to the underlying securities. As a result of the application of the ESG criteria of the Benchmark Index, the Fund applies the selectivity approach for the purposes of the AMF ESG Rules which means that the portfolio of the Fund is reduced by at least 20% compared to the Parent Index (as defined below), calculated either (i) by number of issuers or (ii) by the relative weighting of the worst performers in the Benchmark Index.

The Base Currency of iShares S&P 500 Scored and Screened UCITS ETF is US Dollar (US\$).

Benchmark Index

The S&P 500 Scored and Screened Index measures the performance of a sub-set of equity securities of companies within the S&P 500 (the "**Parent Index**") which excludes issuers from the Parent Index based on the index provider's ESG exclusionary criteria.

The Benchmark Index seeks to exclude issuers from the Parent Index based on their involvement in the following business lines/activities (or related activities): thermal coal, tobacco, controversial weapons, small arms, military contracting and oil sands. The index provider defines what constitutes "involvement" in each restricted activity. This may be based on corporate ownership, percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

The Benchmark Index also excludes issuers from the Parent Index which are classified as being involved in serious ESG controversies or as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs), and their underlying conventions. Index constituents are evaluated for ESG risk, and a company engaged in controversial activities may be removed from the Benchmark Index.

In addition, companies with an S&P DJI ESG Score that is in the lowest 25% of S&P DJI ESG Scores within each GICS industry sector are excluded from the Benchmark Index at each annual rebalance. S&P DJI ESG Scores are based on an analysis of ESG factors which identify companies that are able to recognize and respond to emerging sustainability opportunities and challenges in the global market.

The Parent Index measures the performance of 500 stocks from top US companies in leading industries of the US economy which comply with S&P's size, liquidity and free-float criteria.

The Benchmark Index will comprise a smaller number of securities with different weightings compared to the Parent Index and will therefore have a different performance and risk profile to the Parent Index.

The Benchmark Index is free float-adjusted market capitalisation weighted and rebalances on an annual basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.spglobal.com/spdji/en/supplemental-data/europe/>.

iShares S&P SmallCap 600 UCITS ETF

Investment Objective

The investment objective of this Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the S&P SmallCap 600.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the S&P SmallCap 600, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Base Currency of iShares S&P SmallCap 600 UCITS ETF is US Dollar (US\$).

Benchmark Index

The S&P SmallCap 600 measures the performance of 600 stocks from the small capitalisation segment of the US equity market which comply with S&P's size, liquidity and free float criteria. The Benchmark Index is free float market capitalisation weighted and rebalances on a quarterly basis (or more frequently if required). Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <https://www.spglobal.com/spdji/en/supplemental-data/europe/>.

iShares U.S. Equity High Income Active UCITS ETF

Investment Objective

The investment objective of the Fund is to generate income and capital growth with lower volatility than the broader US equity market.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will employ the following strategies:

- holding long position in US large capitalisation equity securities (as determined by the Investment Manager);
- selling call options on a large capitalisation US equity index, such as the S&P 500 Index; and
- buying futures on a large capitalisation US equity index, such as the S&P 500 Index.

In normal market conditions, the Fund will invest at least 80% of its total assets in the equity and equity-related instruments (namely, call options, futures and swaps) of large capitalisation companies domiciled in, listed in, or the main business of which is in, the United States of America.

To generate income, the Fund will sell (write) call options on a large cap US equity index, such as the S&P 500 Index. An options contract is an agreement between a buyer and seller that gives the purchaser of the option the right to buy (in the case of a call) an agreed upon price (commonly known as the "strike price"). When the Fund writes (sells) a call option, the Fund is entitled to receive a premium. Although not perfectly correlated, such call options may have the impact of capping potential gains from the Fund's long position in equity securities. Therefore, to reduce the potential impact of this cap on the potential gains (with actual results dependent on various factors including the degree of options and futures activity over time), the Fund will buy futures on a large cap US equity index, such as the S&P 500 Index. A futures contract is a legal agreement to buy or sell a particular commodity asset, or security at a predetermined price at a specified time in the future.

In addition, the Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund uses quantitative (i.e. mathematical or statistical) forecast models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. These forecast models are designed to prioritise insights that demonstrate downside protection as well as identify aspects of mispricing across stocks which the Fund can seek to capture by over- and under-weighting particular equity securities versus the S&P 500 Index while seeking to control incremental risk. The Investment Manager then constructs and rebalances the portfolio by integrating its investment insights with the model-based optimisation process. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy outlined below and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also invest up to 10% of its total assets in fixed income securities (which shall be investment grade), corporate or government issued, and fixed or floating rate) and up to 20% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of this Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In addition to the use of call options and futures referred to above, the Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of this Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of US companies. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in this Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of this Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

ESG Policy

The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds) including but not limited to:

- (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.
- (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.
- (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

To undertake its analysis of ESG criteria, the Investment Manager may use data generated internally by the Investment Manager and/or its Affiliates or provided by one or more third party ESG research providers.

Should existing holdings, compliant at the time of investment subsequently become ineligible, they will be divested within a reasonable period of time.

The Fund may gain limited indirect exposure (through, including but not limited to, FDI and shares or units of collective investment schemes) to issuers with exposures that do not meet the ESG criteria described above.

It is the Investment Manager's intention that the above screens will evolve over time as improved data and more research on this subject becomes available. The full list may be amended from time to time at the Investment Manager's discretion and (unless it alters the description in this section) may be implemented without notification to Shareholders.

The Fund will invest in Sustainable Investments as set out above.

In addition, the Fund will seek to have a lower carbon emissions intensity score relative to the S&P 500 Index. At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy (as defined below), subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

Benchmark

The Fund is actively managed, and the Investment Manager has full discretion to select the Fund's investments and is not bound by any index. The Investment Manager may take into consideration the S&P 500 Index (the "Index") when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Index should be used by investors to compare the performance of the Fund. As the Fund is actively managed, the Investment Manager is not bound by the components or weighting of the Index when selecting investments. The Investment Manager may also use its discretion to invest in securities not included in the Index to take advantage of specific investment opportunities. The Fund's portfolio holdings are expected to deviate materially from the Index and the Investment Manager's discretion may result in performance that differs from the Index. The Fund will not seek to track the performance of, or replicate, the Index.

The Base Currency of iShares U.S. Equity High Income Active UCITS ETF is US Dollar (US\$).

iShares UK Gilts 0-5yr UCITS ETF

Investment Objective

The investment objective of the Fund is to provide investors with a total return, taking into account both capital and income returns, which reflects the return of the FTSE UK Conventional Gilts – Up To 5 Years Index.

Investment Policy

In order to achieve this investment objective, the investment policy of this Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the FTSE UK

Conventional Gilts – Up To 5 Years Index, this Fund's Benchmark Index. The Fund intends to use optimisation techniques in order to achieve a similar return to the Benchmark Index and it is therefore not expected that the Fund will hold each and every underlying constituent of the Benchmark Index at all times or hold them in the same proportion as their weightings in the Benchmark Index. The Fund may hold some securities which are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. However, from time to time the Fund may hold all constituents of the Benchmark Index.

The Fund will invest in transferable securities which will typically be fixed income debt securities. They will, at the time of purchase, meet the credit rating requirements of the Benchmark Index, which in this case is investment grade. While it is intended that the Fund's Investments will comprise investment grade issues, issues may be downgraded in certain circumstances from time to time. In such event the Fund may hold non-investment grade issues until such time as the non-investment grade issues cease to form part of the Fund's Benchmark Index (where applicable) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Base Currency of iShares UK Gilts 0-5yr UCITS ETF is Sterling (Stg£), and the Fund will not undertake any exposure to currencies other than Sterling, except in the efficient portfolio management of changes to the Benchmark Index of the Fund and in the management of any future Share classes of the Fund which may be denominated in a currency other than Sterling.

Benchmark Index

The FTSE UK Conventional Gilts – Up To 5 Years Index measures the performance of Sterling denominated fixed rate bonds issued or guaranteed by the British government that have a remaining maturity of between zero and five years and which are quoted on the London Stock Exchange, other than index-linked bonds. The Benchmark Index rebalances on a daily basis. Further details regarding the Benchmark Index (including its constituents) are available on the index provider's website at <http://www.ftserussell.com/Index>.

iShares US Equity Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to achieve long-term capital growth.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, the United States. The Fund does not have any specific industry focus.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value (companies whose share price is indicative of good value, for example by reference to its estimated future earnings), momentum (companies that have experienced share price increases over a period of time) and quality (companies that demonstrate good quality characteristics such as the profitability of the company, the stability of its earnings and low levels of leverage/debt)), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy outlined below and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of this Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of this Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, the United States. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" in this Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of this Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of this Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

ESG Policy

The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds) including but not limited to:

- (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.
- (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.
- (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

To undertake its analysis of ESG criteria, the Investment Manager may use data generated internally by the Investment Manager and/or its Affiliates or provided by one or more third party ESG research providers.

Should existing holdings, compliant at the time of investment subsequently become ineligible, they will be divested within a reasonable period of time.

The Fund may gain limited indirect exposure (through, including but not limited to, FDI and shares or units of collective investment schemes) to issuers with exposures that do not meet the ESG criteria described above.

It is the Investment Manager's intention that the above screens will evolve over time as improved data and more research on this subject becomes available. The full list may be amended from time to time at the Investment Manager's discretion and (unless it alters the description in this section) may be implemented without notification to Shareholders.

The Fund will invest in Sustainable Investments as set out above.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI USA Index (the "**Index**"). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

Benchmark

The Fund is actively managed. The Investment Manager has discretion to select the Fund's investments and in doing so will refer to the Index when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). The Index should be used by investors to compare the performance of the Fund.

The Base Currency of iShares US Equity Enhanced Active UCITS ETF is US Dollar (US\$).

iShares World Equity Enhanced Active UCITS ETF

Investment Objective

The investment objective of the Fund is to achieve long-term capital growth.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, global developed markets. The Fund does not have any specific industry focus.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value (companies whose share price is indicative of good value, for example by reference to its estimated future earnings), momentum (companies that have experienced share price increases over a period of time) and quality (companies that demonstrate good quality characteristics such as the profitability of the company, the stability of its earnings and low levels of leverage/debt)), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy outlined below and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets outside emerging markets. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of this Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of this Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, global developed markets. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" in this Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of this Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of this Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

ESG Policy

The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds) including but not limited to:

- (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.
- (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.
- (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

To undertake its analysis of ESG criteria, the Investment Manager may use data generated internally by the Investment Manager and/or its Affiliates or provided by one or more third party ESG research providers.

Should existing holdings, compliant at the time of investment subsequently become ineligible, they will be divested within a reasonable period of time.

The Fund may gain limited indirect exposure (through, including but not limited to, FDI and shares or units of collective investment schemes) to issuers with exposures that do not meet the ESG criteria described above.

It is the Investment Manager's intention that the above screens will evolve over time as improved data and more research on this subject becomes available. The full list may be amended from time to time at the Investment Manager's discretion and (unless it alters the description in this section) may be implemented without notification to Shareholders.

The Fund will invest in Sustainable Investments as set out above.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI World Index (the "**Index**"). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

Benchmark

The Fund is actively managed. The Investment Manager has discretion to select the Fund's investments and in doing so will refer to the Index when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). The Index should be used by investors to compare the performance of the Fund.

The Base Currency of iShares World Equity Enhanced Active UCITS ETF is US Dollar (US\$).

iShares World Equity Factor Rotation Active UCITS ETF

Investment Objective

The Fund seeks to achieve long-term capital growth by primarily investing in a portfolio of equity securities with diversified and tactical exposure to style factors via a factor rotation model.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective the Fund will invest at least 80% of its assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, global developed markets selected based on a proprietary factor rotation model developed by the Investment Manager and its Affiliates (the "**Model**"). The Model uses commonly-used equity style factors such as momentum (companies that have experienced share price increases over a period of time), quality (companies that demonstrate good quality characteristics such as the profitability of the company, the stability of its earnings and low levels of leverage/debt), value (companies whose share price is indicative of good value, for example by reference to its estimated future earnings), size (companies with lower market capitalization are assigned a higher weight in the portfolio) and minimum volatility (companies with lower volatility that can achieve greater risk-adjusted returns).

The Investment Manager will allocate the factors across the Fund's portfolio and seek to emphasise those factors with the strongest near-term return prospects. The Investment Manager will do so by comparing the relative attractiveness of each factor based on the current economic cycle as well as the valuations and recent trends of each factor and seek to guide the portfolio to tilt into favorable factors and away from unfavorable factors in pursuit of incremental returns. While each factor may have positive returns over the long run, they are driven by different market forces and therefore can be cyclical in the short term. This short-term cyclicality allows the Investment Manager to identify those factors with the most attractive near-term potential and increase the Fund's exposure accordingly. The tactical factor positioning is based on a diversified set of insights that consider the broader market environment as well as each factor's fundamental and technical metrics relative to their own history. Factor views can be favourable or unfavourable depending on the current economic cycle. The Investment Manager may reflect a negative perspective on a factor by opting for contrasting exposures—for instance, in respect of the size factor, tilting the portfolio to larger capitalization companies when the Investment Manager holds a negative view on small sized companies based on the then current economic cycle. The portfolio is then built from the bottom-up (i.e., at the stock level) as a function of the factor views, the exposure of the desired factor within each stock and risk.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, global developed markets. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management".

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

ESG Policy

The Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out below.

The Investment Manager will apply the BlackRock EMEA Baseline Screens (as described in Schedule VII).

The Fund will invest in Sustainable Investments as further set out in Schedule VIII.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI World Index (the "**Index**"). At least 90% of the issuers of securities the Fund invests in will be ESG rated or will be analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

Benchmark

The Fund is actively managed, and the Investment Manager has full discretion to select the Fund's investments and is not bound by any index. The Investment Manager may take into consideration the Index when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Index should be used by investors to compare the performance of the Fund. As the Fund is actively managed, the Investment Manager is not bound by the components or weighting of the Index when selecting investments. The Investment Manager may also use its discretion to invest in securities not included in the Index to take advantage of specific investment opportunities. The Fund's portfolio holdings are expected to deviate materially from the Index and the Investment Manager's discretion may result in performance that differs from the Index. The Fund will not seek to track the performance of, or replicate, the Index.

The Base Currency of iShares World Equity Factor Rotation Active UCITS ETF is US Dollar (US\$).

iShares World Equity High Income Active UCITS ETF

Investment Objective

The investment objective of the Fund is to generate income and capital growth with lower volatility than developed market equities.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective, the Fund will employ the following strategies:

- holding long position in developed market large and mid capitalisation equity securities (as determined by the Investment Manager);
- selling call options on large and mid capitalisation developed market equity indices, such as the S&P 500, FTSE 100, Nikkei and Euro Stoxx 50; and
- buying futures on large and mid capitalisation developed market equity indices, such as the S&P 500, FTSE 100, Nikkei and Euro Stoxx 50.

In normal market conditions, the Fund will invest at least 80% of its total assets in the equity and equity-related instruments (namely, call options, futures and swaps) of developed market large and mid capitalisation companies.

To generate income, the Fund will sell (write) call options on large and mid capitalisation developed market equity indices, such as the S&P 500, FTSE 100, Nikkei and Euro Stoxx 50. An options contract is an agreement between a buyer and seller that gives the purchaser of the option the right to buy (in the case of a call an agreed upon price (commonly known as the "strike price"). When the Fund writes (sells) a call option, the Fund is entitled to receive a premium. Although not perfectly correlated, such call options may have the impact of capping potential gains

from the Fund's long position in equity securities. Therefore, to reduce the potential impact of this cap on the potential gains (with actual results dependent on various factors including the degree of options and futures activity over time), the Fund will buy futures on large and mid capitalisation developed market equity indices, such as the S&P 500, FTSE 100, Nikkei and Euro Stoxx 50. A futures contract is a legal agreement to buy or sell a particular commodity asset, or security at a predetermined price at a specified time in the future.

In addition, the Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund uses quantitative (i.e. mathematical or statistical) forecast models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. These forecast models are designed to prioritise insights that demonstrate downside protection as well as identify aspects of mispricing across stocks which the Fund can seek to capture by over- and under-weighting particular equity securities versus the MSCI World Index while seeking to control incremental risk. The Investment Manager then constructs and rebalances the portfolio by integrating its investment insights with the model-based optimisation process. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy outlined below and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also invest up to 10% of its total assets in fixed income securities (which shall be investment grade), corporate or government issued, and fixed or floating rate) and up to 20% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In addition to the use of call options and futures referred to above, the Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of developed market companies. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

ESG Policy

The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds) including but not limited to:

- (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.
- (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.

- (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

To undertake its analysis of ESG criteria, the Investment Manager may use data generated internally by the Investment Manager and/or its Affiliates or provided by one or more third party ESG research providers.

Should existing holdings, compliant at the time of investment subsequently become ineligible, they will be divested within a reasonable period of time.

The Fund may gain limited indirect exposure (through, including but not limited to, FDI and shares or units of collective investment schemes) to issuers with exposures that do not meet the ESG criteria described above.

It is the Investment Manager's intention that the above screens will evolve over time as improved data and more research on this subject becomes available. The full list may be amended from time to time at the Investment Manager's discretion and (unless it alters the description in this section) may be implemented without notification to Shareholders.

The Fund will invest in Sustainable Investments as set out above.

In addition, the Fund will seek to have a lower carbon emissions intensity score relative to the MSCI World Index. At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy (as defined below), subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

Benchmark

The Fund is actively managed, and the Investment Manager has full discretion to select the Fund's investments and is not bound by any index. The Investment Manager may take into consideration the MSCI World Index (the "**Index**") when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Index should be used by investors to compare the performance of the Fund. As the Fund is actively managed, the Investment Manager is not bound by the components or weighting of the Index when selecting investments. The Investment Manager may also use its discretion to invest in securities not included in the Index to take advantage of specific investment opportunities. The Fund's portfolio holdings are expected to deviate materially from the Index and the Investment Manager's discretion may result in performance that differs from the Index. The Fund will not seek to track the performance of, or replicate, the Index.

The Base Currency of iShares World Equity High Income Active UCITS ETF is US Dollar (US\$).

iShares World Thematic Rotation Active UCITS ETF

Investment Objective

The investment objective of the Fund is to seek to achieve long-term capital growth.

Investment Policy

The Fund is actively managed. In order to achieve its investment objective the Fund will invest, under normal circumstances, at least 80% of its total assets in the equity and equity-related instruments (namely, common and preferred stock, warrants, ADRs and GDRs) of companies domiciled in, listed in, or the main business of which is in, global developed markets selected based on a thematic rotation model which is proprietary to the Investment Manager and its Affiliates (the "**Model**").

The Investment Manager selects investments for the Fund and uses the Model to inform its investment decisions. The Model is a systematic framework used by the Investment Manager to analyse companies and ensure proactive risk-management and which focuses on **(i)** theme identification, **(ii)** theme and company evaluation, and **(iii)** portfolio aggregation and construction (each as described further below).

Using the Model, the Investment Manager seeks to construct a portfolio comprised primarily of developed market large and mid-capitalisation equity securities with exposure to multiple market-relevant investment themes, including emerging and structural trends. An example of a market-relevant investment theme is a rapid shift to a work-from-home environment. An example of an emerging or a structural trend might be a release of a breakthrough innovation. Themes may frequently cut across traditional boundaries like industries, styles, or geographies.

Theme Identification: The Investment Manager uses statistical techniques, curated data sets, and the Model's analysis which is continually updated for current market data to identify relevant transitory themes. To make each theme investible, the Investment Manager constructs a custom basket with respect to each theme where stock

weights are intended to reflect the relevance of the theme to that company; a larger stock weight signifies a stronger relationship between a security and the given theme, as determined by the Investment Manager.

Theme and Company Evaluation: The Investment Manager seeks to evaluate the attractiveness of **(i)** each identified theme and **(ii)** each company included in the investible universe using proprietary alpha signals of the Model. A signal is a pattern or a feature derived from a data set. An alpha signal is a signal which identifies a potential investment opportunity. The Model's proprietary methodology analyses data to generate alpha signals pointing to, for example, investment flow activity, investor sentiment and fundamentals of investment themes. This produces **(i)** a return forecast for each theme that seeks to emphasise themes with desirable attributes, such as attractive flow activity and investor sentiment and **(ii)** a return forecast for each company that seeks to emphasise companies with strong fundamentals and other characteristics with constructive outlooks. Evaluating these themes and companies helps the Investment Manager trade in and out of themes and securities over time.

Portfolio Aggregation and Construction: The Investment Manager then invests across multiple themes and individual companies based on the return forecasts identified by the Model, to seek to deliver a diversified portfolio of securities.

The Model investment process generates investment ideas informed by macroeconomic inputs and company fundamentals as well as data-driven insights. Data-driven insights may be produced using machine learning and artificial intelligence methods based on large language models to analyse information from a variety of text sources, including analyst reports, corporate earnings call transcripts, news articles, and social media. These techniques are used to produce sentiment analysis and factor and thematic insights, helping to identify investment opportunities in market-relevant themes as well as measuring whether a security may be over- or under-valued.

The Fund has no stated minimum holding period for investments and may buy or sell securities whenever the Investment Manager identifies an appropriate opportunity. The Fund may engage in active and frequent trading of its investments.

The Fund's assets will also be invested in accordance with the ESG Policy described below.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities. Such underlying equity securities may be issued from within emerging markets jurisdictions.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the futures, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, global developed markets. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management".

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Base Currency of iShares World Thematic Rotation Active UCITS ETF is US Dollar (US\$).

ESG Policy

The Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out below.

The Investment Manager will apply the exclusionary screens described in Schedule VII.

The Fund will invest in Sustainable Investments as further set out in Schedule VII.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI World Net Index (the "**Index**"). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

SFDR

Through the application of the Fund's ESG Policy (as described above), the Fund promotes environmental characteristics related to: (i) the reduction of environmental pollution; and (ii) the reduction of carbon emissions. The Fund promotes social characteristics related to: (i) the reduction of the availability of weapons; (ii) better health and wellbeing; and (iii) support for human rights, labour standards, the environment and anti-corruption. Details of the environmental and social characteristics promoted by the Fund are set out in Appendix IV.

The Investment Manager evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. The Investment Manager may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers.

Benchmark

The Fund is actively managed and the Investment Manager has discretion to select the Fund's investments. In doing so, the Investment Manager will refer to the Index when constructing the Fund's portfolio, and also for risk management purposes to ensure that the active risk (i.e. degree of deviation from the Index) taken by the Fund remains appropriate given the Fund's investment objective and policy. The Investment Manager is not bound by the components or weighting of the Index when selecting investments, nor is the Index reflective of the Fund's ESG Policy. The Investment Manager may also use its discretion to invest in securities not included in the Index in order to take advantage of specific investment opportunities. The Fund is designed to provide investors with achievement of the investment objective by typically taking a conservative level of active risk relative to the Index in order to seek a commensurate active return in excess of applicable management fees over the long term (i.e. 5 years or more). Although the Fund is not constrained by the Index's composition or weightings and may invest in securities outside the Index, the Index is nonetheless representative of the general investment universe and risk-return characteristics relevant to the Fund's strategy. Accordingly, the Index should be used by investors to compare the performance of the Fund.

METHODOLOGIES FOR CURRENCY HEDGING

The Company is a UCITS and accordingly the Funds are subject to the investment and borrowing restrictions set out in the Regulations and the Central Bank UCITS Regulations. These are set out in detail in Schedule III below.

Currency Hedged Share Classes

With the exception of iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF, and the Multi-Asset Funds, currency hedging is undertaken for each Currency Hedged Share Class by hedging its underlying portfolio currency exposures that are different from its Valuation Currency to keep the difference between such underlying portfolio currency exposures and the Valuation Currency within a pre-determined tolerance. For iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and the Multi-Asset Funds, currency hedging is undertaken for each Currency Hedged Share Class by hedging its Valuation Currency to the Base Currency of the Fund to keep the difference between the Base Currency of the Fund and the Valuation Currency within a pre-determined tolerance. The Investment Manager will monitor the currency exposure of each Currency Hedged Share Class against the pre-determined tolerances daily and will determine when a currency hedge should be reset and the gain or loss arising from the currency hedge reinvested or settled, while taking into consideration the frequency and associated transaction and reinvestment costs of resetting the currency hedge. Currency hedging is carried out on a best efforts basis and there is no guarantee that the Investment Manager will be successful in fully hedging the currency risks. This could result in mismatches between the currency position of the relevant Fund and the Currency Hedged Share Class.

In the event that, the over-hedged or under-hedged position on any single underlying portfolio currency exposure of a Currency Hedged Share Class (or on any Currency Hedged Share Classes in respect of iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and the Multi-Asset Funds) exceeds the pre-determined tolerance as at the close of a Business Day (for example, due to market movement), the hedge in respect of that underlying currency (or Currency Hedged Share Class in respect of iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and the Multi-Asset Funds) will be reset on the next Business Day (on which the relevant currency markets are open). Over-hedged positions shall not exceed 105% of the net asset value of the relevant Currency Hedged Share Class and under-hedged positions shall not fall short of 95% of the portion of the net asset value of the relevant Currency Hedged Share Class that is to be hedged against currency risk. In addition, if the aggregate gain or loss arising from the currency forwards for hedging all the underlying currencies of a Currency Hedged Share Class exceeds the pre-determined tolerance as at the close of a Business Day, the Investment Manager will determine on the next Business Day (on which the relevant currency markets are open) whether some or all of the currency hedges held by that Share Class are required to be reset to reduce the gain or loss if the gain or loss remains outside the tolerance. Applying the above tolerance thresholds will enable the Investment Manager to better manage the frequency and associated costs arising from FX transactions to effect the hedge for Currency Hedged Share Classes. The pre-determined tolerance threshold for each Currency Hedged Share Class is reviewed by BlackRock's Risk and Quantitative Analysis team.

In relation to the foreign currency hedging component of the Currency Hedged Share Classes, in the event that there is a gain on the foreign currency hedge, no leverage will result from such gain. In the event that there is a loss on the foreign currency hedge, leverage will result in the relevant Currency Hedged Share Classes from such loss. Any leverage will be removed or reduced when the relevant currency hedge is adjusted or reset as required for the relevant Currency Hedged Share Class. The Investment Manager does not intend to leverage the Currency Hedged Share Classes beyond the tolerance threshold at which point a reset of some or all of the currency hedges for that Currency Hedged Share Class will be triggered. In extreme market circumstances the tolerance threshold may be temporarily breached.

Upon receipt of a subscription/redemption in a Currency Hedged Share Class, the Investment Manager will allocate monies representing the subscription/redemption in proportion to the weightings between the securities held by the Fund that are attributable to that Share Class and increase/reduce the value of the hedge of that Currency Hedged Share Class accordingly.

INVESTMENT TECHNIQUES

The Funds invest in transferable securities in accordance with the Regulations and/or other liquid financial assets referred to in Regulation 68 of the Regulations with the aim of spreading investment risk. Each Fund's Investments will be limited to investments permitted by the Regulations (and in the case of iShares € Cash UCITS ETF, the MMF Regulation) which are described in more detail in Schedule III. Each Fund's Investments, other than its Investments in unlisted open-ended collective investment schemes, will normally be listed or traded on Regulated Markets set out in Schedule I.

All Funds, except for the Active Funds, iShares € Cash UCITS ETF and the Multi-Asset Funds

There are a number of circumstances in which achieving the investment objective and policy of a Fund may be prohibited by regulation, may not be in the interests of holders of Shares or may require the use of strategies which are ancillary to those set out in the Fund's investment objective and policy. These circumstances include, but are not limited to the following:-

- (i) Each Fund is subject to the Regulations which include, inter alia, certain restrictions on the proportion of that Fund's value which may be held in individual securities. Depending on the concentration of the Benchmark Index, a Fund may be restricted from investing to the full concentration level of the Benchmark Index. In addition, a Fund may hold synthetic securities within the limits set out in this Prospectus, provided that the synthetic securities are securities which are correlated to, or the return on which is based on securities which form part of the Benchmark Index.
- (ii) The constituent securities of the Benchmark Index change from time to time (a "rebalancing"). The Investment Manager may adopt a variety of strategies when investing the assets of a Fund to bring it in line with the rebalanced Benchmark Index. For example, (a) for Equity Funds, where a security which forms part of the Benchmark Index is not available or is not available for the required value or a market for such security does not exist or is restricted, or where acquiring or holding such security is not as cost or tax efficient as acquiring or holding a depository receipt, a Fund may hold depository receipts relating to such securities (e.g. ADRs and GDRs); (b) for Fixed Income Funds, where a fixed income security which forms part of the Benchmark Index is not available or is not available for the required value or a market for such security does not exist or is restricted, or where acquiring or holding such security is not as cost or tax efficient as acquiring or holding a depository note or other fixed income securities, the Fund may hold depository notes relating to such securities (e.g. GDNs) and/or hold some other fixed income securities which have similar risk characteristics even if such fixed income securities are not themselves constituents of the Benchmark Index.
- (iii) Funds that directly invest into listed shares on the Saudi Stock Exchange and the Investment Manager are subject to the QFI Rules, which impose certain limits on investment in Saudi listed shares by foreign investors (including QFIs). To the extent that the Investment Manager reaches any of these foreign ownership limits, the Investment Manager may be prohibited further from investing directly in Saudi listed shares or might be required to divest of certain of its holdings in Saudi listed shares, until such time as the foreign ownership thresholds are no longer being exceeded.
- (iv) From time to time, securities in the Benchmark Index may be subject to corporate actions. The Investment Manager may manage these events at its discretion.
- (v) A Fund may hold ancillary liquid assets and will normally have dividend/income receivables. The Investment Manager may purchase FDI (as outlined above), for direct investment purposes, to produce a return similar to the return on the Benchmark Index.
- (vi) Securities included in the Benchmark Index may, from time to time, become unavailable, illiquid or unobtainable at fair value. In these circumstances, the Investment Manager may use a number of techniques in respect of non-replicating Funds, including purchasing securities which are not constituents of the Benchmark Index, whose returns, individually or collectively, are considered by the Investment Manager to be well-correlated to the constituents of the Benchmark Index (see the section entitled "Non-replicating Funds" below for more details).
- (vii) The Investment Manager will have regard to the costs of any proposed portfolio transaction. It may not necessarily be efficient to execute transactions which bring a Fund perfectly in line with the Benchmark Index at all times.

Replicating Funds

Replicating index funds seek to replicate as closely as possible the constituents of the Benchmark Index by holding all the securities comprising the Benchmark Index in similar proportion to their weightings in the Benchmark Index and, in doing so, are permitted to avail of the higher investment limits set out in section 4 of Schedule III for replicating index funds. It may not, however, always be possible or practicable to purchase each and every constituent of the Benchmark Index in accordance with the weightings of the Benchmark Index, or doing so may be detrimental to holders of Shares in the relevant Fund (for example, where there are considerable costs or practical difficulties involved in compiling a portfolio of securities in order to replicate the Benchmark Index, or in circumstances where a security in the Benchmark Index becomes temporarily illiquid, unavailable or less liquid, or as a result of legal restrictions that apply to the Fund but not to the Benchmark Index). Replicating index Funds as per the Regulations will state the intent to avail of the investment limits set out in section 4 of Schedule III in their investment policy.

The following Funds use a replicating strategy: iShares AI Adopters & Applications UCITS ETF, iShares AI Infrastructure UCITS ETF, iShares Blockchain Technology UCITS ETF, iShares MSCI Australia UCITS ETF, iShares MSCI EM UCITS ETF USD (Acc), iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF, iShares MSCI Pacific ex-Japan UCITS ETF, iShares MSCI Saudi Arabia Capped UCITS ETF, iShares MSCI South Africa UCITS ETF, iShares MSCI Target UK Real Estate UCITS ETF, iShares MSCI World ex-USA UCITS ETF, iShares MSCI World Paris-Aligned Climate UCITS ETF, iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF, iShares S&P 500 Equal Weight UCITS ETF and iShares S&P 500 Scored and Screened UCITS ETF.

Non-replicating Funds

Certain Funds may not be replicating index funds for the purposes of the Regulations and therefore are not permitted to avail of the higher investment limits set out in section 4 of Schedule III which apply to replicating funds (instead, they may use optimisation techniques to achieve their investment objective). These Funds may, or may not, hold every security or the exact concentration of a security in its Benchmark Index, but will aim to track its Benchmark Index as closely as possible. The extent to which a Fund uses optimisation techniques will depend on the nature of the constituents of its Benchmark Index, the practicalities and cost of tracking the relevant Benchmark Index, and such use is at the discretion of the Investment Manager. For example, a Fund may use optimisation techniques extensively and may be able to provide a return similar to that of its Benchmark Index by investing only in a relatively small number of the constituents of its Benchmark Index. The Fund may also hold some securities which provide similar performance (with matching risk profile) to certain securities that make up the relevant Benchmark Index even if such securities are not themselves constituents of the Benchmark Index and the Fund's holdings may exceed the number of constituents of the Benchmark Index. The use of optimisation techniques, implementation of which is subject to a number of constraints detailed in Schedule II and III, may not produce the intended results.

The following Funds use a non-replicating strategy: iShares \$ Asia Investment Grade Corp Bond UCITS ETF, iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ Development Bank Bonds UCITS ETF, iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ Intermediate Credit Bond UCITS ETF, iShares € Aggregate Bond ESG SRI UCITS ETF, iShares € Corp Bond 1-5yr UCITS ETF, iShares € Corp Bond BBB-BB UCITS ETF, iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF, iShares € Corp Bond ex-Financials UCITS ETF, iShares € Covered Bond UCITS ETF, iShares € Govt Bond 0-1yr UCITS ETF, iShares € Govt Bond 10-15yr UCITS ETF, iShares € Govt Bond 5-7yr UCITS ETF, iShares € Govt Bond Climate UCITS ETF, iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares £ Corp Bond ex-Financials UCITS ETF, iShares Broad \$ Corp Bond UCITS ETF, iShares Broad \$ High Yield Corp Bond UCITS ETF, iShares Broad € High Yield Corp Bond UCITS ETF, iShares Broad Global Govt Bond UCITS ETF, iShares Core € Corp Bond UCITS ETF, iShares Core € Govt Bond UCITS ETF, iShares Core Global Aggregate Bond UCITS ETF, iShares Core MSCI Europe UCITS ETF EUR (Acc), iShares Core MSCI Japan IMI UCITS ETF, iShares Core MSCI World UCITS ETF, iShares Emerging Asia Local Govt Bond UCITS ETF, iShares Global Aggregate Bond ESG SRI UCITS ETF, iShares Global Govt Bond UCITS ETF, iShares Global Inflation Linked Govt Bond UCITS ETF, iShares Global Real Estate Environmental Tilt UCITS ETF, iShares J.P. Morgan € EM Bond UCITS ETF, iShares J.P. Morgan EM Local Govt Bond UCITS ETF, iShares MSCI EM Small Cap UCITS ETF, iShares MSCI Europe Small Cap UCITS ETF, iShares MSCI Japan Small Cap UCITS ETF, iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF, iShares MSCI World Small Cap UCITS ETF, iShares S&P SmallCap 600 UCITS ETF and iShares UK Gilts 0-5yr UCITS ETF.

All Funds, except for the Active Funds, iShares € Cash UCITS ETF and the Multi-Asset Funds

Where consistent with its investment policy, each Fund may from time to time invest in convertible securities (with the exception of iShares \$ Asia Investment Grade Corp Bond UCITS ETF, iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ Development Bank Bonds UCITS ETF, iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Govt Bond Climate UCITS ETF, iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares AI Adopters & Applications UCITS ETF, iShares AI Infrastructure UCITS ETF, iShares Broad \$ Corp Bond UCITS ETF, iShares Broad Global Govt Bond UCITS ETF, iShares Global Aggregate Bond ESG SRI UCITS ETF, iShares Global Real Estate Environmental Tilt UCITS ETF, iShares MSCI Europe Small Cap UCITS ETF, iShares MSCI World ex-USA UCITS ETF, iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF, iShares MSCI World Paris-Aligned Climate UCITS ETF, iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF and iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF), government bonds, liquidity instruments such as floating rate instruments, certificates of deposit and commercial paper (rated at least P-2 (short-term) or A3 (long-term) by Moody's or an equivalent rating from another agency), Structured Finance Securities, other transferable securities (for example, medium term notes) and open-ended collective investment schemes. Subject to the provisions of the Regulations and the conditions imposed by the Central Bank, each Fund may invest in other Funds of the Company and/or in other collective investment schemes managed by the Manager. Funds which avail themselves of the investment limits set out in section 4 of Schedule III (i.e. replicating index funds per the Regulations), may only invest in these instruments to assist in gaining exposure to the component securities of their Benchmark Indices. The Equity Funds and the Fixed Income Funds may, in accordance with the requirements of the Central Bank in limited circumstances where direct investment in a constituent security of its Benchmark Index is not possible or where acquiring or holding such security is not as cost or tax efficient as acquiring or holding a depository receipt or a depository note, invest in depository receipts and depository notes respectively to gain exposure to the relevant security.

In addition, a Fund may also engage in transactions in FDI including options and futures transactions, swaps, forward contracts, non-deliverable forwards, credit derivatives (such as single name credit default swaps and credit default swap indices), spot foreign exchange transactions, caps and floors or contracts for difference (with the exception of iShares \$ Asia Investment Grade Corp Bond UCITS ETF, iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Govt Bond Climate UCITS ETF, iShares € High Yield Corp Bond

ESG Paris-Aligned Climate UCITS ETF, iShares AI Adopters & Applications UCITS ETF, iShares AI Infrastructure UCITS ETF, iShares Broad \$ Corp Bond UCITS ETF, iShares Broad Global Govt Bond UCITS ETF, iShares Global Aggregate Bond ESG SRI UCITS ETF, iShares Global Real Estate Environmental Tilt UCITS ETF, iShares MSCI Europe Small Cap UCITS ETF, iShares MSCI World ex-USA UCITS ETF, iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF, iShares MSCI World Paris-Aligned Climate UCITS ETF, iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF and iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF) or other derivative transactions (with the exception of iShares \$ Asia Investment Grade Corp Bond UCITS ETF, iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares AI Adopters & Applications UCITS ETF, iShares AI Infrastructure UCITS ETF, iShares Broad \$ Corp Bond UCITS ETF, iShares Broad Global Govt Bond UCITS ETF, iShares Global Real Estate Environmental Tilt UCITS ETF, iShares MSCI Europe Small Cap UCITS ETF, iShares MSCI World ex-USA UCITS ETF, iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF and iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF) for direct investment, where appropriate, to assist in achieving its objective and for reasons such as generating efficiencies in gaining exposure to the constituents of the Benchmark Index or to the Benchmark Index itself, to produce a return similar to the return of the Benchmark Index, to reduce transaction costs or taxes or allow exposure in the case of illiquid securities or securities which are unavailable for market or regulatory reasons or to minimise tracking errors or for such other reasons as the Directors deem of benefit to a Fund.

In the event that a Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

Disclosure in respect of the Funds marketed in Mexico

Although the percentage of a Fund's net assets which must be invested in the component securities of its Benchmark Index is not prescribed by this Prospectus, the Funds marketed in Mexico will each generally invest at least 80% of their assets in securities of their respective Benchmark Indices and in depository receipts or depository notes, as applicable, representing securities of their respective Benchmark Indices. However, these Funds may at times each invest up to 20% of their assets in certain FDI, cash and cash equivalents, including money market funds managed by the Manager or Affiliates, as well as in securities not included in their respective Benchmark Indices, but which the Investment Manager believes will help these Funds track their respective Benchmark Indices. The list of Funds marketed in Mexico is available at the official iShares website (www.ishares.com).

All Funds except for iShares € Cash UCITS ETF

The Funds may hold small amounts of ancillary liquid assets (which will normally have dividend/income receivables) and the Investment Manager, to produce a return similar to the return on the Benchmark Index, may purchase FDI. The Funds may also hold small amounts of cash ("Cash Holdings"). The Funds may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The maximum proportion of the Net Asset Value of the Funds that can be subject to total return swaps is 10% and the expected proportion of the Net Asset Value of the Funds that will be subject to total return swaps is 0%, save as provided in the table below.

Fund	Maximum Net Asset Value which may be subject to total return swaps (%)	Expected Net Asset Value subject to total return swaps (%)
iShares \$ Corp Bond Enhanced Active UCITS ETF	0%	0%
iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF	50%	0%
iShares € Corp Bond Enhanced Active UCITS ETF	0%	0%
iShares \$ EM Bond Active UCITS ETF	50%	0%
iShares € Flexible Income Bond Active UCITS ETF	20%	0-10%
iShares € High Yield Corp Bond Enhanced Active UCITS ETF	50%	0%
iShares AI Innovation Active UCITS ETF	100%	0%
iShares Asia ex Japan Equity Enhanced Active UCITS ETF	100%	10%
iShares AT1 Bond Active UCITS ETF	0%	0%
iShares Conservative Portfolio UCITS ETF	100%	0%
iShares EM Local Govt Bond Active UCITS ETF	50%	0%
iShares Emerging Markets Equity Enhanced Active UCITS ETF	100%	20%
iShares Europe Equity Enhanced Active UCITS ETF	100%	0%
iShares Growth Portfolio UCITS ETF	100%	0%

Fund	Maximum Net Asset Value which may be subject to total return swaps (%)	Expected Net Asset Value subject to total return swaps (%)
iShares India Equity Enhanced Active UCITS ETF	0%	0%
iShares Japan Equity Enhanced Active UCITS ETF	100%	0%
iShares Moderate Portfolio UCITS ETF	100%	0%
iShares U.S. Equity High Income Active UCITS ETF	15%	5%
iShares US Equity Enhanced Active UCITS ETF	100%	0%
iShares World Equity Enhanced Active UCITS ETF	100%	0%
iShares World Equity High Income Active UCITS ETF	15%	5%
iShares World Equity Factor Rotation Active UCITS ETF	100%	0%
iShares World Thematic Rotation Active UCITS ETF	0%	0%

The expected proportions are not limits and the actual percentages may vary over time depending on factors including, but not limited to, market conditions.

The Funds will not invest in fully funded FDI, including fully funded swaps.

Risk Management Process

The Investment Manager employs a risk management process in respect of the Funds in accordance with the requirements of the Central Bank to enable it to accurately monitor, measure and manage, the global exposure from FDI ("global exposure") which each Fund gains. Any FDI not included in the risk management process will not be used until such time as a revised risk management process has been provided to the Central Bank. Information regarding the risks associated with the use of FDI can be found in the section entitled "Risk Factors – FDI Risks".

All Funds except iShares € Flexible Income Bond Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF and iShares EM Local Govt Bond Active UCITS ETF

The Investment Manager uses the methodology known as the "Commitment Approach" in order to measure the global exposure of the Funds and manage the potential loss to them due to market risk. The Commitment Approach is a methodology that aggregates the underlying market or notional values of FDI to determine the degree of global exposure of a Fund to FDI.

Pursuant to the Regulations, in the event that a Fund uses leverage, the global exposure for a Fund must not exceed 100% of that Fund's Net Asset Value.

In relation to Funds other than the Active Funds listed further below:

It is not the Investment Manager's intention to leverage the Funds. The Funds may have small cash balances from time to time and passively managed Funds may use FDI to produce a return on that cash similar to the Benchmark Index. The Funds may also use FDI as set out in this Prospectus. In addition, for Funds which invest in fixed income securities, in order to match the duration and risk profile of the relevant Benchmark Index they may obtain a larger percentage weight exposure through FDI than the relevant cash balance. The Central Bank considers that any resulting leverage below 5% of a Fund's Net Asset Value is consistent with the statement that a Fund does not intend to be leveraged.

In relation to the Active Funds listed below:

iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF and iShares AT1 Bond Active UCITS ETF:

- It is not the Investment Manager's intention to leverage the Fund.

iShares Asia ex Japan Equity Enhanced Active UCITS ETF, iShares Emerging Markets Equity Enhanced Active UCITS ETF, iShares Europe Equity Enhanced Active UCITS ETF, iShares India Equity Enhanced Active UCITS ETF, iShares Japan Equity Enhanced Active UCITS ETF, iShares US Equity Enhanced Active UCITS ETF, iShares World Equity Enhanced Active UCITS ETF, iShares World Equity Factor Rotation Active UCITS ETF and iShares World Thematic Rotation Active UCITS ETF:

- In implementing its investment policy, the Fund is generally not expected to be leveraged. It may generate leverage if FDI are used; however such leverage is not expected to exceed 30% of the Fund's Net Asset Value.

iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF and iShares € High Yield Corp Bond Enhanced Active UCITS ETF:

- In implementing its investment policy, the Fund is generally not expected to be leveraged. It may generate leverage if FDI are used; however such leverage is not expected to exceed 50% of the Fund's Net Asset Value.

iShares AI Innovation Active UCITS ETF:

- In implementing its investment policy, the Fund is generally not expected to be leveraged. It may generate leverage if FDI are used; however such leverage is not expected to exceed 10% of the Fund's Net Asset Value.

iShares U.S. Equity High Income Active UCITS ETF and iShares World Equity High Income Active UCITS ETF:

- In implementing its investment policy, the Fund is generally expected to be leveraged at around 50% of its Net Asset Value.

iShares \$ EM Bond Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, and iShares EM Local Govt Bond Active UCITS ETF

The Investment Manager uses a methodology known as the "Value at Risk" ("**VaR**") approach in order to measure the global exposure and manage the potential loss to the Fund due to market risk. The VaR methodology measures the potential loss to the Fund at a particular confidence (probability) level over a specific time period and under normal market conditions. The Investment Manager uses the 99% confidence interval and one month measurement period for the purposes of carrying out this calculation.

iShares \$ EM Bond Active UCITS ETF and iShares EM Local Govt Bond Active UCITS ETF

The Investment Manager uses "*Relative VaR*" to monitor and manage the global exposure of the Fund. Relative VaR is the VaR of the Fund divided by the VaR of an appropriate benchmark (which, in this case, will be the relevant Index, as defined in the Fund description) allowing the global exposure of the Fund to be compared to, and limited by reference to, the global exposure of the appropriate benchmark, i.e. in this case, by reference to the global exposure of the Index. The Regulations specify that the VaR of the Fund must not exceed twice the VaR of its appropriate benchmark, i.e. in this case, the VaR of the Fund must not exceed twice the VaR of the Index.

The expected level of leverage of the Fund is set out below and expressed as a percentage of its Net Asset Value. The Fund may have higher levels of leverage in atypical or volatile market conditions, for example when there are sudden movements in investment prices due to difficult economic conditions in a sector or region. In such circumstances the Investment Manager may increase its use of derivatives in the Fund in order to reduce the market risk to which the Fund is exposed, this in turn would have the effect of increasing its levels of leverage. For the purposes of this disclosure, leverage is the investment exposure gained through the use of financial derivative instruments. It is calculated using the sum of the notional values of all of the financial derivative instruments held by the Fund, without netting. The expected level of leverage is not a limit and may vary over time.

In implementing its investment policy, iShares \$ EM Bond Active UCITS ETF is generally expected to be leveraged at around 100% of its Net Asset Value and not expected to exceed 200% of its Net Asset Value.

In implementing its investment policy, iShares EM Local Govt Bond Active UCITS ETF is generally expected to be leveraged at around 300% of its Net Asset Value and not expected to exceed 500% of its Net Asset Value.

iShares € Flexible Income Bond Active UCITS ETF

The Investment Manager uses "*Absolute VaR*" to monitor and manage the global exposure of the Fund. The Regulations specify that the Absolute VaR of a Fund must not exceed 20% of that Fund's Net Asset Value.

In implementing its investment policy, the Fund is generally expected to be leveraged at around 200% of its Net Asset Value and not expected to exceed 400% of its Net Asset Value.

Management of Cash Holdings and FDI Cash Holdings

This section applies to all Funds, with the exception of iShares € Cash UCITS ETF.

The Funds may invest Cash Holdings and / or FDI Cash Holdings in one or more daily dealing money market collective investment schemes authorised as UCITS. Such collective investment schemes may be managed by the Manager and / or an Affiliate and are subject to the limits set out in Schedule III. Such collective investment schemes may comprise sub-funds in Institutional Cash Series plc which invest in money market instruments. Institutional Cash Series plc is a BlackRock umbrella fund and open-ended investment company with variable capital incorporated in Ireland and having segregated liability between its sub-funds.

It is not anticipated that the Fund's Cash Holdings and / or FDI Cash Holdings will result in additional market exposure or capital erosion, however, to the extent that additional market exposure or capital erosion occurs it is expected to be minimal.

ANTICIPATED TRACKING ERROR

This section applies to all Funds, with the exception of the Active Funds, iShares € Cash UCITS ETF and the Multi-Asset Funds.

Tracking error is the annualised standard deviation of the difference in monthly returns between a fund and its benchmark index.

At BlackRock, we believe that this figure is important to a tactical investor who trades in and out of ETFs on a regular basis, often holding shares in an ETF for the period of only a few days or weeks. For a buy-to-hold investor with a longer investment time horizon, the tracking difference between the fund and the index over the target investment period should be more important as a measure of performance against the index. Tracking difference measures the actual difference between the returns of a Fund and the returns of the index (i.e. how closely a fund tracks its index), while tracking error measures the increase and decrease in tracking difference (i.e. volatility of tracking difference). We encourage investors to consider both metrics when evaluating an ETF.

Tracking error can be a function of the ETF replication methodology. Generally speaking, historical data provides evidence that synthetic replication produces lower tracking error than physical replication; however, the same data often also provides evidence that physical replication produces lower tracking difference than synthetic replication.

Anticipated tracking error is based on the expected volatility of differences between the returns of the relevant fund and the returns of its benchmark index. For a physically replicating ETF, one of the primary drivers of tracking error is the difference between a Fund's holdings and index constituents. Cash management and trading costs from rebalancing can also have an impact on tracking error as well as the return differential between the ETF and the benchmark index. The impact can be either positive or negative depending on the underlying circumstances.

Tracking error may also occur in respect of Funds that directly invest into securities of the Kingdom of Saudi Arabia if the Investment Manager ceases to be approved by the CMA as a QFI or if its ability to invest in Saudi listed shares is restricted by the foreign ownership limits prescribed by the QFI Rules, as a Fund that directly invests into securities of the Kingdom of Saudi Arabia may no longer be able to invest in Saudi listed shares directly and may need to invest in securities or other instruments that are not constituents of the Benchmark Index, but which provide a similar economic exposure to the return of the Benchmark Index. These instruments may include offshore futures, other exchange-traded funds that would provide a similar exposure or unfunded swap agreements, which are agreements whereby a counterparty agrees to provide a Fund that directly invests into securities of the Kingdom of Saudi Arabia with the returns of a specific exposure in return for a fee. Please refer to the section entitled "The Benchmark Index and Investment Techniques" above for other circumstances where Funds that directly invest into securities of the Kingdom of Saudi Arabia may be unable to invest in the constituents of the Benchmark Index directly and which may therefore result in tracking error.

In addition to the above, the Company and/or a Fund may also have a tracking error due to withholding tax suffered by the Company and/or a Fund on any income received from its Investments. The level and quantum of tracking error arising due to withholding taxes depends on various factors such as any reclaims filed by the Company and/or a Fund with various tax authorities, any benefits obtained by the Company and/or a Fund under a tax treaty or any securities lending activities carried out by the Company and/or a Fund.

The table below displays the anticipated tracking error, in normal market conditions, of the Current Funds against each Fund's Benchmark Index, except that for Current Funds which have multiple Share Classes, the anticipated tracking error displayed is for the Unhedged Share Classes against the corresponding Fund's Benchmark Index (which is also unhedged). The anticipated tracking error of a Fund is not a guide to its future performance. The annual and semi-annual report and accounts will set out the actual realised tracking errors as at the end of the period under review.

Fund	Anticipated tracking error
iShares \$ Asia Investment Grade Corp Bond UCITS ETF	Up to 0.300%
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	up to 0.200%
iShares \$ Development Bank Bonds UCITS ETF	Up to 0.100%
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	up to 0.200%
iShares \$ Intermediate Credit Bond UCITS ETF	Up to 0.300%
iShares € Aggregate Bond ESG SRI UCITS ETF	Up to 0.150%
iShares € Corp Bond 1-5yr UCITS ETF	Up to 0.150%
iShares € Corp Bond BBB-BB UCITS ETF	Up to 0.250%
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	up to 0.100%
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	Up to 0.150%
iShares € Corp Bond ex-Financials UCITS ETF	Up to 0.150%
iShares € Covered Bond UCITS ETF	Up to 0.150%
iShares € Govt Bond 0-1yr UCITS ETF	Up to 0.050%
iShares € Govt Bond 10-15yr UCITS ETF	Up to 0.100%
iShares € Govt Bond 5-7yr UCITS ETF	Up to 0.050%
iShares € Govt Bond Climate UCITS ETF	Up to 0.050%
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	up to 0.200%
iShares £ Corp Bond ex-Financials UCITS ETF	Up to 0.250%
iShares AI Adopters & Applications UCITS ETF	Up to 0.300%
iShares AI Infrastructure UCITS ETF	Up to 0.300%

Fund	Anticipated tracking error
iShares Blockchain Technology UCITS ETF	Up to 0.500%
iShares Broad \$ Corp Bond UCITS ETF	Up to 0.250%
iShares Broad \$ High Yield Corp Bond UCITS ETF	Up to 0.400%
iShares Broad € High Yield Corp Bond UCITS ETF	Up to 0.400%
iShares Broad Global Govt Bond UCITS ETF	Up to 0.050%
iShares Core € Corp Bond UCITS ETF	Up to 0.150%
iShares Core € Govt Bond UCITS ETF	Up to 0.100%
iShares Core Global Aggregate Bond UCITS ETF	Up to 0.200%
iShares Core MSCI Europe UCITS ETF EUR (Acc)	Up to 0.200%
iShares Core MSCI Japan IMI UCITS ETF	Up to 0.100%
iShares Core MSCI World UCITS ETF	Up to 0.100%
iShares Emerging Asia Local Govt Bond UCITS ETF	Up to 0.350%
iShares Global Aggregate Bond ESG SRI UCITS ETF	Up to 0.300%
iShares Global Govt Bond UCITS ETF	Up to 0.050%
iShares Global Inflation Linked Govt Bond UCITS ETF	Up to 0.050%
iShares Global Real Estate Environmental Tilt UCITS ETF	Up to 0.250%
iShares J.P. Morgan € EM Bond UCITS ETF	Up to 0.350%
iShares J.P. Morgan EM Local Govt Bond UCITS ETF	Up to 0.250%
iShares MSCI Australia UCITS ETF	Up to 0.150%
iShares MSCI EM Small Cap UCITS ETF	Up to 0.500%
iShares MSCI EM UCITS ETF USD (Acc)	Up to 0.500%
iShares MSCI Europe Small Cap UCITS ETF	Up to 0.400%
iShares MSCI Japan Small Cap UCITS ETF	Up to 0.200%
iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF	Up to 0.200%
iShares MSCI Pacific ex-Japan UCITS ETF	Up to 0.150%
iShares MSCI Saudi Arabia Capped UCITS ETF	Up to 0.100%
iShares MSCI South Africa UCITS ETF	Up to 0.150%
iShares MSCI Target UK Real Estate UCITS ETF	Up to 0.300%
iShares MSCI World ex-USA UCITS ETF	Up to 0.100%
iShares MSCI World Paris-Aligned Climate UCITS ETF	Up to 0.150%
iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF	Up to 0.400%
iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF	Up to 0.400%
iShares MSCI World Small Cap UCITS ETF	Up to 0.400%
iShares S&P 500 Equal Weight UCITS ETF	Up to 0.100%
iShares S&P 500 Scored and Screened UCITS ETF	Up to 0.100%
iShares S&P SmallCap 600 UCITS ETF	Up to 0.200%
iShares UK Gilts 0-5yr UCITS ETF	Up to 0.050%

EFFICIENT PORTFOLIO MANAGEMENT

The Company may, on behalf of each Fund and subject to the conditions and within the limits laid down by the Central Bank, employ techniques and instruments relating to transferable securities for efficient portfolio management purposes.

Transactions for the purposes of efficient portfolio management may be undertaken with a view to achieving a reduction in risk, a reduction in costs or the generation of additional capital or income for the Fund with an appropriate level of risk, taking into account the risk profile of the relevant Fund and the general provisions of the Directive. These techniques and instruments may include Investments in FDI such as interest rate and bond futures (which may be used to manage interest rate risk), index futures (which may be used to manage cash flows on a short term basis), options (which may be used to achieve cost efficiencies, for example where the acquisition of the option is more cost effective than purchasing of the underlying asset), swaps (which may be used to manage currency risk) and Investments in money market instruments and/or money market collective investment schemes. Such techniques and instruments are set out in Schedule II. New techniques and instruments may be developed which may be suitable for use by the Company and the Company (subject to the Central Bank's requirements) may employ such techniques and instruments.

The Multi-Asset Funds may also employ investment techniques, instruments relating to transferable securities and FDI for efficient portfolio management purposes within the limits set out at Schedule II. Futures contracts may be used to hedge against market risk or gain exposure to an underlying market. Forward contracts may be used to hedge or gain exposure to an increase in the value of an asset, currency or deposit. Options may be purchased to hedge or achieve exposure to a particular market instead of using a physical security of a type in which the Fund may invest as outlined above. The Fund may write options on the securities in which the Fund may invest in order to seek enhanced returns. Swaps may be used to achieve profit as well as to hedge existing long positions. Swaptions, which give the buyer the right to be a fixed rate payer where the receiver of the option is a floating rate payer, may be used to anticipate interest rate movements. Forward foreign exchange transactions may be used to reduce the risk of adverse market changes in exchange rates or to increase exposure to foreign currencies or to shift exposure to foreign currency fluctuations from one country to another. Caps and floors which provide for upper and lower limits on exposures to interest rate movements may be used to hedge against interest rate movements exceeding given minimum or maximum levels.

Save as provided below, a Fund may enter into securities lending, and with the exception of iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF, iShares U.S. Equity High Income Active UCITS ETF and iShares World Equity High Income Active UCITS ETF, repurchase and/or reverse repurchase agreements for the purposes of efficient portfolio management subject to the conditions and limits set out in the Central Bank UCITS Regulations and in accordance with the requirements of the Central Bank.

All revenues from efficient portfolio management techniques will be returned to the relevant Fund, net of direct and indirect operational costs and fees (which do not include hidden revenue).

The maximum proportion of the Net Asset Value of the Funds that can be subject to repurchase and reverse repurchase agreements is 100% with the exception of the Multi-Asset Funds in respect of which the maximum proportion of the Net Asset Value that can be subject to repurchase and reverse repurchase agreements is 0%. The expected proportion of the Net Asset Value of the Funds that will be subject to repurchase and reverse repurchase agreements is 0% with the exception of iShares € Cash UCITS ETF in respect of which the expected proportion of the Net Asset Value that can be subject to repurchase and reverse repurchase agreements is 5%. The expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

The maximum proportion of the Net Asset Value of the Funds that can be subject to securities lending is 100% and for some Funds the proportion will be lower, as indicated below. The demand to borrow securities and to comply with investor tax regulations in certain jurisdictions are significant drivers for the amount that is actually lent from a Fund at a given time. Borrowing demand fluctuates over time and depends to a large extent on market factors and prevailing investor tax legislation in certain jurisdictions, neither of which can be forecasted precisely. Based on historical data, lending volumes for Funds invested in the following asset classes are typically in the ranges set out below, though past levels are no guarantee of future levels.

The maximum proportion of the Net Asset Value of a Fund that can be subject to securities lending is set at the discretion of the Manager. **Investors should note that a limitation of maximum securities lending levels by a Fund, at a time when demand exceeds those maximum levels, may reduce potential income to a Fund that is attributable to securities lending.**

The Investment Manager has been appointed by the Company as the securities lending agent of the Funds under the terms of a securities lending management agreement. Under the terms of the agreement, the securities lending agent is appointed to manage the Funds' securities lending activities and is entitled to receive a fee out of the income generated from securities lending which is in addition to its fee as investment manager. The fee of the securities lending agent represents direct costs (and if relevant indirect operational costs/fees) of the Funds' securities lending activities. All revenue generated from securities lending activities net of the securities lending agent's fee will be returned to the relevant Fund. If there is securities lending revenue generated, the securities lending agent will receive a fee of 37.5% of such securities lending revenue and will pay any third party operational

and administrative costs associated with, and incurred in respect of, such activity, out of its fee. To the extent that the securities lending costs payable to third parties exceed the fee received by the securities lending agent, the securities lending agent will discharge any excess amounts out of its own assets. Full financial details of the amounts earned and expenses incurred with respect to securities lending for the Funds, including fees paid or payable, will also be included in the annual and semi-annual financial statements. The securities lending arrangements and associated costs will be reviewed at least annually.

Fund	Expected Net Asset Value subject to securities lending (%)	Maximum Net Asset Value subject to securities lending (%)
iShares \$ Asia Investment Grade Corp Bond UCITS ETF	0-31%	100%
iShares \$ Corp Bond Enhanced Active UCITS ETF	0-31%	100%
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	0-31%	100%
iShares \$ Development Bank Bonds UCITS ETF	0-99%	100%
iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF	0-31%	100%
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	0-31%	100%
iShares \$ Intermediate Credit Bond UCITS ETF	0-39%	100%
iShares € Aggregate Bond ESG SRI UCITS ETF	0-20%	100%
iShares € Corp Bond 1-5yr UCITS ETF	0-31%	100%
iShares € Corp Bond BBB-BB UCITS ETF	0-31%	100%
iShares € Corp Bond Enhanced Active UCITS ETF	0-31%	100%
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	0-31%	100%
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	0-31%	100%
iShares € Corp Bond ex-Financials UCITS ETF	0-31%	100%
iShares € Covered Bond UCITS ETF	0-31%	100%
iShares \$ EM Bond Active UCITS ETF	0-65%	100%
iShares € Flexible Income Bond Active UCITS ETF	0-20%	100%
iShares € Govt Bond 0-1yr UCITS ETF	0-99%	100%
iShares € Govt Bond 10-15yr UCITS ETF	0-99%	100%
iShares € Govt Bond 5-7yr UCITS ETF	0-99%	100%
iShares € Govt Bond Climate UCITS ETF	0-99%	100%
iShares € High Yield Corp Bond Enhanced Active UCITS ETF	0-31%	100%
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	0-31%	100%
iShares £ Corp Bond ex-Financials UCITS ETF	0-31%	100%
iShares AI Adopters & Applications UCITS ETF	0-34%	37%
iShares AI Infrastructure UCITS ETF	0-34%	37%
iShares AI Innovation Active UCITS ETF	0-19%	21%
iShares Asia ex Japan Equity Enhanced Active UCITS ETF	0-5%	7%
iShares AT1 Bond Active UCITS ETF	0-20%	100%
iShares Blockchain Technology UCITS ETF	0-34%	37%
iShares Broad \$ Corp Bond UCITS ETF	0-31%	100%
iShares Broad \$ High Yield Corp Bond UCITS ETF	0-31%	100%
iShares Broad € High Yield Corp Bond UCITS ETF	0-31%	100%
iShares Broad Global Govt Bond UCITS ETF	0-99%	100%
iShares Conservative Portfolio UCITS ETF	0-25%	100%
iShares Core € Corp Bond UCITS ETF	0-31%	100%
iShares Core € Govt Bond UCITS ETF	0-99%	100%
iShares Core Global Aggregate Bond UCITS ETF	0-20%	100%
iShares Core MSCI Europe UCITS ETF EUR (Acc)	0%-25%	28%
iShares Core MSCI Japan IMI UCITS ETF	0%-39%	43%

Fund	Expected Net Asset Value subject to securities lending (%)	Maximum Net Asset Value subject to securities lending (%)
iShares Core MSCI World UCITS ETF	0%-20%	22%
iShares EM Local Govt Bond Active UCITS ETF	0-65%	100%
iShares Emerging Asia Local Govt Bond UCITS ETF	0-65%	100%
iShares Emerging Markets Equity Enhanced Active UCITS ETF	0-5%	7%
iShares Europe Equity Enhanced Active UCITS ETF	0-19%	21%
iShares Global Aggregate Bond ESG SRI UCITS ETF	0-20%	100%
iShares Global Govt Bond UCITS ETF	0-23%	100%
iShares Global Inflation Linked Govt Bond UCITS ETF	0-23%	100%
iShares Global Real Estate Environmental Tilt UCITS ETF	0-100%	100%
iShares Growth Portfolio UCITS ETF	0-25%	100%
iShares India Equity Enhanced Active UCITS ETF	0-5%	7%
iShares Japan Equity Enhanced Active UCITS ETF	0-5%	7%
iShares J.P. Morgan € EM Bond UCITS ETF	0-65%	100%
iShares J.P. Morgan EM Local Govt Bond UCITS ETF	0-65%	100%
iShares Moderate Portfolio UCITS ETF	0-25%	100%
iShares MSCI Australia UCITS ETF	0%-34%	37%
iShares MSCI EM Small Cap UCITS ETF	0%-100%	100%
iShares MSCI EM UCITS ETF USD (Acc)	0%-20%	22%
iShares MSCI Europe Small Cap UCITS ETF	0%-34%	37%
iShares MSCI Japan Small Cap UCITS ETF	0%-100%	100%
iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF	0%-19%	21%
iShares MSCI Pacific ex-Japan UCITS ETF	0%-29%	32%
iShares MSCI South Africa UCITS ETF	0%-15%	17%
iShares MSCI Target UK Real Estate UCITS ETF	0%-100%	100%
iShares MSCI World ex-USA UCITS ETF	0%-34%	37%
iShares MSCI World Paris-Aligned Climate UCITS ETF	0%-34%	37%
iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF	0%-24%	26%
iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF	0%-29%	31%
iShares MSCI World Small Cap UCITS ETF	0-30%	33%
iShares S&P 500 Equal Weight UCITS ETF	0-34%	37%
iShares S&P 500 Scored and Screened UCITS ETF	0-34%	37%
iShares S&P SmallCap 600 UCITS ETF	0%-34%	37%
iShares U.S. Equity High Income Active UCITS ETF	0-29%	32%
iShares UK Gilts 0-5yr UCITS ETF	0-99%	100%
iShares US Equity Enhanced Active UCITS ETF	0-19%	21%
iShares World Equity Enhanced Active UCITS ETF	0-19%	21%
iShares World Equity Factor Rotation Active UCITS ETF	0-29%	32%
iShares World Equity High Income Active UCITS ETF	0-29%	32%
iShares World Thematic Rotation Active UCITS ETF	0-29%	32%

As at the date of this Prospectus, iShares € Cash UCITS ETF and iShares MSCI Saudi Arabia Capped UCITS ETF do not engage in securities lending.

RISK FACTORS

Investors' attention is drawn to the following risk factors in relation to the Funds. This does not purport to be an exhaustive list of the risk factors relating to investing in the Company or its Funds.

General investment risks

Investment Risks

Past performance is not a guide to the future. The prices of Shares and the income from them may fall as well as rise and an investor may not recover the full amount invested. There can be no assurance that any Fund will achieve its investment objective or that an investor will recover the full amount invested in a Fund. The capital return and income of each Fund are based on the capital appreciation and income of the securities it holds, less expenses incurred and any relevant Duties and Charges. Therefore, each Fund's return may be expected to fluctuate in response to changes in such capital appreciation or income.

Market Risk and Selection Risk

Market risk is the risk that one or more markets in which a Fund invests will go down in value, including the possibility that the markets will go down sharply and unpredictably. The value of a security or other asset may decline due to changes in general market conditions, economic trends or events that are not specifically related to the issuer of the security or other asset, or factors that affect a particular issuer or issuers, exchange, country, group of countries, region, market, industry, group of industries, sector or asset class. Local, regional or global events such as war, acts of terrorism, the spread of infectious illness or other public health issues, recessions, or other events could have a significant impact on a Fund and its investments. In respect of the Active Funds, iShares € Cash UCITS ETF and the Multi-Asset Funds, selection risk is the risk that the securities selected by Fund management will underperform the markets, the relevant indices or the securities selected by other funds with similar investment objectives and investment strategies. This means you may lose money.

Sustainability Risk

BlackRock defines sustainability risk as an investment risk (likelihood of material losses relative to the expected return of an investment) that arises from environmental, social and/or governance issues. In assessing this risk, BlackRock focuses on the investment risks that are financially material to a Fund and its investments. The definition of sustainability risk is not intended to capture the risk that a Fund with sustainable characteristics or objectives fails to meet its sustainable commitments.

As with other investment risks and opportunities, the financial materiality of sustainability risk may vary by issuer, sector, product, mandate and time horizon. See the BlackRock SFDR Sustainability Risk Statement applicable to the Manager, as required under Article 3 of SFDR, for further information (which is available at: www.blackrock.com/corporate/sustainability).

The outcome of the sustainability risk assessment outlined below is an assessment at the Fund level with no reference to its Benchmark Index or the active objective of the Fund (as the case may be). This is designed to give investors an indication of the total level of sustainability risk they may be exposed to when investing in a particular Fund. It is not intended to represent how sustainability risk is managed within the investment processes, as risk is managed within the objective of the Fund, and typically assessed relative to the benchmark of the Fund. Like other investment risks, the ability to manage sustainability risk depends on the Fund chosen. If an investor chooses a Fund with limited investment discretion - such as an index replicating Fund - the ability to manage or control the sustainability risk present in that Fund will be constrained.

Whilst the impact of sustainability risk may differ from fund to fund, as noted in the Risk Factors above, all Funds may be subject to some aspects of sustainability risk, given sustainability risk may manifest itself through existing other risk types (including, but not limited to, market, liquidity, concentration, credit, asset-liability mismatches etc.).

Sustainability risk may be reflected in two ways: 1) a Fund's potential exposure to a sustainability risk event and 2) the potential financial impact to a Fund's performance should such a sustainability risk event or factor occur. In assessing the potential impact of sustainability risk, these aspects are considered against the Fund's characteristics as listed below. Exposure and impact are assessed across a 5 year (or less) time horizon as aligned with the investment horizon of the majority of BlackRock funds.

- **Fund Geographical Focus:** the geographic location of underlying investments may impact the extent to which a Fund is exposed to and impacted by a sustainability risk event or factor. Certain conditions in a geographic location such as the local climate, regulatory environment, economic diversification or level of infrastructure may impact the extent to which a Fund is exposed to either the physical impacts of climate change, the risks related to the transition to a lower carbon economy or social and governance risks.
- **Fund Liquidity:** Funds with lower liquidity may be less able to exit positions impacted by sustainability risk and may therefore be more exposed to sustainability risk events and more likely to be financially impacted by a sustainability risk event if it occurs.
- **Fund Sector Allocation:** certain sectors are likely to be more exposed to the impacts of sustainability risk. As a result, issuers in such sectors may require significant business model transformation or face decreased demand for their goods or services. These effects could be positive or negative depending on company positioning for the future, current economic activities and ability to manage change. Funds with

a higher allocation to such sectors, for example, the energy sector, are expected to have higher exposure to sustainability-related risk and also expect a higher impact on financial performance should a sustainability risk event occur. Funds that have lower exposures to these sectors are expected to have lower exposure to sustainability related risk and are expected to experience a lower impact on financial performance should a sustainability risk event occur.

- **Product design:** Funds with explicit aims to consider environmental or social characteristics, or with explicit sustainability objectives, adopt investment strategies which drive greater exposure to sustainability related themes and therefore have a higher exposure to a sustainability risk event. As these Funds have greater exposure to sustainability related themes, they can expect a higher financial performance impact should a sustainability risk event occur.

BlackRock classifies each of the above factors and aggregates the factor assessments to a fund by fund overall classification of material or not material.

Sustainability Risks – money market funds

Whilst sustainability risks may arise in a number of ways and may negatively impact the value of an underlying holding or holdings, funds holding short duration instruments may be exposed to lower levels of sustainability risks as a result of these risks typically manifesting over a longer time horizon (such as risks associated with the transition to a lower carbon economy). Similarly, as money market funds invest with a higher allocation to instruments issued by particular market segments such as financial services, or invest in government bond instruments, they may be exposed to lower levels of sustainability risks, such as physical environmental risks, which would be expected to have a higher impact on those companies or market sectors which are exposed to these risks as a result of the nature of their production processes, supply chains or resource use.

ESG Benchmark Index Screening

Certain Funds seek to track the performance of a Benchmark Index which is stated by the index provider to be screened against ESG criteria and to exclude issuers involved in, or deriving revenues (above a threshold specified by the index provider) from, certain business activities, or to weight issuers within the Benchmark Index to optimise ESG scores, at each index rebalance. Investors should therefore be comfortable and satisfied with the extent of ESG-related screening undertaken by a Benchmark Index prior to investing in a Fund.

Investor sentiment towards issuers which are perceived as being ESG conscious or attitudes towards ESG concepts generally may change over time which may affect the demand for ESG based investments and may also affect their performance.

Due to the ESG criteria being applied to the relevant Parent Index / investment universe in order to determine eligibility for inclusion in the relevant Benchmark Index, the Benchmark Index will comprise a narrower universe of securities compared to the Parent Index / investment universe and securities of the Benchmark Index are also likely to have different GICS sector weightings and factor weightings compared to the Parent Index / investment universe. Where the Benchmark Index targets a similar risk profile to the Parent Index / investment universe, the Benchmark Index is nevertheless likely to have a different performance profile to the Parent Index / investment universe, due to the narrower universe of securities of the Benchmark Index. This narrower universe of securities may not necessarily perform as well as those securities that do not meet the ESG screening criteria, which may adversely affect the performance of a Fund relative to another collective investment scheme which tracks the Parent Index / investment universe. The index provider of a Benchmark Index may include the application of ESG-based exclusionary criteria which may result in a Fund foregoing opportunities to purchase, or otherwise reducing exposure to or underweighting, certain securities when it might otherwise be advantageous to carry out such purchase or maintain its holding of such securities, and/or selling securities due to their ESG characteristics, when to do so might otherwise be disadvantageous. As such, the use of such criteria may affect a Fund's investment performance.

Screening of a Benchmark Index against its ESG criteria is generally carried out by an index provider only at index rebalances, although certain indices may be screened by the index provider for UNGC violators during periodic reviews in between index rebalances. Companies which have previously met the screening criteria of a Benchmark Index, and have therefore been included in the Benchmark Index and the Fund, may unexpectedly or suddenly be impacted by an event of serious controversy which negatively impacts their price and, hence, the performance of the Fund. Where these companies are existing constituents of the Benchmark Index, they will remain in the Benchmark Index and therefore continue to be held by the Fund until the next scheduled rebalancing (or periodic review) when the relevant company ceases to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. A Fund tracking such Benchmark Index may therefore cease to meet the ESG criteria between index rebalances until the Benchmark Index is rebalanced back in line with its index criteria, at which point the Fund will also be rebalanced in line with its Benchmark Index. At the time that the Benchmark Index excludes the affected securities, the price of the securities (in particular securities of companies impacted by an event of serious controversy) may have already dropped and not yet recovered, and the Fund could therefore be selling the affected securities at a relatively low price point.

Screening of issuers for inclusion within the Benchmark Index of a Fund is carried out by the index provider based on the ESG ratings and / or screening criteria of the index provider or other third parties. This may be dependent upon information and data obtained from third-party data providers which may on occasion be incomplete, inaccurate or inconsistent. There may also be a time lag between the date as at which the data is captured and the date on which the data is used, which may impact the timeliness and quality of the data. None of the Fund, the Manager nor the Investment Manager makes any representation or warranty, express or implied, with respect

to the fairness, correctness, accuracy, reasonableness or completeness of the index provider's information/data providers, ESG ratings, screening criteria or the way they are implemented. In the event that the status of a security previously deemed eligible for inclusion in the Benchmark Index should change, none of the Fund, the Manager nor the Investment Manager accepts liability in relation to such change. For the avoidance of doubt, none of the Fund, the Manager nor the Investment Manager is responsible for ensuring that the securities that comprise the Benchmark Index of a Fund will meet the screening criteria applied by the index provider or ensure that the ESG ratings given by the index provider or other third parties to each security are valid.

The extent to which a Fund is able to meet its sustainability commitments or aims may vary on an ongoing basis due to factors such as market conditions, the ESG performance of underlying investments and the methodology applied by the index provider of the Benchmark Index for the Fund. If a Fund's performance falls below its sustainability commitments, the Investment Manager will take steps to bring the Fund back in compliance with its sustainability commitments at the point of the next rebalance of its Benchmark Index.

ESG screens and standards are a developing area and the ESG screens and ratings applied by the index provider may evolve and change over time.

A Fund may use FDI and hold collective investment schemes which may not comply with ESG ratings/criteria applied by an index provider. A Fund may gain limited exposure (through, including but not limited to, derivatives and shares or units of other collective investment schemes) to issuers with exposures which may not comply with socially responsible investment ("SRI") requirements and/or ESG criteria applied by the index provider. There may be potential inconsistencies in the ESG criteria or the ESG ratings applied by the underlying collective investment schemes invested in by a Fund. A Fund may also engage in securities lending and receive collateral which may not comply with the SRI requirements and/or ESG criteria applied by the index provider.

Funds with ESG categorisations or country labels

Certain Funds have adopted or obtained ESG categorisations (for example under SFDR or the French AMF rules) or country labels (for example Belgian Febelfin or French SRI). Where such Funds track a Benchmark Index and they cease to meet the requirements of their ESG categorisations or labels, it is intended that they will be brought back in line with their respective Benchmark Indices on or around the next index rebalance. At such point, the Funds will be rebalanced in line with their respective Benchmark Indices, subject to any restrictions applicable to the Funds as a result of their ESG categorisations or country labels but not applied by the index provider to their Benchmark Indices (whether due to such restrictions not being part of the index methodology or by error). If a Fund has to not hold a security in its Benchmark Index to comply with a restriction as a result of its ESG categorisation or country label which is not met by its Benchmark Index, this could increase the tracking difference and the tracking error of the Fund. Such increase could be made worse by market volatility.

There may be conditions from time to time in which an index provider finds that it is not possible to rebalance a Benchmark Index to meet, on an optimal basis, all the ESG and non-ESG targets of the Benchmark Index at the same time and the index provider may choose to relax certain ESG or non-ESG targets based on its rules in order to carry out that rebalancing. If this happens, it will in turn impact the performance of the Fund tracking such Benchmark Index at such rebalancing.

Rules and standards for ESG categorisations and labels are a developing area. As such rules evolve over time, they may become stricter and may diverge from the index methodologies and the investment objectives, policies or strategies of the Funds and may even conflict with each other. It may not be possible or practicable for a Fund to continue to comply with the changing rules while maintaining its existing investment objective, policy and strategy or it may not be in the best interest of the Fund and its shareholders as a whole to do so. In such situations, the Fund may cease to hold certain ESG categorisations or labels after the expiry of the period given to remain compliant with the applicable rules for the ESG categorisations or labels.

Additional risks specific to iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF and iShares MSCI World Paris-Aligned Climate UCITS ETF

The Benchmark Index of iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF is labelled by the index provider as an EU Climate Transition benchmark within the meaning of the Benchmarks Regulation. The Benchmark Index seeks to provide exposure to a portfolio that is on a trajectory towards reducing carbon emissions in a manner consistent with the long-term global warming objectives of the Paris Agreement.

The Benchmark Index of iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF and iShares MSCI World Paris-Aligned Climate UCITS ETF is labelled by the index provider as an EU Paris-aligned benchmark within the meaning of the Benchmarks Regulation. The Benchmark Index seeks to provide exposure to issuers with levels of carbon emissions consistent with the long-term global warming objectives of the Paris Agreement.

Screening of issuers for inclusion within the Benchmark Index is carried out by the index provider based on the index provider's ESG ratings and / or screening criteria. This may be dependent upon information and data obtained from third-party data providers which may on occasion be incomplete, inaccurate or inconsistent. As certain climate transition targets of the EU Paris-aligned benchmarks and Climate Transition benchmarks are forward looking, it is especially difficult to ensure and/or ascertain that the relevant issuers will be able to achieve such climate

transition targets and, by extension, that the relevant Benchmark Index, and the Fund tracking such Benchmark Index, will also be able to achieve such targets. None of the Fund, the Manager nor the Investment Manager makes any representation or warranty, express or implied, with respect to the fairness, correctness, accuracy, reasonableness or completeness of the index provider's information/data providers, ESG ratings, screening criteria or the way they are implemented. In the event that the status of a security previously deemed eligible for inclusion in the Benchmark Index should change, none of the Fund, the Manager nor the Investment Manager accepts liability in relation to such change. For the avoidance of doubt, none of the Fund, the Manager nor the Investment Manager is responsible for monitoring the securities that comprise the Benchmark Index against the screening criteria applied by the index provider or assessing the validity of the ESG ratings given by the index provider to each security, or assessing the validity of any label attributed to the Benchmark Index by the index provider.

Use of optimisers in Benchmark Indices

Benchmark Indices tracked by certain Funds use an optimisation process to achieve multiple index targets in their respective index methodology at rebalance. There may be instances where the optimisation process is unable to achieve all of its targets simultaneously. In such instances, the index methodology may permit certain target relaxations in order to achieve the other targets at rebalance. Relaxations may be applied in predefined steps to one or more targets in a certain order, but there may be situations requiring several targets to be relaxed, while only the minimum necessary commitments are pursued for that index rebalance. Should the optimisation remain infeasible after all allowed relaxations have been applied, the index provider may make further compromises on other index targets. As an example, an index incorporating environmental or social characteristics may compromise on other targets first, such as tracking error and/or financial targets, in order to rebalance the Benchmark Index to try to achieve its minimum necessary environmental and social characteristics as far as practicable, unless specifically disclosed differently in the index methodology. A Fund tracking such Benchmark Index will be similarly affected when compromises are made to retain the Fund's SFDR classification or other country label. In these circumstances, the returns or rebalancing costs of the Fund could be negatively impacted or the tracking error of the Benchmark Index against its parent index could increase.

Risks specific to investing in passively managed index-tracking exchange traded funds (ETFs)

Passive Investment Risk

The Funds are not actively managed and may be affected by a general decline in market segments related to their respective Benchmark Indices. The Funds invest in securities included in, or representative of, their respective Benchmark Indices, and the Funds do not attempt to take defensive positions under any market conditions, including declining markets.

Index Tracking Risks

While the Funds, in accordance with their investment objectives, seek to track the performance of their respective Benchmark Indices, whether through a replication or optimising strategy, there is no guarantee that they will achieve perfect tracking and the Funds may potentially be subject to tracking error risk, which is the risk that their returns may not track exactly those of their respective Benchmark Indices, from time to time. This tracking error may result from an inability to hold the exact constituents of the Benchmark Index, (although this is not the expected cause of tracking error for non-replicating Funds), for example where there are local market trading restrictions, small illiquid components, a temporary unavailability or interruption in trading of certain securities comprising the Benchmark Index, or in order to meet a Fund's ESG criteria, categorisations or label and/or where the Regulations or other legal restrictions limit exposure to the constituents of the Benchmark Index. For an Article 8 Fund or an Article 9 Fund or a Fund with a country label, tracking error may result from such Fund not being able to hold a security in its Benchmark Index due to having to comply with a restriction applicable to the Fund as a result of its ESG categorisation or country label but not applied by the index provider (whether intentionally or by error) to its Benchmark Index.

Where the Benchmark Index of a Fund is to be rebalanced and the Fund seeks to rebalance its portfolio accordingly, the Fund may nevertheless experience tracking error where the rebalancing of the Fund's portfolio does not maintain an exact or contemporaneous alignment, whether on a replicating or an optimised basis, with the Benchmark Index. For example, a Fund may require time to complete the implementation of its rebalance after the rebalance of its Benchmark Index. In addition, a Fund which tracks a Benchmark Index with ESG objectives or characteristics may experience a deviation from the ESG performance or risk of its Benchmark Index. For liquidity purposes, the Funds may hold a portion of their net assets in cash and such cash holdings will not rise and fall in line with movements in their respective Benchmark Indices. In addition, the Company relies on index licences granted by third party index providers to use and track the Benchmark Indices for its Funds. In the event that an index provider terminates or varies an index licence, it will affect the ability of the impacted Funds to continue to use and track their Benchmark Indices and to meet their investment objectives. In such circumstances, in order to meet its investment objective, a Fund may also gain exposure to its Benchmark Index through investment in other financial instruments including FDI in accordance with its investment policy. Alternatively, the Directors may take such action as described in the section entitled "Benchmark Indices". Regardless of market conditions, the Funds aim to track the performance of their respective Benchmark Indices and do not seek to outperform their respective Benchmark Indices.

Optimising strategy

It may not be practical or cost efficient for certain Funds to replicate their respective Benchmark Indices. Where it is not part of a Fund's investment policy to replicate its Benchmark Index, such Funds may use optimisation techniques to track the performance of their respective Benchmark Indices. Optimisation techniques may include the strategic selection of some (rather than all) of the securities that make up the Benchmark Index, holding securities in proportions that differ from the proportions of the Benchmark Index and/or the use of FDI to track the performance of certain securities that make up the Benchmark Index. The Investment Manager may also

select securities which are not underlying constituents of the relevant Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the relevant Benchmark Index. Optimising Funds may potentially be subject to tracking error risk, which is the risk that their returns may not track exactly those of their respective Benchmark Indices.

Index-Related Risks

As prescribed by this Prospectus, in order to meet its investment objective, each Fund seeks to achieve a return which corresponds generally to the price and yield performance, before fees and expenses, of the relevant Benchmark Index as published by the index provider. There is no assurance that the index provider will compile the Benchmark Index accurately, or that the Benchmark Index will be determined, composed or calculated accurately. While the index provider does provide descriptions of what the Benchmark Index is designed to achieve, the index provider does not provide any warranty or accept any liability in relation to the quality, accuracy or completeness of data in respect of the Benchmark Index, and does not guarantee that the Benchmark Index will be in line with the described index methodology.

The Investment Manager's mandate as described in this Prospectus is to manage the Funds consistently with the relevant Benchmark Index provided to the Investment Manager. Consequently, the Investment Manager does not provide any warranty or guarantee for index provider errors. Errors in respect of the quality, accuracy and completeness of the data may occur from time to time and may not be identified and corrected for a period of time, particularly where the indices are less commonly used. The coverage and quality of ESG-related data on issuers and issuances (in particular new issuances) may vary based on asset class, market exposure, sectors or instrument types. Therefore gains, losses or costs associated with index provider errors will be borne by the Funds and their investors. For example, during a period where the Benchmark Index contains incorrect constituents, a Fund tracking such published Benchmark Index would have market exposure to such constituents and would be underexposed to the constituents that should have been included in the Benchmark Index. As such, errors may result in a negative or positive performance impact to the Funds and their investors. Investors should understand that any gains from index provider errors will be kept by the Funds and their investors and any losses resulting from index provider errors will be borne by the Funds and their investors.

Apart from scheduled rebalances, the index provider may carry out additional ad hoc rebalances to the Benchmark Index in order, for example, to correct an error in the selection of index constituents. Where the Benchmark Index of a Fund is rebalanced and the Fund in turn rebalances its portfolio to bring it in line with its Benchmark Index, any transaction costs (including any capital gains tax and/or transaction taxes) and market exposure arising from such portfolio rebalancing will be borne directly by the Fund and its investors. Unscheduled rebalances to the Benchmark Indices may also expose the Funds to tracking error risk, which is the risk that its returns may not track exactly those of the Benchmark Index. Therefore, errors and additional ad hoc rebalances carried out by the index provider to a Benchmark Index may increase the costs and market exposure risk of the relevant Fund.

In relation to Funds that directly invest into securities of the Kingdom of Saudi Arabia, the purchase of securities of the Kingdom of Saudi Arabia requires cash for such trades to settle in the relevant custodian account two business days after the relevant trade date (the "Kingdom of Saudi Arabia T+2 Cash Settlement Requirement"). The rebalancing of Funds that directly invest into securities of the Kingdom of Saudi Arabia may not be able to comply with the Kingdom of Saudi Arabia T+2 Cash Settlement Requirement if they do not have sufficient amounts of cash available and instead will rely on borrowing cash from the relevant custodian to pay for such securities of the Kingdom of Saudi Arabia.

Unscheduled rebalances to the Benchmark Indices may also expose the Funds to tracking error risk, which is the risk that its returns may not track exactly those of the Benchmark Index. Therefore, errors and additional ad hoc rebalances carried out by the index provider to a Benchmark Index may increase the costs and market exposure risk of the relevant Fund.

Index Disruption Risk

Disruptions to the calculation and publication of the Benchmark Indices ("**Index Disruption Events**") include, but are not limited to, situations where: the Benchmark Index level is deemed to be inaccurate or does not reflect actual market developments; it is not possible to obtain a price or value of one or several constituents of the Benchmark Index (such as due to their becoming illiquid or having their quotation suspended on a stock exchange); the index provider fails to calculate and publish the Benchmark Index level; the Benchmark Index is temporarily suspended or permanently discontinued by the index provider. Such Index Disruption Events may have an impact on the accuracy and/or availability of the published price of the Benchmark Index and in some instances also the Net Asset Value of the Fund.

Risks specific to investing in exchange traded funds (ETFs)

Authorised Participant Concentration Risk

Only an Authorised Participant may engage in creation or redemption transactions directly with the Funds. Certain Funds have a limited number of institutions that act as Authorised Participants. To the extent that these institutions exit the business or are unable to proceed with creation and/or redemption orders with respect to the Funds and no other Authorised Participant is able to step forward to make creation and/or redemption orders, the Shares may trade at a discount to the Funds' Net Asset Value and possibly face delisting.

Secondary Trading Risk

The Shares will generally be traded on the main market of the LSE, Euronext, SIX, Borsa Italiana or Xetra and may be listed or traded on one or more other stock exchanges. There can be no certainty that there will be liquidity in the Shares on any one or more of the stock exchanges or that the market price at which Shares may be traded on

a stock exchange will be the same as the Net Asset Value per Share. There can be no guarantee that once the Shares are listed or traded on a stock exchange they will remain listed or traded on that stock exchange.

Suspension risk on local markets

In certain markets (including, without limitation, Taiwan), trading on the local exchange may be carried out by one or a small number of local market account holders. If such account holder(s) fail(s) to deliver securities or monies in relation to a trade, there is a risk of suspension in relation to all Funds which effect their trading on the local market through such account holder(s). This risk may be increased where a Fund participates in a securities lending programme. Suspension in either case may increase the costs of the Fund.

Counterparty and trading risks

Counterparty Risk

The Company will be exposed to the credit risk of the parties with which it transacts and may also bear the risk of settlement default. Credit risk is the risk that the counterparty to a financial instrument will fail to discharge an obligation or commitment that it has entered into with the Company. This would include the counterparties to any FDI that is entered into by a Fund. Trading in FDI which have not been collateralised gives rise to direct counterparty exposure. The Company mitigates much of its credit risk to its FDI counterparties by receiving collateral with a value at least equal to the exposure to each counterparty but, to the extent that any FDI is not fully collateralised, a default by the counterparty may result in a reduction in the value of the Fund. Currency forwards used by Currency Hedged Share Classes to hedge their currency risks are not collateralised and Currency Hedged Share Classes have uncollateralised counterparty exposure to such foreign exchange counterparties in respect of such FDI, subject to the investment limits in Schedules II & III and subject to Currency Hedged Share Classes not being permitted to have over-hedged positions in excess of 105% of their Net Asset Value. As at the date of this Prospectus, State Street is the sole counterparty for currency forwards used by Currency Hedged Share Classes. A formal review of each new counterparty is completed and all approved counterparties are monitored and reviewed on an ongoing basis. The Company maintains an active oversight of counterparty exposure and the collateral management process. Counterparty exposure is subject to the investment restrictions in Schedule III.

Counterparty Risk to the Depositary and other depositaries

The Company will be exposed to the credit risk of the Depositary or any depositary used by the Depositary where cash or other assets are held by the Depositary or other depositaries. Credit risk is the risk that the counterparty to a financial instrument will fail to discharge an obligation or commitment that it has entered into with the Company. Cash held by the Depositary and other depositaries will not be segregated in practice but will be a debt owing from the Depositary or other depositaries to the Company as a depositor. Such cash will be co-mingled with cash belonging to other clients of the Depositary and/or other depositaries. In the event of the insolvency of the Depositary or other depositaries, the Company will be treated as a general unsecured creditor of the Depositary or other depositaries in relation to cash holdings of the Company. The Company may face difficulties and/or encounter delays in recovering such debt, or may not be able to recover it in full or at all, in which case the relevant Fund(s) will lose some or all of their cash. The Company's securities are however maintained by the Depositary and sub-custodians used by the Depositary in segregated accounts and should be protected in the event of insolvency of the Depositary or sub-custodians. The Company may enter into additional arrangements (for example placing cash in money market collective investment schemes) in order to mitigate credit exposure for its cash holdings but may be exposed to other risks as a result.

To mitigate the Company's exposure to the Depositary, the Investment Manager employs specific procedures to ensure that the Depositary is a reputable institution and that the credit risk is acceptable to the Company. If there is a change in Depositary then the new depositary will be a regulated entity subject to prudential supervision with a high credit rating assigned by international credit rating agencies.

Liability of the Depositary and Responsibility of the Depositary for Sub-Custodians

The Depositary shall be liable to the Company and its shareholders for the loss by the Depositary or a sub-custodian of financial instruments of the Company held in custody. In the case of such a loss, the Depositary is required, pursuant to the Regulations, to return the financial instrument of an identical type or the corresponding amount to the Company without undue delay, unless the Depositary can prove that the loss arose as a result of an external event beyond its reasonable control, the consequences of which would have been unavoidable despite all reasonable efforts to the contrary. This standard of liability only applies to assets capable of being registered or held in a securities account in the name of the Depositary or a sub-custodian and assets capable of being physically delivered to the Depositary.

The Depositary shall also be liable to the Company and its shareholders for all other losses suffered by the Company and/or its shareholders as a result of the Depositary's negligent or intentional failure to fully fulfil its obligations pursuant to the Regulations. In the absence of the Depositary's negligent or intentional failure to properly fulfil its obligations pursuant to the Regulations, the Depositary may not be liable to the Company or its shareholders for the loss of an asset of a Fund which is not capable of being registered or held in a securities account in the name of the Depositary or a sub-custodian or being physically delivered to the Depositary.

The liability of the Depositary is not affected by the fact that it has entrusted the custody of the Company's assets to a third party. In the event that custody is delegated to local entities that are not subject to effective prudential regulation, including minimum capital requirements, and supervision in the jurisdiction concerned, prior Shareholder notice will be provided advising of the risks involved in such delegation. As noted above, in the absence of the Depositary's negligent or intentional failure to properly fulfil its obligations pursuant to the Regulations, the Depositary may not be liable to the Company or its shareholders for the loss of an asset of a Fund which is not capable of being registered or held in a securities account in the name of the Depositary or a sub-

custodian or being physically delivered to the Depositary. Accordingly, while the liability of the Depositary is not affected by the fact that it has entrusted the custody of the Company's assets to a third party, in markets where custodial and/or settlement systems may not be fully developed, a Fund may be exposed to sub-custodial risk in respect of the loss of such assets in circumstances whereby the Depositary may have no liability.

Counterparty risk to the Paying Agent – dividend monies

The Paying Agent for the Funds is responsible for making dividend payments to Participants on the relevant dividend payment date. Shortly before the dividend payment date, monies for distribution to Participants as dividends will be transferred from the Company's cash accounts with the Depositary to the Paying Agent. During the interim period, dividend monies are held with the Paying Agent (or its associated depositary bank) in the form of cash and the Company will have credit risk exposure, in respect of such cash, to the Paying Agent and its associated depositary bank. Cash held by the Paying Agent will not be segregated in practice but will be a debt owing from the Paying Agent (or its associated depositary bank) to the Company as a depositor. In the event of the insolvency of the Paying Agent (or its associated depositary bank) during the interim period, the Company will be treated as a general unsecured creditor of the Paying Agent (or its associated depositary bank) in relation to the cash. The Company may face difficulties and/or encounter delays in recovering such debt, or may not be able to recover it in full or at all, in which case the Company may lose some or all of the dividend monies being distributed by the Paying Agent resulting in a reduction in the value of a Fund.

On Exchange Trading

Where a counterparty to an on exchange trade in the Fund's underlying securities suffers an Insolvency Event, there are risks associated with the recognised investment exchanges and markets themselves set out in Schedule I. There is a risk that the relevant recognised investment exchange or market on which the trade is being conducted will not apply its rules fairly and consistently and that failed trades will be effected notwithstanding the insolvency of one of the counterparties. There is also a risk that a failed trade will be pooled with other failed trades, which may make it difficult to identify a failed trade to which the Fund has been a party. Either of these events may have a negative impact on the value of the Fund.

Settlement through an International Central Securities Depositary

Inaction by the Common Depositary and/or an International Central Securities Depositary

Investors that settle or clear through an International Central Securities Depositary will not be a registered Shareholder in the Company, they will hold an indirect beneficial interest in such Shares and the rights of such investors, where Participants, shall be governed by their agreement with the applicable International Central Securities Depositary and otherwise by the arrangement with a Participant of the International Central Securities Depositary (for example, their nominee, broker or Central Securities Depositaries, as appropriate). The Company will issue any notices and associated documentation to the registered holder of the Global Share Certificate, the Common Depositary's Nominee, with such notice as is given by the Company in the ordinary course when convening general meetings. The Common Depositary's Nominee has a contractual obligation to relay any such notices received by the Common Depositary's Nominee to the Common Depositary which, in turn, has a contractual obligation to relay any such notices to the applicable International Central Securities Depositary, pursuant to the terms of its appointment by the relevant International Central Securities Depositary. The applicable International Central Securities Depositary will in turn relay notices received from the Common Depositary to its Participants in accordance with its rules and procedures. The Directors understand that the Common Depositary is contractually bound to collate all votes received from the applicable International Central Securities Depositaries (which reflects votes received by the applicable International Central Securities Depositary from Participants) and that the Common Depositary's Nominee is obligated to vote in accordance with such instructions. The Company has no power to ensure the Common Depositary relays notices of votes in accordance with their instructions. The Company cannot accept voting instructions from any persons other than the Common Depositary's Nominee.

Payments

With the authorisation of the Common Depositary's Nominee, any dividends declared and any liquidation and mandatory redemption proceeds are paid by the Company or its authorised agent (for example, the Paying Agent) to the applicable International Central Securities Depositary. Investors, where they are Participants, must look solely to the applicable International Central Securities Depositary for their share of each dividend payment or any liquidation or mandatory redemption proceeds paid by the Company or, where they are not Participants, they must look to their respective nominee, broker or Central Securities Depositary (as appropriate, which may be a Participant or have an arrangement with a Participant of the applicable International Central Securities Depositary) for any share of each dividend payment or any liquidation or mandatory redemption proceeds paid by the Company that relates to their investment.

Investors shall have no claim directly against the Company in respect of dividend payments and any liquidation and mandatory redemption proceeds due on Shares represented by the Global Share Certificate and the obligations of the Company will be discharged by payment to the applicable International Central Securities Depositary with the authorisation of the Common Depositary's Nominee.

Specific investment risks for all Funds

Recent Market Events

Periods of market volatility may occur in response to various political, social and economic events both within and outside of the United States. These conditions have resulted in, and in many cases continue to result in, greater price volatility, less liquidity, widening credit spreads and a lack of price transparency, with many securities remaining illiquid and of uncertain value. Such market conditions may adversely affect the Funds, including by making valuation of some of a Fund's securities uncertain and/or result in sudden and significant valuation

increases or declines in the Fund's holdings. If there is a significant decline in the value of a Fund's portfolio, this may impact the asset coverage levels for any outstanding leverage the Fund may have.

Risks resulting from any future debt or other economic crisis could also have a detrimental impact on the global economic recovery, the financial condition of financial institutions and a Fund's business, financial condition and results of operation. Market and economic disruptions have affected, and may in the future affect, consumer confidence levels and spending, personal bankruptcy rates, levels of incurrence and default on consumer debt and home prices, among other factors. To the extent uncertainty regarding the U.S. or global economy negatively impacts consumer confidence and consumer credit factors, a Fund's business, financial condition and results of operations could be significantly and adversely affected. Downgrades to the credit ratings of major banks could result in increased borrowing costs for such banks and negatively affect the broader economy. Moreover, Federal Reserve policy, including with respect to certain interest rates, may also adversely affect the value, volatility and liquidity of dividend- and interest-paying securities. Market volatility, rising interest rates and/or unfavourable economic conditions could impair a Fund's ability to achieve its investment objective(s).

Impact of Natural or Man-Made Disasters and Disease Epidemics

Certain regions are at risk of being affected by natural disasters or catastrophic natural events. Considering that the development of infrastructure, disaster management planning agencies, disaster response and relief sources, organized public funding for natural emergencies, and natural disaster early warning technology may be immature and unbalanced in certain countries, the natural disaster toll on an individual portfolio company or the broader local economic market may be significant. Prolonged periods may pass before essential communications, electricity and other power sources are restored and operations of the portfolio company can be resumed. A Fund's investments could also be at risk in the event of such a disaster. The magnitude of future economic repercussions of natural disasters may also be unknown, may delay a Fund's ability to invest in certain companies, and may ultimately prevent any such investment entirely.

Investments may also be negatively affected by man-made disasters. Publicity of man-made disasters may have a significant negative impact on overall consumer confidence, which in turn may materially and adversely affect the performance of a Fund's Investments, whether or not such investments are involved in such man-made disaster.

Outbreaks of infectious diseases may also have a negative impact on the performance of a Fund. For example, an infectious respiratory disease caused by a novel coronavirus known as COVID-19 detected in December 2019 gave rise to a global pandemic. This pandemic adversely affected the economies of many nations globally, negatively affecting the performance of individual companies and capital markets. Future epidemics and pandemics could have similar effects, and the extent of their impact cannot be foreseen at the present time.

Moreover, the impact of infectious diseases in certain developing or emerging market countries may be more severe due to less established healthcare systems, as was evident with COVID-19. Health crises caused by infectious diseases can exacerbate existing political, social, and economic risks in these countries leading to prolonged recovery periods and greater investment risks in these regions. The long-term effects of such outbreaks may include increased volatility as investors react to uncertainty and rapidly changing conditions and potential losses in the value of investments.

Governments and regulatory bodies may implement new policies and regulations in response to health crises, which can impact various industries and investment strategies. These responses can include fiscal stimulus, changes in healthcare policies, and adjustments to trade and travel regulations.

Governmental Intervention Risk

In response to a recession, economic slowdown or financial market instability, governments and regulators may choose to intervene by implementing austerity measures and reforms, as seen in the 2007-2008 global financial crisis. There is no guarantee that a government or regulatory intervention will work and they may result in social unrest, limit future growth and economic recovery or have unintended consequences. Additionally, government and regulatory intervention have sometimes been unclear in scope and application, resulting in confusion and uncertainty which in itself has been detrimental to the efficient functioning of financial markets.

It is impossible to predict with certainty what temporary or permanent governmental restrictions may be imposed on the markets in the future and/or the effect of such restrictions on the Investment Manager's ability to implement the Funds' investment objectives, the European or global economy or the global securities markets. Instability in the global financial markets or government intervention may increase the volatility of the Funds and hence the risk of loss to the value of your investment.

Funds which invest in the European bond market are directly exposed to intervention by the European Central Bank and governments of relevant European countries, particularly in relation to interest rates and the single European currency. For example, the value of the bonds held by a Fund is likely to decrease if interest rates are increased, and bond pricing complications could arise should a country leave the single European currency or that currency be discontinued completely.

Issuer Risk

The performance of a Fund depends on the performance of individual securities to which the Fund has exposure. Any issuer of these securities may perform poorly, causing the value of its securities to decline. Poor performance may be caused by poor management decisions, competitive pressures, changes in technology, expiration of patent protection, disruptions in supply, labour problems or shortages, corporate restructurings, fraudulent disclosures or other factors. Issuers may, in times of distress or at their own discretion, decide to reduce or eliminate dividends, which may also cause their stock prices to decline.

Money Market Risk

The Company, with a view to mitigating credit exposure to depositaries, may arrange for cash holdings of the Company (including pending dividend payments) to be placed into money market collective investment schemes, including other funds of the BlackRock Group. A money market collective investment scheme which invests a significant amount of its assets in money market instruments may be considered as an alternative to investing in a regular deposit account. However, a holding in such a scheme is subject to the risks associated with investing in a collective investment scheme and, while a money market collective investment scheme is designed to be a relatively low risk investment, it is not entirely free of risk. Despite the short maturities and high credit quality of investments of such schemes, increases in interest rates and deteriorations in the credit quality can reduce the scheme's yield and the scheme is still subject to the risk that the value of such scheme's investment can be eroded and the principal sum invested will not be returned in full.

Securities Lending Risk

The Company engages in a securities lending programme through the Investment Manager. Securities are lent to borrowers on a title transfer basis, so borrowers are required to return to the Fund securities that are equivalent to those lent, rather than the original securities. When securities are lent to a borrower, there is a risk that the borrower may default on their obligation to return equivalent securities. In order to mitigate this credit risk, the lending of a Fund's securities must be covered by high-quality and liquid collateral received by the Fund under a title transfer arrangement, and such collateral must maintain a market value at all times at least equivalent to the market value of the Fund's securities lent plus a premium.

The market value of securities lent and collateral received can, however, fluctuate over time. As such, credit risk can arise during the life of a loan (for example, where the market value of the collateral falls below the value of the securities lent). A default by the borrower in such circumstances may result in a reduction in the value of the Fund. To mitigate these risks, the Company benefits from a collateral shortfall indemnity provided by BlackRock, whereby the Fund is reimbursed by BlackRock if the value of the collateral received from the borrower does not cover the value of the securities lent by the Fund.

Securities lending involves exposure to certain other risks, including operational risk (such as the risk of losses resulting from problems in the settlement and accounting process), currency risk (such as the risk that in the event of a default by the borrower there may be a shortfall when collateral received by the Fund is denominated in a currency other than the base currency of the Fund due to movements in foreign exchange rates), legal risk (such as the risk that a court declares a contract unenforceable), taxation risk (such as the risk of changes to the status of issuers under applicable laws and regulations, including tax regulations, that may impact the regulatory or tax treatment of loaned securities and could, for example, result in a delay in the payment of dividend equivalent payments owed to a Fund as permitted by applicable law), and market risk (such as the risk that market events, including but not limited to corporate actions, could lead the Fund to lend securities that are trading at a premium due to increased demand, or to recall loaned securities or to lend less or not at all, which could lead to reduced securities lending revenue). In the context of market risk, if a Fund were to lend out securities that are subject to a corporate action and commit to the borrower a particular election as determined by the Investment Manager, the benefit the Fund would receive in respect of committing to such election may or may not be less than the benefit the Fund would have received from making a different election in such corporate action. Investors should also note that a limitation of maximum securities lending levels by a Fund, at a time when demand exceeds those maximum levels, may reduce potential income to a Fund that is attributable to securities lending. Please refer to "Efficient Portfolio Management" for further detail.

There are potential conflicts of interest in managing the securities lending program, including but not limited to: (i) The Investment Manager as securities lending agent may have an incentive to, among other things, increase or decrease the amount of securities on loan, lend particular securities, or accept and/or preference affiliated products as collateral in order to generate additional risk-adjusted fees and/or other potential benefits for the Investment Manager and/or its affiliates; (ii) The Investment Manager as securities lending agent may have an incentive to allocate loans to clients that would provide more revenue to BlackRock; and (iii) an indemnity is offered to certain clients, including the Company, for any collateral shortfall in the event of a borrower's default, so the Investment Manager as securities lending agent may have an incentive to mitigate the possible risk of BlackRock incurring losses under the indemnity by preferencing un-indemnified clients over indemnified clients. BlackRock seeks to mitigate this conflict by providing its securities lending clients with equal lending opportunities over time in order to approximate pro rata allocation.

Currency Risk

The Base Currency of a passively managed Fund is usually chosen to match the base currency in which its Benchmark Index is valued and this may differ from the currency of the underlying assets of the Benchmark Index. In addition, a Fund's Benchmark Index may comprise multiple-currency underlying assets. Consequently, the Investments of a Fund may be acquired in currencies which are not the Base Currency of the Fund. In addition, certain Funds may have Share Classes which have different Valuation Currencies from the Base Currency of the Fund. Consequently, the Investments of a Share Class may be acquired in currencies which are not the Valuation Currency of the Share Class.

Unless it is the stated intention of the Company to use hedging or other techniques and instruments in any Funds in order to cover currency risk, the fact that Base Currencies, Valuation Currencies and the currencies of Funds' Investments may differ may cause the cost of purchasing or lending such Investments to be affected favourably or unfavourably by fluctuations in the relative exchange rates of the different currencies. For emerging market countries, volatility in currency markets can be heightened.

In relation to the Active Funds and the Multi-Asset Funds, the Fund's Investments may be acquired in currencies which are not the Valuation Currency of the Share Class. For Unhedged Share Classes, the fact that their Valuation Currencies and the currency of the Fund's Investments may differ may cause the cost of purchasing such Investments to be affected favourably or unfavourably by fluctuations in the relative exchange rates of the different currencies.

Risks specific to Funds focusing on specific markets

Concentration Risk

If the Benchmark Index of a Fund concentrates in a particular country, region, industry, group of industries, sector or specific theme that Fund may be adversely affected by the performance of those securities and may be subject to price volatility. In addition, a Fund that concentrates in a single country, region, industry or group of countries or industries may be more susceptible to any single economic, market, political, sustainability-related or regulatory occurrence affecting that country, region, sector, industry or group of countries or industries. Such a Fund may be more susceptible to greater price volatility when compared to a more diverse fund. This could lead to a greater risk of loss to the value of your investment. The Funds that are replicating index Funds per the Regulations may invest more than 10% and up to 20% of their Net Asset Value in shares issued by the same body in order to replicate their respective Benchmark Indices. This limit may be raised to 35% for a single issuer, where this is justified by exceptional market conditions, for example, market dominance. Market dominance exists where a particular constituent of the Benchmark Index has a dominant position in the particular market sector in which it operates and as such accounts for a large proportion of the Benchmark Index. This means that such a Fund may have a high concentration of investment in one company, or a relatively small number of companies, and may therefore be more susceptible to any single economic, market, political or regulatory occurrence affecting that company or those companies.

Emerging Markets- General

Emerging markets are subject to special risks associated with investment in an emerging market. The material risks include: generally less liquid and less efficient securities markets; generally greater price volatility; exchange rate fluctuations and exchange control; lack of available currency hedging instruments; abrupt imposition of restrictions on foreign investment; imposition of restrictions on the expatriation of funds or other assets; less publicly available information about issuers; the imposition of taxes; higher transaction and custody costs; settlement delays and risk of loss; difficulties in enforcing contracts; less liquidity and smaller market capitalisations; less well regulated markets resulting in more volatile stock prices; different accounting and disclosure standards; governmental interference; risk of expropriation, nationalisation or confiscation of assets or property; higher inflation; social, economic and political instability and uncertainties; the risk of expropriation of assets and the risk of war. In the absence of the Depositary's negligent or intentional failure to properly fulfil its obligations pursuant to the Regulations, the Depositary may not be liable to the Company or its shareholders for the loss of an asset of a Fund which is not capable of being registered or held in a securities account in the name of the Depositary or a sub-custodian or being physically delivered to the Depositary. Accordingly, while the liability of the Depositary is not affected by the fact that it has entrusted the custody of the Company's assets to a third party, in markets where custodial and/or settlement systems may not be fully developed, a Fund may be exposed to sub-custodial risk in respect of the loss of such assets in circumstances whereby the Depositary will have no liability. In the event that custody is delegated to local entities that are not subject to effective prudential regulation, including minimum capital requirements and supervision in the jurisdiction concerned, prior Shareholder notice will be provided advising of the risks involved in such delegation. There could be additional impacts on the value of a Fund as a result of sustainability risks, in particular those caused by environmental changes related to climate change, social issues (including relating to labour rights) and governance risk (including but are not limited to risks around board independence, ownership & control, or audit & tax management). Additionally, disclosures or third-party data coverage associated with sustainability risks is generally less available or transparent in these markets.

As a result of the above risks, a Fund's investments can be adversely affected and the value of your investments may go up or down.

Investments in Brazil

On 14 September 2016, the Brazilian tax authorities issued Normative Instruction 1658/16 amending the list of countries considered to be 'low tax jurisdictions' to include Curacao, Saint Martin and Ireland and exclude the Netherlands Antilles and Saint Kitts and Nevis. The changes were effective from 1 October 2016 onwards. As a consequence, Brazilian capital gains tax and increased income withholding tax rates on interest on capital distributions apply to Brazilian securities. Any capital gains tax calculable as a result of portfolio transactions relating to redemptions will be dealt with in accordance with the definition of "Duties and Charges" and may result in an additional spread, which may reduce the net proceeds received for the redemption. Any capital gains tax incurred as a result of portfolio transactions not related to redemptions (e.g. rebalancing) will be borne by the respective Fund.

Asia

Many Asian economies have experienced rapid growth and industrialisation in recent years, but there is no assurance that this growth rate will be maintained. Other Asian economies, however, have experienced high inflation, high unemployment, currency devaluations and restrictions, and over-extension of credit. During the global recession that began in 2007, many of the export-driven Asian economies experienced the effects of the economic slowdown in the United States and Europe, and certain Asian governments implemented stimulus plans, low-interest rate monetary policies and currency devaluations. Economic events in any one Asian country may have a significant economic effect on the entire Asian region, as well as on major trading partners outside Asia. Any adverse event in the Asian markets may have a significant adverse effect on some or all of the economies of

the countries in which the Fund invests. Many Asian countries are subject to political risk, including corruption and regional conflict with neighbouring countries. In addition, many Asian countries are subject to social and labour risks associated with demands for improved political, economic and social conditions. These risks, among others, may adversely affect the value of the investments the Fund that invests in or is exposed to investment in Asia.

The Asian countries in which iShares Emerging Asia Local Govt Bond UCITS ETF currently invests, are Indonesia, Malaysia, Philippines, South Korea and Thailand, are considered to be emerging markets and are therefore subject to special risks associated with investment in an emerging market country. These include, but are not limited to: generally less liquid and less efficient securities markets; generally greater price volatility; exchange rate fluctuations and exchange control; imposition of restrictions on the expatriation of funds or other assets; less publicly available information about issuers; the imposition of taxes; higher transaction and custody costs; settlement delays and risk of loss; difficulties in enforcing contracts; less liquidity and smaller market capitalisations; less well regulated markets resulting in more volatile stock prices; different accounting and disclosure standards; governmental interference; higher inflation; social, economic and political uncertainties; custodial and/or settlement systems may not be fully developed which may expose a Fund to sub-custodial risk in circumstances whereby the Depositary will have no liability; the risk of expropriation of assets and the risk of war.

Investments in the PRC

For Funds that invest in or are exposed to investment in the PRC, potential investors should also consider the following risk warnings which are specific to investing in or exposure to the PRC:

The PRC is one of the world's largest global emerging markets. The economy in the PRC, which has been in a state of transition from a planned economy to a more market orientated economy, differs from the economies of most developed countries and investing in the PRC may be subject to greater risk of loss than investments in developed markets. This is due to, among other things, greater market volatility, lower trading volume, political and economic instability, greater risk of market shut down, greater control of foreign exchange and more limitations on foreign investment policy than those typically found in a developed market. There may be substantial government intervention in the PRC economy, including restrictions on investment in companies or industries deemed sensitive to relevant national interests. The PRC government and regulators may also intervene in the financial markets, such as by the imposition of trading restrictions, which may affect the trading of Chinese securities. The companies in which a Fund invests may be held to lower disclosure, corporate governance, accounting and reporting standards than companies in more developed markets. In addition, some of the securities held by a Fund may be subject to higher transaction and other costs, foreign ownership limits, the imposition of withholding or other taxes, or may have liquidity issues which make such securities more difficult to sell at reasonable prices. These factors may have an unpredictable impact on a Fund's investments and increase the volatility and hence the risk of a loss to the value of an investment in a Fund. Furthermore, market interventions may have a negative impact on market sentiment which may in turn affect the performance of the Benchmark Index and, by extension, the performance of a Fund.

The PRC economy has experienced significant and rapid growth in the past 20 years. However, such growth may or may not continue, and may not apply evenly across different geographic locations and sectors of the PRC economy. Economic growth has also been accompanied by periods of high inflation. The PRC government has implemented various measures from time to time to control inflation and restrain the rate of economic growth of the PRC economy. Furthermore, the PRC government has carried out economic reforms to achieve decentralisation and utilisation of market forces to develop the economy of the PRC. These reforms have resulted in significant economic growth and social progress. There can, however, be no assurance that the PRC government will continue to pursue such economic policies or, if it does, that those policies will continue to be successful. Any such adjustment and modification of those economic policies may have an adverse impact on the securities markets in the PRC and therefore on the performance of the Fund.

These factors may increase the volatility of any such Fund (depending on its degree of investment in the PRC) and hence the risk of loss to the value of your investment.

India

For Funds that invest in or are exposed to investment in India, potential investors should also consider the following risk warnings which are specific to investing in or exposure to India:

- India is located in a part of the world that has historically been prone to natural disasters such as earthquakes, volcanoes and tsunamis and India is economically sensitive to environmental events. In addition, the agricultural sector is an important component of the Indian economy and adverse weather may have a significant negative effect on the Indian economy.
- India has experienced a process of privatisation of certain entities and industries. If the newly privatised companies are unable to adjust quickly to a competitive environment or to changing regulatory and legal standards, investors in such newly privatised entities could suffer losses and this could adversely affect the performance of the Indian market.
- The Indian economy is dependent on commodity prices, which can be volatile and this poses risk of macro-economic instability. The Indian economy is also dependent on the economies of Asia, mainly Japan and China, and the United States as key trading partners. Reduction in spending on Indian products and services by any of these trading partners or a slowdown or recession in any of these economies could adversely affect the Indian economy.

- India has experienced acts of terrorism and has strained international relations with Pakistan, Bangladesh, China, Sri Lanka and other neighbours due to territorial disputes, historical animosities, terrorism and other defence concerns. These situations may cause uncertainty in the Indian market and may adversely affect performance of the Indian economy.
- Disparities of wealth, the pace of economic liberalisation and ethnic, religious and racial disaffection may lead to social turmoil, violence and labour unrest in India. In addition, India continues to experience religious and border disputes as well as separatist movements in certain Indian states. Unanticipated political or social developments may result in investment losses.
- The Indian government has experienced chronic structural public sector deficits. High amounts of debt and public spending may stifle Indian economic growth, cause prolonged periods of recession or lower India's sovereign debt rating.
- Indian disclosure and regulatory standards are in many respects less stringent than standards in certain OECD (Organisation for Economic Co-operation and Development) countries. There may be less publicly available information about Indian companies than is regularly published by or about companies in such other countries. The difficulty in obtaining such information may mean that a Fund experiences difficulties in obtaining reliable information regarding any corporate actions and dividends of companies in which such a Fund has directly or indirectly invested. Indian accounting standards and requirements also differ in significant respects from those applicable to companies in many OECD countries.
- A Fund, the market price and the liquidity of the Shares may be affected generally by exchange rates and controls, interest rates, changes in Indian governmental policy, taxation, social and religious instability and other political, economic or other developments in or affecting India.
- Although the Indian primary and secondary equity markets have grown rapidly and the clearing, settlement and registration systems available to effect trades on the Indian stock markets have significantly improved with mandatory dematerialisation of shares, these processes may still not be on a par with those in more mature markets. Problems of settlement in India may impact on the Net Asset Value and the liquidity of a Fund.
- SEBI was created under the resolution of the Government of India in April 1992, and performs the function of "promoting the development of and regulation of the Indian securities market, the protection of the interest of shareholders as well as matters connected therewith and incidental thereto". The Securities and Exchange Board of India Act of 1992 has entrusted the SEBI with much wider powers and duties, which inter alia, include prohibition of fraudulent and unfair trade practices relating to the stock markets including insider trading and regulation of substantial acquisitions of shares and takeovers of companies. The Indian stock exchanges have been subject to broker defaults, failed trades and settlement delays in the past and such events may have adverse impact on the Net Asset Value of a Fund. In addition, in the event of occurrence of any of the above events, or in the event of SEBI having reasonable ground to believe that the transactions in securities are being dealt with in a manner detrimental to the investors or the securities market, SEBI can impose restrictions on trading in certain securities, limitations on price movements and margin requirements, which could adversely impact the liquidity of a Fund.
- A disproportionately large percentage of market capitalisation and trading value in the Indian stock exchanges is represented by a relatively small number of issuers. There is a lower level of regulation and monitoring of the Indian securities market and the activities of investors, brokers and other participants as compared to certain OECD markets. It may, therefore, be difficult to invest a Fund's assets so as to obtain a representative portfolio or to realise the Fund's investments at the places and times that it would wish to do so.
- Indian capital gains tax apply to Indian securities. Any capital gains tax calculable as a result of portfolio transactions relating to redemptions will be dealt with in accordance with the definition of "Duties and Charges" and may result in an additional spread, which may reduce the net proceeds received for the redemption. Any capital gains tax incurred as a result of portfolio transactions not related to redemptions (e.g. rebalancing) will be borne by the respective Fund.

Indian Foreign Portfolio Investors Regulations

In order for a Fund to invest directly in India, it must seek to register as a Category II FPI under the SEBI Regulations or any equivalent applicable regulations at the time.

In January 2014, the SEBI put in place regulations that impact portfolio investments made by FPIs. These include foreign institutional investors, non-resident Indians and other foreign investors. Under the FPI rules, investors cannot transact in securities as FPIs unless they have been granted registration by depository participants acting on behalf of the SEBI. To be eligible for FPI status, applicants must meet certain criteria related to their residence, the status of their securities market regulator, the Financial Action Task Force, and other factors. Once granted, registration is permanent unless suspended by the SEBI or surrendered by the FPI. Any change to the FPI regime generally, including the possibility of a Fund losing its FPI status, may affect such a Fund's ability to invest in securities in India. To the extent that a Fund loses its FPI status or laws and regulations change such that the FPI regime is no longer available to it, it will be more difficult for such a Fund to achieve its investment objective. Accordingly, there is a greater risk of tracking error, which may result in a negative or positive performance impact to such a Fund and holders of its Shares.

General investment restrictions

Investment by FPIs is restricted to primary and secondary market securities (including listed or to be listed shares, debentures and warrants of companies), listed and unlisted domestic mutual funds and collective investment schemes, derivatives traded on a recognised stock exchange, treasury bills, government securities, commercial papers, various types of debt instruments and units in debt funds, depository receipts and other instruments specified by the SEBI. Securities lending is also allowed as per the SEBI Regulations. Further requirements exist in respect of transactions in the secondary market.

There are certain investment conditions and restrictions that an FPI would need to comply with including investment in company shares not exceeding 10% of the company's issued capital per single FPI or investor group. The SEBI may introduce further limitations or restrictions on the foreign ownership of securities in India, which may have adverse effects on the liquidity and the performance of a Fund. Such limitations and restrictions may restrict a Fund's ability to acquire the securities of one or more constituents of its Benchmark Index in accordance with the relevant weightings of the Benchmark Index and therefore may impact on a Fund's ability to closely track the performance of its Benchmark Index.

Broad based fund regime

In order to be registered as a Category II FPI, under the SEBI Regulations, a Fund will be required to demonstrate that it is an appropriately regulated broad based fund. The Indian broad based fund regime applies to funds established or incorporated outside India, which are eligible on the basis of the fund or its manager(s) being regulated in their respective foreign jurisdiction. A Fund must satisfy the broad based criteria, which include internal review and accessibility of information about underlying investors. These types of funds shall have a minimum of 20 investors including, both, direct investors and underlying investors in pooling vehicles. No investor shall hold over 49% of the fund by unit/share number or value. Institutional investors who hold over 49% of the fund must themselves comply with requirements applicable to broad based funds. Underlying beneficial owners who hold over 25% of the fund are required to provide their consent to the FPI registration, and to that end have their client information disclosed to the depository participant/SEBI. To the extent that a Fund might have underlying beneficial owners who fall into this category, it may not be possible for such a Fund to fulfil its investment objective if such consent is required and not provided.

Licensing in India

In order to invest physically in Indian securities, a Fund is required to be registered as a Category II FPI under the SEBI Regulations. In order to be registered as a Category II FPI, each Fund is required to demonstrate that it satisfies the following broad based criteria: (i) The Fund must have a minimum of 20 investors including, both, direct investors and underlying investors in pooling vehicles. (ii) No investor shall hold over 49% of the Shares or value of the Fund. Institutional investors who hold over 49% of the Shares or value of the Fund must themselves comply with broad based criteria. Underlying beneficial owners who hold over 25% of the Shares or value of the Fund are required to provide their consent to the FPI registration, and to that end have their client information disclosed to the relevant depository participant and Securities and Exchange Board of India. This criteria has been highlighted to investors. To the extent that investors in a Fund do not meet the above criteria or disclosure requirement, the Fund may lose its FPI licence and may no longer be able to invest physically in Indian securities.

Exposures to Russian investments and the Russian invasion of Ukraine

Following Russia's invasion of Ukraine in February 2022, significant sanctions against Russia were instituted by the United States, the United Kingdom, and the European Union, along with the regulatory bodies in a number of countries, including Japan, Australia, and Canada. These include prohibitions on transacting or dealing in new investments in the Russian Federation. Retaliatory measures have been taken by Russia, including the freezing of certain Russian assets and trading restrictions on non-Russian investors.

While Benchmark Index providers subsequently removed Russian securities from the Benchmark Indices, certain Funds continue to hold exposures to Russian securities which cannot be divested at this time.

Compliance with applicable sanctions, laws and regulations will impair the ability of a Fund to buy, sell, hold, receive or deliver securities of such issuers or securities subject to, or otherwise affected by, sanctions (Russian securities). While a Fund may be legally permitted to divest or transfer certain Russian securities if and to the extent authorised by a general license, issued by a recognised sanctions authority, other restrictions and/or impaired trading conditions may mean that it remains impracticable or impossible for a Fund to do so.

Where a Fund is unable to eliminate or reduce its holdings of the affected securities, for example, where compliance with sanctions impairs its ability to sell or deliver such securities, the Fund will continue to hold such securities in its portfolio and will retain residual exposure to the Russian securities until it can trade out of them.

It is anticipated that, even as the local Russian market reopens for Russian investors, sanctions against Russian entities and individuals, trading restrictions on non-Russian investors, and/or restrictions on currency conversion and/or repatriation may continue for some time. The absence of normal market trading conditions and the removal of such Russian securities from the Benchmark Indices at zero value means that such investments held by the Funds are currently fair valued to almost zero.

As and when non-local investors are allowed to trade and settle in the Russian stock market and in compliance with applicable law and regulations, including relevant sanctions laws, and under appropriate market conditions, the Investment Manager will seek to implement an orderly and managed disposal of Russian securities, taking into consideration multiple factors including, but not limited to, liquidity, spreads, international investor access, volume and volatility. Due to political and market uncertainties and the fact that it is not possible to predict the optimal time for selling the Russian securities or whether certain securities can be sold at all, there is no guarantee that

optimal value, or any value at all, can be achieved. An assessment will be made on the basis of information available to the Investment Manager at the relevant time.

Additionally, the objective of each Fund is to track the relevant Benchmark Index, with an aim of minimising tracking error by the rebalancing of the Fund's portfolio to align with the constituents of its Benchmark Index. The Russian securities have now been removed from the Funds' Benchmark Indices. Consequently, as and when the Russian securities held by the Funds come to be valued at more than zero, this may result in increased tracking error risk and potentially significant tracking error between a Fund's performance and the performance of its Benchmark Index. Further, due to liquidity constraints, Russian securities may become ineligible assets for the Funds. These factors mean that the Funds may be required to dispose of these assets as soon as possible once they can be sold and it may therefore be necessary to dispose of the assets at a lower value than that at which they might otherwise be realised.

A Fund also may not be able to pay out redemption proceeds in respect of the assets which are frozen or may need to liquidate non-restricted assets in order to satisfy redemption orders. The liquidation of a Fund's assets during this time, where practicable, may also result in a Fund receiving substantially lower prices for its securities.

The Directors may (at their discretion) take such action as they consider to be in the interests of investors in Funds, including (if necessary) suspending trading in the Funds (see the section entitled "Temporary Suspension of Valuation of the Shares and of Sales, Redemptions and Switching" for more details) and/or taking such action as described in the section entitled "Benchmark Indices".

Additional risks related to the holding of Russian securities:

- The laws relating to securities investments and regulations in Russia do not tend to keep pace with market developments leading to ambiguities in interpretation and inconsistent and arbitrary application.
- Rules regulating corporate governance either do not exist or are underdeveloped and offer little protection to minority shareholders.
- There are also counterparty risks in connection with the maintenance of portfolio securities and cash with local sub-custodians and securities depositories in Russia.

These factors may increase the volatility of any such Fund (depending on its degree of investment in Russia) and hence the risk of loss to the value of your investment.

Investments in Japan

Japan is located in a part of the world that has historically been prone to natural disasters, such as earthquakes, volcanoes, and tsunamis, and is economically sensitive to environmental events. In addition, the nuclear power plant catastrophe in March 2011 may have short-term and long-term effects on the nuclear energy industry, the extent of which are currently unknown. As with other countries, Japan may be subject to political and economic risks. Political developments may lead to changes in policy which might adversely affect a Fund's investments. The Japanese economy is heavily dependent on foreign trade and can be adversely affected by trade tariffs and other protectionist measures. In addition, some Japanese reporting, accounting and auditing practices vary from the accounting principles generally accepted in other developed countries. Any of these risks, individually or in the aggregate, could result in a significant adverse impact on the Japanese economy and the securities to which a Fund has exposure and, in turn, result in a loss to your investment.

Potential Implications of Brexit

On 31 January 2020 the United Kingdom (the "UK") formally withdrew and ceased being a member of the European Union (the "EU"). Following this, the UK entered into a transition period which lasted for the remainder of 2020, during which period the UK was subject to applicable EU laws and regulations. The transition period expired on 31 December 2020, and EU law no longer applies in the UK.

On 30 December 2020, the UK and the EU signed an EU-UK Trade and Cooperation Agreement ("UK/EU Trade Agreement"), which applies from 1 January 2021 and sets out the foundation of the economic and legal framework for trade between the UK and the EU. As the UK/EU Trade Agreement is a new legal framework, the implementation of the UK/EU Trade Agreement may result in uncertainty in its application and periods of volatility in both the UK and wider European markets throughout 2021 and beyond. The UK's exit from the EU is expected to result in additional trade costs and disruptions in this trading relationship. While the UK/EU Trade Agreement provides for the free trade of goods, it provides only general commitments on market access in services together with a "most favoured nation" provision which is subject to many exceptions. Furthermore, there is the possibility that either party may impose tariffs on trade in the future in the event that regulatory standards between the EU and the UK diverge. The terms of the future relationship may cause continued uncertainty in the global financial markets, and adversely affect the performance of the Funds.

Volatility resulting from this uncertainty may mean that the returns of a Fund's investments are affected by market movements, the potential decline in the value of Sterling or Euro, and the potential downgrading of sovereign credit ratings of the UK or an EU member state.

Euro and Eurozone Risk

The deterioration of the sovereign debt of several countries, together with the risk of contagion to other, more stable, countries, exacerbated the global economic crisis. There is a continued possibility that Eurozone countries could be subject to an increase in borrowing costs. This situation as well as the United Kingdom's referendum have

raised a number of uncertainties regarding the stability and overall standing of the European Economic and Monetary Union. The departure or risk of departure from the Euro by one or more Eurozone countries could lead to the reintroduction of national currencies in one or more Eurozone countries or, in more extreme circumstances, the possible dissolution of the Euro entirely. These potential developments, or market perceptions concerning these and related issues, could adversely affect the value of a Fund's investments. Investors should carefully consider how any potential changes to the Eurozone and European Union may affect their investment in a Fund.

Investments in Mid Capitalisation and Smaller Companies

The securities of mid capitalisation and smaller companies tend to be more volatile and less liquid than the securities of large companies. As securities of mid capitalisation and smaller companies may experience more market price volatility than securities of larger companies, the Net Asset Value of any Funds which invest in smaller companies or mid capitalisation companies may reflect this volatility. Mid capitalisation and smaller companies, as compared with larger companies, may have a shorter history of operations, may not have as great an ability to raise additional capital, may have a less diversified product line making them susceptible to market pressure and may have a smaller public market for their securities.

Investment in mid capitalisation and smaller companies may involve relatively higher investment costs, which may be in part due to increased execution costs caused by reduced liquidity in the underlying market, and accordingly investment in Funds which invest in smaller companies should be viewed as a long-term investment. Such Funds may, however, dispose of an investment made by it within a relatively short period of time, for example, to meet requests for redemption of Shares.

As a result of the above risks, a Fund's investments can be adversely affected and the value of your investments may go up or down.

In addition, owing to threshold limits on the proportion of shares that BlackRock-managed funds may hold in certain companies (in particular in smaller capitalisation companies), it is possible that a Fund may have to rely more heavily on optimisation techniques than would otherwise be the case.

Industrials Sector Risk

The prices of companies in the industrials sector may be affected by supply and demand both for their specific product or service and for industrials sector products in general. Government regulations, labour relations, world events, economic conditions and taxes may affect the performance of companies in the industrials sector. Companies in the industrials sector may be adversely affected by product liability claims, liability for environmental damage and changes in exchange rates. The industrials sector may also be adversely affected by changes or trends in commodity prices, which may be influenced or characterised by unpredictable factors. Manufacturing companies need to keep up with technological advancements or may face the risk of their products becoming uncompetitive or obsolete. Aerospace and defence companies, a component of the industrials sector, rely to a significant extent on demand from governments for their products and services and their financial performance can be significantly affected by government spending policies, especially with governments coming under increasing pressure to control and reduce budget deficits. Transportation companies, another component of the industrials sector, are cyclical and can also be significantly affected by government spending policies. Companies or issuers with high carbon intensity or high switching costs associated with the transition to low carbon alternatives, may be more impacted by climate transition risks. There may also be increased impacts on the value of the investments of a Fund as a result of geographical concentration in locations where the value of the investments of a Fund may be more susceptible to adverse physical climate events, as well as social and governance factors.

As a result of the above risks, a Fund's investments can be adversely affected and the value of your investments may go up or down.

Financial Sector Investment Risks

Companies in the financial sector are subject to increasing governmental regulation, government intervention and taxes, which may adversely affect the scope of their activities, the amount of capital they must maintain and their profitability. The financial services sector may also be adversely affected by increases in interest rates and irrecoverable debt, decreases in the availability of funding or asset valuations and adverse conditions in other related markets. The deterioration of the credit markets has caused an adverse impact in the credit and interbank money markets generally, thereby affecting a wide range of financial services institutions and markets. Certain financial services companies have had to accept or borrow significant amounts of money from their governments and thereby face additional government imposed restrictions on their businesses which could have an impact on their performance and value. Insurance companies in particular, may be subject to intense price competition, which may have an adverse impact on their profitability. Companies that invest in real estate may be affected by adverse changes to the conditions of the real estate markets, movements in interest rates, investor confidence, changes in supply and demand for property, costs, availability of mortgage loans, taxes and the impact of environmental and planning laws. The risks faced by companies within the financial sector may have a higher impact on companies that employ substantial financial leverage within their businesses. In recent years, cyber-attacks and technology malfunctions and failures have become increasingly frequent in this sector and have caused significant losses.

Materials Sector Investment Risks

Investment in companies in the materials sector could be adversely affected by (without limitation) the following factors: commodity price volatility, exchange rates, import controls, increased competition, depletion of resources, consumer demand for greener products, technical progress, labour relations, interest rates, government regulations and taxes. Also, companies in the materials sector are at risk of environmental damage and product liability claims. Production of materials may exceed demand as a result of market imbalances or economic downturns, leading to poor investment returns.

Utilities Sector Investment Risks

The performance of utility companies may be affected by (without limitation) the following factors: supply and demand factors, escalating demand for natural resources, increases in fuel costs, competition within the industry, government regulation on privatisation, pricing and supply, reduction of carbon emissions and other intervention, costs of complying with regulations, rising costs of financing capital construction, taxes, public scrutiny, natural disasters and other environmental conditions, the ability to recover payments due from customers and management of bad debt (especially in uncertain economic conditions). The utilities sector is subject to significant governmental regulations and review. Companies or issuers with high carbon intensity or high switching costs associated with the transition to low carbon alternatives, may be more impacted by climate transition risks. There may also be increased impacts on the value of the investments in these Funds as a result of geographical concentration in locations where the value of the investments in the Funds may be more susceptible to adverse physical climate events, as well as social and governance factors.

Investments in Property Securities

Property securities are subject to some of the same risks associated with the direct ownership of property including, but not limited to: adverse changes of the conditions of the real estate markets, obsolescence of properties, changes in availability, costs and terms of mortgage funds, default on mortgage repayments and the impact of environmental laws. However, investing in property securities is not equivalent to investing directly in property and the performance of property securities may be more heavily dependant on the general performance of stock markets than the general performance of the property sector.

Historically there had been an inverse relationship between interest rates and property values. Rising interest rates can decrease the value of the properties in which a property company invests and can also increase related borrowing costs. Either of these events can decrease the value of an investment in property companies.

The current taxation regimes for property-invested entities are potentially complex and may change in the future. This may impact either directly or indirectly the returns to investors in a property fund and the taxation treatment thereof. Accordingly, investors should seek independent advice about the specific tax risks of investing in a Fund which holds property securities in its Investments.

Risk of Investing in Blockchain Companies

Blockchain technology is new and many of its uses may be untested. There is no assurance that widespread adoption of blockchain technology will occur, and the development and acceptance of competing platforms or technologies may cause consumers or investors to use an alternative to blockchain technology. Blockchain companies may be subject to more volatility and less trading volume than securities of companies in more established industries. The volatility associated with the pricing of blockchain companies and securities may also be correlated to the pricing of securities issued by technology companies involved in blockchain technology. Companies that are developing applications of blockchain technology may not in fact do so or may not be able to capitalize on those blockchain technologies. A proliferation of recent companies attempting to apply blockchain technology in different contexts means the possibility of conflicting intellectual property claims.

The adoption of blockchain technology may be impaired by laws or regulations. For example, China has recently moved to restrict the mining of cryptocurrencies. Further, blockchain technology may be subject to future laws or regulations that may be difficult to predict. In addition, because blockchain functionality relies on the internet, a significant disruption of internet connectivity affecting large numbers of users or geographic areas could impede the functionality of blockchain technologies. Certain features of blockchain technology may increase the risk of fraud or cyberattack. Blockchain companies involved in cryptocurrencies may be adversely affected by fluctuations in, and manipulation of, the price of cryptocurrencies and a lack of liquid markets or acceptance for certain cryptocurrencies or government policies.

Technology Sector Investment Risks

Technology companies typically face intense competition which may have an adverse effect on profit margins. The products of technology companies may become less competitive or obsolete due to technological developments and frequent new product innovation in the industry, unpredictable changes in growth rates and competition for qualified and skilled personnel. Companies in this sector tend to be heavily dependent on patent and intellectual property rights and their profitability may be adversely affected by loss or impairment of these rights. Certain technology companies may be reliant on limited product lines, markets, financial resources and/or certain key personnel. Other risk factors may include (but are not limited to) substantial capital requirements, government regulations and taxes. Certain parts of the technology sector may also be adversely affected by competitive demand for commodities and changes in commodity prices which may be unpredictable. Price movements of company stocks within the technology sector may be more volatile than other sectors.

As a result of the above risks, a Fund's investments can be adversely affected and the value of your investments may go up or down.

Risks specific to Funds that directly invest into listed shares on the Saudi Stock Exchange

Saudi QFI Regime General Risks

The QFI Rules were introduced in 2015. Accordingly, the application and interpretation of such investment regulations are therefore untested and in certain material respects, there remains a lack of clarity and certainty as to how they will be applied by the regulator and/or interpreted by QFIs. It is not possible to predict the future development of the QFI regime. Any change in the QFI regime generally, including the possibility of the Investment

Manager losing its QFI status, may affect the relevant Fund's ability to invest in shares listed on the Saudi Stock Exchange through the Investment Manager.

QFI Regime Foreign Ownership Limits

The relevant Fund's investment in Saudi shares is dependent on the Investment Manager being able to buy and sell shares listed on the Saudi Stock Exchange. The ability of the Investment Manager to trade in Saudi listed shares is dependent on none of the prescribed foreign ownership limits being exceeded. The QFI Rules and Saudi Capital Markets Law prescribe certain foreign investment ownership limits on QFIs (e.g. a Fund) and their affiliates, which take the form of various maximum ownership thresholds. For example, one of the key threshold limits is an aggregate total cap (at 49%) on foreign ownership of Saudi listed shares, which applies not just to QFIs, but all other categories of foreign investors as well (e.g. foreigners resident in Saudi Arabia; investors holding interests in Saudi listed shares via swap contracts or participation notes; and non-resident foreign shareholders who owned stakes in companies prior to their listings). The Saudi Stock Exchange provides ongoing information relating to these thresholds on their website (<http://www.tadawul.com.sa>) in order to assist QFIs and other market participants in complying with such limits. The Investment Manager has the flexibility to invest in Saudi listed shares on behalf of more than one QFI. Therefore, it may invest in shares on behalf of multiple funds under its management which are QFIs from time to time, all of which would count towards the foreign ownership thresholds.

In the event that a relevant foreign ownership limit is reached or exceeded, it could result in the relevant Fund not being able to acquire additional Kingdom of Saudi Arabia listed shares. Moreover, as approved QFIs are not permitted under the current QFI Rules to also be the ultimate beneficial owners of Saudi-listed securities underlying FDI (e.g. swaps or participation notes) traded through the Saudi swap framework, it will not be possible, in such circumstances, for the relevant Fund as a QFI to take indirect/synthetic exposure (e.g. via swaps or participation notes) to Saudi listed shares in addition to its physical/direct holdings. This may ultimately result in (i) the relevant Fund not being able to accept any further subscriptions for Shares and its Shares trading at a significant premium or discount to their net asset value on a stock exchange on which they are admitted to trading; and (ii) a negative or positive performance impact to the relevant Fund and, by extension, its Shareholders, as compared to the Benchmark Index.

The ability of the Investment Manager to trade in Saudi listed shares is also dependent on the ability of the Investment Manager and relevant Fund to maintain its QFI status. Certain approved QFIs may apply, via a third party assessing authorised person (mandated as such by the CMA pursuant to the QFI Rules), to the CMA for approval as a QFI. Only once an investment fund is approved by the CMA as a QFI under the QFI Rules can it, via its investment manager, invest in Saudi listed shares on the Saudi Stock Exchange. To the extent that the Investment Manager and/or the relevant Fund loses its QFI status or laws and regulations change such that the QFI regime is no longer available to the Investment Manager and/or the relevant Fund, it will be more difficult for the relevant Fund to achieve its investment objective. In such an event, the relevant Fund may use techniques to invest in securities or other instruments that are not constituents of the Benchmark Index, but which provide a similar exposure to the return of the Benchmark Index. These instruments may include offshore futures, other exchange-traded funds that would provide a similar exposure or unfunded swap agreements, which are agreements whereby a counterparty agrees to provide the relevant Fund with the returns of a specific exposure, i.e. the Benchmark Index, in return for a fee. Accordingly, there is a greater risk of tracking error, which may result in a negative or positive performance impact to the relevant Fund and its Shareholders.

The CMA may introduce further limitations or restrictions on the foreign ownership of securities in the Kingdom of Saudi Arabia, which may have adverse effects on the liquidity and the performance of the relevant Fund. Such limitations and restrictions may restrict the relevant Fund's ability to acquire the shares of one or more constituents of its Benchmark Index in accordance with the relevant weightings of the Benchmark Index and therefore may impact on the relevant Fund's ability to closely track the performance of the Benchmark Index.

Investment in Saudi Arabia

The Kingdom of Saudi Arabia is currently an emerging market economy. Accordingly, it differs from the economies of most developed countries and investing in the Kingdom of Saudi Arabia may be subject to greater risk of loss than investments in developed markets due to, among other factors, political and economic instability and greater limitations on foreign investment than those found in a developed market. Also, the Kingdom of Saudi Arabia legal system is based on Shari'ah law and, accordingly, issuers of the securities in which the relevant Fund invests may be held to different disclosure, corporate governance, accounting and reporting standards than those in developed markets with different legal systems. For example, listed companies are required to adhere to the Saudi Corporate Governance Regulations 2018 ("CGR") on a mandatory basis with several "for guiding" provisions, but compliance with the CGR among issuers may not be universal. Any political changes, social instability and adverse diplomatic developments which may take place in or in relation to the Kingdom of Saudi Arabia could result in economic sanctions (e.g. trade embargoes against a particular issuer or the Kingdom of Saudi Arabia generally), the imposition of additional governmental restrictions, expropriation of assets, confiscatory taxes (e.g. increased excise duties for products that have an increased perceived risk of socio-economic harm to the Kingdom of Saudi Arabia) or nationalisation of some or all of the constituents of the Benchmark Index. Investors should also note that any change in the policies of the government and relevant authorities of the Kingdom of Saudi Arabia may adversely impact the securities markets in the Kingdom of Saudi Arabia as well as the performance of the relevant Fund, compared to the Benchmark Index.

Legal System of the Kingdom of Saudi Arabia

The Kingdom of Saudi Arabia legal system is based on Shari'ah law. Prior court decisions may be cited for reference but do not have precedent value. Because of the lack of volume of published cases and judicial interpretation and the fact that, in any event, the outcome of previously determined cases would not be binding in nature, the interpretation and enforcement of applicable Saudi laws and regulations involves significant uncertainties. In

addition, as the Kingdom of Saudi Arabia legal system, and the QFI regime in particular, develops, no assurance can be given that changes in such laws and regulations, their interpretation or their enforcement will not have a material adverse effect on the relevant Fund's operations or the ability of the relevant Fund to acquire Saudi listed shares.

Potential Market Volatility Risk

Investors should note that the Saudi Stock Exchange is admitting foreign investors, pursuant to the regime established by the QFI Rules, for the first time. Market volatility may result in significant fluctuation in the prices of securities traded on the Saudi Stock Exchange, which would therefore impact upon the Net Asset Value of the relevant Fund.

Settlement and Associated Risks

Each Authorised Participant submitting an application to subscribe for shares in the relevant Fund is required to comply with the Kingdom of Saudi Arabia T+2 Cash Settlement Requirement to cover the purchase by the relevant Fund of underlying Kingdom of Saudi Arabia securities in connection with the subscription order, for the Authorised Participant's subscription application to be valid. Accordingly, each Authorised Participant requesting a subscription of shares in the relevant Fund is required to deliver a subscription amount (the "T+2 Cash Settlement Requirement Cash Amount") to cover the purchase by the Fund of underlying Kingdom of Saudi Arabia securities in connection with its subscription request, for the Authorised Participant's subscription request to be a valid application. The T+2 Cash Settlement Requirement Cash Amount is transferred into the local Kingdom of Saudi Arabia sub-custody account with the Kingdom of Saudi Arabia Sub-custodian which is set up by the Kingdom of Saudi Arabia Sub-custodian for the use and benefit of the relevant Fund. Therefore, two business days after such time as the Shares in the relevant Fund that are being subscribed for are in the possession of the Authorised Participant, there is a risk that the Kingdom of Saudi Arabia Sub-custodian may suffer an economic or operating event causing a loss of the T+2 Cash Settlement Requirement Cash Amount which would have a negative impact on the value of the relevant Fund or delay in delivery of the securities that the T+2 Cash Settlement Requirement Cash Amount was intended for which may temporarily affect tracking error. Therefore, any trades executed erroneously by the broker must be corrected through additional trading. This may temporarily affect tracking error and incur additional costs on the relevant Fund which may not be immediately recoverable from the broker.

Where any T+2 Cash Settlement Requirement Cash Amount paid by an Authorised Participant is subsequently determined to have been in excess of the final subscription price (including final Duties and Charges) for the relevant Shares on the Dealing Day by reference to which the subscription was effected, the excess cash amount will be held in custody on a temporary basis and will be reimbursed to the relevant Authorised Participant as soon as practicable, net of any foreign exchange transaction cost associated with converting (if applicable) such amount from SAR to USD (and to any other relevant currency) and repatriating such cash so that it can be paid to the Authorised Participant. The relevant Authorised Participant shall remain an unsecured creditor of the relevant Fund in respect of the amount to be reimbursed ("Reimbursement Amount") until such time as the amount is paid to it. The Reimbursement Amount will remain subject to the risk factors described in this Prospectus for the duration of the period during which it remains in the Kingdom of Saudi Arabia.

In the event that the T+2 Cash Settlement Requirement Cash Amount is insufficient to purchase all the underlying securities in connection with the subscription, the relevant Fund may not be able to acquire all the requisite underlying securities during the initial purchase and will need to carry out one or more further purchases on subsequent day(s) or rely on borrowing cash from the relevant custodian. Similarly, if restrictions under Kingdom of Saudi Arabia laws, regulations and/or stock exchange rules, or the suspension of trading of particular Kingdom of Saudi Arabia securities, or a delay in the remittance of SAR to the Kingdom of Saudi Arabia restrict the relevant Fund from acquiring all the requisite underlying securities during the initial purchase (see sections above titled "QFI Regime Foreign Ownership Limits" for circumstances in which such restrictions may be triggered), the relevant Fund will also need to carry out one or more further purchases on subsequent day(s). The market risk arising from the timing of the placement of further underlying trades and any delay in trading will be borne by the Authorised Participant. In the event of any funding shortfall, the Authorised Participant would be required to deliver, in accordance with the relevant Fund's stated timeline and procedure (available from the Administrator and / or on the Electronic Order Entry Facility, as defined in the section entitled "Procedure for dealing on the primary market"), additional sums to make up any funding shortfall to enable further purchases to be made until all the requisite underlying Kingdom of Saudi Arabia securities have been acquired for the relevant Fund. In order to reduce the risk of an Authorised Participant having to pay a funding shortfall and to protect the relevant Fund and its Shareholders, a buffer to cover expected market and foreign exchange volatility will be added to estimated Duties and Charges in the T+2 Cash Settlement Requirement Cash Amount and any additional sums payable by the Authorised Participant to cover a funding shortfall. In circumstances where additional sums are payable by an Authorised Participant to cover a funding shortfall after the Authorised Participant has received Shares subscribed in the relevant Fund, the relevant Fund will have a credit exposure as an unsecured creditor in respect of such additional sums.

The foreign exchange transaction costs associated with conversions made in relation to subscriptions and redemptions and the risk of a potential difference between the USD and SAR (and any other relevant currency in which subscriptions and redemptions are accepted from time to time) will be borne by the relevant Authorised Participant and included in the final Duties and Charges which are applied to the relevant subscription or redemption amounts paid or received (respectively) by such Authorised Participant. Authorised Participants should note that no interest will accrue on the relevant Reimbursement Amount and interest shall therefore not be payable by the relevant Fund to the relevant Authorised Participant in respect of any such amount.

Index Tracking Risk – QFI Regime

The relevant Fund's return may deviate from the return of the Benchmark Index for various reasons, for example, the revocation of the Investment Manager's QFI status, the inability of the Investment Manager to trade in one or more Saudi listed issuer due to a foreign ownership threshold having been reached or exceeded, the allocation of investment in Saudi listed shares by the Investment Manager to other funds under its management, the investment limitations imposed by Kingdom of Saudi Arabia laws and regulations, temporary or permanent suspension of particular securities imposed from time to time by the stock exchange in the Kingdom of Saudi Arabia, the liquidity of the underlying market, taxation implications, regulatory changes in the Kingdom of Saudi Arabia that may affect the Investment Manager's ability to reflect the return of the Benchmark Index and any foreign exchange costs.

Electronic Trading Platform Risk – Tadawul

Kingdom of Saudi Arabia brokers submit trade orders through an electronic system which is linked and received by Tadawul's system. The use of electronic systems by the broker or Tadawul is subject to software, hardware, or communication failure which may cause halts or delays in acquiring the intended securities for the relevant Fund.

Trading Prohibition

If there is an unexecuted purchase or sell trade in respect of any Kingdom of Saudi Arabia security then an opposing trade via the same custodial account for the same Kingdom of Saudi Arabia security will be rejected in the market (the "Kingdom of Saudi Arabia Trading Prohibition"). Therefore, any trading activity that triggers the Kingdom of Saudi Arabia Trading Prohibition may cause a delay in trading. This may impact the relevant Fund's ability to rebalance and cause an increase of its tracking error.

Commodity Risk

The relevant Fund may invest in Saudi Arabian issuers that are susceptible to fluctuations in certain commodity markets. Any negative changes in commodity markets that may be due to changes in supply and demand for commodities, market events, regulatory developments or other factors that the Fund cannot control could have an adverse impact on those companies.

Nationalisation Risk

Investments in Saudi Arabia may be subject to loss due to expropriation or nationalisation of assets and property or the imposition of restrictions on foreign investments and repatriation of capital.

Risk of Investing in the China Interbank Bond Market

The Funds may invest in the China Interbank Bond Market via the Foreign Access Regime and/or the Bond Connect.

Investment in China Interbank Bond Market via Foreign Access Regime

Pursuant to the "Announcement (2016) No 3" issued by the PBOC on 24 February 2016, foreign institutional investors can invest in the China Interbank Bond Market ("**Foreign Access Regime**") subject to other rules and regulations as promulgated by the PRC authorities.

Under the prevailing regulations in the PRC, foreign institutional investors who wish to invest directly in the China Interbank Bond Market may do so via an onshore settlement agent, who will be responsible for making the relevant filings and account opening with the relevant authorities. There is no quota limitation.

Investment in the China Interbank Bond Market via Northbound Trading Link under Bond Connect

Bond Connect is a new initiative launched in July 2017 for mutual bond market access between Hong Kong and the PRC established by CFETS, China Central Depository & Clearing Co., Ltd, Shanghai Clearing House, and HKEX and Central Moneymarkets Unit.

Under the prevailing regulations in the PRC, eligible foreign investors will be allowed to invest in the bonds circulated in the China Interbank Bond Market through the northbound trading of Bond Connect ("**Northbound Trading Link**"). There will be no investment quota for Northbound Trading Link.

Under the Northbound Trading Link, eligible foreign investors are required to appoint the CFETS or other institutions recognised by the PBOC as registration agents to apply for registration with the PBOC.

The Northbound Trading Link refers to the trading platform that is located outside of the PRC and is connected to CFETS for eligible foreign investors to submit their trade requests for bonds circulated in the China Interbank Bond Market through Bond Connect. HKEX and CFETS will work together with offshore electronic bond trading platforms to provide electronic trading services and platforms to allow direct trading between eligible foreign investors and approved onshore dealer(s) in the PRC through CFETS.

Eligible foreign investors may submit trade requests for bonds circulated in the China Interbank Bond Market through the Northbound Trading Link provided by offshore electronic bond trading platforms (such as Tradeweb and Bloomberg), which will in turn transmit their requests for quotation to CFETS. CFETS will send the requests for quotation to a number of approved onshore dealer(s) (including market makers and others engaged in the market making business) in the PRC. The approved onshore dealer(s) will respond to the requests for quotation via CFETS and CFETS will send their responses to those eligible foreign investors through the same offshore electronic bond trading platforms. Once the eligible foreign investor accepts the quotation, the trade is concluded on CFETS.

On the other hand, the settlement and custody of bond securities traded in the China Interbank Bond Market under Bond Connect will be done through the settlement and custody link between the Central Moneymarkets Unit, as an offshore custody agent, and the China Central Depository & Clearing Co., Ltd and Shanghai Clearing House, as onshore custodian and clearing institutions in the PRC. Under the settlement link, China Central Depository & Clearing Co., Ltd or Shanghai Clearing House will effect gross settlement of confirmed trades onshore and the Central Moneymarkets Unit will process bond settlement instructions from Central Moneymarkets Unit members on behalf of eligible foreign investors in accordance with its relevant rules. Since the introduction in August 2018 of delivery versus payment (DVP) settlement in respect of Bond Connect, the movement of cash and securities is carried out simultaneously on a real time basis.

Pursuant to the prevailing regulations in the PRC, the Central Moneymarkets Unit, being the offshore custody agent recognised by the Hong Kong Monetary Authority open omnibus nominee accounts with the onshore custody agent recognised by the PBOC (i.e., the China Central Depository & Clearing Co., Ltd and Shanghai Clearing House). All bonds traded by eligible foreign investors will be registered in the name of Central Moneymarkets Unit, which will hold such bonds as a nominee owner. Therefore, a Fund will be exposed to custody risks with respect to Central Moneymarkets Unit. In addition, as the relevant filings, registration with the People's Bank of China, and account opening have to be carried out by third parties, including Central Moneymarkets Unit, China Central Depository & Clearing Co., Ltd, Shanghai Clearing House, and CFETS, a Fund is subject to the risks of default or errors on the part of such third parties.

The precise nature and rights of a Fund as the beneficial owner of the bonds traded in the China Interbank Bond Market through Central Moneymarkets Unit as nominee is not well-defined under PRC law. There is a lack of a clear definition of, and distinction between, legal ownership and beneficial ownership under PRC law and there have been few cases involving a nominee account structure in the PRC courts. The exact nature and methods of enforcement of the rights and interests of a Fund under PRC law are also uncertain. In the unlikely event that Central Moneymarkets Unit becomes subject to winding up proceedings in Hong Kong there is a risk of dispute on whether the bonds traded in the China Interbank Bond Market are held for the beneficial ownership of the Fund or as part of the general assets of Central Moneymarkets Unit available for general distribution to its creditors.

Volatility and Liquidity Risk

Market volatility and potential lack of liquidity due to low trading volume of certain bonds in the China Interbank Bond Market may result in prices of certain bonds traded on such market fluctuating significantly. A Fund investing in such market is therefore subject to liquidity and volatility risks. The bid-ask spreads of the prices of such securities may be large, and a Fund may therefore incur significant costs and may suffer losses when selling such investments. The bonds traded in the China Interbank Bond Market may be difficult or impossible to sell, which may impact a Fund's ability to acquire or dispose of such securities at their expected prices.

Regulatory Risks

Investing in the China Interbank Bond Market through Bond Connect is also subject to regulatory risks. The relevant rules and regulations are subject to change, which may have potential retrospective effect, and there can be no assurance that Bond Connect will not be discontinued or abolished. Furthermore, the securities regimes and legal systems of China and Hong Kong differ significantly and issues may arise based on these differences. In the event that the relevant authorities suspend account opening or trading on the China Interbank Bond Market, a Fund's ability to invest in the China Interbank Bond Market will be adversely affected and limited. In such event, a Fund's ability to achieve its investment objective will be negatively affected and, after exhausting other trading alternatives, the Fund may suffer substantial losses as a result. Further, if Bond Connect is not operating, a Fund may not be able to acquire or dispose of bonds through Bond Connect in a timely manner, which could adversely affect the Fund's performance.

Chinese companies, such as those in the financial services or technology sectors, and potentially with other sectors in the future, are also subject to the risk that Chinese authorities can intervene in their operations and structure, which may negatively affect the value of a Fund's investments.

System Failure Risks for Bond Connect

Trading through Bond Connect is performed through newly developed trading platforms and operational systems. There is no assurance that such systems will function properly or will continue to be adapted to changes and developments in the market. In the event that the relevant systems fails to function properly, trading through Bond Connect may be disrupted. A Fund's ability to trade through Bond Connect (and hence to pursue its investment strategy) may therefore be adversely affected. In addition, where a Fund invests in the China Interbank Bond Market through Bond Connect, it may be subject to risks of delays inherent in the order placing and/or settlement systems.

Renminbi Currency Risks

Bond Connect trades are settled in Chinese currency, the renminbi ("RMB"), which is currently restricted and not freely convertible. As a result, a Fund will be exposed to currency risk, and it cannot be guaranteed that investors will have timely access to a reliable supply of RMB.

Tax Risk

Under prevailing tax regulations, a 10% withholding tax is imposed on PRC-sourced dividends and interest from non-government bonds paid to the relevant Fund unless the rate is reduced under an applicable tax treaty.

From 1 May 2016, Value Added Tax (VAT) is levied on certain income derived by the relevant Fund, including interest income from non-government bonds and trading gains, unless specifically exempted by the PRC tax authorities. VAT exemptions currently apply to debt securities traded in the China Interbank Bond Market.

On 22 November 2018, the PRC's Ministry of Finance and State Administration of Taxation jointly issued Circular 108 providing foreign institutional investors with a temporary exemption from withholding income tax and VAT with respect to interest income derived from non-government bonds in the domestic bond market for the period from 7 November 2018 to 6 November 2021. Circular 108 is silent on the PRC tax treatment with respect to non-government bond interest derived prior to 7 November 2018.

There is a risk the PRC tax authorities may withdraw the temporary tax exemptions in the future and seek to collect withholding income tax and VAT on interest income from non-government bonds to the relevant Fund without prior notice. If the tax exemptions are withdrawn, any taxes arising from or to the relevant Fund may be directly borne by or indirectly passed on to the Fund and may result in a substantial impact to its Net Asset Value. As with any Net Asset Value adjustment, investors may be advantaged or disadvantaged depending on when the investors purchased or sold Shares of the Fund.

Any changes in PRC tax law, future clarifications thereof, and/or subsequent retroactive enforcement by the PRC tax authorities may result in a loss which could be material to the relevant Fund. The Investment Manager will keep the provisioning policy for tax liability under review and may, in its discretion from time to time, make a provision for potential tax liabilities if in its opinion such provision is warranted or as further publicly clarified by the PRC.

Risks related to Investment in the PRC via the Stock Connect

In addition to the risk factors under the heading "**Investment in the PRC**" and other applicable risk factors, the following risk factors apply to the Stock Connect Funds:

Stock Connect

Funds investing in the PRC may invest in China A Shares trading on the SSE and SZSE via Stock Connect ("Northbound Trading"). The Shanghai-Hong Kong Stock Connect is a securities trading and clearing links program developed by HKEX, SSE and ChinaClear and the Shenzhen-Hong Kong Stock Connect is a securities trading and clearing links program developed by HKEX, SZSE and ChinaClear. The aim of Stock Connect is to achieve mutual stock market access between the PRC and Hong Kong.

HKSCC, a wholly-owned subsidiary of HKEX, and ChinaClear will be responsible for the clearing, settlement and the provision of depository, nominee and other related services of the trades executed by their respective market participants and investors. The China A Shares traded through Stock Connect are issued in scripless form, and investors will not hold any physical China A Shares.

Although HKSCC does not claim proprietary interests in the SSE and SZSE securities held in its omnibus stock accounts in ChinaClear, ChinaClear as the share registrar for SSE and SZSE listed companies will still treat HKSCC as one of the shareholders when it handles corporate actions in respect of such SSE and SZSE securities.

Under the Stock Connect, Hong Kong and overseas investors will be subject to the fees and levies imposed by SSE, SZSE, ChinaClear, HKSCC or the relevant Mainland Chinese authority when they trade and settle SSE securities and SZSE securities. Further information about the trading fees and levies is available online at the website: http://www.hkex.com.hk/eng/market/sec_tradinfra/chinaconnect/chinaconnect.htm.

Investing in China A Shares via Stock Connect bypasses the requirement to obtain RQFII status which is required for direct access to the SSE and SZSE.

Quota Limitations

Investing in the PRC via Stock Connect is subject to quota limitations which apply to the Investment Manager. In particular, once the remaining balance of the relevant quota drops to zero or the daily quota is exceeded, buy orders will be rejected (although investors will be permitted to sell their cross-boundary securities regardless of the quota balance). Therefore, quota limitations may restrict the relevant Stock Connect Fund's ability to invest in China A Shares through the Stock Connect on a timely basis, and therefore may impact on the ability of the relevant Stock Connect Fund to track closely the performance of its Benchmark Index.

Legal / Beneficial Ownership

The China A Shares invested in via the Stock Connect will be held by the Depositary/sub-custodian in accounts in the CCASS maintained by the HKSCC as central securities depository in Hong Kong. HKSCC in turn holds the China A Shares, as the nominee holder, through an omnibus securities account in its name registered with ChinaClear for each of the Stock Connect Funds. The precise nature and rights of the Stock Connect Funds as the beneficial owners of the China A Shares through HKSCC as nominee is not well defined under PRC law. There is lack of a clear definition of, and distinction between, "legal ownership" and "beneficial ownership" under PRC law and there have been few cases involving a nominee account structure in the PRC courts. Therefore the exact nature and methods of enforcement of the rights and interests of the Stock Connect Funds under PRC law is uncertain. Because of this uncertainty, in the unlikely event that HKSCC becomes subject to winding up proceedings in Hong Kong it is not clear if the China A Shares will be regarded as held for the beneficial ownership of the Stock Connect Funds or as part of the general assets of HKSCC available for general distribution to its creditors.

For completeness, the CSRC has provided information titled "*FAQ on Beneficial Ownership under SH-HK Stock Connect*" dated 15 May 2015 in relation to beneficial ownership (the "FAQ"). The relevant sections from the FAQ have been extracted and reproduced below:

Do overseas investors enjoy proprietary rights in the SSE Securities acquired through the Northbound Trading Link as shareholders? Are the concepts of "nominee holder" and "beneficial owner" recognized under Mainland China law?

Article 18 of the Administrative Measures for Registration and Settlement of Securities (the "Settlement Measures") states that "securities shall be recorded in the accounts of the securities holders, unless laws, administrative regulations or CSRC rules prescribe that the securities shall be recorded in accounts opened in the name of nominee holders". Hence, the Settlement Measures expressly provides for the concept of nominee shareholding. Article 13 of the Certain Provisions on Shanghai-Hong Kong Stock Connect Pilot Program (the "CSRC Stock Connect Rules") states that shares acquired by investors through the Northbound Trading Link shall be registered in the name of HKSCC and that "investors are legally entitled to the rights and benefits of shares acquired through the Northbound Trading Link". Accordingly, the CSRC Stock Connect Rules have expressly stipulated that, in Northbound trading, overseas investors shall hold SSE Securities through HKSCC and are entitled to proprietary interests in such securities as shareholders.

How do overseas investors bring legal action in the Mainland China to realise their rights over the SSE Securities acquired through the Northbound Trading Link?

Mainland China law does not expressly provide for a beneficial owner under the nominee holding structure to bring legal proceedings, nor does it prohibit a beneficial owner from doing so. As we understand, HKSCC, as the nominee holder of the SSE Securities in Northbound Trading Link, may exercise shareholder rights and take legal actions on behalf of overseas investors. In addition, Article 119 of the Civil Procedure Law of the People's Republic of China states that "the claimant in a legal action shall be an individual, legal person or any other organization that has a direct interest in the relevant case". As long as an overseas investor can provide evidential proof of direct interest as a beneficial owner, the investor may take legal actions in its own name in Mainland China courts.

Clearing and Settlement Risk

HKSCC and ChinaClear have established the clearing links and each has become a participant of each other to facilitate clearing and settlement of cross-boundary trades. For cross-boundary trades initiated in a market, the clearing house of that market will on one hand clear and settle with its own clearing participants, and on the other hand undertake to fulfil the clearing and settlement obligations of its clearing participants with the counterparty clearing house.

As the national central counterparty of the PRC's securities market, ChinaClear operates a comprehensive network of clearing, settlement and stock holding infrastructure. ChinaClear has established a risk management framework and measures that are approved and supervised by the CSRC. The chances of ChinaClear default are considered to be remote. In the remote event of a ChinaClear default, HKSCC's liabilities in respect of China A-Shares under its market contracts with clearing participants will be limited to assisting clearing participants in pursuing their claims against ChinaClear. HKSCC should in good faith, seek recovery of the outstanding stocks and monies from ChinaClear through available legal channels or through ChinaClear's liquidation. In that event, the relevant Stock Connect Fund may suffer delay in the recovery process or may not fully recover its losses from ChinaClear.

Suspension Risk

It is contemplated that the SEHK, SSE and SZSE reserves the right to suspend trading if necessary for ensuring an orderly and fair market and that risks are managed prudently. Consent from the relevant regulator will be sought before a suspension is triggered. Where a suspension is effected, the relevant Stock Connect Fund's ability to access the PRC market will be adversely affected.

Differences in Trading Day

The Stock Connect only operates on days when both the PRC and Hong Kong markets are open for trading and when banks in both markets are open on the corresponding settlement days. Therefore, it is possible that there are occasions when it is a normal trading day for the PRC market but the Stock Connect Funds cannot carry out any China A Shares trading via the Stock Connect. The Stock Connect Funds may be subject to a risk of price fluctuations in China A Shares during the time when any of the Stock Connect is not trading as a result.

Restrictions on Selling Imposed by Front-end Monitoring

PRC regulations require that before an investor sells any share, there should be sufficient shares in the account; otherwise the SSE or SZSE will reject the sell order concerned. SEHK will carry out pre-trade checking on China A Share sell orders of its participants (i.e. the stock brokers) to ensure there is no over-selling.

If a Stock Connect Fund intends to sell certain China A Shares it holds, it must transfer those China A Shares to the respective accounts of its broker(s) before the market opens on the day of selling ("trading day"). If it fails to meet this deadline, it will not be able to sell those shares on the trading day. A Stock Connect Fund may request its custodian to open a Special Segregated Account ("SPSA") in CCASS to maintain its holdings in SSE and SZSE securities, in which case it will only need to transfer SSE or SZSE securities from its SPSA to its designated broker's account after execution and not before placing the sell order.

To the extent a Stock Connect Fund is unable to utilize the SPSA model, it would have to deliver SSE or SZSE securities to its brokers before the market opens on the trading day. Accordingly, if there are insufficient China A Shares in the Stock Connect Fund's account before the market opens on the trading day, the sell order will be rejected, which may adversely impact the Stock Connect Fund's performance.

Operational Risk

The Stock Connect is premised on the functioning of the operational systems of the relevant market participants. Market participants are permitted to participate in this program subject to meeting certain information technology capability, risk management and other requirements as may be specified by the relevant exchange and/or clearing house.

The securities regimes and legal systems of the two markets differ significantly and market participants may need to address issues arising from the differences on an on-going basis. There is no assurance that the systems of the SEHK and market participants will function properly or will continue to be adapted to changes and developments in both markets. In the event that the relevant systems fail to function properly, trading in both markets through the program could be disrupted. The relevant Stock Connect Fund's ability to access the China A Share market (and hence to pursue its investment strategy) may be adversely affected.

Regulatory Risk

The current regulations that govern Stock Connect are subject to change and there can be no assurance that the Stock Connect will not be discontinued. New regulations may be issued from time to time by the regulators / stock exchanges in the PRC and Hong Kong in connection with operations, legal enforcement and cross-border trades under the Stock Connect. Stock Connect Funds may be adversely affected as a result of such changes.

Chinese companies, such as those in the financial services or technology sectors, and potentially other sectors in the future, are also subject to the risk that Chinese authorities can intervene in their operations and structure, which may negatively affect the value of a Fund's investments.

Recalling of Eligible Stocks

When a stock is recalled from the scope of eligible stocks for trading via the Stock Connect, the stock can only be sold but is restricted from being bought. This may restrict the ability of the relevant Stock Connect Fund to acquire the shares of one or more constituents of its Benchmark Index and therefore may impact on the ability of the relevant Stock Connect Fund to track closely the performance of its Benchmark Index.

No Protection by Investor Compensation Fund

Investment in China A Shares via the Stock Connect is conducted through brokers, and is subject to the risk of default by such brokers in their obligations. Investments of Stock Connect Funds are not covered by Hong Kong's investor compensation fund, which has been established to pay compensation to investors of any nationality who suffer pecuniary losses as a result of default of a licensed intermediary or authorised financial institution in relation to exchange-traded products in Hong Kong. Since default matters in respect of China A Shares invested in via the Stock Connect do not involve products listed or traded on the SEHK or Hong Kong Futures Exchange Limited, they will not be covered by the investor compensation fund. Therefore the Stock Connect Funds are exposed to the risks of default of the broker(s) it engages in its trading in China A Shares through the Stock Connect.

Taxation Risks

The PRC tax authorities have also made announcements that gains derived from China A Shares' investments via the Stock Connect would be temporarily exempted from PRC taxation effective from 17 November 2014. This temporary exemption applies to China A Shares generally, including shares in PRC 'land-rich' companies. The duration of the period of temporary exemption has not been stated and may be subject to termination by the PRC tax authorities with or without notice and, in the worst case, retrospectively. If the temporary exemption is withdrawn the relevant Stock Connect Funds would be subject to PRC taxation in respect of gains on China A Shares and the resultant tax liability would eventually be borne by investors. However, this liability may be mitigated under the terms of an applicable tax treaty, and if so, such benefits will also be passed to investors.

Settlement Mode under the SPSA model

Under the normal Delivery Versus Payment (DVP) settlement mode, stock and cash settlement will take place on T+0 between clearing participants (i.e. brokers and custodian or a custodian participant) with a maximum window of 4 four hours between stocks and cash movement. This applies to settlement in CNH (offshore Renminbi) only and on the condition that the brokers support same-day Chinese Renminbi cash finality. Under the Real time Delivery Versus Payment (RDVP) settlement mode introduced in November 2017, stock and cash movement will take place real time, however, the use of RDVP is not mandatory. The clearing participants must agree to settle the transaction using RDVP and indicate RDVP on the settlement instruction in a specific field. If either of the clearing participants are unable to settle the trades using RDVP, there is a risk that the trades could fail and therefore may impact on the ability of the relevant Stock Connect Fund to track closely the performance of its Benchmark Index.

Risk related to investment in Funds investing in equity securities

Equity Securities

The value of equity securities fluctuates daily and a Fund investing in equities could incur significant losses. The prices of equities can be influenced by factors affecting the performance of the individual companies issuing the equities, as well as by daily stock market movements, initial public offerings, and broader economic and political developments, including trends in economic growth, inflation and interest rates, corporate earnings reports,

demographic trends and natural disasters. The fundamental risk with any equity portfolio is that it could suddenly and significantly decrease in value.

Risk related to investment in Funds investing in depository receipts

Depository Receipts

ADRs and GDRs are designed to offer exposure to their underlying securities.

In certain situations, the Investment Manager may use ADRs and GDRs to provide exposure to securities that cannot be, or are unsuitable to be, held directly, where direct access to the underlying securities is restricted or limited or where depository receipts provide a more cost or tax efficient exposure. However, in such cases the Investment Manager is unable to guarantee that a similar outcome will be achieved to that if it were possible to hold the securities directly, due to the fact ADRs and GDRs do not always perform in line with the underlying security.

In the event of the suspension or closure of a market(s) on which the underlying securities are traded, there is a risk that the value of the ADR or GDR will not closely reflect the value of the relevant underlying securities. Additionally, there may be some circumstances where the Investment Manager cannot, or it is not appropriate to, invest in an ADR or GDR, or the characteristics of the ADR or GDR do not exactly reflect the underlying security.

In the event that a passively managed Fund invests in ADRs or GDRs in the circumstances set out above, the Fund's tracking of the Benchmark Index may be impacted, i.e. there is a risk that the Fund's return varies from the return of the Benchmark Index.

Risks related to investment in Fixed Income Funds, iShares \$ EM Bond Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF and iShares EM Local Govt Bond Active UCITS ETF

Government Bonds

A Fund may invest in government bonds which pay a fixed rate of interest (also known as the 'coupon') and behave similarly to a loan. These bonds are therefore exposed to changes in interest rates which will affect their value. In addition, periods of low inflation will mean the positive growth of a government bond fund may be limited.

Investments in government bonds may be subject to liquidity constraints and periods of significantly lower liquidity in difficult market conditions. Therefore it may be more difficult to achieve a fair value on purchase and sale transactions which may cause the Manager not to proceed with such transactions. As a result, changes in the value of the Fund's investments may be unpredictable.

Sovereign, Quasi-sovereign and Local Authority Debt

Sovereign debt includes securities issued by or guaranteed by a sovereign government. Quasi-sovereign debt includes securities issued by or guaranteed by or sponsored by an entity affiliated with or backed by a sovereign government. In some instances, the constituents of a Benchmark Index may include local authority debt securities issued by or guaranteed by or sponsored by an entity which is either a local authority or affiliated with or backed by a local authority entity. The entity that controls the repayment of sovereign, quasi-sovereign or local authority debt may not be able or willing to repay the principal and/or interest when due in accordance with the terms of such debt. The entity's ability to repay the principal and/or interest due in a timely manner may be affected by, among other factors, its cash flow, the extent of its foreign reserves (where relevant), the availability of sufficient foreign exchange on the date a payment is due, the state of its country's economy, the relative size of the debt service burden to the economy as a whole, restrictions on its ability to raise more cash, the entity's policy towards the International Monetary Fund and the political constraints to which the entity may be subject. Such entities may also be dependent on expected disbursements from foreign governments, multilateral agencies and others abroad to reduce principal and interest arrearage on their debt. The commitment on the part of these governments, agencies and others to make such disbursements may be conditioned on such entities' implementation of economic reforms and/or economic performance and the timely service of such debtors' obligations. Failure to implement such reforms, achieve such levels of economic performance or repay the principal and/or interest when due may result in the cancellation of such third parties' commitments to lend funds to the entities, which may further impair such debtors' ability to service their debt on a timely basis. Consequently, such entities may default on their sovereign, quasi-sovereign or local authority debt. Holders of sovereign, quasi-sovereign or local authority debt, including a Fund, may be requested to participate in the rescheduling of such debt and to extend further loans to such entities. Quasi-sovereign and local authority debt obligations are typically less liquid and less standardised than sovereign debt obligations. There is a possibility that there may not be a bankruptcy proceeding by which this debt may be collected in whole or in part. Banks, Governments and companies (including within the EEA) invest in each other so if one member state performs poorly, the other countries could be impacted. If one country defaults on its debt obligations, other countries could be at risk.

Risks related to investment in Fixed Income Funds, iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and iShares AT1 Bond Active UCITS ETF

Corporate Bonds

A corporate bond Fund may invest in corporate bonds issued by companies within a range of credit worthiness if the relevant Fund's Benchmark Index does not apply any minimum credit rating requirement to its constituents.

Corporate bonds may be upgraded or downgraded from time to time due to a perceived increase or reduction in the credit worthiness of the companies issuing the bonds.

Where the Benchmark Index of a Fund imposes specific credit rating requirements for bonds to be included in the Benchmark Index (e.g. investment grade bonds or non-/sub-investment grade bonds) and bonds that make up the Benchmark Index are downgraded, upgraded or have their credit ratings withdrawn by the relevant credit rating agencies such that they no longer meet the credit rating requirements of the Benchmark Index, the Fund may continue to hold the relevant bonds until such time as these bonds cease to form part of the Fund's Benchmark Index and the Fund's position in such bonds can be liquidated.

Sub-investment grade bonds are generally riskier investments, involving a higher risk of default by the issuer, than investment grade bonds. A default by the issuer of a bond is likely to result in a reduction in the value of that Fund.

Although a Fund may invest in bonds that are traded on the secondary market, the secondary market for corporate bonds can often be illiquid and therefore it may be difficult to achieve fair value on purchase and sale transactions.

Cash interest rates vary over time. The price of bonds will generally be affected by changing interest rates and credit spread which in turn may affect the value of your investment. Bond prices move inversely to interest rates, so generally speaking the market value of a bond will decrease as interest rates increase. The credit rating of an issuing company will generally affect the yield that can be earned on a bond; the better the credit rating the smaller the yield.

Floating Rate Notes Risk

Securities with floating or variable interest rates can be less sensitive to interest rate changes than securities with fixed interest rates, but may decline in value if their coupon rates do not reset as high, or as quickly, as comparable market interest rates. Although floating rate notes are less sensitive to interest rate risk than fixed rate securities, they are subject to credit and default risk, which could impair their value.

Covered Bonds

Covered bonds are corporate bonds that are backed by cash from public sector or mortgage loans. Where a Fund invests in covered bonds, the Investment Manager will seek to invest in high quality bonds or as otherwise required in accordance with the relevant benchmark index. There is, however, no guarantee that such covered bonds will be free from counterparty default and the risks associated with counterparty default apply. Any deterioration in the assets backing a bond may result in a reduction in the value of the bond and, therefore, the relevant Fund. Additionally, a default by the issuer of a bond may result in a reduction in the value of the relevant Fund. The price of bonds will generally be affected by changing interest rates and credit spreads.

BBB-BB rated corporate bonds

BBB rated bonds have a credit rating at the lower end of investment grade and BB rated bonds have a credit rating at the higher end of sub-investment grade. Such bonds, and by extension the Fund which holds such bonds, may be more volatile than higher-rated bonds of similar maturity, although they are generally expected to be less volatile than sub-investment grade high yield bonds which have lower credit ratings.

Such bonds may also be subject to greater levels of credit or default risk than higher-rated bonds. Such bonds are more likely to react to developments affecting market and credit risk than more highly rated securities. The value of such bonds can be adversely affected by overall economic conditions, such as an economic downturn or a period of rising interest rates, and may be less liquid and more difficult to sell at an advantageous time or price or to value than higher-rated bonds. In particular, such bonds are often issued by smaller, less creditworthy companies or by highly leveraged (indebted) firms, which are generally less able than more financially stable firms to make scheduled payments of interest and principal than higher-rated bonds.

Although the market-value weighted average rating of the bonds within the Benchmark Index and, by extension, the Fund will be at least BBB- or higher at each index or fund rebalance, as the Benchmark Index and Fund will comprise BB rated sub-investment grade bonds, investment in the Fund will generally carry a higher risk than investment in another fund that only invests in BBB rated investment grade bonds.

Investors should carefully consider the relative risks of investing in a fund which invests in such bonds and understand that such investments generally are not meant for short-term investing. It is possible that the Fund may find it more difficult to sell such bonds or may be able to sell the bonds only at prices lower than if such bonds were widely traded. Furthermore, the Fund may experience difficulty in valuing certain securities at certain times. Prices realised upon the sale of such lower rated bonds, under these circumstances, may be less than the prices used in calculating the Net Asset Value per Share. In addition, prices for such bonds may be affected by legislative and regulatory developments which could adversely affect the Net Asset Value per Share insofar as they could adversely affect the secondary market for such bonds, the financial condition of issuers of these bonds and the value of such outstanding bonds.

Such bonds are more likely to react to developments affecting market and credit risk than are more highly rated securities, which primarily react to movements in the general level of interest rates. Lower rated fixed income obligations also present risks based on payment expectations. If an issuer calls the obligations for redemption, a Fund which invests in these securities may have to replace the security with another security from a limited pool of eligible securities thereby increasing the concentration risk for the Fund and/or making it more difficult to maintain the market-value weighted average rating of its bonds in line with that of the Benchmark Index. If the replacement security has a higher credit rating and a lower yield, this may result in decreased returns for investors.

If the replacement security has a lower credit rating, this may increase the risk for the Fund but could result in increased returns for investors. If the Fund experiences unexpected net redemptions, it may be forced to sell its higher rated securities, resulting in a decline in the overall credit quality of that Fund's investment portfolio and increasing the exposure of the Fund to the risks of lower rated securities.

Potential downgrade of BBB-BB rated corporate bonds

Given the specific credit rating requirements of the Benchmark Index of iShares € Corp Bond BBB-BB UCITS ETF, both in terms of the credit rating of the individual bonds and the market-value weighted average rating of the Benchmark Index, there is a risk that credit ratings of individual companies may be downgraded and/or upgraded leading to fewer companies being included in the Benchmark Index and an investment concentration by the Fund in a small number of companies. If this occurs, the Fund may be more susceptible to economic, market, political or regulatory factors affecting such companies.

There is also a small risk that individual company downgrades and/or upgrades could result in there being no company, or too few companies, complying with the current minimum credit rating requirement of the Benchmark Index for the Benchmark Index to continue to be viable or compliant with the Regulations. If this occurs:

- (i) The provider of the Benchmark Index may adjust the methodology of the Benchmark Index, including lowering the minimum credit rating requirement or raising the maximum credit rating requirement for the inclusion of corporate bonds in the Benchmark Index. In such event, the Fund will continue to track the Benchmark Index. If the minimum credit rating requirement of the Fund's Benchmark Index is materially changed from the range of BBB+ to BB-, Shareholders will be notified.
- (ii) The Directors may, if they consider it in the best interests of the Fund or the Company, substitute another index for the Fund's Benchmark Index with the consent of the Depositary. Where such a change would result in a material difference between the constituent securities of the current Benchmark Index and the proposed new index, Shareholder approval will be sought in advance. However, in circumstances where immediate action is required and it is not possible to obtain Shareholder approval in advance of a change in the Fund's Benchmark Index, Shareholder approval will be subsequently sought for either the change in the Benchmark Index or, if not so approved, the winding-up of the Fund, as soon as practicable and reasonable.

The Directors may change the name of iShares € Corp Bond BBB-BB UCITS ETF, particularly if its Benchmark Index, or the name of its Benchmark Index, is changed. Any change to the name of the Fund will be approved in advance by the Central Bank and the relevant documentation pertaining to the Fund will be updated to reflect the new name.

High Yield Bonds

Funds that invest in bonds that are rated sub-investment grade, or bonds which are unrated but judged to be of comparable quality with sub-investment grade bonds, at the time of purchase, may be more volatile than funds investing in higher-rated bonds of similar maturity.

High yield bonds may also be subject to greater levels of credit or default risk than high-rated bonds. Such bonds are more likely to react to developments affecting market and credit risk than more highly rated securities. The value of high yield bonds can be adversely affected by overall economic conditions, such as an economic downturn or a period of rising interest rates, and high yield bonds may be less liquid and more difficult to sell at an advantageous time or price or to value than higher-rated bonds. In particular, high yield bonds are often issued by smaller, less creditworthy companies or by highly leveraged (indebted) firms, which are generally less able than more financially stable firms to make scheduled payments of interest and principal.

Investors should carefully consider the relative risks of investing in high yield securities and understand that such securities generally are not meant for short-term investing. Funds which invest in these securities may find it more difficult to sell high yield securities or may be able to sell the securities only at prices lower than if such securities were widely traded. Furthermore, such Funds may experience difficulty in valuing certain securities at certain times. Prices realised upon the sale of such lower or unrated rated securities, under these circumstances, may be less than the prices used in calculating the Net Asset Value. In addition, prices for high yield securities may be affected by legislative and regulatory developments which could adversely affect the Net Asset Value insofar as they could adversely affect the Secondary Market for high yield securities, the financial condition of issuers of these securities and the value of outstanding high yield securities. For example, federal legislation in the United States requiring the divestiture by federally insured savings and loan associations of their investments in high yield bonds and limiting the deductibility of interest by certain corporate issuers of high yield bonds has adversely affected the market in recent years.

Lower rated or unrated (i.e. high yield) securities are more likely to react to developments affecting market and credit risk than are more highly rated securities, which primarily react to movements in the general level of interest rates. Lower rated or unrated fixed income obligations also present risks based on payment expectations. If an issuer calls the obligations for redemption, a Fund which invests in these securities may have to replace the security with a lower yielding security, resulting in a decreased return for investors. If the Fund experiences unexpected net redemptions, it may be forced to sell its higher rated securities, resulting in a decline in the overall credit quality of that Fund's investment portfolio and increasing the exposure of the Fund to the risks of high yield securities.

Illiquidity of Bonds Close to Maturity

In addition to the liquidity risks of bonds already described above, there is a risk that bonds which are nearing maturity may become illiquid. In such cases, it may become more difficult to achieve fair value on the purchase and sale thereof.

Depository Notes

GDNs are designed to offer exposure to their underlying securities.

In certain situations, the Investment Manager may use GDNs to provide exposure to underlying securities within the Benchmark Index, for example where the underlying securities cannot be, or are unsuitable to be, held directly, where direct access to the underlying securities is restricted or limited or where depository notes provide a more cost or tax efficient exposure. However, in such cases the Investment Manager is unable to guarantee that a similar outcome will be achieved to that if it were possible to hold the securities directly, due to the fact GDNs do not always perform in line with the underlying security.

In the event of the suspension or closure of a market(s) on which the underlying securities are traded, there is a risk that the value of the GDN will not closely reflect the value of the relevant underlying securities. Additionally, there may be some circumstances where the Investment Manager cannot, or it is not appropriate to, invest in a GDN, or the characteristics of the GDN do not exactly reflect the underlying security.

In the event that a Fund invests in GDNs in the circumstances set out above, the Fund's tracking of the Benchmark Index may be impacted, i.e. there is a risk that the Fund's return varies from the return of the Benchmark Index.

Structured Finance and Other Securities

A Fund may be exposed directly or indirectly to Structured Finance Securities and other assets which involve substantial financial risk, including distressed debt and low quality credit securities, asset-backed securities and credit-linked securities. These securities may entail a higher liquidity risk than exposure to sovereign or corporate bonds. The Fund's primary credit risk would be to the issuer of the Structured Finance Security.

Fixed Income Transferable Securities

Debt securities are subject to both actual and perceived measures of creditworthiness. The amount of credit risk may be assessed using the issuer's credit rating which is assigned by one or more independent rating agencies. This does not amount to a guarantee of the issuer's creditworthiness but provides an indicator of the likelihood of default. Securities which have a lower credit rating are generally considered to have a higher credit risk and a greater possibility of default than more highly rated securities. Companies often issue securities which are ranked in order of seniority which in the event of default would be reflected in the priority in which investors might be paid back. The "downgrading" of an investment grade rated debt security or adverse publicity and investor perception, which may not be based on fundamental analysis, could decrease the value and liquidity of the security, particularly in a thinly traded market.

A Fund may be affected by changes in prevailing interest rates and by credit quality considerations. Changes in market rates of interest will generally affect the Fund's asset values as the prices of fixed rate securities generally increase when interest rates decline and decrease when interest rates rise. Prices of shorter-term securities generally fluctuate less in response to interest rate changes than do longer-term securities. An economic recession may adversely affect an issuer's financial condition and the market value of high yield debt securities issued by such entity. The issuer's ability to service its debt obligations may be adversely affected by specific issuer developments, or the issuer's inability to meet specific projected business forecasts, or the unavailability of additional financing. In the event of bankruptcy of an issuer, a Fund may experience losses and incur costs.

Duration Risk

Duration is a measure of the sensitivity of the price (the value of principal) of a bond to a change in interest rates and is expressed in number of years. Where a Fund invests in bonds, it is subject to the risk that the value of its investments will change due to a change in the level of interest rates. Rising interest rates typically result in falling bond prices, whereas declining interest rates generally lead to rising bond prices.

Bonds with longer maturities generally have higher durations. The higher the duration, the greater the bond's sensitivity to interest rate fluctuations.

Inflation-Linked Bonds Income Risk

Income of a Fund investing in inflation-linked bonds may decline due to a decline in inflation or deflation. If there is deflation, the principal value of an inflation-linked security will be adjusted downward, and consequently the interest payments (calculated with respect to a smaller principal amount) will be reduced. If inflation is lower than expected during the period the Fund holds an inflation-linked security, the Fund may earn less on the security than on a conventional bond.

Bank Corporate Bonds

Corporate bonds issued by a financial institution may be subject to the risk of a write down or conversion (i.e. "bail-in") by a relevant authority in circumstances where the financial institution is unable to meet its financial obligations. This may result in bonds issued by such financial institution being written down (to zero), converted into equity or alternative instrument of ownership, or the terms of the bond may be varied. 'Bail-in' risk refers to the risk of relevant authorities exercising powers to rescue troubled banks by writing down or converting rights of their bondholders in order to absorb losses of, or recapitalise, such banks. Investors should be alerted to the fact that relevant authorities are more likely to use a "bail-in" tool to rescue troubled banks, instead of relying on public financial support as they have in the past. Relevant authorities now consider that public financial support should only be used as a last resort after having assessed and exploited, to the maximum extent practicable, other

resolution tools, including the “bail-in” tool. A bail-in of a financial institution is likely to result in a reduction in value of some or all of its bonds (and possibly other securities) and a Fund holding such securities when a bail-in occurs will also be similarly impacted.

Risks specific to iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF and iShares € High Yield Corp Bond Enhanced Active UCITS ETF (referred to in this section as the “Fund”)

Distressed Assets

The Fund may invest in Distressed Securities, which are securities of issuers that are in significant financial difficulty or in default. These securities carry heightened credit risk over typical high yield securities, as issuers may be unable to meet their payment obligations, and there can be no assurance of recovery of principal or interest. Distressed issuers frequently undergo financial restructurings, although there is no guarantee these are successfully executed. Restructurings may involve amendments to the terms of their obligations, extensions of maturities, reductions in principal or interest, or a conversion of debt into equity or other instruments. A significant period of time may pass between the time at which the investment in Distressed Securities is made and the time that a restructuring is completed. In addition, Distressed Securities are often subject to a higher liquidity risk, particularly in a thinly traded market. This may decrease their value or make them difficult to value. They may also be subject to material price volatility, which may limit the Fund’s ability to dispose of them at an advantageous time or price. Accordingly, investment in such securities may result in substantial or total loss. The Investment Manager may invest in Distressed Securities when it believes they are undervalued (do not represent fair value), or where it anticipates a potential restructuring could enhance the value or income of the investment. Such restructurings can nonetheless result in the Fund receiving securities or instruments with lower value or different risk characteristics than originally anticipated and there may be a requirement to bear certain expenses to protect the investing Fund’s interest during negotiations in the restructuring process.

Risks specific to iShares AT1 Bond Active UCITS ETF (referred to in this section as the “Fund”)

AT1 Bonds Risk

An AT1 bond is a type of hybrid debt security issued by a bank which may be converted into the issuer’s equity or be partly or wholly written off upon the occurrence of certain trigger events. These trigger events may include where: (1) the bank’s capital ratio falling to a pre-determined level, or (2) the bank’s regulator has determined that the bank has reached the point of non-viability (such as when the bank has been declared by the regulator as failing or likely to fail and no other private sector alternative or supervisory action other than the write-down and conversion of capital instruments could be found). In such cases, the Fund may lose some or all of its investment in the security.

Investment in AT1 bonds may entail the following (non-exhaustive) risks:

Trigger Level and Write-Down Risk. Trigger levels for AT1 bonds differ and determine exposure to conversion and write-down risk depending on the distance of the capital ratio to the trigger level. It might be difficult for the Investment Manager to anticipate when the trigger events might occur that would require the debt to convert into equity or be written down. This may be where the issuer’s capital ratio has fallen to a pre-determined level or the issuing bank’s regulatory authority has made its own determination that an institution is non-viable and may therefore require the conversion into equity or write-down of an AT1 bond in circumstances beyond the control of the issuing bank.

In the event that an AT1 bond held by the Fund is written off (a “write-down”) as the result of a trigger event, the Fund may suffer a full, partial or staggered loss of the value of its investment. A write-down may be either temporary or permanent. In such cases the Fund may lose some or all of its investment in the security.

In the case of a principal write-down, AT1 bonds’ investors (such as the Fund) may also suffer a loss of capital before equity holders which is contrary to common capital hierarchy structures.

Equity Conversion Risk. Events that trigger the conversion from debt into equity are designed so that conversion occurs when the issuer of the AT1 bonds is in financial difficulty, as determined either by regulatory assessment or objective losses (e.g. if the capital ratio of the issuer company falls below a pre-determined level). In such cases, it is likely that the conversion to equity would occur at a share price which is lower than when the bond was issued or purchased. Additionally, the securities may be converting at a time when the value of shares in the bank may be significantly declining, which might have an effect on market liquidity in so far as there may be limited demand for these shares.

Call Extension Risk. Most AT1 bonds are issued as perpetual instruments (i.e. bonds without a maturity date). While AT1 bonds will be callable at pre-determined dates, there is no guarantee that an AT1 bond will be called on the pre-defined call date or any date and investors in the AT1 bond may not receive the return of principal on the call date or at any date.

Coupon Cancellation Risk. Coupon payments on AT1 bonds may be entirely discretionary and may be cancelled by the issuer at any point, for any reason, and for any length of time. Coupon payments may also be suspended or cancelled by the issuer’s regulator. In the event that a coupon payment is suspended, the price of the AT1 bond may decline significantly from the price the AT1 bond was purchased by the Fund.

Subordinated Debt Risk. AT1 bonds are usually subordinated to comparable non-convertible securities and thus are subject to higher risks than other debt securities. In the event of liquidation, dissolution or winding-up of an issuer prior to a conversion having occurred, the rights of the holders of the AT1 bonds (such as the Fund) will

likely rank junior to the holders of unsubordinated securities in the issuer. Additionally, where the Fund holds AT1 bonds that convert to equity securities following a conversion event, the Fund's holding will be subordinated due to the conversion of the securities from being a debt instrument to an equity instrument. Any loss incurred by subordinated securities is likely to be proportionately greater than unsubordinated securities.

Concentration Risk. Investment in AT1 bonds may also lead to an increased industry concentration risk and thus counterparty risk as such securities are issued by a limited number of banks.

Risks specific to investing in Currency Hedged Share Classes

Currency Hedged Share Classes

Investors should be aware that currency hedging may adversely affect the returns on their investment due to transaction costs and spreads, market inefficiency, risk premia and other factors which may be material in the case of certain currencies and/or over the long term.

Currency Hedged Share Classes use forward FX contracts and spot FX contracts to reduce or minimise the risk of currency fluctuations between a Fund's underlying portfolio currency exposures or, in the case of iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and the Multi-Asset Funds, between the Base Currency of the Fund and the Fund's Valuation Currency. In circumstances where the Valuation Currency of a Currency Hedged Share Class is generally strengthening against the currency exposures being hedged (i.e. the underlying portfolio currency exposures of a Currency Hedged Share Class) or, in the case of iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and the Multi-Asset Funds, against the Base Currency of the Fund, currency hedging may protect investors in the relevant Currency Hedged Share Class against such currency movements relative to the underlying portfolio currency exposures or the Base Currency, as the case may be. However, where the Valuation Currency of a Currency Hedged Share Class is generally weakening against the currency exposures being hedged or, in the case of iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and the Multi-Asset Funds, against the Base Currency of the Fund, currency hedging may preclude investors from benefiting from such currency movements relative to the underlying portfolio currency exposures or the Base Currency, as the case may be. Investors should only invest in a Currency Hedged Share Class if they are willing to forego potential gains from appreciations in the underlying portfolio currency exposures of a Currency Hedged Share Class against the Currency Hedged Share Class' Valuation Currency or, in the case of iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Cash UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AI Innovation Active UCITS ETF, iShares AT1 Bond Active UCITS ETF, iShares EM Local Govt Bond Active UCITS ETF and the Multi-Asset Funds, the Base Currency of the Fund.

While currency hedging is likely to reduce currency risk in the Currency Hedged Share classes, it is unlikely to completely eliminate currency risk.

Currency Hedged Share Classes in non-major currencies may be affected by the fact that capacity of the relevant currency market may be limited, which could reduce the ability of the Currency Hedged Share Class to reduce its currency risk and the volatility of such Currency Hedged Share Class.

Currency Hedged Share Classes use a currency hedging approach whereby the hedge is proportionately adjusted for net subscriptions and redemptions in the relevant Currency Hedged Share Class, however, the hedge will only be reset or adjusted on a monthly basis and as and when a pre-determined tolerance is triggered intra-month. In addition, an adjustment is made to the hedge on underlying portfolio currency exposures to account for the price movements of the underlying securities held for the relevant Currency Hedged Share Class, corporate events affecting such securities, or additions, deletions or any other changes to the underlying portfolio holdings for the Currency Hedged Share Class, however, the hedge will only be reset in circumstances set out above and not whenever there is market movement in the underlying securities. In any event, any over-hedged position arising in a Currency Hedged Share Class will be monitored daily and is not permitted to exceed 105% of the Net Asset Value of that Share Class as prescribed by the Central Bank UCITS Regulations. Under-hedged positions shall not fall short of 95% of the portion of the Net Asset Value of the relevant Currency Hedged Share Class that is to be hedged against currency risk.

The aggregate gain or loss arising from the hedging positions of a Currency Hedged Share Class will be reduced by an adjustment to some or all of the currency hedges only on a monthly basis and as and when the aggregate exceeds a pre-determined tolerance intra-month as determined by the Investment Manager, and not whenever there is an aggregate gain or loss. When a gain or loss from a currency hedge is adjusted, either the gain will be reinvested into underlying securities or the underlying securities will be sold to meet the loss. In the event that there is a loss on the foreign currency hedge of the relevant Currency Hedged Share Class prior to an adjustment or reset, the relevant Currency Hedged Share Class will have an exposure to securities which will exceed its Net

Asset Value as its Net Asset Value comprises both the value of its underlying securities plus the unrealised loss on its foreign currency hedge. Conversely, in the event that there is a gain on the foreign currency hedge of the relevant Currency Hedged Share Class prior to an adjustment or reset, the relevant Currency Hedged Share Class will have a lower exposure to securities than its Net Asset Value as, in this case, its Net Asset Value will include an unrealised gain on the foreign currency hedge. When the foreign currency hedge is adjusted or reset, any such difference will be materially addressed.

The Investment Manager will monitor the currency exposure and gain or loss arising from hedge positions of each Currency Hedged Share Class against the pre-determined tolerances daily and will determine when a currency hedge should be reset and the gain or loss arising from the currency forwards reinvested or settled, while taking into consideration the frequency and associated transaction and reinvestment costs of resetting the currency forwards. When a pre-determined tolerance threshold for a Currency Hedged Share Class is triggered as at the close of a Business Day, the relevant currency hedge will be reset or adjusted only on the next Business Day (on which the relevant currency markets are open); therefore, there could be a Business Day's lag prior to the hedge position being reset or adjusted.

The triggers for resetting and adjusting the hedge are pre-determined by the Investment Manager and periodically reviewed for appropriateness. Other than this periodic adjustment of the tolerance levels, the Investment Manager has no discretion to alter or vary the hedging methodology used by the relevant Currency Hedged Share Class (other than in exceptional market circumstances where the Investment Manager believes that it would be in investors' interests to reset or adjust the hedge before the trigger levels are exceeded, or not reset or adjust the hedge if they are exceeded).

Risks specific to use of FDI

FDI Risks

Each Fund may, subject to its investment policy, use FDI for the purposes of efficient portfolio management, hedging or, where stated in the investment policy of a Fund and where permitted by applicable law and regulation, for direct investment purposes. Such instruments involve certain special risks and may expose investors to an increased risk of loss. These risks may include credit risk with regard to counterparties with whom the Fund trades, the risk of settlement default, lack of liquidity of the FDI, imperfect tracking between the change in value of the FDI and the change in value of the underlying asset that the Fund is seeking to track and greater transaction costs than investing in the underlying assets directly. Some FDI are leveraged and therefore may magnify or otherwise increase investment losses to a Fund.

In accordance with standard industry practice when entering into FDI, a Fund may be required to secure its obligations to its counterparty. For non-fully funded FDI, this may involve the placing of initial and/or variation margin assets with the counterparty. For FDI which require a Fund to place initial margin assets with a counterparty, such assets may not be segregated from the counterparty's own assets and, being freely exchangeable and replaceable, the Fund may have a right to the return of equivalent assets rather than the original margin assets deposited with the counterparty. These deposits or assets may exceed the value of the relevant Fund's obligations to the counterparty in the event that the counterparty requires excess margin or collateral. In addition, as the terms of an FDI may provide for one counterparty to provide collateral to the other counterparty to cover the variation margin exposure arising under the FDI only if a minimum transfer amount is triggered, the Fund may have an uncollateralised risk exposure to a counterparty under an FDI up to such minimum transfer amount. A default by the counterparty in such circumstances will result in a reduction in the value of the Fund and thereby a reduction in the value of an investment in the Fund.

FDI can be highly volatile, and the amount of initial margin is generally small relative to the size of the contract so that transactions may be leveraged in terms of market exposure. A relatively small market movement may have a potentially larger impact on FDI than on standard bonds or equities. Leveraged FDI positions can therefore increase Fund volatility. A Fund may enter into long positions executed using FDI (synthetic long positions) such as futures positions and may also enter into currency forwards.

Additional risks associated with investing in FDI may include a counterparty breaching its obligations to provide collateral, or due to operational issues (such as time gaps between the calculation of risk exposure to a counterparty's provision of additional collateral or substitutions of collateral or the sale of collateral in the event of a default by a counterparty), there may be instances where a Fund's credit exposure to its counterparty under a FDI is not fully collateralised but each Fund will continue to observe the limits set out in paragraph 2.8 of Schedule III. The use of FDI may also expose a Fund to legal risk, which is the risk of loss due to the unexpected application of a law or regulation, or because a court declares a contract not legally enforceable.

FDI Valuation Risk

As referred to above, there are risks associated with the valuation methods employed when valuing FDI. Certain FDI are difficult to value and such valuations may be carried out by the Investment Manager, the Administrator or one or more of a limited number of market professionals which may act as counterparties to the transaction being valued. In addition to the conflicts of interest that may arise in such cases, an inaccurate valuation may result in an increase in the payment required to the FDI counterparty and/or a reduction in the value of the NAV. Further information concerning the valuation method employed by the Fund is set out in the section entitled "Valuation of the Funds".

Particular Risks of OTC FDI Transactions

In general, there is less governmental regulation and supervision of transactions in the OTC markets than organised stock exchanges. Many of the protections afforded to transactions on organised exchanges such as the performance guarantee of an exchange clearing house may not exist for OTC transactions. The risk of counterparty default therefore exists. To mitigate this risk, the Company will only use preferred counterparties which it believes to be creditworthy and may reduce the exposure incurred in connection with such transactions through the use of letter of credit or collateral. However, there can be no guarantee that counterparty will not default or that a Fund will not sustain losses as a result. The Investment Manager will continuously assess the credit or counterparty risk as well as the potential risk, which is for trading activities, the risk resulting from adverse movements in the level of volatility of market prices and will assess the hedging effectiveness on an ongoing basis. It will define specific internal limits applicable to these kinds of operations and monitor the counterparties accepted for transactions. In addition to the above, the OTC market may be illiquid and it may not always be possible to execute a transaction quickly at an attractive price. From time to time the counterparties with which the Company effects the transactions might cease making markets or quoting prices in certain of the instruments. In such instances the Company might be unable to enter into a desired transaction in currencies, total return swaps or enter into an offsetting transaction with respect to an open position which might adversely affect its performance. Further in contrast to exchange traded instruments, forward and spot contracts on currencies do not provide the Manager and the Investment Manager with the possibility to offset the Company's obligations through an equal and opposite transaction. For this reason entering into forward or spot contracts, the Company may be required, and must be able to, perform its obligations under the contracts.

Transfer of Collateral Risk

In order to use FDI, a Fund will enter into arrangements with counterparties which may require the payment of collateral or margin out of a Fund's assets to act as cover to any exposure by the counterparty to a Fund. If the title of any such collateral or margin is transferred to the counterparty, it becomes an asset of such counterparty and may be used by the counterparty as part of its business. Collateral so transferred will not be held in custody by the Depositary for safekeeping, but collateral positions will be overseen and reconciled by the Depositary. Where the collateral is pledged by a Fund to the benefit of the relevant counterparty, then such counterparty may not rehypothecate the assets pledged to it as collateral without Fund's consent.

Uncollateralised FDI

In addition to the risks associated with trading in FDI, trading in FDI which have not been collateralised gives rise to direct counterparty exposure. For FDI which are not collateralised (including, without limitation, mortgage-backed forward instruments where the underlying is unknown (commonly known as "TBAs")), such counterparty exposure exists for the period during the trading and settlement dates. A default by the issuer of such instrument may result in a reduction in the value of the Fund.

Delayed Delivery Transactions

The Fund may purchase TBAs. This refers to the common trading practice in the mortgage-backed securities market in which a security is to be bought from a mortgage pool (including but not limited to Ginnie Mae, Fannie Mae or Freddie Mac) for a fixed price at a future date. At the time of purchase the exact security is not known, but the main characteristics of it are specified.

Although the price has been established at the time of purchase, the principal value has not been finalised. As a TBA is not settled at the time of purchase, this may lead to leveraged positions within the Fund. Purchasing a TBA involves a risk of loss if the value of the security to be purchased declines prior to the settlement date. Risks may also arise upon entering into these contracts from the potential inability of counterparties to meet the terms of their contracts. The Funds may dispose of a commitment prior to settlement if it is deemed appropriate to do so. Proceeds of TBA sales are not received until the contractual settlement date. During the time a TBA sale commitment is outstanding, equivalent deliverable securities, or an offsetting TBA purchase commitment (deliverable on or before the sale commitment date), are held as cover for the transaction.

If the TBA sale commitment is closed through the acquisition of an offsetting purchase commitment, the Fund realises a gain or loss on the commitment without regard to any unrealised gain or loss on the underlying security. If the Fund delivers securities under the commitment, the Fund realises a gain or loss from the sale of the securities upon the unit price established at the date the commitment was entered into.

Risks specific to iShares MSCI Target UK Real Estate UCITS ETF (the "Fund")

Index Tracking Risks – Property Securities

While the inclusion of UK REITS and property companies in the Benchmark Index of the Fund aims to provide exposure to the performance of the general UK real estate market, investment in such property securities is not equivalent to investing directly in UK real estate. The performance of such property securities may be more heavily dependent on the general performance of stock markets than the performance of the UK property sectors.

Index Methodology Risk

The Benchmark Index of the Fund is constructed using a combination of an equity and a fixed income element. Weightings of the constituents of the equity element are adjusted so that securities with lower price volatility have their weightings increased (and vice versa). Securities that have lower price volatility could include securities with lower or no price increases. Securities' weightings are adjusted by the index provider on the basis of price volatility only rather than any risk adjusted volatility screen being applied. The use of fixed income securities within the Benchmark Index may not fully reduce the impact of leverage within the REITs comprised within the Benchmark Index of the Fund. In addition, the weighting of the fixed income element within the Benchmark Index is only adjusted at each Benchmark Index rebalance. If, during the period between each Benchmark Index rebalance, the weighted average leverage of constituents of the equity element changes and/or the aggregate value of fixed

income securities comprised within the fixed income element changes, the weighting of the fixed income element within the Benchmark Index could be less or more than the weighted average leverage of constituents of the equity element. This could result, respectively, in the volatility of the Benchmark Index, and by extension the Fund, increasing or in a dilution of the returns of the REITs and property companies within the Benchmark Index and, by extension the Fund.

Risks specific to iShares S&P 500 Equal Weight UCITS ETF (the "Fund")

Higher Turnover Risk

The methodology of the Benchmark Index incorporates an 'equally weighted' approach to constituent selection which aims to ensure that each security bears equal weight in the index. As such, securities that may have performed well since the previous rebalance are more likely to have their weight reduced at the next rebalance and those that have not performed as well are more likely to have their weight in the index increased. This may effectively cause the Fund to sell high value or 'expensive' stocks and buy lower value or 'cheap' stocks at each rebalance in order to aim to replicate its index. This trading activity is likely to incur additional trading costs relative to the Fund's Parent Index, which is market capitalisation weighted and therefore traditionally experiences less turnover than indices which are 'equal weighted'. Higher turnover in the Fund and therefore higher transaction costs may negatively affect the performance of the Fund.

Risks specific to the Active Funds

Portfolio Concentration Risk

The Active Funds may invest in a limited number of securities compared to other more diversified funds holding a larger number of securities. Where the Active Funds hold a limited number of securities and are considered concentrated, the value of the Active Funds may fluctuate more than that of a diversified fund holding a greater number of securities. The selection of securities in a concentrated portfolio may also result in sectoral and geographical concentration. In view of the geographical concentration of iShares U.S. Equity High Income Active UCITS ETF, the value of the Fund may be more susceptible to adverse economic, political, policy, foreign exchange, liquidity, tax, sustainability related, legal or regulatory event affecting the relevant market.

Risks specific to the Active Funds except for iShares \$ EM Bond Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares AI Innovation Active UCITS ETF and iShares EM Local Govt Bond Active UCITS ETF

Model Risk

The Funds seek to pursue their investment objective by using proprietary models. Investments selected using these models may perform differently than as forecasted due to the factors incorporated into the models and the weighting of each factor, changes from historical trends, and issues in the construction and implementation of the models (including, but not limited to, software issues and other technological issues). There is no guarantee that the Investment Manager's use of these models will result in effective investment decisions for the Funds. The information and data used in the models may be supplied by third parties. Inaccurate or incomplete data may limit the effectiveness of the models. In addition, some of the data that the Investment Manager uses may be historical data, which may not accurately predict future market movement. There is a risk that the models will not be successful in selecting investments or in determining the weighting of investment positions that will enable the Funds to achieve their investment objectives.

Risk specific to iShares U.S. Equity High Income Active UCITS ETF and iShares World Equity High Income Active UCITS ETF

Option Strategies

An option is the right (but not the obligation) to buy or sell a particular asset or index at a stated price at some date in the future. In exchange for the rights conferred by the option, the option buyer has to pay the option seller a premium for carrying on the risk that comes with the obligation. The option premium depends on the strike price, volatility of the underlying asset, as well as the time remaining to expiration. Options may be listed or dealt in OTC.

A Fund may pursue an options investment strategy in order to generate income. Whilst this might allow more income to be distributed, it may also have the effect of reducing capital and the potential for long-term capital growth as well as increasing any capital losses. Any such distributions may result in an immediate reduction of the Net Asset Value per Share. If the Investment Manager or its delegate is incorrect in its expectation of changes in the market prices or determination of the correlation between the instruments or indices on which the options are written or purchased and the instruments in the Fund's investment portfolio, a Fund may incur losses that it would not otherwise incur.

Risks specific to Active Funds and Multi-Asset Funds

Active Management Risk

The Active Funds' and Multi-Asset Funds' assets will be actively managed by the Investment Manager, based on the expertise of individual fund managers, who will have discretion (subject to each Active Fund's and Multi-Asset Fund's investment objective and policy) to invest in investments that it considers will enable the Active Fund's and the Multi-Asset Fund to achieve its investment objective. There is no guarantee that the Active Fund's and the Multi-Asset Fund investment objective will be achieved based on the investments selected.

The success of the relevant investment strategy of an Active Fund or a Multi Asset Fund will depend upon the ability of the Investment Manager or its delegates to interpret market data correctly and to predict market movements. Any factor which would make it more difficult to execute timely buy and sell orders, such as a significant lessening of liquidity in a particular market or investment would also be detrimental to profitability. Such investment activities depend upon the experience and expertise of the Investment Manager and/or its delegates' team, as applicable. The loss of the services of any or all of these individuals, or the termination of the Investment Management Agreement and/or agreements with its delegates could have a material adverse effect on the Fund's performance.

Risks specific to the Active Funds and iShares € Cash UCITS ETF

ESG Policy Risk

As the Active Funds and iShares € Cash UCITS ETF have an ESG policy, as described above, the Active Funds and iShares € Cash UCITS ETF will, in addition to other investment criteria set out in their investment policies, take into account, in accordance with that policy, environmental, social and governance ("ESG") characteristics when selecting the Fund's investments. Investors should refer to the Active Funds' and iShares € Cash UCITS ETF's ESG Policy set out under each Fund's "ESG Policy" above for more information.

The ESG Policy is expected to include the application of ESG-based exclusionary criteria which may result in the Fund foregoing opportunities to purchase, or otherwise reducing exposure to or underweighting, certain securities when it might otherwise be advantageous to carry out such purchase or maintain its holding of such securities, and/or selling securities due to their ESG characteristics, when to do so might otherwise be disadvantageous. As such, the use of such criteria may affect the Fund's investment performance and the Fund may perform differently compared to similar funds that do not apply such criteria. If the Investment Manager's assessment of ESG characteristics of a security changes, guiding the Investment Manager to sell a security already held or to buy a security not held, none of the Active Funds or iShares € Cash UCITS ETF, the Company, the Manager, the Investment Manager nor their affiliates accept liability in relation to that assessment. Investors should therefore be comfortable and satisfied with the extent of ESG-related screening undertaken under the ESG Policy prior to investing in the Active Funds or iShares € Cash UCITS ETF.

In assessing a security, issuer or index based on ESG characteristics, the Investment Manager may be dependent upon information and data from third party ESG research providers, which may be incomplete, inaccurate or unavailable. It may also seek to rely on its own proprietary models which may similarly rely on information which is incomplete, inaccurate or unavailable. As a result, there is a risk that the Investment Manager may incorrectly assess a security, issuer or index. There is also a risk that the Investment Manager, or third party ESG research providers on which the Investment Manager may depend, may not interpret or apply the relevant ESG characteristics correctly. None of the Active Funds, iShares € Cash UCITS ETF, the Company, the Manager, the Investment Manager or any of their affiliates makes any representation or warranty, express or implied, with respect to the fairness, correctness, accuracy, reasonableness or completeness of any such ESG assessment.

Risks specific to the Multi-Asset Funds

Fund of funds

As the Multi-Asset Funds may invest all or substantially all of their assets in collective investment schemes ("CIS"), the following investment risks, as set out in this Prospectus, applicable to the CIS in which the Fund invests will apply to the Multi-Asset Funds in addition to other risks applicable to the Fund: Recent Market Events; Impact of Natural or Man-Made Disasters; Governmental Intervention Risk; Emerging Markets; Potential Implications of Brexit; Euro and Eurozone Risk; Equity Securities; Government Bonds; Sovereign, Quasi-sovereign and Local Authority Debt; Corporate Bonds; Fixed Income Transferable Securities; Duration Risk; ESG Benchmark Index Screening; and AMF ESG Rules.

Investment in exchange traded commodities

The exchange traded commodities in which the Fund may invest provide exposure to precious metals less costs. The value of the exchange traded commodities will be affected by movements in the price of the precious metal to which a particular exchange traded commodity provides exposure.

Prospective investors should be aware that the price of a precious metal can go down as well as up and that the performance of a precious metal in any future period may not mirror its past performance. There can be no assurance as to the future performance of any precious metal to which an exchange traded commodity provides exposure.

Investment in BlackRock managed products

The investment policy of the Multi-Asset Funds permits the Investment Manager to invest in BlackRock managed or sponsored products. Investors should be aware and understand that from time to time, in respect of Multi-Asset Funds, the Investment Manager may decide to only invest in investment products which are sponsored or managed by the Investment Manager or an Affiliate. Such an approach may limit the investment universe from which the Investment Manager selects the investments of the Multi-Asset Funds. Please refer to the section of this Prospectus entitled 'Conflicts of Interest' and specifically sub-section 'Investment in Related Party Products' and 'Side-by-Side Management: Performance fee' for further details.

Risks specific to iShares € Flexible Income Bond Active UCITS ETF

Contingent Convertible Bonds Risk

A contingent convertible bond is a type of complex debt security which may be converted into the issuer's equity or be partly or wholly written off if a pre-specified trigger event occurs. Trigger events may be outside of the issuer's control. Common trigger events include the share price of the issuer falling to a particular level for a certain period of time or the issuer's capital ratio falling to a pre-determined level. Coupon payments on certain contingent convertible bonds may be entirely discretionary and may be cancelled by the issuer at any point, for any reason, and for any length of time.

Events that trigger the conversion from debt into equity are designed so that conversion occurs when the issuer of the contingent convertible bonds is in financial difficulty, as determined either by regulatory assessment or objective losses (e.g. if the capital ratio of the issuer company falls below a pre-determined level).

Investment in contingent convertible bonds may entail the following (non-exhaustive) risks:

Contingent convertible bonds' investors may suffer a loss of capital when equity holders do not.

Trigger levels differ and determine exposure to conversion risk depending on the distance of the capital ratio to the trigger level. It might be difficult for the Fund to anticipate the trigger events that would require the debt to convert into equity. Furthermore, it might be difficult for the Fund to assess how the securities will behave upon conversion.

In case of conversion into equity, the Fund might be forced to sell these new equity shares because the investment policy of the Fund does not allow equity in its portfolio. Such a forced sale, and the increased availability of these shares might have an effect on market liquidity in so far as there may not be sufficient demand for these shares. Investment in contingent convertible bonds may also lead to an increased industry concentration risk and thus counterparty risk as such securities are issued by a limited number of banks. Contingent convertible bonds are usually subordinated to comparable non-convertible securities, and thus are subject to higher risks than other debt securities.

In the event that a contingent convertible bond is written off (a "write-down") as the result of a pre-specified trigger event, the Fund may suffer a full, partial or staggered loss of the value of its investment. A write-down may be either temporary or permanent.

In addition, most contingent convertible bonds are issued as perpetual instruments which are callable at pre-determined dates. Perpetual contingent convertible bonds may not be called on the pre-defined call date and investors may not receive return of principal on the call date or at any date.

Investment in asset-backed and mortgage-backed securities

Asset-backed Securities ("ABS")

An asset-backed security is a generic term for a debt security issued by corporations or other entities (including public or local authorities) backed or collateralised by the income stream from an underlying pool of assets. The underlying assets typically include loans, leases or receivables (such as credit card debt, automobile loans and student loans). An asset-backed security is usually issued in a number of different classes with varying characteristics depending on the riskiness of the underlying assets assessed by reference to their credit quality and term and can be issued at a fixed or a floating rate. Typically the higher the risk contained in the class, the more the asset-backed security pays by way of income.

The obligations associated with these securities may be subject to greater credit, liquidity and interest rate risk compared to other fixed income securities such as government issued bonds. ABS are often exposed to extension risk (where obligations on the underlying assets are paid later than expected) and prepayment risks (where obligations on the underlying assets are paid earlier than expected), these risks may have a substantial impact on the timing and size of the cashflows paid by the securities and may negatively impact the returns of the securities. The average life of each individual security may be affected by a large number of factors such as the existence and frequency of exercise of any optional redemption and mandatory prepayment, the prevailing level of interest rates, the actual default rate of the underlying assets, the timing of recoveries and the level of rotation in the underlying assets.

Specific types of ABS in which the Fund may invest are set out below.

Generic risks related to ABS

While the value of fixed rate ABS typically increases when interest rates fall and decreases when interest rates rise, and are expected to move in the same direction of the underlying related asset, there may not be a perfect correlation between these events. The value of floating rate ABS may be less impacted by movements in interest rates.

The ABS in which the Fund may invest may bear interest or pay preferred dividends at below market rates and, in some instances, may not bear interest or pay preferred dividends at all.

Certain ABS may be payable at maturity in cash at the stated principal amount or, at the option of the holder, directly in a stated amount of the asset to which it is related. In such instance, the Fund may sell the ABS in the secondary market prior to maturity if the value of the stated amount of the asset exceeds the stated principal amount and thereby realise the appreciation in the underlying asset.

ABS may also be subject to extension risk, which is, the risk that, typically in a period of rising interest rates, prepayments may occur at a slower rate than expected. As a result, the average duration of the Fund's portfolio may increase. The value of longer-term securities generally changes more in response to changes in interest rates than that of shorter-term securities.

As with other debt securities, ABS are subject to both actual and perceived measures of creditworthiness. Liquidity in ABS may be affected by the performance or perceived performance of the underlying assets. In some circumstances investments in ABS may become less liquid, making it difficult to dispose of them. Accordingly the Fund's ability to respond to market events may be impaired and the Fund may experience adverse price movements upon liquidation of such investments. In addition, the market price for an ABS may be volatile and may not be readily ascertainable. As a result, the Fund may not be able to sell them when it desires to do so, or to realise what it perceives to be their fair value in the event of a sale. The sale of less liquid securities often requires more time and can result in higher brokerage charges or dealer discounts and other selling expenses.

ABS may be leveraged which may contribute to volatility in the value of the security.

Considerations relating to specific types of ABS in which the Fund may invest

Asset-Backed Commercial Paper ("ABCP")

ABCP programmes issue short-term commercial paper (effectively a short-term bond) with a maturity that is typically between 30 and 180 days. The assets underlying ABCP programmes can include a wide range of financial assets such as trade receivables, auto loans and leases, consumer loans, credit card receivables and mortgage loans. As such the risk of an ABCP programme will be driven by the type of assets underlying that programme.

Collateralised Loan Obligations ("CLOs")

CLOs are a type of securitisation backed by corporate loans (i.e. loans to businesses).

CLOs are predominantly backed by floating rate loans (although transactions typically allow some exposure to fixed rate loans). The most common type of CLOs are referred to as "levered loan" CLOs and are backed by loans to high-yield (non-investment grade) companies. Levered loan CLOs are usually actively managed by a CLO manager who will be an asset manager active in the high yield market.

CLOs are typically issued with multiple tranches where each tranche carries a different risk/return profile based on credit quality, risk of loss and its ranking in the priority of payments.

CLOs owned by the Fund, will generally fluctuate with, among other things, the financial condition of the underlying corporates who have borrowed money via the loans, general economic conditions, the condition of certain financial markets, political events, developments or trends in any particular industry and changes in prevailing interest rates.

CLOs offer a diversified exposure to corporate debt as they typically contain loans to a significant number of different companies. The concentration of an underlying portfolio in any one obligor would subject the related CLOs to a greater degree of risk with respect to defaults by such obligor, and the concentration of a portfolio in any one industry would subject to related CLOs to a greater degree of risk with respect to economic downturns relating to such industry.

CLOs can be less liquid than other fixed income securities and dealer marks and valuations provided may not represent prices where assets can actually be purchased or sold in the market from time to time.

Mortgage-backed Securities ("MBS")

A mortgage-backed security is a generic term for a debt security backed or collateralised by the income stream from an underlying pool of commercial and/or residential mortgages. This type of security is commonly used to redirect the interest and principal payments from the pool of mortgages to investors. A mortgage-backed security is normally issued in a number of different classes with varying characteristics depending on the riskiness of the underlying mortgages assessed by reference to their credit quality and term and can be issued at a fixed or a floating rate of securities. The higher the risk contained in the class, the more the mortgage-backed security pays by way of income.

Specific types of MBS in which the Fund may invest are set out below.

Generic risks related to MBS

MBS may be subject to prepayment risk which is the risk that, typically in a period of falling interest rates, borrowers may refinance or otherwise repay principal on their mortgages earlier than scheduled. When this happens, certain types of MBS will be paid off more quickly than originally anticipated and the Fund will have to invest the proceeds in securities with lower yields. MBS may also be subject to extension risk, which is, the risk that, typically in a period of rising interest rates, certain types of MBS will be paid off more slowly than originally anticipated and the value of these securities will fall. As a result, the average duration of the Fund's portfolio may increase. The value of longer-term fixed rate securities generally changes more in response to changes in interest rates than that of shorter-term fixed rate securities.

Because of prepayment risk and extension risk, fixed rate MBS react differently to changes in interest rates than other fixed income securities. Small movements in interest rates (both increases and decreases) may quickly and significantly reduce the value of certain MBS. Certain MBS in which the Fund may invest may also provide a degree of investment leverage, which could cause the Fund to lose all or a substantial amount of its investment.

In some circumstances investments in MBS may become less liquid, making it difficult to dispose of them. Accordingly, the Fund's ability to respond to market events may be impaired and the Fund may experience adverse price movements upon liquidation of such investments. In addition, the market price for MBS may be volatile and may not be readily ascertainable. As a result, the Fund may not be able to sell them when it desires to do so, or to realise what it perceives to be their fair value in the event of a sale. The sale of less liquid securities often requires more time and can result in higher brokerage charges or dealer discounts and other selling expenses.

Considerations relating to specific types of MBS in which the Fund may invest

Commercial Mortgage-Backed Security ("CMBS")

A CMBS is a type of mortgage-backed security that is secured by the loan on a commercial property. CMBS can provide liquidity to real estate investors and to commercial lenders. CMBS may be less exposed to prepayment risk (compared to residential mortgage loans) where the underlying loan includes prepayment penalties that dissuade the borrower from refinancing earlier than expected. CMBS are not always in a standard form so can present increased valuation risk.

Real Estate Mortgage Investment Conduits ("REMIC")

A REMIC is a security backed by a pool of residential mortgage loans that is typically split into tranches with different risk, maturity and coupons. As such the credit risk of a REMIC is similar to a CMO (although the legal structure is different).

Residential mortgage-backed security ("RMBS")

An RMBS is a type of security whose cash flows come from residential debt such as residential mortgage loans (which could be prime or non-prime) and home-equity loans. This is a type of MBS which focuses on residential instead of commercial debt.

Holders of an RMBS receive interest and principal payments that come from the payments on the underlying loans. Typically RMBS transactions are backed by large diversified pools of mortgage loans, as such credit risk is driven mainly by changes in unemployment and interest rates.

Illiquidity and Quality of Mortgage-Backed Instruments

In addition to the risks associated with trading in FDI, there is a risk that mortgage-backed instruments may become illiquid. Additionally, the quality of mortgage pools may change from time to time. It may therefore, become more difficult to achieve fair value on the purchase and sale of such instruments.

Risks specific to iShares AI Innovation Active UCITS ETF, iShares AI Adopters & Applications UCITS ETF and iShares AI Infrastructure UCITS ETF

Artificial Intelligence (AI) Theme

AI is a developing technology and there is no assurance that widespread adoption of AI technology will occur. Companies in AI-related businesses will be subject to risks associated with developing technology and will face intense competition which may have an adverse effect on profit margins. The profitability of these companies will be particularly vulnerable to rapid changes in technology and innovation which could result in their products or services becoming less competitive or obsolete. It is likely that these companies will also rely heavily on patents and other proprietary rights and any loss of, or limitation on their ability to enforce, such proprietary rights in the future could have a material adverse effect on their profitability. The adoption of these technologies may be impaired by laws or regulations (including future laws and regulations) which may be difficult to predict. This includes laws introduced relating to privacy concerns, developing internet regulation and other foreign or domestic regulations that may limit or otherwise impair a company's AI-related business operations. In addition, because AI functionality relies on the IT infrastructure, a significant disruption of IT connectivity affecting large numbers of users or geographic areas could impede the functionality of AI technologies. Certain features of AI technology may increase the risk of fraud or cyberattack. In each case, such instances could have a negative reputational impact on companies with AI-related businesses and a material adverse effect on their profitability. Additionally, companies in AI related businesses may engage in significant amounts of spending on research and development, and there is no guarantee that the products or services produced by these companies will be successful.

Risks specific to iShares AI Adopters & Applications UCITS ETF and iShares AI Infrastructure UCITS ETF

AI Patent Quality

The Funds' Benchmark Indices seek to provide exposure to companies considered well positioned to benefit from the growth in the AI sector. This is based on an assessment by the index provider of the quality of the patents held by the companies within the Benchmark Index relating to certain AI-related technology themes. The assessment of the quality of a company's patent is based on certain factors which the index provider has determined provides a reasonable basis for making this assessment (including, in relation to patent citations and/or the market coverage

of the patents). Whilst the index provider uses factors commonly used to assess patent quality, the factors considered are not exhaustive and other measures may be used to determine patent quality which may not be considered by the index provider. The index provider's assessment of a patent's quality is also determined based on its relevance to certain AI technology themes. There is no guarantee that the AI technology themes identified by the index provider will continue to be relevant as changes in technology could render these themes less important to the growth of this sector. As such, companies with patents relating to these themes may not be well positioned to benefit from the growth in AI solutions in the future. There can be no guarantee that the patents held by companies within the Benchmark Indices relating to the AI-related technology themes will either be utilised or can be used to generate revenues for that company.

Risks specific to iShares € Cash UCITS ETF

- (a) There can be no assurance that the Fund will achieve its investment objective. The Fund's performance may be affected by changes in market and/or economic conditions, interest rates and in legal, regulatory and tax requirements.
- (b) Depending on an investor's base currency, currency fluctuations between an investor's base currency and the Base Currency may adversely affect the value of an investment in the Fund.
- (c) The price of Shares and the income from them may go down as well as up and investors may not get back the amount originally invested.
- (d) The Fund will be exposed to the risk of deterioration in the credit quality of the parties with whom it deals and may also bear the risk of settlement or counterparty default. In addition, investments of the Fund are subject to interest rate fluctuations which may affect both the yield and value of the Fund.
- (e) The Fund may be affected by changes in prevailing interest rates. Changes in market rates of interest will generally affect the Fund's asset value as the prices of fixed rate securities generally increase when interest rates decline and decrease when interest rates rise. Prices of shorter term securities generally fluctuate less in response to interest rate changes than do longer-term securities.
- (f) If there are unusually heavy redemption requests because of changes in interest rates or for any other reason, the Fund may have to sell a portion of its investment portfolio at a time when it may be disadvantageous to do so. The Fund may also have to sell a portion of its investment portfolio in similar circumstances where it is required to do so in order to meet unanticipated redemption requests. Selling portfolio securities under these circumstances may result in a lower yield for investors.
- (g) The Company could be adversely affected by an economic recession which may affect the financial condition of the issuer and the market value of the securities of the issuer held by the Company.
- (h) The Company could be adversely affected if the arrangements relating to EMU do not continue (for example, the EMU participants experience significant unexpected political or economic difficulties). In addition, if one of the members of the European Union participating in EMU withdraws from EMU, the value of any holdings of the Fund of the Company issued by issuers from the country or with significant operations in that country could be adversely affected.

Money Market Instruments

The Fund invests a significant amount of its Net Asset Value in money-market instruments and in this regard investors might compare the Fund to regular deposit accounts. Investors should however note that holdings in the Fund are subject to the risks associated with investing in a collective investment scheme, in particular the fact that the principal sum invested is capable of fluctuation as the Net Asset Value of the Fund fluctuates.

Sovereign Debt

Certain developing countries are especially large debtors to commercial banks and foreign governments. Investment in debt obligations ("**Sovereign Debt**") issued or guaranteed by developing governments or their agencies and instrumentalities ("**governmental entities**") involves a high degree of risk. The governmental entity that controls the repayment of Sovereign Debt may not be able or willing to repay the principal and/or interest when due in accordance with the terms of such debt. A governmental entity's willingness or ability to repay principal and interest due in a timely manner may be affected by, among other factors, its cash flow situation, the extent of its foreign reserves, the availability of sufficient foreign exchange on the date a payment is due, the relative size of the debt service burden to the economy as a whole, the governmental entity's policy towards the International Monetary Fund and the political constraints to which a governmental entity may be subject. Governmental entities may also be dependent on expected disbursements from foreign governments, multilateral agencies and others abroad to reduce principal and interest arrears on their debt. The commitment on the part of these governments, agencies and others to make such disbursements may be conditioned on a governmental entity's implementation of economic reforms and/or economic performance and the timely service of such debtor's obligations. Failure to implement such reforms, achieve such levels of economic performance or repay principal or interest when due may result in the cancellation of such third parties' commitments to lend funds to the governmental entity, which may further impair such debtor's ability or willingness to service its debt on a timely basis. Consequently, governmental entities may default on their Sovereign Debt. Holders of Sovereign Debt, including the Fund, may be requested to participate in the rescheduling of such debt and to extend further loans to governmental entities.

Fixed Income Transferable Securities

Debt securities are subject to both actual and perceived measures of creditworthiness. The “downgrading” of a rated debt security or adverse publicity and investor perception, which may not be based on fundamental analysis, could decrease the value and liquidity of the security, particularly in a thinly traded market.

Financial Markets, Counterparties and Service Providers

Firms may be exposed to finance sector companies which act as a service provider or as a counterparty for financial contracts. In times of extreme market volatility, such companies may be adversely affected, with a consequent adverse effect on the activities of the Fund.

Money Market Fund Reform

EU Regulation 2017/1131 on money market funds applied to certain funds from 14 January 2019 and others from 18 March 2019. There remains some uncertainty regarding the full impact that this regulation will ultimately have on the Fund and the markets in which it trades and invests. Such uncertainty may itself be detrimental to the Fund. Further, the impact potential of future regulatory requirements or changes to regulatory requirements applicable to the Fund (whether through implementation of the regulation, changing interpretation of the regulation or otherwise) is unknown and may be detrimental to the Fund and/or their Shareholders. It may impact the ability of the Fund to execute its strategy, require the Company to amend or cease certain operational procedures and/or result in increased costs to the Fund. The Company and the Manager will adopt such arrangements as they deem necessary or desirable to comply with applicable regulatory requirements, with a view to ensuring that the Company and the Fund continue to operate execute their respective strategies in the best interests of Shareholders.

Environmentally Aware Risk

Due to the fact the Fund’s environmental criteria excludes securities of certain issuers for non-financial reasons, the Fund may forego some market opportunities available to funds that do not use these criteria. Consequently, the Fund may underperform funds that do not follow an environmentally aware investment strategy. The Investment Manager’s assessment of an issuer’s environmental criteria may change over time, which could cause the Fund to hold securities that may no longer meet the Investment Manager’s current environmental criteria. In evaluating an issuer, the Investment Manager is dependent upon information and data that may be incomplete, inaccurate or unavailable, which could adversely affect the analysis of the environmental criteria relevant to a particular issuer. Investing on the basis of environmental criteria is qualitative and subjective by nature and there can be no assurance that the process utilised by any vendors of the Investment Manager or any judgment exercised by the Investment Manager will reflect the beliefs or values of any particular investor.

Risk specific to iShares World Equity Factor Rotation Active UCITS ETF

Factor Investing Risk

The Fund will utilise the Investment Manager’s and its Affiliates’ proprietary factor rotation Model which allocates commonly-used equity style factors such as momentum, quality, value, size and minimum volatility across the Fund’s portfolio. Many factors can affect the performance of a security, and the impact of these factors on a security or its price can be difficult to predict. Certain factors may underperform in different market conditions and the factors used by the Model will have their own unique risks including those outlined below.

Momentum Factor

There is no guarantee that all (or even some) of the securities identified by the Model methodology will provide positive price momentum. Securities are identified as having historical positive price momentum. Securities that previously exhibited positive price momentum may not experience continued positive momentum.

Quality Factor

There is no guarantee that all (or even some) of the securities identified by the Model will exhibit high quality. There is a risk that they may experience lower than expected returns or may experience negative growth, as well as increased leverage (i.e. increased levels of debt), resulting in lower than expected or negative returns to investors. Indicators used by the Model to identify high quality may be based on historical data and there is no guarantee that past practices will continue in the future.

Value Factor

There is no guarantee that all (or even some) of the securities identified by the Model will provide good value. The indicators used by the Model to identify good value may be based on historical performance and/or future forecasts based on future earnings of companies. There is no guarantee that historical performance will continue in the future or that forecasts on future earnings will be correct. Securities issued by companies that may be perceived as undervalued may fail to appreciate in value.

Size Factor

Where the size factor is applied by the Model, the Fund may have a higher weight in the portfolios of securities that may experience more market price volatility and less liquidity than if the Fund had not applied this factor.

High Portfolio Turnover Risk

The Fund may engage in active and frequent trading of its portfolio securities. High portfolio turnover may result in increased transaction costs to the Fund, including brokerage commissions, dealer mark-ups and other transaction costs on the sale of the securities and on reinvestment in other securities. The sale of the Fund’s portfolio securities may result in the realisation of higher capital gains or losses as compared to a fund with less active trading policies. These effects of higher than normal portfolio turnover may adversely affect Fund performance.

Risks specific to the following Funds registered for marketing in France: iShares \$ Asia Investment Grade Corp Bond UCITS ETF, iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares \$ High

Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Aggregate Bond ESG SRI UCITS ETF, iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF, iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF, iShares Global Aggregate Bond ESG SRI UCITS ETF, iShares Global Real Estate Environmental Tilt UCITS ETF, iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF, iShares MSCI World Paris-Aligned Climate UCITS ETF, iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF and iShares S&P 500 Scored and Screened UCITS ETF

AMF ESG Rules

The AMF ESG Rules set out ESG measurable objectives that certain Funds marketed in France and which have an ESG strategy supported by a significantly engaging methodology must incorporate into their investment policy (the “**AMF Measurable Objectives**”). Although the index provider’s index methodology may not explicitly integrate the AMF Measurable Objectives, the Investment Manager is of the view that, by passively tracking their Benchmark Indices, the relevant Funds should be able to meet the AMF Measurable Objectives based on the current methodology of their Benchmark Indices. Investors should note that the Directors may take such action as they consider to be necessary, including substituting another index for a Fund’s Benchmark Index as described in the section entitled “Benchmark Indices”, to the extent that a future rebalancing of, or change to, a Fund’s Benchmark Index by its index provider would result in the Fund ceasing to comply with the AMF Measurable Objectives.

Other general risks

Fund Liability Risk

The Company is structured as an umbrella fund with segregated liability between its Funds. As a matter of Irish law, the assets of one Fund will not be available to meet the liabilities of another. However, the Company is a single legal entity that may operate or have assets held on its behalf or be subject to claims in other jurisdictions that may not necessarily recognise such segregation of liability. As at the date of this Prospectus, the Directors are not aware of any such existing or contingent liability.

Funds with Multiple Share Classes

While assets and liabilities that are specific to a Share Class within a Fund would be attributable to (and should be borne by) only that Share Class, there is no segregation of liabilities between Share Classes as a matter of Irish law. Due to the lack of segregation of liabilities as a matter of law, there is a risk that the creditors of a Share Class may bring a claim against the assets of the Fund notionally allocated to other Share Classes.

In practice, cross liability between Share Classes is only likely to arise where the aggregate liabilities attributable to a Share Class exceed the aggregate assets of the Fund notionally allocated to that Share Class. Such a situation could arise if, for example, there is a default by a counterparty in respect of the relevant Fund’s investments. In these circumstances, the remaining assets of the Fund notionally allocated to other Share Classes of the same Fund may be available to meet such payments and may accordingly not be available to meet any amounts that otherwise would have been payable to holders of Shares of such other Share Classes.

Funds with One or More Currency Hedged Share Classes

Currency Hedged Share Classes hedge their currency exposure using forward FX contracts and spot FX contracts. All gains, losses and expenses arising from hedging transactions for a particular Currency Hedged Share Class are attributed only to that Currency Hedged Share Class and should generally be borne only by the investors in that Share Class. However, given that there is no segregation of liabilities between Share Classes under law, there is a risk that, if the assets notionally allocated to a Currency Hedged Share Class are insufficient to meet the losses arising from its hedging transactions (in addition to other fees and expenses attributable to such Share Class), the losses arising from the hedging transactions for such Share Class could affect the Net Asset Value per Share of one or more other Share Classes of the same Fund.

Insufficiency of Duties and Charges

The Fund levies Duties and Charges in order to defray the costs associated with the purchase and sale of Investments. The level of Duties and Charges may be determined by the Manager in advance of the actual purchase or sale of Investments or execution of associated foreign exchange. It may be estimated based on historic information concerning the costs incurred in trading the relevant securities in the relevant markets. This figure is reviewed periodically and adjusted as necessary. If the Fund levies Duties and Charges which are insufficient to discharge all of the costs incurred in the purchase or sale of Investments, the difference will be paid out of the assets of the Fund, which, pending the reimbursement of the shortfall by an Authorised Participant, will result in a reduction in the value of the Fund (and a corresponding reduction in the value of each Share). In circumstances where Shares subscribed have been issued to an Authorised Participant prior to the receipt by the Fund from the Authorised Participant of the full costs incurred or to be incurred by the Fund in acquiring underlying investments attributable to a subscription, the Fund will have a credit exposure as an unsecured creditor to the Authorised Participant in respect of any shortfall. Similarly, in circumstances where redemption proceeds have been paid to the Authorised Participant prior to the deduction from such proceeds of the full costs incurred or to be incurred by the Fund in disposing of underlying investments attributable to a redemption, the Fund will have a credit exposure as an unsecured creditor to the Authorised Participant in respect of any shortfall.

Failure to Settle

If an Authorised Participant submits a dealing request and subsequently fails or is unable to settle and complete the dealing request, the Company will have no recourse to the Authorised Participant other than its contractual right to recover such costs. In the event that no recovery can be made from the Authorised Participant and any costs incurred as a result of the failure to settle will be borne by the Fund and its investors.

Taxation Risks

Potential investors' attention is drawn to the taxation risks associated with investment in the Company. See the section headed "Taxation".

Changes in taxation legislation may adversely affect the Funds

The tax information provided in the "Taxation" section is based, to the best knowledge of the Company, upon tax law and practice as at the date of this Prospectus. Tax legislation, the tax status of the Company and the Funds, the taxation of investors and any tax relief, and the consequences of such tax status and tax relief, may change from time to time. Any change in the taxation legislation in Ireland or in any jurisdiction where a Fund is registered, cross-listed, marketed or invested could affect the tax status of the Company and the relevant Fund, affect the value of the relevant Fund's Investments in the affected jurisdiction, affect the relevant Fund's ability to achieve its investment objective, and/or alter the post tax returns on Shares held. Where a Fund invests in FDI, or participates in securities lending, the preceding sentence may also extend to the jurisdiction of the governing law of the FDI contract, or securities lending contract and/or the FDI counterparty and/or borrower and/or to the market(s) comprising the underlying exposure(s) of the FDI.

The availability and value of any tax relief available to investors depend on the individual circumstances of investors. The information in the "Taxation" section is not exhaustive and does not constitute legal or tax advice. Prospective investors are urged to consult their tax advisors with respect to their particular tax situations and the tax effects of an investment in the Funds.

Withholding tax reclaims

The Company may be subject to withholding or other taxes on income and/or gains arising from its investment portfolio. Where the Company invests in securities that are not subject to withholding or other taxes at the time of acquisition, there can be no assurance that tax may not be imposed in the future as a result of any change in applicable laws, treaties, rules or regulations or the interpretation thereof. The Company may not be able to recover such tax and so any such change could have an adverse effect on the Net Asset Value of the Fund.

The Company (or its representative) may file claims on behalf of the Funds to recover withholding tax on dividend and interest income (if any) received from issuers in certain countries where such withholding tax reclaim is possible. Whether or when a Fund will receive a withholding tax refund in the future is within the control of the tax authorities in such countries. Where the Company expects to recover withholding tax for a Fund based on a continuous assessment of probability of recovery, the Net Asset Value of that Fund generally includes accruals for such tax refunds. The Company continues to evaluate tax developments for potential impact to the probability of recovery for such Funds. If the likelihood of receiving refunds materially decreases, for example due to a change in tax regulation or approach, accruals in the relevant Fund's Net Asset Value for such refunds may need to be written down partially or in full, which will adversely affect that Fund's Net Asset Value. Investors in that Fund at the time an accrual is written down will bear the impact of any resulting reduction in Net Asset Value regardless of whether they were investors during the accrual period. Conversely, if the Fund receives a tax refund that has not been previously accrued, investors in the Fund at the time the claim is successful will benefit from any resulting increase in the Fund's Net Asset Value. Investors who disposed of their interest in Shares prior to such time will not benefit from such Net Asset Value increase.

Tax liability in new jurisdictions

Where a Fund invests in a jurisdiction where the tax regime is not fully developed or is not sufficiently certain, for example the Middle East, the Company, the relevant Fund, the Manager, the Investment Manager, the Depositary and the Administrator shall not be liable to account to any holder of Shares for any payment made or suffered by the Company or the relevant Fund in good faith to a fiscal authority for taxes or other charges of the Company or the relevant Fund notwithstanding that it is later found that such payments need not or ought not have been made or suffered.

Conversely, where through fundamental uncertainty as to the tax liability, adherence to best or common market practice (to the extent that there is no established best practice) that is subsequently challenged or the lack of a developed mechanism for practical and timely payment of taxes, the relevant Fund pays taxes relating to previous years, any related interest or late filing penalties will likewise be chargeable to the Fund. Such late paid taxes will normally be debited to the Fund at the point the decision to accrue the liability in the Fund accounts is made.

Treatment of tax by index providers

Investors should be aware that the performance of Funds, as compared to a Benchmark Index, where relevant, may be adversely affected in circumstances where the assumptions about tax made by the relevant index provider in their index calculation methodology, differ to the actual tax treatment of the underlying securities in the Benchmark Index held within Funds.

FATCA

Investors should also read the information set out under the heading "FATCA and other cross-border reporting systems", particularly in relation to the consequences of the Company being unable to comply with the terms of such reporting systems.

Transfer of interests in a Fund with India Exposure

Section 9 of the Indian Income Tax Act (applicable with retrospective effect from April 1, 1961) provides that a transfer of any share or interest in a foreign entity is subject to capital gains tax in India, if its value is substantially derived, directly or indirectly, from assets located in India ("**Indirect Transfer Tax**"). However, the law provides a carve-out under which the Indirect Transfer Tax does not apply to investments, direct or indirect, made in Category I and Category II FPIs. On the basis of this carve-out and each Fund with India Exposure being registered as a Category II FPI, the investors would not be liable to tax in India on the redemption from, or the sale of their Shares or interest in a Fund with India Exposure.

Liquidity Risk

A Fund's investments may be subject to liquidity constraints, which means they may trade less frequently and in small volumes. Securities of certain types, such as bonds and mortgage-backed instruments, may also be subject to periods of significantly lower liquidity in difficult market conditions. As a result, changes in the value of investments may be more unpredictable. In certain cases, it may not be possible to sell the security at the price at which it has been valued for the purposes of calculating the Net Asset Value of the Fund or at a value considered to be fairest. Reduced liquidity of a Fund's investments may result in a loss to the value of your investment.

Dealing Day Risk

As foreign exchanges can be open on days which are not Dealing Days or days when a Fund may have suspended calculation of its Net Asset Value and the subscription and redemption of Shares and, therefore, Shares in the Fund are not priced, the value of the securities in the Fund's portfolio may change on days when a Fund's Shares will not be able to be purchased or sold.

Share Subscriptions and Redemptions

Provisions relating to the redemption of Shares grant the Company discretion to limit the amount of Shares available for redemption on any Dealing Day to 10% of the Net Asset Value of any Fund and, in conjunction with such limitations, to defer or pro-rate such redemption requests. In addition, where requests for subscription or redemption are received late, there will be a delay between the time of submission of the request and the actual date of subscription or redemption. Such deferrals or delays may operate to decrease the number of Shares or the redemption amount to be received.

Umbrella Cash Subscription and Redemption Account Risk

Subscriptions monies received in respect of a Fund in advance of the issue of Shares will be held in the Umbrella Cash Collection Account. Investors will be unsecured creditors of such Fund with respect to the amount subscribed until such Shares are issued, and will not benefit from any appreciation in the Net Asset Value of the Fund or any other shareholder rights (including dividend entitlement) until such time as Shares are issued. In the event of an insolvency of the Fund or the Company, there is no guarantee that the Fund or Company will have sufficient funds to pay unsecured creditors in full.

Payment by the Fund of redemption proceeds and dividends is subject to receipt by the Administrator of original subscription documents and compliance with all anti-money laundering procedures. Notwithstanding this, the redeemed Shares will be cancelled from the relevant redemption date. Redeeming Authorised Participants and Authorised Participants entitled to distributions will, from the redemption or distribution date, as appropriate, be unsecured creditors of the Fund, and will not benefit from any appreciation in the Net Asset Value of the Fund or any other rights (including further dividend entitlement), with respect to the redemption or distribution amount. In the event of an insolvency of the Fund or the Company during this period, there is no guarantee that the Fund or Company will have sufficient funds to pay unsecured creditors in full. Redeeming Authorised Participants and Authorised Participants entitled to distributions should therefore ensure that any outstanding documentation and information is provided to the Administrator promptly. Failure to do so is at such Authorised Participant's own risk.

In respect of the Umbrella Cash Collection Account, in the event of the insolvency of another Fund of the Company, recovery of any amounts to which a Fund is entitled, but which may have transferred to such other Fund as a result of the operation of the Umbrella Cash Collection Account, will be subject to the principles of Irish insolvency and trust law and the terms of the operational procedures for the Umbrella Cash Collection Account. There may be delays in effecting and / or disputes as to the recovery of such amounts, and the insolvent Fund may have insufficient funds to repay amounts due to the relevant Fund. Accordingly, there is no guarantee that such Fund or the Company will recover such amounts. Furthermore, there is no guarantee that in such circumstances such Fund or the Company would have sufficient funds to repay any unsecured creditors.

Trading Currency Exposure

Shares may be traded in various currencies on various stock exchanges. In addition, subscriptions and redemptions of Shares in a Fund will ordinarily be made in the Valuation Currency of the Shares and may in some cases be permitted in other currencies. The currencies in which the underlying investments of a Fund are denominated may also differ from the Base Currency of the Fund (which may follow the base currency of the Fund's Benchmark Index) and from the Valuation Currency of the Shares. Depending on the currency in which an investor invests in a Fund, foreign exchange fluctuations between the currency of investment, the Valuation Currency of the Shares and the Base Currency of the Fund and/or the currencies in which the Fund's underlying investments are denominated, will have an impact on, and may adversely affect, the value of such investor's investments.

Temporary Suspension

Investors are reminded that in certain circumstances their right to redeem or switch Shares may be temporarily suspended. Please see 'Temporary Suspension of Valuation of the Shares and of Sales, Redemptions and Switching' on pages 200 to 201.

Valuation Risk

Certain assets of the Fund may become illiquid and/or not publicly traded. Such securities and financial instruments may not have readily available prices and may therefore be difficult to value. The Manager, Investment Manager or Administrator may provide valuation services (to assist in calculating the Net Asset Value of a Fund) in relation to such securities and financial instruments. Investors should be aware that in these circumstances a possible conflict of interest may arise as the higher the estimated valuation of the securities the higher the fees payable to the Manager, Investment Manager or Administrator. Please see "Conflicts of Interest – General" on page 218 for details of how the Company deals with conflicts. In addition, given the nature of such Investments, determinations as to their fair value may not represent the actual amount that will be realised upon the eventual disposal of such Investments.

Operational Risk, Technology Risk and Cybersecurity Risk

The Funds are directly and indirectly exposed to operational and technology risks, arising from a number of factors, including, but not limited to, human error, processing and communication errors, errors of service providers, counterparties or other third parties, inadequate or failed internal or external processes, technology or systems failures, cybersecurity incidents, and increased use of artificial intelligence and machine learning ("AI"). Such occurrences may result in losses for a Fund and its Shareholders or may impair the Company's operations. Operational and technology risks for the issuers in which a Fund invests could also result in material adverse consequences for such issuers and may in turn cause a Fund's investments in such issuers to lose value.

A Fund's operations (including investment management, custody, securities lending, distribution, collateral management, administration, currency hedging and accounting) are carried out by several service providers which are selected based on a rigorous due diligence process. Nevertheless, the Manager, Investment Manager, other service providers (e.g., index and benchmark providers, accountants, custodians, and transfer agents), market makers, Authorised Participants, stock exchanges, other financial market operators, and governmental authorities may experience operational and technological malfunctions, disruptions or errors which may have a negative effect on a Fund's operations and technology and may expose a Fund to a risk of loss. This can manifest itself in various ways, including business interruption, poor performance, information system malfunction or failure, unauthorised access to systems, provision or receipt of erroneous or incomplete data, or corruption or destruction of data, misappropriation of assets or sensitive information, operational, regulatory or contractual breaches, human error, negligent execution, impediments to trading, problems with settlement and accounting processes (including inability to calculate the NAV). Investors could experience delays (for example, delays in the processing of subscriptions, switching and redemption of Shares) or other disruptions. While the Manager and the Investment Manager seek to minimise operational errors as set out below, there may still be failures that could cause losses to a Fund and reduce the value of the Fund.

The increasing use of AI technologies, introduces additional risks, including data risk, transparency risk and operational risk. The AI technologies, which are generally highly reliant on the collection and analysis of large amounts of data, may incorporate biased or inaccurate data, and it is not possible or practicable to incorporate all relevant data into such technologies. The output or results of any such AI technologies may therefore be incomplete, erroneous, distorted or misleading. Further, AI tools may lack transparency as to how data is utilised and how outputs are generated. AI technologies may also allow the unintended introduction of vulnerabilities into infrastructures and applications. A Fund and its shareholders could be negatively impacted as a result of risks associated with AI technologies. AI technologies and their current and potential future applications, and the regulatory frameworks within which they operate, continue to quickly evolve, and it is impossible to anticipate the full scope of future AI capabilities or rules and the associated risks to the Company or a Fund.

The Company or any of the service providers, including the Manager and the Investment Manager, may also be subject to risks resulting from cybersecurity incidents. A cybersecurity incident is an event that may cause a loss of proprietary information, data corruption or a loss of operational capacity. Cybersecurity incidents can result from deliberate attacks or unintentional events against the Company, its service providers, or issuers in which a Fund invests. Such incidents may include gaining unauthorised access to systems, misappropriating assets or sensitive information, corrupting or destroying data, and causing operational disruption. Geopolitical tension may increase the scale and sophistication of deliberate attacks, particularly those from nation states or from entities with nation state backing. Cybersecurity incidents may also be carried out in a manner that does not require gaining unauthorised access, such as causing denial of service attacks on websites, which may make network services unavailable to intended users. The issuers of securities and counterparties to other financial instruments in which a Fund invests may also be subject to cybersecurity incidents. Cybersecurity incidents may give rise to financial losses, disclosure of confidential information, regulatory investigations, fines or penalties, reputational damage, reimbursement or compensation costs, and increased legal and compliance expenses. Records relating to a Fund's assets, transactions or Shareholder ownership may become inaccessible, inaccurate or incomplete.

While the Manager and the Investment Manager have established business continuity plans and risk management strategies to seek to prevent operational, technology and cybersecurity risk through internal controls, procedures, oversight of service providers and business continuity planning, there are inherent limitations in any such measures.

Given the evolving nature of such threats, it is not possible for the Manager and other service providers to identify and address all of the operational, technology and cybersecurity risks that may affect the Company or a Fund or

to develop processes and controls to completely eliminate or mitigate their effects. It is not guaranteed that prevention and remediation efforts will be successful or that incidents will be detected. Furthermore, none of the Manager or the Investment Manager can control the business continuity plans or cybersecurity strategies put in place by other service providers to the Company or a Fund or by issuers of securities, counterparties and other third parties whose activities affect the Company or a Fund. A Fund may incur significant costs in seeking to prevent, mitigate or remediate operational, technology and cybersecurity risks, which could adversely affect its performance.

Reference Rate Risk

Certain of the Funds' investments, benchmarks and payment obligations may be based on floating rates, such as the European Interbank Offer Rate ("EURIBOR"), Sterling Overnight Index Average ("SONIA"), and other similar types of reference rates ("Reference Rates"). The changes or reforms to the determination or supervision of Reference Rates could have an adverse impact on the market for, or value of, any securities or payments linked to those Reference Rates. In addition, any substitute Reference Rate and any pricing adjustments imposed by a regulator or by counterparties or otherwise may adversely affect a Fund's performance and/or Net Asset Value.

Ownership Limitation Risks

The Company may be restricted by law, regulation, or otherwise, in its investment activities due to ownership threshold limits and reporting obligations that operate, in certain regulated industries or in certain international markets. Such restrictions may apply in aggregate to the accounts of clients (including a Fund) of the BlackRock Group and may adversely impact a Fund's performance and its ability to meet its investment objective through missed investment opportunities. The Investment Manager may also seek to make indirect investments (e.g., through FDIs), when permissible, on behalf of a Fund to receive exposure to certain securities in excess of applicable ownership restrictions. This may lead to a Fund incurring additional costs and risks. There may also be limited availability of FDIs that provide indirect exposure to an impacted security. The BlackRock Group manages the conflict by following an Investment and Trading Allocation Policy, designed to allocate limited investment opportunities among affected accounts fairly and equitably over time.

Ownership threshold limitations are highly complex. A Fund may be subject to multiple ownership limitations, each impacting various securities held by a Fund. Therefore, despite the Investment Manager's intent to comply or seek permission to exceed them, inadvertent breaches or violations may occur and result in enforcement actions, regulatory restrictions, increased compliance costs, or business restrictions.

In addition to the foregoing, ownership threshold limits may trigger reporting requirements to governmental and regulatory authorities, and such reports may entail the disclosure of the identity of a Fund or BlackRock's intended strategy with respect to a security or asset of a Fund.

VALUATION OF THE FUNDS

General

The Net Asset Value per Share in each Fund shall be determined for each Dealing Day, in accordance with the Articles, by dividing the assets of the Fund, less its liabilities, by the number of Shares in issue in respect of that Fund, adjusted by rounding to such number of decimal places as the Directors may determine and agree with the Administrator. Any liabilities of the Company which are not attributable to any Fund shall be allocated pro rata amongst all of the Funds according to their respective Net Asset Values.

Each Fund will be valued for each Dealing Day as at the Valuation Point listed for the Fund in the Primary Market Dealing Timetable. Passively managed Funds will be valued using the index methodology of valuing securities. Depending on the nature of the underlying security, this could be either at the last traded, closing mid-market price or bid price on the relevant market.

A Fund may comprise more than one class of Shares and the Net Asset Value per Share may differ between classes in a Fund. Where a Fund is made up of more than one class of Shares, the Net Asset Value of each class shall be determined by calculating the amount of the Net Asset Value of the Fund attributable to each class. The Net Asset Value per Share of a class shall be calculated by dividing the Net Asset Value of the class by the number of Shares in issue in that class. The Net Asset Value of a Fund attributable to a class shall be determined by establishing the value of Shares in issue in the class and by allocating relevant fees and expenses to the class and making appropriate adjustments to take account of distributions paid out of the Fund, if applicable, and apportioning the Net Asset Value of the Fund accordingly.

All Funds except iShares € Cash UCITS ETF

Assets listed or traded on a Regulated Market for which market quotations are readily available shall be priced at the Valuation Point using the last traded price for equity securities and the closing mid-market price for bond securities on the principal Regulated Market for such Investment (with the exception of iShares \$ Corp Bond Enhanced Active UCITS ETF, iShares \$ EM Bond Active UCITS ETF, iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF, iShares € Corp Bond Enhanced Active UCITS ETF, iShares € Flexible Income Bond Active UCITS ETF, iShares € High Yield Corp Bond Enhanced Active UCITS ETF, iShares AT1 Bond Active UCITS ETF and iShares EM Local Govt Bond Active UCITS ETF, for which bid price for fixed income securities (bonds) will be used and certain assets of specific Funds detailed below which will be valued in accordance with the asset valuation methodology employed by the relevant Benchmark Index). If the assets of a Fund are listed or traded on several Regulated Markets, last traded prices, closing mid-market prices and/or bid prices, as applicable, on the Regulated Market which, in the opinion of the Administrator, constitutes the main market for such assets, will be used.

Fund	Benchmark Index	Securities	Valuation Methodology
iShares \$ Asia Investment Grade Corp Bond UCITS ETF	iBoxx USD Asia ex-Japan Corporates Investment Grade ESG Screened Index	Bonds	Bid price
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	Bloomberg MSCI US Corporate Climate Paris-Aligned ESG Select Index (PAB)	Bonds	Bid price
iShares \$ Development Bank Bonds UCITS ETF	FTSE World Broad Investment-Grade USD Multilateral Development Bank Bond Capped Index	Bonds	Bid price
iShares \$ Intermediate Credit Bond UCITS ETF	Bloomberg U.S. Intermediate Credit Bond Index (Total Return)	Bonds	Bid price
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	Bloomberg MSCI US Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB)	Bonds	Bid price
iShares € Corp Bond 1-5yr UCITS ETF	Bloomberg Euro Corporate 1-5 Year Bond Index	Bonds	Bid price
iShares € Corp Bond BBB-BB UCITS ETF	iBoxx EUR Corporates BBB-BB (5% Issuer Cap) Index	Bonds	Bid price
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	Bloomberg MSCI Euro Corporate Climate Paris-	Bonds	Bid price

Fund	Benchmark Index	Securities	Valuation Methodology
	Aligned ESG Select Index (PAB)		
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	Bloomberg MSCI Euro Corporate ex Financials 1-5 Year ESG SRI Index	Bonds	Bid price
iShares € Corp Bond ex-Financials UCITS ETF	Bloomberg Euro Corporate ex-Financials Bond Index	Bonds	Bid price
iShares € Govt Bond Climate UCITS ETF	FTSE Advanced Climate Risk-Adjusted European Monetary Union Government Bond Index	Bonds	Bid price
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	Bloomberg MSCI Euro Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB)	Bonds	Bid price
iShares Broad \$ Corp Bond UCITS ETF	Bloomberg Global Aggregate Corporate - United States Dollar Index	Bonds	Bid price
iShares Broad \$ High Yield Corp Bond UCITS ETF	ICE BofAML US High Yield Constrained Index	Bonds	Bid price
iShares Broad € High Yield Corp Bond UCITS ETF	ICE BofAML Euro High Yield Constrained Index	Bonds	Bid price
iShares Broad Global Govt Bond UCITS ETF	Bloomberg Global Aggregate Treasuries Index	Bonds	Bid price
iShares Core € Corp Bond UCITS ETF	Bloomberg Euro Corporate Bond Index	Bonds	Bid price
iShares Core Global Aggregate Bond UCITS ETF	Bloomberg Global Aggregate Bond Index	Bonds other than Euro and Sterling Treasury bonds	Bid price
iShares Emerging Asia Local Govt Bond UCITS ETF	Bloomberg Emerging Markets Asia Local Currency Govt Country Capped Index	Bonds	Bid price
iShares Global Aggregate Bond ESG SRI UCITS ETF	Bloomberg MSCI Global Aggregate and Green Bond ESG SRI Index	Bonds	Bid price
iShares € Aggregate Bond ESG SRI UCITS ETF	Bloomberg MSCI Euro Aggregate and Green Bond ESG SRI Index	Bonds other than Euro Treasury bonds	Bid price
iShares Global Govt Bond UCITS ETF	FTSE Group-of-Seven (G7) Government Bond Index	Bonds other than Japanese government bonds	Bid price
iShares Global Real Estate Environmental Tilt UCITS ETF	FTSE EPRA Nareit Developed Green Low Carbon Target Select UCITS Capped Index	Equities	Closing price
iShares J.P. Morgan € EM Bond UCITS ETF	J.P. Morgan Euro EMBI Global Diversified Index	Bonds	Bid price
iShares MSCI Target UK Real Estate UCITS ETF	MSCI UK IMI Liquid Real Estate Index	Equities Bonds	Last traded price Bid price

The value of an Investment listed on a Regulated Market but acquired or traded at a premium or at a discount outside or off the relevant stock exchange or an OTC market may be valued taking into account the level of premium or discount as at the date of valuation of the Investment with the approval of the Depositary, who must

ensure that the adoption of such a procedure is justifiable in the context of establishing the probable realisation value of the Investment.

In the event that any of a Fund's Investments on the relevant Dealing Day are not listed or traded on any Regulated Market and for which market quotations are not readily available, such Investments shall be valued at their probable realisation value determined by the Directors or such other competent person (which may be related to but independent of the Fund) or firm appointed by the Directors and approved by the Depositary (as a competent person for such purpose) with care and in good faith.

The Administrator may use such probable realisation value estimated with care and in good faith as may be recommended by a competent professional appointed by the Directors and who is approved by the Depositary as a competent person for such purpose. Cash and other liquid assets will be valued at their face value with interest accrued, where applicable.

If for specific assets of a Fund the last traded, closing mid-market and/or bid prices, as applicable, do not, in the opinion of the Manager, reflect their fair value or if prices are unavailable, the value shall be calculated with care and in good faith by the Directors or a competent person or firm appointed by the Directors and approved for that purpose by the Depositary, on the basis of the probable realisation value for such assets as at the Valuation Point.

In the event of it being impossible or incorrect to carry out a valuation of a specific Investment in accordance with the valuation rules set out above, or if such valuation is not representative of the fair market value in the context of currency, marketability and such other considerations which are deemed relevant, the Directors are entitled to use other generally recognised valuation methods in order to reach a proper valuation of that specific Investment, provided that such method of valuation has been approved by the Depositary.

Shares, units of or participations in open-ended collective investment schemes will be valued at the latest available net asset value of such share, unit or participation as published by such open-ended collective investment scheme; shares, units of or participations in collective investment schemes will, if listed, or traded on a Regulated Market, be valued in accordance with the provisions above which apply to Investments listed or normally dealt in on a Regulated Market, except in the case of the Multi-Asset Funds where the latest available net asset value for exchange traded funds will be used.

Any value and borrowing expressed otherwise than in the Base Currency of a Fund (whether of an Investment or cash) shall be converted into the Fund's Base Currency at the rate (whether official or otherwise) which the Administrator deems appropriate in the circumstances.

Exchange-traded FDI will be valued for each Dealing Day at the settlement price for such instruments as at the Valuation Point. If such price is not available such value shall be the probable realisation value estimated with care and in good faith by the Directors or a competent person or firm appointed by the Directors and approved for such purpose by the Depositary.

The value of any OTC FDI contracts shall be (a) a quotation from the counterparty or (b) an alternative valuation, such as model pricing, calculated by the Company or an independent pricing vendor (which may be a party related to but independent of the counterparty which does not rely on the same pricing models employed by the counterparty) provided that: (i) where a counterparty valuation is used, it must be provided on at least a daily basis and approved or verified at least weekly by a party independent of the counterparty, which may be the Investment Manager or the Administrator (approved for the purpose by the Depositary); (ii) where an alternative valuation is used (i.e. a valuation that is provided by a competent person appointed by the Manager or Directors and approved for that purpose by the Depositary (or a valuation by any other means provided that the value is approved by the Depositary)), it must be provided on a daily basis and the valuation principles employed must follow best international practice established by bodies such as IOSCO (International Organisation of Securities Commission) and AIMA (the Alternative Investment Management Association) and any such valuation shall be reconciled to that of the counterparty on a monthly basis. Where significant differences arise these must be promptly investigated and explained.

Forward foreign exchange and interest rate swaps contracts for which market quotations are freely available may be valued in accordance with the previous paragraph or by reference to market quotations (in which case there is no requirement to have such prices independently verified or reconciled to the counterparty valuation).

iShares € Cash UCITS ETF

When calculating the Net Asset Value of the Fund, the Investments shall be valued using the mark-to-market method where possible otherwise the mark-to-model method will be used. Such Net Asset Value per Share shall be calculated to four decimal places.

Where possible, mark-to-market valuation shall be used. The Investment shall be valued at the more prudent side of bid and offer unless the asset can be closed out at mid-market. Only good quality market data shall be used and such data shall be assessed on the basis of the following factors: (i) the number and quality of the counterparties; (ii) the volume and turnover in the market of the Investment; (iii) the issue size and the portion of the issue that the Fund plans to buy or sell. Market prices may be obtained from market quotations or from a recognised independent third party pricing service or a principal market maker.

Where use of mark-to-market valuation as described above is not possible or the market data is not of sufficient quality (e.g. because the market data is unrepresentative in the opinion of the Directors (or their delegate)), an

Investment shall be valued conservatively by using mark-to-model. The model shall be operated with care and in good faith by the Manager, as its delegate. One or more of a variety of models may be used (depending on factors including the asset type). The model shall accurately estimate the intrinsic value of the Investment (i.e. its probable realisation value) based on all of the following up-to-date key factors: (a) the volume and turnover in the market of that Investment; (b) the issue size and the portion of the issue that the Fund plans to buy or sell; and (c) market risk, interest rate risk and credit risk attached to the Investment. When using mark-to-model, the amortised cost shall not be used.

Publication of Net Asset Value and Net Asset Value per Share

Except where the determination of the Net Asset Value has been suspended in the circumstances described under "Temporary Suspension of Valuation of the Shares and of Sales, Redemptions and Switching" on pages 200 to 201, the Net Asset Value per Share for each Fund shall be made available at the registered office of the Administrator on or before the close of business of each Dealing Day. In addition, the Net Asset Value per Share for each class of Shares in each Fund shall also be published daily on the Business Day following the Valuation Point for the applicable Fund by means of a Regulatory Information Service or the official iShares website (www.iShares.com), which shall be kept up to date, and such other publications and with such frequency as the Directors may determine. The publishing of the Net Asset Value per Share for each class of Shares in each Fund is for information purposes only, and is not an invitation to apply for, redeem or switch Shares at the published Net Asset Value per Share.

Indicative Net Asset Value

The indicative net asset value (iNAV) is the net asset value per share of each class of Shares in a Fund calculated on a real time basis (every 15 seconds) during trading hours. The values are intended to provide investors and market participants with a continuous indication of the value of each class of Shares. The values are usually calculated based on a valuation of the actual Fund portfolio using real-time prices from Tradeweb Markets LLC and other sources.

The Investment Manager has appointed Tradeweb Markets LLC to calculate and publish the iNAVs of each class of Shares. These iNAVs are published by the relevant stock exchanges. There are provisions for the BlackRock Group to receive payments from the iNAV provider for its engagement in the development and enhancement of service levels.

An iNAV is not, and should not be taken to be or relied on as being, the value of a Share or the price at which Shares may be subscribed for or redeemed or purchased or sold on any relevant stock exchange. In particular, any iNAV provided for a Fund where the constituents of the Benchmark Index or Investments are not actively traded during the time of publication of such iNAV may not reflect the true value of a Share and may therefore be misleading and should not be relied on. The inability of the Investment Manager or its designee to provide an iNAV, on a real-time basis, or for any period of time, will not in itself result in a halt in the trading of the Shares on a relevant stock exchange, which will be determined by the rules of the relevant stock exchange in the circumstances. Investors should be aware that the calculation and reporting of any iNAV may reflect time delays in the receipt of the prices of the relevant constituent securities in comparison to other calculated values based upon the same constituent securities including, for example, the Benchmark Index or Investments itself or the iNAV of other exchange traded funds based on the same Benchmark Index or Investments. Investors interested in dealing in Shares on a relevant stock exchange should not rely solely on any iNAV which is made available in making investment decisions, but should also consider other market information and relevant economic and other factors (including, where relevant, information based on the Benchmark Index or Investments corresponding to a Fund). None of the Company, the Directors, the Investment Manager or its designee, the Depositary, the Administrator, and Authorised Participant and the other service providers shall be liable to any person who relies on the iNAV.

Income Equalisation

For tax and accounting purposes, the Manager may implement income equalisation arrangements with a view to ensuring that the level of income derived from Investments is not affected by the issue, switching or redemption of Shares during the relevant accounting period.

DEALINGS IN THE COMPANY

The Funds are exchange traded funds which means that the Shares of the Funds are listed on one or more stock exchanges. Certain market makers and brokers are authorised by the Company to subscribe and redeem Shares of the Funds directly with the Company in the Primary Market and they are referred to as "Authorised Participants". Such Authorised Participants generally have the capability to deliver the Shares of the Funds within the clearing systems relevant to the stock exchanges on which the Shares are listed. Authorised Participants usually sell the Shares they subscribe to on one or more stock exchanges, the Secondary Market, where such Shares become freely tradable. Potential investors who are not Authorised Participants can purchase and sell the Shares of the Funds on the Secondary Market through a broker/dealer on a recognised stock exchange or OTC. For further details of such brokers please contact the Investment Manager.

The investors in iShares € Cash UCITS ETF shall provide, and authorise intermediaries to provide, information requested by the Company, the Manager, Investment Manager or a delegate in order for the Manager to comply with the "Know your customer" requirements of Article 27 of the MMF Regulation. This information shall include, but is not limited to, investor type, the number of Shares owned by any investor and the evolution of inflows and outflows in respect of any investor. This information would be requested for the purpose of enabling the Manager to consider (a) identifiable patterns in investor cash needs, including the cyclical evolution of the number of Shares of the applicable Money Market Fund; (b) the risk aversion of investors; and (c) the degree of correlation or close links between investors, with a view to the Manager appropriately managing the liquidity and investor concentration of the relevant Money Market Fund.

The section titled "Procedure for Dealing on the Primary Market" relates to subscriptions and redemptions between the Company and Authorised Participants. Investors who are not Authorised Participants should refer to the section below titled "Procedure for Dealing on the Secondary Market".

PROCEDURE FOR DEALING ON THE PRIMARY MARKET

The Primary Market is the market on which Shares of the Funds are issued or redeemed by the Company at the request of Authorised Participants. Only Authorised Participants are able to effect subscriptions and redemptions of Shares on the Primary Market.

Applicants wishing to deal on the Primary Market in respect of the Funds have to satisfy certain eligibility criteria, and be registered with the Company, to become Authorised Participants. In addition, all applicants applying to become Authorised Participants must first complete the Company's Account Opening Form which may be obtained from the Administrator and satisfy certain anti-money laundering checks. The signed original Account Opening Form should be sent to the Administrator. Applicants wishing to become Authorised Participants should contact the Investment Manager or the Electronic Order Entry Facility Operator for further details. The Company has absolute discretion to accept or reject any Account Opening Form and to revoke any authorisation to act as an Authorised Participant. The Common Depositary's Nominee, acting as the registered holder of Shares in the Funds, may not apply to become an Authorised Participant.

Authorised Participants may submit dealing requests for subscriptions or redemptions of Shares in a Fund through the Electronic Order Entry Facility. The use of the Electronic Order Entry Facility is subject to the prior consent of the Electronic Order Entry Facility Operator and the Administrator and must be in accordance with and comply with the requirements of the Central Bank. Requests for subscriptions and redemptions placed electronically are subject to the dealing request cut off times stated in the Primary Market Dealing Timetable. Alternative dealing methods are available with the consent of the Investment Manager and in accordance with the requirements of the Central Bank.

All dealing applications are at the Authorised Participant's own risk. Dealing requests, once submitted, shall (save as determined by the Investment Manager or the Electronic Order Entry Facility Operator at its discretion) be irrevocable. The Company, the Investment Manager, the Electronic Order Entry Facility Operator and the Administrator shall not be responsible for any losses arising in the transmission of Account Opening Forms or for any losses arising in the transmission of any dealing request through the Electronic Order Entry Facility or any alternative dealing method approved by the Investment Manager or the Electronic Order Entry Facility Operator. Amendments to registration details and payment instructions will only be effected upon receipt by the Company of the original documentation.

Authorised Participants are responsible for ensuring that they are able to satisfy their purchase and redemption settlement obligations when submitting dealing requests on the Primary Market. Authorised Participants making redemption requests must first ensure that they have a sufficient holding of Shares available for redemption (which holding in the required number of Shares must be delivered to the Administrator for settlement in the relevant International Central Securities Depositary by the relevant settlement date). Redemption requests will be processed only where the payment is to be made to the Authorised Participant's account of record.

Portfolio Composition File

The Company publishes a Portfolio Composition File for each Launched Share Class providing an indication of the Investments of each Current Fund. In addition, the Portfolio Composition File also sets out the Cash Component to be delivered (a) by Authorised Participants to the Company in the case of subscriptions; or (b) by the Company to the Authorised Participants in the case of redemptions.

The Portfolio Composition File for each Launched Share Class of each of the Current Funds for each Dealing Day may be requested by Authorised Participants from the Investment Manager.

Dealings in Kind, in Cash and Directed Cash Dealings

Shares may be subscribed for and redeemed on each Dealing Day.

The Company has absolute discretion to accept or reject in whole or in part any application for Shares without assigning any reason therefor. The Company also has absolute discretion (but shall not be obliged) to reject or cancel in whole or in part any subscription for Shares prior to the issue of Shares to an applicant (notwithstanding the application having been accepted) and the registration of the same in the name of the Common Depositary's Nominee in the event that any of the following occurs to the Authorised Participant (or its parent company or ultimate parent company): an Insolvency Event; a downgrading of credit rating; being placed on a watchlist (with negative implications) by a credit rating agency; or where the Company (or its Manager or Investment Manager) has reasonable grounds to conclude that the relevant Authorised Participant may be unable to honour its settlement obligations or that the Authorised Participant poses a credit risk to the Funds. In addition, the Company may impose such restrictions as it believes necessary to ensure that no Shares are acquired by persons who are not Qualified Holders.

The Company may accept subscriptions and pay redemptions either in kind or in cash or in a combination of both. The Company may determine whether to accept subscriptions in kind and/or in cash at its absolute discretion. The Company may determine whether to accept in kind redemption requests at its absolute discretion. The Company has the right to determine whether it will only accept requests for redemptions from an Authorised Participant in kind and/or in cash on a case by case basis in the event that any of the following occurs to the Authorised Participant (or its parent company or ultimate parent company): an Insolvency Event; a downgrading of credit rating; being placed on a watchlist (with negative implications) by a credit rating agency; or where the Company (or its Manager

or Investment Manager) has reasonable grounds to conclude that the relevant Authorised Participant may be unable to honour its settlement obligations or that the Authorised Participant poses a credit risk.

Shares may be subscribed at the relevant Net Asset Value per Share together with associated Duties and Charges which may be varied to reflect the cost of execution. Shares may be redeemed at the relevant Net Asset Value per Share less any associated Duties and Charges which may be varied to reflect the cost of execution. The Articles empower the Company to charge such sum as the Manager considers represents an appropriate figure for Duties and Charges. The level and basis of calculating Duties and Charges may also be varied depending on the size of the relevant dealing request and the costs relating to, or associated with, the primary market transactions. Where Authorised Participants subscribe for or redeem Shares in cash in a currency that is different from the currencies in which the relevant Fund's underlying investments are denominated, the foreign exchange transaction costs associated with converting the subscription amount to the currencies needed to purchase the underlying investments (in the case of a subscription) or converting the sale proceeds from selling the underlying investments to the currency needed to pay redemption proceeds (in the case of a redemption) will be included in the Duties and Charges which are applied to the relevant subscription or redemption amounts (respectively) paid or received (as the case may be) by such Authorised Participants.

Where Authorised Participants subscribe for or redeem Shares in a Currency Hedged Share Class, the transaction costs associated with increasing (in the case of a subscription) or decreasing (in the case of a redemption) such hedge will be included in the Duties and Charges which are applied to the relevant subscription or redemption amounts (respectively) paid or received (as the case may be) by such Authorised Participants.

In some cases, the level of Duties and Charges has to be determined in advance of the completion of the actual purchase or sale of Investments or execution of associated foreign exchange by or on behalf of the Company and the subscription or redemption price may be based on estimated Duties and Charges (which could be based on historic information concerning the costs incurred or expected costs in trading the relevant securities in the relevant markets). Where the sum representing the subscription or redemption price is based on estimated Duties and Charges which turn out to be different to the costs actually incurred by a Fund when acquiring or disposing of Investments as a result of a subscription or redemption, the Authorised Participant shall reimburse the Fund for any shortfall in the sum paid to the Fund (on a subscription) or any excess sum received from the Fund (on a redemption), and the Fund shall reimburse the Authorised Participant for any excess received by the Fund (on a subscription) or any shortfall paid by the Fund (on a redemption), as the case may be. Authorised Participants should note that no interest will accrue or be payable on any amount reimbursed or to be reimbursed by a Fund. In order to protect the Funds and holders of their Shares, the Company and the Manager reserve the right to factor into the estimated Duties and Charges a buffer to protect the Fund from potential market and foreign exchange exposure pending the payment of the actual Duties and Charges.

Dealing orders will normally be accepted in multiples of the minimum number of Shares. Such minima may be reduced or increased in any case at the discretion of the Manager. Authorised Participants should refer to the Electronic Order Entry Facility for details of minimum subscription and redemption orders for the Current Funds. Details in relation to the Valuation Points and cut-off times for the Current Funds are also set out in the Primary Market Dealing Timetable below. Details of the dealing cut-off times for subscription and redemption orders are also available from the Administrator. There are no minimum holding requirements for the Funds as at the date of this Prospectus. Details of the initial offer period and initial offer price are set out in the Primary Market Initial Dealing Timetable below.

Applications received after the times listed in the Primary Market Dealing Timetable will generally not be accepted for dealing on the relevant Dealing Day. However, such applications may be accepted for dealing on the relevant Dealing Day, at the discretion of the Company, Manager or the Investment Manager, in exceptional circumstances, provided they are received prior to the Valuation Point. Settlement of the transfer of Investments and/or cash payments in respect of subscriptions and redemptions must take place within a prescribed number of Business Days after the Dealing Day (or such earlier time as the Manager may determine in consultation with the Authorised Participant). Authorised Participants should refer to the Electronic Order Entry Facility for details of the maximum and minimum settlement times (which can range from one to four Business Days) in respect of subscriptions and redemptions. If a Significant Market is closed for trading or settlement on any Business Day during the period between the relevant Dealing Day and the expected settlement date (inclusive), and/or settlement in the base currency of the Fund is not available on the expected settlement date, there may be corresponding delays to the settlement times (but such delays will not exceed the regulatory requirements for settlement).

If a redeeming Authorised Participant requests redemption of a number of Shares representing 5% or more of the Net Asset Value of a Fund, the Directors may, in their sole discretion, redeem the Shares by way of a redemption in kind and in such circumstances the Directors will, if requested by the redeeming Authorised Participant, sell the Investments on behalf of the Authorised Participant. (The cost of the sale can be charged to the Authorised Participant).

If redemption requests on any Dealing Day amount to Shares representing 10% or more of the Net Asset Value of a Fund, the Manager may, in its discretion, refuse to redeem any Shares representing in excess of 10% of the Net Asset Value of the Fund (at any time including after the cut-off time on the Dealing Day). Any request for redemption on such Dealing Day shall be reduced rateably and the redemption requests shall be treated as if they were received on each subsequent Dealing Day until all Shares to which the original request related have been redeemed.

Settlement for redemptions will normally be made within ten Business Days of the Dealing Day. Payment of redemption proceeds to the account instructed by the Authorised Participant requesting the redemption will be in full discharge of the Company's obligations and liability.

The Investment Manager will carry out the underlying trades for any subscription or redemption request at its absolute discretion and may vary the underlying trades (for example, by staggering the timing of the trades) to take into account (amongst other things) the impact on other Shares in the relevant Fund and on the underlying market, as well as acceptable industry practices.

Dealings in Kind

Shares in certain Funds may be subscribed for and/or redeemed in exchange for in kind assets. Authorised Participants wishing to deal in kind should contact the Investment Manager for a list of Funds which accept dealing requests in kind.

Subscriptions by Authorised Participants for Shares in exchange for in kind assets would need to deliver a basket of underlying securities and a Cash Component (both as determined by the Investment Manager based on the underlying portfolio held, and to be held, by the Fund) to the Fund as part of its settlement obligations.

In the event that an Authorised Participant fails to deliver, or delays in delivering, one or more of the specified underlying securities by the relevant settlement date, the Company may (but shall not be obliged to) require the Authorised Participant to pay to it a sum equal to the value of such underlying securities plus any Duties and Charges associated with the purchase by the Company of such underlying securities, including any foreign exchange costs and other fees, and/or costs incurred as a result of the delay.

Redemptions by Authorised Participants in exchange for in kind assets would receive their redemption proceeds in the form of underlying securities and, if relevant, a Cash Component, as determined by the Investment Manager based on the Fund's underlying portfolio.

Directed Cash Dealings

If any Authorised Participant initiating a cash subscription, switch or redemption wishes to have the underlying securities traded with a particular designated broker (i.e. a directed cash subscription, switch or redemption), the Authorised Participant would need to specify the designated broker in its dealing request. The Investment Manager will use reasonable endeavours to transact the underlying securities with the designated broker (save in exceptional market circumstances), subject to the designated broker and its sub-brokers being acceptable to the Investment Manager and being able to transact the underlying securities. Authorised Participants that wish to select a designated broker are required, prior to the Investment Manager transacting the underlying securities, to contact the relevant portfolio trading desk of the designated broker to arrange the trade and to agree pricing and other terms of the trade.

As part of the Authorised Participant's settlement obligations for a directed cash subscription or switch, the Authorised Participant would be responsible for (i) ensuring that the designated broker transfers to the Fund (via the Depositary) the relevant underlying securities, and (ii) paying the fees and costs charged by the designated broker for selling the relevant underlying securities to the Fund plus any associated Duties and Charges, including foreign exchange costs, to reflect the cost of execution.

The Authorised Participant is responsible for ensuring that the designated broker purchases the relevant underlying securities from the Fund for a directed cash redemption. The Authorised Participant will receive the price paid by the designated broker for purchasing the relevant underlying securities from the Fund, less any associated Duties and Charges, including foreign exchange costs, to reflect the cost of execution.

The Investment Manager will not be responsible, and shall have no liability, if the execution of the underlying securities with a designated broker and, by extension, an Authorised Participant's subscription, switch or redemption order, is not carried out due to an omission, error, failed or delayed trade or settlement on the part of the Authorised Participant or the designated broker. It is the responsibility of the Authorised Participant to arrange the trade and agree the pricing and other terms of the trade with its selected designated broker and the Investment Manager will not accept any responsibility or liability if the execution request is not achieved in the way desired by the Authorised Participant for any reason whatsoever. Should an Authorised Participant or the designated broker to which the Authorised Participant directed the underlying securities transaction default on, delay settlement of, or change the terms of, any part of the underlying securities transaction, the Authorised Participant shall bear all associated risks and costs, including costs incurred by the Company and/or the Investment Manager as a result of the delay to the underlying securities transaction. In such circumstances, the Company and the Investment Manager have the right to transact with another broker and to amend the terms of the Authorised Participant's subscription, switch or redemption request, including the subscription price and/or redemption proceeds, to take into account the default, delay and/or the change to the terms.

The following only applies to Funds that invest directly in Kingdom of Saudi Arabia securities

The Company will only accept subscriptions and pay redemptions in respect of Shares in the relevant Fund in cash.

The Company, or the Investment Manager or Electronic Order Entry Facility Operator, may delay, suspend and/or reject any directed cash subscription or any directed cash redemption request from Authorised Participants in respect of Shares in the relevant Funds if in the view of the Company, Investment Manager or Electronic Order Entry Facility Operator such requests may trigger the Kingdom of Saudi Arabia Trading Prohibition.

The relevant Fund must, in accordance with the requirements in the Kingdom of Saudi Arabia including the Kingdom of Saudi Arabia T+2 Cash Settlement Requirement, have the full cash amount to cover the cost of the acquisition of Saudi listed shares in SAR in the local Kingdom of Saudi Arabia sub-custody account with the Kingdom of Saudi Arabia Sub-custodian in the Kingdom of Saudi Arabia within two business days of such trade. Accordingly, each Authorised Participant requesting a subscription of Shares in the relevant Fund is required to deliver the T+2 Cash Settlement Requirement Cash Amount to cover the purchase by the relevant Fund of underlying Saudi listed shares in connection with its subscription request, for the Authorised Participant's subscription request to be a valid application. The initial T+2 Cash Settlement Requirement Cash Amount would be based on an estimated subscription price using estimated Duties and Charges. The final subscription price can be confirmed only once all the underlying Saudi listed shares required to be purchased in connection with the subscription have been acquired by the relevant Fund. If the T+2 Cash Settlement Requirement Cash Amount is not in SAR (for example if it is provided in USD), it must be subsequently converted to SAR to be remitted into the Kingdom of Saudi Arabia for investment purposes.

In circumstances where any T+2 Cash Settlement Requirement Cash Amount paid by an Authorised Participant is subsequently determined to have been in excess of the final subscription price (including final Duties and Charges) for the relevant Shares on the Dealing Day by reference to which the subscription was effected, the excess cash amount will be held in custody on a temporary basis and will be reimbursed to the relevant Authorised Participant as soon as practicable, net of any foreign exchange transaction cost associated with converting such amount from SAR to USD (and to any other relevant currency) and repatriating such cash so that it can be paid to the Authorised Participant.

In the event that the T+2 Cash Settlement Requirement Cash Amount is insufficient to purchase all the underlying securities in connection with the subscription, the relevant Fund may not be able to acquire all the requisite underlying securities during the initial purchase and will need to carry out one or more further purchases on subsequent day(s) or rely on borrowing cash from the relevant custodian. Similarly, if restrictions under Kingdom of Saudi Arabia laws, regulations and/or stock exchange rules, or the suspension of trading of particular Kingdom of Saudi Arabia securities, or a delay in the remittance of SAR to the Kingdom of Saudi Arabia restrict the relevant Fund from acquiring all the requisite underlying securities during the initial purchase (see sections above titled "QFI Regime Foreign Ownership Limits" for circumstances in which such restrictions may be triggered), the relevant Fund will also need to carry out one or more further purchases on subsequent day(s). The market risk arising from the timing of the placement of further underlying trades and any delay in trading will be borne by the Authorised Participant. In the event of any funding shortfall, the Authorised Participant would be required to deliver, in accordance with the relevant Fund's stated timeline and procedure (available from the Administrator and / or on the Electronic Order Entry Facility, as defined in the section entitled "Procedure for dealing on the primary market"), additional sums to make up any funding shortfall to enable further purchases to be made until all the requisite underlying Kingdom of Saudi Arabia securities have been acquired for the relevant Fund. In order to reduce the risk of an Authorised Participant having to pay a funding shortfall and to protect the relevant Fund and its Shareholders, a buffer to cover expected market and foreign exchange volatility will be added to estimated Duties and Charges in the T+2 Cash Settlement Requirement Cash Amount and any additional sums payable by the Authorised Participant to cover a funding shortfall. In circumstances where additional sums are payable by an Authorised Participant to cover a funding shortfall after the Authorised Participant has received Shares subscribed in the relevant Fund, the relevant Fund will have a credit exposure as an unsecured creditor in respect of such additional sums.

The foreign exchange transaction costs associated with conversions made in relation to subscriptions and redemptions and the risk of a potential difference between the USD and SAR (and any other relevant currency in which subscriptions and redemptions are accepted from time to time) will be borne by the relevant Authorised Participant and included in the final Duties and Charges which are applied to the relevant subscription or redemption amounts paid or received (respectively) by such Authorised Participant. Authorised Participants should note that no interest will accrue on the relevant Reimbursement Amount and interest shall therefore not be payable by the relevant Fund to the relevant Authorised Participant in respect of any such amount.

In the event that an Authorised Participant fails to deliver the T+2 Cash Settlement Requirement Cash Amount in full within the stated time for the relevant Fund (available from the Administrator and/or on the Electronic Order Entry Facility), the subscription application shall not be valid and the Company and/or Investment Manager reserves the right (but shall not be obliged) to reject or cancel the relevant subscription application. In the event that a subscription application is not accepted, any subscription amount already paid by the Authorised Participant to the relevant Fund will be returned to the Authorised Participant (without any interest and less any foreign exchange transaction cost and other transaction costs incurred).

Clearing and Settlement

Authorised Participants' title and rights relating to Shares in the Funds will be determined by the clearance system through which they settle and/or clear their holdings. Shares in the Funds will settle through the relevant International Central Securities Depositories and the Common Depositary's Nominee will act as the registered holder of all such Shares. For further details, see the section "Global Clearing and Settlement" below.

PRIMARY MARKET INITIAL DEALING TIMETABLE

Fund Name	Initial Share Class	Initial Offer Period*	Initial Offer Price	Commencement of Dealings (anticipated)
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	US Dollar Accumulating US Dollar Distributing	Initial Offer Period opened at 9.00am (Irish time) on 25 May 2022 and has been extended to 12.00 noon (Irish time) on 29 January 2027.	US\$5	29 January 2027
iShares EM Local Govt Bond Active UCITS ETF	USD Accumulating	Initial Offer Period opened at 9.00am (Irish time) on 1 April 2026 and has been extended to 12.00 noon (Irish time) on 29 January 2027.	US\$5	29 January 2027
iShares India Equity Enhanced Active UCITS ETF	USD Accumulating	Initial Offer Period opened at 9.00am (Irish time) on 6 July 2026 and has been extended to 12.00 noon (Irish time) on 29 January 2027.	US\$5	29 January 2027
iShares World Thematic Rotation Active UCITS ETF	USD Accumulating	Initial Offer Period opened at 9.00am (Irish time) on 28 May 2026 and has been extended to 12.00 noon (Irish time) on 29 January 2027.	US\$5	29 January 2027

* The initial offer period may be shortened, extended, changed to an earlier date, or changed to a later date by the Directors.

PRIMARY MARKET DEALING TIMETABLE

Fund Name	Fund Valuation Point on DD*	Dealing request cut off on DD (Cash/Market Trade dealings and, where available, In Kind FOP/OTC DVP dealings) (or, in exceptional circumstances, such later time as approved by the Manager in its absolute discretion)** Authorised Participants should refer to the Electronic Order Entry Facility for further details.
iShares \$ Asia Investment Grade Corp Bond UCITS ETF	11.00 pm	11.00am***
iShares \$ Corp Bond Enhanced Active UCITS ETF	11.00pm	8.00pm
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	11.00pm	8.00pm
iShares \$ Development Bank Bonds UCITS ETF	11.00 pm	8.00 pm
iShares \$ EM Bond Active UCITS ETF	11.00pm	8:00pm
iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF	11.00 pm	8.00 pm
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	11.00 pm	8.00 pm
iShares \$ Intermediate Credit Bond UCITS ETF	11.00 pm	8.00 pm
iShares € Aggregate Bond ESG SRI UCITS ETF	11.00 pm	4.00 pm
iShares € Cash UCITS ETF	11.00 pm	4.00 pm
iShares € Corp Bond 1-5yr UCITS ETF	11.00 pm	4.00 pm
iShares € Corp Bond BBB-BB UCITS ETF	11.00 pm	4.00 pm
iShares € Corp Bond Enhanced Active UCITS ETF	11.00 pm	4.00 pm
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	11.00pm	4.00pm
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	11.00 pm	4.00 pm
iShares € Corp Bond ex-Financials UCITS ETF	11.00 pm	4.00 pm
iShares € Covered Bond UCITS ETF	11.00 pm	4.00 pm
iShares € Flexible Income Bond Active UCITS ETF	11.00 pm	4.00 pm
iShares € Govt Bond 0-1yr UCITS ETF	11.00 pm	4.00 pm
iShares € Govt Bond 10-15yr UCITS ETF	11.00 pm	4.00 pm
iShares € Govt Bond 5-7yr UCITS ETF	11.00 pm	4.00 pm
iShares € Govt Bond Climate UCITS ETF	11.00 pm	4.00 pm
iShares € High Yield Corp Bond Enhanced Active UCITS ETF	11.00 pm	4.00 pm
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	11.00 pm	4.00 pm

Fund Name	Fund Valuation Point on DD*	Dealing request cut off on DD (Cash/Market Trade dealings and, where available, In Kind FOP/OTC DVP dealings) (or, in exceptional circumstances, such later time as approved by the Manager in its absolute discretion)** Authorised Participants should refer to the Electronic Order Entry Facility for further details.
iShares £ Corp Bond ex-Financials UCITS ETF	11.00 pm	4.00 pm
iShares AI Adopters & Applications UCITS ETF	11.00 pm	4.00 am***
iShares AI Infrastructure UCITS ETF	11.00 pm	4.00 am***
iShares AI Innovation Active UCITS ETF	11.00 pm	4.00am***
iShares Asia ex Japan Equity Enhanced Active UCITS ETF	11.00 pm	4.00 am***
iShares AT1 Bond Active UCITS ETF	11.00 pm	8.00 pm
iShares Blockchain Technology UCITS ETF	11.00 pm	4.00 am***
iShares Broad \$ Corp Bond UCITS ETF	11.00 pm	8.00 pm
iShares Broad \$ High Yield Corp Bond UCITS ETF	11.00 pm	8.00 pm
iShares Broad € High Yield Corp Bond UCITS ETF	11.00 pm	4.00 pm
iShares Broad Global Govt Bond UCITS ETF	11.00 pm	4.00 am***
iShares Conservative Portfolio UCITS ETF	11.00 pm	2.00 pm
iShares Core € Corp Bond UCITS ETF	11.00 pm	4.00 pm
iShares Core € Govt Bond UCITS ETF	11.00 pm	4.00 pm
iShares Core Global Aggregate Bond UCITS ETF	11.00 pm	4.00 am***
iShares Core MSCI Europe UCITS ETF EUR (Acc)	11.00 pm	3.30 pm
iShares Core MSCI Japan IMI UCITS ETF	11.00 pm	4.00 am***
iShares Core MSCI World UCITS ETF	11.00 pm	4.00 am***
iShares EM Local Govt Bond Active UCITS ETF	11.00 pm	4.00 am***
iShares Emerging Asia Local Govt Bond UCITS ETF	11.00 pm	4.00 am***
iShares Emerging Markets Equity Enhanced Active UCITS ETF	11.00 pm	4.00 am***
iShares Europe Equity Enhanced Active UCITS ETF	11.00 pm	3.30 pm
iShares Global Aggregate Bond ESG SRI UCITS ETF	11.00pm	4.00am***
iShares Global Govt Bond UCITS ETF	11.00 pm	4.00 am***
iShares Global Inflation Linked Govt Bond UCITS ETF	11.00 pm	4.00 am***

Fund Name	Fund Valuation Point on DD*	Dealing request cut off on DD (Cash/Market Trade dealings and, where available, In Kind FOP/OTC DVP dealings) (or, in exceptional circumstances, such later time as approved by the Manager in its absolute discretion)** Authorised Participants should refer to the Electronic Order Entry Facility for further details.
iShares Global Real Estate Environmental Tilt UCITS ETF	11.00 pm	4.00 am***
iShares Growth Portfolio UCITS ETF	11.00 pm	2.00 pm
iShares India Equity Enhanced Active UCITS ETF	11.00pm	4.00am***
iShares Japan Equity Enhanced Active UCITS ETF	11.00pm	4.00am***
iShares J.P. Morgan € EM Bond UCITS ETF	11.00 pm	4.30 pm
iShares J.P. Morgan EM Local Govt Bond UCITS ETF	11.00 pm	4.00 am***
iShares Moderate Portfolio UCITS ETF	11.00 pm	2.00 pm
iShares MSCI Australia UCITS ETF	11.00 pm	4.00 am***
iShares MSCI EM Small Cap UCITS ETF	11.00 pm	4.00 am***
iShares MSCI EM UCITS ETF USD (Acc)	11.00 pm	4.00 am***
iShares MSCI Europe Small Cap UCITS ETF	11.00pm	3.30pm
iShares MSCI Japan Small Cap UCITS ETF	11.00 pm	4.00 am***
iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF	11.00 pm	4.00 am***
iShares MSCI Pacific ex-Japan UCITS ETF	11.00 pm	4.00 am***
iShares MSCI Saudi Arabia Capped UCITS ETF	11.00 pm	12.00 pm
iShares MSCI South Africa UCITS ETF	11.00 pm	2.30 pm
iShares MSCI Target UK Real Estate UCITS ETF	11.00 pm	3.30 pm
iShares MSCI World ex-USA UCITS ETF	11.00 pm	4.00 am***
iShares MSCI World Paris-Aligned Climate UCITS ETF	11.00pm	4.00am***
iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF	11.00 pm	4.00 am***
iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF	11.00pm	4.00am***
iShares MSCI World Small Cap UCITS ETF	11.00pm	4.00 am***
iShares S&P 500 Equal Weight UCITS ETF	11.00 pm	8.00 pm
iShares S&P 500 Scored and Screened UCITS ETF	11.00 pm	8.00 pm
iShares S&P SmallCap 600 UCITS ETF	11.00 pm	8.00 pm

Fund Name	Fund Valuation Point on DD*	Dealing request cut off on DD (Cash/Market Trade dealings and, where available, In Kind FOP/OTC DVP dealings) (or, in exceptional circumstances, such later time as approved by the Manager in its absolute discretion)** Authorised Participants should refer to the Electronic Order Entry Facility for further details.
iShares U.S. Equity High Income Active UCITS ETF	11.00 pm	8.00 pm
iShares UK Gilts 0-5yr UCTS ETF	11.00 pm	4.00 pm
iShares US Equity Enhanced Active UCITS ETF	11.00 pm	8.00 pm
iShares World Equity Enhanced Active UCITS ETF	11.00pm	4.00 am***
iShares World Equity Factor Rotation Active UCITS ETF	11.00pm	4.00am***
iShares World Equity High Income Active UCITS ETF	11.00pm	4.00 am***
iShares World Thematic Rotation Active UCITS ETF	11.00pm	4.00 am***

This Primary Market Dealing Timetable is applicable to Authorised Participants that are able to effect subscriptions and redemptions of Shares with the Company on the Primary Market. Authorised Participants should also refer to the terms of the Electronic Order Entry Facility.

“BD” means Business Day and “DD” means Dealing Day. Any application received after the cut off time on a Dealing Day will be treated as an application for the next Dealing Day.

*The Fund Valuation Point relevant to an application is the Fund Valuation Point on the Dealing Day for which that application is treated as being received.

** Dealing requests received after the cut off time for a Fund may be accepted in exceptional circumstances at the discretion of the Manager, provided always that the application is received before the Fund Valuation Point on the relevant Dealing Day for which the application is treated as being received. Applications received after the relevant Fund Valuation Point will be treated as applications for the next Dealing Day.

*** The cut off time for this Fund reflects that some, or all, of the Fund’s underlying assets are traded in time zones earlier than the European time zone.

Subscription and redemption orders will normally be accepted in multiples of the minimum number of Shares set at the discretion of the Manager or the Investment Manager. Authorised Participants should refer to the Electronic Order Entry Facility for details of minimum subscription and redemption orders for the Launched Share Classes.

Earlier or later times may be determined by the Manager or the Investment Manager at their discretion with prior notice to Authorised Participants.

On the Dealing Day prior to 25 December and 1 January, dealing requests for subscriptions or redemptions must be received by the earlier of the stated dealing request cut-off and 12.00 noon.

NOTE: ALL TIME REFERENCES IN THIS DEALING TIMETABLE ARE TO GREENWICH MEAN TIME (GMT), OR BRITISH SUMMER TIME (BST), WHEN SUCH IS APPLICABLE – NOT CENTRAL EUROPEAN TIME (CET).

Failure to Deliver

In the event that (i) in respect of an in kind dealing resulting in a creation, an Authorised Participant fails to deliver the required Investments and Cash Component, or (ii) in relation to a cash creation, an Authorised Participant fails to deliver the required cash, or (iii) in respect of a directed cash dealing resulting in a creation, an Authorised Participant fails to deliver the required cash or its designated broker fails to deliver the underlying Investments, within the stated settlement times for the Current Funds (available on the Electronic Order Entry Facility) the Company and/or Investment Manager reserves the right (but shall not be obliged) to cancel the relevant subscription request. The Authorised Participant shall indemnify the Company for any loss suffered by the Company as a result of a failure or delay by the Authorised Participant to deliver the required Investments and Cash Component or cash and, for directed cash dealings resulting in creations, any loss suffered by the Company as a result of a failure by the designated broker to deliver the required underlying Investments, within the stated settlement times, including (but not limited to) any market exposure, interest charges and other costs suffered by the Fund. The Company reserves the right to cancel the provisional allotment of the relevant Shares in those circumstances.

The Directors may, in their sole discretion where they believe it is in the best interests of a Fund, decide not to cancel a subscription and provisional allotment of Shares where an Authorised Participant has failed to deliver the required Investment and Cash Component or cash and/or, for directed cash subscriptions, the designated broker has failed to deliver the required underlying Investments, within the stated settlement times. The Company may temporarily borrow an amount equal to the subscription and invest the amount borrowed in accordance with the investment objective and policies of the relevant Fund. Once the required Investments and Cash Component or cash has been received, the Company will use this to repay the borrowings. The Company reserves the right to charge the relevant Authorised Participant for any interest or other costs incurred by the Company as a result of this borrowing. Where a designated broker under a directed cash subscription fails or delays in delivering the required underlying securities, the Company and its Investment Manager has a right to transact with a different broker and to charge the relevant Authorised Participant for any interest or other costs incurred by the Company relating to the failed and new transactions. If the Authorised Participant fails to reimburse the Company for those charges, the Company and/or Investment Manager will have the right to sell all or part of the applicant's holdings of Shares in the Fund or any other Fund of the Company in order to meet those charges.

A redemption request by an Authorised Participant will only be valid if the Authorised Participant satisfies its settlement obligation to deliver holdings in the required number of Shares in that Fund to the Administrator for settlement in the relevant International Central Securities Depositary by the relevant settlement date. In the event an Authorised Participant fails to deliver the required Shares of the relevant Fund in relation to a redemption within the stated settlement times for the Current Funds (available on the Electronic Order Entry Facility), the Company and/or Investment Manager reserves the right (but shall not be obliged) to treat this as a settlement failure by the Authorised Participant and to cancel the relevant redemption order and the Authorised Participant shall indemnify the Company for any loss suffered by the Company as a result of a failure by the Authorised Participant to deliver the required Shares in a timely fashion, including (but not limited to) any market exposure and costs suffered by the Fund.

In the event that an Authorised Participant is liable to reimburse a Fund in respect of Duties and Charges (e.g. for any shortfall in the sum paid to the Fund on a subscription or any excess redemption proceeds received from the Fund on a redemption), the Company reserves the right to charge the relevant Authorised Participant for any interest or other costs incurred by the Company as a result of the Authorised Participant's failure to reimburse the Fund in a timely manner after receiving notice of the sum payable.

PROCEDURE FOR DEALING ON THE SECONDARY MARKET

Shares may be purchased or sold on the Secondary Market by all investors through a relevant recognised stock exchange on which the Shares are admitted to trading, or OTC.

It is expected that the Shares of the Funds will be listed on one or more recognised stock exchanges. The purpose of the listing of the Shares on recognised stock exchanges is to enable investors to purchase and sell Shares on the Secondary Market, normally via a broker/dealer, in any quantity over a minimum of one Share. In accordance with the requirements of the relevant recognised stock exchange, market-makers (which may or may not be Authorised Participants) are expected to provide liquidity and bid and offer prices to facilitate the Secondary Market trading of the Shares.

All investors wishing to purchase or sell Shares of a Fund on the Secondary Market should place their orders via their broker. Orders to purchase Shares in the Secondary Market through the recognised stock exchanges, or OTC, may incur brokerage and/or other costs which are not charged by the Company and over which the Company and the Manager has no control. Such charges are publicly available on the recognised stock exchanges on which the Shares are listed or can be obtained from stockbrokers.

Investors may redeem their Shares through an Authorised Participant by selling their Shares to the Authorised Participant (directly or through a broker).

The price of any Shares traded on the Secondary Market will be determined by the market and prevailing economic conditions which may affect the value of the underlying assets. The market price of a Share listed or traded on a stock exchange may not reflect the Net Asset Value per Share of a Fund.

The Secondary Market dealing timetable depends upon the rules of the exchange upon which the Shares are dealt or the terms of the OTC trade. Please contact your professional advisor or broker for details of the relevant dealing timetable.

Secondary Market Redemptions

As a UCITS ETF, a Fund's Shares purchased on the secondary market cannot usually be sold directly back to the Fund by investors who are not Authorised Participants. Investors who are not Authorised Participants must buy and sell shares on a secondary market with the assistance of an intermediary (e.g. a stockbroker) and may incur fees and additional taxes in doing so. In addition, as the market price at which the Shares are traded on the secondary market may differ from the Net Asset Value per Share, investors may pay more than the then current Net Asset Value per Share when buying shares and may receive less than the current Net Asset Value per Share when selling them.

An investor (that is not an Authorised Participant) shall have the right, subject to compliance with relevant laws and regulations, to request that the Manager buys back its Shares in respect of a Fund in circumstances where the Manager has determined in its sole discretion that the Net Asset Value per Share of the Fund differs significantly to the value of a Share of the Fund traded on the Secondary Market, for example, where no Authorised Participants are acting, or willing to act, in such capacity in respect of the Fund (a "Secondary Market Disruption Event").

If, in the view of the Manager, a Secondary Market Disruption Event exists, the Manager will issue a "Non-AP Buy-Back Notice" and stock exchange announcement(s) containing the terms of acceptance, minimum redemption amount and contact details for the buy-back of Shares.

The buy-back of Shares will be subject to the provisions of the Articles including, without limitation, provisions relating to temporary suspension of the valuation of Shares and the procedure where redemption requests on a Dealing Day amount to Shares representing 10% or more of the Net Asset Value of a Fund. The Manager's agreement to buy back any Shares is conditional on the Shares being delivered back into the account of the transfer agent at the relevant International Central Securities Depositary (or transfer agent at the relevant Central Securities Depositary (CSD) depending on the settlement model for the relevant Shares) and relevant confirmations given by the Common Depositary. The redemption request will be accepted only on delivery of the Shares.

Shares bought back from an investor who is not an Authorised Participant will be redeemed in cash, except where the buy-back request is in respect of Shares representing 5% or more of the Net Asset Value of a Fund, the Directors may, in their sole discretion redeem the Shares by way of a redemption in kind and in such circumstances the Directors will, if requested by the investor, sell the Investments on behalf of the investor. (The cost of the sale can be charged to the investor). Payment is subject to the investor having first completed any required identification and anti-money laundering checks. In kind redemptions may be available at an investor's request at the Manager's absolute discretion.

Redemption orders will be processed on the Dealing Day on which the Shares are received back into the account of the transfer agent by the dealing cut-off time less any applicable Duties and Charges and other reasonable administration costs, provided that the completed buy-back request has also been received.

The Manager may at its complete discretion determine that the Secondary Market Disruption Event is of a long term nature and is unable to be remedied. In that case the Manager may resolve to compulsorily redeem investors and may subsequently terminate the Fund.

Any investor requesting a buyback of its shares in case of a Secondary Market Disruption Event may be subject to taxes as applicable, including any capital gains taxes or transaction taxes. Therefore, it is recommended that prior to making such a request, the investor seeks professional tax advice in relation to the implications of the buyback under the laws of the jurisdiction in which they may be subject to tax.

GENERAL INFORMATION ON DEALINGS IN THE COMPANY

(a) Initial Offer of Shares – Clearing and Settlement Structure

Shares in the Funds listed in the Primary Market Initial Dealing Timetable above will initially be offered during the initial offer period (which period may be shortened, extended, changed to an earlier date, or changed to a later date by the Directors) and at a price per Share specified in that timetable or, where an approximate price is stated, at a price per Share equal to a multiplier of the relevant Benchmark Index which is calculated as at close of business in the relevant underlying markets. The actual initial price per Share may vary from this estimated price depending on movements in the value of the relevant Benchmark Index between the date of this Prospectus and the date that the initial offer closes. Details of the actual initial price per Share will be available from the Administrator and the Investment Manager.

Account Opening Forms for first time applicants and dealing requests must be received during the initial offer period to receive the initial offer price. Arrangements must also be made by that date for the settlement of the transfer of Investments and cash payments within the settlement times available on the Electronic Order Entry Facility (which can range from one to four Business Days).

Please refer to the Primary Market Initial Dealing Timetable for details of when it is expected that trading in the Shares of the Funds listed in that timetable will commence. The Shares will be admitted to trading upon issue.

Shares in the Current Share Classes of those Funds that are not listed in the Primary Market Initial Dealing Timetable above which are not Launched Share Classes as at the date of this Prospectus (please see pages 24 to 29) will initially be offered between 9.00a.m. (Irish time) on 31 July 2026 and 12.00 noon (Irish time) 29 January 2027 (which period may be shortened, extended, changed to an earlier date, or changed to a later date by the Directors) and at a fixed price per Share of 5 units of the relevant currency (e.g. USD5) or such other amount determined by the Investment Manager at the relevant time and communicated to investors prior to investment.

The Shares of the Funds comprising Current Share Classes are normally listed on the Official List of the UKLA. Launched Share Classes may be listed on the Official List of the UKLA or an alternative stock exchange (please refer to www.ishares.com for details).

Shares will be issued for a price to be satisfied in cash or, where available, in kind, together with any applicable Duties and Charges. The initial Portfolio Composition File (where relevant) will be available upon request from the Administrator.

(b) Title to Shares

As with other Irish companies limited by shares, the Company is required to maintain a register of Shareholders. Shares will be held by the Common Depositary's Nominee (as registered holder) in registered form. Only persons appearing on the register of Shareholders (i.e. the Common Depositary's Nominee) will be a Shareholder. Fractional Shares will not be issued. No temporary documents of title or Share certificates will be issued (save as provided below). A trade confirmation will be sent by the Administrator to the Authorised Participants.

Shares in the Funds may be issued in or converted to dematerialised (or uncertificated) form. In such circumstances, the relevant Funds will apply for admission for clearing and settlement through an appropriate Recognised Clearing System. As the Company is an Irish company, the operation of a Recognised Clearing System in respect of any dematerialised Shares would be governed by the Companies Act, 1990 (Uncertificated Securities) Regulations, 1996.

(c) Global Clearing and Settlement

The Directors have resolved that Shares in the Funds will not currently be issued in dematerialised (or uncertificated) form and no temporary documents of title or share certificates will be issued, other than the Global Share Certificate required for the International Central Securities Depositories (being the Recognised Clearing Systems through which the Funds' Shares will be settled). The Funds have applied for admission for clearing and settlement through the applicable International Central Securities Depositary. The International Central Securities Depositories for the Funds currently are Euroclear and Clearstream and the applicable International Central Securities Depositary for an investor is dependent on the market in which the Shares are traded. All Shares in the Funds will ultimately settle in an International Central Securities Depositary but interests could be held through Central Securities Depositories. A Global Share Certificate in respect of each of the Funds or, where applicable, each Share class thereof will be deposited with the Common Depositary (being the entity nominated by the International Central Securities Depositories to hold the Global Share Certificate) and registered in the name of the Common Depositary's Nominee (being the registered holder of the Shares of the Funds, as nominated by the Common Depositary) on behalf of Euroclear and Clearstream and accepted for clearing through Euroclear and Clearstream. Interests in the Shares represented by the Global Share Certificates will be transferable in accordance with applicable laws and any rules and procedures issued by the International Central Securities Depositories. Legal title to the Shares of the Funds will be held by the Common Depositary's Nominee.

A purchaser of interests in Shares in the Funds will not be a registered Shareholder in the Company, but will hold an indirect beneficial interest in such Shares and the rights of such investors, where they are Participants, shall be governed by their agreement with their International Central Securities Depositary or, where they are not Participants, shall be governed by their arrangement with their respective nominee, broker or Central Securities

Depository (as appropriate) which may be a Participant or have an arrangement with a Participant. All references herein to actions by holders of the Global Share Certificate will refer to actions taken by the Common Depository's Nominee as registered Shareholder following instructions from the applicable International Central Securities Depository upon receipt of instructions from its Participants. All references herein to distributions, notices, reports, and statements to such Shareholder, shall be distributed to the Participants in accordance with such applicable International Central Securities Depository's procedures.

International Central Securities Depositories

All Shares in issue in each of the Funds or, where applicable, each Share Class thereof are represented by a Global Share Certificate and the Global Share Certificate is held by the Common Depository and registered in the name of the Common Depository's Nominee on behalf of an International Central Securities Depository. Beneficial interests in such Shares will only be transferable in accordance with the rules and procedures for the time being of the relevant International Central Securities Depository.

Each Participant must look solely to its International Central Securities Depository for documentary evidence as to the amount of its interests in any Shares. Any certificate or other document issued by the relevant International Central Securities Depository, as to the amount of interests in such Shares standing to the account of any person shall be conclusive and binding as accurately representing such records.

Each Participant must look solely to its International Central Securities Depository for such Participant's share of each payment or distribution made by the Company to or on the instructions of the Common Depository's Nominee and in relation to all other rights arising under the Global Share Certificate. The extent to which, and the manner in which, Participants may exercise any rights arising under the Global Share Certificate will be determined by the respective rules and procedures of their International Central Securities Depository. Participants shall have no claim directly against the Company, the Paying Agent or any other person (other than their International Central Securities Depository) in respect of payments or distributions due under the Global Share Certificate which are made by the Company to or on the instructions of the Common Depository's Nominee and such obligations of the Company shall be discharged thereby. The International Central Securities Depository shall have no claim directly against the Company, Paying Agent or any other person (other than the Common Depository).

The Company or its duly authorised agent may from time to time require investors to provide them with information relating to: (a) the capacity in which they hold an interest in Shares of the Funds; (b) the identity of any other person or persons then or previously interested in such Shares; (c) the nature of any such interests; and (d) any other matter where disclosure of such matter is required to enable compliance by the Company or the Manager with applicable laws or the constitutional documents of the Company.

The Company or its duly authorised agent may from time to time request the applicable International Central Securities Depository to provide the Company with certain details in relation to Participants that hold interests in Shares in each Fund including (but not limited to): ISIN, ICSD Participant name, ICSD Participant type – e.g. fund/bank/individual, residence of ICSD Participants, number of ETFs and holdings of the Participant within Euroclear and Clearstream, as appropriate, including which Funds, types of Shares and the number of interests in the Shares held by each such Participant, and details of any voting instructions given by each such Participant. Euroclear and Clearstream Participants which are holders of interests in Shares or intermediaries acting on behalf of such holders agree to Euroclear and Clearstream, pursuant to the respective rules and procedures of Euroclear and Clearstream, disclosing such information to the Company or its duly authorised agent. Similarly, the Company or its duly authorised agent may from time to time request any Central Securities Depository to provide the Company with details in relation to Shares in each Fund or interests in Shares in each Fund held in each Central Securities Depository and details in relation to the holders of those Shares or interests in Shares, including (without limitation) holder types, residence, number and types of holdings and details of any voting instructions given by each holder. Holders of Shares and interests of Shares in a Central Securities Depository or intermediaries acting on behalf of such holders agree to the Central Securities Depository (including Euroclear UK & Ireland (the CREST system), SIX SIS Ltd and Monte Titoli), pursuant to the respective rules and procedures of the relevant Central Securities Depository, disclosing such information to the Company or its duly authorised agent.

Investors may be required to provide promptly any information as required and requested by the Company or its duly authorised agent, and agree to the applicable International Central Securities Depository providing the identity of such Participant or investor to the Company or its duly authorised agent upon request.

Notices of general meetings and associated documentation will be issued by the Company to the registered holder of the Global Share Certificate, the Common Depository's Nominee. Each Participant must look solely to its International Central Securities Depository and the rules and procedures for the time being of the relevant International Central Securities Depository governing delivery of such notices and exercising voting rights. For investors, other than Participants, delivery of notices and exercising voting rights shall be governed by the arrangements with a Participant of the International Central Securities Depository (for example, their nominee, broker or Central Securities Depositories, as appropriate).

Exercise of Voting Rights through the International Central Securities Depositories

The Common Depository's Nominee has a contractual obligation to promptly notify the Common Depository of any Shareholder meetings of the Company and to relay any associated documentation issued by the Company to the Common Depository, which, in turn, has a contractual obligation to relay any such notices and documentation to the relevant International Central Securities Depository. Each International Central Securities Depository will, in turn, relay notices received from the Common Depository to its Participants in accordance with its rules and

procedures. The Directors understand that, in accordance with their respective rules and procedures, each International Central Securities Depositary is contractually bound to collate and transfer all votes received from its Participants to the Common Depositary and the Common Depositary is, in turn, contractually bound to collate and transfer all votes received from each International Central Securities Depositary to the Common Depositary's Nominee, which is obligated to vote in accordance with the Common Depositary's voting instructions. Investors who are not Participants in a relevant International Central Securities Depositary would need to rely on their broker, nominee, custodian bank or other intermediary which is a Participant, or which has an arrangement with a Participant, in a relevant International Central Securities Depositary to receive any notices of Shareholder meetings of the Company and to relay their voting instructions to the relevant International Central Securities Depositary.

(d) Anti-money laundering identification

The Administrator and/ or Company reserves the right to request further details from an Authorised Participant and the Common Depositary's Nominee in order to verify their respective identities. Any such party must notify the Administrator of any change in their details and furnish the Company with whatever additional documents relating to such change as it may request. Amendments to a party's registration details and payment instructions will only be effected upon receipt by the Administrator of original documentation. Failure to provide requested information or notify the Administrator or the Company of any change in details may result in a request for subscription or redemption of shares by such party not being accepted or processed until such time as satisfactory verification of identity is received.

Measures aimed at the prevention of money laundering may require an applicant to provide verification of identity to the Company. This obligation arises unless (i) the application is being made through a recognised financial intermediary; or (ii) payment is made through a banking institution, which in either case is in a country with money laundering regulations equivalent to those in Ireland.

The Company will specify what proof of identity is required, including but not limited to a passport or identification card duly certified by a public authority such as a notary public, the police or the ambassador in their country of residence, together with evidence of the applicant's address, such as a utility bill or bank statement. In the case of corporate applicants, this may require production of a certified copy of the certificate of incorporation (and any change of name), by-laws, memorandum and articles of association (or equivalent), and the names and addresses of all directors and beneficial owners.

It is further acknowledged that the Company, the Investment Manager, the Electronic Order Entry Facility Operator and the Administrator shall be indemnified by the Authorised Participant applicant against any loss arising as a result of a failure to process the subscription if information that has been requested by the Company has not been provided by the applicant.

(e) Switching

Switching of Shares from one Fund to another Fund is not available to investors trading on the Secondary Market.

Authorised Participants wishing to switch from one Fund to another Fund on the Primary Market would generally need to redeem or sell their Shares in the Fund and subscribe or purchase Shares in the other Fund.

Where permitted by the Articles, and subject to the prior approval of the Manager, a holder of Shares in a Share Class of a Fund may switch all or some of their Shares of a Share Class of a Fund (the "Original Shares") for Shares of another Share Class in the same Fund (the "New Shares"). Such switching requests may be submitted by Authorised Participants through the Electronic Order Entry Facility, in accordance with the provisions of the "Procedure for Dealing on the Primary Market" section above. Investors which are not Authorised Participants may only submit switching requests via Authorised Participants.

The number of New Shares issued will be determined by reference to the respective prices of New Shares and Original Shares at the Valuation Points applicable at the time the Original Shares are repurchased and the New Shares are issued, after deducting the costs of undertaking the switch.

No switches will be made during any period in which the rights of Shareholders to deal in the Shares of the relevant Fund are suspended. Switching requests may be submitted by Authorised Participants through the Electronic Order Entry Facility before the cut off time for the Original Shares and the New Shares (see the dealing timetable above for dealing request cut off times). Any applications received after the applicable time will normally be held over until the next Dealing Day but may be accepted in exceptional circumstances for dealing on the relevant Dealing Day at the discretion of the Manager provided they are received prior to the Valuation Point.

The number of New Shares to be issued will be calculated in accordance with the following formula:

$$A + B = \frac{C \times (D-E)}{F}$$

Where:

A = number of New Shares to be allocated

B = balancing cash amount

C = number of Original Shares switched

D = redemption price per Original Share on the relevant Dealing Day

E = the transaction costs incurred as a result of the switching trade, as calculated at the Manager's absolute discretion

F = subscription price per New Share on the relevant Dealing Day

As a result of a switch, an Authorised Participant will in almost all circumstances be entitled to a fraction of a New Share. As Shares cannot be issued in fractional amounts, the value of the fraction of the New Share will be paid to / received from (as appropriate) the Authorised Participant by the Company.

(f) Transfer of Shares

All transfers of Shares shall be effected by transfer in writing in any usual or common form and every form of transfer shall state the full name and address of the transferor (i.e. the seller of Shares) and the transferee (i.e. the purchaser of Shares). The instrument of transfer of a Share shall be signed by or on behalf of the transferor. The transferor shall be deemed to remain the holder of the Share until the name of the transferee is entered in the share register in respect thereof.

To the extent Shares are issued in dematerialised form, such Shares may also be transferred in accordance with the rules of the relevant Recognised Clearing System. Persons dealing in Recognised Clearing Systems may be required to provide a representation that any transferee is a Qualified Holder. The Directors may decline to register any transfer of Shares to any person or entity that is not a Qualified Holder.

If in consequence of a transfer the transferor or transferee would hold less than the relevant minimum holding, if there is such a minimum holding, or would otherwise infringe the restrictions on holding Shares outlined above or if the transfer might result in the Company incurring any liability to taxation or suffering pecuniary disadvantages which the Company might not otherwise have incurred or suffered, or the Company being required to register under the 1940 Act (or similar successor statute), or to register any class of Shares under the 1933 Act (or similar successor statute), the Directors may decline to register the transfer of a Share to such person. The registration of transfers may be suspended at such times and for such periods as the Directors may from time to time determine, provided always that such registration shall not be suspended for more than thirty days in any year. The Directors may decline to register any transfer of Shares unless the instrument of transfer is deposited at the registered office of the Company or at such other place as the Directors may reasonably require together with such other evidence as the Directors may reasonably require to show the right of the transferor to make the transfer. The transferee will be required to complete an Account Opening Form which includes a declaration that the proposed transferee is not a US Person or is acquiring Shares on behalf of a US Person.

(g) Confirmations

A written confirmation of trade will be sent to the Authorised Participant following the Dealing Day. Shares will not normally be issued until such time as the Company is satisfied with all the information and documentation required to identify the applicant and is satisfied that the relevant Investments and Cash Component for in kind subscriptions or cash for cash subscriptions (including directed cash subscriptions) have been received by it.

(h) Mandatory Redemption of Shares

Investors are required to notify the Company immediately in the event that they cease to be Qualified Holders. Investors who cease to be Qualified Holders will be required to dispose of their Shares to Qualified Holders on the next Dealing Day thereafter unless the Shares are held pursuant to an exemption which would allow them to hold the Shares. The Company reserves the right to redeem or require the transfer of any Shares which are or become owned, directly or indirectly, by a non-Qualified Holder. If any investor or beneficial owner of any Shares fails to disclose information requested by the Company regarding such investor or beneficial owner and, due to such non-disclosure or inadequate disclosure, the Directors believe that there is an issue regarding such person being a non-Qualified Holder, the Company shall have the right to redeem or require the transfer (in accordance with the provisions of the Articles) of the Shares held by or for the benefit of such person.

If the Company becomes aware that any Shares are or might be held by a person who is not a Qualified Holder it may redeem such Shares on notice in writing to the investor concerned. The Investments which would otherwise have been transferred to the investor will be liquidated and the investor will receive the proceeds less any costs incurred. In addition, the Company may impose a penalty to compensate or indemnify the Company, the Manager and the Investment Manager for any loss the Company has suffered (or may suffer) in respect of the holding of Shares by or on behalf of such non-Qualified Holder. The Company shall also have the right to require any person breaching the provisions of the Prospectus to indemnify the Company, the Manager and the Investment Manager

from any losses or claims suffered or incurred by any of them in connection with such breach. Such amount may be deducted from the redemption proceeds.

In circumstances where a Fund is unable to replicate the relevant Benchmark Index and unable to substitute another index for the Benchmark Index, the Directors may resolve to compulsorily redeem investors and may subsequently terminate a Fund.

In circumstances where it is or becomes impossible or impractical, for example from a cost, risk or operational perspective, to enter into, continue with or maintain FDI relating to the Benchmark Index for the relevant Fund or to invest in securities comprised within the particular Benchmark Index, the Directors may resolve to compulsorily redeem investors and may subsequently terminate the Fund.

In circumstances where the Directors consider compulsory redemption to be in the interests of the Company, a Fund or the investors of a Fund, the Directors may resolve to compulsorily redeem investors and may subsequently terminate the Fund.

The Company shall have the right to redeem, without the imposition of any penalty on the Company, Shares of a particular Share Class:

- (i) where the holders of Shares approve of the redemption of the Shares of the relevant class by way of written resolution or where not less than 75% of the votes cast approve of the redemption of the Shares at a general meeting of the relevant Share Class, of which not more than twelve and not less than four weeks' notice has been given;
- (ii) at the discretion of the Directors, after the first anniversary of the first issue of Shares of the relevant Share Class if the Net Asset Value of the relevant Share Class falls below Stg£100,000,000 or, in the case of a Currency Hedged Share Class, below Stg£2,000,000;
- (iii) at the discretion of the Directors, if the Share Class ceases to be listed on a recognised stock exchange;
- (iv) at the discretion of the Directors provided that Shareholder notice of not less than four and not more than six weeks has been given that all of the Shares in that Share Class shall be redeemed by the Company.

If within 90 days from the date of the Depositary serving notice of termination of the Depositary Agreement another depositary acceptable to the Company and the Central Bank has not been appointed to act as depositary, the Company shall serve notice on all holders of its intention to redeem all Shares then in issue on the date specified in such notice, which date shall not be less than one month nor more than three months after the date of service of such notice.

(i) Temporary Suspension of Valuation of the Shares and of Sales, Redemptions and Switching

The Company may temporarily suspend the determination of the Net Asset Value and the issue, switching and/or redemption of Shares in the Company or any Fund during:

- (i) any period (other than ordinary holiday or customary weekend closings) when any of the principal markets on which any significant portion of the Investments of the relevant Fund from time to time are quoted, listed, traded or dealt in is closed (otherwise than for customary weekend or ordinary holidays) or during which dealings therein are restricted or suspended or trading on any relevant futures exchange or market is restricted or suspended;
- (ii) any period when circumstances exist as a result of which any disposal or valuation of Investments of the Company or the relevant Fund is not, in the opinion of the Directors, reasonably practicable without this being seriously detrimental to the interests of owners of Shares in general or owners of Shares of the relevant Fund or if, in the opinion of the Directors, the Net Asset Value cannot fairly be calculated or such disposal would be materially prejudicial to the owners of Shares in general or owners of Shares of the relevant Fund;
- (iii) any period when there is any breakdown in the means of communication normally employed in determining the price of any of the Company's or a Fund's Investments or when for any other reason the value of any of the Investments or other assets of the relevant Fund cannot be reasonably, promptly or accurately ascertained;
- (iv) any period during which the Company is unable to repatriate funds required for the purpose of making redemption payments due or when such payments or the acquisition or realisation of Investments cannot, in the opinion of the Directors, be effected at normal prices or normal rates of exchange or during which there are difficulties or it is envisaged that there will be difficulties, in the transfer of monies or assets required for subscriptions, redemptions or trading;
- (v) any period when the proceeds of the sale or redemption of Shares cannot be transmitted to or from the Company or the Fund's account;
- (vi) upon the publication of a notice convening a general meeting of the Company for the purposes of resolving to wind up the Company or terminate a Fund or Share Class;
- (vii) any period when it is or becomes impossible or impractical, for example from a cost, risk or operational perspective to enter into, continue with or maintain FDI relating to the Benchmark Index for the relevant Fund or to invest in stocks comprised within the particular Benchmark Index;
- (viii) any period in which a counterparty with which the Company has entered into a swap transaction is unable to make any payment due or owing under the swap, including where it is unable to repatriate or exchange at a reasonable rate the proceeds of its underlying hedge;
- (ix) any period when the Directors, in their discretion, consider suspension to be in the interests of the Company, a Fund or the Shareholders of a Fund; or

- (x) any period during which the Directors, in their discretion, consider suspension to be required for the purposes of effecting a merger, amalgamation or restructuring of a Fund or of the Company.

Any such suspension shall be published by the Company in such manner as it may deem appropriate to the persons likely to be affected thereby, and shall be notified immediately (and in any event during the Business Day on which the suspension took place) to the Central Bank and to the competent authorities in the Member States in which the Shares are marketed. Where practicable, the Company shall take all reasonable steps to bring such a suspension to an end as soon as possible.

No Shares of a Fund will be issued or allotted during a period when the determination of the Net Asset Value of that Fund is suspended.

(j) Termination of a Fund

Any Fund may be terminated by the Directors, in their sole and absolute discretion, by notice in writing to the Depositary in any of the following events:

- (i) if at any time the Net Asset Value of the relevant Fund falls below Stg£100,000,000;
- (ii) if any Fund shall cease to be authorised or otherwise officially approved; or
- (iii) if any law shall be passed which renders it illegal or in the opinion of the Directors impracticable or inadvisable to continue the relevant Fund; or
- (iv) if there is a change in material aspects of the business, in the economic or political situation relating to a Fund which the Directors consider would have material adverse consequences on the investments of the Fund; or
- (v) if the Directors shall have resolved that it is impracticable or inadvisable for a Fund to continue to operate having regard to prevailing market conditions (including a Secondary Market Disruption Event) and the best interests of the Shareholders; or
- (vi) if the Directors shall have resolved that it is or becomes impossible or impractical, for example from a cost, risk or operational perspective, to enter into, continue with or maintain FDI relating to the Benchmark Index for the relevant Fund or to invest in securities comprised within the particular Benchmark Index; or
- (vii) if the Directors shall have resolved that it is or becomes impossible or impractical, for example from a cost, risk or operational perspective, for a Fund to track or replicate the relevant Benchmark Index and / or to substitute another index for the Benchmark Index.

The Directors shall give notice of termination of a Fund or a Share Class to the Common Depositary's Nominee, and by such notice fix the date at which such termination is to take effect, which date shall be for such period after the service of such notice as the Directors shall in their sole and absolute discretion determine.

With effect on and from the date as at which any Fund is to terminate or in the case of (i) below such other date as the Directors may determine:

- (i) no Shares of the relevant Fund may be issued or sold by the Company;
- (ii) the Investment Manager or sub-investment manager shall, on the instructions of the Directors, realise all the assets then comprised in the relevant Fund (which realisation shall be carried out and completed in such manner and within such period after the termination of the relevant Fund as the Directors think advisable);
- (iii) the Depositary shall, on the instructions of the Directors from time to time, distribute to the Shareholders in proportion to their respective interests in the relevant Fund all net cash proceeds derived from the realisation of the relevant Fund and available for the purpose of such distribution, provided that the Depositary shall be entitled to retain out of any monies in its hands as part of the relevant Fund provision for all costs, charges, expenses, claims and demands incurred, made or apprehended by the Depositary or the Directors in connection with or arising out of the termination of the relevant Fund and out of the monies so retained to be indemnified and saved harmless against any such costs, charges, expenses, claims and demands; and
- (iv) Every such distribution referred to at (iii) above shall be made in such manner as the Directors shall, in their sole and absolute discretion, determine upon delivery to the Depositary of such form of request for payment as the Depositary shall in its absolute discretion require. Any payment of unclaimed proceeds or other cash will be made in accordance with the requirements of the Central Bank.

The Directors shall have the power to propose and implement a reconstruction and/or amalgamation of the Company or any Fund(s) on such terms and conditions as are approved by the Directors subject to the following conditions namely:

- (i) that the prior approval of the Central Bank has been obtained; and
- (ii) that the holders of Shares in the relevant Fund or Funds have been circulated with particulars of the scheme of reconstruction and/or amalgamation in a form approved by the Directors and a special resolution of the holders of Shares in the relevant Fund or Funds has been passed approving the said scheme.

The relevant scheme of reconstruction and/or amalgamation shall take effect upon such conditions being satisfied or upon such later date as the scheme may provide or as the Directors may determine whereupon the terms of such scheme shall be binding upon all the Shareholders and the Directors shall have the power to and shall do all such acts and things as may be necessary for the implementation thereof.

(k) Seeding Arrangements

The Investment Manager may place a Fund that is below scale into a seeding programme. Under such programme, the Investment Manager and the Affiliates may pay a seeding fee to investors and market participants who commit to invest a minimum amount of investment capital, and to hold such investment for an agreed time period, to grow or regrow such Fund to scale. Any seeding fees paid by the Investment Manager and the Affiliates will be borne by the Investment Manager and the Affiliates respectively and will not be charged to the relevant Fund or to the Company as an extra cost. The Investment Manager believes that putting in place such a programme to grow small-sized Funds will give rise to benefits for other investors in such Funds.

Companies of the BlackRock Group and/or other collective investment schemes or segregated mandates managed by them may also provide seeding services to the Funds under the seeding programme.

Operation of the Subscription and Redemption Collection Account

All subscriptions into and redemptions and distributions due from the Funds will be paid into the Umbrella Cash Collection Account. Monies in the Umbrella Cash Collection Account, including early subscription monies received in respect of a Fund, do not qualify for the protections afforded by the Central Bank (Supervision and Enforcement) Act 2013 (Section 48(1)) Investor Money Regulations 2015 for Fund Service Providers.

Pending issue of the Shares and / or payment of subscription proceeds to an account in the name of the relevant Fund, and pending payment of redemption proceeds or distributions, the relevant Authorised Participant will be an unsecured creditor of the relevant Fund in respect of amounts paid by or due to it.

All subscriptions (including subscriptions received in advance of the issue of Shares) attributable to, and all redemptions, dividends or cash distributions payable from, a Fund will be channelled and managed through the Umbrella Cash Collection Account. Subscriptions amounts paid into the Umbrella Cash Collection Account, will be paid into an account in the name of the relevant Fund on the contractual settlement date. Where subscription monies are received in the Umbrella Cash Collection Account, without sufficient documentation to identify the Authorised Participant or the relevant Fund, such monies shall be returned to the relevant Authorised Participant within five (5) Business Days and as specified in the operating procedure in respect of the Umbrella Cash Collection Account.

Redemptions and distributions, including blocked redemptions or distributions, will be held in the Umbrella Cash Collection Account, until payment due date (or such later date as blocked payments are permitted to be paid), and will then be paid to the relevant or redeeming Authorised Participants.

Failure to provide the necessary complete and accurate documentation in respect of subscriptions, redemptions or dividends, and / or to make payment into the Umbrella Cash Collection Account, is at the Authorised Participant's risk.

The Umbrella Cash Collection Account has been opened in the name of the Company. The Depositary will be responsible for safe-keeping and oversight of the monies in the Umbrella Cash Collection Account, and for ensuring that relevant amounts in the Umbrella Cash Collection Account are attributable to the appropriate Funds.

The Company and the Depositary have agreed an operating procedure in respect of the Umbrella Cash Collection Account which identifies the participating Funds, the procedures and protocols to be followed in order to transfer monies from the Umbrella Cash Collection Accounts, the daily reconciliation processes, and the procedures to be followed where there are shortfalls in respect of a Fund due to late payment of subscriptions, and / or transfers to a Fund of monies attributable to another Fund due to timing differences.

FUND EXPENSES

The Company employs an “all in one” fee structure for its Funds (and Share Classes). Each Fund pays all of its fees, operating costs and expenses (and its due proportion of any costs and expenses of the Company allocated to it) as a single flat fee (the “Total Expense Ratio” or “TER”). Where a Fund has multiple Share Classes, any fees, operating costs and expenses which are attributable to a particular Share Class (rather than the entire Fund) will be deducted from the assets notionally allocated by the Fund to that Share Class. Expenses paid out of the TER include, but are not limited to, fees and expenses paid to the Manager, regulators and auditors and certain legal expenses of the Company, but exclude transaction costs and extraordinary legal costs. The Total Expense Ratio for a Fund or Share Class is calculated and accrued daily from the current Net Asset Value of the relevant Fund or Share Class as follows and shall be payable monthly in arrears:

Fund	Fund / Share Classes	TER
iShares \$ Asia Investment Grade Corp Bond UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares \$ Corp Bond Enhanced Active UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	Unhedged Share Classes	0.15%
	Currency Hedged Share Classes	Up to 1.00%*
iShares \$ Development Bank Bonds UCITS ETF	Unhedged Share Classes	0.15%
	Currency Hedged Share Classes	Up to 1.00%
iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF	Unhedged Share Classes	0.35%
	Currency Hedged Share Classes	Up to 1.00%*
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares \$ Intermediate Credit Bond UCITS ETF	Unhedged Share Classes	0.15%
	Currency Hedged Share Classes	Up to 1.00%
iShares € Aggregate Bond ESG SRI UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Cash UCITS ETF	Unhedged Share Classes	0.10%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Corp Bond 1-5yr UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Corp Bond BBB-BB UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Corp Bond Enhanced Active UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	Unhedged Share Classes	0.15%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Corp Bond ex-Financials UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Covered Bond UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares \$ EM Bond Active UCITS ETF	Unhedged Share Classes	0.45%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Flexible Income Bond Active UCITS ETF	Unhedged Share Classes	0.40%*
	Currency Hedged Share Classes	Up to 0.42%*
iShares € Govt Bond 0-1yr UCITS ETF	Unhedged Share Classes	0.07%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Govt Bond 10-15yr UCITS ETF	Unhedged Share Classes	0.15%
	Currency Hedged Share Classes	Up to 1.00%*

Fund	Fund / Share Classes	TER
iShares € Govt Bond 5-7yr UCITS ETF	Unhedged Share Classes	0.15%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € Govt Bond Climate UCITS ETF	Unhedged Share Classes	0.09%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € High Yield Corp Bond Enhanced Active UCITS ETF	Unhedged Share Classes	0.30%
	Currency Hedged Share Classes	Up to 1.00%*
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares £ Corp Bond ex-Financials UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares AI Adopters & Applications UCITS ETF	Unhedged Share Classes	0.35%
	Currency Hedged Share Classes	Up to 1.00%*
iShares AI Infrastructure UCITS ETF	Unhedged Share Classes	0.35%
	Currency Hedged Share Classes	Up to 1.00%*
iShares AI Innovation Active UCITS ETF	Unhedged Share Classes	0.73%*
	Currency Hedged Share Classes	Up to 1.00%*
iShares Asia ex Japan Equity Enhanced Active UCITS ETF	Unhedged Share Classes	Up to 1.00%*
	Currency Hedged Share Classes	Up to 1.00%*
iShares AT1 Bond Active UCITS ETF	Unhedged Share Classes	0.50%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Blockchain Technology UCITS ETF	Unhedged Share Classes	0.50%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Broad \$ Corp Bond UCITS ETF	Unhedged Share Classes	0.07%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Broad \$ High Yield Corp Bond UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Broad € High Yield Corp Bond UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Broad Global Govt Bond UCITS ETF	Unhedged Share Classes	0.10%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Conservative Portfolio UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Core € Corp Bond UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Core € Govt Bond UCITS ETF	Unhedged Share Classes	0.07%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Core Global Aggregate Bond UCITS ETF	Unhedged Share Classes	0.10%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Core MSCI Europe UCITS ETF EUR (Acc)	Unhedged Fund	0.12%
iShares Core MSCI Japan IMI UCITS ETF	Unhedged Share Classes	0.12%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Core MSCI World UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares EM Local Govt Bond Active UCITS ETF	Unhedged Share Classes	0.45%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Emerging Asia Local Govt Bond UCITS ETF	Unhedged Share Classes	0.50%
	Currency Hedged Share Classes	Up to 1.00%*
	Unhedged Share Classes	Up to 1.00%*

Fund	Fund / Share Classes	TER
iShares Emerging Markets Equity Enhanced Active UCITS ETF	Currency Hedged Share Classes	Up to 1.00%*
iShares Europe Equity Enhanced Active UCITS ETF	Unhedged Share Classes	Up to 1.00%*
	Currency Hedged Share Classes	Up to 1.00%*
iShares Global Aggregate Bond ESG SRI UCITS ETF	Unhedged Share Classes	0.10%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Global Govt Bond UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Global Inflation Linked Govt Bond UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Global Real Estate Environmental Tilt UCITS ETF	Unhedged Share Classes	0.18%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Growth Portfolio UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares India Equity Enhanced Active UCITS ETF	Unhedged Share Classes	0.45%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Japan Equity Enhanced Active UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares J.P. Morgan € EM Bond UCITS ETF	Unhedged Share Classes	0.35%
	Currency Hedged Share Classes	Up to 1.00%*
iShares J.P. Morgan EM Local Govt Bond UCITS ETF	Unhedged Share Classes	0.50%
	Currency Hedged Share Classes	Up to 1.00%*
iShares Moderate Portfolio UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI Australia UCITS ETF	Unhedged Share Classes	0.50%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI EM Small Cap UCITS ETF	Unhedged Share Classes	0.74%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI EM UCITS ETF USD (Acc)	Unhedged Fund	0.18%
iShares MSCI Europe Small Cap UCITS ETF	Unhedged Share Classes	0.25%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI Japan Small Cap UCITS ETF	Unhedged Share Classes	0.58%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI Pacific ex-Japan UCITS ETF	Unhedged Share Classes	0.60%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI Saudi Arabia Capped UCITS ETF	Unhedged Share Classes	0.60%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI South Africa UCITS ETF	Unhedged Share Classes	0.65%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI Target UK Real Estate UCITS ETF	Unhedged Share Class	0.40%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI World ex-USA UCITS ETF	Unhedged Share Classes	0.15%
	Currency Hedged Share Classes	Up to 1.00%*

Fund	Fund / Share Classes	TER
iShares MSCI World Paris-Aligned Climate UCITS ETF	Unhedged Share Class	0.20%
	Currency Hedged Share Class	Up to 1.00%*
iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF	Unhedged Share Classes	0.20%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF	Unhedged Share Class	0.35%
	Currency Hedged Share Classes	Up to 1.00%*
iShares MSCI World Small Cap UCITS ETF	Unhedged Share Classes	0.35%
	Currency Hedged Share Classes	Up to 1.00%*
iShares S&P 500 Equal Weight UCITS ETF	Unhedged Share Classes	0.15%
	Currency Hedged Share Classes	Up to 1.00%*
iShares S&P 500 Scored and Screened UCITS ETF	Unhedged Share Classes	0.07%
	Currency Hedged Share Classes	Up to 1.00%*
iShares S&P SmallCap 600 UCITS ETF	Unhedged Share Classes	0.30%
	Currency Hedged Share Classes	Up to 1.00%*
iShares U.S. Equity High Income Active UCITS ETF	Unhedged Share Classes	Up to 1.00%*
	Currency Hedged Share Classes	Up to 1.00%*
iShares UK Gilts 0-5yr UCITS ETF	Unhedged Share Classes	0.07%
	Currency Hedged Share Classes	Up to 1.00%*
iShares US Equity Enhanced Active UCITS ETF	Unhedged Share Classes	Up to 1.00%*
	Currency Hedged Share Classes	Up to 1.00%*
iShares World Equity Enhanced Active UCITS ETF	Unhedged Share Classes	Up to 1.00%*
	Currency Hedged Share Classes	Up to 1.00%*
iShares World Equity Factor Rotation Active UCITS ETF	Unhedged Share Classes	0.30%
	Currency Hedged Share Classes	Up to 1.00%*
iShares World Equity High Income Active UCITS ETF	Unhedged Share Classes	Up to 1.00%*
	Currency Hedged Share Classes	Up to 1.00%*
iShares World Thematic Rotation Active UCITS ETF	Unhedged Share Classes	0.60%
	Currency Hedged Share Classes	Up to 1.00%*

* For the current TER charged on each Share Class please refer to its KIID or KID and/or the product pages of the website at www.ishares.com.

The Manager is responsible for discharging all operational expenses, including but not limited to fees and expenses of the Directors, Investment Manager, Depositary and Administrator from the amounts received by the Manager from the Total Expense Ratio. Such operational expenses include regulatory and audit fees but exclude transaction costs and extraordinary legal costs. Directors' fees will not exceed the sum of €40,000 per annum per Director without the approval of the Board of Directors. The BlackRock Group employees serving as Directors of the Company or the Manager are not entitled to receive Directors' fees.

In the event the costs and expenses of a Fund or Share Class that are intended to be covered within the TER exceed the stated TER, the Manager will discharge any excess amounts out of its own assets. The establishment costs of the Company have been, and the establishment costs of the Current Funds and Share Classes have been and will be, paid by the Manager.

Whilst it is anticipated that the TER borne by a Fund or Share Class shall not exceed the amounts set out above during the life of the Fund or Share Class (respectively) such amounts may need to be increased. Any such increase will be subject to the prior Shareholder approval of the relevant Fund or Share Class. Please see the section entitled "General Information on Dealings in the Company" for information on exercising voting rights by investors in the Funds, including their Share Classes.

Save as disclosed above, no commissions, discounts, brokerages or other special terms have been granted or are payable by the Company in connection with the issue or sale of any Shares of the Company.

DIVIDEND POLICY

The Company intends to declare dividends pursuant to this Prospectus on the Shares of the Distributing Share Classes. Dividends may be paid out of the total income of the applicable Distributing Share Class net of any relevant expenses in respect of each financial year and/or, in respect of iShares U.S. Equity High Income Active UCITS ETF and iShares World Equity High Income Active UCITS ETF, capital. Dividends will normally be declared with a view to being paid either monthly, quarterly or semi-annually. No smoothing of dividends will be applied across the dividend payments in a calendar year. The dividend payment frequency for each Distributing Share Class is as follows (please refer to www.ishares.com for further information on the dividend payment dates).

Distributions will not be made in respect of Accumulating Share Classes and income and other profits will be accumulated and reinvested.

Fund	Frequency of Distributions for Distributing Funds / Share Classes	Months of Distributions
iShares \$ Asia Investment Grade Corp Bond UCITS ETF	Quarterly	March, June, September and December
iShares \$ Corp Bond Enhanced Active UCITS ETF	Quarterly	January, April, July, October
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	Semi-Annually	January, July
iShares \$ Development Bank Bonds UCITS ETF	Semi-Annually	January, July
iShares \$ EM Bond Active UCITS ETF	Quarterly	January, April, July, October
iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF	Quarterly	January, April, July, October
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	Quarterly	January, April, July, October
iShares \$ Intermediate Credit Bond UCITS ETF	Quarterly	January, April, July, October
iShares € Aggregate Bond ESG SRI UCITS ETF	Semi-Annually	January, July
iShares € Cash UCITS ETF	Semi-Annually	January, July
iShares € Corp Bond 1-5yr UCITS ETF	Semi-Annually	January, July
iShares € Corp Bond BBB-BB UCITS ETF	Quarterly	January, April, July, October
iShares € Corp Bond Enhanced Active UCITS ETF	Quarterly	January, April, July, October
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	Semi-Annually	January, July
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	Semi-Annually	January, July
iShares € Corp Bond ex-Financials UCITS ETF	Semi-Annually	January, July
iShares € Covered Bond UCITS ETF	Semi-Annually	January, July
iShares € Flexible Income Bond Active UCITS ETF	Quarterly	January, April, July, October
iShares € Govt Bond 0-1yr UCITS ETF	Semi-Annually	January, July
iShares € Govt Bond 10-15yr UCITS ETF	Semi-Annually	January, July
iShares € Govt Bond 5-7yr UCITS ETF	Semi-Annually	January, July
iShares € Govt Bond Climate UCITS ETF	Semi-Annually	January, July
iShares € High Yield Corp Bond Enhanced Active UCITS ETF	Quarterly	January, April, July, October
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	Quarterly	January, April, July, October
iShares £ Corp Bond ex-Financials UCITS ETF	Semi-Annually	January, July
iShares AI Adopters & Applications UCITS ETF	Semi-Annually	January, July
iShares AI Infrastructure UCITS ETF	Semi-Annually	January, July
iShares AI Innovation Active UCITS ETF	Semi-Annually	January, July
iShares Asia ex Japan Equity Enhanced Active UCITS ETF	Quarterly	January, April, July, October
iShares AT1 Bond Active UCITS ETF	Quarterly	January, April, July, October
iShares Blockchain Technology UCITS ETF	Semi-Annually	January, July
iShares Broad \$ Corp Bond UCITS ETF	Semi-Annually	January, July
iShares Broad \$ High Yield Corp Bond UCITS ETF	Quarterly	January, April, July, October
iShares Broad € High Yield Corp Bond UCITS ETF	Quarterly	January, April, July, October

Fund	Frequency of Distributions for Distributing Funds / Share Classes	Months of Distributions
iShares Broad Global Govt Bond UCITS ETF	Semi-Annually	January, July
iShares Conservative Portfolio UCITS ETF	Semi-Annually	January, July
iShares Core € Corp Bond UCITS ETF	Semi-Annually	January, July
iShares Core € Govt Bond UCITS ETF	Semi-Annually	January, July
iShares Core Global Aggregate Bond UCITS ETF	Semi-Annually	January, July
iShares Core MSCI Europe UCITS ETF EUR (Acc)	Semi-Annually	January, July
iShares Core MSCI Japan IMI UCITS ETF	Semi-Annually	January, July
iShares Core MSCI World UCITS ETF	Quarterly	January, April, July, October
iShares EM Local Govt Bond Active UCITS ETF	Quarterly	January, April, July, October
iShares Emerging Asia Local Govt Bond UCITS ETF	Semi-Annually	January, July
iShares Emerging Markets Equity Enhanced Active UCITS ETF	Quarterly	January, April, July, October
iShares Europe Equity Enhanced Active UCITS ETF	Quarterly	January, April, July, October
iShares Global Aggregate Bond ESG SRI UCITS ETF	Semi-Annually	January, July
iShares Global Govt Bond UCITS ETF	Semi-Annually	January, July
iShares Global Inflation Linked Govt Bond UCITS ETF	Quarterly	January, April, July, October
iShares Global Real Estate Environmental Tilt UCITS ETF	Semi-annually	January, July
iShares Growth Portfolio UCITS ETF	Semi-Annually	January, July
iShares India Equity Enhanced Active UCITS ETF	Quarterly	January, April, July, October
iShares Japan Equity Enhanced Active UCITS ETF	Quarterly	January, April, July, October
iShares J.P. Morgan € EM Bond UCITS ETF	Semi-Annually	May, November
iShares J.P. Morgan EM Local Govt Bond UCITS ETF	Quarterly	January, April, July, October
iShares Moderate Portfolio UCITS ETF	Semi-Annually	January, July
iShares MSCI Australia UCITS ETF	Semi-Annually	January, July
iShares MSCI EM Small Cap UCITS ETF	Semi-Annually	January, July
iShares MSCI EM UCITS ETF USD (Acc)	Semi-Annually	January, July
iShares MSCI Europe Small Cap UCITS ETF	Semi-Annually	June, December
iShares MSCI Japan Small Cap UCITS ETF	Semi-Annually	January, July
iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF	Quarterly	January, April, July, October
iShares MSCI Pacific ex-Japan UCITS ETF	Quarterly	January, April, July, October
iShares MSCI Saudi Arabia Capped UCITS ETF	Semi-Annually	January, July
iShares MSCI South Africa UCITS ETF	Semi-Annually	January, July
iShares MSCI Target UK Real Estate UCITS ETF	Quarterly	January, April, July, October
iShares MSCI World ex-USA UCITS ETF	Quarterly	January, April, July and October
iShares MSCI World Paris-Aligned Climate UCITS ETF	Semi-Annually	January, July
iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF	Quarterly	January, April, July and October
iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF	Semi-Annually	January, July
iShares MSCI World Small Cap UCITS ETF	Semi-Annually	January, July
iShares S&P 500 Equal Weight UCITS ETF	Semi-Annually	January, July
iShares S&P 500 Scored and Screened UCITS ETF	Semi-Annually	January, July
iShares S&P SmallCap 600 UCITS ETF	Semi-Annually	January, July
iShares U.S. Equity High Income Active UCITS ETF	Quarterly	January, April, July, October
iShares UK Gilts 0-5yr UCITS ETF	Semi-Annually	January, July
iShares US Equity Enhanced Active UCITS ETF	Quarterly	January, April, July, October
iShares World Equity Enhanced Active UCITS ETF	Quarterly	January, April, July, October

Fund	Frequency of Distributions for Distributing Funds / Share Classes	Months of Distributions
iShares World Equity Factor Rotation Active UCITS ETF	Quarterly	January, April, July, October
iShares World Equity High Income Active UCITS ETF	Quarterly	January, April, July, October
iShares World Thematic Rotation Active UCITS ETF	Quarterly	January, April, July, October

Full details of any change to the dividend policy will be provided in an updated Prospectus or Supplement and a Shareholder notice will be issued in advance.

Any dividend which has remained unclaimed for twelve years from the date of its declaration shall be forfeited and cease to remain owing by the Company and become the property of the relevant Fund.

Dividends for Distributing Share Classes will be declared in the Valuation Currency of the relevant Share Class. Investors who wish to receive dividend payments in a currency other than the Base Currency or Valuation Currency should arrange this with the relevant International Central Securities Depository (subject to this option being made available by the relevant International Central Securities Depository). Any foreign exchange conversions of dividend payments are not the responsibility of the Company and are at the cost and risk of the investors.

GENUINE DIVERSITY OF OWNERSHIP CONDITION

Shares in each of the Funds shall be widely available. The intended categories of investors for the Funds are those directly investing through the Primary Market creation mechanism as set out in this Prospectus or indirectly by investment through recognised exchanges on which the Funds' Shares are listed or through OTC transactions. Shares in the Funds shall be marketed and made available sufficiently widely to reach the intended categories of investors, and in a manner appropriate to attract those categories of investors.

MANAGEMENT OF THE COMPANY

The Board of Directors

The Directors control the affairs of the Company and are responsible for the overall investment policy which will be determined by them and provided to the Manager. The Directors have delegated certain duties and responsibilities to the Manager with regards to the day-to-day management of the Company. The Manager has delegated certain of these responsibilities to the Investment Manager and the Administrator.

The Directors are all non-executive directors of the Company and their address is the registered office of the Company. The Board of Directors of the Company is as follows:

William McKechnie (Irish) Chairman of the Board, Independent Non-Executive Director, member of the Nomination Committee: Mr McKechnie was an Irish judge who served as a member of the Irish High Court and a senior member of the Irish Supreme Court until April 2021. He is also a former chairperson of the Valuation Tribunal of Ireland, the general Bar of Ireland, the Judicial Studies Institute Journal and was a member of the Court Services Board for a number of years. In addition, he served as President/Chairperson of the Association of European Competition Law Judges.

Currently Mr McKechnie is also a visiting Professor at the College of Europe (Bruges), and has lectured on a diverse range of topics at different universities, courts and institutions, such as the European University Institute of Florence, the Florence School of Regulation (Energy, Climate, Communications and Media), the European Commission and in the constituent universities of the NUI. He is a member of Advisory Committee at the European Law Institute in respect of Artificial Intelligence and Public Administration and is a member of the project team regarding Block Chain Technology and Smart Contracts.

Mr McKechnie holds a Bachelor of Civil Law Degree, a Barrister of Law Degree, Senior Counsel and a Master's Degree in European Law and is a CEDR Accredited Mediator.

Ros O'Shea (Irish) Independent Non-Executive Director, member of the Audit Committee and Nomination Committee: Ms O'Shea is an Independent Non-Executive Director with a portfolio of board positions, including the Bank of Montreal (Europe) plc, having previously served on the boards of Pieta House, the Food Safety Authority of Ireland and the Royal Victoria Eye & Ear Hospital. Ros is also a partner in consulting firm Board Excellence Ltd, which provides a range of services designed to empower boards to excel in governance effectiveness and performance and she lectures on corporate governance and related topics with UCD Smurfit Graduate School of Business. Previously, Ros enjoyed a highly successful executive career with two of Ireland's largest companies, both FTSE100 companies: CRH plc, where she was Head of Group Compliance & Ethics and Smurfit Kappa Group plc. Ros has first class honours bachelor and masters degrees in business from UCD, a Professional Diploma in Corporate Governance from UCD Smurfit Graduate School of Business and is an associate of the Institute of Tax and a fellow of the Institute of Chartered Accountants, having trained with PwC. She is also a graduate of the Value Creation through Effective Boards programme at Harvard Business School and is a Certified Bank Director. Furthermore, Ros is the author of the book, "Leading with Integrity – a Practical Guide to Business Ethics" and is a regular contributor to news and print media on related topics.

Deirdre Somers (Irish) Independent Non-Executive Director, Member of the Audit Committee and Member of the Nomination Committee: Ms Somers is an Independent Non-Executive Director with a portfolio of board positions. She currently serves as independent non-executive director and Audit Committee and Nominations Committee chair for Kenmare Resources, and is Chair of Cancer Trials Ireland. Previously, she served on the boards of Enfusion Inc and Aquis plc, the latter as Chair, stepping down when both companies were acquired. She also served on the board of Episode Inc- a macro hedge fund. Prior to 2018, she was the CEO and Executive Director of the Irish Stock Exchange (ISE) from 2007 until its sale to Euronext NV in early 2018. She stepped down as CEO Euronext Dublin and Group Head of Debt, Funds & ETFs in late 2018. Joining the ISE in 1995, Ms Somers held various management positions, including Director of Listing (2000-2007) and Head of Policy (1995-2000), building global positions in funds and fixed income listings. She served as member of the National Council of IBEC from 2013-2018, Governor of University College Cork from 2008-2012, and a Member of the Taoiseach's Clearing House Group from 2007-2015. A Fellow of the Institute of Chartered Accountants in Ireland, she graduated with a Bachelor of Commerce degree in 1987.

Padraig Kenny (Irish) Independent Non-Executive Director: Mr. Kenny has 35 years of experience in the financial services industry, with 30 of those years at the level of Managing Director and Chief Executive. Beginning his career in aviation finance, Mr. Kenny concentrated on the Asset Management and Securities Services industries for several leading international banks, including Irish, North American, and European institutions. His major responsibilities included institutional portfolio management, facilitating Bank of Ireland Asset Management's entry into international markets, and the establishment or transformation of Global Securities Services businesses in Ireland for Bankers Trust (US) and Royal Bank of Canada, both of which focused on servicing the UCITS market for regulated investment funds. Additionally, he was instrumental in the establishment and expansion, both organic and non-organic, of the Asset Management business of Unicredit Group in Europe and the US. Throughout his career, Mr. Kenny held positions that were subject to rigorous local and international regulatory oversight and a wide range of corporate and investment fund frameworks.

Mr. Kenny is currently focused on Business Transformation Leadership.

Mr. Kenny graduated in Law from University College Dublin, qualified professionally in Ireland as a Solicitor, received a Professional Diploma in Corporate Governance from the UCD Smurfit Business School, earned an MSc from UCD Smurfit Business School, and is a former Chairman of the Irish Funds industry association.

Manuela Sperandeo (Italian nationality, UK resident) Non-Executive Director: Ms Sperandeo is Co-Head of European iShares, responsible for leading the European iShares franchise, driving the growth of indexing and UCITS ETF adoption. She co-chairs the iShares EMEA Executive Committee and is member of the BlackRock European Operating Committee and the BlackRock European Client Committee. Ms Sperandeo also serves on the board of the iShares PLCs. Ms Sperandeo has held a number of roles at BlackRock before, including Head of Europe & Middle East iShares Product, responsible for driving the product innovation agenda for the index business, Global Head of Sustainable Indexing, and Head of Factor, Sustainable and Thematic ETFs for the EMEA region. Ms Sperandeo joined BlackRock in April 2014 from Barclays, where she spent 6 years working across several roles in the Investment Bank and the Wealth and Investment Management divisions. Most recently she was a Director at Barclays Capital Fund Solutions, an asset management business specializing in absolute return and alternative indexation strategies. Prior to Barclays she worked as an investment analyst at Alpstar, a credit hedge fund and as a Structured Derivatives Sales at Credit Suisse. Ms Sperandeo has been a founding board member of the European chapter of Women in ETFs and has been recognised among the "Top 50 Most Influential Women in Sustainable Investing" and Investment Week "Investment Woman of the Year (Large Firms)". Ms Sperandeo earned an Economics Degree, with distinction, from Bocconi University in Milan and an MBA from Harvard Business School.

The Manager

The Company has appointed BlackRock Asset Management Ireland Limited as its manager pursuant to the Management Agreement. Under the terms of the Management Agreement, the Manager has responsibility for the management and administration of the Company's affairs and the distribution of the Shares, subject to the overall supervision and control of the Directors.

The Remuneration Policy of the Manager sets out the policies and practices that are consistent with and promote sound and effective risk management. It includes a description as to how remuneration and benefits are calculated and identifies those individuals responsible for awarding remuneration and benefits including the composition of the remuneration committee, should one be established. It does not encourage risk-taking which is inconsistent with the risk profiles, rules or instruments of incorporation of the Company and does not impair compliance with the Manager's duty to act in the best interest of the investors of the Company. The Remuneration Policy includes fixed and variable components of salaries and discretionary pension benefits. The Remuneration Policy applies to those categories of staff, including senior management, risk takers, control functions and any employee receiving total remuneration that falls within the remuneration bracket of senior management and risk takers whose professional activities have a material impact on the risk profile of the Company. The Remuneration Policy is available on the individual Fund pages at www.blackrock.com (select the relevant Fund in the "Product" section and then select "All Documents") or a paper copy is available upon request and free of charge from the registered office of the Manager.

The board of directors of the Manager is as follows:

Rosemary Quinlan - Chair of the Board, Independent Non-Executive Director, (Irish): Ms Quinlan is a Chartered Director and a Certified Bank and Fund Director. She has been an Independent Board Director since 2013 and an Executive Board Director since 2006. Ms Quinlan has over 35 years' experience working with global financial services companies. She was appointed Chair of the Board of BlackRock Asset Management Ireland Ltd. in June 2022 where she also Chairs the Nominations and Governance Committee. Ms. Quinlan was appointed Chair of Citi Europe plc (ECB) in June 2025, where she also Chairs the Nomination Committee. Ms Quinlan also currently Chairs the Board Risk Committee of AXA Ireland DAC (CBI) and sits on the Board of AXA Ireland Limited. Ms. Quinlan sits on the Board of Dodge & Cox Funds Worldwide plc (CBI).

Most recently (2023) Ms Quinlan was the Chair of the Board Risk Committee of Ulster Bank Ireland DAC (SSM/CBI) and was Chair of the Board of JP Morgan Money Markets Ltd. (FCA) and JP Morgan Ireland PLC (2022) (CBI). Previously she was a Board member and Committee Chair with RSA Insurance Ireland DAC, Prudential International Assurance PLC, Ulster Bank Ltd and HSBC Securities Services Ireland DAC. Ms Quinlan held Executive roles with HSBC Bank plc, ABN AMRO BV, Citi and NatWest in London, New York, Amsterdam, Chicago and in Dublin (when she relocated to Ireland in 2006). Ms Quinlan holds a Bachelor of Commerce from University College Cork.

Justin Mealy - Executive Director, (Irish): Director since 2015. Mr. Mealy, Managing Director, is Head of Investment Oversight EMEA at BlackRock, the group responsible for the oversight, supervision and due diligence of investment management (Product, Performance and Platform) on behalf of AIFMD, UCITS and MIFID Management Company boards within the EU and UK. He serves as an Executive Director of BlackRock Asset Management Ireland Limited and is a member of its Investment Committee and of the firm's executive Management Committee. He is a voting member of the Product Development Committee of BlackRock Investment Management UK Limited.

Previously he has served as Designated Person for Investment Management of BlackRock Asset Management Ireland Limited and Dirigeant Effectif for BlackRock France SAS, the group's AIFMD Manager in Paris focused on private equity, private credit, real estate and other alternatives.

Before joining BlackRock, Mr. Mealy was Managing Director at Geneva Trading for 8 years where he served as Head of its European and Asian businesses and Global Head of Risk responsible for the implementation, control and performance management of its global trading and derivatives market-making activities. Prior to this position

he was engaged in CP origination and fixed income dealing with Landesbank Hessen Thuringen (Helaba), followed by positions in proprietary trading and markets technology, including several years in Singapore as COO Asia Pacific with International Financial Systems and later in Tokyo within the Fixed Income, Rates and Currencies division of UBS Securities Japan.

Mr. Mealy is a graduate of Business & Law at University College Dublin, 1997 and is a certified FRM.

Adele Spillane – Non-Executive Director, (Irish): Ms Spillane is a Chartered Director and has close to 30 years' experience in financial services as well as significant governance experience. She currently serves as a Non-Executive Director ('NED') and Chairs the Investment Committee for BlackRock Asset Management Ireland Limited. Ms Spillane is also Chair and NED of Fisher Investments Ireland and also sits on the Boards of NBK Wealth Investment Management Ltd and Janus Henderson Capital Funds plc. Ms Spillane is also a Board Director, Treasurer and Chair of the Finance, Quality, Audit & Risk Committee of the charity, Care Alliance Ireland.

In her executive career, Ms Spillane was Managing Director and Head of BlackRock's Institutional Client Business in Ireland from 2011 to 2023, as well as serving as an Executive Director on their ManCo. Ms Spillane's roles in sales and distribution at BlackRock date back to 1995, including her years with Barclays Global Investors in San Francisco up to 2002 and London to 2011 where she was a senior client director for BlackRock's largest UK institutional investors. Ms Spillane has a Commerce degree, with honours, from University College Dublin. She became a CFA charterholder in 2000 and a Chartered Director in 2023.

Catherine Woods - Independent Non-Executive Director and Chair of the Risk Committee, (Irish): Director since 2018. Ms. Woods has over 30 years' experience in financial services, as well as significant governance experience. Her executive career was with JP Morgan in the City of London, specialising in European Financial Institutions. She is a former Vice President and Head of the JP Morgan European Banks Equity Research Team, where her mandates included the recapitalisation of Lloyds' of London and the re-privatisation of Scandinavian banks. She also acts as a non-executive director for Lloyds Banking Group.

She was previously appointed by the Irish Government to the Electronic Communications Appeals Panel and the Adjudication Panel to oversee the rollout of the National Broadband scheme. Ms Woods is the former Chair of Beazley Insurance DAC, former Director of Beazley plc, former Deputy Chairman of AIB Group plc, former Chair of EBS DAC and former Director of AIB Mortgage Bank and An Post.

She holds a First Class Honours Economics Degree from Trinity College Dublin and a Chartered Director Diploma with distinction.

Enda McMahon - Executive Director & CEO, (Irish): Mr McMahon is CEO and Executive Board Director of BlackRock Asset Management Ireland Limited. He is also Head of International Product Oversight and Governance for BlackRock. Enda is responsible, in partnership with his EMEA Board Governance colleagues and other stakeholders, for establishing and expanding best practices in International Product Oversight and Governance, including Service Provider and Investment Oversight. He was previously responsible for managing the EMEA Compliance Department, which is comprised of over one hundred Compliance professionals across the region, and responsible for the design and delivery of all aspects of the Compliance Strategy and Compliance Programme, facilitating the continuation of BlackRock's strong regulatory record and reputation and protecting the best interests of clients. Mr McMahon is taking over as Chair of the Irish Association of Investment Managers in January 2026 and is current Chair of the Irish Funds and Asset Management Steering Group (previously known as the IFSC Funds Group), which was established by the Department of An Taoiseach (Irish Prime Minister) to consider and advise on legislative and other changes which are necessary or desirable to facilitate the continued growth of the Irish investment funds industry. He is a former Board member of a number of MiFID Investment Firms, UCITS Management Companies and Investment Fund Companies in both Ireland and the U.K. during his time at Bank of Ireland Asset Management and State Street Global Advisors. Mr McMahon joined BlackRock in December 2013 from State Street Global Advisors (SSgA), where he was EMEA Head of Compliance, prior to which he was Global Chief Compliance Officer for Bank of Ireland Asset Management and Regulatory Inspection Leader with the Central Bank of Ireland. He has over 30 years of relevant experience overall having also worked professionally as an Auditor with the Office of the Comptroller and Auditor General and as an Accountant with Eagle Star. A member of the Chartered Institute of Management Accountants and the U.K. Chartered Institute for Securities and Investment, Enda also holds the CGMA designation. His studies also include the exams of the Master of Science in Investment and Treasury in Dublin City University Business School and Law in the Honourable Society of King's Inns.

Michael Hodson - Independent Non-Executive Director and Chair of the Accounts Review Committee, (Irish): Director since 2022. Michael Hodson is an Independent Non-Executive Director since 2021.

Michael is on the boards of Mediolanum International Funds, MSIM Fund Management (Morgan Stanley subsidiary), Blackrock Asset Management Ireland Ltd. and Wells Fargo International Bank. He currently chairs the audit committees for MSIM Fund Management, Blackrock Asset Management and Wells Fargo, in addition to chairing the Investment Oversight Committee for MSIM Fund Management. Michael also sits on the board of the Irish Association of Investment Managers.

His executive career included the Central Bank of Ireland from 2011 to 2020 where he held a number of senior roles culminating in Director of Asset Management and Investment Banking. In that role Mr. Hodson was responsible for the authorisation and supervision of a wide range of entity types, including large investment banks, Mifid investment firms, fund service providers and market infrastructure firms. Mr. Hodson is a qualified accountant having trained with Lifetime, the life assurance arm of Bank of Ireland and has a Diploma in Corporate Governance

from Michael Smurfit Business School. Following Lifetime Mr. Hodson moved into various roles in the Irish stockbroking sector. Mr. Hodson had roles in NCB Stockbrokers, Fexco Stockbroking and was a founding shareholder of Merrion Capital Group where he held the role of Finance Director from 1999 to 2009 and was CEO in 2010.

Maria Ging - Executive Director, (Irish): Director since 2023. Ms. Ging is a Managing Director at BlackRock. She is the Head of EMEA UCITS for the Global Accounting and Product Services Function. Ms. Ging is responsible for product oversight of UCITS and AIFs domiciled in EMEA. She leads teams across EMEA who focus on accounting change management, risk management and exception management for over 1,200 funds domiciled primarily in Ireland, UK and Luxembourg. In 2019 Ms. Ging was elected by her industry peers to the Council of Irish Funds (the representative body for the International Investment Fund Community in Ireland) and was further elected as Chair of the Council serving from September 2021-2022.

Previously Ms. Ging led the Alternatives Fund Accounting Oversight Team for BlackRock in Dublin managing fund accounting, operational risk and product change for BlackRock. During her tenure with BlackRock Ms. Ging's responsibilities have also included Mutual Fund Oversight supporting the Irish domiciled pooled funds, and Financial Reporting Oversight. Prior to joining BlackRock in 2012, Ms. Ging spent seven years with KPMG Dublin most recently working as an Associate Director providing Audit and Assurance services to asset management, banking, financing, leasing and private equity clients. Ms. Ging is a Fellow Chartered Accountant holding a Masters in Accounting and a Bachelor of Business and Legal Studies Degree, both from University College Dublin.

The Manager has delegated the performance of the investment management functions in respect of the Company to BlackRock Advisors (UK) Limited, the administrative functions (apart from transfer agency and registrar services) to BNY Mellon Fund Services (Ireland) Designated Activity Company and the transfer agency and registrar services to State Street Fund Services (Ireland) Limited.

The Manager is a private company limited by shares and was incorporated in Ireland on 19 January 1995. It is ultimately a wholly owned subsidiary of BlackRock, Inc.. The Manager has an authorised share capital of Stg£1 million and an issued and fully paid up share capital of Stg£125,000. The Manager's main business is the provision of fund management and administration services to collective investment schemes such as the Company. The Manager is also the manager of a number of other funds including: iShares plc, iShares II plc, iShares IV plc, iShares V plc, iShares VI plc, iShares VII plc, Institutional Cash Series plc, BlackRock Alternative Strategies II, BlackRock Institutional Pooled Funds plc, BlackRock Liquidity Funds plc, BlackRock Index Selection Fund, BlackRock Active Selection Fund, BlackRock Specialist Strategies Funds, BlackRock Liability Solutions Funds, BlackRock Liability Solutions Funds II (Dublin), BlackRock Liability Solutions Funds III (Dublin), BlackRock Liability Matching Funds (Dublin), BlackRock Fixed Income Dublin Funds plc, BlackRock Selection Fund, Specialist Dublin Funds I Trust, BlackRock Fixed Income GlobalAlpha Funds (Dublin), Global Institutional Liquidity Funds, plc and BlackRock UCITS Funds.

Under the terms of the Management Agreement between the Company and the Manager, in the absence of breach of contract, fraud, bad faith, wilful misconduct or negligence in the performance by the Manager of its obligations, the Manager will not be under any liability to the Company or any investor in the Company on account of anything done or suffered by the Manager in pursuance of rendering the services under the agreement or any request or advice of the Company. The Management Agreement also provides for certain indemnities in favour of the Manager, otherwise than due to breach of contract, fraud, bad faith, the wilful default or negligence in the performance by the Manager, its subcontractors, servants or agents in the performance of its obligations under the Management Agreement. The Management Agreement may be terminated by either party giving to the other not less than one hundred and eighty days' notice in writing, although in certain circumstances, the agreement can be terminated forthwith by notice in writing by the Company or the Manager to the other.

The secretary of the Manager is Apex IFS Limited.

The Investment Manager

The Manager has delegated the investment and re-investment of the Company's assets to BlackRock Advisors (UK) Limited pursuant to the Investment Management Agreement. The Investment Manager is also the sponsor of the Company.

The Investment Manager will be responsible to the Manager and the Company with regard to the investment management of the assets of the Funds in accordance with the investment objectives and policies described in the Prospectus (as it may be amended or supplemented from time to time) subject always to the supervision and direction of the Directors.

The Investment Manager may delegate all or part of the day-to-day conduct of its trading activity in respect of any Fund to an Affiliate. The Investment Manager (subject to prior consent of the Manager and the Central Bank) also has the discretion to delegate the investment decision making to other investment managers (which may be Affiliates) provided such investments are made in accordance with the investment objectives and policies described in this Prospectus. The Investment Manager will discharge the fees and expenses of any such investment managers. Information relating to any other investment managers to whom the investment decision making may be delegated will be provided to holders of Shares on request and details of any such investment managers will be disclosed in the Company's annual reports and audited financial statements and semi-annual reports and unaudited financial statements. The Investment Manager may perform investment management services or provide other services for clients other than the Funds.

The Investment Manager is a subsidiary of BlackRock, Inc. The Investment Manager as investment manager is regulated by the Financial Conduct Authority to carry on regulated activities in the UK and is subject to the rules of the Financial Conduct Authority. The Investment Manager was incorporated under the laws of England and Wales on 18 March 1964. As of 31 December 2016, the BlackRock Group had US\$5.1 trillion of assets under management and is represented in 27 countries.

Under the terms of the Investment Management Agreement, in the absence of fraud, bad faith, wilful default or negligence on the part of the Investment Manager, the Investment Manager will not be liable for any loss sustained by reason of the adoption of any investment policy as set out in the Prospectus or the purchase, sale or retention of any security on the recommendation of the Investment Manager. The Investment Management Agreement also provides for certain indemnities in favour of the Investment Manager, its employees and agents, otherwise than due to the wilful misconduct, fraud, bad faith, or negligence of the Investment Manager, its servants, or agents in the performance of its obligations under the Investment Management Agreement. The Investment Management Agreement may be terminated by either party giving to the other not less than one hundred and eighty days' notice in writing or immediately by either party for the following reasons:

- in the event that the other party goes into liquidation (except voluntary liquidation for the purpose of reconstruction or amalgamation upon terms previously approved in writing by the first mentioned party) or is unable to pay its debts or commits an act of bankruptcy or a receiver is appointed over the assets of the other party or some event having equivalent effect occurs;
- an examiner, administrator or similar person is appointed to the other party;
- the other party commits a material breach of the agreement and fails to remedy a breach of the agreement (if capable of remedy) within thirty days of being requested to do so; or
- the Investment Manager ceases to be permitted to act as such under any applicable laws or regulations.

The Securities Lending Agent

The Investment Manager has been appointed by the Company as the securities lending agent of the Funds under the terms of a securities lending management agreement. Please see the section "Efficient Portfolio Management" for further details.

The Administrator

The Manager has delegated its responsibilities as administrator, registrar and transfer agent to State Street Fund Services (Ireland) Limited pursuant to the Administration Agreement. The Administrator will have the responsibility for the administration of the Company's affairs including the calculation of the Net Asset Value, processing Account Opening Forms and dealing requests from the Primary Market and preparation of the accounts of the Company, subject to the overall supervision of the Directors and the Manager.

The Administrator is a limited liability company incorporated in Ireland on 23 March, 1992 and is ultimately a wholly-owned subsidiary of the State Street Corporation. The authorised share capital of the Administrator is Stg£5,000,000 with an issued and paid up capital of Stg£350,000.

State Street Corporation is a leading world-wide specialist in providing sophisticated global investors with investment servicing and investment management. State Street Corporation is headquartered in Boston, Massachusetts, USA, and trades on the New York Stock Exchange under the symbol "STT".

The Administration Agreement provides that the appointment of the Administrator will continue unless and until terminated by the Manager, giving to the Administrator not less than 6 months' written notice or the Administrator giving to the Manager not less than 12 months' notice (which shall not take effect until 7 years following such commencement date as agreed between the parties), although in certain circumstances the agreement may be terminated forthwith by notice in writing by either party to the other. The Administration Agreement provides that the Administrator shall be liable to the Manager, the Company and to Shareholders for losses caused by reason of negligence, fraud, bad faith, wilful default, recklessness, breach of contract and/or breach of applicable laws on the part of the Administrator or its directors, officers, employees, delegates, agents or subcontractors; or the Administrator breaching its confidentiality obligations. The Administration Agreement also provides for certain indemnities in favour of the Administrator otherwise than due to the fraud, bad faith, breach of contract, breach of applicable law, negligence, recklessness or wilful default of the Administrator or its directors, officers, employees, delegates, agents or subcontractors, in the performance of its obligations under the Administration Agreement.

The Paying Agent

The Manager has appointed a Paying Agent for Shares in each of the Funds. In such capacity, the Paying Agent will be responsible for, among other things, ensuring that payments received by the Paying Agent from the Company are duly paid; maintaining independent records of securities, dividend payment amounts; and communicating information to the relevant International Central Securities Depository. Payment in respect of the Shares will be made through the relevant International Central Securities Depository in accordance with the standard practices of the applicable International Central Securities Depository. The Manager may vary or terminate the appointment of the Paying Agent or appoint additional or other registrars or paying agents or approve any change in the office through which any registrar or paying agent acts. Citibank N.A., London Branch is currently appointed by the Manager as Paying Agent.

The Depositary

The Company has appointed State Street Custodial Services (Ireland) Limited as depositary of its assets pursuant to the Depositary Agreement. The Depositary provides safe custody of the Company's assets pursuant to the Regulations.

The Depositary is a limited liability company incorporated in Ireland on 22 May 1991 and is, like the Administrator, ultimately owned by the State Street Corporation. Its authorised share capital is Stg£5,000,000 and its issued and paid up capital is Stg£200,000. As at 30 June 2012 the Depositary held funds under custody in excess of US\$384 billion. The Depositary is a subsidiary of State Street Bank and Trust Company ("SSBT") and the liabilities of the Depositary are guaranteed by SSBT. The Depositary, SSBT and the Administrator are ultimately owned by State Street Corporation. The Depositary's principal business is the provision of custodial and trustee services for collective investment schemes and other portfolios.

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The Duties of the Depositary

The Depositary acts as the depositary of the Funds for the purposes of the Regulations and, in doing so, shall comply with the provisions of the Regulations. In this capacity, the Depositary's duties include, amongst others, the following:

- (i) ensuring that each Fund's cash flows are properly monitored, and that all payments made by or on behalf of investors upon the subscription of Shares of the Funds have been received;
- (ii) safekeeping the assets of the Funds, which includes (a) holding in custody all financial instruments that can be registered in a financial instrument account opened in the Depositary's books and all financial instruments that can be physically delivered to the Depositary; and (b) for other assets, verifying the ownership by the Company of such assets and the maintenance of a record accordingly (the "Safekeeping Function");
- (iii) ensuring that the sale, issue, re-purchase, redemption and cancellation of Shares of each Fund are carried out in accordance with the Regulations and the Articles;
- (iv) ensuring that the value of the Shares of each Fund is calculated in accordance with the Regulations and the Articles;
- (v) carrying out the instructions of the Manager and the Company unless such instructions conflict with the Regulations or the Articles;
- (vi) ensuring that in transactions involving each Fund's assets any consideration is remitted to the relevant Fund within the usual time limits; and
- (vii) ensuring that the Funds' income is applied in accordance with the Regulations and the Articles.

Apart from cash (which shall be held and maintained in accordance with the terms of the Regulations), all other assets of the Funds shall be segregated from the assets of the Depositary, its sub-custodians and from assets held as a fiduciary, custodian or otherwise by the Depositary or sub-custodians or both for other customers. The Depositary shall maintain its records which relate to the assets attributable to each Fund so as to ensure that it is readily apparent that the assets are held solely on behalf of and belong to the Fund and do not belong to the Depositary or any of its affiliates, sub-custodians or delegates or any of their affiliates.

The Depositary has appointed its parent company, SSBT, as its global sub-custodian ("Global Depositary") in respect of the performance of its Safekeeping Function. The Global Depositary has in turn entered into sub-custody agreements delegating the performance of its Safekeeping Function in certain agreed markets to the sub-custodians as set out in Schedule VI. The liability of the Depositary will not be affected by the fact that it has entrusted the Safekeeping Function to a third party.

The Depositary must ensure that the sub-custodians:

- (i) have adequate structures and expertise;
- (ii) in circumstances where custody of financial instruments is delegated to them, are subject to effective prudential regulation, including minimum capital requirements, and supervision in the jurisdiction concerned, as well as an external periodic audit to ensure that the financial instruments are in their possession;
- (iii) segregate the assets of the Depositary's clients from their own assets and assets of the Depositary in such a way that such assets can, at any time, be clearly identified as belonging to the Depositary's clients;
- (iv) ensure that in the event of their insolvency, assets of the Company held by the sub-custodians are unavailable for distribution among, or realisation for the benefit of, creditors of the sub-custodians; and
- (v) are appointed by way of a written contract and comply with the general obligations and prohibitions in relation to the Safekeeping Function, reuse of assets and conflicts of interest.

Where the law of a third country requires that certain financial instruments be held in custody by a local entity and no local entities are subject to effective prudential regulation, including minimum capital requirements and supervision in the jurisdiction concerned, the Company may instruct the Depositary to delegate its functions to such a local entity only to the extent required by the law of the third country and only for as long as there are no local entities that satisfy the aforementioned regulation, capital and supervision requirements. In the event that custody is delegated to such local entities, prior Shareholder notice will be provided advising of the risks involved in such delegation.

Please refer to the section of this Prospectus entitled 'Conflicts of Interest' for details of potential conflicts that may arise involving the Depositary.

The Depositary must ensure that the assets of the Funds held in custody by the Depositary shall not be reused by the Depositary, or by any third party to whom the custody function has been delegated, for their own account. Reuse comprises any transaction of assets of the Funds held in custody including, but not limited to, transferring, pledging, selling and lending. Reuse of the assets of a Fund held in custody is only allowed where:

- (a) the reuse of the assets is carried out for the account of the Fund;
- (b) the Depositary is carrying out the instructions of the Manager on behalf of the Fund;
- (c) the reuse is for the benefit of the Fund and the interest of the investors in the Fund; and
- (d) the transaction is covered by high quality and liquid collateral received by the Fund under a title transfer arrangement with a market value at all times at least equivalent to the market value of the reused assets plus a premium.

The Depositary is liable to the Funds for the loss of financial instruments of the Funds which are held in custody as part of the Depositary's Safekeeping Function (irrespective of whether or not the Depositary has delegated its Safekeeping Function in respect of such financial instruments) unless it can prove that the loss of financial instruments held in custody has arisen as a result of an external event beyond its reasonable control, the consequences of which would have been unavoidable despite all reasonable efforts to the contrary. This standard of liability only applies to assets capable of being registered or held in a securities account in the name of the Depositary or a sub-custodian and assets capable of being physically delivered to the Depositary. The Depositary shall also be liable to the Funds for all other losses suffered as a result of the Depositary's negligent or intentional failure to properly fulfil its obligations pursuant to the Regulations.

The Depositary Agreement provides that the Company will be liable to the Depositary for any losses that may be imposed on, suffered by or asserted against the Depositary in connection with or arising out of the Depositary's proper performance of its obligations and that the Company will indemnify the Depositary against, and hold it harmless from, any losses arising from third party claims that may be suffered by or asserted against the Depositary in connection with or arising out of the Depositary's proper performance of its obligations.

Under the Depositary Agreement, the Company has also provided a power of sale under relevant Irish legislation to the Depositary in the event that the Company fails to pay or discharge any of its obligations to repay the Depositary and its affiliates for credit facilities, including contractual settlement, made available to the Company by the Depositary or its affiliates. Prior to exercising such security interest, the Depositary must provide at least 3 working days' prior notice to the Company and the Manager, save that the Depositary shall not be required to provide the notice detailed above or delay exercising its power of sale if the Depositary in its discretion (acting reasonably) considers that to do so would materially prejudice its ability to obtain payment in full. In such circumstances, the Depositary shall only be required to give such prior notice as is reasonably practicable. The Depositary Agreement also provides that the Depositary has a contractual right of set-off to cover any outstanding fees which may be owed to the Depositary. This right may be exercised by the Depositary only against the property of the relevant Fund in relation to which the default on the payment obligation occurred.

The Depositary Agreement provides that the appointment of the Depositary may be terminated by the Company giving to the Depositary 6 months' notice (or such shorter period as the Depositary may agree to accept) or the Depositary giving to the Company 12 months' notice (or such shorter period as the Company may agree to accept), although in certain circumstances, the agreement can be terminated forthwith by notice in writing by the Company or Depositary to the other parties.

Up-to-date information regarding the Depositary including the duties of the Depositary, the delegation arrangements and any conflicts of interest that may arise shall be made available to investors upon request to the Manager.

Currency Hedging

State Street Bank & Trust Company, London Branch has been appointed by the Investment Manager to provide currency hedging services for all the Currency Hedged Share Classes pursuant to the Currency Hedging Agreement. State Street Bank & Trust Company, London Branch will be responsible for carrying out foreign exchange transactions for the Currency Hedged Share Classes according to guidelines determined by the Investment Manager. State Street Bank & Trust Company, London Branch will employ a hedging methodology which reflects the methodology of the relevant Funds and Share Classes (see "The Benchmark Indices" and "Investment Techniques" above).

State Street Corporation is a leading world-wide specialist in providing sophisticated global investors with investment servicing and investment management. State Street Corporation is headquartered in Boston, Massachusetts, USA, and trades on the New York Stock Exchange under the symbol "STT".

CONFLICTS OF INTEREST

General

The Manager and other BlackRock Group companies undertake business for other clients. BlackRock Group companies, their employees and their other clients face conflicts with the interests of the Manager and its clients. BlackRock maintains a Conflicts of Interest Policy. It is not always possible for the risk of detriment to a client's interests to be entirely mitigated such that, on every transaction when acting for clients, a risk of detriment to their interests does not remain.

The types of conflict scenario giving rise to risks which BlackRock considers it cannot with reasonable confidence mitigate are disclosed below and may be updated from time to time.

Depositary

The Depositary is part of an international group of companies and businesses that, in the ordinary course of their business, act simultaneously for a large number of clients, as well as for their own account, which may result in actual or potential conflicts. Conflicts of interest arise where the Depositary or its affiliates engage in activities under the Depositary Agreement or under separate contractual or other arrangements. Such activities may include:

- (i) providing nominee, administration, registrar and transfer agency, research, agent securities lending, investment management, financial advice and/or other advisory services to the Company;
- (ii) engaging in banking, sales and trading transactions including foreign exchange, derivative, principal lending, broking, market making or other financial transactions with a Fund either as principal and in the interests of itself, or for other clients.

In connection with the above activities the Depositary or its affiliates:

- (i) will seek to profit from such activities and are entitled to receive and retain any profits or compensation in any form and are not bound to disclose to the Company, the nature or amount of any such profits or compensation including any fee, charge, commission, revenue share, spread, mark-up, mark-down, interest, rebate, discount, or other benefit received in connection with any such activities;
- (ii) may buy, sell, issue, deal with or hold, securities or other financial products or instruments as principal acting in its own interests, the interests of its affiliates or for its other clients;
- (iii) may trade in the same or opposite direction to the transactions undertaken, including based upon information in its possession that is not available to the Company;
- (iv) may provide the same or similar services to other clients including competitors of the Company;
- (v) may be granted creditors' rights by the Company which it may exercise.

The Company may use an affiliate of the Depositary to execute foreign exchange, spot or swap transactions for the account of the Company. In such instances the affiliate shall be acting in a principal capacity and not as a broker, agent or fiduciary of the Company. The affiliate will seek to profit from these transactions and is entitled to retain and not disclose any profit to the Company. The affiliate shall enter into such transactions on the terms and conditions agreed with the Company.

Where cash belonging to the Company is deposited with an affiliate of the Depositary being a bank, a potential conflict arises in relation to the interest (if any) which the affiliate may pay or charge to such account and the fees or other benefits which it may derive from holding such cash as banker and not as trustee.

The Manager may also be a client or counterparty of the Depositary or its affiliates.

Up-to-date information on the Depositary, its duties, any conflicts that may arise, the safe-keeping functions delegated by the Depositary, the list of delegates and sub-delegates and any conflicts of interest that may arise from such a delegation will be made available to investors on request.

Conflicts of Interest within the BlackRock Group

PA Dealing

BlackRock Group employees may be exposed to clients' investment information while also being able to trade through personal accounts. There is a risk that, if an employee could place a trade of sufficient size, this would affect the value of a client's transaction. BlackRock Group has implemented a Personal Trading Policy designed to ensure that employee trading is pre-approved.

Employee Relationships

BlackRock Group employees may have relationships with the employees of BlackRock's clients or with other individuals whose interests conflict with those of a client. Such an employee's relationship could influence the employee's decision-making at the expense of clients' interests. BlackRock Group has a Conflicts of Interest Policy under which employees must declare all potential conflicts.

Voting Rights of Shares Held by BlackRock

An affiliate of the Manager and Investment Manager ("BlackRock Corporate") may hold Shares in the Funds and may vote a single Share at an extraordinary general meeting of a Fund. BlackRock Corporate will only vote its Share in favour of a resolution that the Directors determine is in the best interest of the Fund as a whole. BlackRock

Corporate will not vote its Share in circumstances where (a) the outcome of the vote would have a direct financial benefit on the BlackRock Group, (b) a potential conflict of interest cannot be mitigated, and/or (c) BlackRock Corporate is in possession of material non-public information relating to the Fund.

On a poll to determine voting on a resolution, each Share in a Fund carries one vote. If any other investor validly votes its Shares (by sending its voting instructions via its intermediary), the single Share voted by BlackRock Corporate will be capable of being outvoted. For example, if BlackRock Corporate votes a single Share in favour of a resolution but another investor votes at least a single Share against, the resolution will not be passed by BlackRock Corporate's vote by itself.

Information Barriers

The BlackRock Group has established certain information barriers and other policies to address the sharing of information between different businesses within the BlackRock Group, including, effective on or about 21 January 2025 with respect to personnel responsible for managing portfolios and voting proxies with respect to certain index equity portfolios versus those responsible for managing portfolios and voting proxies with respect to all other portfolios. As a result of information barriers, certain personnel, businesses, or business units of the BlackRock Group generally, including within the Investment Manager, will not have access, or will have limited access, to certain information and personnel, including senior personnel, in other units of BlackRock Group which may adversely affect the ability of the Investment Manager to manage the Funds with the benefit of information possessed by such other units.

The BlackRock Group may determine to move certain personnel, businesses, or business units from one side of an information barrier to the other side of the information barrier. In such circumstances, such personnel, businesses, and business units that were moved will no longer have access to the information and personnel from the side of the information barrier from which they were moved. Information obtained in connection with such changes to information barriers may limit or restrict the ability of the Investment Manager to engage in or otherwise effect transactions on behalf of the Funds (including purchasing or selling securities that it may otherwise have purchased or sold for a client in the absence of a change to an information barrier). Information barriers may not have their intended impact due to, for example, changes in applicable law or inadvertent crossings of the barriers, and actions by personnel on one side of a barrier may impact the potential actions of personnel on the other side of a barrier.

Conflicts of interest of the Manager

Provider Aladdin

BlackRock Group uses Aladdin software as a single technology platform across its investment management business. Custodial and fund administration service providers may use Provider Aladdin, a form of Aladdin software, to access data used by the Investment Manager and the Manager. Each service provider remunerates BlackRock Group for the use of Provider Aladdin. A potential conflict arises whereby an agreement by a service provider to use Provider Aladdin incentivises the Manager to appoint or renew appointment of such service provider. To mitigate the risk, such contracts are entered on an 'arm's length' basis.

Distribution Relationships

The Principal Distributor (BlackRock Investment Management (UK) Limited) may pay third parties for distribution and related services. Such payments could incentivise third parties to promote the Company to investors against that client's best interests. BlackRock Group companies comply with all legal and regulatory requirements in the jurisdictions in which such payments are made.

Conflicts of interest of the Investment Manager

Commissions & Research

Where permitted by applicable regulation (excluding, for the avoidance of doubt, any Funds which are in scope for MiFID II), certain BlackRock Group companies acting as investment manager to the Funds may use commissions generated when trading equities with certain brokers in certain jurisdictions to pay for external research. Such arrangements may benefit one fund over another because research can be used for a broader range of clients than just those whose trading funded it. BlackRock Group has a Use of Commissions Policy designed to ensure compliance with applicable regulation and market practice in each region.

Timing of Competing Orders

When handling multiple orders for the same security in the same direction raised at or about the same time, the Investment Manager seeks to achieve the best overall result for each order equitably on a consistent basis taking into account the characteristics of the orders, regulatory constraints or prevailing market conditions. Typically, this is achieved through the aggregation of competing orders. Conflicts of interest may appear if a trader does not aggregate competing orders that meet eligibility requirements, or does aggregate orders that do not meet eligibility requirements; it may appear as if one order received preferential execution over another. For a specific trade instruction of the Fund, there may be a risk that better execution terms will be achieved for a different client. For example, if the order was not included in an aggregation. BlackRock Group has Order Handling Procedures and an Investment Allocation Policy which govern sequencing and the aggregation of orders.

Concurrent Long and Short Positions

The Investment Manager may establish, hold or unwind opposite positions (i.e. long and short) in the same security at the same time for different clients. This may prejudice the interests of the Investment Manager's clients on one side or the other. Additionally, investment management teams across the BlackRock Group may have long only mandates and long-short mandates; they may short a security in some portfolios that are held long in other portfolios. Investment decisions to take short positions in one account may also impact the price, liquidity or

valuation of long positions in another client account, or vice versa. BlackRock Group operates a Long Short (side by side) Policy with a view to treating accounts fairly.

Cross Trading – Pricing Conflict

When handling multiple orders for the same security, the Investment Manager may 'cross' trades by matching opposing flows to obtain best execution. When crossing orders, it is possible that the execution may not be performed in the best interests of each client; for example, where a trade did not constitute a fair and reasonable price. BlackRock Group reduces this risk by implementing a Crossing Policy.

MNPI

BlackRock Group companies receive Material Non-Public Information (MNPI) in relation to listed securities in which BlackRock Group companies invest on behalf of clients. To prevent wrongful trading, BlackRock Group erects Information Barriers and restricts trading by one or more investment team(s) concerned in the security concerned. Such restrictions may negatively impact the investment performance of client accounts. BlackRock has implemented a Material Non-Public Information Barrier Policy.

BlackRock's Investment Constraints or Limitations and its Related Parties

The Company may be restricted in its investment activities due to ownership threshold limits and reporting obligations in certain jurisdictions applying in aggregate to the accounts of clients of the BlackRock Group. Such restrictions may adversely impact clients through missed investment opportunities. BlackRock Group manages the conflict by following an Investment and Trading Allocation Policy, designed to allocate limited investment opportunities among affected accounts fairly and equitably over time.

Investment in Related Party Products

While providing investment management services the Investment Manager may invest in products serviced by BlackRock Group companies on behalf of other clients or may seed other products (including other collective investment schemes) sponsored or managed by the Investment Manager or an Affiliate. In respect of the Multi-Asset Funds, the Investment Manager may invest all of each Multi-Asset Fund's portfolio in investment products which are sponsored or managed by the Investment Manager or an Affiliate. In respect of other Funds that may invest a proportion of their portfolio in units of other collective investment schemes, the Investment Manager may invest solely in investment products which are sponsored or managed by the Investment Manager or an Affiliate. Such activities could increase the revenue of the BlackRock Group. In managing this conflict, BlackRock seeks to follow investment guidelines and has a Global Conflicts of Interest Policy and a Code of Business Conduct and Ethics.

Investment Allocation and Order Priority

When executing a transaction in a security on behalf of a client, it can be aggregated and the aggregated transaction fulfilled with multiple trades. Trades executed with other client orders result in the need to allocate those trades. The ease with which the Investment Manager can allocate trades to a certain client's account can be limited by the sizes and prices of those trades relative to the sizes of the clients' instructed transactions. A process of allocation can result in a client not receiving the whole benefit of the best priced trade. The Investment Manager manages this conflict by following an Investment and Trading Allocation Policy, which is designed to ensure the fair treatment of all clients' accounts over time.

Fund Look Through

BlackRock Group companies may have an informational advantage when investing in proprietary BlackRock funds on behalf of client portfolios. Such an informational advantage may lead a BlackRock Group company to invest on behalf of its client earlier than the Investment Manager invests for the Company. The risk of detriment is mitigated through BlackRock Group's pricing of units and anti-dilution mechanisms.

Side-by-Side Management: Performance fee

The Investment Manager manages multiple client accounts with differing fee structures. There is a risk that such differences lead to inconsistent performances levels across client accounts with similar mandates by incentivising employees to favour accounts delivering performance fees over flat or non-fee accounts. BlackRock Group companies manage this risk through a commitment to a Code of Business Conduct and Ethics.

STATUTORY AND GENERAL INFORMATION

1. Authorised share capital

On incorporation the authorised share capital of the Company was €2.00 divided into 2 Subscriber Shares of a par value of €1 each and 500,000,000,000 Shares of no par value. The 2 Subscriber Shares are currently in issue and are held by the Manager or nominees of the Manager. Both Subscriber Shares were issued for cash at par value. The Subscriber Shares do not form part of the share capital of any Fund of the Company.

These Subscriber Shares may be repurchased by the Company at any time. The repurchase price will be €1 per Subscriber Share.

- (a) To the best of the Directors' knowledge and belief, as of the date of this Prospectus, no capital of the Company is under option or is agreed, conditionally or unconditionally to be put under option.
- (b) Neither the Subscriber Shares nor the Shares carry pre-emption rights.

2. Variation of share capital

The Company may, at the discretion of the Directors and on notice to the relevant Shareholders:-

- (a) consolidate and divide all or any of its share capital into a smaller number of Shares than its existing Shares; or
- (b) sub-divide its Shares, or any of them, into a larger number of Shares.

The Company may, at the discretion of the Directors, cancel any Shares which following (a) or (b) above have not been taken, or agreed to be taken, by any person, and diminish the amount of its share capital by the amount of the Shares so cancelled.

3. Share Rights

- (a) Subscriber Shares

The holders of the Subscriber Shares shall:-

- (i) on a poll, be entitled to one vote per Subscriber Share;
- (ii) not be entitled to any dividends whatsoever in respect of their holding of Subscriber Shares; and
- (iii) in the event of a winding up or dissolution of the Company, have the entitlements referred to under "Distribution of Assets on a Liquidation" below.

- (b) Shares

The holders of Shares shall:-

- (i) on a poll, be entitled to one vote per whole Share;
- (ii) be entitled to such dividends as the Directors may from time to time declare; and
- (iii) in the event of a winding up or dissolution of the Company, have the entitlements referred to under "Distribution of Assets on a Liquidation" below.

Please see the section entitled "General Information on Dealings in the Company" for information on exercising voting rights by investors in the Funds.

4. Voting Rights

This is dealt with under the rights attaching to the Subscriber Shares and Shares respectively referred to at 2 above. Shareholders (i.e. investors who have their names entered on the share register) who are individuals may attend and vote at general meetings in person or by proxy. Shareholders (i.e. investors who have their names entered on the share register) who are corporations may attend and vote at general meetings by appointing a representative or by proxy. Investors who hold Shares through a broker/dealer/other intermediary, who are not entered on the register, for example for clearing purposes, may not be entitled to vote at general meetings. This will depend upon the arrangements agreed with the relevant broker/dealer/other intermediary.

Subject to any special terms as to voting upon which any Shares may be issued or may for the time being be held, at any general meeting on a poll every such holder of Shares present in person or by proxy shall have one vote for every Share held.

To be passed, ordinary resolutions of the Company in general meeting will require a simple majority of the votes cast by the holders of Shares voting in person or by proxy at the meeting at which the resolution is proposed.

A majority of not less than 75% of the holders of Shares present in person or by proxy and (being entitled to vote) voting in general meetings is required in order to pass a special resolution including a resolution to (i) rescind, alter or amend an Article or make a new Article and (ii) wind up the Company.

Please see the section entitled "General Information on Dealings in the Company" for information on exercising voting rights by investors in the Funds.

5. Meetings and Votes of Shareholders

Shareholders (i.e. investors who have their names entered on the share register of the Company) will be entitled to attend and vote at general meetings of the Company. The annual general meeting of the Company will be held in Ireland normally within six months of the end of each financial year of the Company. Notices convening each annual general meeting will be sent to registered shareholders together with the annual report and audited financial statements not less than twenty-one days before the date fixed for the meeting.

Please see the section entitled "General Information on Dealings in the Company" for information on delivery of notices and exercising voting rights by investors in the Funds.

6. Accounts and Information

The Company's accounting period will end on 30 June in each year.

The Company will prepare an annual report and audited financial statements for the year ending 30 June in each year. The annual report and audited financial statements will be published within four months following the year end date. In addition, the Company will prepare a semi-annual report and unaudited financial statements (made up to 31 December) and this will be published within two months following this period end. The Company will supply copies of the annual and semi-annual reports to holders of Shares free of charge on request.

Copies of this Prospectus, the Supplements (if any) and annual and semi-annual reports of the Company may be obtained from the Administrator at the address given under "Directory".

7. Distribution of assets on a liquidation

- (a) If the Company shall be wound up, the liquidator shall, subject to the provisions of the Act, apply the assets of the Company on the basis that any liability incurred or attributable to a Fund shall be discharged solely out of the assets of that Fund.
- (b) The assets available for distribution among the members shall then be applied in the following priority:-
 - (i) firstly, in the payment to the holders of the Shares of each class of each Fund a sum in the currency in which that class is designated or in any other currency selected by the liquidator as nearly as possible equal (at a rate of exchange determined by the liquidator) to the Net Asset Value of the Shares held by such holders respectively as at the date of commencement to wind up provided that there are sufficient assets available in the relevant Fund to enable such payment to be made. In the event that, as regards any class of Shares, there are insufficient assets available in the relevant Fund to enable such payment to be made, recourse shall be had to the assets of the Company (if any) not comprised within any of the Funds and not (save as provided in the Act) to the assets comprised within any of the Funds;
 - (ii) secondly, in the payment to the holders of the Subscriber Shares of sums up to the nominal amount paid thereon out of the assets of the Company not comprised within any Funds remaining after any recourse thereto under sub-paragraph (b)(i) above. In the event that there are insufficient assets aforesaid to enable such payment to be made, no recourse shall be had to the assets comprised within any of the Funds;
 - (iii) thirdly, in the payment to the holders of each class of Shares of any asset remaining in the relevant Fund of any balance being made in proportion to the number of Shares held; and
 - (iv) fourthly, in the payment to the holders of the Shares of any balance then remaining and not comprised within any of the Funds such payment being made in proportion to the value of each Fund and within each Fund to the value of each class and in proportion to the number of Shares held in each class.
- (c) The Company will sell the assets if requested by a Shareholder and the cost of such sale shall be charged to the redeeming Shareholder.

- (d) A Fund may be wound up in accordance with the Act and in such event the provisions of paragraph (b)(i) and Article 126 of the Articles will apply with the relevant changes being applied in respect of that Fund.

8. Circumstances of a Winding Up

The Company shall be wound up in the following circumstances:

- (a) by the passing of a special resolution for a winding-up;
- (b) where the Company does not commence business within a year of being incorporated or where it suspends its business for a year;
- (c) where the number of members falls below the statutory minimum (currently 2);
- (d) where the Company is unable to pay its debts and a liquidator has been appointed;
- (e) where the appropriate court in Ireland is of the opinion that the Company's affairs and the powers of the Directors have been exercised in a manner oppressive to members;
- (f) the appropriate court in Ireland is of the opinion that it is just and equitable that the Company should be wound up.

9. Directors' and Other Interests

- (a) As at the date of this Prospectus, none of the Directors, nor any other connected person has any material interest in the Shares of the Company or any options in respect of such Shares.
- (b) For the purposes of this paragraph "connected person" means in respect of any Director:
 - (i) his spouse, child or step-child;
 - (ii) a person acting in his capacity as the trustee of any trust, the principal beneficiaries of which are the Director, his spouse or any of his children or step-children or any body corporate which he controls;
 - (iii) a partner of the Director; or
 - (iv) a company controlled by that Director.

The Directors are entitled to such annual fees as may be agreed. The BlackRock Group employees serving as Directors are not entitled to receive Directors' fees. The Articles provide that each Director shall be entitled to such remuneration for his services as the Directors shall from time to time resolve, provided that no Director may be paid in excess of a figure set out in the Prospectus without the approval of the Board of Directors. These fees are paid out of the Total Expense Ratio.

- (c) Save for the contracts listed in section entitled "Management of the Company", no Director is materially interested in any contract or arrangement subsisting at the date hereof which is unusual in its nature and conditions or significant in relation to the business of the Company.
- (d) Ms Sperandeo is an employee of the BlackRock Group (of which the Manager and Investment Manager are part).
- (e) No loan or guarantee has been provided by the Company to any Director.
- (f) Members of the BlackRock Group (i.e. BlackRock, Inc. and its subsidiaries and affiliates) may hold Shares for their own account and on behalf of discretionary clients. The Directors are satisfied that in the nature of the Company's business such holdings will not prejudice its independent operation. All relations between the Company and members of the BlackRock Group will be conducted at arms' length on a normal commercial basis.
- (g) No Director:
 - (i) has any unspent convictions;
 - (ii) has become bankrupt or entered into any voluntary arrangement;
 - (iii) has been a director of any company or a partner of any firm which, at that time or within twelve months after his ceasing to become a director or a partner (as the case may be), had a receiver appointed or went into compulsory liquidation, or creditors voluntary liquidation or went into administration, or entered into company or partnership voluntary arrangements or made any composition or arrangement with its creditors;

- (iv) has owned an asset or been a partner of a partnership owning an asset over which a receiver has been appointed at that time or within twelve months after his ceasing to be a partner; or
- (v) has had any public criticism against him by any statutory or regulatory authority (including recognised professional bodies) or has been disqualified by a court from acting as a director or acting in the management or conduct of the affairs of any company.

10. Litigation

Save as disclosed in the Company's annual report and audited financial statements, the Company is not and has not been engaged in any litigation or arbitration proceedings as a defendant and the Directors are not aware of any litigation or claim pending or threatened by or against the Company since its incorporation, where such litigation, arbitration proceedings or claim may have a significant effect on the Company's financial position or profitability. Where appropriate, the Company has participated in certain shareholder class actions brought against the underlying companies in which it invests. Such shareholder class actions are funded by third party funders and the Company does not act as the lead claimant.

11. Miscellaneous

- (a) The Company does not have as at the date of this Prospectus any loan capital (including term loans) outstanding or created but unissued, or any outstanding mortgages, charges, debentures or other borrowings or indebtedness in the nature of borrowings, including bank overdraft, liabilities under acceptances or acceptance credits, obligations under finance leases, hire purchase, commitments, guarantees or other contingent liabilities.
- (b) The Company does not have, nor has it had since its incorporation, any employees.
- (c) Save as disclosed in paragraph 8 above, no Director has any interest direct or indirect in the promotion of the Company or in any assets which have been acquired or disposed of by or leased to the Company or are proposed to be acquired by, disposed of or leased to the Company, nor is there any contract or arrangement subsisting at the date of this document in which a Director is materially interested and which is unusual in its nature and conditions or significant in relation to the business of the Company.
- (d) The Company has not and does not intend to purchase or acquire nor agree to purchase or acquire any real property.
- (e) The name "iShares" is a trademark of BlackRock. Inc. or its subsidiaries. On termination of the Management Agreement, the Company has undertaken (inter alia) to call a general meeting of the Company to change the name of the Company to a name not resembling or including "iShares".

12. Inspection of Documents

Copies of the following documents will be available for inspection at any time during normal business hours on any day (excluding Saturdays, Sundays and public holidays), free of charge, at the registered offices of the Company in Dublin and at the offices of the Investment Manager in London and may be obtained, on request free of charge, from the Administrator:-

- (a) this Prospectus, any Supplement and any KIID or KID;
- (b) the Memorandum and Articles;
- (c) the latest annual and semi-annual reports of the Company.

13. UK Facilities Agent

UK investors can contact the UK facilities agent (the Investment Manager) at BlackRock Advisors (UK) Limited, 12 Throgmorton Avenue, London EC2N 2DL for details regarding pricing and redemption, making a complaint and for the inspection (free of charge) and for the obtaining of copies in English of scheme documentation listed in paragraph 11(a) and (b) above (free of charge) and documentation listed at paragraph 11 (c) above (free of charge).

TAXATION

General

The information given is not exhaustive and does not constitute legal or tax advice. Prospective investors should consult their own professional advisers as to the implications of their subscribing for, purchasing, holding, switching or disposing of Shares under the laws of the jurisdictions in which they may be subject to tax.

The following is a brief summary of certain aspects of Irish and United Kingdom taxation law and practice relevant to the transactions contemplated in this Prospectus. It is based on the law and practice and official interpretation currently in effect as at the date of this Prospectus, all of which are subject to change.

Dividends, interest and capital gains (if any) which the Company receives with respect to its Investments (other than securities of Irish issuers) may be subject to taxes, including withholding taxes, in the countries in which the issuers of Investments are located. It is anticipated that the Company may not be able to benefit from reduced rates of withholding tax in double taxation agreements between Ireland and such countries. Therefore, such withholding taxes may be considered as generally irrecoverable as the Company itself is exempt from income tax. If this position changes in the future and the application of a lower rate results in a repayment to the Company, the Net Asset Value will not be re-stated and the benefit will be allocated to the existing holders of Shares rateably at the time of the repayment.

This section does not cover the tax implications for anyone other than those who have a beneficial interest in the Shares. This section does not cover tax implications for UK resident individual investors that are not domiciled in the UK or any financial traders or any other investors that may hold Shares in the Company in the course of their trade or profession. It also does not cover taxation implications in respect of life companies and UK authorised investment funds investing in the Company.

Irish Taxation

The Directors have been advised that on the basis that the Company is resident in Ireland for taxation purposes the taxation position of the Company and its holders of Shares is as set out below.

Definitions

For the purposes of this section, the following definitions shall apply.

"Courts Service"

The Courts Service is responsible for the administration of moneys under the control or subject to the order of the Courts.

"Equivalent Measures"

apply to an investment undertaking where the Irish Revenue have given the investment undertaking notice of approval in accordance with Section 739D (7B) of the Taxes Act and the approval has not been withdrawn.

"Exempted Irish Investor" means:

- (i) an Intermediary within the meaning of Section 739B of the Taxes Act;
- (ii) a pension scheme which is an exempt approved scheme within the meaning of Section 774 of the Taxes Act or a retirement annuity contract or a trust scheme to which Section 784 or 785 of the Taxes Act applies;
- (iii) a participant within the meaning of the Automatic Enrolment Retirement Savings Scheme Act 2024, the units are held by the Authority within the meaning of that Act on behalf of the participant;
- (iv) a company carrying on life assurance business within the meaning of Section 706 of the Taxes Act;
- (v) an investment undertaking within the meaning of Section 739B(1) of the Taxes Act;
- (vi) an investment limited partnership within the meaning of Section 739J of the Taxes Act;
- (vii) a special investment scheme within the meaning of Section 737 of the Taxes Act;
- (viii) a unit trust to which Section 731(5)(a) of the Taxes Act applies;
- (ix) a charity being a person referred to in Section 739D(6)(f)(i) of the Taxes Act;
- (x) a person who is entitled to exemption from income tax and capital gains tax under Section 784A(2) of the Taxes Act where the shares held are assets of an approved retirement fund, an approved minimum retirement fund or a special savings incentive account;
- (xi) a credit union within the meaning of Section 2 of the Credit Union Act, 1997;
- (xii) a person who is entitled to exemption from income tax and capital gains tax by virtue of Section 787I of the Taxes Act and the shares are assets of a PRSA;
- (xiii) an Irish Resident company investing in a money market fund being a person referred to in Section 739D(6)(k) of the Taxes Act;
- (xiv) a company that is or will be within the charge to corporation tax in accordance with Section 110(2) of the Taxes Act in respect of payments made to it by the Fund;
- (xv) a qualifying management company within the meaning of Section 739B of the Taxes Act;
- (xvi) a specified company within the meaning of Section 734(1) of the Taxes Act;
- (xvii) the National Asset Management Agency being a person referred to in Section 739D(ka) of the Taxes Act;
- (xviii) the National Treasury Management Agency or a Fund investment vehicle (within the meaning of section 37 of the National Treasury Management Agency (Amendment) Act 2014) of which the Minister for Finance is the sole beneficial owner, or the State acting through the National Treasury Management Agency;

- (xix) the Motor Insurers' Bureau of Ireland in respect of an investment made by it of moneys paid to the Motor Insurers' Insolvency Compensation Fund;
- (xx) a person who is entitled to exemption from income tax and capital gains tax by virtue of section 787AC of the Taxes Act and the Shares held are assets of a PEEP, within the meaning of Part 30, Chapter 2D of the Taxes Act; or
- (xxi) any other Irish Resident or Irish Ordinary Resident who may be permitted to own shares under taxation legislation or by written practice or concession of the Irish Revenue Commissioners without giving rise to a charge to tax in the Company or jeopardising tax exemptions associated with the Company giving rise to a charge to tax in the Company,

provided that a Relevant Declaration is in place.

"Intermediary" means a person who:-

- (i) carries on a business which consists of, or includes, the receipt of payments from an investment undertaking on behalf of other persons; or
- (ii) holds shares in an investment undertaking on behalf of other persons.

"Ireland" means the Republic of Ireland/the State.

"Irish Ordinary Resident"

- (i) in the case of an individual, means an individual who is ordinarily resident in Ireland for tax purposes.
- (ii) in the case of a trust, means a trust that is ordinarily resident in Ireland for tax purposes.

The following definition has been issued by the Irish Revenue in relation to the ordinary residence of individuals:

The term "ordinary residence" as distinct from "residence", relates to a person's normal pattern of life and denotes residence in a place with some degree of continuity.

An individual who has been resident in Ireland for three consecutive tax years becomes ordinarily resident with effect from the commencement of the fourth tax year.

For example, an individual who is resident in Ireland for the tax years:-

- 1 January 2022 to 31 December 2022;
- 1 January 2023 to 31 December 2023; and
- 1 January 2024 to 31 December 2024

will become Irish Ordinary Resident with effect from 1 January 2025.

An individual who has been ordinarily resident in Ireland ceases to be ordinarily resident at the end of the third consecutive tax year in which s/he is not resident. Thus, an individual who is resident and ordinarily resident in Ireland in the tax year 1 January 2024 to 31 December 2024 and departs from Ireland in that tax year will remain ordinarily resident up to the end of the tax year 1 January 2027 to 31 December 2027.

"Irish Resident"

- (i) in the case of an individual, means an individual who is resident in Ireland for tax purposes.
- (ii) in the case of a trust, means a trust that is resident in Ireland for tax purposes.
- (iii) in the case of a company, means a company that is resident in Ireland for tax purposes.

Residence – Individual

An individual will be regarded as being resident in Ireland for a particular twelve month tax year if s/he:

- spends 183 days or more in Ireland in that twelve month tax year; or
- has a combined presence of 280 days in Ireland, taking into account the number of days spent in Ireland in that twelve month tax year together with the number of days spent in Ireland in the preceding twelve month tax year.

Presence in a twelve month tax year by an individual of not more than 30 days in Ireland will not be reckoned for the purpose of applying the two year test. Presence in Ireland for a day means the personal presence of an individual at any time during that day.

Residence – Company

It should be noted that the determination of a company's residence for tax purposes can be complex in certain cases and declarants are referred to the specific legislative provisions that are contained in Section 23A of the Taxes Act.

A company incorporated in Ireland is automatically considered resident in Ireland for tax purposes, unless it is considered resident in a jurisdiction with which Ireland has a double tax agreement. A company incorporated in a foreign jurisdiction that is centrally managed and controlled in Ireland will be treated as resident in Ireland for tax purposes, unless otherwise resident by virtue of a double tax agreement.

Residence – Trust

Determining the tax residence of a trust can be complex. A trust will generally be regarded as resident in Ireland for tax purposes if a majority of its trustees are resident for tax purposes in Ireland. Where some, but not all, of

the trustees are resident in Ireland, the residency of the trust will depend on where the general administration of the trust is carried on. In addition, the provisions of any relevant double tax agreement would need to be considered. As a result, each trust must be assessed on a case by case basis.

"Personal Portfolio Investment Undertaking" means an investment undertaking, under the terms of which some or all of the property of the undertaking may be, or was, selected by, or the selection of some or all of the property may be, or was, influenced by –

- (i) the investor,
- (ii) a person acting on behalf of the investor,
- (iii) a person connected with the investor,
- (iv) a person connected with a person acting on behalf of the investor,
- (v) the investor and a person connected with the investor, or
- (vi) a person acting on behalf of both the investor and a person connected with the investor.

An investment undertaking is not a Personal Portfolio Investment Undertaking if the only property which may or has been selected was available to the public at the time that the property is available for selection by an investor and is clearly identified in the investment undertaking's marketing or other promotional material. The investment undertaking must also deal with all investors on a non-discriminatory basis. In the case of investments deriving 50% or more of their value from land, any investment made by an individual is limited to 1% of the total capital required.

"Relevant Declaration" means the declaration relevant to the holder of Shares as set out in Schedule 2B of the Taxes Act.

"Relevant Period" means a period of 8 years beginning with the acquisition of a Share by a holder of Shares and each subsequent period of 8 years beginning immediately after the preceding Relevant Period.

"Taxes Act", The Taxes Consolidation Act, 1997 (of Ireland) as amended.

The Company

The Company shall be regarded as resident in Ireland for tax purposes if the central management and control of its business is exercised in Ireland and the Company is not regarded as resident elsewhere. It is the intention of the Directors that the business of the Company will be conducted in such a manner as to ensure that it is Irish resident for tax purposes.

The Directors have been advised that the Company qualifies as an investment undertaking as defined in Section 739B of the Taxes Act. Under current Irish law and practice, on that basis, it is not chargeable to Irish tax on its income and gains.

However, tax can arise on the happening of a "chargeable event" in the Company. A chargeable event includes any distribution payments to holders of Shares or any encashment, redemption, cancellation or transfer of Shares or appropriation or cancellation of Shares by the Company for the purposes of meeting the amount of tax payable on a gain arising on a transfer. It also includes the ending of a Relevant Period.

No tax will arise on the Company in respect of chargeable events in respect of a holder of Shares who is neither Irish Resident nor Irish Ordinary Resident at the time of the chargeable event provided that a Relevant Declaration is in place and the Company is not in possession of any information which would reasonably suggest that the information contained therein is no longer materially correct.

A chargeable event will not be deemed to arise if at the time of the chargeable event Equivalent Measures have been formally agreed with the Revenue Commissioners and the approval has not been withdrawn. In the absence of a Relevant Declaration or Equivalent Measures there is a presumption that the investor is Irish Resident or Irish Ordinary Resident.

Where a Relevant Declaration is required but is not provided to the Company by a holder of Shares or where approval is required in relation to appropriate Equivalent Measures but has not been received from the Irish Revenue Commissioners and tax is subsequently deducted by the Company on the occurrence of a chargeable event, Irish legislation provides for a refund of such tax only to companies within the charge to Irish corporation tax, to certain incapacitated persons and in certain other limited circumstances.

A chargeable event does not include:

- an exchange by a holder of Shares, effected by way of an arm's length bargain where no payment is made to the holder of Shares, of Shares in the Company for other Shares in the Company;
- any transactions (which might otherwise be a chargeable event) in relation to Shares held in a Recognised Clearing System;
- a transfer by a holder of Shares of the entitlement to a Share where the transfer is between spouses, former spouses, civil partners or former civil partners, subject to certain conditions;
- an exchange of Shares arising on a qualifying amalgamation or reconstruction (within the meaning of Section 739H of the Taxes Act) of the Company with another investment undertaking; or
- any transaction in relation to, or in respect of, relevant Shares in an investment undertaking which transaction only arises by virtue of a change in the manager of funds administered by the Courts Service.

Where the chargeable event is the ending of a Relevant Period, to the extent that any tax arises on such a deemed disposal, such tax will be allowed as a credit against any tax payable on the subsequent encashment, redemption, cancellation or transfer of the relevant Shares.

In the case of Shares held in a Recognised Clearing System, the holder of Shares will have to account for the appropriate tax arising on the end of a Relevant Period on a self-assessment basis.

If the Company becomes liable to account for tax if a chargeable event occurs, the Company shall be entitled to deduct from the payment arising on a chargeable event an amount equal to the appropriate tax and/or where applicable, to appropriate or cancel such number of Shares held by the holder of Shares or such beneficial owner of the Shares as are required to meet the amount of tax. The relevant holder of Shares and beneficial owner of Shares shall indemnify and keep the Company indemnified against loss arising to the Company by reason of the Company becoming liable to account for tax on the happening of a chargeable event if no such deduction, appropriation or cancellation has been made.

Please see the section below dealing with the tax consequences for the Company and the holders of Shares of chargeable events in respect of: -

- (i) holders of Shares whose Shares are held in a Recognised Clearing System;
- (ii) holders of Shares who are neither Irish Residents nor Irish Ordinary Residents and their Shares are not held in a Recognised Clearing System; and
- (iii) holders of Shares who are either Irish Residents or Irish Ordinary Residents and their Shares are not held in a Recognised Clearing System.

Dividends received by the Company from investment in Irish equities may be subject to Irish dividend withholding tax at a rate of 25% (with effect from 1 January 2020). However, the Company can make a declaration to the payer that it is a collective investment scheme beneficially entitled to the dividends which will entitle the Company to receive such dividends without deduction of Irish dividend withholding tax.

(i) Holders of Shares whose Shares are held in a Recognised Clearing System

Where Shares are held in a Recognised Clearing System, the obligation falls on the holder of Shares (rather than the Company) to self-account for any tax arising on a taxable event. In the case of an individual, tax currently at the rate of 41% should be accounted for by the holder of Shares in respect of any distributions and gains arising to the individual holder of Shares on an encashment, redemption or transfer of Shares by a holder of Shares. Where the investment constitutes a personal portfolio investment undertaking ("PPIU"), tax at a rate of 60% should be accounted for by the holder of Shares. This rate applies where the individual holder of Shares has correctly included details of the income in a timely tax return.

Where the holder of Shares is a company, any payment will be treated as income chargeable to tax under Case IV of Schedule D of the Taxes Act. An Irish Resident corporate holder of Shares whose Shares are held in connection with a trade will be taxable on any income or gains as part of that trade.

The holder of Shares will not have to self-account for tax on the occasion of a taxable event if (a) the holder of Shares is neither Irish Resident nor Irish Ordinary Resident, or (b) the holder of Shares is an Exempted Irish Investor (as defined above).

It should be noted that a Relevant Declaration or approval in relation to appropriate equivalent measures is not required to be made where the Shares, the subject of the application for subscription or registration of transfer on a transfer of Shares, are held in a Recognised Clearing System. It is the current intention of the Directors that all of the Shares will be held in a Recognised Clearing System.

If in the future, the Directors permit Shares to be held in certificated form outside a Recognised Clearing System, prospective investors for Shares on subscription and proposed transferees of Shares will be required to complete a Relevant Declaration as a pre-requisite to being issued Shares in the Company or being registered as a transferee of the Shares (as the case may be). A Relevant Declaration will not be required to be completed in this regard where the Company has received approval from the Irish Revenue Commissioners where appropriate equivalent measures have been put in place.

To the extent that any Shares are not held in a Recognised Clearing System, the following tax consequences will arise on a chargeable event.

(ii) Holders of Shares who are neither Irish Residents nor Irish Ordinary Residents and their Shares are not held in a Recognised Clearing System

The Company will not have to deduct tax on the occasion of a chargeable event in respect of a holder of Shares if (a) the holder of Shares is neither Irish Resident nor Irish Ordinary Resident, and the holders of Shares has made a Relevant Declaration and the Company has no reason to believe that the Relevant Declaration is incorrect or (b) the Company has put in place appropriate Equivalent Measures to ensure that holders of Shares in the Company are neither Irish Resident nor Irish Ordinary Resident. In the absence of a Relevant Declaration or the approval from the Irish Revenue Commissioners referred to above tax will arise on the happening of a chargeable event in the Company regardless of the fact that a holder of Shares is neither Irish Resident nor Irish Ordinary Resident. The appropriate tax that will be deducted is as described in paragraph (iii) below.

To the extent that a holder of Shares is acting as an Intermediary on behalf of persons who are neither Irish Residents nor Irish Ordinary Residents no tax will have to be deducted by the Company on the occasion of a chargeable event provided that the Intermediary has made a Relevant Declaration that they are acting on behalf of such persons and the Company is not in possession of any information which would reasonably suggest that the information contained therein is no longer materially correct or if the Company has received approval from the Irish Revenue Commissioners that appropriate Equivalent Measures are in place.

Holders of Shares who are neither Irish Residents nor Irish Ordinary Residents and who have made Relevant Declarations in respect of which the Company is not in possession of any information which would reasonably suggest that the information contained therein is no longer materially correct will not be liable to Irish tax in respect of income from their Shares and gains made on the disposal of their Shares. However, any corporate holder of Shares which is not Irish Resident and which holds Shares directly or indirectly by or for a trading branch or agency in Ireland will be liable to Irish tax on income from the Shares or gains made on disposal of the Shares.

Where tax is withheld by the Company on the basis that no Relevant Declaration has been filed with the Company by the holder of Shares, Irish legislation generally does not provide for a refund of tax. Refunds of tax will only be permitted in limited circumstances.

(iii) Holders of Shares who are Irish Residents or Irish Ordinary Residents and their Shares are not held in a Recognised Clearing System

Unless a holder of Shares is an Exempted Irish Investor (as defined above), makes a Relevant Declaration to that effect and the Company is not in possession of any information which would reasonably suggest that the information contained therein is no longer materially correct, tax will be required to be deducted by the Company from any distributions and other chargeable events in relation to a holder of Shares who is Irish Resident or Irish Ordinary Resident.

Tax at the rate of 41% will have to be deducted by the Company on any distribution or gain arising to the holder of Shares (other than a company which has made the required declaration) on an encashment, redemption, or transfer of Shares by a holder of Shares who is Irish Resident or Irish Ordinary Resident. Tax will also have to be deducted at the rate of 41% in respect of Shares held at the end of a Relevant Period (in respect of any excess in value of the cost of the relevant Shares) to the extent that the holder of Shares (other than a company which has made the required declaration) is Irish Resident or Ordinary Resident and is not an Exempted Irish Investor who has made a Relevant Declaration or in respect of whom the Irish Revenue Commissioners have given approval that appropriate Equivalent Measures are in place. Tax at a rate of 25% will have to be deducted by the Company where the holder of Shares is a company which has made the required declaration.

However, the Company will be exempt from making tax deductions in respect of distributions and gains on redemptions, cancellations, transfers or encashments of Shares held by Irish Residents and Irish Ordinary Residents where the relevant Shares are held in a Recognised Clearing System.

In certain circumstances the Company may elect not to deduct tax on the happening of a chargeable event. Should the Company make this election the holder of Shares will be liable to account for the tax payable under the self-assessment system of taxation.

Anti-avoidance provisions apply where an investment undertaking is regarded as a PPIU and the holder of Shares is an individual. In such circumstances any payment to a holder of Shares will be taxed at a rate of 60%. It is a matter of fact whether or not the investor or a connected person has a right of selection as envisaged in the anti-avoidance measures. Individual holders of Shares should seek independent legal advice to ascertain whether the investment undertaking, as a result of their personal circumstances, could be regarded as a PPIU.

Irish Resident corporate holders of Shares who receive distributions (where payments are made annually or at more frequent intervals) from which tax has been deducted will be treated as having received an annual payment chargeable to tax under Case IV of Schedule D of the Taxes Act from which tax at the 25% rate has been deducted. An Irish Resident corporate holder of Shares whose Shares are held in connection with a trade will be taxable on any income or gains as part of that trade with a set-off against corporation tax payable for any tax deducted by the Company.

In general, non-corporate holders of Shares who are Irish Resident or Irish Ordinary Resident will not be subject to further Irish tax on income from their Shares or gains made on disposal of the Shares where tax has been deducted by the Company on payments received. Where a currency gain is made by a holder of Shares on the disposal of his/her Shares, such holder of Shares may be liable to Irish capital gains tax in the year of assessment in which the Shares are disposed of.

Any holder of Shares who is Irish Resident or Irish Ordinary Resident and receives a distribution or receives a gain on an encashment, redemption, cancellation or transfer of Shares from which tax has not been deducted by the Company may be liable to income tax or corporation tax on the amount of such distribution or gain.

There is an obligation on the Company to periodically report information to the Irish Revenue Commissioners in relation to certain holders of Shares and the value of their investments in the Company. The obligation arises in relation to holders of Shares who are either Irish Resident or Irish Ordinary Resident (other than Exempted Irish Investors).

(iv) Irish Courts Service

Where Shares are held by the Courts Service no tax is deducted by the Company on payments made to the Courts Service. Where money under the control or subject to the order of the Court Service is applied to acquire Shares in the Company, the Courts Service assumes, in respect of those Shares acquired, the responsibilities of the Company with regard to, inter alia, deduction of tax in respect of chargeable events, filing returns and collection of the tax.

In addition, the Courts Service must make, in respect of each year of assessment, on or before 28 February in the year following the year of assessment, a return to the Revenue Commissioners which:-

- i) specifies the total amount of gains arising to the investment undertaking in respect of the units acquired and
- ii) specifies in respect of each person who is or was beneficially entitled to those units-
 - a. where available, the name and address of the person,
 - b. the amount of total gains to which the person has beneficial entitlement, and
 - c. such other information as the Revenue Commissioners may require.

Stamp Duty

No stamp duty is payable in Ireland on the issue, transfer, repurchase or redemption of Shares in the Company. Where any subscription for or redemption of Shares is satisfied by the in kind transfer of Irish securities or other Irish property, Irish stamp duty might arise on the transfer of such securities or property.

No Irish stamp duty will be payable by the Company on the conveyance or transfer of stocks or marketable securities provided that the stocks or marketable securities in question have not been issued by a company registered in Ireland and provided that the conveyance or transfer does not relate to any immovable property situated in Ireland or any right over or interest in such property or to any stocks or marketable securities of a company (other than a company which is a collective investment scheme within the meaning of Section 739B of the Taxes Act) which is registered in Ireland.

No Stamp Duty will arise on reconstructions or amalgamations of investment undertakings under Section 739H of the Taxes Act, provided the reconstructions or amalgamations are undertaken for bona fide commercial purposes and not for the avoidance of tax.

Capital Acquisitions Tax

The disposal of Shares will not be subject to Irish gift or inheritance tax (Capital Acquisitions Tax) provided that the Company falls within the definition of investment undertaking (within the meaning of Section 739B of the Taxes Act), and that: (a) at the date of the gift or inheritance, the donee or successor is neither domiciled nor ordinarily resident in Ireland; (b) at the date of the disposition, the holder of Shares disposing of the Shares is neither domiciled nor ordinarily resident in Ireland; and (c) the Shares are comprised in the gift or inheritance at the date of such gift or inheritance and at the "valuation date" (as defined for Irish Capital Acquisitions Tax purposes).

FATCA ("Foreign Accounts Tax Compliance Act")

The US-Ireland Agreement to Improve International Tax Compliance and to Implement FATCA (the "US-Ireland IGA") was entered into with the intention of enabling the Irish implementation of the Foreign Account Tax Compliance Act provisions of the U.S. Hiring Incentives to Restore Employment Act ("FATCA"), which impose a reporting regime and potentially a 30% withholding tax on certain payments made from (or attributable to) US sources or in respect of US assets to certain categories of recipient including a non-US financial institution (a "foreign financial institution" or "FFI") that does not comply with the terms of FATCA and is not otherwise exempt. Certain financial institutions ("reporting financial institutions") are required to provide certain information about their US accountholders to the Irish Revenue Commissioners (which information will in turn be provided to the US tax authority) pursuant to the US-Ireland IGA. It is expected that the Company will constitute a reporting financial institution for these purposes. The Company will not, however generally need to report any information to the Irish Revenue Commissioners in respect of US holders of Shares, on the basis that the Shares are expected to be treated as being regularly traded on an established securities market and should not, therefore, constitute financial accounts for FATCA purposes for so long as the Shares are listed on the London Stock Exchange or any other recognised stock exchange for Irish tax purposes. It may, however, still need to file a nil return with the Irish Revenue Commissioners. It is the intention of the Company and the Manager to procure that the Company is treated as complying with the terms of FATCA by complying with the terms of the reporting system contemplated by the US-Ireland IGA. No assurance can, however, be provided that the Company will be able to comply with FATCA and, in the event that it is not able to do so, a 30% withholding tax may be imposed on payments it receives from (or which are attributable to) US sources or in respect of US assets, which may reduce the amounts available to it to make payments to its holders of Shares.

In light of the above, holders of Shares in the Company will be required to provide certain information to the Company (and/or broker, custodian or nominee through which an investor holds its shares in the Company) to comply with the terms of FATCA. Please note that the Manager has determined that US Persons are not permitted to own Shares in the Funds.

Shareholders and prospective investors should consult with their tax advisers regarding the possible implications of FATCA on their investment in the Company.

CRS ("Common Reporting Standards")

The Common Reporting Standard ("CRS") is a single global standard on Automatic Exchange Of Information ("AEOI"). It was approved by the Organisation for Economic Co-operation and Development ("OECD") in February 2014 and draws on earlier work of the OECD and the EU, global anti-money laundering standards and, in particular, the Model FATCA Intergovernmental Agreement. Under the CRS, participating jurisdictions are required to exchange certain information held by financial institutions regarding their non-resident investors. The CRS was effective in Ireland from 1 January 2016. The Company will be required to provide certain information to the Irish Revenue Commissioners about non-Irish tax resident holders of Shares (which information will in turn be provided to the relevant tax authorities).

Further information in relation to the CRS can be found on the AEOI (Automatic Exchange of Information) webpage on www.revenue.ie.

Shareholders and prospective investors should consult with their tax advisers regarding the possible implications of CRS on their investment in the Company.

Each investor agrees to provide the Company with information and documentation prescribed by applicable law and such additional documentation reasonably requested by the Company as may be necessary for the Company to comply with its obligations under the CRS.

Data protection notice - collection and exchange of information under the CRS

For the purposes of complying with its obligations under the CRS as implemented in Irish law and to avoid the imposition of financial penalties thereunder, the Company may be required to collect certain information in respect of non-Irish resident direct and indirect individual beneficial owners of the Shares and, to the extent required pursuant to the CRS, to annually report such information to the Irish Revenue Commissioners. Such information includes the name, address, jurisdiction of residence, tax identification number (TIN), date and place of birth (as appropriate) of the non-Irish resident direct or indirect beneficial owners of the Shares; the "account number" and the "account balance" or value at the end of each calendar year; and the gross amount paid or credited to the Shareholder during the calendar year (including aggregate redemption payments).

Such information in relation to all non-Irish resident direct or indirect beneficial owners of the Shares will in turn be exchanged, in a secure manner, by the Irish Revenue Commissioners with the tax authorities of other relevant participating jurisdictions under the CRS in accordance with the requirements of (and solely for the purposes of compliance with) the CRS.

Further information in relation to the CRS can be found on the AEOI (Automatic Exchange of Information) webpage on www.revenue.ie.

All prospective investors should consult with their respective tax advisers regarding the possible implications of CRS on their investments in the Company.

United Kingdom Taxation

It is the intention of the Directors to conduct the affairs of the Company so that it does not become resident in the United Kingdom for taxation purposes. Accordingly, and provided that the Company does not carry on a trade in the United Kingdom through a permanent establishment situated there, the Company will not be subject to United Kingdom corporation tax on its income or chargeable gains.

Subject to their personal circumstances, holders of Shares resident in the United Kingdom for taxation purposes may be liable to United Kingdom income tax or corporation tax in respect of any dividends or other income distributions of any Share Class of the Company (including any dividends funded out of realised capital profits of the Company). In addition, UK holders of Shares holding Shares at the end of each 'reporting period' (as defined for United Kingdom tax purposes) will potentially be subject to United Kingdom income tax or corporation tax on their portion of a Share Class's 'reported income', to the extent that this amount exceeds dividends received. The terms 'reported income', 'reporting period' and their implications are discussed in further detail below. Both dividends and reported income will be treated as dividends received from a foreign corporation, subject to any re-characterisation as interest, as described below. There is no withholding by the Company for Irish tax on dividends payable to United Kingdom investors on the basis that it is the current intention that all Shares will be held in a Recognised Clearing System (see previous section headed "Irish Taxation" for further details).

Where the Fund holds more than 60% of its assets in interest bearing (or similar) form, any distribution will be treated as interest in the hands of the UK individual investor. From 6 April 2016, there is no longer a notional 10% tax credit on dividend distributions. Instead, a £5,000 (2016/2017) tax free dividend allowance has been introduced for UK individuals. Dividends received in excess of this threshold will be subject to tax.

From 1 July 2009, following the enactment of Finance Act 2009, dividend distributions received by UK resident companies, including the Company, are likely to fall within one of a number of exemptions from United Kingdom corporation tax. In addition, distributions to non-UK companies carrying on a trade in the United Kingdom through a permanent establishment in the United Kingdom should also fall within the exemption from United Kingdom corporation tax on dividends to the extent that the Shares held by that company are used by, or held for, that permanent establishment. Reported income will be treated in the same way as a dividend distribution for these purposes.

Shareholdings in the Company are likely to constitute interests in offshore funds, as defined in section 355 of the Taxation (International & other provisions) Act 2010 TIOPA 2010 for the purposes of the United Kingdom Finance Act 2008, with each Share Class of the Fund treated as a separate 'offshore fund' for these purposes.

The Offshore Funds (Tax) Regulations 2009 (SI2009/3001) provide that if an investor resident or ordinarily resident in the United Kingdom for taxation purposes holds an interest in an offshore fund and that offshore fund is a 'non-reporting fund', any gain accruing to that investor upon the sale or other disposal of that interest will be charged to United Kingdom tax as income rather than a capital gain. Alternatively, where an investor resident or ordinarily resident in the United Kingdom holds an interest in an offshore fund that has been a 'reporting fund' for all periods of account for which they hold their interest, any gain accruing upon sale or other disposal of the interest will be subject to tax as a capital gain rather than income; with relief for any accumulated or reinvested profits which have already been subject to United Kingdom income tax or corporation tax on income (even where such profits are exempt from United Kingdom corporation tax).

Where an offshore fund may have been a non-reporting fund for part of the time during which the United Kingdom holders of Shares held their interest and a reporting fund for the remainder of that time, there are elections which can potentially be made by the holder of Shares in order to pro-rate any gain made upon disposal; the impact is that the portion of the gain made during the time when the offshore fund was a reporting fund would be taxed as a capital gain. Such elections have specified time limits from the date of change in status of the fund in which they can be made.

It should be noted that a "disposal" for United Kingdom taxation purposes includes a switching between Funds and may include a switching between Share Classes of a Fund.

In broad terms, a 'reporting fund' is an offshore fund that meets certain upfront and annual reporting requirements to HM Revenue & Customs and its holders of Shares. The Directors intend to manage the affairs of the Company and the Funds so that these upfront and annual duties are met and continue to be met on an ongoing basis for each Share Class within the Fund that intends to seek United Kingdom reporting fund status with effect from inception. Such annual duties will include calculating and reporting the income returns of the offshore fund for each reporting period (as defined for United Kingdom tax purposes) on a per-Share basis to all relevant holders of Shares. UK holders of Shares who hold their interests at the end of the reporting period to which the reported income relates, will be subject to income tax or corporation tax on the excess (if any) of the reported income over any distributions paid in respect of the reporting period. The excess reported income will be deemed to arise to UK holders of Shares six months following the last day of the reporting period.

Once reporting fund status is obtained from HM Revenue & Customs for the relevant Share Classes the status should continue to apply on an ongoing basis, provided the annual requirements are undertaken. It is also the intention of the Company to maintain UK Reporting Fund status for these Share Classes for each accounting period thereafter.

Investors should refer to their tax advisors in relation to the implications of the Company obtaining such status.

In accordance with Regulation 90 of the Offshore Funds (Tax) Regulations 2009, Shareholder reports are made available within six months of the end of the reporting period at www.ishares.com/en/pc/about/tax. The intention of the Offshore Fund Reporting regulations is that reportable income data shall principally be made available on a website accessible to UK investors. Alternatively, the holders of Shares may if they so require, request a hard copy of the reporting fund data for any given year. Such requests must be made in writing to the following address:

Head of Product Tax, BlackRock Investment Management (UK) Limited, 12 Throgmorton Avenue, London EC2N 2DL.

Each such request must be received within three months of the end of the reporting period. Unless the Investment Manager is notified to the contrary in the manner described above, it is understood that investors do not require their report to be made available other than by accessing the appropriate website.

UK resident but non-UK domiciled investors who are subject to tax in the UK on the remittance basis should note that an investment in the 'reporting fund' unit classes is likely to constitute a mixed fund for their purposes. Further, there is no guarantee that the excess of reportable income over distributions paid in any given period will always be nil. Investors are encouraged to seek their own professional tax advice in this regard.

An individual holder of Shares domiciled or deemed for United Kingdom tax purposes domiciled in the United Kingdom may be liable to United Kingdom Inheritance Tax on their Shares in the event of death or on making certain categories of lifetime transfer.

The attention of individual holders of Shares ordinarily resident in the United Kingdom is drawn to the provisions of Chapter 2 of Part 13 of the Income Tax Act 2007. These provisions are aimed at preventing the avoidance of income tax by individuals through transactions resulting in the transfer of assets or income to persons (including companies) resident or domiciled outside the United Kingdom and may render them liable to income tax in respect of undistributed income of the Company on an annual basis. The legislation is not directed towards the taxation of capital gains.

Corporate holders of Shares resident in the UK for taxation purposes should note that the "controlled foreign companies" legislation contained in Part 9A of TIOPA 2010 could apply to any UK resident company which is, either alone or together with persons connected or associated with it for taxation purposes, deemed to be interested in

25 per cent or more of any chargeable profits of a non-UK resident company, where that non-UK resident company is controlled by residents of the UK and meets certain other criteria (broadly that it is resident in a low tax jurisdiction). "Control" is defined in Chapter 18, Part 9A of TIOPA 2010. A non-UK resident company is controlled by persons (whether companies, individuals or others) who are resident in the UK for taxation purposes or is controlled by two persons taken together, one of whom is resident in the UK for tax purposes and has at least 40 per cent of the interests, rights and powers by which those persons control the non-UK resident company, and the other of whom has at least 40 per cent and not more than 55 per cent of such interests, rights and powers. The effect of these provisions could be to render such holders of Shares liable to UK corporation tax in respect of the income of the Company.

The attention of persons resident or ordinarily resident in the United Kingdom for taxation purposes (and who, if individuals, are also domiciled in the United Kingdom for those purposes) is drawn to the fact that the provisions of section 13 of the Taxation of Chargeable Gains Act 1992 could be material to any such person whose proportionate interest in the Company (whether as a holder of Shares or otherwise as a "participator" for United Kingdom taxation purposes) when aggregated with that of persons connected with that person is 10%, or greater, if, at the same time, the Company is itself controlled in such matter that it would, were it to be resident in the United Kingdom for taxation purposes, be a "close" company for those purposes. Section 13 could, if applied, result in a person with such an interest in the Company being treated for the purposes of United Kingdom taxation of chargeable gains as if a part of any capital gain accruing to the Company (such as on a disposal of any of its Investments) had accrued to that person directly, that part being equal to the proportion of the gain that corresponds to that person's proportionate interest in the Company (determined as mentioned above).

The attention of investors is drawn to anti-avoidance legislation in Chapter 1, Part 13 of the Income Tax Act 2007 and Part 15 of the Corporation Tax Act 2010 that could apply if investors are seeking to obtain tax advantages in prescribed conditions.

Under the corporate debt tax regime in the United Kingdom any corporate investor subject to United Kingdom corporation tax will be taxed on the increase in value of its holding on a fair value basis (rather than on disposal) or will obtain tax relief on any equivalent decrease in value, if the Investments held by the offshore fund within which the investor invests, consist of more than 60% (by value) of "qualifying investments". Qualifying investments are broadly those, which yield a return directly or indirectly in the form of interest.

Transfer taxes may be payable by the Company in the United Kingdom and elsewhere in relation to the acquisition and/or disposal of Investments. In particular, stamp duty reserve tax at the rate of 0.5% (or, if the transfer takes place in dematerialised form, stamp duty reserve tax at an equivalent rate) will be payable by the Company in the United Kingdom on the acquisition of shares in companies incorporated in the United Kingdom or which maintain a share register in the United Kingdom. This liability will arise in the course of the Company's normal investment activity and on the acquisition of Investments from subscribers on subscription for Shares.

The Shares in the Company can be held in Individual Savings Accounts or Self-invested Personal Pensions or personalised portfolio bonds.

In the absence of an exemption applicable to a prospective holder of Shares (such as that available to intermediaries under section 88A of the Finance Act 1986) stamp duty reserve tax (or stamp duty) at the same rate as above will also be payable by prospective holders of Shares on the acquisition of shares in companies incorporated in the United Kingdom or which maintain a share register in the United Kingdom for the purpose of subsequent subscription for Shares, and may arise on the transfer of Investments to holders of Shares on redemption.

Because the Company is not incorporated in the United Kingdom and the register of holders of Shares will be kept outside the United Kingdom, no liability to stamp duty reserve tax will arise by reason of the transfer, subscription for or redemption of Shares except as stated above. Liability to stamp duty will not arise provided that any instrument in writing transferring Shares in the Company is executed and retained at all times outside the United Kingdom.

It is the intention of the Company that assets held by the Funds will generally be held for investment purposes and not for the purposes of trading. Even if Her Majesty's Revenue & Customs ("HMRC") successfully argued that a Fund is trading for UK tax purposes, it is expected that the conditions of the Investment Management Exemption ("IME") should be met, although no guarantee is given in this respect. Assuming that the requirements of the IME are satisfied, the Fund should not be subject to UK tax in respect of the profits / gains earned on its investments (except in respect of income for which every investor is inherently subject to UK tax). This is on the basis that the investments held by the Funds meet the definition of a "specified transaction" as defined in The Investment Manager (Specified Transactions) Regulations 2009. It is expected that the assets held by the Company should meet the definition of a "specified transaction", although no guarantee is given in this respect.

If the Company failed to satisfy the conditions of the IME or if any investments held are not considered to be a "specified transaction", this may lead to tax leakage within the Funds.

In addition to the above, if HMRC successfully argue that a Fund is trading for UK tax purposes, the returns earned by the Fund from its interest in the underlying assets may need to be included in the Fund's calculation of "income" for the purposes of computing the relevant amount to report to investors in order to meet the requirements for UK Reporting Fund status. However, it is considered that the investments held by the Funds should meet the definition of an "investment transaction" as defined by The Offshore Funds (Tax) Regulations 2009 ("the regulations") which came into force on 1 December 2009. Therefore, it is considered that these investments should be considered as

"non-trading transactions" as outlined in the regulations. This assumption is on the basis that the Company meets both the "equivalence condition" and the "genuine diversity of ownership" condition as outlined in the regulations.

Investors who are insurance companies subject to United Kingdom taxation holding their Shares in a Fund for the purposes of their long-term business (other than their pensions business) will be deemed to dispose of and immediately reacquire those Shares at the end of each accounting period. In general terms, the chargeable gains and allowable losses arising under the annual deemed disposal rules are aggregated and one-seventh of the net amount thus emerging is chargeable (where there are net gains) or allowable (where there are net losses) at the end of the accounting period in which the deemed disposals have taken place.

Other jurisdictions

The following sets out a summary of the tax status that Shares have obtained in various jurisdictions. Please note that this summary does not set out the tax implications for investors resident in such jurisdictions and the investors should refer to their tax advisors in relation to tax implications on investing in a Share Class.

Investors should refer to their tax advisors in relation to the implications of the Company obtaining such status.

Up to date listings of the various tax reporting statuses obtained by the Company are available on the "Tax Information" section of the iShares website at www.ishares.com.

German Taxation

It is the intention of the Company to seek to maintain the status as 'equity' funds or 'mixed' funds (as applicable) pursuant to Sec. 2 para. 6 and 7 of the German Investment Tax Act as applicable from 1 January 2018 for the Funds listed in the table below.

Investors should refer to their tax advisors in relation to the implications of the Company obtaining such status.

The Funds listed below invest, at least, the following proportions of their respective net asset value on a continuous basis directly in Equities (as defined below in accordance with Sec. 2 para. 8 of the German Investment Tax Act as at 1 January 2018):

Fund	Minimum % of net asset value invested in Equities
iShares \$ Asia Investment Grade Corp Bond UCITS ETF	N/A
iShares \$ Corp Bond Enhanced Active UCITS ETF	N/A
iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	N/A
iShares \$ Development Bank Bonds UCITS ETF	N/A
iShares \$ EM Bond Active UCITS ETF	N/A
iShares \$ High Yield Corp Bond Enhanced Active UCITS ETF	N/A
iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	N/A
iShares \$ Intermediate Credit Bond UCITS ETF	N/A
iShares € Aggregate Bond ESG SRI UCITS ETF	N/A
iShares € Cash UCITS ETF	N/A
iShares € Corp Bond 1-5yr UCITS ETF	N/A
iShares € Corp Bond BBB-BB UCITS ETF	N/A
iShares € Corp Bond Enhanced Active UCITS ETF	N/A
iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	N/A
iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	N/A
iShares € Corp Bond ex-Financials UCITS ETF	N/A
iShares € Covered Bond UCITS ETF	N/A
iShares € Flexible Income Bond Active UCITS ETF	N/A
iShares € Govt Bond 0-1yr UCITS ETF	N/A
iShares € Govt Bond 10-15yr UCITS ETF	N/A
iShares € Govt Bond 5-7yr UCITS ETF	N/A
iShares € Govt Bond Climate UCITS ETF	N/A
iShares € High Yield Corp Bond Enhanced Active UCITS ETF	N/A

Fund	Minimum % of net asset value invested in Equities
iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	N/A
iShares £ Corp Bond ex-Financials UCITS ETF	N/A
iShares AI Adopters & Applications UCITS ETF	51%
iShares AI Infrastructure UCITS ETF	51%
iShares AI Innovation Active UCITS ETF	51%
iShares Asia ex Japan Equity Enhanced Active UCITS ETF	25%
iShares AT1 Bond Active UCITS ETF	N/A
iShares Blockchain Technology UCITS ETF	51%
iShares Broad \$ Corp Bond UCITS ETF	N/A
iShares Broad \$ High Yield Corp Bond UCITS ETF	N/A
iShares Broad € High Yield Corp Bond UCITS ETF	N/A
iShares Broad Global Govt Bond UCITS ETF	N/A
iShares Conservative Portfolio UCITS ETF	N/A
iShares Core € Corp Bond UCITS ETF	N/A
iShares Core € Govt Bond UCITS ETF	N/A
iShares Core Global Aggregate Bond UCITS ETF	N/A
iShares Core MSCI Europe UCITS ETF EUR (Acc)	60%
iShares Core MSCI Japan IMI UCITS ETF	51%
iShares Core MSCI World UCITS ETF	65%
iShares EM Local Govt Bond Active UCITS ETF	N/A
iShares Emerging Asia Local Govt Bond UCITS ETF	N/A
iShares Emerging Markets Equity Enhanced Active UCITS ETF	25%
iShares Europe Equity Enhanced Active UCITS ETF	51%
iShares Global Aggregate Bond ESG SRI UCITS ETF	N/A
iShares Global Govt Bond UCITS ETF	N/A
iShares Global Inflation Linked Govt Bond UCITS ETF	N/A
iShares Global Real Estate Environmental Tilt UCITS ETF	N/A
iShares Growth Portfolio UCITS ETF	N/A
iShares India Equity Enhanced Active UCITS ETF	51%
iShares Japan Equity Enhanced Active UCITS ETF	51%
iShares J.P. Morgan € EM Bond UCITS ETF	N/A
iShares J.P. Morgan EM Local Govt Bond UCITS ETF	N/A
iShares Moderate Portfolio UCITS ETF	N/A
iShares MSCI Australia UCITS ETF	51%
iShares MSCI EM Small Cap UCITS ETF	0%
iShares MSCI EM UCITS ETF USD (Acc)	55%
iShares MSCI Europe Small Cap UCITS ETF	51%
iShares MSCI Japan Small Cap UCITS ETF	0%
iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF	51%
iShares MSCI Pacific ex-Japan UCITS ETF	51%
iShares MSCI Saudi Arabia Capped UCITS ETF	70%
iShares MSCI South Africa UCITS ETF	70%
iShares MSCI Target UK Real Estate UCITS ETF	0%
iShares MSCI World ex-USA UCITS ETF	51%
iShares MSCI World Paris-Aligned Climate UCITS ETF	51%

Fund	Minimum % of net asset value invested in Equities
iShares MSCI World Sector & Country Neutral Equal Weight UCITS ETF	51%
iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF	51%
iShares MSCI World Small Cap UCITS ETF	51%
iShares S&P 500 Equal Weight UCITS ETF	51%
iShares S&P 500 Scored and Screened UCITS ETF	51%
iShares S&P SmallCap 600 UCITS ETF	51%
iShares U.S. Equity High Income Active UCITS ETF	51%
iShares UK Gilts 0-5yr UCITS ETF	N/A
iShares US Equity Enhanced Active UCITS ETF	51%
iShares World Equity Enhanced Active UCITS ETF	51%
iShares World Equity Factor Rotation Active UCITS ETF	51%
iShares World Equity High Income Active UCITS ETF	51%
iShares World Thematic Rotation Active UCITS ETF	51%

Each Fund calculates the indicated investment level on the basis of its net asset value. Pursuant to Sec. 2 para. 9a sentence 3 of the German Investment Tax Act as applicable from 1 January 2018 the value of the Equities is therefore reduced by the loans raised by the respective Fund proportionally to the percentage of the value of the Equities among the value of all gross assets of this Fund.

Corporate actions, subscriptions/redemptions, index rebalancings and market movements may temporarily cause a Fund not to meet the Equities investment levels set out above. The Funds may also enter into securities lending for the purpose of efficient portfolio management. The Equities investment levels set out above are exclusive of Equities that are lent out.

For the purpose of the above percentage numbers, "Equities" means in accordance with Sec. 2 para. 8 of the German Investment Tax Act as applicable from 1 January 2018:

1. Shares of a corporation which are admitted to official trading on a stock exchange or listed on an organised market (which is a market recognised and open to the public and which operates in a due and proper manner),
2. Shares of a corporation, which is not a real estate company and which:
 - a. is resident in a Member State or a member state of the EEA and is subject to income taxation for corporations in that state and is not tax exempt; or
 - b. is resident in any other state and is subject to an income taxation for corporations in that state at a rate of at least 15% and is not exempt from such taxation,
3. Fund units of an equity fund (being a fund that invests more than 50% of its gross assets on a continuous basis directly in Equities) with 51% of the equity fund units' value – or, if the investment conditions of the equity fund provide for a higher minimum Equities investment, with the respective higher percentage of the equity fund units' value – being taken into account as Equities, or
4. Fund units of a mixed fund (being a fund that invests at least 25% of its gross assets on a continuous basis directly in Equities) with 25% of the mixed fund units' value – or, if the investment conditions of the mixed fund provide for a higher minimum Equities investment, with the respective higher percentage of the equity fund units' value – being taken into account as Equities.

For purposes of calculating the investment levels set out above, the Funds may also consider the actual Equities quotas of the target funds published on each valuation day, provided that a valuation takes place at least once per week.

For the purpose of the above percentage numbers, the following in accordance with Sec. 2 para. 8 of the German Investment Tax Act as applicable from 1 January 2018 do not qualify as "Equities":

1. Shares in partnerships, even if the partnerships are holding themselves shares in corporations,
2. Shares in corporations, which pursuant to Sec. 2 para. 9 sentence 6 of the German Investment Tax Act qualify as real estate,
3. Shares in corporations which are exempt from income taxation, to the extent these corporations are distributing their profits, unless the distributions are subject to a taxation of at least 15% and the investment fund is not exempt from this taxation, and
4. Shares in corporations,
 - a. whose income is directly or indirectly to more than 10% derived from shares in corporations, which do not fulfil the requirements of no. 2 a. or b. above, or
 - b. which are holding directly or indirectly shares in corporations that do not fulfil the requirements of no. 2. a. or b. above, if the value of these participations amounts to more than 10% of the market value of the corporations.

The above reflects the Manager's understanding of the relevant German tax legislation at the date of this Prospectus. The legislation is subject to change and so adjustments to these figures may be made without prior notice.

Austrian Taxation

It is the intention of the Company to seek Austrian Reporting Fund status for Share Classes with a EUR or USD Valuation Currency.

Pillar Two

The OECD has issued work relating to the introduction of a system ensuring a minimum level of taxation for multinational enterprises ("**Pillar Two**"). The Pillar Two rules² aim to ensure that large multinational enterprise (MNE) groups pay a minimum level of tax on the income arising in each of the jurisdictions where they operate, by imposing a top-up tax whenever the effective tax rate, determined on a jurisdictional basis, is below the minimum rate specified in Pillar Two.

If an Investor entity or, where applicable, its ultimate parent entity consolidates (or is deemed to consolidate) a Fund in its consolidated financial statements ("**Consolidated Financial Statements**"), there is a risk that a Fund may become subject to Pillar Two tax.

If a Fund falls within the scope of Pillar Two, the effective tax rates within its structure could increase due to higher amounts of tax being due or the possible denial of deductions. Tax compliance costs may also increase, which could adversely affect returns to the Investors. In the event a Fund becomes liable for any Pillar Two tax, this may reduce the amounts available for distribution to the Investors.

Each Investor agrees to indemnify a Fund, on demand, for any Pillar Two tax liability and tax compliance costs that may be incurred by a Fund as a result of a (deemed) consolidation in the Consolidated Financial Statements relating to that Investor.

To the extent that any Pillar Two tax liability arises at the level of an Investor entity or, where applicable, the MNE group to which it belongs, as a result of the investment in a Fund, such liability shall be borne solely by the Investor giving rise to it (and not borne by a Fund or any other Investor). Investors are responsible for assessing their own Pillar Two tax position in connection with their investment in each Fund, including whether they may be required to consolidate a Fund on a line-by-line basis in their Consolidated Financial Statements. Investors must notify BlackRock as soon as any such (deemed) consolidation requirement is identified.

BlackRock reserves the right to redeem the investment shares of any Investor if such investment gives rise to additional Pillar Two tax at the level of a Fund and/or results in additional filing or compliance obligations for a Fund.

² The OECD's 2021 "Tax Challenges Arising from Digitalisation of the Economy – Global Anti-Base Erosion Model Rules (Pillar Two): Inclusive Framework on BEPS" (the Model Rules) and Council Directive (EU) 2022/2523 of 14 December 2022 on ensuring a global minimum level of taxation for multinational enterprise groups and large-scale domestic groups in the EU (the Pillar Two Directive), together with any current or future similar or related legislation in respect of any EU or non-EU jurisdiction and, in each case, any current or future legislation, regulations, guidance or official interpretations in connection therewith.

SCHEDULE I

The Regulated Markets

With the exception of permitted investment in unlisted securities and off-exchange FDI, investment in securities or FDI will be made only in securities or FDI which are listed or traded on stock exchanges and markets listed below in this Prospectus or any Supplement thereto or revision thereof. The list is currently as follows:

Recognised Investment Exchanges

1. Recognised investment exchanges in any Member State (except Malta), Australia, Canada, Hong Kong, Iceland, Japan, Norway, New Zealand, Switzerland, the United Kingdom or the United States.
2. The following recognised investment exchanges:

Argentina	Bolsa de Comercio de Buenos Aires Mercado Abierto Electronico S.A.
Bahrain	Bahrain Bourse
Bangladesh	Dhaka Stock Exchange
Brazil	BM&F BOVESPA S.A.
Chile	Bolsa de Comercio de Santiago Bolsa Electronica de Chile
China	Shanghai Stock Exchange Shenzhen Stock Exchange Stock Connect Bond Connect
Colombia	Bolsa de Valores de Colombia
Egypt	Egyptian Stock Exchange
India	Bombay Stock Exchange, Ltd. National Stock Exchange
Indonesia	Indonesian Stock Exchange
Israel	Tel Aviv Stock Exchange
Jordan	Amman Stock Exchange
The Republic of Korea	Korea Exchange (Stock Market) Korea Exchange (KOSDAQ)
Kenya	Nairobi Securities Exchange
Kuwait	Kuwait Stock Exchange
Malaysia	Bursa Malaysia Securities Berhad Bursa Malaysia Derivatives Berhad
Mauritius	Stock Exchange of Mauritius
Mexico	Bolsa Mexicana de Valores
Morocco	Casablanca Stock Exchange
Nigeria	Nigeria Stock Exchange
Oman	Muscat Securities Market
Pakistan	Karachi Stock Exchange
Peru	Bolsa de Valores de Lima
Philippines	Philippines Stock Exchange
Qatar	Qatar Exchange
Russia	Open Joint Stock Company Moscow Exchange MICEX-RTS (Moscow Exchange)
Saudi Arabia	Tadawul Stock Exchange
Singapore	Singapore Exchange Limited
South Africa	JSE Limited
Sri Lanka	Colombo Stock Exchange
Taiwan	Taiwan Stock Exchange
Thailand	Stock Exchange of Thailand
Turkey	Istanbul Stock Exchange
UAE – Abu Dhabi	Abu Dhabi Securities Exchange
UAE - Dubai	Dubai Financial Market NASDAQ Dubai Limited
Vietnam	Ho Chi Minh Stock Exchange

Markets

1. The following regulated markets including regulated markets on which FDI may be traded:-
 - (a) the markets organised by the International Capital Market Association;
 - (b) the market conducted by "listed money market institutions" as described in the Bank of England publication "The Regulation of the Wholesale Cash and OTC Derivatives Markets (in Sterling, foreign currency and bullion)";
 - (c) AIM – the Alternative Investment Market in the UK, regulated and operated by the LSE;
 - (d) NASDAQ in the United States;
 - (e) the market in US government securities conducted by primary dealers regulated by the Federal Reserve Bank of New York;
 - (f) the over-the-counter market in the United States regulated by the Financial Industry Regulatory Authority and reportable on TRACE;
 - (g) the over-the-counter market in the United States regulated by MarketAxess;
 - (h) the over-the-counter market in the United States regulated by National Association Of Securities Dealers (NASD);
 - (i) the French market for "Titres de Creance Negotiable" (over-the-counter market in negotiable debt instruments);
 - (j) The Korea Exchange (Futures Market);
 - (k) the over-the-counter market in Canadian Government Bonds, regulated by the Investment Industry Regulatory Organisation of Canada;
 - (l) the China Interbank Bond Market;
 - (m) any approved derivative market within the European Economic Area on which FDI are traded;
 - (n) EUROTILX (Multilateral Trading Facility);
 - (o) HI_MTF (Multilateral Trading Facility);
 - (p) NASDAQ OMX Europe (NEURO) (Multilateral Trading Facility);
 - (q) EURO MTF for securities (Multilateral Trading Facility);
 - (r) MTS Austria (Multilateral Trading Facility);
 - (s) MTS Belgium (Multilateral Trading Facility);
 - (t) MTS France (Multilateral Trading Facility);
 - (u) MTS Ireland (Multilateral Trading Facility);
 - (v) NYSE Bondmatch (Multilateral Trading Facility);
 - (w) POWERNEXT (Multilateral Trading Facility);
 - (x) Tradegate AG (Multilateral Trading Facility).

The above markets are listed in accordance with the requirements of the Central Bank, it being noted the Central Bank does not issue a list of approved markets or stock exchanges.

SCHEDULE II

Investment Techniques and Instruments for Efficient Portfolio Management/Direct Investment Purposes

A. Investment in FDI

All Funds except iShares € Cash UCITS ETF

The following provisions apply whenever a Fund proposes to engage in transactions in FDI including, but not limited to, futures, forwards, swaps, inflation swaps (which may be used to manage inflation risk), options, swaptions and warrants, where the transactions are for the purposes of the efficient portfolio management of any Fund or for direct investment purposes (and such intention is disclosed in the Fund's investment policy). Where it does intend to engage in transactions in relation to FDI, the Manager will employ a risk management process to enable it to manage, monitor and measure, on a continuous basis, the various risks associated with FDI and their contribution to the overall risk profile of a Fund's portfolio. Only FDI which have been included in the risk management process will be used. The Company will, on request, provide supplemental information to holders of Shares relating to the risk management methods employed, including the quantitative limits that are applied and any recent developments in the risk and yield characteristics of the main categories of investment.

The conditions and limits for the use of such techniques and instruments in relation to each Fund are as follows:

1. Position exposure to the underlying assets of FDI, including embedded FDI in transferable securities or money market instruments, when combined where relevant with positions resulting from direct investments, may not exceed the investment limits set out in the Central Bank UCITS Regulations. (This provision does not apply in the case of index based FDI provided the underlying index is one which meets with the criteria set out in the Central Bank UCITS Regulations).
2. A Fund may invest in FDI dealt OTC provided that the counterparties to OTC transactions are institutions subject to prudential supervision and belonging to categories approved by the Central Bank.
3. Investment in FDI is subject to the conditions and limits laid down by the Central Bank.

iShares € Cash UCITS ETF

The Company may, on behalf of the Fund and subject to the conditions and within the limits laid down by the Central Bank and the investment policy of the Fund, invest in FDI for hedging purposes (to protect an asset of the Fund against, or minimise liability from, fluctuations in market value or foreign currency exposures). Investment in FDI will only be used for interest rate or exchange rate hedging purposes and may only be used where the underlying consists of interest rates, foreign exchange rates, currencies or indices representing one of those. Such FDI may include investments in exchange-traded or over-the-counter financial derivative instruments, such as futures and currency forwards (which may be used to manage currency risk), options (including call and put options which may be used to achieve cost efficiencies in hedging) and swaps (which may be used to manage interest rate risk).

The conditions and limits for the use of such techniques and instruments in relation to the Fund are as follows:

1. Position exposure to the underlying assets of FDI, including embedded FDI in transferable securities or money market instruments, when combined where relevant with positions resulting from direct investments, may not exceed the investment limits set out in the MMF Regulation.
2. The Fund may invest in FDI dealt OTC provided that the counterparties to OTC transactions are institutions subject to prudential supervision and belonging to categories approved by the Central Bank. Counterparties to swap transactions will not have discretion over the assets of the Fund. Collateral received in connection with swap transactions shall be marked-to-market daily and subject to daily variation margin.
3. Investment in FDI is subject to the conditions and limits laid down by the Central Bank.

B. Efficient Portfolio Management - other techniques and instruments

All Funds except iShares € Cash UCITS ETF

1. In addition to the investments in FDI noted above in Section A of this Schedule II, the Company may employ other techniques and instruments relating to transferable securities and money market instruments for efficient portfolio management purposes subject to the conditions imposed by the Central Bank such as repurchase/ reverse repurchase agreements, ("repo contracts") and securities lending. Techniques and instruments which relate to transferable securities and money market instruments and which are used for the purpose of efficient portfolio management, including FDI which are not used for direct investment purposes, shall be understood as a reference to techniques and instruments which fulfil the following criteria:

- (a) they are economically appropriate in that they are realised in a cost-effective way;

- (b) they are entered into for one or more of the following specific aims:
 - (i) reduction of risk;
 - (ii) reduction of cost;
 - (iii) generation of additional capital or income for a Fund with a level of risk which is consistent with the risk profile of a Fund and the risk diversification rules set out in the Central Bank UCITS Regulations;
- (c) their risks are adequately captured by the risk management process of a Fund; and
- (d) they cannot result in a change to a Fund's declared investment objectives or add substantial supplementary risks in comparison to the general risk policy as described in the sales documents.

Techniques and instruments (other than FDI) may be used for efficient portfolio management purposes subject to the conditions set out below.

2. The following applies to repo contracts and securities lending arrangements, in particular, and reflects the requirements of the Central Bank:
 - (a) Repo contracts and securities lending may only be effected in accordance with normal market practice.
 - (b) The Company must have the right to terminate any securities lending arrangement which it has entered into at any time or demand the return of any or all of the securities loaned.
 - (c) Repo contracts or securities lending do not constitute borrowing or lending for the purposes of Regulation 103 and Regulation 111 respectively.
 - (d) Where the Company enters into repurchase agreements, it must be able at any time to recall any securities subject to the repurchase agreement or to terminate the repurchase agreement into which it has entered. Fixed-term repurchase agreements that do not exceed seven days should be considered as arrangements on terms that allow the assets to be recalled at any time by the Company.
 - (e) Where the Company enters into reverse repurchase agreements, it must be able at any time to recall the full amount of cash or to terminate the reverse repurchase agreement on either an accrued basis or a mark-to-market basis. When the cash is callable at any time on a mark-to-market basis, the mark-to-market value of the reverse repurchase agreement should be used for the calculation of a Fund's Net Asset Value. Fixed-term reverse repurchase agreements that do not exceed seven days should be considered as arrangements on terms that allow the assets to be recalled at any time by the Company.
 - (f) The Manager conducts credit assessments of counterparties to a repurchase/reverse repurchase agreement or securities lending arrangement. Where a counterparty is subject to a credit rating by an agency registered and supervised by ESMA that rating shall be taken into account in the credit assessment process and where the counterparty is downgraded by the credit rating agency to A-2 or below (or comparable rating), a new credit assessment of the counterparty is conducted by the Manager without delay.

iShares € Cash UCITS ETF

1. In addition to the investments in FDI noted above, the Company may employ repurchase/ reverse repurchase agreements, ("repo contracts") which fulfil the following criteria:
 - (a) they are economically appropriate in that they are realised in a cost-effective way;
 - (b) they are entered into for one or more of the following specific aims:
 - (i) reduction of risk;
 - (ii) reduction of cost;
 - (iii) generation of additional capital or income for the Fund with a level of risk which is consistent with the risk profile of the Fund and the risk diversification rules set out in the MMF Regulation;
 - (c) for repurchase agreements, they are entered into on a temporary basis for liquidity management purposes; and
 - (d) they cannot result in a change to the Fund's declared investment objectives or add substantial supplementary risks in comparison to the general risk policy as described in the sales documents.
2. The following applies to repo contracts and reflects the requirements of the Central Bank and the MMF Regulation and is subject to changes thereto:

- (g) Repo contracts may only be effected in accordance with normal market practice.
 - (h) Repo contracts do not constitute borrowing or lending for the purposes of Regulation 103 and Regulation 111 respectively.
 - (i) Where the Company enters into repurchase agreements, it must be able at any time to recall any securities subject to the repurchase agreement or to terminate the repurchase agreement into which it has entered. Fixed-term repurchase agreements that do not exceed seven days should be considered as arrangements on terms that allow the assets to be recalled at any time by the Company. The party receiving securities from the Company may not sell, invest, pledge or otherwise transfer those securities without the Company's consent.
 - (j) Where the Company enters into reverse repurchase agreements, it must be able at any time to recall the full amount of cash or to terminate the reverse repurchase agreement on either an accrued basis or a mark-to-market basis. When the cash is callable at any time on a mark-to-market basis, the mark-to-market value of the reverse repurchase agreement should be used for the calculation of the Fund's Net Asset Value. Fixed-term reverse repurchase agreements that do not exceed two days should be considered as arrangements on terms that allow the assets to be recalled at any time by the Company.
 - (k) Where the Company enters into reverse repurchase agreements for the Fund, the collateral received will either be (i) money market instruments that have a maturity at issuance or a residual term to maturity of 397 days or less in accordance with MMF Regulation 15(2) or (ii) longer dated securities and money market instruments issued or guaranteed by a Member State, its local authorities, as well as non-Member States and public international bodies set out in Schedule III -iShares € Cash UCITS ETF, paragraph 2.9, in accordance with MMF Regulation 15(6).
 - (l) The Manager conducts credit assessments of counterparties to a repurchase/reverse repurchase agreement.
3. Any revenues from repo contracts, net of direct and indirect operational costs and fees (which do not include hidden revenue), will be returned to the Company.

C. Risks and potential conflicts of interest involved in efficient portfolio management techniques.

There are certain risks involved in efficient portfolio management activities and the management of collateral in relation to such activities (see further below). Please refer to the section of this Prospectus entitled "Conflicts of Interest" and "Risk Factors" and, in particular but without limitation, the risk factors relating to FDI risks, counterparty risk and counterparty risk to the Depositary and other depositaries. These risks may expose investors to an increased risk of loss.

D. Management of collateral for OTC financial derivative transactions and efficient portfolio management techniques

All Funds except iShares € Cash UCITS ETF

For the purposes of this section, "Relevant Institutions" refers to those institutions which are credit institutions authorised in the EEA or credit institutions authorised within a signatory state (other than an EEA Member State) to the Basle Capital Convergence Agreement of July 1988 or credit institutions in a third country deemed equivalent pursuant to Article 107(4) of the Regulation (EU) No.575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No.648/2012.

- (a) Collateral obtained in respect of OTC financial derivative transactions and efficient portfolio management techniques ("Collateral"), such as repo contracts or securities lending arrangements, must comply with the following criteria:
 - (i) liquidity: Collateral (other than cash) should be highly liquid and traded on a Regulated Market or multi-lateral trading facility with transparent pricing in order that it can be sold quickly at a price that is close to its pre-sale valuation. Collateral should also comply with the provisions of Regulation 74 of the Regulations;
 - (ii) valuation: Collateral should be valued on at least a daily basis and assets that exhibit high price volatility should not be accepted as collateral unless suitably conservative haircuts are in place;
 - (iii) issuer credit quality: Collateral should be of high quality. The Manager shall ensure that:
 - A. where the issuer was subject to a credit rating by an agency registered and supervised by ESMA that rating shall be taken into account by the Manager in the credit assessment process; and
 - B. where an issuer is downgraded below the two highest short-term credit ratings by the credit rating agency referred to in (A) this shall result in a new credit assessment being conducted of the issuer by the Manager without delay;

- (iv) correlation: Collateral should be issued by an entity that is independent from the counterparty. There should be a reasonable ground for the Manager to expect that such Collateral would not display a high correlation with the performance of the counterparty;
 - (v) diversification: Collateral should be sufficiently diversified in terms of country, markets and issuers with a maximum exposure to a given issuer of 20% of a Fund's Net Asset Value. When a Fund is exposed to different counterparties the different baskets of collateral should be aggregated to calculate the 20% limit of exposure to a single issuer. A Fund may be fully collateralised in different transferable securities and money market instruments issued or guaranteed by a Member State, its local authorities, as well as non-Member States and public international bodies set out in Schedule III, paragraph 2.12. Such a Fund should receive securities from at least six different issues, but securities from any single issue should not account for more than 30% of the Fund's Net Asset Value; and
 - (vi) immediately available: Collateral should be capable of being fully enforced by the Company at any time without reference to or approval from the counterparty.
- (b) Subject to the above criteria, Collateral must be in the form of one of the following:
- (i) cash;
 - (ii) government or other public securities;
 - (iii) certificates of deposit issued by Relevant Institutions;
 - (iv) bonds/commercial paper issued by Relevant Institutions or by non-bank issuers where the issue or the issuer are rated A1 or equivalent;
 - (v) letters of credit with a residual maturity of three months or less, which are unconditional and irrevocable and which are issued by Relevant Institutions; and
 - (vi) equity securities traded on a stock exchange in the EEA, Switzerland, Canada, Japan, the United States, Jersey, Guernsey, the Isle of Man, Australia, New Zealand, Taiwan, Singapore, Hong Kong and the United Kingdom.
- (c) Until the expiry of the repo contract or securities lending arrangement, collateral obtained under such contracts or arrangements:
- (i) must be marked to market daily; and
 - (ii) is intended to equal or exceed the value of the amount invested or securities loaned plus a premium.
- (d) Collateral must be held by the Depositary, or its agent (where there is title transfer). This is not applicable in the event that there is no title transfer in which case the Collateral can be held by a third party custodian which is subject to prudential supervision, and which is unrelated to the provider of the Collateral.
- (e) **Non-cash Collateral:**
- Non- cash Collateral cannot be sold, re-invested or pledged.
- (f) **Cash Collateral:**
- Cash as Collateral may only be:
- (i) placed on deposit with Relevant Institutions;
 - (ii) invested in high quality government bonds;
 - (iii) used for the purpose of reverse repurchase agreements provided the transactions are with Relevant Institutions and the Company can recall at any time the full amount of the cash on an accrued basis; and
 - (iv) invested in short term money market funds.
- Re-invested Cash collateral should be diversified in accordance with the diversification requirements applicable to non-cash Collateral.
- (g) The Company has implemented a haircut policy in respect of each class of assets received as Collateral. A haircut is a discount applied to the value of a Collateral asset to account for the fact that its valuation, or liquidity profile, may deteriorate over time. The haircut policy takes account of the characteristics of the relevant asset class, including the credit standing of the issuer of the Collateral, the price volatility of the Collateral and the results of any stress tests which may be performed in accordance with the collateral management policy. Subject to the framework of agreements in place with the relevant counterparty, which

may or may not include minimum transfer amounts, it is the intention of the Company that any Collateral received shall have a value, adjusted in light of the haircut policy, which equals or exceeds the relevant counterparty exposure where appropriate.

- (h) The risk exposures to a counterparty arising from OTC financial derivative transactions and efficient portfolio management techniques should be combined when calculating the counterparty risk limits set out in Schedule III, paragraph 2.8.

iShares € Cash UCITS ETF

For the purposes of this section, "Relevant Institutions" refers to those institutions which are credit institutions authorised in the EEA or credit institutions authorised within a signatory state (other than an EEA Member State) to the Basle Capital Convergence Agreement of July 1988 or credit institutions in a third country deemed equivalent pursuant to Article 107(4) of the Regulation (EU) No.575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No.648/2012.

- (a) Collateral obtained in respect of OTC financial derivative transactions and efficient portfolio management techniques ("Collateral") will be of an appropriate type for the given transaction and the particular counterparty and may be in the form of cash or securities (without restriction as to the issuer type or location, or maturity, save that in the case of reverse repurchase agreements they must be High Credit Quality money-market instruments, in accordance with Article 10 of the MMF Regulations) and must comply with the following criteria:
 - (i) liquidity: Collateral (other than cash) should be highly liquid and traded on a Regulated Market or multi-lateral trading facility with transparent pricing in order that it can be sold quickly at a price that is close to its pre-sale valuation. Collateral should also comply with the provisions Articles 15 and 16 of the MMF Regulation;
 - (ii) valuation: Collateral should be valued on at least a daily basis and assets that exhibit high price volatility should not be accepted as Collateral unless suitably conservative haircuts are in place;
 - (iii) issuer credit quality: Collateral should be of High Credit Quality.
 - (iv) correlation: Collateral should be issued by an entity that is independent from the counterparty and is expected not to display a high correlation with the performance of the counterparty;
 - (v) diversification: Collateral should be sufficiently diversified in terms of country, markets and issuers with a maximum exposure to a given issuer of 20% of the Fund's Net Asset Value or, in the case of reverse repurchase agreements, 15% of the Fund's Net Asset Value. When the Fund is exposed to different counterparties the different baskets of collateral should be aggregated to calculate exposure to a single issuer. The Fund may be fully collateralised in different transferable securities and money market instruments issued or guaranteed by a Member State, its local authorities, as well as non-Member States and public international bodies set out in Schedule III - iShares € Cash UCITS ETF, paragraph 2.9, provided the Fund receives securities from at least six different issues, but securities from any single issue should not account for more than 30% of the Fund's Net Asset Value; and
 - (vi) immediately available: Collateral should be capable of being fully enforced by the Company at any time without reference to or approval from the counterparty.
- (b) Until the expiry of the repo contract, collateral obtained under such contracts or arrangements:
 - (i) must be marked to market daily; and
 - (ii) is intended to equal or exceed the value of the amount invested or securities loaned plus a premium.
- (c) Collateral must be held by the Depositary, or its agent (where there is title transfer). This is not applicable in the event that there is no title transfer in which case the Collateral can be held by a third party custodian which is subject to prudential supervision, and which is unrelated to the provider of the Collateral.
- (d) **Non-cash Collateral:**
Non- cash Collateral cannot be sold, re-invested or pledged.
- (e) **Cash Collateral:**
Cash as Collateral may only be:
 - (i) placed on deposit with Relevant Institutions;
 - (ii) invested in High Credit Quality government bonds;

- (iii) (save in the case of cash collateral received in a repurchase agreement) used for the purpose of reverse repurchase agreements provided the transactions are with Relevant Institutions and the Company can recall at any time the full amount of the cash on an accrued basis; and
- (iv) (save in the case of cash collateral received in a repurchase agreement) invested in Short-Term MMFs.

Re-invested Cash collateral should be diversified in accordance with the diversification requirements applicable to non-cash Collateral.

- (f) The Company has implemented a haircut policy in respect of each class of assets received as Collateral. A haircut is a discount applied to the value of a Collateral asset to account for the fact that its valuation, or liquidity profile, may deteriorate over time. The haircut policy takes account of the characteristics of the relevant asset class, including the credit standing of the issuer of the Collateral, the price volatility of the Collateral and the results of any stress tests which may be performed in accordance with the collateral management policy. Subject to the framework of agreements in place with the relevant counterparty, which may or may not include minimum transfer amounts, it is the intention of the Company that any Collateral received shall have a value, adjusted in light of the haircut policy, which equals or exceeds the relevant counterparty exposure where appropriate.
- (g) The risk exposures to a counterparty arising from OTC financial derivative transactions and efficient portfolio management techniques should be combined when calculating the counterparty risk limits set out in Schedule III - iShares € Cash UCITS ETF, paragraph 2.4.

E. Counterparty Selection & Review

The BlackRock Group selects from an extensive list of full service and execution-only brokers and trading counterparties. All prospective and existing trading counterparties require the approval of the Counterparty Risk Group ("**CRG**"), which is part of BlackRock's independent Risk & Quantitative Analysis department ("**RQA**").

In order for a new trading counterparty to be approved, a requesting portfolio manager or trader is required to submit a request to the CRG. The CRG will review relevant information to assess the creditworthiness and commercial reputation of the proposed counterparty in combination with the nature and structure of the proposed trading activity. Eligible trading counterparties may be constituted as companies, trusts, partnerships or their equivalent, domiciled in OECD and non-OECD countries. A list of approved trading counterparties is maintained by the CRG.

Trading counterparties are monitored on an ongoing basis through the receipt of audited and interim financial statements, via portfolio alerts with market data service providers, and where applicable, as part of the BlackRock Group's internal research process. Formal renewal assessments of all trading counterparties are performed on a cyclical basis.

The BlackRock Group select brokers based upon their ability to provide good execution quality (i.e. trading), whether on an agency or a principal basis; their execution capabilities in a particular market segment; and their operational quality and efficiency; and the BlackRock Group expects them to adhere to regulatory reporting obligations.

Once a counterparty is approved by the CRG, broker selection for an individual trade is then made by the relevant dealer at the point of trade, based upon the relative importance of the relevant execution factors. For some trades, it is appropriate to enter into a competitive tender amongst a shortlist of brokers. The BlackRock Group perform pre-trade analysis to forecast transaction cost and to guide the formation of trading strategies including selection of techniques, division between points of liquidity, timing and selection of broker. In addition, the BlackRock Group monitors trade results on a continuous basis. Broker selection will be based on a number of factors including, but not limited to the following:

- Ability to execute and execution quality;
- Ability to provide Liquidity/capital;
- Price and quote speed;
- Operational quality and efficiency; and
- Adherence to regulatory reporting obligations.

SCHEDULE III

All Funds except iShares € Cash UCITS ETF

Investment Restrictions

Investment of the assets of the relevant Fund must comply with the Regulations. The Regulations provide:

1	Permitted Investments
	Investments of a Fund are confined to:
1.1	Transferable securities and money market instruments, as prescribed in the Central Bank UCITS Regulations, which are either admitted to official listing on a stock exchange in a Member State or non-Member State or which are dealt on a market which is regulated, operates regularly, is recognised and open to the public in a Member State or non-Member State.
1.2	Recently issued transferable securities which will be admitted to official listing on a stock exchange or other market (as described above) within a year.
1.3	Money market instruments other than those dealt on a regulated market.
1.4	Units of UCITS.
1.5	Units of non-UCITS as set out in the Central Bank's guidance entitled "UCITS Acceptable Investment in other Investment Funds".
1.6	Deposits with credit institutions as prescribed in the Central Bank UCITS Regulations.
1.7	FDI as prescribed in the Central Bank UCITS Regulations.
2	Investment Restrictions
2.1	Each Fund may invest no more than 10% of its Net Asset Value in transferable securities and money market instruments other than those referred to in paragraph 1.
2.2	Each Fund may invest no more than 10% of its Net Asset Value in recently issued transferable securities which will be admitted to official listing on a stock exchange or other market (as described in paragraph 1.1) within a year. This restriction will not apply in relation to investment by a Fund in certain US securities known as Rule 144A securities provided that: - the securities are issued with an undertaking to register with the US Securities and Exchanges Commission within one year of issue; and - the securities are not illiquid securities i.e. they may be realised by the Fund within seven days at the price, or approximately at the price, at which they are valued by the Fund.
2.3	Subject to paragraph 2.4, each Fund may invest no more than 10% of its Net Asset Value in transferable securities or money market instruments issued by the same body provided that the total value of transferable securities and money market instruments held in the issuing bodies in each of which it invests more than 5% is less than 40%.
2.4	The limit of 10% (in 2.3) is raised to 25% in the case of bonds that are issued by a credit institution which has its registered office in a Member State and is subject by law to special public supervision designed to protect bond-holders. If a Fund invests more than 5% of its Net Asset Value in these bonds issued by one issuer, the total value of these investments may not exceed 80% of the Net Asset Value of the Fund.
2.5	The limit of 10% (in 2.3) is raised to 35% if the transferable securities or money market instruments are issued or guaranteed by a Member State or its local authorities or by a non-Member State or public international body of which one or more Member States are members.
2.6	The transferable securities and money market instruments referred to in 2.4 and 2.5 shall not be taken into account for the purpose of applying the limit of 40% referred to in 2.3.
2.7	Each Fund may not invest more than 20% of its Net Asset Value in deposits and cash booked in accounts and held as ancillary liquidity with the same credit institution. Deposits, or cash booked in accounts and held as ancillary liquidity, shall only be made with a credit institution which is within at least one of the following categories: • a credit institution authorised in the EEA (a Member State, Norway, Iceland, Liechtenstein); • a credit institution authorised within a signatory state (other than an EEA member state) to the Basle Capital Convergence Agreement of July 1988; or

	a credit institution in a third country deemed equivalent pursuant to Article 107(4) of the Regulation (EU) No.575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No.648/2012.
2.8	The risk exposure of a Fund to a counterparty to an OTC FDI may not exceed 5% of its Net Asset Value. This limit is raised to 10% in the case of a credit institution which is within at least one of the categories of credit institution specified in paragraph 2.7.
2.9	Notwithstanding paragraphs 2.3, 2.7 and 2.8 above, a combination of two or more of the following issued by, or made or undertaken with, the same body may not exceed 20% of a Fund's Net Asset Value: - investments in transferable securities or money market instruments; - deposits, and/or - counterparty risk exposures arising from OTC FDI transactions.
2.10	The limits referred to in 2.3, 2.4, 2.5, 2.7, 2.8 and 2.9 above may not be combined, so that exposure to a single body shall not exceed 35% of a Fund's Net Asset Value.
2.11	Group companies are regarded as a single issuer for the purposes of 2.3, 2.4, 2.5, 2.7, 2.8 and 2.9. However, a limit of 20% of a Fund's Net Asset Value may be applied to investment in transferable securities and money market instruments within the same group.
2.12	Each Fund may invest up to 100% of its Net Asset Value in different transferable securities and money market instruments issued or guaranteed by any Member State, its local authorities, non-Member States or public international body of which one or more Member States are members. The individual issuers must be drawn from the following list: OECD Governments (provided the relevant issues are investment grade), Government of Brazil (provided the issues are of investment grade), Government of the People's Republic of China, Government of India (provided the issues are of investment grade), Government of Singapore, European Investment Bank, European Bank for Reconstruction and Development, International Finance Corporation, International Monetary Fund, Euratom, The Asian Development Bank, European Central Bank, Council of Europe, Eurofima, African Development Bank, International Bank for Reconstruction and Development (The World Bank), The Inter American Development Bank, European Union, Federal National Mortgage Association (Fannie Mae), Federal Home Loan Mortgage Corporation (Freddie Mac), Government National Mortgage Association (Ginnie Mae), Student Loan Marketing Association (Sallie Mae), Federal Home Loan Bank, Federal Farm Credit Bank, Tennessee Valley Authority and Straight-A Funding LLC. Each Fund must hold securities from at least 6 different issues, with securities from any one issue not exceeding 30% of net assets.
3	Investment in Collective Investment Schemes ("CIS")
3.1	Subject to section 3.2, investments made by a Fund in units of other CIS may not exceed, in aggregate, 10% of the assets of the Fund.
3.2	Notwithstanding the provisions of section 3.1, where the investment policy of a Fund states in the Prospectus or a Supplement that it may invest more than 10% of its assets in other UCITS or collective investment schemes, the following restrictions shall apply instead of the restrictions set out at section 3.1 above: (a) Each Fund may not invest more than 20% of its Net Asset Value in any one CIS. (b) Investments in non-UCITS CIS may not, in aggregate, exceed 30% of its Net Asset Value.
3.3	The CIS are prohibited from investing more than 10% of net assets in other CIS.
3.4	When a Fund invests in the units of other CIS that are managed, directly or by delegation, by the Manager or by any other company with which the Manager is linked by common management or control, or by a substantial direct or indirect holding, that management company or other company may not charge subscription, switching or redemption fees on account of the Fund's investment in the units of such other CIS.
3.5	Where a commission (including a rebated commission) is received by the Fund's manager/investment adviser by virtue of an investment in the units of another CIS, this commission must be paid into the property of the Fund.
3.6	Where the investment policy of a Fund states that it may invest in other Funds of the Company, the following restrictions will apply:

	• a Fund will not invest in another Fund of the Company which itself holds Shares in other Funds within the Company; • a Fund which invests in another Fund of the Company will not be subject to subscription, switching or redemption fees; and • the Manager will not charge a management fee to a Fund in respect of that portion of the Fund's assets invested in another Fund of the Company (this provision also applies to the annual fee charged by the Investment Manager where this fee is paid directly out of the assets of the Company).
4	Index Tracking UCITS
4.1	A Fund may invest up to 20% of its Net Asset Value in shares and/or debt securities issued by the same body where the investment policy of the Fund is to replicate an index which satisfies the criteria set out in the Central Bank UCITS Regulations and is recognised by the Central Bank
4.2	The limit in 4.1 may be raised to 35%, and applied to a single issuer, where this is justified by exceptional market conditions, for example, market dominance. Market dominance exists where a particular constituent of a Benchmark Index has a dominant position in the particular market sector in which it operates and as such accounts for a large proportion of a Benchmark Index.
5	General Provisions
5.1	An investment company, or management company acting in connection with all of the CIS it manages, may not acquire any shares carrying voting rights which would enable it to exercise significant influence over the management of an issuing body.
5.2	A UCITS may acquire no more than: (i) 10% of the non-voting shares of any single issuing body; (ii) 10% of the debt securities of any single issuing body; (iii) 25% of the units of any single CIS; (iv) 10% of the money market instruments of any single issuing body. NOTE: The limits laid down in (ii), (iii) and (iv) above may be disregarded at the time of acquisition if at that time the gross amount of the debt securities or of the money market instruments, or the net amount of the securities in issue cannot be calculated.
5.3	5.1 and 5.2 shall not be applicable to: (i) transferable securities and money market instruments issued or guaranteed by a Member State or its local authorities; (ii) transferable securities and money market instruments issued or guaranteed by a non-Member State; (iii) transferable securities and money market instruments issued by public international bodies of which one or more Member States are members; (iv) shares held by a Fund in the capital of a company incorporated in a non-Member State which invests its assets mainly in the securities of issuing bodies having their registered offices in that State, where under the legislation of that State such a holding represents the only way in which the Fund can invest in the securities of issuing bodies of that State. This waiver is applicable only if in its investment policies the company from the non-Member State complies with the limits laid down in 2.3 to 2.11, 3.1, 3.2, 5.1, 5.2, 5.4, 5.5 and 5.6, and provided that where these limits are exceeded, paragraphs 5.5 and 5.6 below are observed. (v) shares held by an investment company or investment companies in the capital of subsidiary companies carrying on only the business of management, advice or marketing in the country where the subsidiary is located, in regard to the repurchase of units at unit-holders' request exclusively on their behalf.
5.4	A Fund need not comply with the investment restrictions herein when exercising subscription rights attaching to transferable securities or money market instruments which form part of their assets.
5.5	The Central Bank may allow recently authorised Funds to derogate from the provisions of 2.3 to 2.11, 3.1, 3.2, 4.1 and 4.2 for six months following the date of their authorisation, provided they observe the principle of risk spreading.
5.6	If the limits laid down herein are exceeded for reasons beyond the control of a Fund, or as a result of the exercise of subscription rights, the Fund must adopt as a priority objective for its sales transactions the remedying of that situation, taking due account of the interests of its holders of Shares.
5.7	A Fund may not carry out uncovered sales of: - transferable securities;

	- money market instruments*; - units of CIS; or - FDI.
5.8	A Fund may hold ancillary liquid assets.
6	FDI
6.1	Any Fund's global exposure (as prescribed in the Central Bank UCITS Regulations) relating to FDI must not exceed its total Net Asset Value.
6.2	Position exposure to the underlying assets of FDI, including embedded FDI in transferable securities or money market instruments, when combined where relevant with positions resulting from direct investments, may not exceed the investment limits set out in the Central Bank UCITS Regulations. (This provision does not apply in the case of index based FDI provided the underlying index is one which meets with the criteria set out in the Central Bank UCITS Regulations.)
6.3	Any Fund may invest in FDI dealt OTC provided that - The counterparties to OTC transactions are institutions subject to prudential supervision and belonging to categories approved by the Central Bank.
6.4	Investment in FDI are subject to the conditions and limits laid down by the Central Bank.

Borrowing Restrictions

The Regulations provide that the Company in respect of each Fund:

- (a) may not borrow, other than borrowings which in the aggregate do not exceed 10% of the Net Asset Value of the Fund and provided that this borrowing is on a temporary basis. The Depositary may give a charge on the assets of the Fund in order to secure borrowings. Credit balances (e.g. cash) may not be offset against borrowings when determining the percentage of borrowings outstanding;
- (b) may acquire foreign currency by means of a back-to-back loan. Foreign currency obtained in this manner is not classed as borrowings for the purpose of the borrowing restriction in paragraph (a), provided that the offsetting deposit: (i) is denominated in the Base Currency of the Fund and (ii) equals or exceeds the value of the foreign currency loan outstanding. However, where foreign currency borrowings exceed the value of the back-to-back deposit, any excess is regarded as borrowing for the purposes of paragraph (a) above.

* Any short selling of money market instruments by UCITS is prohibited.

iShares € Cash UCITS ETF

Investment of the assets of the Fund must comply with the Regulations and the MMF Regulation. The MMF Regulation provides:

1	Eligible Assets
	The Fund shall invest only in one or more of the following categories of financial assets and only under the conditions specified in the MMF Regulation:
1.1	Money market instruments.
1.2	Eligible securitisations and asset-backed commercial paper (" ABCPs ").
1.3	Deposits with credit institutions.
1.4	Financial derivative instruments.
1.5	Repurchase agreements that fulfil the conditions set out in Article 14 of the MMF Regulation.
1.6	Reverse repurchase agreements that fulfil the conditions set out in Article 15 of the MMF Regulation.
1.7	Units or shares of other MMFs.
2	Investment Restrictions
2.1	The Fund shall invest no more than: (a) 5% of its assets in money market instruments, securitisations and ABCPs issued by the same body; (b) 10% of its assets in deposits made with the same credit institution, unless the structure of the banking sector in the Member State in which the Fund is domiciled is such that there are insufficient viable credit institutions to meet that diversification requirement and it is not economically feasible for the Fund to make deposits in another Member State, in which case up to 15% of its assets may be deposited with the same credit institution.
2.2	By way of derogation from point (a) of paragraph 2.1, the Fund may invest up to 10% of its assets in money market instruments, securitisations and ABCPs issued by the same body provided that the total value of such money market instruments, securitisations and ABCPs held by the Fund in each issuing body in which it invests more than 5% of its assets does not exceed 40 % of the value of its assets.
2.3	The aggregate of all of the Fund's exposures to securitisations and ABCPs shall not exceed 20% of the assets of the MMF, whereby up to 15 % of the assets of the MMF may be invested in securitisations and ABCPs that do not comply with the criteria for the identification of STS securitisations and ABCPs.
2.4	The aggregate risk exposure of the Fund to the same counterparty to OTC derivative transactions which fulfil the conditions set out in Article 13 of the MMF Regulation shall not exceed 5% of the assets of the Fund.
2.5	The cash received by the Fund as part of the repurchase agreement does not exceed 10% of its assets.
2.6	The aggregate amount of cash provided to the same counterparty of the Fund in reverse repurchase agreements shall not exceed 15% of the assets of the Fund.
2.7	Notwithstanding paragraphs 2.1 and 2.4 above, an MMF shall not combine, where to do so would result in an investment of more than 15% of its assets in a single body, any of the following: (a) investments in money market instruments, securitisations and ABCPs issued by that body; (b) deposits made with that body; (c) OTC financial derivative instruments giving counterparty risk exposure to that body.
2.8	By way of derogation from the diversification requirement provided for in paragraph 2.7, where the structure of the financial market in the Member State in which the Fund is domiciled is such that there are insufficient viable financial institutions to meet that diversification requirement and it is not economically feasible for the Fund to use financial institutions in another Member State, the Fund may combine the types of investments referred to in points (a) to (c) up to a maximum investment of 20% of its assets in a single body.
2.9	The Fund may invest up to 100% of its assets in different money market instruments issued or guaranteed separately or jointly by the European Union, the national, regional and local administrations of the Member States or their central banks, the European Central Bank, the European Investment Bank, the European Investment Fund, the European Stability Mechanism, the European Financial Stability Facility, a central authority or central bank of a third country, the International Monetary Fund, the International

	Bank for Reconstruction and Development, the Council of Europe Development Bank, the European Bank for Reconstruction and Development, the Bank for International Settlements, or any other relevant international financial institution or organisation to which one or more Member States belong.
2.10	Paragraph 2.9 shall only apply where all of the following requirements are met: (a) the Fund holds money market instruments from at least six different issues by the issuer; (b) the Fund limits the investment in money market instruments from the same issue to a maximum of 30% of its assets; (c) the Fund makes express reference, in its fund rules or instruments of incorporation, to all administrations, institutions or organisations referred to in the first subparagraph that issue or guarantee separately or jointly money market instruments in which it intends to invest more than 5% of its assets; (d) the Fund includes a prominent statement in its prospectus and marketing communications drawing attention to the use of the derogation and indicating all administrations, institutions or organisations referred to in the first subparagraph that issue or guarantee separately or jointly money market instruments in which it intends to invest more than 5% of its assets.
2.11	Notwithstanding the individual limits laid down in paragraph 2.1, the Fund may invest no more than 10% of its assets in bonds issued by a single credit institution that has its registered office in a Member State and is subject by law to special public supervision designed to protect bond-holders. In particular, sums deriving from the issue of those bonds shall be invested in accordance with the law in assets which, during the whole period of validity of the bonds, are capable of covering claims attaching to the bonds and which, in the event of failure of the issuer, would be used on a priority basis for the reimbursement of the principal and payment of the accrued interest.
2.12	Where the Fund invests more than 5% of its assets in the bonds referred to in paragraph 2.11 issued by a single issuer, the total value of those investments shall not exceed 40% of the value of the assets of the Fund.
2.13	Notwithstanding the individual limits laid down in paragraph 2.1, the Fund may invest no more than 20% of its assets in bonds issued by a single credit institution where the requirements set out in point (f) of Article 10(1) or point (c) of Article 11(1) of Delegated Regulation (EU) 2015/61 are met, including any possible investment in assets referred to in paragraph 2.11.
2.14	Where the Fund invests more than 5% of its assets in the bonds referred to in paragraph 2.13 issued by a single issuer, the total value of those investments shall not exceed 60% of the value of the assets of the Fund, including any possible investment in assets referred to in paragraph 2.11, respecting the limits set out therein.
2.15	Companies which are included in the same group for the purposes of consolidated accounts under Directive 2013/34/EU of the European Parliament and of the Council or in accordance with recognised international accounting rules, shall be regarded as a single body for the purpose of calculating the limits referred to in paragraphs 2.1 to 2.8.
3	Eligible units or shares of MMFs
3.1	An MMF may acquire the units or shares of any other MMF ('targeted MMF') provided that all of the following conditions are fulfilled: (a) no more than 10% of the assets of the targeted MMF are able, according to its fund rules or instruments of incorporation, to be invested in aggregate in units or shares of other MMFs; (b) the targeted MMF does not hold units or shares in the acquiring MMF.
3.2	An MMF whose units or shares have been acquired shall not invest in the acquiring MMF during the period in which the acquiring MMF holds units or shares in it.
3.3	An MMF may acquire the units or shares of other MMFs, provided that no more than 5% of its assets are invested in units or shares of a single MMF.
3.4	An MMF may, in aggregate, invest no more than 17.5% of its assets in units or shares of other MMFs*.
3.5	Units or shares of other MMFs shall be eligible for investment by the Fund provided that all of the following conditions are fulfilled: (a) the targeted MMF is authorised under the MMFR; (b) where the targeted MMF is managed, whether directly or under a delegation, by the same manager as that of the Fund or by any other company to which the manager of the Fund is linked by common

	management or control, or by a substantial direct or indirect holding, the manager of the targeted MMF, or that other company, is prohibited from charging subscription or redemption fees on account of the investment by the Fund in the units or shares of the targeted MMF;
3.6	Short-term MMFs may only invest in units or shares of other short-term MMFs.
3.7	Standard MMFs may invest in units or shares of short-term MMFs and standard MMFs.

* Notwithstanding paragraph 3.4 above, iShares € Cash UCITS ETF will not invest 10% or more of its assets in units or shares of other MMFs.

SCHEDULE IV

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 - 1.2 any partnership or corporation organised or incorporated under the laws of the United States;
 - 1.3 any estate of which any executor or administrator is a US person;
 - 1.4 any trust of which any trustee is a US person;
 - 1.5 any agency or branch of a foreign entity located in the United States;
 - 1.6 any non-discretionary account or similar account (other than an estate or trust) held by a dealer or other fiduciary for the benefit or account of a US Person;
 - 1.7 any discretionary account or similar account (other than an estate or trust) held by a dealer or other fiduciary organised, incorporated, or (if an individual) resident in the United States; or
 - 1.8 any partnership or corporation if:
 - (a) organised or incorporated under the laws of any non-US jurisdiction; and
 - (b) formed by a US Person principally for the purpose of investing in securities not registered under the 1933 Act, unless it is organised or incorporated, and owned, by accredited investors (as defined in Rule 501(a) under the Act) who are not natural persons, estates or trusts.
2. Notwithstanding (1) above, any discretionary account or similar account (other than an estate or trust) held for the benefit or account of a non-US Person by a dealer or other professional fiduciary organised, incorporated, or (if an individual) resident in the United States shall not be deemed a "US Person."
3. Notwithstanding (1) above, any estate of which any professional fiduciary acting as executor or administrator is a US Person shall not be deemed a US Person if:
 - 3.1 an executor or administrator of the estate who is not a US Person has sole or shared investment discretion with respect to the assets of the estate; and
 - 3.2 the estate is governed by non-US law.
4. Notwithstanding (1) above, any trust of which any professional fiduciary acting as trustee is a US Person shall not be deemed a US Person if a trustee who is not a US Person has sole or shared investment discretion with respect to the trust assets, and no beneficiary of the trust (and no settlor if the trust is revocable) is a US Person.
5. Notwithstanding (1) above, an employee benefit plan established and administered in accordance with the law of a country other than the United States and customary practices and documentation of such country shall not be deemed a US Person.
6. Notwithstanding (1) above, any agency or branch of a US Person located outside the United States shall not be deemed a "US Person" if:
 - 6.1 the agency or branch operates for valid business reasons; and
 - 6.2 the agency or branch is engaged in the business of insurance or banking and is subject to substantive insurance or banking regulation, respectively, in the jurisdiction where located.
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The following third-party delegates have been appointed by the State Street Bank and Trust Company (the Depositary's global sub-custodian) in the referenced markets as sub-custodians. The list of markets below represents the global custody network of the Depositary's global sub-custodian whereas the assets of the Company will normally be listed or traded on Regulated Markets set out in Schedule I.

Market	Sub-Custodian
Albania	Raiffeisen Bank sh.a.
Argentina	Citibank, N.A.
Australia	The Hongkong and Shanghai Banking Corporation Limited
Austria	Deutsche Bank AG (operating through its Frankfurt branch with support from its Vienna branch) UniCredit Bank Austria AG
Bahrain	HSBC Bank Middle East Limited (as delegate of The Hongkong and Shanghai Banking Corporation Limited)
Bangladesh	Standard Chartered Bank
Belgium	Deutsche Bank AG, Netherlands (operating through its Amsterdam branch with support from its Brussels branch)
Benin	via Standard Chartered Bank Côte d'Ivoire S.A., Abidjan, Ivory Coast
Bermuda	HSBC Bank Bermuda Limited
Federation of Bosnia and Herzegovina	UniCredit Bank d.d.
Botswana	Standard Chartered Bank Botswana Limited
Brazil	Citibank, N.A.
Bulgaria	Citibank Europe plc, Bulgaria Branch UniCredit Bulbank AD
Burkina Faso	via Standard Chartered Bank Côte d'Ivoire S.A., Abidjan, Ivory Coast
Canada	State Street Trust Company Canada
Chile	Itaú CorpBanca S.A.
People's Republic of China	HSBC Bank (China) Company Limited (as delegate of The Hongkong and Shanghai Banking Corporation Limited) China Construction Bank Corporation (for A-share market only) Citibank N.A. (for Shanghai – Hong Kong Stock Connect market only) The Hongkong and Shanghai Banking Corporation Limited (for Shanghai – Hong Kong Stock Connect market only) Standard Chartered Bank (Hong Kong) Limited (for Shanghai – Hong Kong Stock Connect market)
Colombia	Cititrust Colombia S.A. Sociedad Fiduciaria
Costa Rica	Banco BCT S.A.
Croatia	Privredna Banka Zagreb d.d. Zagrebacka Banka d.d.
Cyprus	BNP Paribas Securities Services, S.C.A., Greece (operating through its Athens branch)

Market	Sub-Custodian
Czech Republic	Československá obchodní banka, a.s. UniCredit Bank Czech Republic and Slovakia, a.s.
Denmark	Nordea Bank AB (publ), Sweden (operating through its branch, Nordea Danmark, Filial af Nordea Bank AB (publ), Sverige) Skandinaviska Enskilda Banken AB (publ), Sweden (operating through its Copenhagen branch)
Egypt	HSBC Bank Egypt S.A.E. (as delegate of The Hongkong and Shanghai Banking Corporation Limited)
Estonia	AS SEB Pank
Eswatini (previously known as Swaziland)	Standard Bank Swaziland Limited
Finland	Nordea Bank AB (publ), Sweden (operating through its branch, Nordea Bank AB (publ), Finnish branch) Skandinaviska Enskilda Banken AB (publ), Sweden (operating through its Helsinki branch)
France	Deutsche Bank AG, Netherlands (operating through its Amsterdam branch with support from its Paris branch)
Republic of Georgia	JSC Bank of Georgia
Germany	State Street Bank International GmbH Deutsche Bank AG
Ghana	Standard Chartered Bank Ghana Limited
Greece	BNP Paribas Securities Services, S.C.A.
Guinea-Bissau	via Standard Chartered Bank Côte d'Ivoire S.A., Abidjan, Ivory Coast
Hong Kong	Standard Chartered Bank (Hong Kong) Limited
Hungary	Citibank Europe plc Magyarországi Fióktelepe UniCredit Bank Hungary Zrt.
Iceland	Landsbankinn hf.
India	Deutsche Bank AG The Hongkong and Shanghai Banking Corporation Limited
Indonesia	Deutsche Bank AG
Ireland	State Street Bank and Trust Company, United Kingdom branch
Israel	Bank Hapoalim B.M.
Italy	Deutsche Bank S.p.A.
Ivory Coast	Standard Chartered Bank Côte d'Ivoire S.A.
Japan	Mizuho Bank, Limited The Hongkong and Shanghai Banking Corporation Limited
Jordan	Standard Chartered Bank
Kazakhstan	JSC Citibank Kazakhstan
Kenya	Standard Chartered Bank Kenya Limited

Market	Sub-Custodian
Republic of Korea	Deutsche Bank AG The Hongkong and Shanghai Banking Corporation Limited
Kuwait	HSBC Bank Middle East Limited (as delegate of The Hongkong and Shanghai Banking Corporation Limited)
Latvia	AS SEB banka
Lithuania	AB SEB bankas
Malawi	Standard Bank PLC
Malaysia	Deutsche Bank (Malaysia) Berhad Standard Chartered Bank Malaysia Berhad
Mali	via Standard Chartered Bank Côte d'Ivoire S.A., Abidjan, Ivory Coast
Mauritius	The Hongkong and Shanghai Banking Corporation Limited
Mexico	Banco Nacional de México, S.A.
Morocco	Citibank Maghreb S.A.
Namibia	Standard Bank Namibia Limited
Netherlands	Deutsche Bank AG
New Zealand	The Hongkong and Shanghai Banking Corporation Limited
Niger	via Standard Chartered Bank Côte d'Ivoire S.A., Abidjan, Ivory Coast
Nigeria	Stanbic IBTC Bank Plc.
Norway	Nordea Bank AB (publ), Sweden (operating through its branch, Nordea Bank AB (publ), filial i Norge) Skandinaviska Enskilda Banken AB (publ), Sweden (operating through its Oslo branch)
Oman	HSBC Bank Oman S.A.O.G. (as delegate of The Hongkong and Shanghai Banking Corporation Limited)
Pakistan	Deutsche Bank AG
Panama	Citibank, N.A.
Peru	Citibank del Perú, S.A.
Philippines	Deutsche Bank AG
Poland	Bank Handlowy w Warszawie S.A. Bank Polska Kasa Opieki S.A.
Portugal	Deutsche Bank AG, Netherlands (operating through its Amsterdam branch with support from its Lisbon branch)
Puerto Rico	Citibank N.A.
Qatar	HSBC Bank Middle East Limited (as delegate of The Hongkong and Shanghai Banking Corporation Limited)
Romania	Citibank Europe plc, Dublin – Romania Branch
Russia	AO Citibank
Saudi Arabia	HSBC Saudi Arabia (as delegate of The Hongkong and Shanghai Banking Corporation Limited) Saudi British Bank (as delegate of The Hongkong and Shanghai Banking Corporation Limited)

Market	Sub-Custodian
Senegal	via Standard Chartered Bank Côte d'Ivoire S.A., Abidjan, Ivory Coast
Serbia	UniCredit Bank Serbia JSC
Singapore	Citibank N.A.
Slovak Republic	UniCredit Bank Czech Republic and Slovakia, a.s.
Slovenia	UniCredit Banka Slovenija d.d.
South Africa	FirstRand Bank Limited Standard Bank of South Africa Limited
Spain	Deutsche Bank S.A.E.
Sri Lanka	The Hongkong and Shanghai Banking Corporation Limited
Republic of Srpska	UniCredit Bank d.d.
Sweden	Nordea Bank AB (publ) Skandinaviska Enskilda Banken AB (publ)
Switzerland	Credit Suisse (Switzerland) Limited UBS Switzerland AG
Taiwan - R.O.C.	Deutsche Bank AG Standard Chartered Bank (Taiwan) Limited
Tanzania	Standard Chartered Bank (Tanzania) Limited
Thailand	Standard Chartered Bank (Thai) Public Company Limited
Togo	via Standard Chartered Bank Côte d'Ivoire S.A., Abidjan, Ivory Coast
Tunisia	Union Internationale de Banques
Turkey	Citibank, A.Ş. Deutsche Bank A.Ş.
Uganda	Standard Chartered Bank Uganda Limited
Ukraine	JSC Citibank
United Arab Emirates Dubai Financial Market	HSBC Bank Middle East Limited (as delegate of The Hongkong and Shanghai Banking Corporation Limited)
United Arab Emirates Dubai International Financial Center	HSBC Bank Middle East Limited (as delegate of The Hongkong and Shanghai Banking Corporation Limited)
United Arab Emirates Abu Dhabi	HSBC Bank Middle East Limited (as delegate of The Hongkong and Shanghai Banking Corporation Limited)
United Kingdom	State Street Bank and Trust Company, United Kingdom branch
United States	State Street Bank and Trust Company
Uruguay	Banco Itaú Uruguay S.A.

Market	Sub-Custodian
Vietnam	HSBC Bank (Vietnam) Limited (as delegate of The Hongkong and Shanghai Banking Corporation Limited)
Zambia	Standard Chartered Bank Zambia Plc.
Zimbabwe	Stanbic Bank Zimbabwe Limited (as delegate of Standard Bank of South Africa Limited)

SCHEDULE VII

BlackRock EMEA Baseline Screens

The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds) including but not limited to:

- (i) Issuers which are engaged in, or are otherwise exposed to the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation, with the exception of "green bonds", that are considered to comply with the International Capital Markets Association's Green Bond Principles, from such issuers.
- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear weapons or nuclear weapon components or delivery platforms, or the provision of auxiliary services related to nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers which derive more than 5% of their revenue from the production, distribution, retail and supply of tobacco-related products.
- (vii) Issuers which produce firearms and/or small arms ammunition intended for retail to civilians.
- (viii) Issuers which derive more than 5% of their revenue from the distribution (wholesale or retail) of firearms and/or small arms ammunition intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

To undertake its analysis of ESG criteria, the Investment Manager may use data generated internally by the Investment Manager and/or its Affiliates or provided by one or more third party ESG research providers.

Should existing holdings, compliant at the time of investment subsequently become ineligible, they will be divested within a reasonable period of time.

The Fund may gain limited indirect exposure (through, including but not limited to, FDI and shares or units of collective investment schemes) to issuers with exposures that do not meet the ESG criteria described above.

A full list of the limits and/or exclusions being applied by Investment Managers at any time (including any specific threshold criteria) is available at <https://www.blackrock.com/corporate/literature/publication/blackrock-baseline-screens-in-europe-middleeast-and-africa.pdf>

It is the Investment Manager's intention that the BlackRock EMEA Baseline Screens policy will evolve over time as improved data and more research on this subject becomes available. The full list may be amended from time to time at the Investment Manager's discretion and (unless it alters the description in this section) may be implemented without notification to Shareholders.

SCHEDULE VIIA

Fundamental Insights Methodology

Companies are evaluated by the Investment Manager based on their ability to manage the risks and opportunities associated with ESG factors and their ability to strategically manage longer-term issues surrounding ESG and the potential impact this may have on a company's financial performance.

The Investment Manager conducts enhanced analysis on all companies that it considers to have heightened ESG risks, higher carbon emissions and controversial business activities. In such circumstances, the Investment Manager may determine an engagement agenda for discussion with those companies in seeking to improve their ESG credentials. To undertake this analysis, the Investment Manager uses its fundamental insights and may use data provided by external ESG data providers, and proprietary models.

The Fund will apply exclusionary screens, the BlackRock EMEA Baseline Screens, to the companies within the investment universe. The Investment Manager then applies its proprietary "Fundamental Insights" methodology (the "Methodology", see further detail on <https://www.blackrock.com/corporate/literature/publication/blackrock-baseline-screens-in-europe-middleeast-and-africa.pdf>) to identify companies that would otherwise have been excluded by the exclusionary screens but that it considers to be appropriate for investment on the basis that they are "in transition" and focused on meeting sustainability criteria over time, or are otherwise meeting other criteria in accordance with the Methodology requirements.

The Methodology uses quantitative and qualitative inputs generated by the Investment Manager, its affiliates and/or one or more external research providers. Where a company is identified by the Investment Manager as meeting the criteria in the Methodology for investment and is approved in accordance with the Methodology, it is

eligible to be held by the Fund. Such companies are regularly reviewed. In the event that the Investment Manager determines that a company fails the criteria in the Methodology (in whole or in part and at any time) or it is not engaging with the Investment Manager on a satisfactory basis, it will be considered for divestment by the Fund in accordance with the Methodology.

SCHEDULE VIII

31 July 2026

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices. The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Product name: iShares \$ Asia Investment Grade Corp Bond UCITS ETF	
	Legal entity identifier: 5493003Q3D100I06OP92	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
	● ● ☐ Yes ☐ It will make a minimum of sustainable investments with an environmental objective: ____% ☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy ☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy ☐ It will make a minimum of sustainable investments with a social objective: ____%	● ○ ☒ No ☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments ☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy ☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy ☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product? The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the iBoxx USD Asia ex-Japan Corporates Investment Grade ESG Screened Index, its Benchmark Index: 1. exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to have been involved in severe ESG-related controversies; and 3. exclusion of issuers deemed to have violated United Nations Global Compact principles. These environmental and social characteristics are incorporated through the selection of constituents in the Fund's Benchmark Index at each index rebalance (as described below). The Benchmark Index excludes issuers based on their involvement in certain activities deemed to have negative environmental or social outcomes. Issuers are excluded from the Benchmark Index based on their involvement in the following business lines/activities (or related activities): • controversial weapons • small arms	

	• thermal coal • oil sands • tobacco The index provider defines what constitutes “involvement” in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. The Benchmark Index also excludes issuers which are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs), and their underlying conventions. The Benchmark Index also excludes issuers with a ‘severe’ Sustainability controversy rating. A controversy rating measures an issuer’s involvement (or alleged involvement) in serious controversies based on an assessment of an issuer’s operations and /or products which are deemed to have a negative ESG impact. An ESG controversy rating may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy use and greenhouse gas and other emissions, water use and waste issues. An ESG controversy rating may also consider involvement in adverse impact activities in relation to social and governance issues such as bribery and corruption and work place discrimination. For more information on where details of the methodology of the Benchmark Index can be found see Where can the methodology used for the calculation of the designated index be found? below.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes (see What environmental and/or social characteristics are promoted by this financial product? above). 2. The exclusion of companies classified as violating United Nations Global Compact principles by the Benchmark Index as described above (see What environmental and/or social characteristics are promoted by this financial product? above). 3. The exclusion of issuers identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product? above). 4. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors? below). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	This Fund does not commit to investing in sustainable investments.

Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.

● **How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?**

Not applicable as the Fund does not commit to investing in sustainable investments.

— — — *How have the indicators for adverse impacts on sustainability factors been taken into account?*

Not applicable as the Fund does not commit to investing in sustainable investments.

— — — *How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:*

Not applicable as the Fund does not commit to investing in sustainable investments.

The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.

The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

Any other sustainable investments must also not significantly harm any environmental or social objectives.

Does this financial product consider principal adverse impacts on sustainability factors?

✓Yes

□No

Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as “X” in the table below are considered as part of the selection criteria of the Fund’s Benchmark Index at each index rebalance.

The Fund’s annual report will include information on the principal adverse impacts on sustainability factors set out below.

	PAI Description	Benchmark Index Selection Criteria			
		Exclusion of issuers based on Certain environmental screens (listed above)	Exclusion of Issuers based on an ESG controversy rating	Exclusion of issuers classified as violating commonly accepted international norms and standards	Exclusion of issuers determined to have any tie to controversial weapons
Greenhouse	1.(a) GHG emissions				

Gas (GHG) emissions	(Scope 1/2)				
	1.(b) GHG emissions (Scope 3)				
	2. Carbon footprint				
	3. GHG intensity				
	4. % in Fossil Fuels	X			
	5. Non-Renewable / Renewable %				
Biodiversity	6. High impact sector energy consumption				
	7. Negative impact to Biodiversity sensitive areas		X		
Water	8. Emissions to Water		X		
Waste	9. Hazardous Waste		X		
Social and employee matters	10. UNGC + OECD Violations			X	
	11. UNGC + OECD Process, Monitoring				
	12. Unadjusted gender pay gap				
	13. Board gender diversity				
	14. Controversial weapons				X



What investment strategy does this financial product follow?

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product? above).

By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index.

Governance Processes

The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.

● **What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?**

	The binding elements of the investment strategy are that the Fund will invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's starting universe seeks to reduce the number of constituents from its starting universe through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the starting universe. For example, if issuers in the starting universe engage in fewer activities that are excluded from the starting universe based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> Good governance checks are incorporated within the methodology of the Benchmark Index. At each index rebalance, the index provider excludes companies from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) and excludes companies that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product? above).
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies	What is the asset allocation planned for this financial product? The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark Index. As such, at each index rebalance, the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities

– capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.	cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria of the Benchmark Index) and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund may invest up to 20% of its assets in other investments (“#2 Other”).
– operational expenditure (OpEx) reflecting green operational activities of investee companies.	<pre> graph LR A[Investments] --> B[#1 Aligned with E/S Characteristics] A --> C[#2 Other] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.
To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of	<i>How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?</i> The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.  To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

2035. For nuclear energy, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

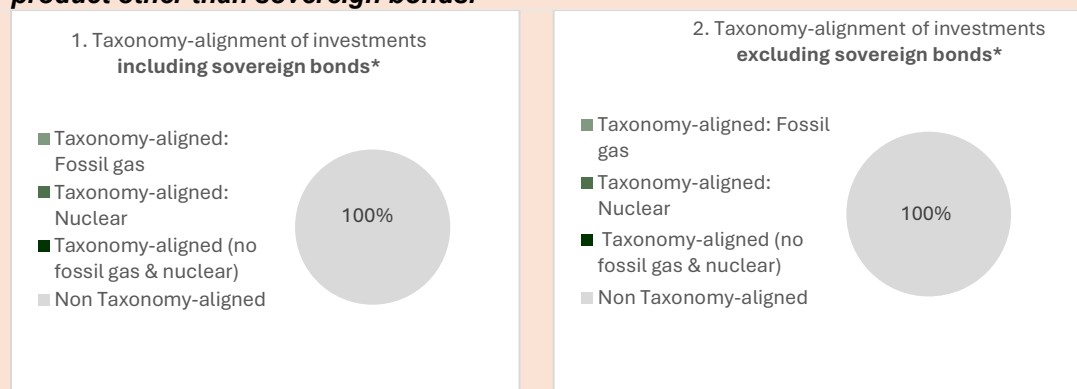
Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

● **Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹?**

- ☐ Yes:
☐ In fossil gas ☐ In nuclear energy
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

● **What is the minimum share of investments in transitional and enabling activities?**

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the Taxonomy Regulation.

 are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.

 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

Not applicable as the Fund does not commit to investing in sustainable investments with an environmental objective.

 What is the minimum share of socially sustainable investments?

This Fund does not currently commit to investing more than 0% of its assets in investments in socially sustainable investments.

¹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? Yes, this Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the iBoxx USD Asia ex-Japan Corporates Investment Grade ESG Screened Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria. ● <i>How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?</i> At each index rebalance, the index provider applies the ESG selection criteria to exclude issuers that do not meet such ESG selection criteria. ● <i>How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?</i> At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. ● <i>How does the designated index differ from a relevant broad market index?</i> As a result of the application of the ESG selection criteria of the Benchmark Index, the portfolio of the Fund is expected to be reduced compared to the Markit iBoxx USD Asia ex-Japan Investment Grade Index, a broad market index comprised of fixed income securities. ● <i>Where can the methodology used for the calculation of the designated index be found?</i> The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.markit.com/Company/Files/DownloadFiles?CMSID=73c13b54d9ad4af5a2d2999c0a9b9bdc
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled “Investment Objective” and ‘Investment Policy’, ‘SFDR’ and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares \$ Corp Bond Enhanced Active UCITS ETF	
	Legal entity identifier: 52990016QHGNQMXBFE20	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund promotes environmental characteristics related to the reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar sands extraction, as well as thermal coal-based power generation, through application of the BlackRock EMEA Baseline Screens. The Fund promotes environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emissions intensity of the portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund’s holdings are used to measure this aim. The Fund promotes social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons and nuclear weapons, and production and distribution of civilian firearms, (b) better health and wellbeing by excluding direct investment in issuers involved in production and distribution of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption	

	by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of the BlackRock EMEA Baseline Screens. The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however the Bloomberg US Corporate Index (the “Index”) is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund include: • The Fund’s carbon emissions intensity, as described above. • The Fund’s exclusion of holdings in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens and exclusionary screens, as described above. • The Fund’s consideration of principal adverse impacts (PAIs) on sustainability factors, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti-bribery matters.	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock’s DNSH standard outlined below. BlackRock invests in Sustainable Investments which contribute to environmental and social objectives relating to alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education or that are otherwise identified by the United Nations Sustainable Development Goals or other sustainability-related frameworks (“Environmental and Social Objectives”). An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer’s business activity contributes to an Environmental and/or Social Objective; or b) the issuer’s business practices contribute to an Environmental and/or Social Objective.
	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment’s business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data

	is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i> Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>
	Does this financial product consider principal adverse impacts on sustainability factors?
	☒ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of the BlackRock EMEA Baseline Screens and its exclusionary policy. The Fund takes into account the following PAIs: • GHG emissions • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti-personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, the Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. The Fund will provide information on the PAIs in its annual report.



The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

What investment strategy does this financial product follow?

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns.

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 80% of its total assets in investment grade (or where unrated deemed by the Investment Manager to be of an equivalent rating) fixed income securities issued by corporate issuers (i.e. corporate bonds) in developed markets and instruments relating to such securities (namely credit default swaps, currency swaps, futures and forwards) and denominated in US Dollar. The Fund may (in addition to fixed income securities issued by corporate issuers and related instruments) invest in government bonds, municipal bonds, sovereign and supranational debt, and instruments relating to such bonds denominated in US Dollar.

The Fund may invest up to 20% of its total assets in fixed income securities (or instruments related to such securities) of issuers domiciled in emerging markets and denominated in US Dollar.

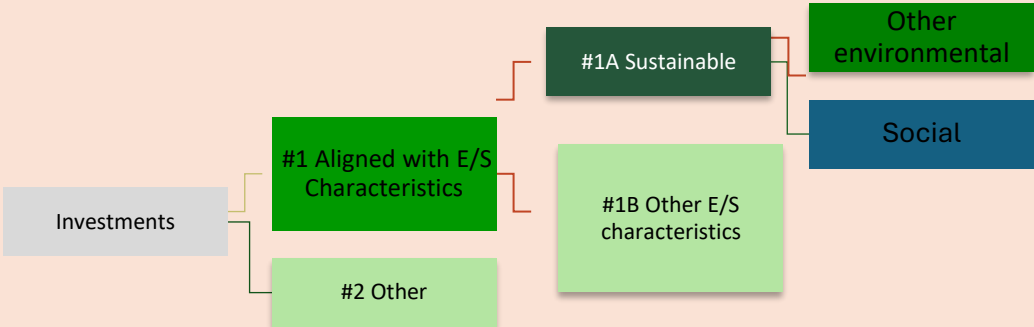
The fixed income securities and instruments relating to such securities in which the Fund invests may be fixed or floating rate. Although the Fund's focus is on investment grade securities it may also hold securities that are below investment grade or unrated. The Fund does not have any specific industry focus.

The Investment Manager employs a systematic credit strategy to assist the Investment Manager in achieving the Fund's investment objective, which is to participate in greater market upside and to reduce market downside relative to the Index. This strategy uses a systematic process that combines quantitative modelling techniques with the Investment Manager's analysis. The systematic credit models include US Dollar denominated corporate bonds that are scored and ranked on quantitative factors such as fundamentals and valuation. Within the fundamentals category, the Investment Manager uses techniques to assess security characteristics such as corporate quality using a proprietary probability of default measure. Within the valuations category, the Investment Manager uses techniques to compare the most mispriced bonds versus their intrinsic value.

The Fund may also invest in cash, deposits ("Cash Holdings") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings" in the Prospectus. In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures, forward contracts and swap contracts (including credit default swaps and currency swaps) in accordance with the limitations set down in the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the fixed income securities described above and for currency hedging purposes. Details of indices used by the Fund will be provided in the annual report of the Company.

	The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in the Prospectus. The Investment Manager will apply the BlackRock EMEA Baseline Screens (which include screens related to the issuer's involvement in certain tobacco-related activities and the issuer's involvement in the production of controversial weapons). The Fund will invest in Sustainable Investments. In addition, the Investment Manager will manage the Fund's portfolio so that the Fund will have a lower carbon emissions intensity than the Index. Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).
	● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i>
	The binding elements of the investment strategy are as follows: • Maintain that the Fund holds at least 20% in Sustainable Investments. • Maintain that the Fund's carbon emissions intensity is lower than that of the Index. • BlackRock EMEA Baseline Screens: The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have been deemed to have failed to comply with UN Global Compact Principles or have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds): i) the production of certain types of controversial weapons; ii) the distribution or production of firearms or small arms ammunition intended for retail to civilians; iii) the extraction of certain types of fossil fuel and/or the generation of power from them; or iv) the production of tobacco products or certain activities in relation to tobacco-related products. • A full list of the BlackRock EMEA Baseline Screens limits and/or exclusions being applied by Investment Managers at any time (including any specific threshold criteria) is available at https://www.blackrock.com/corporate/literature/publication/blackrock-baseline-screens-in-europe-middleeast-and-africa.pdf
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no commitment to reduce the scope of investments by a minimum rate.

Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies? BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ('#2 Other').  <pre> graph LR Investments --> N1["#1 Aligned with E/S Characteristics"] Investments --> N2["#2 Other"] N1 --> N1A["#1A Sustainable"] N1 --> N1B["#1B Other E/S characteristics"] N1A --> N1A1["Other environmental"] N1A --> N1A2["Social"] </pre>
	#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers: – The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives. – The sub-category #1B Other E/S characteristics covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.
	How does the use of derivatives attain the environmental or social characteristics promoted by the financial product? The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy²?

☐ Yes:

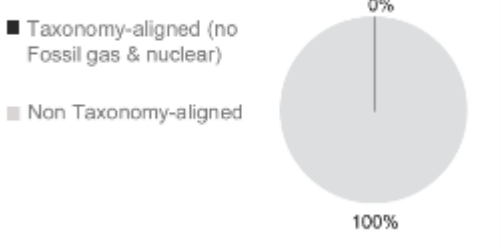
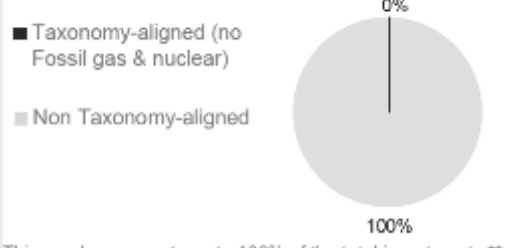
☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

² Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	1. Taxonomy-alignment of investments including sovereign bonds*  2. Taxonomy-alignment of investments excluding sovereign bonds*  This graph represents up to 100% of the total investments.** * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures **As the Fund does not commit to making sustainable investments aligned with the EU Taxonomy, the proportion of sovereign bonds in the Fund portfolio will not impact the proportion of sustainable investments aligned with the EU Taxonomy included in the graph.
	 What is the minimum share of investments in transitional and enabling activities?
	The Fund does not commit to making investments in transitional and enabling activities.
are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective that are not aligned with the EU Taxonomy. The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.
	 What is the minimum share of socially sustainable investments?
	The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with a social objective.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging. These other holdings are not considered against minimum environmental or social safeguards.



Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.

Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

No.

● ***How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?***

Not applicable.

● ***How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?***

Not applicable.

● ***How does the designated index differ from a relevant broad market index?***

Not applicable.

● ***Where can the methodology used for the calculation of the designated index be found?***

Not applicable.



Where can I find more product specific information online?

More product-specific information can be found on the website:

Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.blackrock.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares \$ Corp Bond ESG Paris-Aligned Climate UCITS ETF	
	Legal entity identifier: 549300ITVYKA36FGBD20	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the Bloomberg MSCI US Corporate Climate Paris Aligned ESG Select Index, its Benchmark Index: 1. exclusion of issuers deemed to be involved in certain activities considered to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to be involved in very severe ESG related controversies; 3. exclusion of issuers deemed to be involved in severe or very severe controversies relating to environmental issues; 4. exposure to issuers which have been selected and weighted to align with the climate commitments laid down in the Paris Agreement; and 5. exposure to investments qualifying as sustainable investments. These environmental and social characteristics are incorporated through the selection of constituents in the Fund's Benchmark Index at each index rebalance (as described below). The Benchmark Index has been labelled by the index provider as an EU Paris-aligned Benchmark ("PAB") (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation in respect of the criteria for the selection, weighting and, where applicable, exclusion of the underlying assets, to align with the climate commitments laid down in the Paris Agreement.	

The Benchmark Index excludes issuers from the Bloomberg US Corporate Index (the 'Parent Index') based on their involvement in certain activities deemed to have negative environmental or social outcomes. Issuers are excluded from the Benchmark Index based on their involvement in the following business lines/activities (or related activities):

- controversial weapons
- tobacco
- thermal coal
- power generation
- nuclear weapons
- civilian firearms
- oil and gas (including unconventional oil and gas)
- conventional weapons
- weapons systems, components, support systems and services

The index provider defines what constitutes 'involvement' in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

The Benchmark Index also excludes issuers which are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environmental).

The Benchmark Index also excludes issuers with a 'red' MSCI ESG controversy flag (based on an MSCI ESG controversy score of 0). An MSCI ESG controversy score measures an issuer's involvement (or alleged involvement) in serious controversies based on an assessment of an issuer's operations, products and/or services which are deemed to have a negative ESG impact. An MSCI ESG controversy score may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. An MSCI ESG controversy score may also consider involvement in adverse impact activities in relation to social issues such as human rights, labour management relations, discrimination and workforce diversity. Companies with a 'red' or 'orange' MSCI environment controversy flag (based on an MSCI environment controversy score of 1 or below) are also excluded from the Benchmark Index.

To be included in the Benchmark Index, issuers must have an MSCI ESG rating and the rating must be B or higher. An MSCI ESG rating is designed to measure an issuer's resilience to long-term industry material ESG risks and how well it manages ESG risks and opportunities relative to industry peers. The index provider may consider the following environmental themes when determining an issuer's ESG score as part of the ESG rating methodology: climate change mitigation based on greenhouse gas emissions, waste and other emissions, land use and biodiversity. The index provider may also consider the following social themes when determining an issuer's ESG score as part of the ESG rating methodology: access to basic services, community relations, data privacy and security, human capital, health and safety and product governance. The MSCI ESG rating methodology recognises that certain environmental and social issues are more material based on the type of activity that the issuer is involved in by weighting the issues differently in the scoring methodology. Those issuers with higher MSCI ESG scores are determined by the index provider to be those issuers that may be better positioned to manage future ESG-related challenges and risks compared to their industry peers.

Following the application of the above exclusionary criteria, the constituents of the Benchmark Index are selected and weighted using the index provider's optimisation process at each index rebalance which seeks to:

- reduce the weighted average absolute GHG emissions (Scope 1+2+3) by 50% compared to the Parent Index;
- reduce the weighted average GHG emissions (Scope 1+2+3) by 7% on an annual basis;
- reduce the weighted average carbon intensity by 50% compared to the Parent Index;
- reduce the weighted average carbon intensity by 7% on an annual basis;
- increase the weighted average green revenue relative to the Parent Index;
- achieve a minimum green to fossil-fuel based ratio relative to the Parent Index; and
- increase the weighted average ESG score relative to the Parent Index.

	For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of companies classified as violating United Nations Global Compact principles by the Benchmark Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 3. The exclusion of issuers with an MSCI ESG rating below the minimum threshold (see What environmental and/or social characteristics are promoted by this financial product?). 4. The exclusion of companies identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product?). 5. The weighted average absolute GHG emissions relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 6. The decarbonisation rate of GHG emissions per year as described above (see What environmental and/or social characteristics are promoted by this financial product?). 7. The weighted average carbon intensity relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 8. The decarbonisation rate of carbon intensity per year as described above (see What environmental and/or social characteristics are promoted by this financial product?). 9. The weighted average green revenue relative to the Parent Index (see What environmental and/or social characteristics are promoted by this financial product?). 10. The weighted average ratio of overall green revenue to fossil fuels-based revenue as described above (see What environmental and/or social characteristics are promoted by this financial product?). 11. The weighted average ESG score relative to the Parent Index (see What environmental and/or social characteristics are promoted by this financial product?). 12. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 13. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter),

	the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index. Where a constituent is removed from the Benchmark Index in between index rebalances, the Fund's portfolio will be re-aligned thereafter as soon as possible and practicable (in the Investment Manager's view) to align with the Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund's investments qualifying as sustainable investments will be in: 1) fixed income securities which have been classified as "green bonds"; 2) issuers involved in activities deemed to contribute to positive environmental and/or social impacts; or 3) issuers which have committed to one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The index provider may allocate a proportion of the Benchmark Index to securities classified as green bonds under the index methodology. The Benchmark Index defines green bonds as fixed income securities the proceeds of which are exclusively and formally applied to projects or activities that promote climate or other environmental sustainability purposes. In accordance with the Benchmark Index methodology, securities (whether or not labelled as green by the issuer) are independently evaluated under the following four criteria to determine whether they should be classified as green bonds: (i) stated use of proceeds; (ii) process for green project evaluation and selection; (iii) process for management of proceeds; and (iv) commitment to ongoing reporting of the environmental performance of the use of proceeds. To be considered a green bond for the purpose of the index methodology, all four criteria must be met for bonds issued after the publication of the Green Bond Principles (an agreement among market participants on a set of standards for the green credentials of labelled issuance), although bonds issued prior to that date that do not satisfy all four criteria may still qualify for inclusion in the Benchmark Index. The index provider will also allocate a proportion of the Benchmark Index to issuers that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The Benchmark Index uses the MSCI ESG Sustainable Impact Metrics which aim to measure revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related frameworks. The MSCI ESG Sustainable Impact Metrics consider positive environmental impacts in relation to themes such as climate change and natural capital and seek to identify those issuers that will derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution prevention and control and sustainable agriculture. The MSCI ESG Sustainable Impact Metrics also consider positive societal impacts in relation to themes such as basic needs and empowerment and seek to identify those issuers that will derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, small and medium enterprises (SMEs), education and connectivity. The environmental and social themes together with the revenue alignment thresholds are determined by the index provider and are applied at each index rebalance of the Benchmark Index.

	The Benchmark Index also seeks to identify constituents with a commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for issuers and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund will contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> At each index rebalance, all investments qualifying as sustainable investments are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, issuers are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where an issuer has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. For bonds qualifying as green bonds, the assessment is carried out by the index provider at an issuance level based on the use of the proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, certain minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to avoid exposure to bonds associated with activities deemed to have highly negative environmental and societal impacts.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The mandatory indicators for adverse impacts on sustainability factors (asset out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable investments. As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) issuers deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions), (2) issuers with an 'orange' MSCI ESG controversy score of 1 or below that have been deemed to be involved in severe or very severe ESG related controversies (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) issuers with an MSCI ESG rating of B or below, which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). In respect of green bonds, the indicators for adverse impacts on sustainability factors are taken into account at each index rebalance and are assessed by the index provider at the issuance level based on an assessment of the use of proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to ensure the proceeds of which are not applied to activities with

	highly negative environmental and social outcomes. This includes through the minimum safeguards and eligibility exclusions of bonds with the use of proceeds linked to thermal coal extraction and power generation, significant biodiversity loss and controversial weapons. The Benchmark Index also excludes: (1) issuers with a 'red' MSCI ESG controversy flag which includes issuers determined to be in violation of international and/or national standards (taking into account indicators concerning violations of United Nations Global Compact principles and OECD Guidelines for Multinational Enterprises), and (2) issuers determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).																																											
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>																																											
	The Fund's Benchmark Index excludes issuers with a 'red' ESG controversy flag which excludes issuers which have been determined by the index provider to be in violation of the UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational Enterprises. The Benchmark Index applies the above exclusionary criteria at each index rebalance.																																											
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>																																											
	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes																																											
	☐ No Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as 'X' in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance. The Fund's annual report will include information on the principal adverse impacts on sustainability factors set out below. <table><tr><th rowspan="2"></th><th rowspan="2">PAI Description</th><th colspan="5">Benchmark Index Selection Criteria</th></tr><tr><th>Minimum % reduction of GHG emissions and carbon intensity</th><th>Exclusion of issuers based on certain environmental screens (listed above)</th><th>Exclusion of Issuers based on an ESG controversy Score</th><th>Exclusion of issuers determined to have any tie to controversial weapons</th><th>Minimum weighted green to fossil-fuel based ratio</th></tr><tr><td rowspan="5">Greenhouse Gas (GHG) emissions</td><td>1.(a) GHG emissions (Scope 1/2)</td><td>X</td><td></td><td></td><td></td><td></td></tr><tr><td>1.(b) GHG emissions (Scope 3)</td><td>X</td><td></td><td></td><td></td><td></td></tr><tr><td>2. Carbon footprint</td><td>X</td><td></td><td></td><td></td><td></td></tr><tr><td>3. GHG intensity</td><td>X</td><td></td><td></td><td></td><td></td></tr><tr><td>4. % in Fossil Fuels</td><td></td><td>X</td><td></td><td></td><td></td></tr></table>		PAI Description	Benchmark Index Selection Criteria					Minimum % reduction of GHG emissions and carbon intensity	Exclusion of issuers based on certain environmental screens (listed above)	Exclusion of Issuers based on an ESG controversy Score	Exclusion of issuers determined to have any tie to controversial weapons	Minimum weighted green to fossil-fuel based ratio	Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X					1.(b) GHG emissions (Scope 3)	X					2. Carbon footprint	X					3. GHG intensity	X					4. % in Fossil Fuels		X			
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	3. GHG intensity	X																																										
	4. % in Fossil Fuels		X																																									

 The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance			5. Non-Renewable / Renewable %					X
			6. High impact sector energy consumption					
	Biodiversity		7. Negative impact to Biodiversity sensitive areas			X		
	Water		8. Emissions to Water			X		
	Waste		9. Hazardous Waste			X		
	Social and employee matters		10. UNGC + OECD Violations			X		
			11. UNGC + OECD Process, Monitoring					
			12. Unadjusted gender pay gap					
			13. Board gender diversity					
			14. Controversial weapons				X	
	What investment strategy does this financial product follow?							
	The investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?). By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager's view) to liquidate the position. The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index. <u>Governance Processes</u> The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.							
	● What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?							
	The binding elements of the investment strategy are that the Fund will invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index.							

	As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the Parent Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the Parent Index. For example, if issuers in the Parent Index engage in fewer activities that are excluded from the Parent Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i>
	Good governance checks are incorporated within the methodology of the Benchmark Index. The index provider excludes issuers from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) and excludes issuers that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product? above). Issuers that cannot be assessed by the index provider for an ESG controversy score where data is not available are also excluded from the Benchmark Index.
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the	The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark Index. As such, at each index rebalance, the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 20% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria

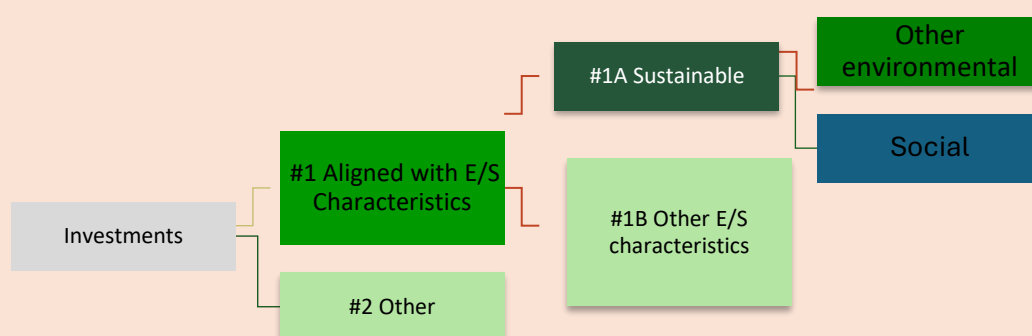
green investments made by investee companies, e.g. for a transition to a green economy.

– **operational expenditure** (OpEx) reflecting green operational activities of investee companies.

of the Benchmark Index) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index. Where any investment ceases to qualify as a sustainable investment between index rebalances, the Fund's holdings in sustainable investments may fall below the minimum proportion of sustainable investments.

The Fund may invest up to 20% of its total assets in other investments ('#2 Other').



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy³?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

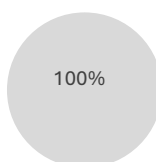
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

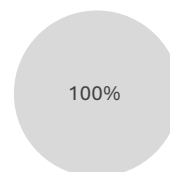
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 20% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is

³ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

activities under the EU Taxonomy.	determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What is the minimum share of socially sustainable investments?
	A minimum of 20% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the Bloomberg MSCI US Corporate Climate Paris Aligned ESG Select Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? At each index rebalance, the index provider applies the ESG selection criteria to the Parent Index to exclude issuers that do not meet such ESG selection criteria. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	● How does the designated index differ from a relevant broad market index? The Benchmark Index has been labelled by the index provider as an EU Paris-aligned benchmark (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation. The Benchmark Index selects, weights and, where applicable, excludes issuers from the Parent Index to align with the climate commitments laid down in the Paris Agreement. The ESG selection criteria that is applied by the index provider is set out above (see What environmental and/or social characteristics are promoted by this financial product?).

	● Where can the methodology used for the calculation of the designated index be found?
	The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

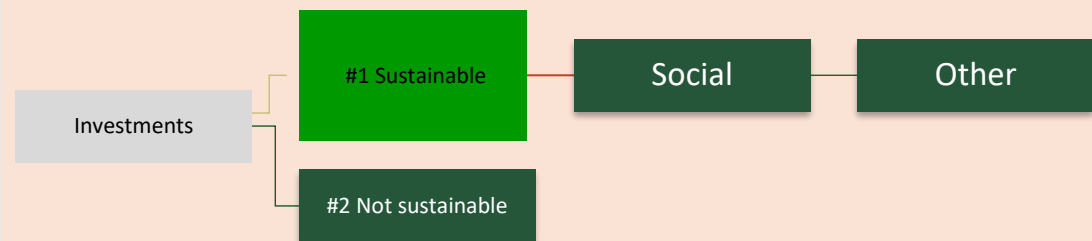
Pre-contractual disclosure for the financial products referred to in Article 9, paragraphs 1 to 4a, of Regulation (EU) 2019/2088 and Article 5, first paragraph, of Regulation (EU) 2020/852

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices. The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Product name: iShares \$ Development Bank Bonds UCITS ETF	
	Legal entity identifier: 549300SUESHY160OHW65	
	Sustainable investment objective	
	Does this financial product have a sustainable investment objective?	
	☒ ☒ ✓ Yes	☒ ☐ □ No
☐ It will make a minimum of sustainable investments with an environmental objective: ___%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ___% of sustainable investments	
☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy	
☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	
☒ It will make a minimum of sustainable investments with a social objective: 90%	☐ with a social objective	
	☐ It promotes E/S characteristics, but will not make any sustainable investments	
What is the sustainable investment objective of this financial product?		
The sustainable investment objective of this Fund is to invest in a portfolio of fixed income securities that, as far as possible and practicable, consists of the component securities of the FTSE World Broad Investment-Grade USD Multilateral Development Bank Bond Capped Index, this Fund's Benchmark Index. The Fund seeks to achieve its sustainable investment objective by tracking the Benchmark Index which comprises multilateral development bank bonds which must be issued by a multilateral development bank with a mission statement that states the intent to promote sustainable economic development in developing countries by financially supporting their sustainable development goals or by providing non-financial support for infrastructure development such as policy advice or technical assistance. The Benchmark Index measures the performance of a sub-set of global US Dollar denominated, fixed-rate, investment grade multilateral development bank debt in the FTSE World Broad Investment-Grade Bond Index. Multilateral development banks are supranational institutions set up by sovereign states. The multilateral development banks'		

	generally aim to foster economic and social progress mostly in developing countries by making finance available for sustainable projects. In accordance with the Benchmark Index methodology, securities are eligible for inclusion only if they are issued by a multilateral development bank the shareholders of which are (but are not limited to) all of the G7 country members, and which has a mission statement that states the intent to promote sustainable economic development in developing countries by financially supporting their sustainable development goals or by providing non-financial support for infrastructure development such as policy advice or technical assistance. The Benchmark Index excludes issuers which are classified as violating commonly accepted international norms and standards enshrined in the United Nations Global Compact (UNGC) Principles. The Benchmark Index also excludes issuers that have not disclosed that they have safeguarding policies in place to mitigate and reduce environmental and social risks in the public domain arising from the projects they finance. For more information on where details of the methodology of the Benchmark Index can be found see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the sustainable objectives of this financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of the sustainable investment objective of this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exposure to bonds where the issuer is a multilateral development bank which has a mission statement that states its intent to promote sustainable economic development in developing countries by financially supporting their sustainable development goals or by providing non-financial support for infrastructure development such as policy advice or technical assistance (see What is the sustainable investment objective of this financial product?) 2. The exclusion of issuers classified as violating UNGC principles by the Benchmark Index as described above (see What is the sustainable investment objective of this financial product?). 3. The exclusion of issuers who do not disclose the safeguard policies they have in place to mitigate and reduce environmental and social risks in the public domain. (see What is the sustainable investment objective of this financial product?). 4. The consideration of the principal adverse impacts on sustainability factors as described below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. The list of multilateral development banks eligible for inclusion in the Benchmark Index is reviewed annually. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index.

	● How do sustainable investments not cause significant harm to any environmental or social sustainable investment objective?
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti- bribery matters.	The Benchmark Index selects multilateral development banks bonds based on their issuer whose aim is to foster economic and social progress mostly in developing countries by making finance available for sustainable projects. In addition, the Fund's Benchmark Index incorporates screens to ensure that each issuer disclose they have safeguard policies in place to mitigate and reduce environmental and social risks in the public domain. By tracking the Benchmark Index which incorporates the criteria for selecting multilateral development banks bonds, the Investment Manager has determined that, at each index rebalance (or as soon as reasonably possible and practicable thereafter), the Fund's investments in bonds issued by multilateral development banks that meet the index criteria will not cause significant harm to any environmental or social sustainable objective within the meaning of applicable law and regulation. Where any of the Fund's investments cease to meet the above selection criteria, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	— — — How have the indicators for adverse impacts on sustainability factors been taken into account?
	The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the assessment of the Fund's investments qualifying as sustainable investments (as described below). The indicators for adverse impacts on sustainability factors are taken into account at each index rebalance and are assessed at the issuer level by the index provider based on an assessment of the safeguard policies that the multilateral development banks disclose that they have in place to mitigate and reduce environmental and social risks in the public domain.
	— — — How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights?
	The Fund's Benchmark Index excludes issuers which have been determined by the index provider to be in violation of the UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational Enterprises.
	Does this financial product consider principal adverse impacts on sustainability factors?
	✓ Yes
	□ No Yes, the Fund takes into consideration principal adverse impacts on sustainability factors as outlined in the question above (see How have the indicators for adverse impacts on sustainability factors been taken into account?).

	The Fund's annual report will include information on the principal adverse impacts on sustainability factors.
	What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What is the sustainable investment objective of this financial product?). By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to invest in multilateral development bank bonds (as determined by the index provider) and comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest in securities in the Benchmark Index or in securities that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities until the next index rebalance of the Benchmark Index and when it is possible and practicable (in the Investment Manager's view) to liquidate the position. The strategy is implemented at each portfolio rebalance of the Fund (or as soon as reasonably possible and practicable thereafter), which follows the index rebalance of its Benchmark Index. <u>Governance Processes</u> The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies. ● <i>What are the binding elements of the investment strategy used to select the investments to attain the sustainable investment objective?</i> The binding elements of the investment strategy are that the Fund will invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.

Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies? The methodology of the Benchmark index limits the fund's investments to Supranational issuers and therefore are not subject to good governance requirements.
	What is the asset allocation and the minimum share of sustainable investments? The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index.
Asset allocation describes the share of investments in specific assets.	It is expected that at least 90% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark Index. As such, at each index rebalance (or as soon as reasonably possible and practicable thereafter), the Investment Manager has determined that at least 90% of the Fund's assets will be invested in investments which qualify as sustainable investments. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index (including where any investments cease to qualify as sustainable investments) the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria of the Benchmark Index) and it is possible and practicable (in the Investment Manager's view) to liquidate the position. As a result, the Fund may hold less than 90% of its assets in investments qualifying as sustainable in between index rebalances. The Fund may invest up to 10% of its assets in other investments ("#2 Not Sustainable).
Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	 <pre> graph LR Investments[Investments] --> S1[#1 Sustainable] Investments --> S2[#2 Not sustainable] S1 --> Social[Social] S1 --> Other[Other] </pre> ● How does the use of derivatives attain the sustainable investment objective? The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the sustainable investment objective. Where the Fund uses derivatives to attain the sustainable investment objective, any ESG rating or analyses referenced above will apply to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.



Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁴?

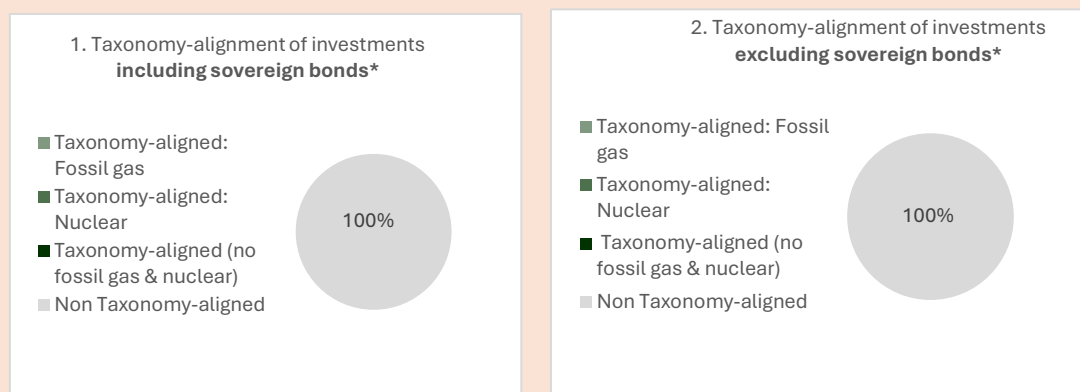
☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show in green the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy alignment only in relation to the investments of the financial product other than sovereign bonds.



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures.

What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

This Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective whether or not aligned with the EU Taxonomy.

⁴ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

are environmentally sustainable investments that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy. 	 What is the minimum share of sustainable investments with a social objective? A minimum of 90% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with a social objective. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Not sustainable”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund.
	Is a specific index designated as a reference benchmark to meet the sustainable investment objective? Yes, this Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the FTSE World Broad Investment-Grade USD Multilateral Development Bank Bond Capped Index, its Benchmark Index, which seeks to select bonds issued by multilateral development banks and which incorporates the index provider's ESG selection criteria.
Reference benchmarks are indexes to measure whether the financial product attains the sustainable investment objective.	 How does the reference benchmark take into account sustainability factors in a way that is continuously aligned with the sustainable investment objective? At each index rebalance, the index provider applies the ESG selection criteria to the FTSE World Broad Investment-Grade Bond Index to exclude issuers that do not meet such ESG selection criteria. The list of multilateral development banks eligible for inclusion in the Benchmark Index is reviewed annually by the index provider.
	 How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is rebalanced in line with its Benchmark Index.
	 How does the designated index differ from a relevant broad market index? As a result of the application of the ESG selection criteria of the Benchmark Index, the portfolio of the Fund is expected to be reduced compared to the Bloomberg Euro Aggregate Bond Index, a broad market index comprised of fixed income securities.

	● Where can the methodology used for the calculation of the designated index be found?
	The methodology of the Fund's Benchmark Index can be found by copying and pasting the following link into your web browser: https://research.ftserussell.com/products/downloads/FTSE_World_Broad_Investment-Grade_USD_Multilateral_Development_Bank_Bond_Capped_Index_CFIUMDB_Ground_Rules.pdf Further details of the Fund's Benchmark Index (including its constituents) are also available on the index provider's website at: http://www.yieldbook.com/m/indices/search.shtml.
	Where can I find more product specific information online?
	For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares \$ EM Bond Active UCITS ETF	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Legal entity identifier: 529900ELF6RKNM897Q13	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
	☒ ☐ Yes ☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ ☐ No ☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
☐ It will make a minimum of sustainable investments with a social objective: ____%	☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments	
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund promotes environmental and social characteristics related to (i) the support for the transition to a lower carbon economy, (ii) climate change mitigation, and (iii) financing positive social objectives by seeking to enhance, by at least 5% as compared to the JP Morgan EMBI Global Diversified Index (the "Index"), exposure to investments that are deemed to have associated positive externalities. Investments with positive externalities may include investments in: (i) a "green bond" (which complies with the International Capital Markets Association's four Green Bond Principles); (ii) a "social bond" (which complies with the International Capital Markets Association's Social Bond Principles); or (ii) a "sustainability bond" (which complies with the International Capital Markets Association's Sustainability Bond Guidelines).	
	The Fund promotes environmental and social characteristics related to a country's environmental and socioeconomic issues such as carbon performance, climate policy, equality and public health by excluding sovereign bonds with a low BlackRock Sovereign Sustainability Indicator (less than or equal to 2.0) which ranks sovereign debt issuers based on a country's overall sustainability measures.	
	The Fund promotes environmental characteristics related to the reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and	

	tar sands extraction, as well as thermal coal-based power generation, through application of the BlackRock EMEA Baseline Screens. The Fund promotes social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons and nuclear weapons, and production and distribution of civilian firearms, (b) better health and wellbeing by excluding direct investment in issuers involved in production and distribution of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of the BlackRock EMEA Baseline Screens. The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. The Fund also seeks to address key social issues deemed to be relevant to sovereign bond issuers by excluding sovereign bonds of countries that are subject to official arms and/or trade embargo restrictions imposed by the United Nations Security Council (UNSC) and which are legally binding on all UN member states. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes. However, the Index is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund are: • The Fund's exposure to investments deemed by the Investment Manager to have associated positive externalities (expected to be at least 5% higher than that of the Index). • The percentage of the Fund (expected to be 0%) directly invested in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens and exclusionary screens, as described above. • The Fund's exposure to sovereign issuers with BSSI scores less than or equal to 2.0 (expected to be 0%). • The Fund's exposure to sovereign issuers of UN Sanctioned Countries (Arms and Trade Embargo) (expected to be 0%).
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	This Fund does not commit to investing in sustainable investments.
Principal adverse impacts are the most significant negative impacts of investment decisions on	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>

sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti- bribery matters.	Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — How have the indicators for adverse impacts on sustainability factors been taken into account? Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details: Not applicable as the Fund does not commit to investing in sustainable investments.
	The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria. The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities. Any other sustainable investments must also not significantly harm any environmental or social objectives.
	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes,
	☐ No The Fund considers PAIs on sustainability factors through the application of the BlackRock EMEA Baseline Screens and its exclusionary policy. The Fund takes into account the following PAIs: • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) The Fund will provide information on the PAIs in its annual report.



What investment strategy does this financial product follow?

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in fixed income transferable securities issued by and/or guaranteed by the governments and/or government agencies of emerging market countries (including emerging market government bonds, municipal bonds, sovereign, quasi-sovereign, supranational and local authority debt and instruments relating to such bonds) and in corporate bonds issued by companies domiciled or exercising the predominant part of their economic activity in emerging markets, in each case, such fixed income securities being denominated predominantly in US Dollars.

The fixed income securities and instruments in which the Fund invests may be investment grade (or deemed by the Investment Manager to be of an equivalent rating), below investment grade or unrated and may be fixed or floating rate. However, given the Fund's emerging market geographic focus, it is likely that the Fund will invest in excess of 30% of its Net Asset Value in below investment grade securities. The Fund does not have any specific industry or sector focus.

The Investment Manager selects securities for investment based upon a research-driven investment process that considers fundamental, valuation, and technical factors (e.g. market flows, positioning, liquidity, risk sentiment and supply) as part of the portfolio construction process which includes conducting qualitative country and macro analysis and utilising a wide range of quantitative (i.e. mathematical or statistical) tools to formulate investment convictions. The selection of securities may be based on the Investment Manager's view on a favourable/positive outlook on the relevant issuer, potential for ratings upgrade and the expected changes in the value of such Investments due to ratings changes.

The Fund's exposure to Distressed Securities is limited to 15% of its total assets.

The Fund's assets will also be invested in accordance with the ESG Policy.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy used to select the investments to attain each of the environmental and social characteristics promoted by the Fund are as follows:

- Positive: enhancing, by at least 5% as compared to the Index, exposure to investments that are deemed by the Investment Manager to have associated positive externalities.
- Application to issuers of the BlackRock EMEA Baseline Screens (see Appendix III of this Supplement): The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds as outlined below):
 - (i) Issuers which are engaged in, or are otherwise exposed to the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).

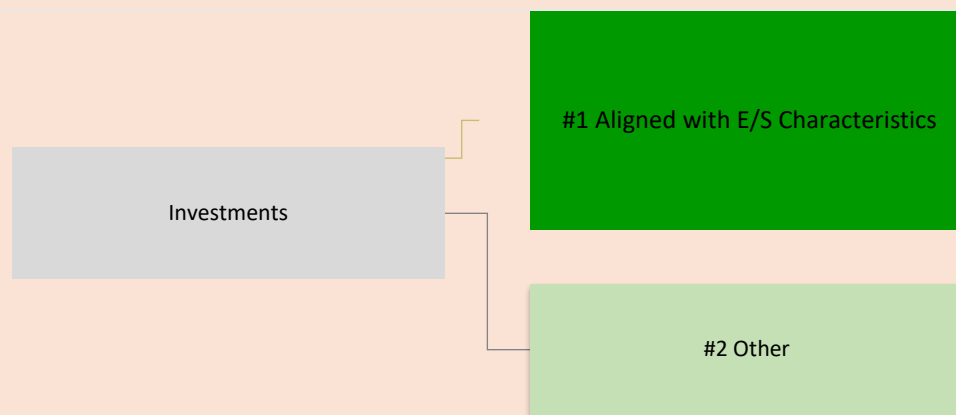
	(ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation, with the exception of “green bonds”, that are considered to comply with the International Capital Markets Association’s Green Bond Principles, from such issuers. (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands). (iv) Issuers deriving any revenue from direct involvement in the production of nuclear weapons or nuclear weapon components or delivery platforms, or the provision of auxiliary services related to nuclear weapons. (v) Issuers which produce tobacco products. (vi) Issuers which derive more than 5% of their revenue from the production, distribution, retail and supply of tobacco-related products. (vii) Issuers which produce firearms and/or small arms ammunition intended for retail to civilians. (viii) Issuers which derive more than 5% of their revenue from the distribution (wholesale or retail) of firearms and/or small arms ammunition intended for civilian use. (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). • The exclusion of sovereign issuers that have a BSSI score less than or equal to 2.0. • The exclusion of sovereign issuers of UN Sanctioned Countries (Arms and Trade Embargo).
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> The Investment Manager assesses good governance practices of the investee companies by combining proprietary insights by the Investment Manager with data from external ESG research providers. The Investment Manager uses data from external ESG research providers to initially identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance. Where issuers are identified as potentially having issues with regards to good governance, the issuers are reviewed to ensure that, where the Investment Manager agrees with this external assessment, the Investment Manager is satisfied that the issuer has either taken remediation actions or will take remedial actions within a reasonable time frame. The Investment Manager may also decide to reduce exposure to such issuers.



What is the asset allocation planned for this financial product?

A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics).

The Fund may invest up to 20% of its total assets in other investments (#2 Other)



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.

To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For nuclear energy, the criteria include comprehensive safety and waste management rules. Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.	To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy. ● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁵? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ☒ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy. <i>The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.</i> 1. Taxonomy-alignment of investments including sovereign bonds* 2. Taxonomy-alignment of investments excluding sovereign bonds* <i>* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures</i>
	● What is the minimum share of investments in transitional and enabling activities?
	The Fund does not commit to making investments in transitional and enabling activities.

⁵ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?
	The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective that are not aligned with the EU Taxonomy.
	 What is the minimum share of socially sustainable investments?
	The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with a social objective.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund’s (non ESG) investment objective, for the purposes of liquidity management and/or hedging. These other holdings are not considered against minimum environmental or social safeguards.
	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?
Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	No.
	● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? Not applicable.
	● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? Not applicable.
	● How does the designated index differ from a relevant broad market index? Not applicable.
	● Where can the methodology used for the calculation of the designated index be found? Not applicable.
	Where can I find more product specific information online? Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.blackrock.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices. The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Product name: iShares \$ High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	
	Legal entity identifier: 5299006LYO4OV6B0PK66	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
	☒ ☒ Yes	☒ ☐ No
☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 5% of sustainable investments	
☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy	
☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	
☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments	
	What environmental and/or social characteristics are promoted by this financial product?	
The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the Bloomberg MSCI US Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB), its Benchmark Index: 1. exclusion of issuers deemed to be involved in certain activities considered to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to have violated United Nations Global Compact principles; 3. exclusion of issuers deemed to be involved in very severe ESG related controversies based on a "red" MSCI ESG controversy flag; 4. exclusion of issuers deemed to be involved in severe or very severe controversies relating to environmental issues; 5. exposure to issuers which have been selected and weighted to align with the climate commitments laid down in the Paris Agreement; and		

6. exposure to investments qualifying as sustainable investments.

These environmental and social characteristics are incorporated through the selection of constituents in the Fund's Benchmark Index at each index rebalance (as described below). The Benchmark Index has been labelled by the index provider as an EU Paris-aligned Benchmark ("PAB") (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation in respect of the criteria for the selection, weighting and, where applicable, exclusion of the underlying assets, to align with the climate commitments laid down in the Paris Agreement.

The Benchmark Index excludes issuers from the Bloomberg US Corporate High Yield 3% Issuer Capped Index (the 'Parent Index') based on their involvement in certain activities deemed to have negative environmental or social outcomes. Issuers are excluded from the Benchmark Index based on their involvement in the following business lines/activities (or related activities):

- controversial weapons
- tobacco
- thermal coal
- fossil fuel power generation
- nuclear weapons
- civilian firearms
- oil and gas (including unconventional oil and gas)
- conventional weapons
- weapons systems, components, support systems and services

The index provider defines what constitutes 'involvement' in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

The Benchmark Index also excludes issuers which are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environmental).

The Benchmark Index also excludes issuers with a 'red' MSCI ESG controversy flag (based on an MSCI ESG controversy score of 0). An MSCI ESG controversy score measures an issuer's involvement (or alleged involvement) in serious controversies based on an assessment of an issuer's operations, products and/or services which are deemed to have a negative ESG impact. An MSCI ESG controversy score may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. An MSCI ESG controversy score may also consider involvement in adverse impact activities in relation to social issues such as human rights, labour management relations, discrimination and workforce diversity. Companies with a 'red' or 'orange' MSCI environment controversy flag (based on an MSCI environment controversy score of 1 or below) are also excluded from the Benchmark Index.

To be included in the Benchmark Index, issuers must have an MSCI ESG rating and the rating must be B or higher. An MSCI ESG rating is designed to measure an issuer's resilience to long-term industry material ESG risks and how well it manages ESG risks and opportunities relative to industry peers. The index provider may consider the following environmental themes when determining an issuer's ESG score as part of the ESG rating methodology: climate change mitigation based on greenhouse gas emissions, waste and other emissions, land use and biodiversity. The index provider may also consider the following social

	themes when determining an issuer's ESG score as part of the ESG rating methodology: access to basic services, community relations, data privacy and security, human capital, health and safety, and product governance. The MSCI ESG rating methodology recognises that certain environmental and social issues are more material based on the type of activity that the issuer is involved in by weighting the issues differently in the scoring methodology. Those issuers with higher MSCI ESG scores are determined by the index provider to be those issuers that may be better positioned to manage future ESG-related challenges and risks compared to their industry peers. Following the application of the above exclusionary criteria, the constituents of the Benchmark Index are selected and weighted using the index provider's optimisation process at each index rebalance which seeks to: • reduce the weighted average absolute GHG emissions (Scope 1+2+3) by 50% compared to the Parent Index; • reduce the weighted average GHG emissions (Scope 1+2+3) by 7% on an annual basis; • reduce the weighted average carbon intensity by 50% compared to the Parent Index; • reduce the weighted average carbon intensity by 7% on an annual basis; • increase the weighted average green revenue relative to the Parent Index; • achieve a minimum green to fossil-fuel based ratio relative to the Parent Index; and • increase the weighted average ESG score relative to the Parent Index. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of companies classified as violating United Nations Global Compact principles by the Benchmark Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 3. The exclusion of issuers with an MSCI ESG rating below the minimum threshold (see What environmental and/or social characteristics are promoted by this financial product?). 4. The exclusion of issuers identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product?). 5. The exclusion of issuers identified as being involved in controversies relating to environmental issues as described above (see What environmental and/or social characteristics are promoted by this financial product?).

	6. The weighted average absolute GHG emissions relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 7. The decarbonisation rate of GHG emissions per year as described above (see What environmental and/or social characteristics are promoted by this financial product?). 8. The weighted average carbon intensity relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 9. The decarbonisation rate of carbon intensity per year as described above (see What environmental and/or social characteristics are promoted by this financial product?). 10. The weighted average green revenue relative to the Parent Index (see What environmental and/or social characteristics are promoted by this financial product?). 11. The weighted average ratio of overall green revenue to fossil fuels-based revenue as described above (see What environmental and/or social characteristics are promoted by this financial product?). 12. The weighted average ESG score relative to the Parent Index (see What environmental and/or social characteristics are promoted by this financial product?). 13. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 14. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance . At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index. Where a constituent is removed from the Benchmark Index in between index rebalances, the Fund's portfolio will be re-aligned thereafter as soon as possible and practicable (in the Investment Manager's view) to align with the Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund's investments qualifying as sustainable investments will be in: 1) fixed income securities which have been classified as "green bonds"; 2) issuers involved in activities deemed to contribute to positive environmental and/or social impacts; or 3) issuers which have committed to one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The index provider may allocate a proportion of the Benchmark Index to securities classified as green bonds under the index methodology. The Benchmark Index defines green bonds

	as fixed income securities the proceeds of which are exclusively and formally applied to projects or activities that promote climate or other environmental sustainability purposes. In accordance with the Benchmark Index methodology, securities (whether or not labelled as green by the issuer) are independently evaluated under the following four criteria to determine whether they should be classified as green bonds: (i) stated use of proceeds; (ii) process for green project evaluation and selection; (iii) process for management of proceeds; and (iv) commitment to ongoing reporting of the environmental performance of the use of proceeds. To be considered a green bond for the purpose of the index methodology, all four criteria must be met for bonds issued after the publication of the Green Bond Principles (an agreement among market participants on a set of standards for the green credentials of labelled issuance), although bonds issued prior to that date that do not satisfy all four criteria may still qualify for inclusion in the Benchmark Index. The index provider will also allocate a proportion of the Benchmark Index to issuers that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The Benchmark Index uses the MSCI ESG Sustainable Impact Metrics which aim to measure revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related frameworks. The MSCI ESG Sustainable Impact Metrics consider positive environmental impacts in relation to themes such as climate change and natural capital and seek to identify those issuers that will derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution prevention and control and sustainable agriculture. The MSCI ESG Sustainable Impact Metrics also consider positive societal impacts in relation to themes such as basic needs and empowerment and seek to identify those issuers that will derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, small and medium enterprises (SMEs), education and connectivity. The environmental and social themes together with the revenue alignment thresholds are determined by the index provider and are applied at each index rebalance of the Benchmark Index. The Benchmark Index also seeks to identify constituents with a commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for issuers and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund will contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> At each index rebalance, all investments qualifying as sustainable investments are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, issuers are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where an issuer has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment.

		For bonds qualifying as green bonds, the assessment is carried out by the index provider at an issuance level based on the use of the proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, certain minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to avoid exposure to bonds associated with activities deemed to have highly negative environmental and societal impacts.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>	The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable investments. As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) issuers deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions), (2) issuers with an 'orange' MSCI ESG controversy score of 1 or below that have been deemed to be involved in severe or very severe ESG related controversies (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) issuers with an MSCI ESG rating of B or below, which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). In respect of green bonds, the indicators for adverse impacts on sustainability factors are taken into account at each index rebalance and are assessed by the index provider at the issuance level based on an assessment of the use of proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to ensure the proceeds of which are not applied to activities with highly negative environmental and social outcomes. This includes through the minimum safeguards and eligibility exclusions of bonds with the use of proceeds linked to thermal coal extraction and power generation, significant biodiversity loss and controversial weapons. The Benchmark Index also excludes: (1) issuers with a 'red' MSCI ESG controversy flag which includes issuers determined to be in violation of international and/or national standards (taking into account indicators concerning violations of United Nations Global Compact principles and OECD Guidelines for Multinational Enterprises), and (2) issuers determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>	
		The Fund's Benchmark Index excludes issuers with a 'red' ESG controversy flag which excludes issuers which have been determined by the index provider to be in violation of the UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational Enterprises.

The Benchmark Index applies the above exclusionary criteria at each index rebalance.

The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.

The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

Any other sustainable investments must also not significantly harm any environmental or social objectives.

Does this financial product consider principal adverse impacts on sustainability factors?

☒ Yes

☐ No

Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as 'X' in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance.

The Fund's annual report will include information on the principal adverse impacts on sustainability factors set out below.

	PAI Description	Benchmark Index Selection Criteria				
		Minimum % reduction of GHG emissions and carbon intensity	Exclusion of issuers based on certain environmental screens (listed above)	Exclusion of issuers based on an ESG controversy Score	Exclusion of issuers determined to have any tie to controversial weapons	Minimum weighted green to fossil-fuel based ratio
Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X				
	1.(b) GHG emissions (Scope 3)	X				
	2. Carbon footprint	X				
	3. GHG intensity	X				
	4. % in Fossil Fuels		X			
	5. Non-Renewable / Renewable %					X
Biodiversity	6. High impact sector energy consumption					
	7. Negative impact to Biodiversity sensitive areas			X		
Water	8. Emissions to Water			X		
Waste	9. Hazardous Waste			X		
Social and employee matters	10. UNGC + OECD Violations			X		
	11. UNGC + OECD Process, Monitoring					
	12. Unadjusted gender pay gap					
	13. Board gender diversity					
	14. Controversial weapons				X	

What investment strategy does this financial product follow?

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?).

By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index.

Governance Processes

The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are that the Fund will invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index.

As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase.

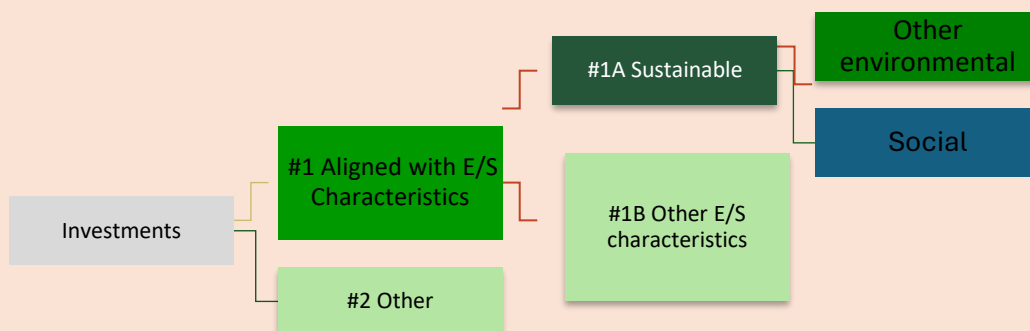
In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.

● ***What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?***

There is no committed minimum rate to reduce the scope of the Fund's investments.

	The Fund's Benchmark Index seeks to reduce the number of constituents from the Parent Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the Parent Index. For example, if issuers in the Parent Index engage in fewer activities that are excluded from the Parent Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies? There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the Parent Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the Parent Index. For example, if issuers in the Parent Index engage in fewer activities that are excluded from the Parent Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	The Fund seeks to invest in a portfolio of securities that as far as possible and practicable Consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark Index. As such, at each index rebalance, the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 5% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria of the Benchmark Index) and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index. Where any investment ceases to qualify as a sustainable investment between index rebalances, the Fund's holdings in sustainable investments may fall below the minimum proportion of sustainable investments.

The Fund may invest up to 20% of its total assets in other investments ('#2 Other').



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

● ***How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?***

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁶?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned

100%

2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned

100%

* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 5% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or asocial objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is

⁶ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

activities under the EU Taxonomy.	determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What is the minimum share of socially sustainable investments?
	A minimum of 5% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the Bloomberg MSCI US Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB), its Benchmark Index, which incorporates the index provider's ESG selection criteria. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? At each index rebalance, the index provider applies the ESG selection criteria to the Parent Index to exclude issuers that do not meet such ESG selection criteria. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	● How does the designated index differ from a relevant broad market index?
	The Benchmark Index has been labelled by the index provider as an EU Paris-aligned benchmark (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation. The Benchmark Index selects, weights and, where applicable, excludes issuers from the Parent Index to align with the climate commitments laid down in the Paris Agreement. The ESG selection criteria that is applied by the index provider is set out above (see What environmental and/or social characteristics are promoted by this financial product?).

	● Where can the methodology used for the calculation of the designated index be found?
	The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares € Aggregate Bond ESG SRI UCITS ETF	
	Legal entity identifier: 549300P1HZCP313RA515	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	☒ ☒ Yes	☒ ☐ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 10% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the Bloomberg MSCI Euro Aggregate and Green Bond ESG SRI Index, its Benchmark Index: 1. exclusion of issuers deemed to be involved in certain activities considered to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to be involved in very severe ESG related controversies; 3. exclusion of sovereign issuers subject to United Nation Security Council ("UNSC") Trade Sanctions 4. exclusion of issuers considered to be lagging industry peers in their high exposure and failure to manage significant ESG risks (based on an ESG rating); and 5. exposure to investments qualifying as sustainable investments. These environmental and social characteristics are incorporated through the selection of constituents in the Fund's Benchmark Index (as described below). The Benchmark Index excludes issuers based on their involvement in certain activities deemed to have negative environmental or social outcomes. Issuers are excluded from the Benchmark Index based on their involvement in the following business lines/activities (or related activities): • alcohol • tobacco • gambling	

- adult entertainment
- genetically modified organisms
- nuclear weapons
- civilian firearms
- conventional weapons
- controversial weapons
- nuclear power
- thermal coal
- generation of power from thermal coal
- unconventional oil & gas
- fossil fuels (exposure and exploration) and reserves

The index provider defines what constitutes “involvement” in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

Issuers belonging to sectors with an MSCI ESG rating and not classified as green bonds for the purposes of the index methodology will only be included in the Benchmark Index if their issuers have an MSCI ESG rating and the rating is BBB or higher. An MSCI ESG rating is designed to measure an issuer’s resilience to long-term industry material ESG risks and how well it manages ESG risks and opportunities relative to industry peers. The index provider may consider the following environmental themes when determining an issuer’s ESG score as part of the ESG rating methodology: climate change mitigation based on greenhouse gas emissions, waste and other emissions, land use and biodiversity. The index provider may also consider the following social themes when determining an issuer’s ESG score as part of the ESG rating methodology: access to basic services, community relations, data privacy and security, human capital, health and safety and product governance. The MSCI ESG rating methodology recognises that certain environmental and social issues are more material based on the type of activity that the issuer is involved in by weighting the issues differently in the scoring methodology. The scoring methodology for the Environmental and Social Pillars is dynamically based on the weighted average of activities underlying each of these two pillars, the Governance pillar weight is a standalone calculation and is floored at 33%. Those issuers with higher MSCI ESG scores are determined by the index provider to be those issuers that may be better positioned to manage future ESG-related challenges and risks compared to their industry peers.

The Benchmark Index also excludes issuers with a ‘red’ MSCI ESG controversy score (based on an MSCI ESG controversy score of 0). An MSCI ESG controversy score measures an issuer’s involvement (or alleged involvement) in serious controversies based on an assessment of an issuer’s operations and/or products which are deemed to have a negative ESG impact. An MSCI ESG controversy score may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. An MSCI ESG controversy score may also consider involvement in adverse impact activities in relation to social issues such as human rights, labour management relations, discrimination and workforce diversity.

In addition the Benchmark index excludes issuers classified as being in violation of the United Nations Global Compact (UNGC) Principles and sovereign issuers subject to United Nations Security Council (UNSC) trade sanctions.

For more information on where details of the methodology of the Benchmark Index can be found see Where can the methodology used for the calculation of the designated index be found? below.

Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of issuers identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product?). 3. The exclusion of sovereign issuers subject to UNSC Trade Sanctions (see What environmental and/or social characteristics are promoted by this financial product?). 4. The exclusion of issuers with a weighted-average industry-adjusted MSCI ESG rating below the minimum threshold as described above (see What environmental and/or social characteristics are promoted by this financial product?). 5. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 6. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). 7. The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund's investments qualifying as sustainable may be in: (1) fixed income securities which have been classified as "green bonds"; (2) issuers involved in activities deemed to contribute to positive environmental and/or social impacts; or (3) issuers which have committed to one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The Fund's Benchmark Index allocates a proportion of its total market value to securities classified as green bonds under the index methodology. The Benchmark Index defines green bonds as fixed income securities the proceeds of which are exclusively and formally applied to projects or activities that promote climate or other environmental sustainability purposes. In accordance with the Benchmark Index methodology, securities (whether or not labelled as green by the issuer) are independently evaluated by MSCI ESG Research under the following four criteria to determine whether they should be classified as green bonds: (i) stated use of

	proceeds; (ii) process for green project evaluation and selection; (iii) process for management of proceeds; and (iv) commitment to ongoing reporting of the environmental performance of the use of proceeds. To be considered a green bond for the purpose of the index methodology, all four criteria must be met for bonds issued after the publication of the Green Bond Principles (an agreement among market participants on a set of standards for the green credentials of labelled issuance), although bonds issued prior to that date that do not satisfy all four criteria may still qualify for inclusion in the Benchmark Index. The Fund's investments will also be assessed against their revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related frameworks. The positive environmental impacts considered as part of this assessment may relate to themes such as climate change and natural capital and identify issuers that may derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution prevention and control and sustainable agriculture. The positive societal impacts considered as part of this assessment may relate to themes such as basic needs and empowerment and identify issuers that may derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, small and medium enterprises (SMEs) finance, education and connectivity. Issuers will also be assessed on their commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for companies and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund may contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable is determined at each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index (or as soon as reasonably possible and practicable thereafter).
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> At each index rebalance, all investments qualifying as sustainable are assessed against certain minimum environmental and social indicators. As part of the assessment, issuers are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where an issuer has been identified as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. For bonds qualifying as green bonds, the assessment is carried out by the index provider at an issuance level based on the use of the proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, certain minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to avoid exposure to bonds associated with activities deemed to have highly negative environmental and societal impacts.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>

	The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the assessment of the Fund's investments qualifying as sustainable. Following this assessment, the following investments in issuers shall not qualify as sustainable investments: (1) issuers deemed to be deriving at least 1% of their revenue from thermal coal which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions) (2) issuers that have been deemed to be involved in severe ESG related controversies (taking into account indicators relating to greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) issuers which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (taking into account indicators relating to greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). In respect of green bonds, the indicators for adverse impacts on sustainability factors are taken into account at each index rebalance and are assessed at the issuance level by the index provider based on an assessment of the use of proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to ensure the proceeds of which are not applied to activities with highly negative environmental and social outcomes. This includes through the minimum safeguards and eligibility exclusions of bonds with the use of proceeds linked to thermal coal extraction and power generation, significant biodiversity loss and controversial weapons. At each index rebalance, the Benchmark Index also excludes: (1) companies with a "red" MSCI ESG controversy flag which includes companies determined to be in violation of international and/or national standards (taking into account indicators concerning violations of United Nations Global Compact principles and OECD Guidelines for Multinational Enterprises), and (2) companies determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons). In addition the Benchmark index excludes sovereign issuers subject to United Nations Security Council (UNSC) trade sanctions.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	The Fund's Benchmark Index excludes issuers with a "red" ESG controversy flag which excludes issuers which have been determined by the index provider to be in violation of the UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational Enterprises. The Benchmark Index applies the above exclusionary criteria at each index rebalance.



The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.

The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

Any other sustainable investments must also not significantly harm any environmental or social objectives.

Does this financial product consider principal adverse impacts on sustainability factors?

☒ Yes

☐ No

Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as ‘X’ in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance.

The Fund seeks to achieve a better result across the following two PAIs: GHG Intensity and Exposure to companies active in the fossil fuels sector when compared to the market for fixed-rate, investment-grade Euro denominated bonds across treasury, corporate, government-related and securitised sectors.

The Fund’s annual report will include information on the principal adverse impacts on sustainability factors set out below.

	PAI Description	Benchmark Index Selection Criteria			
		Exclusion of issuers based on certain environmental screens (listed above)	Exclusion of issuers based on an MSCI ESG controversy score	Exclusion of issuers determined to have any tie to controversial weapons	Exclusion of issuers based on UN Sanctions screens
Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X			
	1.(b) GHG emissions (Scope 3)	X			
	2. Carbon footprint	X			
	3. GHG intensity	X			
	4. % in Fossil Fuels	X			
	5. Non-Renewable / Renewable %	X			
	6. High impact sector energy consumption				
Biodiversity	7. Negative impact to Biodiversity sensitive areas		X		
Water	8. Emissions to Water		X		
Waste	9. Hazardous Waste		X		
Social and employee matters	10. UNGC + OECD Violations		X		
	11. UNGC + OECD Process, Monitoring				
	12. Unadjusted gender pay gap				
	13. Board gender diversity				
	14. Controversial weapons			X	
Indicators applicable to investments in sovereigns and supranationals	15. GHG intensity of investee countries				
	16. Investee countries subject to social violations				X



The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

What investment strategy does this financial product follow?

The investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. The index methodology of its Benchmark Index is described above (see 'What environmental and/or social characteristics are promoted by this financial product?' above).

By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Fund uses optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index.

Governance Processes

The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

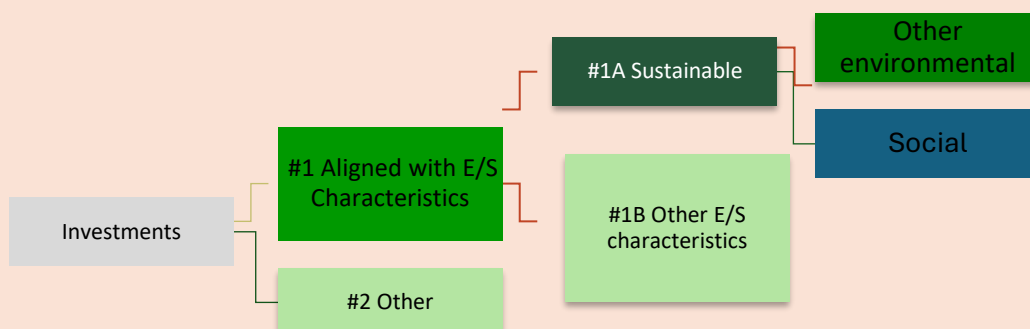
The binding elements of the investment strategy are that the Fund will invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index.

As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase.

In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.

	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the starting universe through the application of the ESG selection criteria. As a result of the application of the ESG selection criteria, the portfolio of the Fund is reduced by at least 30% compared to the starting universe. The rate of reduction may vary over time depending on the issuers that make up the starting universe. For example, if issuers in the starting universe engage in fewer activities that are excluded from the starting universe based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i>
	Good governance checks are incorporated within the methodology of the Benchmark Index. The index provider excludes companies from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) which includes the exclusion of companies that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product? above). Companies that cannot be assessed for an ESG controversy score where data is not available are also excluded from the Benchmark Index.
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	What is the asset allocation planned for this financial product?
	The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index, of which at least 90% of the issuers (incl. sovereign issuers) selected will have been assessed for their ESG characteristics. It is expected that at least 80% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark Index. As such, at each index rebalance, the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 10% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria of the Benchmark Index) and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index. Where any investment ceases to qualify as a sustainable investment between index rebalances, the Fund's holdings in sustainable investments may fall below the minimum proportion of sustainable investments.

The Fund may invest up to 20% of its assets in other investments (“#2 Other”).



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁷?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

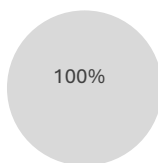
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

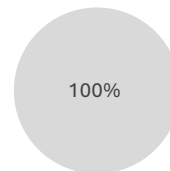
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the Taxonomy Regulation.



are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 10% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with an environmental objective that is not committed to align with the EU Taxonomy or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.

⁷ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	 What is the minimum share of socially sustainable investments?
	A minimum of 10% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be a mix of sustainable investments with an environmental objective that is not committed to align with the EU Taxonomy or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?
	Yes, this Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the Bloomberg MSCI Euro Aggregate and Green Bond SRI Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria.
	● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?
	At each index rebalance, the index provider applies the ESG selection criteria to exclude issuers that do not meet such ESG criteria.
	● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?
	At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	● How does the designated index differ from a relevant broad market index?
	As a result of the application of the ESG selection criteria of the Benchmark Index, the portfolio of the Fund is expected to be reduced compared to the Bloomberg Euro Aggregate Index, a broad market index comprised of fixed income securities.
	● Where can the methodology used for the calculation of the designated index be found?
	The methodology of the Fund's Benchmark Index can be found by copying and pasting the following link into your web browser: https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits



Where can I find more product specific information online?

More product-specific information can be found on the website:

For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares € Cash UCITS ETF	
	Legal entity identifier: 5299000N8JXIX6OI7739	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund promotes environmental characteristics related to the reduction of use of non-sustainable energy sources by excluding issuers who derive 5% or more of their revenues from fossil fuel mining, exploration and/or refinement. The Fund promotes environmental characteristics related to the reduction of environmental related controversies by excluding issuers which have a 'red' MSCI ESG controversy flag, in relation to an issuer's involvement (or alleged involvement) in very severe controversies, relating to, for example, biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. Additionally, the Fund excludes issuers who have a MSCI ESG rating of CCC and exclude any Supranational and Agency Entities that have an MSCI ESG rating of B or below. An MSCI ESG controversy score measures an issuer's involvement (or alleged involvement) in controversies based on the ESG data provider's assessment of an issuer's operations, products and/or services which are deemed to have a negative ESG impact. MSCI assigns an ESG controversy score depending on the severity of a company's involvement in a controversy, whether the involvement is direct or indirect and whether the controversy is ongoing, partially concluded or concluded. A 'red' MSCI ESG controversy flag denotes a company's direct involvement in a very severe ongoing controversy. In addition to the 'red' MSCI flag, 'orange', 'yellow' and 'green' flags are used to denote a company's involvement in ESG controversies. A 'red' flag denotes the most severe ESG controversy, followed by 'orange', then 'yellow' with a 'green' flag denoting the least severe controversy.	

	The Fund promotes environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2 as explained below) within its portfolio relative to the Investment Universe. Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund’s holdings are used to measure this aim. Additionally, the Fund promotes environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of the BlackRock EMEA Baseline Screens. The Fund promotes social characteristics related to (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons and nuclear weapons, and production and distribution of civilian firearms, (b) better health and wellbeing by excluding direct investment in issuers involved in production and distribution of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of the BlackRock EMEA Baseline Screens. The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. The Fund promotes social characteristics related to the reduction of societal controversies by excluding issuers with a ‘red’ MSCI ESG controversy flag (based on an MSCI ESG controversy score of 0) in relation to social issues, including, for example, human rights, labour management relations, discrimination and workforce diversity. Finally, the Fund also aims to promote social characteristics relating to wellbeing of society as a whole by minimising exposures to issuers with lower MSCI ESG ratings (described above) based on certain social themes relating to for example, providing access to basic services, community relations, data privacy and security, human capital, health and safety and product governance. To the extent the Fund holds government bonds, the Fund will instead promote social characteristics relating to supporting the UN Security Council’s efforts on political settlement of conflicts, nuclear non-proliferation, and counter-terrorism by excluding investment in bonds issued by government issuers subject to UNSC Trade Sanctions.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund include: • The Fund’s holdings in assets (which are not investments in government and public securities and instruments) with above average environmental practices (for example, lower carbon emissions, sustainable use of natural resources, responsible waste management practices and use of renewable energy) as determined by MSCI or such other external ESG research provider used by the Investment Manager from time to time. • The Fund’s greenhouse gas emissions intensity, as described above. • The Fund’s consideration of principal adverse impacts (PAIs) on sustainability factors, as described below. • The Fund’s exclusion of holdings in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens and exclusionary screens, as described above.

	● What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?
	The Fund does not commit to holding Sustainable Investments.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?
	Not applicable as this Fund does not commit to investing in Sustainable Investments.
	— — — How have the indicators for adverse impacts on sustainability factors been taken into account?
	Not applicable as this Fund does not commit to investing in Sustainable Investments. Please refer to the section below, “Does this financial product consider principal adverse impacts on sustainability factors?”, which describes how the Fund considers PAIs on sustainability factors.
	— — — How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:
	Not applicable as this Fund does not commit to investing in Sustainable Investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>
	Does this financial product consider principal adverse impacts on sustainability factors? ✓ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of its carbon reduction target and its exclusionary policy. The Fund takes into account the following PAIs: GHG Emissions Carbon footprint

	GHG intensity of investee companies Exposure to companies active in the fossil fuel sector Activities negatively affecting biodiversity sensitive areas Emissions to water Hazardous waste ratio Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons)
	What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The investment objective of the Fund is to provide a return in line with money market rates consistent with preservation of principal and liquidity by the maintenance of a portfolio of High Credit Quality short term “money market” instruments. The investment policy of the Fund is to invest in a broad range of Euro denominated High Credit Quality fixed income securities (such as bonds) and money market instruments (i.e. debt securities with short term maturities) such as securities, instruments and obligations that may be available in the relevant markets (both within and outside the Eurozone) and in cash. The Fund will invest only in securities with a maturity at issuance or residual term to maturity of 397 days or less. At least 7.5% of the Fund’s assets will be daily maturing and at least 15% of the Fund’s assets will be weekly maturing (provided that units or shares in other money market funds may be included in the weekly maturity assets, up to 7.5%, provided they can be redeemed and settled within five working days). The Fund will maintain a weighted average maturity of 60 days or less and a weighted average life of 120 days or less. Subject always to investing in such assets as required for the Fund to meet its investment objective, the Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out in the binding elements section below. ● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i> The binding elements of the investment strategy are as follows: • Ensure that more than 90% of the issuers of securities in which the Fund invests shall be ESG rated or have been analysed for ESG purposes. • Maintain that at least 80% of the Fund’s assets (which are not investments in government and public securities and instruments) have above average environmental practices as determined by MSCI or such other external ESG research provider used by the Investment Manager from time to time. MSCI rank corporate issuers based on an issuers’ overall MSCI environmental score. Corporate issuers that are ranked by MSCI to be in the first or second quartile for the MSCI environmental score are eligible for investment by the Fund (for example, corporate issuers that have low carbon emissions, sustainable use of natural resources, responsible waste management practices and use of renewable energy). • Maintain that the Fund will have 20% lower greenhouse gas emissions (measured using data from MSCI) than its Investment Universe (this universe comprises of approved issuers that comply with the money market fund credit assessment process).

	• Subject always to investing in such assets as required for the Fund to meet its investment objective, the Investment Manager will manage the Fund to promote environmental and social characteristics based on the environmental and social criteria set out below. When selecting the Fund's investments, the Investment Manager will, as a non-financial objective, exclude direct investment in issuers of money market instruments which, at the time of investment: (i) (derive 5% or more of their revenues from fossil fuel mining, exploration and/or refinement; (ii) (have a MSCI ESG rating of CCC; (iii) have a MSCI Controversy Score of '0'; (iv) have, in the case of any Supranational and Agency Entities, an MSCI ESG rating of B or below; or (v) are caught by the BlackRock EMEA Baseline Screens (as described below and in Appendix III). • BlackRock EMEA Baseline Screens: The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have been deemed to have failed to comply with UN Global Compact Principles or have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds): (i) the production of certain types of controversial weapons; (ii) the distribution or production of firearms or small arms ammunition intended for retail to civilians; (iii) the extraction of certain types of fossil fuel and/or the generation of power from them; or (iv) the production of tobacco products or certain activities in relation to tobacco-related products. • A full list of the BlackRock EMEA Baseline Screens limits and/or exclusions being applied by Investment Managers at any time (including any specific threshold criteria) is available at https://www.blackrock.com/corporate/literature/publication/blackrock-baselinescreens-in-europe-middleeast-and-africa.pdf The binding elements set out above do not apply when selecting the Fund's investments issued by governments. Instead, the binding element will be the application of UNSC Trade Sanctions to the government issuers of the bonds the Fund holds.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.



Asset allocation describes the share of investments in specific assets.

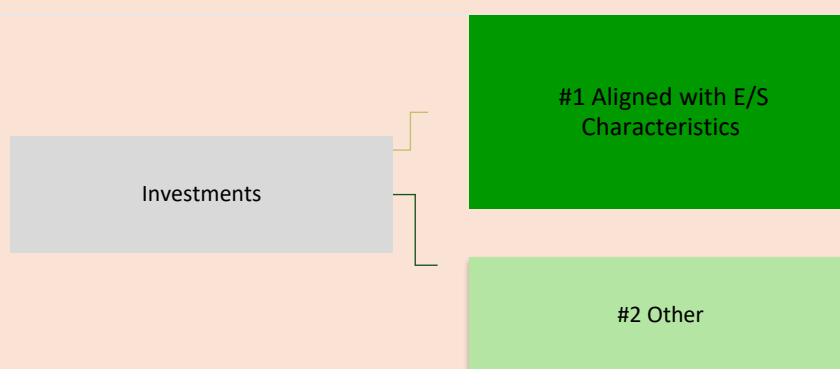
Taxonomy-aligned activities are expressed as a share of:

- **turnover** reflecting the share of revenue from green activities of investee companies
- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.

What is the asset allocation planned for this financial product?

A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics).

The Fund may invest up to 20% of its total assets in other investments ('#2 Other').



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for hedging purposes only, not to attain environmental or social characteristics.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁸?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned

100%

2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned

100%

* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

The Fund does not commit to making investments in transitional and enabling activities.



are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

The Fund does not commit to holding Sustainable Investments.

⁸ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	 What is the minimum share of socially sustainable investments?
	The Fund does not commit to holding Sustainable Investments.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings are limited to 20% and may include derivatives, cash held with the custodian and fixed income transferable securities (also known as debt securities) issued by governments. These investments may be used for investment purposes in pursuit of the Fund’s (non ESG) investment objective, for the purposes of liquidity management and/or hedging. No other holdings are considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No. ● <i>How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?</i> Not applicable. ● <i>How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?</i> Not applicable. ● <i>How does the designated index differ from a relevant broad market index?</i> Not applicable. ● <i>Where can the methodology used for the calculation of the designated index be found?</i> Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.blackrock.com/cash.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares € Corp Bond Enhanced Active UCITS ETF	
	Legal entity identifier: 529900P9UYKETRNP8U46	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund promotes environmental characteristics related to the reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar sands extraction, as well as thermal coal-based power generation, through application of the BlackRock EMEA Baseline Screens. The Fund promotes environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emissions intensity of the portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund’s holdings are used to measure this aim. The Fund promotes social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons and nuclear weapons, and production and distribution of civilian firearms, (b) better health and wellbeing by excluding direct investment in issuers involved in production and distribution of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption	

	by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of the BlackRock EMEA Baseline Screens. The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however the Bloomberg Euro Corporate Index (the “Index”) is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund include: • The Fund’s carbon emissions intensity, as described above. • The Fund’s exclusion of holdings in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens and exclusionary screens, as described above. • The Fund’s consideration of principal adverse impacts (PAIs) on sustainability factors, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock’s DNSH standard outlined below. BlackRock invests in Sustainable Investments which contribute to environmental and social objectives relating to alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education or that are otherwise identified by the United Nations Sustainable Development Goals or other sustainability-related frameworks (“Environmental and Social Objectives”). An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer’s business activity contributes to an Environmental and/or Social Objective; or b) the issuer’s business practices contribute to an Environmental and/or Social Objective.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment’s business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager

	has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i> Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a "do not significant harm" principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The "do no significant harm" principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>
	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of the BlackRock EMEA Baseline Screens and its exclusionary policy. The Fund takes into account the following PAIs: • GHG emissions • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises

	Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, the Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. The Fund will provide information on the PAIs in its annual report.
	What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns. The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 80% of its total assets in investment grade (or where unrated deemed by the Investment Manager to be of an equivalent rating) fixed income securities issued by corporate issuers (i.e. corporate bonds) in developed markets and instruments relating to such securities (namely credit default swaps, currency swaps, futures and forwards) and denominated in Euro. The Fund may (in addition to fixed income securities issued by corporate issuers and related instruments) invest in government bonds, municipal bonds, sovereign and supranational debt, and instruments relating to such bonds denominated in Euro. The Fund may invest up to 20% of its total assets in fixed income securities (or instruments related to such securities) of issuers domiciled in emerging markets and denominated in Euro. The fixed income securities and instruments relating to such securities in which the Fund invests may be fixed or floating rate. Although the Fund's focus is on investment grade securities it may also hold securities that are below investment grade or unrated. The Fund does not have any specific industry focus. The Investment Manager employs a systematic credit strategy to assist the Investment Manager in achieving the Fund's investment objective, which is to participate in greater market upside and to reduce market downside relative to the Index. This strategy uses a systematic process that combines quantitative modelling techniques with the Investment Manager's analysis. The systematic credit models include Euro denominated corporate bonds that are scored and ranked on quantitative factors such as fundamentals and valuation. Within the fundamentals category, the Investment Manager uses techniques to assess security characteristics such as corporate quality using a proprietary probability of default measure. Within the valuations category, the Investment Manager uses techniques to compare the most mispriced bonds versus their intrinsic value. The Fund may also invest in cash, deposits ("Cash Holdings") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings" in the Prospectus. In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds. The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures, forward contracts and swap contracts (including credit default swaps and currency swaps) in accordance with the limitations set down in the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to

assist in achieving its investment objective, to gain exposure to the fixed income securities described above and for currency hedging purposes. Details of indices used by the Fund will be provided in the annual report of the Company.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in the Prospectus.

The Investment Manager will apply the BlackRock EMEA Baseline Screens (which include screens related to the issuer's involvement in certain tobacco-related activities and the issuer's involvement in the production of controversial weapons).

The Fund will invest in Sustainable Investments. In addition, the Investment Manager will manage the Fund's portfolio so that the Fund will have a lower carbon emissions intensity than the Index.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund's carbon emissions intensity is lower than that of the Index.
- BlackRock EMEA Baseline Screens: The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have been deemed to have failed to comply with UN Global Compact Principles or have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds):
 - (i) the production of certain types of controversial weapons;
 - (ii) the distribution or production of firearms or small arms ammunition intended for retail to civilians;
 - (iii) the extraction of certain types of fossil fuel and/or the generation of power from them; or
 - (iv) the production of tobacco products or certain activities in relation to tobacco-related products.
- A full list of the BlackRock EMEA Baseline Screens limits and/or exclusions being applied by Investment Managers at any time (including any specific threshold criteria) is available at <https://www.blackrock.com/corporate/literature/publication/blackrock-baseline-screens-in-europe-middleeast-and-africa.pdf>

● ***What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?***

	There is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies? BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ('#2 Other'). <pre> graph LR Investments --> N1["#1 Aligned with E/S Characteristics"] Investments --> N2["#2 Other"] N1 --> N1A["#1A Sustainable"] N1 --> N1B["#1B Other E/S characteristics"] N1A --> N1A1["Other environmental"] N1A --> N1A2["Social"] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers: – The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives. – The sub-category #1B Other E/S characteristics covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

● **Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁹?**

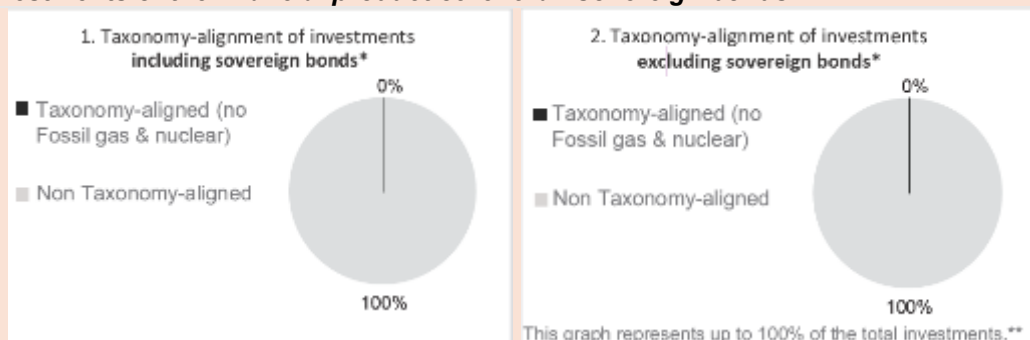
☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

**As the Fund does not commit to making sustainable investments aligned with the EU Taxonomy, the proportion of sovereign bonds in the Fund portfolio will not impact the proportion of sustainable investments aligned with the EU Taxonomy included in the graph.

● **What is the minimum share of investments in transitional and enabling activities?**

The Fund does not commit to making investments in transitional and enabling activities.

⁹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective that are not aligned with the EU Taxonomy. The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.
	 What is the minimum share of socially sustainable investments? The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with a social objective.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging. These other holdings are not considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? Not applicable. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? Not applicable.
	● How does the designated index differ from a relevant broad market index? Not applicable.
	● Where can the methodology used for the calculation of the designated index be found? Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.blackrock.com

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares € Corp Bond ESG Paris-Aligned Climate UCITS ETF	
	Legal entity identifier: 549300DVB4J880UMUH75	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	☒ ☒ ☐ Yes	☒ ☐ ☐ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the Bloomberg MSCI Euro Corporate Climate Paris-Aligned ESG Select Index (PAB), its Benchmark Index: 1. exclusion of issuers deemed to be involved in certain activities considered to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to be involved in very severe ESG related controversies; 3. exclusion of issuers deemed to be involved in severe or very severe controversies relating to environmental issues; 4. exposure to issuers which have been selected and weighted to align with the climate commitments laid down in the Paris Agreement; and 5. exposure to investments qualifying as sustainable investments. These environmental and social characteristics are incorporated through the selection of constituents in the Fund's Benchmark Index at each index rebalance (as described below). The Benchmark Index has been labelled by the index provider as an EU Paris-aligned Benchmark ("PAB") (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks	

Regulation in respect of the criteria for the selection, weighting and, where applicable, exclusion of the underlying assets, to align with the climate commitments laid down in the Paris Agreement.

The Benchmark Index excludes issuers from the Bloomberg Euro Corporate Index (the 'Parent Index') based on their involvement in certain activities deemed to have negative environmental or social outcomes. Issuers are excluded from the Benchmark Index based on their involvement in the following business lines/activities (or related activities):

- controversial weapons
- tobacco
- thermal coal
- power generation
- nuclear weapons
- civilian firearms
- oil and gas (including unconventional oil and gas)
- conventional weapons
- weapons systems, components, support systems and services

The index provider defines what constitutes 'involvement' in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

The Benchmark Index also excludes issuers which are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environmental).

The Benchmark Index also excludes issuers with a 'red' MSCI ESG controversy flag (based on an MSCI ESG controversy score of 0). An MSCI ESG controversy score measures an issuer's involvement (or alleged involvement) in serious controversies based on an assessment of an issuer's operations, products and/or services which are deemed to have a negative ESG impact. An MSCI ESG controversy score may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. An MSCI ESG controversy score may also consider involvement in adverse impact activities in relation to social issues such as human rights, labour management relations, discrimination and workforce diversity. Companies with a 'red' or 'orange' MSCI environment controversy flag (based on an MSCI environment controversy score of 1 or below) are also excluded from the Benchmark Index.

To be included in the Benchmark Index, issuers must have an MSCI ESG rating and the rating must be B or higher. An MSCI ESG rating is designed to measure an issuer's resilience to long-term industry material ESG risks and how well it manages ESG risks and opportunities relative to industry peers. The index provider may consider the following environmental themes when determining an issuer's ESG score as part of the ESG rating methodology: climate change mitigation based on greenhouse gas emissions, waste and other emissions, land use and biodiversity. The index provider may also consider the following social themes when determining an issuer's ESG score as part of the ESG rating methodology: access to basic services, community relations, data privacy and security, human capital, health and safety and product governance. The MSCI ESG rating methodology recognises that certain environmental and social issues are more material based on the type of activity that the issuer is involved in by weighting the issues differently in the scoring methodology. Those issuers with higher MSCI ESG scores are determined by the index provider to be those issuers that may be better

	positioned to manage future ESG-related challenges and risks compared to their industry peers. Following the application of the above exclusionary criteria, the constituents of the Benchmark Index are selected and weighted using the index provider's optimisation process at each index rebalance which seeks to: • reduce the weighted average absolute GHG emissions (Scope 1+2+3) by 50% compared to the Parent Index; • reduce the weighted average GHG emissions (Scope 1+2+3) by 7% on an annual basis; • reduce the weighted average carbon intensity by 50% compared to the Parent Index; • reduce the weighted average carbon intensity by 7% on an annual basis; • increase the weighted average green revenue relative to the Parent Index; • achieve a minimum green to fossil-fuel based ratio relative to the Parent Index; and • increase the weighted average ESG score relative to the Parent Index. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of companies classified as violating United Nations Global Compact principles by the Benchmark Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 3. The exclusion of issuers with an MSCI ESG rating below the minimum threshold (see What environmental and/or social characteristics are promoted by this financial product?). 4. The exclusion of companies identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product?). 5. The weighted average absolute GHG emissions relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). (see What environmental and/or social characteristics are promoted by this financial product?). 6. The decarbonisation rate of GHG emissions per year as described above (see What environmental and/or social characteristics are promoted by this financial product?). 7. The weighted average carbon intensity relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?).

	8. The decarbonisation rate of carbon intensity per year as described above (see What environmental and/or social characteristics are promoted by this financial product?). 9. The weighted average green revenue relative to the Parent Index (see What environmental and/or social characteristics are promoted by this financial product?). 10. The weighted average ratio of overall green revenue to fossil fuels-based revenue as described above (see What environmental and/or social characteristics are promoted by this financial product?). 11. The weighted average ESG score relative to the Parent Index (see What environmental and/or social characteristics are promoted by this financial product?). 12. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 13. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index. Where a constituent is removed from the Benchmark Index in between index rebalances, the Fund's portfolio will be re-aligned thereafter as soon as possible and practicable (in the Investment Manager's view) to align with the Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund's investments qualifying as sustainable investments will be in: 1) fixed income securities which have been classified as "green bonds"; 2) issuers involved in activities deemed to contribute to positive environmental and/or social impacts; or 3) issuers which have committed to one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The index provider may allocate a proportion of the Benchmark Index to securities classified as green bonds under the index methodology. The Benchmark Index defines green bonds as fixed income securities the proceeds of which are exclusively and formally applied to projects or activities that promote climate or other environmental sustainability purposes. In accordance with the Benchmark Index methodology, securities (whether or not labelled as green by the issuer) are independently evaluated under the following four criteria to determine whether they should be classified as green bonds: (i) stated use of proceeds; (ii) process for green project evaluation and selection; (iii) process for management of proceeds; and (iv) commitment to ongoing reporting of the environmental performance of the use of proceeds. To be considered a green bond for the purpose of the index methodology, all four criteria must be met for bonds

	issued after the publication of the Green Bond Principles (an agreement among market participants on a set of standards for the green credentials of labelled issuance), although bonds issued prior to that date that do not satisfy all four criteria may still qualify for inclusion in the Benchmark Index. The index provider will also allocate a proportion of the Benchmark Index to issuers that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The Benchmark Index uses the MSCI ESG Sustainable Impact Metrics which aim to measure revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related frameworks. The MSCI ESG Sustainable Impact Metrics consider positive environmental impacts in relation to themes such as climate change and natural capital and seek to identify those issuers that will derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution prevention and control and sustainable agriculture. The MSCI ESG Sustainable Impact Metrics also consider positive societal impacts in relation to themes such as basic needs and empowerment and seek to identify those issuers that will derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, small and medium enterprises (SMEs), education and connectivity. The environmental and social themes together with the revenue alignment thresholds are determined by the index provider and are applied at each index rebalance of the Benchmark Index. The Benchmark Index also seeks to identify constituents with a commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for issuers and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund will contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> At each index rebalance, all investments qualifying as sustainable investments are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, issuers are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where an issuer has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. For bonds qualifying as green bonds, the assessment is carried out by the index provider at an issuance level based on the use of the proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, certain minimum safeguards and eligibility exclusions are applied by the index

	provider in the selection of green bonds to avoid exposure to bonds associated with activities deemed to have highly negative environmental and societal impacts.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable investments. As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) issuers deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions), (2) issuers with an 'orange' MSCI ESG controversy score of 1 or below that have been deemed to be involved in severe or very severe ESG related controversies (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) issuers with an MSCI ESG rating of B or below, which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). In respect of green bonds, the indicators for adverse impacts on sustainability factors are taken into account at each index rebalance and are assessed by the index provider at the issuance level based on an assessment of the use of proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to ensure the proceeds of which are not applied to activities with highly negative environmental and social outcomes. This includes through the minimum safeguards and eligibility exclusions of bonds with the use of proceeds linked to thermal coal extraction and power generation, significant biodiversity loss and controversial weapons. The Benchmark Index also excludes: (1) issuers with a 'red' MSCI ESG controversy flag which includes issuers determined to be in violation of international and/or national standards (taking into account indicators concerning violations of United Nations Global Compact principles and OECD Guidelines for Multinational Enterprises), and (2) issuers determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	The Fund's Benchmark Index excludes issuers with a 'red' ESG controversy flag which excludes issuers which have been determined by the index provider to be in violation of the UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational Enterprises. The Benchmark Index applies the above exclusionary criteria at each index rebalance.

The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.

The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

Any other sustainable investments must also not significantly harm any environmental or social objectives.



Does this financial product consider principal adverse impacts on sustainability factors?

☒ Yes

☐ No

Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as ‘X’ in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance.

The Fund’s annual report will include information on the principal adverse impacts on sustainability factors set out below.

	PAI Description	Benchmark Index Selection Criteria				
		Minimum % reduction of GHG emissions and carbon intensity	Exclusion of issuers based on certain environmental screens (listed above)	Exclusion of Issuers based on an MSCI ESG Controversy Score	Exclusion of issuers determined to have any tie to controversial weapons	Minimum weighted green to fossil-fuel based ratio
Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X				
	1.(b) GHG emissions (Scope 3)	X				
	2. Carbon footprint	X				
	3. GHG intensity	X				
	4. % in Fossil Fuels		X			
	5. Non-Renewable / Renewable %					X
	6. High impact sector energy consumption					
Biodiversity	7. Negative impact to Biodiversity sensitive areas			X		
Water	8. Emissions to Water			X		
Waste	9. Hazardous Waste			X		
Social and employee matters	10. UNGC + OECD Violations			X		
	11. UNGC + OECD Process, Monitoring					
	12. Unadjusted gender pay gap					
	13. Board gender diversity					
	14. Controversial weapons				X	



The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

What investment strategy does this financial product follow?

The investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?).

By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index.

Governance Processes

The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.

What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?

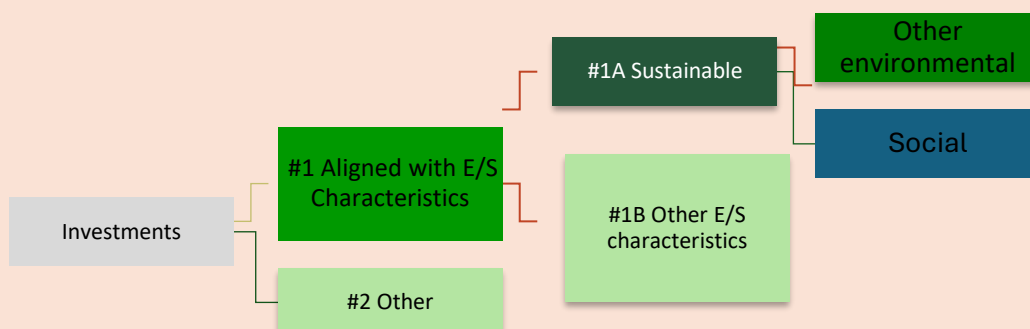
The binding elements of the investment strategy are that the Fund will invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index.

As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase.

In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.

	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the Parent Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the Parent Index. For example, if issuers in the Parent Index engage in fewer activities that are excluded from the Parent Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> Good governance checks are incorporated within the methodology of the Benchmark Index. The index provider excludes issuers from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) and excludes issuers that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product? above). Issuers that cannot be assessed by the index provider for an ESG controversy score where data is not available are also excluded from the Benchmark Index.
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	<i>What is the asset allocation planned for this financial product?</i> The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark Index. As such, at each index rebalance, the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 20% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria of the Benchmark Index) and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index. Where any investment ceases to qualify as a sustainable investment between index rebalances, the Fund's holdings in sustainable investments may fall below the minimum proportion of sustainable investments.

The Fund may invest up to 20% of its total assets in other investments ('#2 Other').



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹⁰?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

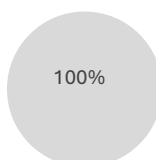
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

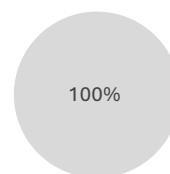
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

● What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 20% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index.

¹⁰ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

environmentally sustainable economic activities under the EU Taxonomy.	The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What is the minimum share of socially sustainable investments?
	A minimum of 20% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the Bloomberg MSCI Euro Corporate Climate Paris-Aligned ESG Select Index (PAB), its Benchmark Index, which incorporates the index provider's ESG selection criteria. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? At each index rebalance, the index provider applies the ESG selection criteria to the Parent Index to exclude issuers that do not meet such ESG selection criteria. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	● How does the designated index differ from a relevant broad market index?
	The Benchmark Index has been labelled by the index provider as an EU Paris-aligned benchmark (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation. The Benchmark Index selects, weights and, where applicable, excludes issuers from the Parent Index to align with the climate commitments laid down in the Paris Agreement. The ESG selection criteria that is applied by the index provider is set out above (see What environmental and/or social characteristics are promoted by this financial product?).

	● Where can the methodology used for the calculation of the designated index be found?
	The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares € Corp Bond ex-Financials 1-5yr ESG SRI UCITS ETF	
	Legal entity identifier: 549300F8MC1CI7K7SP68	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the Bloomberg MSCI Euro Corporate ex Financials 1-5 Year ESG SRI Index, its Benchmark Index: 1. exclusion of issuers deemed to be involved in certain activities considered to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to be involved in very severe ESG related controversies; 3. exclusion of issuers considered to be lagging industry peers in their high exposure and failure to manage significant ESG risks (based on an ESG rating); and 4. exposure to investments qualifying as sustainable investments. These environmental and social characteristics are incorporated through the selection of constituents in the Fund's Benchmark Index at each index rebalance (as described below). The Benchmark Index excludes issuers based on their involvement in certain activities deemed to have negative environmental or social outcomes. Issuers are excluded from the Benchmark Index based on their involvement in the following business lines/activities (or related activities): • alcohol	

- tobacco
- gambling
- adult entertainment
- genetically modified organisms (GMO)
- nuclear power
- civilian firearms
- conventional weapons
- controversial weapons
- nuclear weapons
- thermal coal
- fossil fuels

The index provider defines what constitutes “involvement” in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

The Benchmark Index also excludes issuers with a ‘red’ MSCI ESG controversy flag (based on an MSCI ESG controversy score of 0). An MSCI ESG controversy score measures an issuer’s involvement (or alleged involvement) in serious controversies based on an assessment of an issuer’s operations, products and/or services which are deemed to have a negative ESG impact. An MSCI ESG controversy score may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. An MSCI ESG controversy score may also consider involvement in adverse impact activities in relation to social issues such as human rights, labour management relations, discrimination and workforce diversity.

To be included in the Benchmark Index, issuers must have an MSCI ESG rating and the rating must be BBB or higher. An MSCI ESG rating is designed to measure an issuer’s resilience to long-term industry material ESG risks and how well it manages ESG risks and opportunities relative to industry peers. The index provider may consider the following environmental themes when determining an issuer’s ESG score as part of the ESG rating methodology: climate change mitigation based on greenhouse gas emissions, waste and other emissions, land use and biodiversity. The index provider may also consider the following social themes when determining an issuer’s ESG score as part of the ESG rating methodology: access to basic services, community relations, data privacy and security, human capital, health and safety and product governance. The MSCI ESG rating methodology recognises that certain environmental and social issues are more material based on the type of activity that the issuer is involved in by weighting the issues differently in the scoring methodology. Those issuers with higher MSCI ESG scores are determined by the index provider to be those issuers that may be better positioned to manage future ESG-related challenges and risks compared to their industry peers.

In addition, the Benchmark Index applies exclusions consistent with the outcomes of the EU Paris-aligned Benchmark Exclusions.

The EU Paris-aligned Benchmark Exclusions promote limiting global temperature rises within the targets set in the Paris Agreement by excluding investments in companies that have 1% or more of their revenue deriving from exploration, mining, extraction, distribution, or refining of hard coal and lignite; have 10% or more of their revenue deriving from the exploration, extraction, distribution or refining of oil fuels; have 50% or more of their revenue deriving from the exploration, extraction, manufacturing, or distribution of gaseous fuel; or have 50% or more of their revenue deriving from electricity generation having a greenhouse gas intensity greater than 100g CO₂e/kWh.

	The EU Paris-aligned Benchmark Exclusions also promote social characteristics related to (a) reduction of the availability of weapons by excluding investment in companies with involvement in activities related to controversial weapons; (b) better health and well-being by excluding investment in companies involved in the cultivation and/or production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding investment in companies deemed to have failed to comply with the 10 UN Global Compact (UNGC) Principles or the Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises. In order to achieve the outcomes as outlined above, we rely on data used by the index provider. The Benchmark Index may hold Green, Social and Sustainability (GSS) bonds issued by a company. In accordance with regulatory guidance, such investments in GSS bonds (if held by the Benchmark Index) will, instead of being subject to all the EU Paris-aligned Benchmark Exclusions at issuer level, be subject to: • the EU Paris-aligned Benchmark Exclusions relating to UNGC and OECD violations (as described in (c) above) at the issuer level; and • the other EU Paris-aligned Benchmark Exclusions described above at the level of the economic activities financed by the GSS bond. The Fund may gain indirect exposure for non-investment purposes (through, including but not limited to, derivatives and shares or units of Collective Investment Schemes ("CIS")) to issuers with exposures that are inconsistent with the EU Paris-aligned Benchmark Exclusions described above. Circumstances in which such indirect exposure may arise include, but are not limited to, where a counterparty to a FDI in which the Fund invests posts collateral which is inconsistent with the Benchmark Index's ESG criteria or where a CIS in which the Fund invests does not apply any or the same ESG criteria as the Benchmark Index and so provides exposure to securities which are inconsistent with the Benchmark Index's ESG criteria. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of issuers identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product?). 3. The exclusion of issuers with a weighted-average industry-adjusted MSCI ESG rating below the minimum threshold as described above (see What environmental and/or social characteristics are promoted by this financial product?).

	4. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 5. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund's investments qualifying as sustainable investments may be in: (1) fixed income securities which have been classified as "green bonds"; (2) issuers involved in activities deemed to contribute to positive environmental and/or social impacts; or (3) issuers which have committed to one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). To be classified as a green bond, a bond's proceeds must be exclusively and formally applied to fund projects that fall within one or more qualifying environmental categories including alternative energy, energy efficiency, pollution prevention and control, sustainable water, green building and climate adaptation. The Fund's investments will also be assessed against their revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related frameworks. The positive environmental impacts considered as part of this assessment may relate to themes such as climate change and natural capital and identify issuers that may derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution prevention and control and sustainable agriculture. The positive societal impacts considered as part of this assessment may relate to themes such as basic needs and empowerment and identify issuers that may derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, SME finance, education and connectivity. Issuers will also be assessed on their commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for issuers and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund may contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments

	qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	At each index rebalance, all investments qualifying as sustainable investments are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, issuers are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where an issuer has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. For bonds qualifying as green bonds, the assessment is carried out by the index provider at an issuance level based on the use of the proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, certain minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to avoid exposure to bonds associated with activities deemed to have highly negative environmental and societal impacts.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable investments. As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) issuers deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions), (2) issuers with an 'orange' MSCI ESG controversy score of 1 or below that have been deemed to be involved in severe or very severe ESG related controversies (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) issuers with an MSCI ESG rating of B or below, which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). In respect of green bonds, the indicators for adverse impacts on sustainability factors are taken into account at each index rebalance and are assessed by the index provider at the issuance level based on an assessment of the use of proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to ensure the proceeds of which are not applied to activities with highly negative environmental and social outcomes. This includes through the minimum safeguards and eligibility exclusions of bonds with the use of proceeds linked to thermal coal extraction and power generation, significant biodiversity loss and controversial weapons. The Benchmark Index also excludes: (1) issuers with a 'red' MSCI ESG controversy flag which includes issuers determined to be in violation of international and/or national standards (taking

		into account indicators concerning violations of United Nations Global Compact principles and OECD Guidelines for Multinational Enterprises), and (2) issuers determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).																																						
		— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>																																						
		The Fund’s Benchmark Index excludes issuers with a ‘red’ ESG controversy flag which excludes issuers which have been determined by the index provider to be in violation of the UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational Enterprises. The Benchmark Index applies the above exclusionary criteria at each index rebalance.																																						
		<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>																																						
		Does this financial product consider principal adverse impacts on sustainability factors?																																						
		☒ Yes																																						
		☐ No Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as ‘X’ in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance. The Fund’s annual report will include information on the principal adverse impacts on sustainability factors set out below.																																						
		<table><tr><th rowspan="2"></th><th rowspan="2">PAI Description</th><th colspan="3">Benchmark Index Selection Criteria</th></tr><tr><th>Exclusion of issuers based on certain environmental screens (listed above)</th><th>Exclusion of issuers based on an MSCI ESG controversy score</th><th>Exclusion of issuers determined to have any tie to controversial weapons</th></tr><tr><td rowspan="6">Greenhouse Gas (GHG) emissions</td><td>1.(a) GHG emissions (Scope 1/2)</td><td>X</td><td></td><td></td></tr><tr><td>1.(b) GHG emissions (Scope 3)</td><td>X</td><td></td><td></td></tr><tr><td>2. Carbon footprint</td><td>X</td><td></td><td></td></tr><tr><td>3. GHG intensity</td><td>X</td><td></td><td></td></tr><tr><td>4. % in Fossil Fuels</td><td>X</td><td></td><td></td></tr><tr><td>5. Non-Renewable / Renewable %</td><td>X</td><td></td><td></td></tr><tr><td></td><td>6. High impact sector energy consumption</td><td></td><td></td><td></td></tr></table>		PAI Description	Benchmark Index Selection Criteria			Exclusion of issuers based on certain environmental screens (listed above)	Exclusion of issuers based on an MSCI ESG controversy score	Exclusion of issuers determined to have any tie to controversial weapons	Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X			1.(b) GHG emissions (Scope 3)	X			2. Carbon footprint	X			3. GHG intensity	X			4. % in Fossil Fuels	X			5. Non-Renewable / Renewable %	X				6. High impact sector energy consumption			
	PAI Description	Benchmark Index Selection Criteria																																						
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	5. Non-Renewable / Renewable %	X																																						
	6. High impact sector energy consumption																																							

	Biodiversity	7. Negative impact to Biodiversity sensitive areas		X	
	Water	8. Emissions to Water		X	
	Waste	9. Hazardous Waste		X	
	Social and employee matters	10. UNGC + OECD Violations		X	
		11. UNGC + OECD Process, Monitoring			
		12. Unadjusted gender pay gap			
		13. Board gender diversity			
		14. Controversial weapons			X
 What investment strategy does this financial product follow?					
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance		The investment policy of the Fund is to invest in a portfolio of fixed income securities that, as far as possible and practicable, consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?).			
		The investment policy of the Fund is to invest in a portfolio of fixed income securities that, as far as possible and practicable, consists of the component securities of the Benchmark Index which incorporates certain ESG criteria including the EU Paris-aligned Benchmark Exclusions applied in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?).			
		By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.			
		The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager's view) to liquidate the position.			
		The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index.			
		<u>Governance Processes</u>			
		The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.			

	● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i> The binding elements of the investment strategy are that the Fund will invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics including the EU Paris-aligned Benchmark Exclusions applied by its Benchmark Index. As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the starting universe through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the starting universe. For example, if issuers in the starting universe engage in fewer activities that are excluded from the starting universe based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> Good governance checks are incorporated within the methodology of the Benchmark Index. The index provider excludes issuers from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) which includes the exclusion of issuers that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product?).
 Asset allocation describes the share of investments in specific assets.	What is the asset allocation planned for this financial product? The Fund seeks to invest in a portfolio of securities that, as far as possible and practicable, consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark

Taxonomy-aligned activities are expressed as a share of:

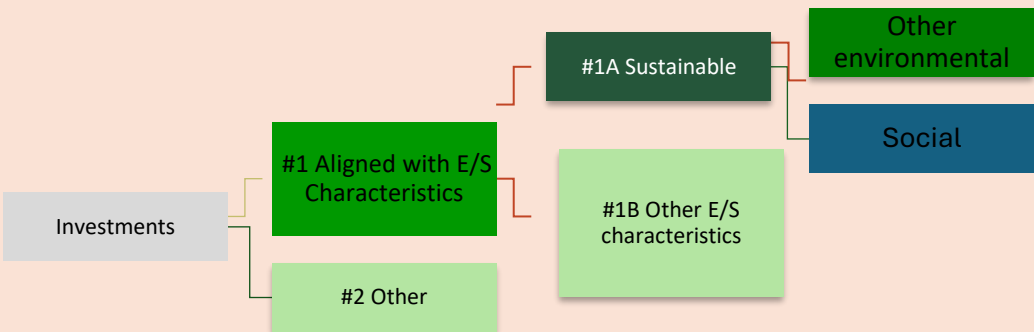
- **turnover** reflecting the share of revenue from green activities of investee companies
- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.

Index. As such, at each index rebalance, the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund’s assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 20% of the Fund’s assets that are qualified as sustainable investments) (as determined at that rebalance).

In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria of the Benchmark Index) and it is possible and practicable (in the Investment Manager’s view) to liquidate the position.

The assessment of the Fund’s investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund’s portfolio is rebalanced in line with its Benchmark Index. Where any investment ceases to qualify as a sustainable investment between index rebalances, the Fund’s holdings in sustainable investments may fall below the minimum proportion of sustainable investments.

The Fund may invest up to 20% of its total assets in other investments ('#2 Other').



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹¹?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

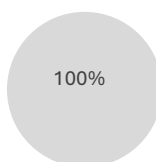
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

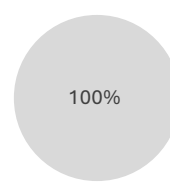
1. Taxonomy-alignment of investments including sovereign bonds*

☒ Taxonomy-aligned: Fossil gas
☒ Taxonomy-aligned: Nuclear
☒ Taxonomy-aligned (no fossil gas & nuclear)
☐ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

☒ Taxonomy-aligned: Fossil gas
☒ Taxonomy-aligned: Nuclear
☒ Taxonomy-aligned (no fossil gas & nuclear)
☐ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.



are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 20% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.

¹¹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	 What is the minimum share of socially sustainable investments?
	A minimum of 20% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the Bloomberg MSCI Euro Corporate ex Financials 1-5 Year ESG SRI Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? At each index rebalance, the index provider applies the ESG selection criteria to exclude issuers that do not meet such ESG selection criteria. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. ● How does the designated index differ from a relevant broad market index? As a result of the application of the ESG selection criteria of the Benchmark Index, the portfolio of the Fund is expected to be reduced compared to the Bloomberg Euro Corporate ex-Financials 1-5 Bond Index, a broad market index comprised of fixed income securities. ● Where can the methodology used for the calculation of the designated index be found? The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares € Flexible Income Bond Active UCITS ETF	
	Legal entity identifier: 5299002YNCQZ4QMD9N07	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund employs a proprietary methodology to assess investments based on the extent to which they are associated with positive or negative externalities and, in doing so, promotes environmental and social characteristics relating to the reduction of carbon emissions and the promotion of positive environmental and social business practices by seeking to enhance exposure to lower carbon emitting issuers and issuers with positive ESG credentials (while seeking to limit exposure to higher carbon emitting issuers and issuers with negative ESG credentials). The assessment of the level of involvement in each activity may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. The Fund promotes environmental characteristics related to the reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar sands extraction, as well as thermal coal-based power generation, through application of the BlackRock EMEA Baseline Screens or, where applicable, equivalent screens for CLOs. The Fund promotes social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons and nuclear weapons, and production and distribution of civilian firearms, (b) better health and wellbeing by excluding direct investment in issuers involved in production and distribution of	

	tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of the BlackRock EMEA Baseline Screens or, where applicable, equivalent screens for CLOs. The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund include: • The Fund’s holdings in investments that are deemed to have associated positive externalities and avoidance of negative externalities as described above. • The Fund’s exclusion of holdings in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens and exclusionary screens, as described above. • The Fund’s consideration of principal adverse impacts (PAIs) on sustainability factors, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund does not commit to holding Sustainable Investments.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Not applicable as this Fund does not commit to investing in Sustainable Investments.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	Not applicable as this Fund does not commit to investing in Sustainable Investments. Please refer to the section below, “Does this financial product consider principal adverse impacts on sustainability factors?”, which describes how the Fund considers PAIs on sustainability factors.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Not applicable as this Fund does not commit to investing in Sustainable Investments.

		<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>
	Does this financial product consider principal adverse impacts on sustainability factors?	☒ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of the BlackRock EMEA Baseline Screens and its exclusionary policy. The Fund takes into account the following PAIs: • GHG emissions • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Energy consumption intensity per high impact climate sector • Tonnes of hazardous waste generated by investee companies per million EUR invested, expressed as a weighted average • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Lack of processes and compliance mechanisms to monitor compliance with UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons)	
	What investment strategy does this financial product follow?	
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The investment objective of the Fund is to seek to maximise income by primarily investing in debt and income-producing securities while seeking to maintain long term capital growth. The Fund is actively managed. In order to achieve its investment objective, the Fund will invest in fixed income transferable securities (i.e. bonds) issued by governments, government agencies, companies, supranationals worldwide, including in emerging markets, and asset-backed securities, described further below. In order to maximise income, the Fund will seek diversified income sources across a variety of such fixed income transferable securities, namely fixed rate, floating rate, inflation-linked, investment grade, non-investment grade and unrated. The Fund may invest up to 60% of its assets in non-investment grade and unrated securities. The Fund will seek to invest in fixed income transferable securities and asset-backed securities that are, in the opinion of the Investment Manager, attractively priced, having regard to top-down asset allocation factors (such as interest rates, global economic trends as well as the	

credit cycle and geopolitical developments), bottom-up security analysis (identifying fixed-income transferable securities that are undervalued by the market), the contribution to the Fund's income, leverage and/or subordination, default risk and liquidity as well as risk factors as outlined below. The Investment Manager seeks to add value across a broad investment universe in order to identify attractive investment opportunities while mitigating macroeconomic risks. Macro regime (i.e. periods of time that set the conditions for the economy as a whole) identification informs the top-down asset allocation and takes into account a variety of factors including, but not limited to, inflation, central bank policies and interest rates. From a bottom-up security analysis the Investment Manager will form a view on the underlying issuer's creditworthiness and valuations of the fixed income transferable securities, as well as credit fundamentals, sector trends, idiosyncratic risk, and market technicals, such as investor flows into the asset class. Having formed a view on the credit of an issuer, the Investment Manager will also consider which tranche in the debt stack of the issuer is most attractively valued. Additionally, both fundamental and quantitative analysis are integral to the research process and are considered by the Investment Manager when identifying potential opportunities and reviewing securities held in the portfolio.

Currency exposure is flexibly managed, this means that the Investment Manager may be expected to regularly employ currency management and hedging techniques in the Fund. Techniques used may include hedging the currency exposure on the Fund's portfolio or/and using currency management techniques such as currency overlays to generate positive returns. A currency overlay strategy involves the creation of long positions and synthetic trades in currencies to implement tactical views using currency derivatives, namely forward foreign exchange contracts, currency futures, options and swaps providing exposure to changes in exchange rates. This does not mean that the Fund's portfolio will always be hedged in whole or in part.

The Fund's assets will be invested in accordance with the ESG Policy described below.

The Fund may invest up to 20% in aggregate of its total assets in emerging markets.

The Fund may invest up to 35% of total assets in asset-backed securities ("ABS"). Within this limit the Fund may invest up to 25% of its total assets in collateralised loan obligations ("CLOs"), provided at least 80% of the Fund's investment in CLOs is invested in AAA-rated tranches and the remainder in investment grade tranches, or, alternatively, the Fund may invest up to 10% of its total assets in CLOs without credit rating restrictions. In circumstances where the Fund invests over 10% of its total assets in CLOs, the credit rating restrictions outlined above will apply to the entire CLO allocation. Other types of ABS that the Fund may invest in include mortgage-backed securities, asset-backed commercial paper, commercial mortgage-backed securities, real estate mortgage investment conduits and residential mortgage-backed securities.

The underlying assets of residential mortgage-backed securities and commercial mortgage-backed securities are residential mortgage loans and commercial mortgage loans respectively. Other types of ABS include credit card ABS which are backed by credit card receivables, auto ABS which are backed by auto loans and leases, student loan ABS which are backed by student loans, CLOs which are backed by corporate loans and Asset-Backed Commercial Paper ("ABCP") which can be backed by any type of financial receivable. Certain asset-backed securities may be structured by using a derivative such as a credit default swap or a basket of such derivatives to gain exposure to the performance of securities of various issuers without having to invest in the securities directly. Further information on the ABS the Fund may invest in can be found in the section entitled "Risk Factors" - "Considerations relating to specific types of ABS in which the Fund may invest".

ABS are typically split into tranches, representing differing levels of risk. The Fund's investments in ABS will typically be in investment grade tranches (rated from AAA to BBB-), however up to 10% of the Fund's total ABS may be in tranches that are rated below investment grade (i.e. a rating below BBB-, as rated by a recognised rating agency including but not limited to Standard & Poor's, Moody's, Fitch, DBRS Morningstar or Kroll Bond Rating Agency; or if unrated, deemed to be of equivalent quality in the opinion of the Investment Manager). ABS held by the Fund will comply with the Securitisation Regulation and may be unlisted or be listed or traded on a Regulated Market.

The Fund's exposure to contingent convertible bonds is limited to 10% of total assets.

The Fund may invest in securities of an issuer in high risk of default (i.e. a credit rating below CCC-, as rated by a recognised rating agency including but not limited to Standard & Poor's, Moody's, Fitch, DBRS Morningstar or Kroll Bond Rating Agency; or if unrated, deemed to be of equivalent quality in the opinion of the Investment Manager) and may remain invested in securities of an issuer that is in default. The Fund's exposure to securities of an issuer that is either in default or in high risk of default is limited to 10% of the Fund's total assets.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy, in respect of at least 80% of the Fund, are as follows:

- Enhancing exposure to investments that are deemed to have associated positive externalities, while limiting investments that are deemed to have associated negative externalities.
- BlackRock EMEA Baseline Screens. The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have been deemed to have failed to comply with UN Global Compact Principles or have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds):
 - i) the production of certain types of controversial weapons;
 - ii) the distribution or production of firearms or small arms ammunition intended for retail to civilians;
 - iii) the extraction of certain types of fossil fuel and/or the generation of power from them; or
 - iv) the production of tobacco products or certain activities in relation to tobacco-related products.

A full list of the BlackRock EMEA Baseline Screens limits and/or exclusions being applied by Investment Managers at any time (including any specific threshold criteria) is available at <https://www.blackrock.com/corporate/literature/publication/blackrock-baseline-screens-in-europe-middleeast-and-africa.pdf>

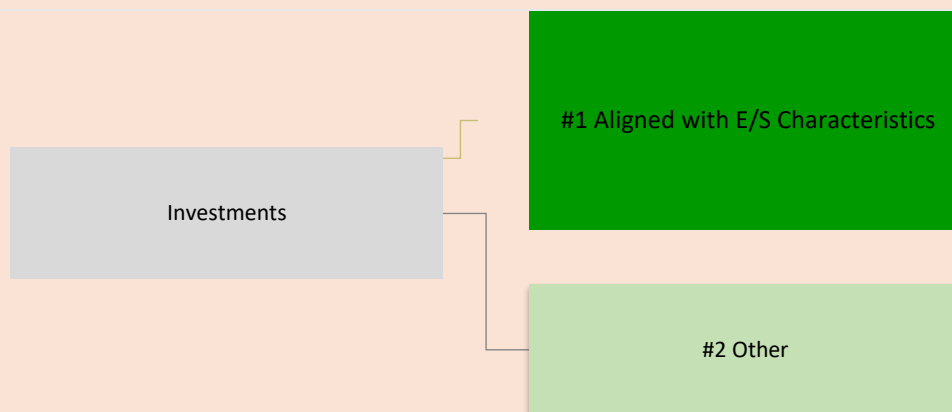
- The Investment Manager intends to limit and/or exclude direct investment (as applicable) in CLO issuers which are identified as being involved in certain activities as described in summary below (involvement may be based on either the CLO issuer's activity exceeding a threshold criteria or the CLO issuer having any direct involvement in the activity), namely CLO issuers which:
 - i) are engaged in, or are otherwise exposed to, the production of controversial weapons (including cluster munitions, biological-chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons);

	ii) derive any revenue from direct involvement in the production of nuclear weapons, nuclear weapon components or delivery platforms or the provision of auxiliary services related to nuclear weapons; iii) produce civilian firearms and/or civilian small arms ammunitions intended for retail to civilians; iv) have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption); v) are engaged in the production of tobacco; vi) have in aggregate more than 5% of their assets exposed to issuers which individually derive more than 5% of their revenues from retail distribution of small arms intended for civilian use; vii) have in aggregate more than 5% of their assets exposed to issuers which individually derive more than 5% of their revenues from thermal coal extraction or power generation, or oil tar sands production (also known as oil sands); viii) have in aggregate more than 5% of their assets exposed to issuers which individually derive more than 5% of their revenues from tobacco distribution, retail, and supply of certain tobacco-related products; and ix) have in aggregate more than 5% of their assets exposed to issuers which individually derive more than 5% of their revenues from adult entertainment materials or services.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance. BlackRock uses third-party data for this assessment, and in some cases or where the companies are not covered, supplements this assessment with fundamental insights. Fundamental insights are the insights BlackRock gathers from its fundamental analysis of the issuers, fundamental analysis being the analysis of the company's financial statements and the market in which it operates.
 Asset allocation describes the share of investments in specific assets.	What is the asset allocation planned for this financial product? A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics).

Taxonomy-aligned activities are expressed as a share of:

- **turnover** reflecting the share of revenue from green activities of investee companies
- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.

The Fund may invest up to 20% of its total assets in other investments ('#2 Other').



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹²?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

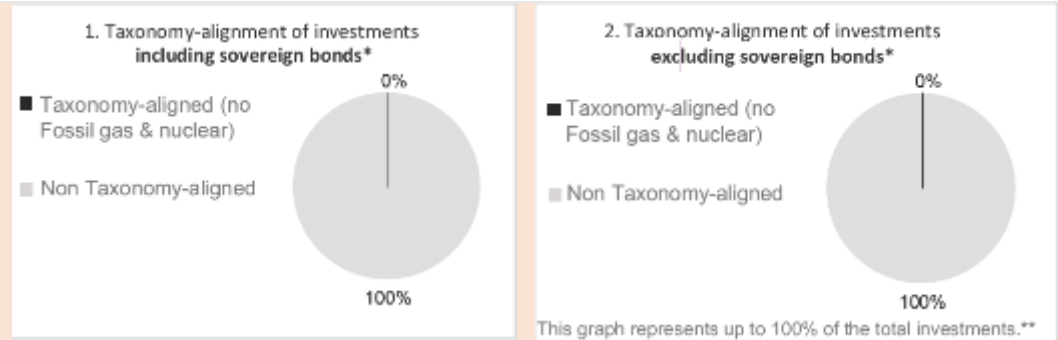
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

¹² Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

among others have greenhouse gas emission levels corresponding to the best performance.



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures
 **As the Fund does not commit to making sustainable investments aligned with the EU Taxonomy, the proportion of sovereign bonds in the Fund portfolio will not impact the proportion of sustainable investments aligned with the EU Taxonomy included in the graph.

● **What is the minimum share of investments in transitional and enabling activities?**

The Fund does not commit to making investments in transitional and enabling activities.

 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

The Fund does not commit to holding Sustainable Investments.

 What is the minimum share of socially sustainable investments?

The Fund does not commit to holding Sustainable Investments.

 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?

Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and securities issued by unscreened issuers.

These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging.

These other holdings are not considered against minimum environmental or social safeguards.
Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

No.

Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	● <i>How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?</i>
	Not applicable.
	● <i>How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?</i>
	Not applicable.
	● <i>How does the designated index differ from a relevant broad market index?</i>
	Not applicable.
	● <i>Where can the methodology used for the calculation of the designated index be found?</i>
	Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.blackrock.com .

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares € Govt Bond Climate UCITS ETF	
	Legal entity identifier: 549300KF2IWWFDRM5G17	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is passively managed and seeks to promote certain environmental and social characteristics by tracking the performance of the FTSE Advanced Climate Risk-Adjusted European Monetary Union Government Bond Index, its Benchmark Index. The environmental and social characteristics promoted by this Fund are to provide higher exposure to government issuers in countries less exposed to climate change risks with respect to resilience and preparedness to the risks of climate change. These environmental and social characteristics are incorporated through the selection and weighting of constituents in the Fund's Benchmark Index (as described below). The Benchmark Index measures the performance of government bonds within the FTSE EMU Government Bond Index (the 'Parent Index') while seeking to achieve a greater climate benefit by providing higher exposure to countries less exposed to climate change risks and lower exposures to countries that are more exposed to climate change risks. The index provider weights each country based on the market capitalisation of its index eligible debt, as well as its relative climate risk exposure. The exposure of each country to climate risk is measured across three distinct and quantitative climate-related pillars: (i) transition risk, which represents, the level of climate related risk exposure of the country's economy as measured by the distance to reach the modeled emissions needed to meet the temperature alignment target, as determined by the index provider; (ii) physical risk, which represents the level of climate related risk exposure to the	

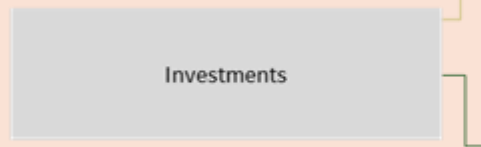
	country and its economy from the physical effects of climate change (for example, sea level exposure and climate related natural disasters); and (iii) resilience, which represents a country's preparedness (for example its governmental effectiveness and its disaster preparedness) and actions taken (for example, the percentage of the country's territory (terrestrial and marine) that is protected and the country's afforestation rate) to cope with its level of climate related risk exposure. A single combined score across these three pillars is derived for each country in the Parent Index, and this score is applied to the market value weights of each country to reweight the exposure to the country within the Benchmark Index to provide higher exposure to countries less exposed to climate change risks, and lower exposures to countries that are more exposed to climate change risks. The index provider will also apply constraints to the constituents of the Benchmark Index, relative to the Parent Index, to help ensure index diversification and manage concentration risk. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The index provider's country climate score as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance and the Benchmark Index seeks to achieve its stated targets. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	This Fund does not commit to investing in sustainable investments.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Not applicable as the Fund does not commit to investing in sustainable investments.

		--- How have the indicators for adverse impacts on sustainability factors been taken into account?																																																													
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		The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria. The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities. Any other sustainable investments must also not significantly harm any environmental or social objectives.																																																													
		Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes																																																													
		☐ No Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as ‘X’ in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance. The Fund’s annual report will include information on the principal adverse impacts on sustainability factors set out below. <table><tr><th rowspan="2"></th><th rowspan="2">PAI Description</th><th colspan="2">Benchmark Index Selection Criteria</th></tr><tr><th>FTSE Climate Score</th><th>Exclusion of issuers based on UN Sanctions screens</th></tr><tr><td rowspan="6">Greenhouse Gas (GHG) emissions</td><td>1.(a) GHG emissions (Scope 1/2)</td><td></td><td></td></tr><tr><td>1.(b) GHG emissions (Scope 3)</td><td></td><td></td></tr><tr><td>2. Carbon footprint</td><td></td><td></td></tr><tr><td>3. GHG intensity</td><td></td><td></td></tr><tr><td>4. % in Fossil Fuels</td><td></td><td></td></tr><tr><td>5. Non-Renewable / Renewable %</td><td></td><td></td></tr><tr><td></td><td>6. High impact sector energy consumption</td><td></td><td></td></tr><tr><td>Biodiversity</td><td>7. Negative impact to Biodiversity sensitive areas</td><td></td><td></td></tr><tr><td>Water</td><td>8. Emissions to Water</td><td></td><td></td></tr><tr><td>Waste</td><td>9. Hazardous Waste</td><td></td><td></td></tr><tr><td rowspan="4">Social and employee matters</td><td>10. UNGC + OECD Violations</td><td></td><td></td></tr><tr><td>11. UNGC + OECD Process, Monitoring</td><td></td><td></td></tr><tr><td>12. Unadjusted gender pay gap</td><td></td><td></td></tr><tr><td>13. Board gender diversity</td><td></td><td></td></tr><tr><td></td><td>14. Controversial weapons</td><td></td><td></td></tr><tr><td>Indicators</td><td>15. GHG intensity of investee countries</td><td>X</td><td></td></tr></table>		PAI Description	Benchmark Index Selection Criteria		FTSE Climate Score	Exclusion of issuers based on UN Sanctions screens	Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)			1.(b) GHG emissions (Scope 3)			2. Carbon footprint			3. GHG intensity			4. % in Fossil Fuels			5. Non-Renewable / Renewable %				6. High impact sector energy consumption			Biodiversity	7. Negative impact to Biodiversity sensitive areas			Water	8. Emissions to Water			Waste	9. Hazardous Waste			Social and employee matters	10. UNGC + OECD Violations			11. UNGC + OECD Process, Monitoring			12. Unadjusted gender pay gap			13. Board gender diversity				14. Controversial weapons			Indicators	15. GHG intensity of investee countries	X
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	applicable to investments in sovereigns and supranationals	16. Investee countries subject to social violations		X
	What investment strategy does this financial product follow?			
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?). By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager's view) to liquidate the position. The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index. <u>Governance Processes</u> The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.			
	● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i> The binding elements of the investment strategy are that the Fund will invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the			

	relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the Parent Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the Parent Index. For example, if issuers in the Parent Index engage in fewer activities that are excluded from the Parent Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i>
	Not applicable. Save for other holdings (which may include cash, money market funds and derivatives), the Fund will only invest in sovereign bonds within the Benchmark Index, or that otherwise meet the selection criteria of the Benchmark Index, in accordance with the Fund's investment strategy.
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx)	What is the asset allocation planned for this financial product? The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark Index. As such, at each index rebalance, the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria of the Benchmark Index) and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund may invest up to 20% of its total assets in other investments ('#2 Other').

reflecting green operational activities of investee companies.



#1 Aligned with E/S Characteristics

#2 Other

#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

This Fund does not currently commit to investing more than 0% of its assets in investments in environmentally sustainable economic activities within the meaning of the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹³?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

¹³ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

among others have greenhouse gas emission levels corresponding to the best performance.	1. Taxonomy-alignment of investments including sovereign bonds* 2. Taxonomy-alignment of investments excluding sovereign bonds* * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures
	● What is the minimum share of investments in transitional and enabling activities? This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.
are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? Not applicable as the Fund does not commit to investing in sustainable investments with an environmental objective.
	 What is the minimum share of socially sustainable investments?
	Not applicable as the Fund does not currently commit to investing more than 0% of its assets in socially sustainable investments.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.



Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.

Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the FTSE Advanced Climate Risk-Adjusted European Monetary Union Government Bond Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria.

● ***How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?***

At each index rebalance, the index provider applies the ESG selection criteria to the Parent Index to exclude issuers that do not meet such ESG selection criteria.

● ***How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?***

At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.

● ***How does the designated index differ from a relevant broad market index?***

The Benchmark Index excludes issuers that do not meet its ESG selection criteria from its Parent Index, which is a broad market index. The ESG selection criteria that is excluded is set out above (see What environmental and/or social characteristics are promoted by this financial product?).

● ***Where can the methodology used for the calculation of the designated index be found?***

The methodology of the Fund's Benchmark Index can be found on the index provider's website at: <https://www.lseg.com/en/ftse-russell/indices/climate-wgbi#t-methodology>.



Where can I find more product specific information online?

More product-specific information can be found on the website:

For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares € High Yield Corp Bond Enhanced Active UCITS ETF	
	Legal entity identifier: 529900WR62KD6CUK2S10	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	● ● ☐ Yes	● ● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund promotes environmental characteristics related to the reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar sands extraction, as well as thermal coal-based power generation, through application of the BlackRock EMEA Baseline Screens. The Fund promotes social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons and nuclear weapons, and production and distribution of civilian firearms, (b) better health and wellbeing by excluding direct investment in issuers involved in production and distribution of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of the BlackRock EMEA Baseline Screens. The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received.	

	The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however the ICE BofA Euro High Yield Constrained Index (the “Index”) is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund are: • The percentage of the Fund (expected to be 0%) directly invested in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens and exclusionary screens, as described above. • The Fund’s consideration of principal adverse impacts (PAIs) on sustainability factors, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock’s DNSH standard outlined below. BlackRock invests in Sustainable Investments which contribute to environmental and social objectives relating to alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education or that are otherwise identified by the United Nations Sustainable Development Goals or other sustainability-related frameworks (“Environmental and Social Objectives”). An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer’s business activity contributes to an Environmental and/or Social Objective; or b) the issuer’s business practices contribute to an Environmental and/or Social Objective.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti- bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments.

	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>
	Does this financial product consider principal adverse impacts on sustainability factors?
	☒ Yes,
	☐ No The Fund considers PAIs on sustainability factors through the application of the BlackRock EMEA Baseline Screens and its exclusionary policy. The Fund takes into account the following PAIs: • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, the Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. The Fund will provide information on the PAIs in its annual report.



What investment strategy does this financial product follow?

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The investment objective of the Fund is to seek to provide investors with a total return, taking into account both capital and income returns.

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 80% of its total assets in high yield (or where unrated deemed by the Investment Manager to be of an equivalent rating) fixed income securities issued by corporate issuers (i.e. corporate bonds) in developed markets and instruments relating to such securities (namely credit default swaps, currency swaps, futures and forwards) and denominated in Euro. The Fund may (in addition to fixed income securities issued by corporate issuers and related instruments) invest in government bonds, municipal bonds, sovereign and supranational debt, and instruments relating to such bonds denominated in Euro.

The Fund may invest up to 20% of its total assets in fixed income securities (or instruments related to such securities) of issuers domiciled in emerging markets and denominated in Euro.

The fixed income securities and instruments relating to such securities in which the Fund invests may be investment grade (or deemed by the Investment Manager to be of an equivalent rating), below investment grade or unrated and may be fixed or floating rate. The Fund does not have any specific industry focus.

The Investment Manager employs a systematic credit strategy to assist the Investment Manager in achieving the Fund's investment objective, which is to participate in greater market upside and to reduce market downside relative to the Index. This strategy uses a systematic process that combines quantitative modelling techniques with the Investment Manager's analysis. The systematic credit models include Euro denominated corporate bonds that are scored and ranked on quantitative factors such as fundamentals and valuation.

Within the fundamentals category, the Investment Manager uses techniques to assess security characteristics such as corporate quality using a proprietary probability of default measure. Within the valuations category, the Investment Manager uses techniques to compare the most mispriced bonds versus their intrinsic value.

The Fund may also invest in cash, deposits ("Cash Holdings") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings" in the Prospectus.

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely futures, forward contracts and swap contracts (including credit default swaps and currency swaps) in accordance with the limitations set down in the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the fixed income securities described above and for currency hedging purposes. Details of indices used by the Fund will be provided in the annual report of the Company.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in the Prospectus.

The Investment Manager will apply the BlackRock EMEA Baseline Screens (which include screens related to the issuer's involvement in certain tobacco-related activities and the issuer's involvement in the production of controversial weapons).

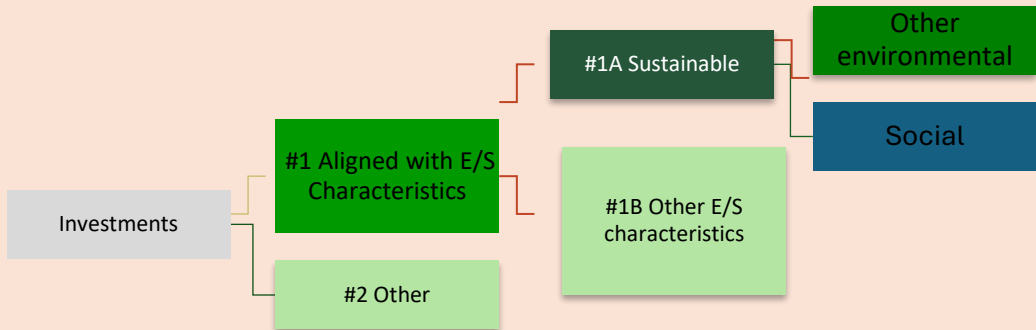
The Fund will invest in Sustainable Investments.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Application of the BlackRock EMEA Baseline Screens (see Appendix III of this Supplement): The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds as outlined below):
 - (i) Issuers which are engaged in, or are otherwise exposed to the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
 - (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation, with the exception of "green bonds", that are considered to comply with the International Capital Markets Association's Green Bond Principles, from such issuers.
 - (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
 - (iv) Issuers deriving any revenue from direct involvement in the production of nuclear weapons or nuclear weapon components or delivery platforms, or the provision of auxiliary services related to nuclear weapons.
 - (v) Issuers which produce tobacco products.
 - (vi) Issuers which derive more than 5% of their revenue from the production, distribution, retail and supply of tobacco-related products.
 - (vii) Issuers which produce firearms and/or small arms ammunition intended for retail to civilians.
 - (viii) Issuers which derive more than 5% of their revenue from the distribution (wholesale or retail) of firearms and/or small arms ammunition intended for civilian use.
 - (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

	● What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?
	There is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies? BlackRock assesses good governance practices of the investee companies by combining proprietary insights and shareholder engagement by the Investment Manager, with data from external ESG research providers. BlackRock uses data from external ESG research providers to initially identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance. Where issuers are identified as potentially having issues with regards to good governance, the issuers are reviewed to ensure that, where the Investment Manager agrees with this external assessment, the Investment Manager is satisfied that the issuer has either taken remediation actions or will take remedial actions within a reasonable time frame based on the Investment Manager's direct engagement with the issuer. The Investment Manager may also decide to reduce exposure to such issuers.
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics).
	 <pre> graph LR Investments --> N1["#1 Aligned with E/S Characteristics"] Investments --> N2["#2 Other"] N1 --> N1A["#1A Sustainable"] N1 --> N1B["#1B Other E/S characteristics"] N1A --> N1A1["Other environmental"] N1A --> N1A2["Social"] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers:

	– The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives. – The sub-category #1B Other E/S characteristics covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.
	● How does the use of derivatives attain the environmental or social characteristics promoted by the financial product? The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.
To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For nuclear energy, the criteria include comprehensive safety and waste management rules.	● To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy. ● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ☒ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.
Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.	The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.
	1. Taxonomy-alignment of investments including sovereign bonds* ■ Taxonomy-aligned: Fossil gas ■ Taxonomy-aligned: Nuclear ■ Taxonomy-aligned (no fossil gas & nuclear) ■ Non Taxonomy-aligned 100% 2. Taxonomy-alignment of investments excluding sovereign bonds* ■ Taxonomy-aligned: Fossil gas ■ Taxonomy-aligned: Nuclear ■ Taxonomy-aligned (no fossil gas & nuclear) ■ Non Taxonomy-aligned 100% * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

¹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	 What is the minimum share of investments in transitional and enabling activities?
	The Fund does not commit to making investments in transitional and enabling activities.
 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective that are not aligned with the EU Taxonomy. The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.
	 What is the minimum share of socially sustainable investments?
	The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with a social objective.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging. These other holdings are not considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No.  How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? Not applicable.  How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? Not applicable.  How does the designated index differ from a relevant broad market index? Not applicable.

	● <i>Where can the methodology used for the calculation of the designated index be found?</i>
	Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.blackrock.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices. The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Product name: iShares € High Yield Corp Bond ESG Paris-Aligned Climate UCITS ETF	
	Legal entity identifier: 5299003142BTSSQEGY37	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
	☒ ☒ Yes ☐ It will make a minimum of sustainable investments with an environmental objective: ____% ☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy ☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy ☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ ☐ No ☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 15% of sustainable investments ☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy ☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy ☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product? The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the Bloomberg MSCI Euro Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB), its Benchmark Index: 1. exclusion of issuers deemed to be involved in certain activities considered to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to have violated United Nations Global Compact principles; 3. exclusion of issuers deemed to be involved in very severe ESG related controversies based on a “red” MSCI ESG controversy flag; 4. exclusion of issuers deemed to be involved in severe or very severe controversies relating to environmental issues; 5. exposure to issuers which have been selected and weighted to align with the climate commitments laid down in the Paris Agreement; and 6. exposure to investments qualifying as sustainable investments. These environmental and social characteristics are incorporated through the selection of constituents in the Fund's Benchmark Index at each index rebalance (as described below).	

The Benchmark Index has been labelled by the index provider as an EU Paris-aligned Benchmark ("PAB") (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation in respect of the criteria for the selection, weighting and, where applicable, exclusion of the underlying assets, to align with the climate commitments laid down in the Paris Agreement.

The Benchmark Index excludes issuers from the Bloomberg European High Yield 3% Issuer Capped Index (the 'Parent Index') based on their involvement in certain activities deemed to have negative environmental or social outcomes. Issuers are excluded from the Benchmark Index based on their involvement in the following business lines/activities (or related activities):

- controversial weapons
- tobacco
- thermal coal
- fossil fuel power generation
- nuclear weapons
- civilian firearms
- oil and gas (including unconventional oil and gas)
- conventional weapons
- weapons systems, components, support systems and services

The index provider defines what constitutes 'involvement' in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

The Benchmark Index also excludes issuers which are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environmental).

The Benchmark Index also excludes issuers with a 'red' MSCI ESG controversy flag (based on an MSCI ESG controversy score of 0). An MSCI ESG controversy score measures an issuer's involvement (or alleged involvement) in serious controversies based on an assessment of an issuer's operations, products and/or services which are deemed to have a negative ESG impact. An MSCI ESG controversy score may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. An MSCI ESG controversy score may also consider involvement in adverse impact activities in relation to social issues such as human rights, labour management relations, discrimination and workforce diversity. Companies with a 'red' or 'orange' MSCI environment controversy flag (based on an MSCI environment controversy score of 1 or below) are also excluded from the Benchmark Index.

To be included in the Benchmark Index, issuers must have an MSCI ESG rating and the rating must be B or higher. An MSCI ESG rating is designed to measure an issuer's resilience to long-term industry material ESG risks and how well it manages ESG risks and opportunities relative to industry peers. The index provider may consider the following environmental themes when determining an issuer's ESG score as part of the ESG rating methodology: climate change mitigation based on greenhouse gas emissions, waste and other emissions, land use and biodiversity. The index provider may also consider the following social themes when determining an issuer's ESG score as part of the ESG rating methodology: access to basic services, community relations, data privacy and security, human capital, health and safety and product governance. The MSCI ESG rating methodology recognises that certain environmental and social issues are more material based on the type of activity that the issuer is involved in by weighting the issues differently in the scoring methodology. Those issuers with higher MSCI ESG scores are determined by the index provider to be those issuers that may be better positioned to manage future ESG-related challenges and risks compared to their industry peers.

	Following the application of the above exclusionary criteria, the constituents of the Benchmark Index are selected and weighted using the index provider's optimisation process at each index rebalance which seeks to: • reduce the weighted average absolute GHG emissions (Scope 1+2+3) by 50% compared to the Parent Index; • reduce the weighted average GHG emissions (Scope 1+2+3) by 7% on an annual basis; • reduce the weighted average carbon intensity by 50% compared to the Parent Index; • reduce the weighted average carbon intensity by 7% on an annual basis; • increase the weighted average green revenue relative to the Parent Index; • achieve a minimum green to fossil-fuel based ratio relative to the Parent Index; and • increase the weighted average ESG score relative to the Parent Index. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of companies classified as violating United Nations Global Compact principles by the Benchmark Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 3. The exclusion of issuers with an MSCI ESG rating below the minimum threshold (see What environmental and/or social characteristics are promoted by this financial product?). 4. The exclusion of issuers identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product?). 5. The exclusion of issuers identified as being involved in controversies relating to environmental issues as described above (see What environmental and/or social characteristics are promoted by this financial product?). 6. The weighted average absolute GHG emissions relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 7. The decarbonisation rate of GHG emissions per year as described above (see What environmental and/or social characteristics are promoted by this financial product?). 8. The weighted average carbon intensity relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 9. The decarbonisation rate of carbon intensity per year as described above (see What environmental and/or social characteristics are promoted by this financial product?).

	10. The weighted average green revenue relative to the Parent Index (see What environmental and/or social characteristics are promoted by this financial product?). 11. The weighted average ratio of overall green revenue to fossil fuels-based revenue as described above (see What environmental and/or social characteristics are promoted by this financial product?). 12. The weighted average ESG score relative to the Parent Index (see What environmental and/or social characteristics are promoted by this financial product?). 13. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 14. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?) The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance . At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index. Where a constituent is removed from the Benchmark Index in between index rebalances, the Fund's portfolio will be re-aligned thereafter as soon as possible and practicable (in the Investment Manager's view) to align with the Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund's investments qualifying as sustainable investments will be in: (1) fixed income securities which have been classified as "green bonds"; (2) issuers involved in activities deemed to contribute to positive environmental and/or social impacts; or (3) issuers which have committed to one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The index provider may allocate a proportion of the Benchmark Index to securities classified as green bonds under the index methodology. The Benchmark Index defines green bonds as fixed income securities the proceeds of which are exclusively and formally applied to projects or activities that promote climate or other environmental sustainability purposes. In accordance with the Benchmark Index methodology, securities (whether or not labelled as green by the issuer) are independently evaluated under the following four criteria to determine whether they should be classified as green bonds: (i) stated use of proceeds; (ii) process for green project evaluation and selection; (iii) process for management of proceeds; and (iv) commitment to ongoing reporting of the environmental performance of the use of proceeds. To be considered a green bond for the purpose of the index methodology, all four criteria must be met for bonds issued after the publication of the Green Bond Principles (an agreement among market participants on a set of standards for the green credentials of labelled issuance), although bonds issued prior to that date that do not satisfy all four criteria may still qualify for inclusion in the Benchmark Index.

	The index provider will also allocate a proportion of the Benchmark Index to issuers that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The Benchmark Index uses the MSCI ESG Sustainable Impact Metrics which aim to measure revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related frameworks. The MSCI ESG Sustainable Impact Metrics consider positive environmental impacts in relation to themes such as climate change and natural capital and seek to identify those issuers that will derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution prevention and control and sustainable agriculture. The MSCI ESG Sustainable Impact Metrics also consider positive societal impacts in relation to themes such as basic needs and empowerment and seek to identify those issuers that will derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, small and medium enterprises (SMEs), education and connectivity. The environmental and social themes together with the revenue alignment thresholds are determined by the index provider and are applied at each index rebalance of the Benchmark Index. The Benchmark Index also seeks to identify constituents with a commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for issuers and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund will contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> At each index rebalance, all investments qualifying as sustainable investments are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, issuers are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where an issuer has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. For bonds qualifying as green bonds, the assessment is carried out by the index provider at an issuance level based on the use of the proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, certain minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to avoid exposure to bonds associated with activities deemed to have highly negative environmental and societal impacts.

	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable investments. As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) issuers deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions), (2) issuers with an 'orange' MSCI ESG controversy score of 1 or below that have been deemed to be involved in severe or very severe ESG related controversies (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) issuers with an MSCI ESG rating of B or below, which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). In respect of green bonds, the indicators for adverse impacts on sustainability factors are taken into account at each index rebalance and are assessed by the index provider at the issuance level based on an assessment of the use of proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to ensure the proceeds of which are not applied to activities with highly negative environmental and social outcomes. This includes through the minimum safeguards and eligibility exclusions of bonds with the use of proceeds linked to thermal coal extraction and power generation, significant biodiversity loss and controversial weapons. The Benchmark Index also excludes: (1) issuers with a 'red' MSCI ESG controversy flag which includes issuers determined to be in violation of international and/or national standards (taking into account indicators concerning violations of United Nations Global Compact principles and OECD Guidelines for Multinational Enterprises), and (2) issuers determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	The Fund's Benchmark Index excludes issuers with a 'red' ESG controversy flag which excludes issuers which have been determined by the index provider to be in violation of the UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational Enterprises. The Benchmark Index applies the above exclusionary criteria at each index rebalance.
	<i>The EU Taxonomy sets out a "do not significant harm" principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The "do no significant harm" principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>



Does this financial product consider principal adverse impacts on sustainability factors?

✓ Yes

□ No

Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as 'X' in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance.

The Fund's annual report will include information on the principal adverse impacts on sustainability factors set out below.

	PAI Description	Benchmark Index Selection Criteria				
		Minimum % reduction of GHG emissions and carbon intensity	Exclusion of issuers based on certain environmental screens (listed above)	Exclusion of issuers based on an ESG Controversy Score	Exclusion of issuers determined to have any tie to controversial weapons	Minimum weighted green to fossil-fuel based ratio
Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X				
	1.(b) GHG emissions (Scope 3)	X				
	2. Carbon footprint	X				
	3. GHG intensity	X				
	4. % in Fossil Fuels		X			
	5. Non-Renewable / Renewable %					X
	6. High impact sector energy consumption					
Biodiversity	7. Negative impact to Biodiversity sensitive areas			X		
Water	8. Emissions to Water			X		
Waste	9. Hazardous Waste			X		
Social and employee matters	10. UNGC + OECD Violations			X		
	11. UNGC + OECD Process, Monitoring					
	12. Unadjusted gender pay gap					
	13. Board gender diversity					
	14. Controversial weapons				X	



What investment strategy does this financial product follow?

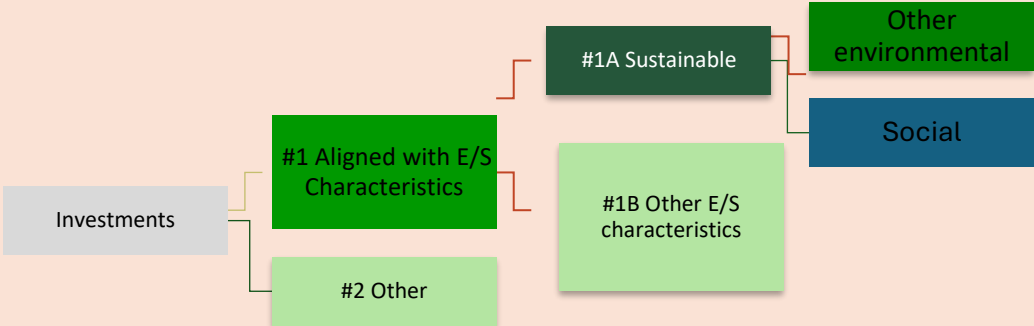
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?).

By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying

	constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager's view) to liquidate the position. The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index. <u>Governance Processes</u> The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.
	● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i> The binding elements of the investment strategy are that the Fund will invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i> There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the Parent Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the Parent Index. For example, if issuers in the Parent Index engage in fewer activities that are excluded from the Parent Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> Good governance checks are incorporated within the methodology of the Benchmark Index. The index provider excludes issuers from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) and excludes

	issuers that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product? above). Issuers that cannot be assessed by the index provider for an ESG controversy score where data is not available are also excluded from the Benchmark Index.
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark Index. As such, at each index rebalance, the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 15% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria of the Benchmark Index) and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index. Where any investment ceases to qualify as a sustainable investment between index rebalances, the Fund's holdings in sustainable investments may fall below the minimum proportion of sustainable investments. The Fund may invest up to 20% of its total assets in other investments('#2 Other').
	 <pre> graph LR Investments[Investments] --> #1[#1 Aligned with E/S Characteristics] Investments --> #2[#2 Other] #1 --> #1A[#1A Sustainable] #1 --> #1B[#1B Other E/S characteristics] #1A --> OtherEnv[Other environmental] #1A --> Social[Social] </pre>
	#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers: – The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives.

- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

● **Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy²?**

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

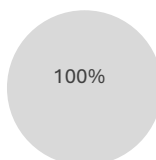
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

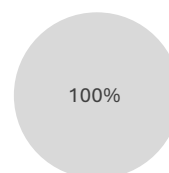
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

² Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	● What is the minimum share of investments in transitional and enabling activities?
	This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.
 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? A minimum of 15% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What is the minimum share of socially sustainable investments? A minimum of 15% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the Bloomberg MSCI Euro Corporate High Yield Climate Paris-Aligned ESG Select Index (PAB), its Benchmark Index, which incorporates the index provider's ESG selection criteria. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? At each index rebalance, the index provider applies the ESG selection criteria to the Parent Index to exclude issuers that do not meet such ESG selection criteria. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?

	At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	● How does the designated index differ from a relevant broad market index? The Benchmark Index has been labelled by the index provider as an EU Paris-aligned benchmark (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation. The Benchmark Index selects, weights and, where applicable, excludes issuers from the Parent Index to align with the climate commitments laid down in the Paris Agreement. The ESG selection criteria that is applied by the index provider is set out above (see What environmental and/or social characteristics are promoted by this financial product?).
	● Where can the methodology used for the calculation of the designated index be found? The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices. The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Product name: iShares AI Adopters & Applications UCITS ETF	
	Legal entity identifier: 5299009CAAG0XC2NZ539	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
	☒ ☒ Yes	☒ ☐ No
☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments	
☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy	
☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	
☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective	
☐ It promotes E/S characteristics, but will not make any sustainable investments	☐ It promotes E/S characteristics, but will not make any sustainable investments	
	What environmental and/or social characteristics are promoted by this financial product?	
The Fund promotes environmental characteristics related to reduction of non-renewable natural resource utilisation and pollution by excluding direct investment in issuers involved in, for example, thermal coal, unconventional oil and gas, conventional oil and gas and nuclear power, each in line with the Fund's Benchmark Index, the STOXX Global AI Adopters and Applications Index. The Fund promotes environmental characteristics related to the reduction of severe environmental related controversies by excluding issuers with a severe ESG controversy rating in relation to environmental issues, which may include biodiversity and land use, energy use and greenhouse gas and other emissions, water use and waste issues. An ESG controversy rating measures an issuer's involvement (or alleged involvement) in incidents with negative environmental, social and governance (ESG) implications. In addition, the Fund promotes social characteristics related to: (i) Reduction of the availability of weapons by excluding direct investment in companies involved in controversial weapons, small arms and military contracting; (ii) Better health and wellbeing by excluding direct investment in companies involved in production and distribution of tobacco; and		

	(iii) Support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in companies deemed to have failed to comply with the 10 UN Global Compact Principles; each in line with the Fund's Benchmark Index The Fund also promotes social characteristics related to the reduction of severe social related controversies by excluding issuers with a severe ESG controversy rating in relation to social issues, such as bribery and corruption and workplace discrimination. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. The activity may relate to production or distribution or both. Further detail on the exclusions applied to promote environmental and/or social characteristics can be found in the methodology of the Benchmark Index. The Fund invests at least 20% of its holdings in Sustainable Investments, in line with the Fund's Benchmark Index, which contribute to the objectives outlined below and which are aligned with the environmental and/or social characteristics being promoted by the Fund. The Fund promotes the environmental and social characteristics by tracking its Benchmark Index. The Benchmark Index has a methodology that is consistent with the environmental and social characteristics that are promoted by the Fund. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of companies involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of companies deemed to have violated commonly accepted international norms and standards as described above (see What environmental and/or social characteristics are promoted by this financial product?). 3. The exclusion of companies with a severe ESG controversy rating as described above (see What environmental and/or social characteristics are promoted by this financial product?). 4. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?) 5. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider on a quarterly basis save for the exclusion of issuers involved in the following activities which will be applied by the index provider on an annual basis: controversial weapons, small weapons,

	military contracting, production and distribution of tobacco, unconventional oil and gas, conventional oil and gas, thermal coal and nuclear power.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	By investing in a portfolio of equity securities that, as far as possible and practicable, consists of the component securities of the Fund's Benchmark Index, a proportion of the Fund's investments will be in activities deemed to contribute to positive environmental and/or social impacts or in companies which have committed to science-based carbon reduction targets (as described below). The index provider seeks to allocate a proportion of the Benchmark Index to companies that either: (1) derive a minimum net positive revenue from products or services that seek to contribute to addressing environmental or social issues, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The Benchmark Index aims to identify companies with a minimum net positive revenue from products or services that seek to contribute to addressing environmental or social issues identified by the United Nations Sustainable Development Goals or other sustainability-related frameworks. The Benchmark Index considers companies deriving revenues from activities addressing environmental issues such as air pollution and climate change. The Benchmark Index also considers companies deriving revenues from activities addressing social issues such as malnutrition or lack of sanitation infrastructure. The environmental and social themes together with the minimum net positive revenue thresholds are determined by the index provider and are applied at each index rebalance of the Benchmark Index. The Benchmark Index also seeks to identify constituents with a commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for companies and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund may contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the starting universe of the Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> At each index rebalance, all investments qualifying as sustainable investments are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, companies are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where a company has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. By tracking the Benchmark Index which incorporates these environmental and social related screens, the Investment Manager has determined that, at each index rebalance (or as soon as possible and practicable thereafter), the Fund's investments qualifying as sustainable investments, will not cause significant harm to any environmental or social sustainable objective within the meaning of applicable law and regulation.

		— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
		The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable investments. The mandatory indicators are set out in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) companies deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to greenhouse gas emissions) (2) companies with an ISS ESG Carbon Risk Rating below 25 that measures companies' preparedness for the transition to a low-carbon economy and that are identified as being a Climate Laggard (taking into account indicators relating to greenhouse gas emissions including carbon emissions and renewable/non-renewable energy use), and (3) companies identified as 'Red' as part of the index provider's norms based screening assessment that have been deemed to have failed to adhere to established norms (and address related issues) relating to labour standards, environmental protection and anti-corruption established in the UN Global Compact and the OECD Guidelines (taking into account indicators relating to biodiversity, water, waste and social and employee matters). The Benchmark Index also excludes: (1) companies which are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs) and their underlying conventions and (2) companies determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).
		— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
		The Fund's Benchmark Index excludes issuers which are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs) and their underlying conventions. The Benchmark Index applies the above exclusionary criteria at each index rebalance.

The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.

The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

Any other sustainable investments must also not significantly harm any environmental or social objectives.



Does this financial product consider principal adverse impacts on sustainability factors?

☒ Yes

☐ No

Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as ‘X’ in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance.

The Fund’s annual report will include information on the principal adverse impacts on sustainability factors set out below.

	PAI Description	Benchmark Index Selection Criteria			
		Exclusion of issuers based on certain environmental screens (listed above)	Exclusion of Issuers based on an ESG controversy rating	Exclusion of issuers with a severe ESG controversy rating	Exclusion of issuers determined to have any tie to controversial weapons
Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)				
	1.(b) GHG emissions (Scope 3)				
	2. Carbon footprint				
	3. GHG intensity				
	4. % in Fossil Fuels	X			
	5. Non-Renewable / Renewable %				
Biodiversity	6. High impact sector energy consumption				
	7. Negative impact to Biodiversity sensitive areas		X		
Water	8. Emissions to Water		X		
Waste	9. Hazardous Waste		X		
Social and employee matters	10. UNGC + OECD Violations			X	
	11. UNGC + OECD Process, Monitoring				
	12. Unadjusted gender pay gap				
	13. Board gender diversity				
	14. Controversial weapons				X



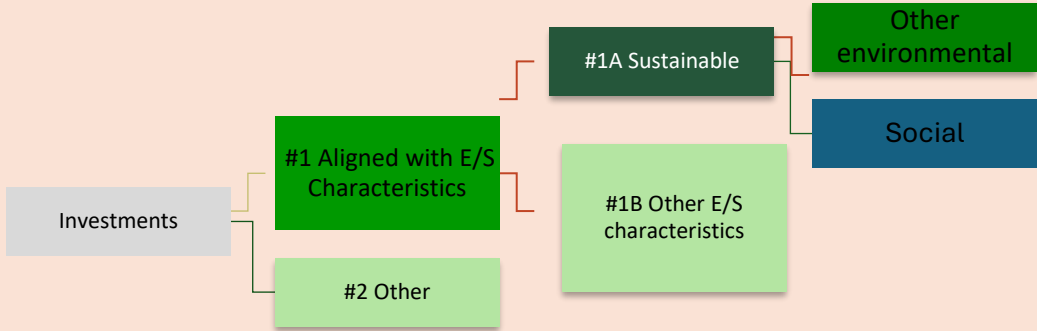
What investment strategy does this financial product follow?

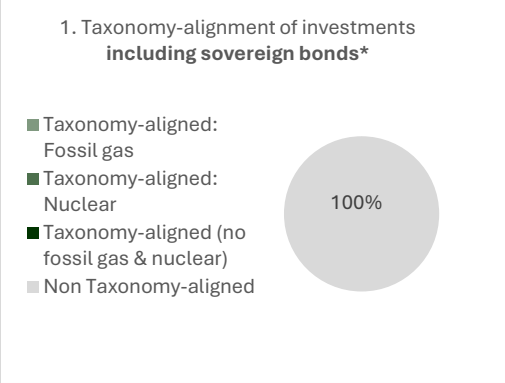
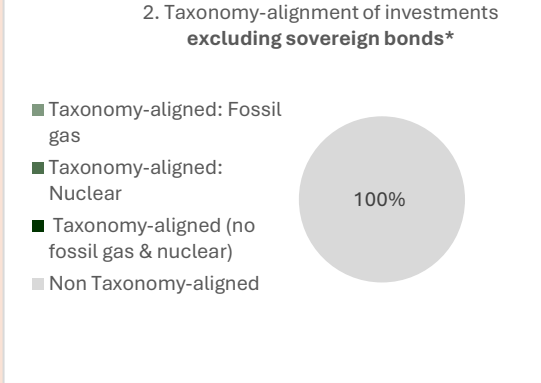
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?).

The Fund seeks to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index where possible and practicable.

	By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index.
	● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i>
	The binding elements of the investment strategy are that the Fund will invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the STOXX World AC Universal All Cap Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the STOXX World AC Universal All Cap Index. For example, if issuers in the STOXX World AC Universal All Cap Index engage in fewer activities that are excluded from the STOXX World AC Universal All Cap Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> Good governance checks are incorporated within the methodology of the Benchmark Index. The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies. The index provider excludes companies from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) and excludes companies that are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC)

	Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs), and their underlying conventions.
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in securities within the Benchmark Index. As such, at each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 20% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund may invest up to 20% of its total assets in other investments ('#2 Other').
	 <pre> graph LR Investments[Investments] --> N1[#1 Aligned with E/S Characteristics] Investments --> N2[#2 Other] N1 --> N1A[#1A Sustainable] N1 --> N1B[#1B Other E/S characteristics] N1A --> N1A1[Other environmental] N1A --> N1A2[Social] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers: – The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives. – The sub-category #1B Other E/S characteristics covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For nuclear energy, the criteria include comprehensive safety and waste management rules. Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.	How does the use of derivatives attain the environmental or social characteristics promoted by the financial product? The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.  To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy. ● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy³? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ✓ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy. The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds. 1. Taxonomy-alignment of investments including sovereign bonds*  2. Taxonomy-alignment of investments excluding sovereign bonds*  * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures ● What is the minimum share of investments in transitional and enabling activities? This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.
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³ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? A minimum of 20% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What is the minimum share of socially sustainable investments? A minimum of 20% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the STOXX Global AI Adopters and Applications Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? The ESG selection criteria of the Benchmark Index is applied by the index provider on a quarterly basis save for the exclusion of issuers involved in the following activities which will be applied by the index provider on an annual basis: controversial weapons, small weapons, military contracting, production and distribution of tobacco, unconventional oil and gas, conventional oil and gas, thermal coal and nuclear power. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.

	● <i>How does the designated index differ from a relevant broad market index?</i> The Benchmark Index excludes issuers that do not meet its ESG selection criteria from the STOXX World AC Universal All Cap Index, which is a broad market index. The ESG selection criteria that is excluded is set out above (see What environmental and/or social characteristics are promoted by this financial product?).
	● <i>Where can the methodology used for the calculation of the designated index be found?</i> The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.stoxx.com/document/Indices/Common/Indexguide/stoxx_index_guide.pdf
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled Investment Objective Investment Policy SFDR and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices. The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Product name: iShares AI Infrastructure UCITS ETF	
	Legal entity identifier: 529900HH0ETCJJ4WKL15	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
	☒ ☒ Yes	☒ ☐ No
☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments	
☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy	
☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	
☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments	
	What environmental and/or social characteristics are promoted by this financial product?	
The Fund promotes environmental characteristics related to reduction of non-renewable natural resource utilisation and pollution by excluding direct investment in issuers involved in, for example, thermal coal, unconventional oil and gas, conventional oil and gas and nuclear power, each in line with the Fund's Benchmark Index, the STOXX Global AI Infrastructure Index. The Fund promotes environmental characteristics related to the reduction of severe environmental related controversies by excluding issuers with a severe ESG controversy rating in relation to environmental issues, which may include biodiversity and land use, energy use and greenhouse gas and other emissions, water use and waste issues. An ESG controversy rating measures an issuer's involvement (or alleged involvement) in incidents with negative environmental, social and governance (ESG) implications. In addition, the Fund promotes social characteristics related to: (i) Reduction of the availability of weapons by excluding direct investment in companies involved in controversial weapons, small arms and military contracting;		

	(ii) Better health and wellbeing by excluding direct investment in companies involved in production and distribution of tobacco; and (iii) Support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in companies deemed to have failed to comply with the 10 UN Global Compact Principles; each in line with the Fund's Benchmark Index The Fund also promotes social characteristics related to the reduction of severe social related controversies by excluding issuers with a severe ESG controversy rating in relation to social issues, such as bribery and corruption and workplace discrimination. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. The activity may relate to production or distribution or both. Further detail on the exclusions applied to promote environmental and/or social characteristics can be found in the methodology of the Benchmark Index. The Fund invests at least 20% of its holdings in Sustainable Investments, in line with the Fund's Benchmark Index, which contribute to the objectives outlined below and which are aligned with the environmental and/or social characteristics being promoted by the Fund. The Fund promotes the environmental and social characteristics by tracking its Benchmark Index. The Benchmark Index has a methodology that is consistent with the environmental and social characteristics that are promoted by the Fund. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of companies involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of companies deemed to have violated commonly accepted international norms and standards as described above (see What environmental and/or social characteristics are promoted by this financial product?). 3. The exclusion of companies with a severe ESG controversy rating as described above (see What environmental and/or social characteristics are promoted by this financial product?). 4. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 5. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider on a quarterly basis save for the exclusion of issuers involved in the following activities which will

	be applied by the index provider on an annual basis: controversial weapons, small weapons, military contracting, production and distribution of tobacco, unconventional oil and gas, conventional oil and gas, thermal coal and nuclear power.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	By investing in a portfolio of equity securities that, as far as possible and practicable, consists of the component securities of the Fund's Benchmark Index, a proportion of the Fund's investments will be in activities deemed to contribute to positive environmental and/or social impacts or in companies which have committed to science-based carbon reduction targets (as described below). The index provider seeks to allocate a proportion of the Benchmark Index to companies that either: (1) derive a minimum net positive revenue from products or services that seek to contribute to addressing environmental or social issues, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The Benchmark Index aims to identify companies with a minimum net positive revenue from products or services that seek to contribute to addressing environmental or social issues identified by the United Nations Sustainable Development Goals or other sustainability-related frameworks. The Benchmark Index considers companies deriving revenues from activities addressing environmental issues such as air pollution and climate change. The Benchmark Index also considers companies deriving revenues from activities addressing social issues such as malnutrition or lack of sanitation infrastructure. The environmental and social themes together with the minimum net positive revenue thresholds are determined by the index provider and are applied at each index rebalance of the Benchmark Index. The Benchmark Index also seeks to identify constituents with a commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for companies and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund may contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the starting universe of the Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> At each index rebalance, all investments qualifying as sustainable investments are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, companies are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where a company has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. By tracking the Benchmark Index which incorporates these environmental and social related screens, the Investment Manager has determined that, at each index rebalance (or as soon as possible and practicable thereafter), the Fund's investments qualifying as sustainable

	investments, will not cause significant harm to any environmental or social sustainable objective within the meaning of applicable law and regulation.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable investments. The mandatory indicators are set out in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) companies deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to greenhouse gas emissions) (2) companies with an ISS ESG Carbon Risk Rating below 25 that measures companies' preparedness for the transition to a low-carbon economy and that are identified as being a Climate Laggard (taking into account indicators relating to greenhouse gas emissions including carbon emissions and renewable/non-renewable energy use), and (3) companies identified as 'Red' as part of the index provider's norms based screening assessment that have been deemed to have failed to adhere to established norms (and address related issues) relating to labour standards, environmental protection and anti-corruption established in the UN Global Compact and the OECD Guidelines (taking into account indicators relating to biodiversity, water, waste and social and employee matters). The Benchmark Index also excludes: (1) companies which are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs) and their underlying conventions and (2) companies determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i> The Fund's Benchmark Index excludes issuers which are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs) and their underlying conventions. The Benchmark Index applies the above exclusionary criteria at each index rebalance.
	<i>The EU Taxonomy sets out a "do not significant harm" principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The "do no significant harm" principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>



Does this financial product consider principal adverse impacts on sustainability factors?

✓ Yes

□ No

Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as 'X' in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance.

The Fund's annual report will include information on the principal adverse impacts on sustainability factors set out below.

	PAI Description	Benchmark Index Selection Criteria			
		Exclusion of issuers based on certain environmental screens (listed above)	Exclusion of Issuers based on an ESG controversy rating	Exclusion of Issuers with a severe ESG controversy rating	Exclusion of issuers determined to have any tie to controversial weapons
Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)				
	1.(b) GHG emissions (Scope 3)				
	2. Carbon footprint				
	3. GHG intensity				
	4. % in Fossil Fuels	X			
	5. Non-Renewable / Renewable %				
Biodiversity	6. High impact sector energy consumption				
	7. Negative impact to Biodiversity sensitive areas		X		
Water	8. Emissions to Water		X		
Waste	9. Hazardous Waste		X		
Social and employee matters	10. UNGC + OECD Violations			X	
	11. UNGC + OECD Process, Monitoring				
	12. Unadjusted gender pay gap				
	13. Board gender diversity				
	14. Controversial weapons				X



What investment strategy does this financial product follow?

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?).

The Fund seeks to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index where possible and practicable.

By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index.

	● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i> The binding elements of the investment strategy are that the Fund will invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. (see What environmental and/or social characteristics are promoted by this financial product?). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the STOXX World AC Universal All Cap Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the STOXX World AC Universal All Cap Index. For example, if issuers in the STOXX World AC Universal All Cap Index engage in fewer activities that are excluded from the STOXX World AC Universal All Cap Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> Good governance checks are incorporated within the methodology of the Benchmark Index. The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies. The index provider excludes companies from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) and excludes companies that are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs), and their underlying conventions.
 Asset allocation describes the share of investments in specific assets.	What is the asset allocation planned for this financial product? The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index.

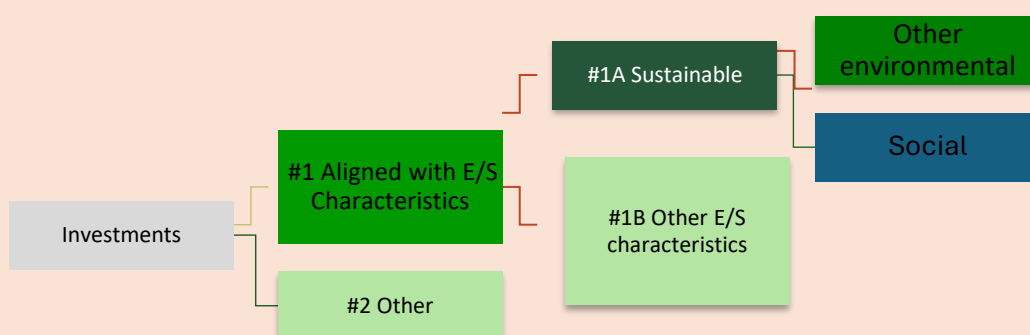
Taxonomy-aligned activities are expressed as a share of:

- **turnover** reflecting the share of revenue from green activities of investee companies
- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.

It is expected that at least 80% of the Fund's assets will be invested in securities within the Benchmark Index. As such, at each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 20% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance).

In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The Fund may invest up to 20% of its total assets in other investments ('#2 Other').



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁴?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

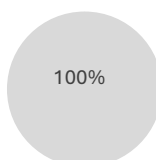
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

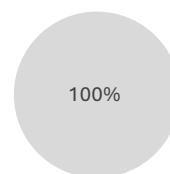
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

● What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.



are sustainable investments with an environmental objective that **do not take into account the criteria** for



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 20% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the Benchmark

⁴ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

environmentally sustainable economic activities under the EU Taxonomy.	Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What is the minimum share of socially sustainable investments?
	A minimum of 20% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?
Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the STOXX Global AI Infrastructure Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria.
	● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?
	The ESG selection criteria of the Benchmark Index is applied by the index provider on a quarterly basis save for the exclusion of issuers involved in the following activities which will be applied by the index provider on an annual basis: controversial weapons, small weapons, military contracting, production and distribution of tobacco, unconventional oil and gas, conventional oil and gas, thermal coal and nuclear power.
	● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?
	At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	● How does the designated index differ from a relevant broad market index?
	The Benchmark Index excludes issuers that do not meet its ESG selection criteria from the STOXX World AC Universal All Cap Index, which is a broad market index. The ESG selection criteria that is excluded is set out above (see What environmental and/or social characteristics are promoted by this financial product?).

	● Where can the methodology used for the calculation of the designated index be found?
	The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.stoxx.com/document/Indices/Common/Indexguide/stoxx_index_guide.pdf
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled Investment Objective Investment Policy SFDR and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares AI Innovation Active UCITS ETF	
	Legal entity identifier: 5299008F5PSDKAK3GP04	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund aims to promote environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation. The Fund aims to promote social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons and nuclear weapons, and production and distribution of civilian firearms, (b) better health and wellbeing by excluding direct investment in issuers involved in production and distribution of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of the BlackRock EMEA Baseline Screens using its proprietary fundamental insights methodology (the “Fundamental Insights Methodology”). The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question “What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?” below.	

	The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund include: • The Fund's consideration of principal adverse impacts (PAIs) on sustainability factors, as described below. • The Fund's exclusion of holdings in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens with the Fundamental Insights Methodology, as described above.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund does not commit to holding Sustainable Investments.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Not applicable as this Fund does not commit to investing in Sustainable Investments.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	Not applicable as this Fund does not commit to investing in Sustainable Investments. Please refer to the section below, "Does this financial product consider principal adverse impacts on sustainability factors?", which describes how the Fund considers PAIs on sustainability factors.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Not applicable as this Fund does not commit to investing in Sustainable Investments.
	<i>The EU Taxonomy sets out a "do not significant harm" principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The "do no significant harm" principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>

	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of the BlackRock EMEA Baseline Screens with the Fundamental Insights Methodology. The Fund takes into account the following PAIs: • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons)
	What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The Fund is actively managed and the Investment Manager has full discretion to select the Fund's investments. The Fund will employ a fundamental active equity investment strategy. The investment objective of the Fund is to achieve long-term capital growth, through investment of at least 70% of its total assets in the global equity securities of large, medium and small market capitalisation developed and emerging market companies whose predominant economic activity is the advancement, development, and use of artificial intelligence ("AI") technology. The Investment Manager considers a company to be an AI company if it is expected to derive future revenue from the advancement, enablement, development, and/or use of AI technology. Such companies are generally expected to operate in one or more of the following business areas: (i) computing and infrastructure (e.g., Graphics Processing Units (GPUs), cloud computing and data centers); (ii) foundational models (machine learning models trained on broad, large-scale data for the purposes of performing a wide variety of tasks); (iii) data (e.g., vertical industry data and proprietary data); (iv) software (e.g., enterprise applications); (v) services (e.g., information technology ("IT") services); (vi) internet (e.g., chatbots or content creation); or (vii) hardware (e.g., robotics, smart glasses). The Investment Manager determines, at its discretion, whether a company is an AI-related company. The Investment Manager stores and analyses data from various sources, including company meetings, company conference calls, sell-side analysts and multiple data services and databases for the initial part of the investment process while determining appropriateness for this strategy. Depending on the business area as described above and maturity of the company, the Investment Manager uses a range of valuation metrics including discounted cash flow (i.e. valuing a company based on the present value of its expected future cash flows), and free cash flow yield (i.e. ratio of the cash flow from a company's operations to the company's market capitalisation), among others. Once the Investment Manager has initiated due diligence on the company, identified alignment to the AI theme and conducted analysis of the valuation and potential risks, stocks are selected by the Investment Manager on the basis of the team's bottom-up fundamental analysis (i.e. analysis that focuses on an individual company's intrinsic value by reference to its earnings, level of debt, competitive strengths, etc., rather than broader market conditions). The portfolio management team seeks to mitigate portfolio risk through diversification by business area as described above, country, market-capitalisation, issuer, and, to a lesser extent, investment style.

In normal market conditions the Fund will invest in equity securities of companies with large, medium and small market capitalisation (market capitalisation is the share price of the company multiplied by the number of shares issued). Although it is likely that most of the Fund's investments will be in companies located in developed markets globally, the Fund may also invest in emerging markets.

The Fund will apply exclusionary screens, the BlackRock EMEA Baseline Screens and Fundamental Insights Methodology, to the companies within the investment universe.

Subject always to investing in such assets as required for the Fund to meet its investment objective, the Investment Manager will manage the Fund to promote environmental and social characteristics based on environmental and social criteria set out in the binding elements section below.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

The Fund's exclusion of holdings in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens, as described below.

- (i) Issuers which are engaged in, or are otherwise exposed to the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation, with the exception of "green bonds", that are considered to comply with the International Capital Markets Association's Green Bond Principles, from such issuers.
- (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
- (iv) Issuers deriving any revenue from direct involvement in the production of nuclear weapons or nuclear weapon components or delivery platforms, or the provision of auxiliary services related to nuclear weapons.
- (v) Issuers which produce tobacco products.
- (vi) Issuers which derive more than 5% of their revenue from the production, distribution, retail and supply of tobacco-related products.
- (vii) Issuers which produce firearms and/or small arms ammunition intended for retail to civilians.
- (viii) Issuers which derive more than 5% of their revenue from the distribution (wholesale or retail) of firearms and/or small arms ammunition intended for civilian use.
- (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

Fundamental Insights Methodology: The Investment Manager then applies the Fundamental Insights Methodology, (see further detail on <https://www.blackrock.com/corporate/literature/publication/blackrock-baseline-screens-in-europe-middleeast-and-africa.pdf>) to identify companies that would otherwise have been excluded by the exclusionary screens but that it considers to be appropriate for investment on the basis that they are "in transition" and focused on meeting sustainability criteria over time,

	or are otherwise meeting other criteria in accordance with the Fundamental Insights Methodology requirements. The Fundamental Insights Methodology uses quantitative and qualitative inputs generated by the Investment Adviser, its affiliates and/or one or more external research providers. Where a company is identified by the Investment Adviser as meeting the criteria in the Fundamental Insights Methodology for investment and is approved in accordance with the Fundamental Insights Methodology, it is eligible to be held by the Fund. Such companies are regularly reviewed. In the event that the Investment Adviser determines that a company fails the criteria in the Fundamental Insights Methodology (in whole or in part and at any time) or it is not engaging with the Investment Adviser on a satisfactory basis, it will be considered for divestment by the Fund in accordance with the Fundamental Insights Methodology. As per the Fundamental Insights Methodology, the Fund applies the following exclusionary screens based on the environmental, social and governance (ESG) related characteristics set out below. The Investment Manager intends to limit and/or exclude direct investment (as applicable) in issuers which are identified as being involved in certain activities as described in summary below (involvement may be based on either the issuer's activity exceeding a threshold criteria or the issuer having any direct engagement in the activity): • Nuclear Weapons: Issuers deriving any revenue from direct involvement in the production of nuclear warheads. • Fossil Fuels: Issuers deriving more than 25% of their revenue from thermal coal extraction and/or thermal coal-based power generation, with the exception of "green bonds", that are considered to comply with the International Capital Markets Association's Green Bond Principles, from such issuers. Issuers deriving more than 25% of their revenue from the production of tar sands (also known as oil sands). • Tobacco: Issuers which produce tobacco products. Issuers which derive more than 5% of their revenue from the wholesale distribution and supply of tobacco related products. • Civilian Firearms: Issuers domiciled in the United States which produce firearms and/or small arms ammunition intended for retail to civilians. Issuers which derive more than 5% of their revenue from the production or retail distribution of firearms and/or small arms ammunition intended for civilian use. • Controversial Business Practices: Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). Any exemption requests require approval from BlackRock's Investment Sustainability Committee. Any issuers granted such an exemption will continue to be monitored by the Committee to ensure they remain eligible in the future
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.



Asset allocation describes the share of investments in specific assets.

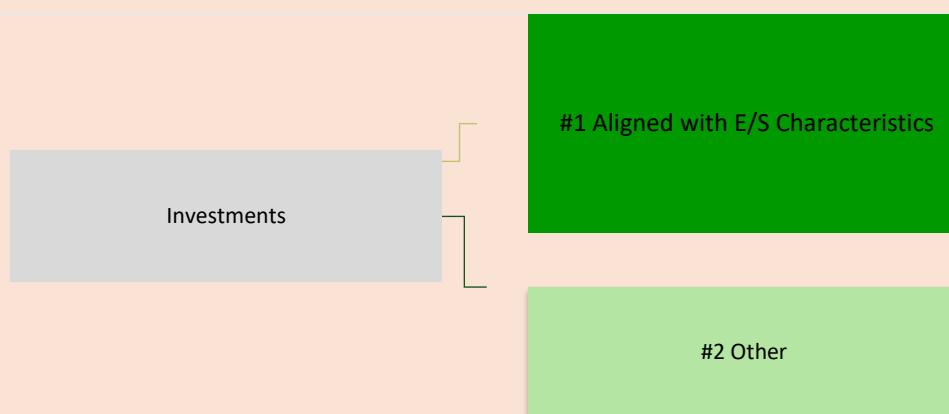
Taxonomy-aligned activities are expressed as a share of:

- **turnover** reflecting the share of revenue from green activities of investee companies
- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.

What is the asset allocation planned for this financial product?

A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). This will include at least 70% of the Fund's total assets invested in equity securities as described above and may also include up to 10% of the Fund's total assets invested in fixed income securities and other open-ended collective investment undertakings in accordance with the Fund's investment policy.

The Fund may invest up to 20% of its total assets in other investments ('#2 Other').



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective aligned with the EU Taxonomy.

● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁵?

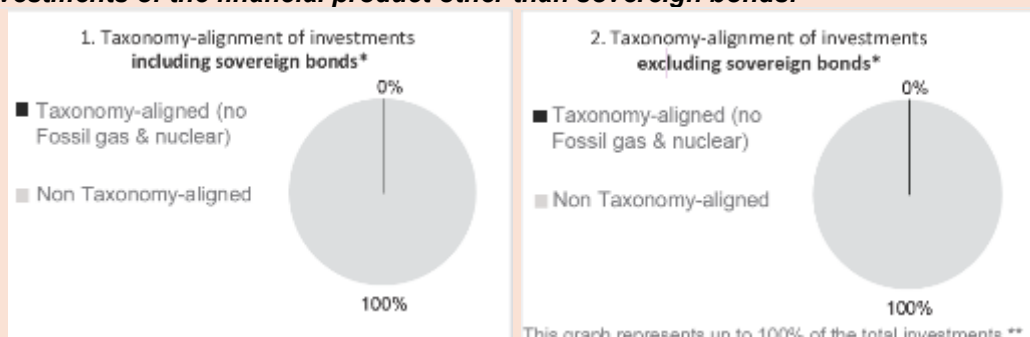
☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

** As the Fund does not commit to making sustainable investments aligned with the EU Taxonomy, the proportion of sovereign bonds in the Fund portfolio will not impact the proportion of sustainable investments aligned with the EU Taxonomy included in the graph.

● What is the minimum share of investments in transitional and enabling activities?

The Fund does not commit to making investments in transitional and enabling activities.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

The Fund does not commit to holding Sustainable Investments.

are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.

⁵ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	 What is the minimum share of socially sustainable investments?
	The Fund does not commit to holding Sustainable Investments.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund’s (non ESG) investment objective, for the purposes of liquidity management and/or hedging. No other holdings are considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?
	No.
	● <i>How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?</i>
	Not applicable.
	● <i>How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?</i>
	Not applicable.
	● <i>How does the designated index differ from a relevant broad market index?</i>
	Not applicable.
	● <i>Where can the methodology used for the calculation of the designated index be found?</i>
	Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.blackrock.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares Asia ex Japan Equity Enhanced Active UCITS ETF	
	Legal entity identifier: 529900JQFHL0EN7T1X02	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund invests a minimum of 20% of its total assets in Sustainable Investments, across environmental and social objectives. BlackRock defines Sustainable Investments as investments in issuers or securities that contribute to an environmental or social objective, do not significantly harm any of those objectives and where investee companies follow good governance practices. BlackRock refers to relevant sustainability frameworks to identify the alignment of the investment to environmental or social objectives. Sustainable Investments should also meet the do no significant harm (DNSH) requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria to assess whether an issuer or investment does significant harm. The Fund aims to promote environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Parent Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the	

	reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund's holdings are used to measure this aim. Additionally, the Fund aims to promote environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of exclusionary screens. The Fund aims to promote social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons, nuclear warheads and nuclear missiles, and/or essential components for exclusive use in nuclear weapons, issuers that have ties to automatic/semi-automatic firearms or ammunition production intended for civilian use, or those that derive revenue from the production or distribution of firearms and/or small arms ammunition intended for civilian use, (b) better health and wellbeing by excluding direct investment in issuers involved in production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of exclusionary screens. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question "What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?" below. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, the Parent Index is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in Sustainable Investments, as described above. • The Fund's carbon emissions intensity, as described above. • The Fund's consideration of principal adverse impacts (PAIs) on sustainability factors, as described below. • The Fund's exclusion of holdings in issuers identified by the exclusion criteria set out in the exclusionary screens, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock's DNSH standard outlined above. BlackRock invests in Sustainable Investments which contribute to a range of environmental and / or social objectives which may include but are not limited to, alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health,

	nutrition, sanitation and education and the UN Sustainable Development Goals (“Environmental and Social Objectives”). An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer’s business activity contributes to an Environmental and/or Social Objective; or b) the issuer’s business practices contribute to an Environmental and/or Social Objective.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment’s business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock’s Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.

		<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>
	Does this financial product consider principal adverse impacts on sustainability factors?	
		✓ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of exclusionary screens and its carbon reduction target. The Fund takes into account the following PAIs: • GHG emissions • Carbon footprint • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Share of non-renewable energy consumption and production • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, this Fund takes into account the PAIs through BlackRock’s DNSH standard for Sustainable Investments. This Fund will provide information on the PAIs in its annual report.	
	What investment strategy does this financial product follow?	
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The investment objective of the Fund is to achieve long-term capital growth. The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, Asia (not including Japan). The Fund does not have any specific industry focus. The Fund’s assets will be invested in accordance with the ESG Policy.	

The Fund may invest up to 70% of its total assets in emerging markets. Such exposure may include up to 50% of its total assets in China via Stock Connect and up to 50% of its total assets in India. Please refer to the “Risk Factors” section under the headings “Investment in the PRC”, “Risks Related to Investment in the PRC via the Stock Connect” and “India” for further information on investment in these countries.

The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value, momentum and quality), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund’s portfolio, removing any that conflict with the Fund’s ESG Policy and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets outside Asia. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities. Such underlying equity securities may be issued from within emerging markets jurisdictions.

The Fund may also invest up to 10% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) (“**Cash Holdings**”) and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading “Management of Cash Holdings and FDI Cash Holdings”.

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of

which is in, Asia (not including Japan). Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

The maximum proportion of the Net Asset Value of the Fund that can be subject to total return swaps is 100%. The expected proportion of the Net Asset Value of the Fund that will be subject to total return swaps is 10%. The expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Investment Manager will apply exclusionary screens.

The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI AC Asia ex Japan Index (the '**Parent Index**'). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

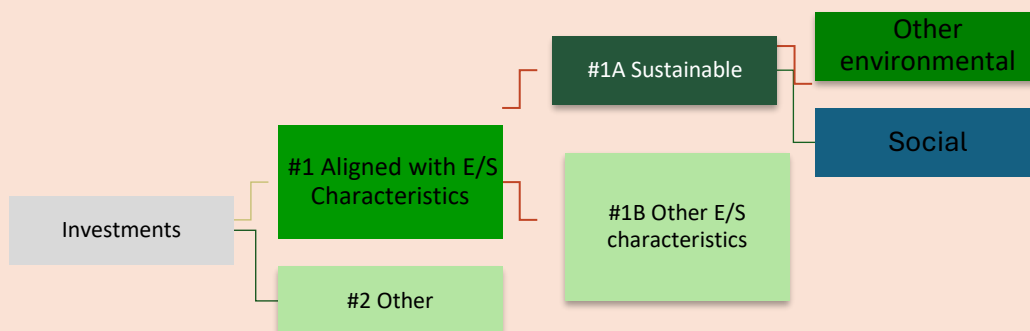
● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund's carbon emissions intensity is lower than that of the Parent Index.
- Application of the exclusionary screens described below:
 - (i) Issuers which are engaged in, or are otherwise exposed to, the production

		of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons). (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation. (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands). (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons. (v) Issuers which produce tobacco products. (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use. (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use. (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use. (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). • Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.
		● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
		Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate.
		● <i>What is the policy to assess good governance practices of the investee companies?</i>
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.		BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.
		What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies		A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ('#2 Other').

- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁶?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

✓ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and

⁶ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

among others have greenhouse gas emission levels corresponding to the best performance.	1. Taxonomy-alignment of investments including sovereign bonds* 2. Taxonomy-alignment of investments excluding sovereign bonds* * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures
	● What is the minimum share of investments in transitional and enabling activities?
	This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.
are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or asocial objective or a combination of both, and the exact composition may fluctuate. The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.
	 What is the minimum share of socially sustainable investments?
	A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or asocial objective or a combination of both, and the exact composition may fluctuate.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging. No other holdings are considered against minimum environmental or social safeguards.



Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.

Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

No.

Please note that the Parent Index is used to compare certain ESG characteristics promoted by the Fund.

● ***How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?***

Not applicable.

● ***How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?***

Not applicable.

● ***How does the designated index differ from a relevant broad market index?***

Not applicable.

● ***Where can the methodology used for the calculation of the designated index be found?***

Not applicable.



Where can I find more product specific information online?

More product-specific information can be found on the website:

For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

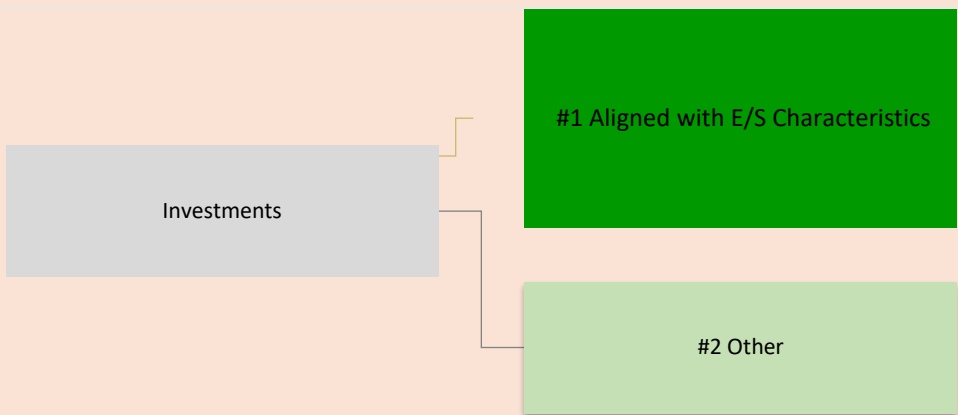
**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices. The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Product name: iShares AT1 Bond Active UCITS ETF	
	Legal entity identifier: 52990023BQT90QB36L37	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
	☒ ☒ Yes	☒ ☐ No
☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments	
☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy	
☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	
☐ It will make a minimum of sustainable investments with a social objective: ____%	☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments	
	What environmental and/or social characteristics are promoted by this financial product?	
The Fund promotes environmental characteristics related to (i) the support for the transition to a lower carbon economy, and (ii) climate change mitigation, by seeking to enhance, by at least 5% as compared to the ICE Developed Markets Contingent Capital Index (the "Index"), exposure to investments that are deemed to have associated positive externalities and by seeking to exclude exposure to investments that are deemed to have associated negative externalities. Investments with positive externalities shall include (among other things) financial institutions: (i) that have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi); or (ii) that finance green building and renewable energy projects. Investments with negative externalities shall include financial institutions: (i) involved in very serious ESG controversies or (ii) demonstrating poor management measures concerning ESG risks and opportunities compared with its industry peers. The Fund also promotes social and environmental characteristics relating to support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed by the Investment Manager to have failed to comply with the 10 UN Global Compact Principles, through the application of the BlackRock EMEA Baseline Screens.		

	The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however the Index is used as a comparison for certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund are: • The percentage of the Fund (expected to be 0%) directly invested in issuers deemed by the Investment Manager to have failed to comply with the 10 UN Global Compact Principles. • The Fund's exposure to investments deemed by the Investment Manager to have associated positive externalities (including financial institutions that have one or more active carbon emissions reduction target(s) approved by the SBTi or that finance green building and renewable energy), as described above (expected to be at least 5% higher than that of the Index). • The Fund's exposure to investments deemed by the Investment Manager to have associated negative externalities, as described above (expected to be 0%).
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund does not commit to holding Sustainable Investments.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti- bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	Not applicable as this Fund does not commit to investing in Sustainable Investments.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	Not applicable as this Fund does not commit to investing in Sustainable Investments.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Not applicable as this Fund does not commit to investing in Sustainable Investments.

	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>
	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes,
	☐ No The Fund considers PAIs on sustainability factors through the application of the BlackRock EMEA Baseline Screens and its exclusionary policy. The Fund takes into account the following PAIs: • GHG emissions • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Energy consumption intensity per high impact climate sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Lack of processes and compliance mechanisms to monitor compliance with UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons)
	What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 80% of its total assets in AT1 bonds denominated in different currencies and issued by banks domiciled in developed markets globally. The Fund will seek to identify AT1 bonds and other fixed-income securities (as specified below) that are, in the opinion of the Investment Manager, attractive investments that are appropriately priced based on fundamental (i.e. core analyses in respect of specific securities, such as cash flow, returns and leverage) and quantitative analyses (i.e. mathematical or statistical analyses on a macro level) conducted by the Investment Manager both when identifying potential opportunities and also reviewing securities held in the portfolio. The Investment Manager undertakes a fundamental analysis of the balance and earnings resilience of the relevant issuer in order to form a view on the issuer’s creditworthiness. Sovereign risk (the risk relating to a government’s credit rating) is also assessed, given the correlated nature of sovereign risk and banking sector risk, as is the relevant country’s banking market structure. Quantitative analysis is also undertaken, which includes evaluation of macro-economic factors such as interest rates, recession risks, global economic trends, credit cycles

	and geopolitical risk. The resulting considerations are an input into the credit selection, as well as overall portfolio construction and positioning. The Fund has full flexibility to invest in investment grade and sub-investment grade AT1 bond issues. The Fund may invest up to 20% of its total assets in assets other than AT1 bonds issued by developed market banks, including AT1 bonds issued by banks domiciled in emerging markets and other fixed-income securities which may include government bonds, corporate bonds (including bonds issued by banks that do not qualify as regulatory capital), corporate hybrid bonds, tier 2 bonds and other securities issued by financial institutions that qualify as regulatory capital such as restricted tier 1 securities issued by insurance companies or CET1 equity securities. In each case fixed-income securities may be investment grade or sub-investment grade. The Fund may also invest in other equity securities (subject to a maximum limit of all equity securities (including CET1 equities) of 10%), FDI, other funds and money-market instruments. The Fund's assets will be invested in accordance with the Fund's ESG Policy.
	● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i> The binding elements of the investment strategy used to select the investments to attain each of the environmental and social characteristics promoted by the Fund are as follows: ● UN Global Compact Principles: The Investment Manager applies the BlackRock EMEA Baseline Screens and, as a result, the Fund excludes direct investment in debt securities issued by issuers which have been deemed by the Investment Manager to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anti-corruption). ● Positive / negative externalities: Enhancing, by at least 5% as compared to the Index, exposure to investments that are deemed by the Investment Manager to have associated positive externalities (including, financial institutions that have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi) or that finance green building and renewable energy), while excluding investments that are deemed by the Investment Manager to have associated negative externalities as further described above (see <i>What environmental and/or social characteristics are promoted by this financial product?</i>).
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> The Investment Manager assesses good governance practices of the investee companies by combining proprietary insights by the Investment Manager with data from external ESG research providers. The Investment Manager uses data from external ESG research providers to initially identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.

	Where issuers are identified as potentially having issues with regards to good governance, the issuers are reviewed to ensure that, where the Investment Manager agrees with this external assessment, the Investment Manager is satisfied that the issuer has either taken remediation actions or will take remedial actions within a reasonable time frame. The Investment Manager may also decide to reduce exposure to such issuers.
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	What is the asset allocation planned for this financial product? A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics. The Fund may invest up to 20% of its total assets in other investments ('#2 Other').  <pre> graph LR Investments[Investments] --- Aligned[#1 Aligned with E/S Characteristics] Investments --- Other[#2 Other] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.
	How does the use of derivatives attain the environmental or social characteristics promoted by the financial product? The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.

To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For nuclear energy, the criteria include comprehensive safety and waste management rules. Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.	To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? The Fund does not currently commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective aligned with the EU Taxonomy. ● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ☒ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy. <i>The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.</i> 1. Taxonomy-alignment of investments including sovereign bonds* 2. Taxonomy-alignment of investments excluding sovereign bonds* * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures
	● What is the minimum share of investments in transitional and enabling activities?
	The Fund does not commit to making investments in transitional and enabling activities.
are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? The Fund does not commit to holding Sustainable Investments.

¹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

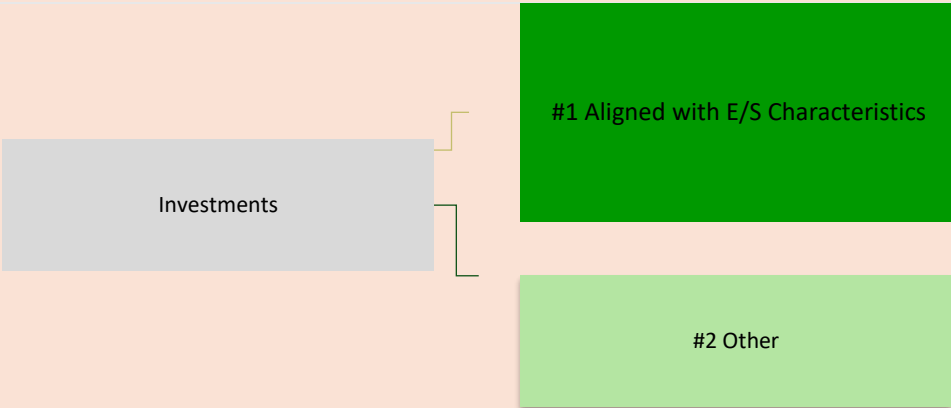
	 What is the minimum share of socially sustainable investments?
	The Fund does not commit to holding Sustainable Investments.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of collective investment schemes (CIS). These investments may be used for investment purposes in pursuit of the Fund’s (non ESG) investment objective, for the purposes of liquidity management and/or hedging. These other holdings are considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No.
	 How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?
	Not applicable.
	 How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?
	Not applicable.
	 How does the designated index differ from a relevant broad market index?
	Not applicable.
	 Where can the methodology used for the calculation of the designated index be found?
	Not applicable.
	Where can I find more product specific information online?
	More product-specific information can be found on the website: Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.blackrock.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares Conservative Portfolio UCITS ETF	
	Legal entity identifier: 5493002HHR8BXQ3YRY43	
	Environmental and/or social characteristics	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Does this financial product have a sustainable investment objective?	
	☒ ☒ ☐ Yes ☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ ☐ ☒ No ☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is actively managed. The Fund seeks to promote environmental and social characteristics by investing at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG Screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprised of bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors such as MSCI) (together the "ESG Criteria"). In relation to underlying UCITS exchange traded funds incorporating ESG Screens, such ESG Screens exclude issuers that are involved in business lines / activities (or related activities) that are contrary to ESG criteria. Examples of such business lines / activities include: controversial weapons (including landmines, cluster munitions, biological and chemical weapons, depleted uranium weapons, blinding lasers, incendiary weapons and non-detectable fragments), nuclear weapons, conventional weapons, civilian firearms, tobacco, adult entertainment, alcohol, gambling, nuclear power, genetically modified organisms, oil sands and thermal coal. The definition of "involvement" in each business line / activity may be based on percentage of revenue, a defined total revenue threshold, or any connection to a business line / activity regardless of the amount of revenue received. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes.	

Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in UCITS exchange traded funds which track indices incorporating ESG Screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprised of bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors) (see What environmental and/or social characteristics are promoted by this financial product? above). • The Fund's consideration of principal adverse impacts (PAIs) on sustainability factors, as described below (see Does this financial product consider principal adverse impacts on sustainability factors?).
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	This Fund does not commit to investing in sustainable investments.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>

	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes
	☐ No The Fund takes into consideration principal adverse impacts (PAIs) on sustainability factors by investing in UCITS exchange traded funds which track indices incorporating certain ESG criteria in the selection of index constituents and which in turn take into consideration such PAIs. The Investment Manager has determined that the following principal adverse impacts (PAIs) are considered by the Fund: • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) The Fund's annual report will include information on the principal adverse impacts on sustainability factors set out above.
 The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	What investment strategy does this financial product follow? The Fund is actively managed and the Investment Manager has the discretion to select the Fund's Investments. In order to achieve its investment objective, the investment policy of this Fund is to invest its assets predominantly in other EEA domiciled UCITS collective investment schemes including UCITS exchange traded funds which may be managed by the Investment Manager or an Affiliate. The underlying asset class exposure of UCITS exchange traded funds invested in by the Fund will comprise equities and fixed income. The Fund may also invest in UCITS eligible exchange traded commodities. The issue of the exchange traded commodities invested in by the Fund may be arranged and advised by the Investment Manager or an Affiliate. The underlying asset class exposure of the exchange traded commodities invested in by the Fund will comprise precious metals. The Fund's investments will, at the time of purchase, comply with the Fund's ESG criteria as outlined above. If any of the Fund's investments cease to comply with the Fund's ESG criteria, the Fund may continue to hold the investment until such time it is possible and practicable (in the Investment Manager's view) to liquidate the position. ● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i> The Fund will seek to invest at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprising bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors such as MSCI).

	● What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy? There is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies? BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers where appropriate. In relation to those underlying index funds in which the Fund may invest which are BlackRock-managed and which are themselves SFDR Article 8 or Article 9 Funds, BlackRock carries out due diligence on index providers and engages with them on an ongoing basis with regard to the index methodologies of the benchmark indexes used by such underlying funds, including their assessment of good governance criteria set out by SFDR. This may include where the index providers of the benchmark indices of such underlying funds exclude issuers (1) based on an assessment of an issuer's involvement in ESG related controversies, and/or (2) that are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environmental).
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	What is the asset allocation planned for this financial product? The Fund will seek to invest at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprising bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors) and which are therefore aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ("#2 Other").  #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

This Fund does not currently commit to investing more than 0% of its assets in investments in environmentally sustainable economic activities within the meaning of the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy²?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

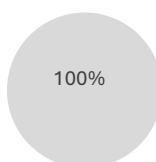
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

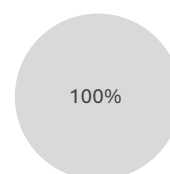
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

² Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	● What is the minimum share of investments in transitional and enabling activities? This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.
 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? Not applicable as the Fund does not commit to investing in sustainable investments with an environmental objective.
	 What is the minimum share of socially sustainable investments? Not applicable as the Fund does not currently commit to investing more than 0% of its assets in socially sustainable investments.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings are limited to 20% and may include cash, money market funds, shares or units of collective investments schemes, UCITS-eligible exchange traded commodities and derivatives. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or for hedging. Other holdings will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? Not applicable. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? Not applicable. ● How does the designated index differ from a relevant broad market index? Not applicable. ● Where can the methodology used for the calculation of the designated index be found? Not applicable.



Where can I find more product specific information online?

More product-specific information can be found on the website:

For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices. The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Product name: iShares EM Local Govt Bond Active UCITS ETF Legal entity identifier: 529900DKTX6F63MO5E93	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
	☒ Yes	☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments
☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy	
☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	
	☐ with a social objective	
☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ It promotes E/S characteristics, but will not make any sustainable investments	
	What environmental and/or social characteristics are promoted by this financial product?	
The Fund promotes environmental and social characteristics related to (i) the support for the transition to a lower carbon economy, (ii) climate change mitigation, and (iii) financing positive social objectives by seeking to enhance, by at least 5% as compared to the JP Morgan GBI-EM Global Diversified Index (the "Index"), exposure to investments that are deemed to have associated positive externalities. Investments with positive externalities may include investments in: (i) a "green bond" (which complies with the International Capital Markets Association's four Green Bond Principles); (ii) a "social bond" (which complies with the International Capital Markets Association's Social Bond Principles); or (iii) a "sustainability bond" (which complies with the International Capital Markets Association's Sustainability Bond Guidelines). The Fund promotes environmental and social characteristics related to a country's environmental and socioeconomic issues such as carbon performance, climate policy, equality and public health by excluding sovereign bonds with a low BlackRock Sovereign Sustainability Indicator (less than or equal to 2.0) which ranks sovereign debt issuers based on a country's overall sustainability measures. The Fund promotes environmental characteristics related to the reduction of environmental pollution by excluding direct investment in companies that are involved in		

	thermal coal and tar sands extraction, as well as thermal coal-based power generation, through application of the BlackRock EMEA Baseline Screens. The Fund promotes social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons and nuclear weapons, and production and distribution of civilian firearms, (b) better health and wellbeing by excluding direct investment in issuers involved in production and distribution of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of the BlackRock EMEA Baseline Screens. The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. The Fund also seeks to address key social issues deemed to be relevant to sovereign bond issuers by excluding sovereign bonds of countries that are subject to official arms and/or trade embargo restrictions imposed by the United Nations Security Council (UNSC) and which are legally binding on all UN member states. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes. However, the Index is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund are: • The Fund's exposure to investments deemed by the Investment Manager to have associated positive externalities (expected to be at least 5% higher than that of the Index). • The percentage of the Fund (expected to be 0%) directly invested in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens and exclusionary screens, as described above. • The Fund's exposure to sovereign issuers with BSSI scores less than or equal to 2.0 (expected to be 0%). • The Fund's exposure to sovereign issuers of UN Sanctioned Countries (Arms and Trade Embargo) (expected to be 0%).
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	This Fund does not commit to investing in sustainable investments.

Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti- bribery matters.	● How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?
	Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>
	Does this financial product consider principal adverse impacts on sustainability factors?
	☒ Yes, ☐ No The Fund considers PAIs on sustainability factors through the application of the BlackRock EMEA Baseline Screens and its exclusionary policy. The Fund takes into account the following PAIs: • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) The Fund will provide information on the PAIs in its annual report.



What investment strategy does this financial product follow?

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in local currency denominated fixed income transferable securities issued by and/or guaranteed by governments and/or government agencies of emerging market countries (including emerging market government bonds, municipal bonds, sovereign, quasi-sovereign, supranational and local authority debt and instruments relating to such bonds) and in corporate bonds issued by companies domiciled or exercising the predominant part of their economic activity in emerging markets.

The fixed income securities and instruments in which the Fund invests may be investment grade (or deemed by the Investment Manager to be of an equivalent rating), below investment grade or unrated and may be fixed or floating rate. However, given the Fund's emerging market geographic focus, it is likely that the Fund will invest in excess of 30% of its Net Asset Value in below investment grade securities. The Fund does not have any specific industry or sector focus.

The Investment Manager selects securities for investment based upon a research-driven investment process that considers fundamental, valuation, and technical factors (e.g. market flows, positioning, liquidity, risk sentiment and supply) as part of the portfolio construction process which includes conducting qualitative country and macro analysis and utilising a wide range of quantitative (i.e. mathematical or statistical) tools to formulate investment convictions. The selection of securities may be based on the Investment Manager's view on a favourable / positive outlook on the relevant issuer, potential for ratings upgrade and the expected changes in the value of such Investments due to ratings changes.

The Fund may trade China onshore bonds on the China Interbank Bond Market and/or via Bond Connect.

The Fund's exposure to Distressed Securities is limited to 10% of its total assets.

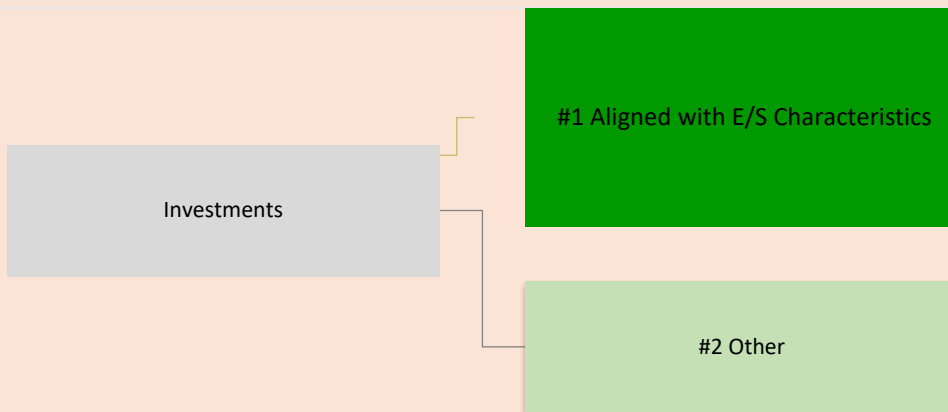
The Fund's assets will also be invested in accordance with the ESG Policy.

What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?

The binding elements of the investment strategy used to select the investments to attain each of the environmental and social characteristics promoted by the Fund are as follows:

- Positive: enhancing, by at least 5% as compared to the Index, exposure to investments that are deemed by the Investment Manager to have associated positive externalities.
- Application to issuers of the BlackRock EMEA Baseline Screens (see Appendix III of this Supplement): The Investment Manager will seek to limit and/or exclude direct investment (as applicable) in corporate issuers which, at the time of purchase, in the opinion of the Investment Manager, have exposure to, or ties with, certain sectors (in some cases subject to specific revenue thresholds as outlined below):

	(i) Issuers which are engaged in, or are otherwise exposed to the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons). (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation, with the exception of “green bonds”, that are considered to comply with the International Capital Markets Association’s Green Bond Principles, from such issuers. (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands). (iv) Issuers deriving any revenue from direct involvement in the production of nuclear weapons or nuclear weapon components or delivery platforms, or the provision of auxiliary services related to nuclear weapons. (v) Issuers which produce tobacco products. (vi) Issuers which derive more than 5% of their revenue from the production, distribution, retail and supply of tobacco-related products. (vii) Issuers which produce firearms and/or small arms ammunition intended for retail to civilians. (viii) Issuers which derive more than 5% of their revenue from the distribution (wholesale or retail) of firearms and/or small arms ammunition intended for civilian use. (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). • The exclusion of sovereign issuers that have a BSSI score less than or equal to 2.0. • The exclusion of sovereign issuers of UN Sanctioned Countries (Arms and Trade Embargo).
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> The Investment Manager assesses good governance practices of the investee companies by combining proprietary insights by the Investment Manager, with data from external ESG research providers. The Investment Manager uses data from external ESG research providers to initially identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.

	Where issuers are identified as potentially having issues with regards to good governance, the issuers are reviewed to ensure that, where the Investment Manager agrees with this external assessment, the Investment Manager is satisfied that the issuer has either taken remediation actions or will take remedial actions within a reasonable time frame. The Investment Manager may also decide to reduce exposure to such issuers.
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	What is the asset allocation planned for this financial product? A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). The Fund may invest up to 20% of its total assets in other investments (#2 Other)  <pre> graph LR A[Investments] --- B[#1 Aligned with E/S Characteristics] A --- C[#2 Other] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.
	● How does the use of derivatives attain the environmental or social characteristics promoted by the financial product? The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.

To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For nuclear energy, the criteria include comprehensive safety and waste management rules. Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.	To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy. ● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ☒ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy. <i>The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.</i> 1. Taxonomy-alignment of investments including sovereign bonds* 2. Taxonomy-alignment of investments excluding sovereign bonds* <i>* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures</i>
	● What is the minimum share of investments in transitional and enabling activities? The Fund does not commit to making investments in transitional and enabling activities.

¹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?
	The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective that are not aligned with the EU Taxonomy.
	 What is the minimum share of socially sustainable investments?
	The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with a social objective.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund’s (non ESG) investment objective, for the purposes of liquidity management and/or hedging. These other holdings are not considered against minimum environmental or social safeguards.
	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?
Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	No.
	● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?
	Not applicable.
	● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?
	Not applicable.
	● How does the designated index differ from a relevant broad market index?
	Not applicable.
	● Where can the methodology used for the calculation of the designated index be found?
	Not applicable.
	Where can I find more product specific information online? Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.blackrock.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares Emerging Markets Equity Enhanced Active UCITS ETF	
	Legal entity identifier: 529900013XV3L4SDH318	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	☒ ☒ Yes	☒ ☐ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund invests a minimum of 20% of its total assets in Sustainable Investments, across environmental and social objectives. BlackRock defines Sustainable Investments as investments in issuers or securities that contribute to an environmental or social objective, do not significantly harm any of those objectives and where investee companies follow good governance practices. BlackRock refers to relevant sustainability frameworks to identify the alignment of the investment to environmental or social objectives. Sustainable Investments should also meet the do no significant harm (DNSH) requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria to assess whether an issuer or investment does significant harm. The Fund aims to promote environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Parent Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer's value chain but Scope 3 is not covered in the reduction. The	

	estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund's holdings are used to measure this aim. Additionally, the Fund aims to promote environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of exclusionary screens. The Fund aims to promote social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons, nuclear warheads and nuclear missiles, and/or essential components for exclusive use in nuclear weapons, issuers that have ties to automatic/semi-automatic firearms or ammunition production intended for civilian use, or those that derive revenue from the production or distribution of firearms and/or small arms ammunition intended for civilian use, (b) better health and wellbeing by excluding direct investment in issuers involved in production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of exclusionary screens. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question "What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?" below. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, the Parent Index is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in Sustainable Investments, as described above. • The Fund's carbon emissions intensity, as described above. • The Fund's consideration of principal adverse impacts (PAIs) on sustainability factors, as described below. • The Fund's exclusion of holdings in issuers identified by the exclusion criteria set out in the exclusionary screens, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock's DNSH standard outlined above. BlackRock invests in Sustainable Investments which contribute to a range of environmental and / or social objectives which may include but are not limited to, alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education and the UN Sustainable Development Goals ("Environmental and Social Objectives").

	An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer's business activity contributes to an Environmental and/or Social Objective; or b) the issuer's business practices contribute to an Environmental and/or Social Objective.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment's business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a "do not significant harm" principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The "do no significant harm" principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social</i>

		objectives.
		Does this financial product consider principal adverse impacts on sustainability factors?
		☒ Yes
		☐ No The Fund considers PAIs on sustainability factors through the application of exclusionary screens and its carbon reduction target. The Fund takes into account the following PAIs: • GHG emissions • Carbon footprint • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Share of non-renewable energy consumption and production • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, this Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. This Fund will provide information on the PAIs in its annual report.
		What investment strategy does this financial product follow?
	The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The investment objective of the Fund is to achieve long-term capital growth. The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, the emerging markets. The Fund does not have any specific industry focus. The Fund's assets will be invested in accordance with the ESG Policy. The Fund may invest up to 100% of its total assets in emerging markets. Such exposure may include up to 50% of its total assets in China via Stock Connect and up to 50% of its total assets in India. Please refer to the risk factors under the headings "Investment in the PRC", "Risks Related to Investment in the PRC via the Stock Connect" and "India" for further information on investment in these countries. An investment in the Fund should not constitute

a substantial proportion of an investment portfolio and may not be appropriate for all investors. Please refer to the “Risk Factors” section for further details.

The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value, momentum and quality), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund’s portfolio, removing any that conflict with the Fund’s ESG Policy and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets outside emerging markets. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities. Such underlying equity securities may be issued from within emerging markets jurisdictions.

The Fund may also invest up to 10% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) (“**Cash Holdings**”) and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading “Management of Cash Holdings and FDI Cash Holdings”.

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, the emerging markets. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

The maximum proportion of the Net Asset Value of the Fund that can be subject to total return swaps is 100%. The expected proportion of the Net Asset Value of the Fund that will be subject to total return swaps is 20%. The expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together “FDI Cash Holdings”) in one or more daily dealing money market collective investment schemes as set out below under the heading “Management of Cash Holdings and FDI Cash Holdings”.

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the Prospectus.

The Fund’s Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund’s Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Investment Manager will apply exclusionary screens. The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI Emerging Markets Index (the ‘**Parent Index**’). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund’s investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager’s view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund’s investment policy.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

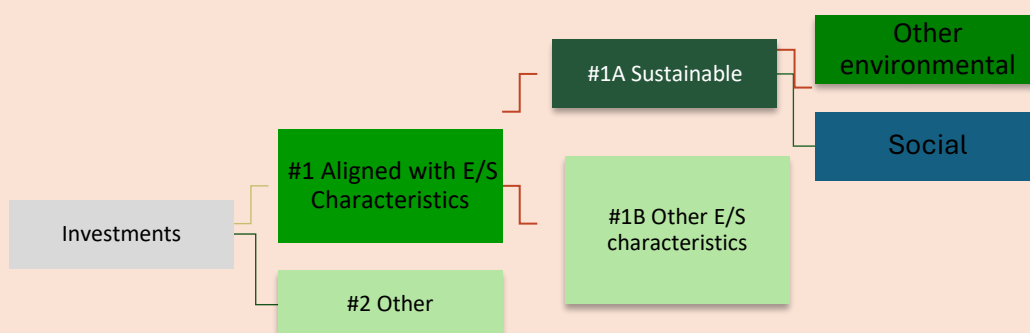
The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund’s carbon emissions intensity is lower than that of the Parent Index.
- Application of the exclusionary screens described below:
 - (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions,

		biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons). (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation. (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands). (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons. (v) Issuers which produce tobacco products. (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use. (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use. (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use. (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.
		● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
		Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.		● <i>What is the policy to assess good governance practices of the investee companies?</i>
		BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.
		What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities		A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ('#2 Other').

of investee companies

- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

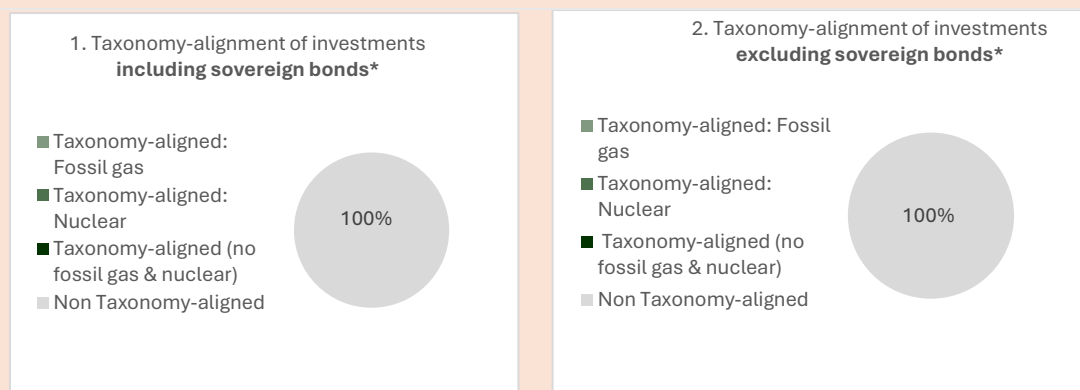
Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives

¹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left

are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

● What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.

● What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or asocial objective or a combination of both, and the exact composition may fluctuate.

The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.

● What is the minimum share of socially sustainable investments?

A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or asocial objective or a combination of both, and the exact composition may fluctuate.

● What investments are included under "#2 Other", what is their purpose and are there any minimum environmental or social safeguards?

Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide.

hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging. No other holdings are considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No. Please note that the Parent Index is used to compare certain ESG characteristics promoted by the Fund. ● <i>How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?</i> Not applicable. ● <i>How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?</i> Not applicable. ● <i>How does the designated index differ from a relevant broad market index?</i> Not applicable. ● <i>Where can the methodology used for the calculation of the designated index be found?</i> Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares Europe Equity Enhanced Active UCITS ETF	
	Legal entity identifier: 529900MN239N5MUKQG52	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund invests a minimum of 20% of its total assets in Sustainable Investments, across environmental and social objectives. BlackRock defines Sustainable Investments as investments in issuers or securities that contribute to an environmental or social objective, do not significantly harm any of those objectives and where investee companies follow good governance practices. BlackRock refers to relevant sustainability frameworks to identify the alignment of the investment to environmental or social objectives. Sustainable Investments should also meet the do no significant harm (DNSH) requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria to assess whether an issuer or investment does significant harm. The Fund aims to promote environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue	

	across the Fund's holdings are used to measure this aim. Additionally, the Fund aims to promote environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of exclusionary screens. The Fund aims to promote social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons, nuclear warheads and nuclear missiles, and/or essential components for exclusive use in nuclear weapons, issuers that have ties to automatic/semi-automatic firearms or ammunition production intended for civilian use, or those that derive revenue from the production or distribution of firearms and/or small arms ammunition intended for civilian use, (b) better health and wellbeing by excluding direct investment in issuers involved in production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of exclusionary screens. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question "What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?" below. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, MSCI Europe Index (the "Index") is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in Sustainable Investments, as described above. • The Fund's carbon emissions intensity, as described above. • The Fund's consideration of principal adverse impacts (PAIs) on sustainability factors, as described below. • The Fund's exclusion of holdings in issuers identified by the exclusion criteria set out in the exclusionary screens, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock's DNSH standard outlined above. BlackRock invests in Sustainable Investments which contribute to a range of environmental and / or social objectives which may include but are not limited to, alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education and the UN Sustainable Development Goals ("Environmental and Social Objectives"). An investment will be assessed as contributing to an Environmental and/or Social Objective where:

		a) minimum proportion of the issuer's business activity contributes to an Environmental and/or Social Objective; or b) the issuer's business practices contribute to an Environmental and/or Social Objective.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti-bribery matters.		● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
		Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment's business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators.
		— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
		The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
		— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
		Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
		<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>

	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of exclusionary screens and its carbon reduction target. The Fund takes into account the following PAIs: • GHG emissions • Carbon footprint • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Share of non-renewable energy consumption and production • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises. • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, this Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. This Fund will provide information on the PAIs in its annual report.
 The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	What investment strategy does this financial product follow? The investment objective of the Fund is to achieve long-term capital growth. The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, Europe. The Fund does not have any specific industry focus. The Fund's assets will be invested in accordance with the ESG Policy. The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value, momentum and quality), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy and

replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also invest up to 10% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) ("Cash Holdings") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, Europe. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

The maximum proportion of the Net Asset Value of the Fund that can be subject to total return swaps is 100%. The expected proportion of the Net Asset Value of the Fund that will be subject to total return swaps is 0%. The expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Investment Manager will apply exclusionary screens. The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI Europe Index (the '**Index**'). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

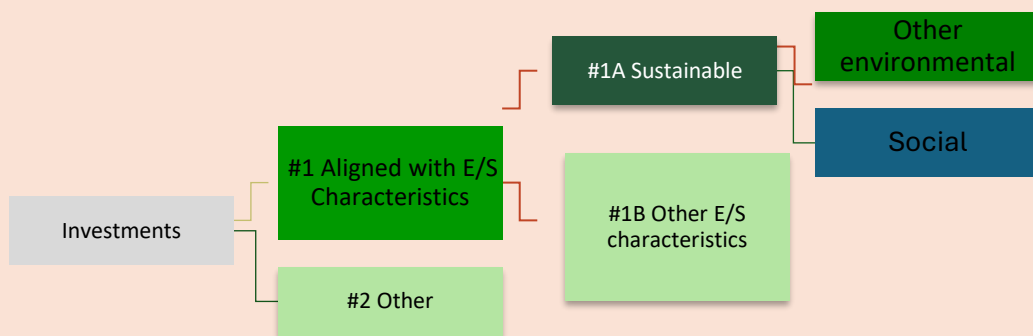
For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund's carbon emissions intensity is lower than that of the Index.
- Application of the exclusionary screens described below:
 - (i) Issuers which are engaged in, or are otherwise exposed to the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
 - (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
 - (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
 - (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
 - (v) Issuers which produce tobacco products.
 - (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.
 - (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.
 - (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.
 - (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption).

Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.

	● What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?
	Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies? BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ('#2 Other').  <pre> graph LR Investments --> N1["#1 Aligned with E/S Characteristics"] Investments --> N2["#2 Other"] N1 --> N1A["#1A Sustainable"] N1 --> N1B["#1B Other E/S characteristics"] N1A --> N1A1["Other environmental"] N1A --> N1A2["Social"] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers: – The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives. – The sub-category #1B Other E/S characteristics covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

● **Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy²?**

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

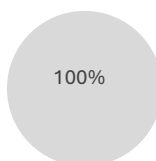
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

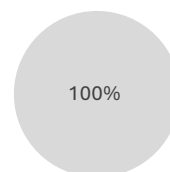
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned:
Fossil gas
■ Taxonomy-aligned:
Nuclear
■ Taxonomy-aligned (no
fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

● **What is the minimum share of investments in transitional and enabling activities?**

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.

² Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or asocial objective or a combination of both, and the exact composition may fluctuate. The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.
	 What is the minimum share of socially sustainable investments? A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging. No other holdings are considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No. Please note that the MSCI Europe Index is used to compare certain ESG characteristics promoted by the Fund. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? Not applicable. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? Not applicable. ● How does the designated index differ from a relevant broad market index? Not applicable.

	● <i>Where can the methodology used for the calculation of the designated index be found?</i>
	Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares Global Aggregate Bond ESG SRI UCITS ETF	
	Legal entity identifier: 54930061AIPZUK5RIZ46	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	☒ ☒ Yes	☒ ☐ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 10% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the Bloomberg MSCI Global Aggregate and Green Bond ESG SRI Index, its Benchmark Index: 1. exclusion of issuers deemed to be involved in certain activities considered to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to be involved in very severe ESG related controversies; 3. exclusion of sovereign issuers subject to United Nation Security Council ("UNSC") Trade Sanctions; 4. exclusion of issuers considered to be lagging industry peers in their high exposure and failure to manage significant ESG risks (based on an ESG rating); and 5. exposure to investments qualifying as sustainable investments. These environmental and social characteristics are incorporated through the selection of constituents in the Fund's Benchmark Index at each index rebalance (as described below). The Benchmark Index excludes issuers based on their involvement in certain activities deemed to have negative environmental or social outcomes. Issuers are excluded from the Benchmark Index based on their involvement in the following business lines/activities (or related activities): • alcohol • tobacco • gambling	

- adult entertainment
- genetically modified organisms (GMO)
- civilian firearms
- conventional weapons
- controversial weapons
- nuclear weapons
- thermal coal
- fossil fuels

The index provider defines what constitutes “involvement” in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received.

The Benchmark Index also excludes issuers with a ‘red’ MSCI ESG controversy flag (based on an MSCI ESG controversy score of 0). An MSCI ESG controversy score measures an issuer’s involvement (or alleged involvement) in serious controversies based on an assessment of an issuer’s operations, products and/or services which are deemed to have a negative ESG impact. An MSCI ESG controversy score may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. An MSCI ESG controversy score may also consider involvement in adverse impact activities in relation to social issues such as human rights, labour management relations, discrimination and workforce diversity.

In addition the Benchmark index excludes sovereign issuers subject to United Nations Security Council (UNSC) trade sanctions.

To be included in the Benchmark Index, securities must have an MSCI ESG rating and the rating must be BBB or higher. An MSCI ESG rating is designed to measure an issuer’s resilience to long-term industry material ESG risks and how well it manages ESG risks and opportunities relative to industry peers. The index provider may consider the following environmental themes when determining an issuer’s ESG score as part of the ESG rating methodology: climate change mitigation based on greenhouse gas emissions, waste and other emissions, land use and biodiversity. The index provider may also consider the following social themes when determining an issuer’s ESG score as part of the ESG rating methodology: access to basic services, community relations, data privacy and security, human capital, health and safety and product governance. The MSCI ESG rating methodology recognises that certain environmental and social issues are more material based on the type of activity that the issuer is involved in by weighting the issues differently in the scoring methodology. Those issuers with higher MSCI ESG scores are determined by the index provider to be those issuers that may be better positioned to manage future ESG-related challenges and risks compared to their industry peers.

The Benchmark Index also allocates a proportion of its total market value to securities classified as green bonds under the index methodology. The Benchmark Index defines green bonds as fixed income securities the proceeds of which are exclusively and formally applied to projects or activities that promote climate or other environmental sustainability purposes.

In addition, the Benchmark Index applies exclusions consistent with the outcomes of the EU Paris-aligned Benchmark Exclusions.

The EU Paris-aligned Benchmark Exclusions promote limiting global temperature rises within the targets set in the Paris Agreement by excluding investments in companies that have 1% or more of their revenue deriving from exploration, mining, extraction, distribution, or refining of hard coal and lignite; have 10% or more of their revenue deriving from the exploration, extraction, distribution or refining of oil fuels; have 50% or more of their revenue deriving from the exploration, extraction, manufacturing, or distribution of gaseous fuel; or have 50% or more of their revenue deriving from electricity generation having a greenhouse gas intensity greater than 100g CO₂ e/kWh.

The EU Paris-aligned Benchmark Exclusions also promote social characteristics related to (a) reduction of the availability of weapons by excluding investment in companies with involvement in activities related to controversial weapons; (b) better health and well-being by excluding investment in companies involved in the cultivation and/or production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding investment in companies deemed to have failed to comply with the 10 UN Global Compact (UNGC) Principles or the Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises.

In order to achieve the outcomes as outlined above, we rely on data used by the index provider.

	The Benchmark Index may hold Green, Social and Sustainability (GSS) bonds issued by a company. In accordance with regulatory guidance, such investments in GSS bonds (if held by the Benchmark Index) will, instead of being subject to all the EU Paris-aligned Benchmark Exclusions at issuer level, be subject to: • the EU Paris-aligned Benchmark Exclusions relating to UNGC and OECD violations (as described in (c) above) at the issuer level; and • the other EU Paris-aligned Benchmark Exclusions described above at the level of the economic activities financed by the GSS bond. The Fund may gain indirect exposure for non-investment purposes (through, including but not limited to, derivatives and shares or units of Collective Investment Schemes ("CIS")) to issuers with exposures that are inconsistent with the EU Paris-aligned Benchmark Exclusions described above. Circumstances in which such indirect exposure may arise include, but are not limited to, where a counterparty to a FDI in which the Fund invests posts collateral which is inconsistent with the Benchmark Index's ESG criteria or where a CIS in which the Fund invests does not apply any or the same ESG criteria as the Benchmark Index and so provides exposure to securities which are inconsistent with the Benchmark Index's ESG criteria. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of issuers identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product?). 3. The exclusion of sovereign issuers subject to UNSC Trade Sanctions (see What environmental and/or social characteristics are promoted by this financial product?). 4. The exclusion of issuers with a weighted-average industry-adjusted MSCI ESG rating below the minimum threshold as described above (see What environmental and/or social characteristics are promoted by this financial product?). 5. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 6. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance and the Benchmark Index seeks to achieve its stated targets. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index.

● ***What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?***

The Fund's investments qualifying as sustainable investments may be in:

- 1) fixed income securities which have been classified as "green bonds";
- 2) issuers involved in activities deemed to contribute to positive environmental and/or social impacts; or
- 3) issuers which have committed to one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi).

The index provider may allocate a proportion of the Benchmark Index to securities classified as green bonds under the index methodology. The Benchmark Index defines green bonds as fixed income securities the proceeds of which are exclusively and formally applied to projects or activities that promote climate or other environmental sustainability purposes. In accordance with the Benchmark Index methodology, securities (whether or not labelled as green by the issuer) are independently evaluated under the following four criteria to determine whether they should be classified as green bonds: (i) stated use of proceeds; (ii) process for green project evaluation and selection; (iii) process for management of proceeds; and (iv) commitment to ongoing reporting of the environmental performance of the use of proceeds. To be considered a green bond for the purpose of the index methodology, all four criteria must be met for bonds issued after the publication of the Green Bond Principles (an agreement among market participants on a set of standards for the green credentials of labelled issuance), although bonds issued prior to that date that do not satisfy all four criteria may still qualify for inclusion in the Benchmark Index.

The index provider may also allocate a proportion of the Benchmark Index to issuers that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi).

The Benchmark Index uses the MSCI ESG Sustainable Impact Metrics which aim to measure revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related frameworks. The MSCI ESG Sustainable Impact Metrics consider positive environmental impacts in relation to themes such as climate change and natural capital and seek to identify those issuers that may derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution prevention and control and sustainable agriculture. The MSCI ESG Sustainable Impact Metrics also consider positive societal impacts in relation to themes such as basic needs and empowerment and seek to identify those issuers that may derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, small and medium enterprises (SMEs), education and connectivity.

The environmental and social themes together with the revenue alignment thresholds are determined by the index provider and are applied at each index rebalance of the Benchmark Index.

The Benchmark Index also seeks to identify constituents with a commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for issuers and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change.

The sustainable investments within the Fund may contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's

	investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	At each index rebalance, all investments qualifying as sustainable investments are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, issuers are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where an issuer has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. For bonds qualifying as green bonds, the assessment is carried out by the index provider at an issuance level based on the use of the proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, certain minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to avoid exposure to bonds associated with activities deemed to have highly negative environmental and societal impacts.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable investments. As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) issuers deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions), (2) issuers with an 'orange' MSCI ESG controversy score of 1 or below that have been deemed to be involved in severe or very severe ESG related controversies (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) issuers with an MSCI ESG rating of B or below, which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). In respect of green bonds, the indicators for adverse impacts on sustainability factors are taken into account at each index rebalance and are assessed by the index provider at the issuance level based on an assessment of the use of proceeds of the bonds which must be formally and exclusively applied to promote climate or other environmental sustainability purposes. In addition, minimum safeguards and eligibility exclusions are applied by the index provider in the selection of green bonds to ensure the proceeds of which are not applied to activities with highly negative environmental and social outcomes. This includes through the minimum safeguards and eligibility exclusions of bonds with the use of proceeds linked to thermal coal extraction and power generation, significant biodiversity loss and controversial weapons. The Benchmark Index also excludes: (1) issuers with a 'red' MSCI ESG controversy flag which includes issuers determined to be in violation of international and/or national standards (taking into account indicators concerning violations of United Nations Global Compact principles and OECD Guidelines for Multinational Enterprises), and (2) issuers determined to have any tie to

	controversial weapons (taking into account indicators concerning ties to controversial weapons). In addition the Benchmark index excludes sovereign issuers subject to United Nations Security Council (UNSC) trade sanctions.																																																											
	How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:																																																											
	The Fund's Benchmark Index excludes issuers with a 'red' ESG controversy flag which excludes issuers which have been determined by the index provider to be in violation of the UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational Enterprises. The Benchmark Index applies the above exclusionary criteria at each index rebalance.																																																											
	The EU Taxonomy sets out a "do not significant harm" principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria. The "do no significant harm" principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities. Any other sustainable investments must also not significantly harm any environmental or social objectives.																																																											
	Does this financial product consider principal adverse impacts on sustainability factors?																																																											
	☒ Yes																																																											
	☐ No Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as 'X' in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance. The Fund's annual report will include information on the principal adverse impacts on sustainability factors set out below. <table><tr><th rowspan="2"></th><th rowspan="2">PAI Description</th><th colspan="4">Benchmark Index Selection Criteria</th></tr><tr><th>Exclusion of issuers based on certain environmental screens (listed above)</th><th>Exclusion of issuers based on an MSCI ESG controversy score</th><th>Exclusion of issuers determined to have any tie to controversial weapons</th><th>Exclusion of issuers based on UN Sanctions screens</th></tr><tr><td rowspan="6">Greenhouse Gas (GHG) emissions</td><td>1.(a) GHG emissions (Scope 1/2)</td><td>X</td><td></td><td></td><td></td></tr><tr><td>1.(b) GHG emissions (Scope 3)</td><td>X</td><td></td><td></td><td></td></tr><tr><td>2. Carbon footprint</td><td>X</td><td></td><td></td><td></td></tr><tr><td>3. GHG intensity</td><td>X</td><td></td><td></td><td></td></tr><tr><td>4. % in Fossil Fuels</td><td>X</td><td></td><td></td><td></td></tr><tr><td>5. Non-Renewable / Renewable %</td><td>X</td><td></td><td></td><td></td></tr><tr><td></td><td>6. High impact sector energy consumption</td><td></td><td></td><td></td><td></td></tr><tr><td>Biodiversity</td><td>7. Negative impact to Biodiversity sensitive areas</td><td></td><td>X</td><td></td><td></td></tr><tr><td>Water</td><td>8. Emissions to Water</td><td></td><td>X</td><td></td><td></td></tr></table>		PAI Description	Benchmark Index Selection Criteria				Exclusion of issuers based on certain environmental screens (listed above)	Exclusion of issuers based on an MSCI ESG controversy score	Exclusion of issuers determined to have any tie to controversial weapons	Exclusion of issuers based on UN Sanctions screens	Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X				1.(b) GHG emissions (Scope 3)	X				2. Carbon footprint	X				3. GHG intensity	X				4. % in Fossil Fuels	X				5. Non-Renewable / Renewable %	X					6. High impact sector energy consumption					Biodiversity	7. Negative impact to Biodiversity sensitive areas		X			Water	8. Emissions to Water		X		
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	What investment strategy does this financial product follow?																																												
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The investment policy of the Fund is to invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria including the EU Paris-aligned Benchmark Exclusions applied in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?). By investing in the constituents of its Benchmark Index, the Fund’s investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager’s view) to liquidate the position. The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager’s view) to liquidate the position. The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index. <u>Governance Processes</u> The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.																																												
	● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i>																																												
	The binding elements of the investment strategy are that the Fund will invest in a portfolio of fixed income securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics including the EU Paris-aligned Benchmark Exclusions applied by its Benchmark Index.																																												

	As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the starting universe through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the starting universe. For example, if issuers in the starting universe engage in fewer activities that are excluded from the starting universe based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> Good governance checks are incorporated within the methodology of the Benchmark Index. The index provider excludes issuers from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) which includes the exclusion of issuers that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product?). Issuers that cannot be assessed by the index provider for an ESG controversy score where data is not available are also excluded from the Benchmark Index
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities	What is the asset allocation planned for this financial product? The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark Index. As such, at each index rebalance, the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 10% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance).

of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria of the Benchmark Index) and it is possible and practicable (in the Investment Manager’s view) to liquidate the position. The assessment of the Fund’s investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund’s portfolio is rebalanced in line with its Benchmark Index. Where any investment ceases to qualify as a sustainable investment between index rebalances, the Fund’s holdings in sustainable investments may fall below the minimum proportion of sustainable investments. The Fund may invest up to 20% of its total assets in other investments ('#2 Other'). <pre> graph LR Investments --> N1["#1 Aligned with E/S Characteristics"] Investments --> N2["#2 Other"] N1 --> N1A["#1A Sustainable"] N1 --> N1B["#1B Other E/S characteristics"] N1A --> N1A1["Other environmental"] N1A --> N1A2["Social"] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers: – The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives. – The sub-category #1B Other E/S characteristics covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments. <i>How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?</i> The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.
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To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy³?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

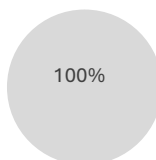
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

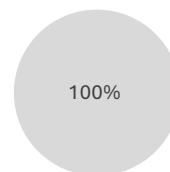
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 10% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined

³ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

activities under the EU Taxonomy.	on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What is the minimum share of socially sustainable investments?
	A minimum of 10% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?
Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the Bloomberg MSCI Global Aggregate and Green Bond ESG SRI Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria.
	 How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?
	At each index rebalance, the index provider applies the ESG selection criteria to exclude issuers that do not meet such ESG selection criteria.
	 How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?
	At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	 How does the designated index differ from a relevant broad market index?
	As a result of the application of the ESG selection criteria of the Benchmark Index, the portfolio of the Fund is expected to be reduced compared to the Bloomberg Global-Aggregate Total Return Index, a broad market index comprised of fixed income securities.
	 Where can the methodology used for the calculation of the designated index be found?
	The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.bloomberg.com/professional/product/indices/bloomberg-fixed-income-indices/#/ucits. Further details of the Fund's Benchmark Index (including its constituents) are also available on the index provider's website at: https://www.bloombergindices.com/bloomberg-indices/.



Where can I find more product specific information online?

More product-specific information can be found on the website:

For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares Global Real Estate Environmental Tilt UCITS ETF	
	Legal entity identifier: 52990093AAACHQRBGC52	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund promotes environmental characteristics related to reduction of non-renewable natural resource utilisation and pollution by excluding direct investment in issuers involved in, for example, thermal coal and oil sands, each in line with the FTSE EPRA Nareit Developed Green Low Carbon Target Select UCITS Capped Index, the Fund's Benchmark Index. The Fund promotes environmental characteristics related to sustainability in real estate and reduction in non-renewable energy consumption and carbon emissions by increasing exposures to issuers with positive environmental outcomes and reducing exposures to issuers with negative environmental outcomes, based on the following three environmental metrics; (i) green certification, defined by the index provider as the share of total net leasable area owned and/or managed by a constituent that is certified as part of an eligible green certification scheme. Green certifications are issued for properties who meet specific environmental, energy, human health, and other standards in their design, construction, and performance; (ii) energy usage, defined by the index provider as the average modelled energy consumption per square meter of net leasable area owned and/or managed by a constituent; and (iii) carbon emission intensity, defined by the index provider as the total operational emissions scaled by enterprise value including cash. In doing so, the Fund aims to:	

	• increase exposure to issuers with green certification relative to the FTSE EPRA Nareit Developed Index, as described above; • reduce exposure to issuers with high energy usage relative to the FTSE EPRA Nareit Developed Index, as described above; and • reduce exposure to issuers with high carbon emission intensity relative to the FTSE EPRA Nareit Developed Index, as described above. The Fund promotes environmental characteristics related to the reduction of severe environmental related controversies by excluding issuers with a 'severe' Sustainalytics controversy rating in relation to environmental issues, which may include biodiversity and land use, energy use, greenhouse gas and other emissions, water use and waste issues. An ESG controversy rating measures an issuer's involvement (or alleged involvement) in incidents with negative environmental, social and governance (ESG) implications. In addition, the Fund promotes social characteristics related to: a) a reduction in the availability of weapons, by excluding direct investment in companies involved in controversial weapons, small arms and military contracting; b) better health and wellbeing by excluding direct investment in companies involved in production and distribution of tobacco; and c) support for human rights, labour standards (elimination of forced labour, child labour and the elimination of workplace discrimination) and anti-corruption by excluding direct investment in companies deemed to have failed to comply with international norms and standards, each in line with the Fund's Benchmark Index. The Fund promotes social characteristics related to the reduction of severe social related controversies by excluding issuers with a 'severe' Sustainalytics controversy rating in relation to social issues, such as bribery and corruption and workplace discrimination. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. The activity may relate to production or distribution or both. Further detail on the exclusions applied to promote environmental and/or social characteristics can be found in the methodology of the Benchmark Index. The Fund promotes the environmental and social characteristics by tracking its Benchmark Index. The Benchmark Index has a methodology that is consistent with the environmental and social characteristics that are promoted by the Fund. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of issuers with a severe Sustainalytics ESG controversy rating. 3. The exclusion of issuers deemed to have violated commonly accepted international norms and standards as described above (see What environmental and/or social characteristics are promoted by this financial product?). 4. The weighted average of green certification relative to the FTSE EPRA Nareit Developed Index. 5. The weighted average of energy usage relative to the FTSE EPRA Nareit Developed Index. 6. The weighted average carbon emission intensity relative to the FTSE EPRA Nareit Developed Index.

	7. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	This Fund does not commit to investing in sustainable investments.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>



Does this financial product consider principal adverse impacts on sustainability factors?

✓ Yes

□ No

Yes, the Fund takes into consideration principal adverse impacts on sustainability factors, marked as “X” in the table below, by excluding issuers with a severe Sustainalytics ESG controversy rating and by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Fund’s annual report will include information on the principal adverse impacts on sustainability factors set out below.

	PAI Description	Benchmark Index Selection Criteria				
		Minimum% reduction of carbon emission intensity and potential carbon emissions targets	Exclusion of issuers deriving% revenue from thermal coal and unconventional oil and gas	Exclusion of Issuers based on an MSCI ESG controversy Score	Exclusion of issuers classified as violating United Nations Global Compact principles	Exclusion of issuers determined to have any tie to controversial weapons
Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X				
	1.(b) GHG emissions (Scope 3)	X				
	2. Carbon footprint					
	3. GHG intensity	X				
	4. % in Fossil Fuels		X			
	5. Non-Renewable / Renewable %					
Biodiversity	6. High impact sector energy consumption					
	7. Negative impact to Biodiversity sensitive areas			X		
Water	8. Emissions to Water			X		
Waste	9. Hazardous Waste			X		
Social and employee matters	10. UNGC + OECD Violations				X	
	11. UNGC + OECD Process, Monitoring					
	12. Unadjusted gender pay gap					
	13. Board gender diversity					
	14. Controversial weapons					X



What investment strategy does this financial product follow?

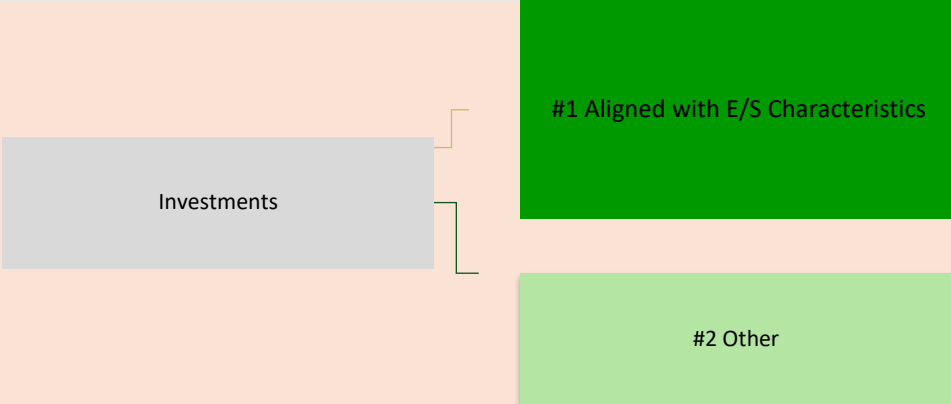
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

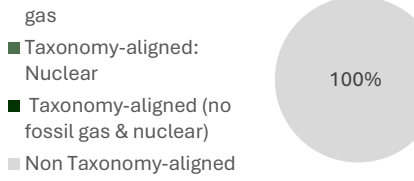
The investment policy of the Fund is to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates the criteria described above (see What environmental and/or social characteristics are promoted by this financial product?) in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?).

By investing in the constituents of its Benchmark Index, the Fund’s investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager’s view) to liquidate the position.

The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with

	matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager's view) to liquidate the position. The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index. <u>Governance Processes</u> The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.
	● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i> The binding elements of the investment strategy are that the Fund will invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is to invest in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the FTSE EPRA Nareit Developed Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the FTSE EPRA Nareit Developed Index. For example, if issuers in the FTSE EPRA Nareit Developed Index engage in fewer activities that are excluded from the FTSE EPRA Nareit Developed Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.

Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies?
	The Benchmark Index excludes issuers which are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs), and their underlying conventions. The Fund also excludes companies based on an ESG controversy rating (which measures an issuer's involvement (or alleged involvement) in ESG related controversies).
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets.	The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index.
Taxonomy-aligned activities are expressed as a share of:	It is expected that at least 80% of the Fund's assets will be invested in either securities within the Benchmark Index or in securities that meet the ESG selection criteria of the Benchmark Index. As such, at each index rebalance, the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund 's assets will be aligned with the ESG characteristics of the Benchmark Index (as determined at that rebalance).
– turnover reflecting the share of revenue from green activities of investee companies	In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index (or otherwise cease to meet the ESG selection criteria of the Benchmark Index) and it is possible and practicable (in the Investment Manager's view) to liquidate the position.
– capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.	The Fund may invest up to 20% of its total assets in other investments ("#2 Other").
– operational expenditure (OpEx) reflecting green operational activities of investee companies.	 #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For nuclear energy, the criteria include comprehensive safety and waste management rules. Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.	How does the use of derivatives attain the environmental or social characteristics promoted by the financial product? The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.  To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? This Fund does not currently commit to investing more than 0% of its assets in investments in environmentally sustainable economic activities within the meaning of the EU Taxonomy. ● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁴? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ✓ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy. The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds. 1. Taxonomy-alignment of investments including sovereign bonds*  2. Taxonomy-alignment of investments excluding sovereign bonds*  * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures
	● What is the minimum share of investments in transitional and enabling activities? This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.

⁴ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? Not applicable as the Fund does not commit to investing in sustainable investments with an environmental objective.
	 What is the minimum share of socially sustainable investments? Not applicable as the Fund does not currently commit to investing more than 0% of its assets in socially sustainable investments.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? Yes, this Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the FTSE EPRA Nareit Developed Green Low Carbon Target Select UCITS Capped Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? At each index rebalance, the index provider applies the ESG selection criteria to exclude issuers that do not meet such ESG selection criteria. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	● How does the designated index differ from a relevant broad market index? As a result of the application of the ESG selection criteria of the Benchmark Index, the portfolio of the Fund is expected to be reduced compared to the FTSE EPRA Nareit Developed Index, a broad market index comprised of equity securities. ● Where can the methodology used for the calculation of the designated index be found? The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.lseg.com/en/ftse-russell/indices/custom-methodologies



Where can I find more product specific information online?

More product-specific information can be found on the website:

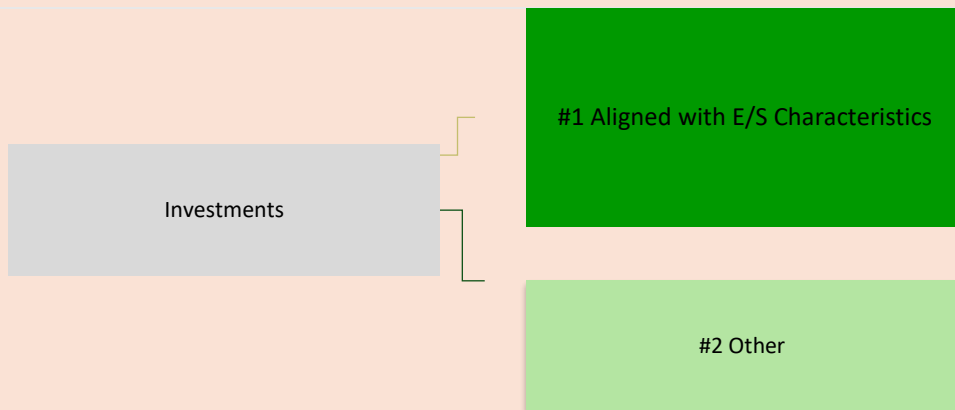
For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices. The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Product name: iShares Growth Portfolio UCITS ETF	
	Legal entity identifier: 549300TW03J1FHXSSP90	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
	☒ ☐ Yes	☒ ☐ No
☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments	
☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy	
☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	
☐ It will make a minimum of sustainable investments with a social objective: ____%	☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments	
	What environmental and/or social characteristics are promoted by this financial product?	
The Fund is actively managed. The Fund seeks to promote environmental and social characteristics by investing at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG Screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprised of bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors such as MSCI) (together the "ESG Criteria"). In relation to underlying UCITS exchange traded funds incorporating ESG Screens, such ESG Screens exclude issuers that are involved in business lines / activities (or related activities) that are contrary to ESG criteria. Examples of such business lines / activities include: controversial weapons (including landmines, cluster munitions, biological and chemical weapons, depleted uranium weapons, blinding lasers, incendiary weapons and non-detectable fragments), nuclear weapons, conventional weapons, civilian firearms, tobacco, adult entertainment, alcohol, gambling, nuclear power, genetically modified organisms, oil sands and thermal coal. The definition of "involvement" in each business line / activity may be based on percentage of revenue, a defined total revenue threshold, or any connection to a business line / activity regardless of the amount of revenue received. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes.		

Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in UCITS exchange traded funds which track indices incorporating ESG Screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprised of bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors) (see What environmental and/or social characteristics are promoted by this financial product? above). • The Fund's consideration of principal adverse impacts (PAIs) on sustainability factors, as described below (see Does this financial product consider principal adverse impacts on sustainability factors?).
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	This Fund does not commit to investing in sustainable investments.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>

	Does this financial product consider principal adverse impacts on sustainability factors?
	☒ Yes ☐ No The Fund takes into consideration principal adverse impacts (PAIs) on sustainability factors by investing in UCITS exchange traded funds which track indices incorporating certain ESG criteria in the selection of index constituents and which in turn take into consideration such PAIs. The Investment Manager has determined that the following principal adverse impacts (PAIs) are considered by the Fund: • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) The Fund's annual report will include information on the principal adverse impacts on sustainability factors set out above.
	What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The Fund is actively managed and the Investment Manager has the discretion to select the Fund's Investments. In order to achieve its investment objective, the investment policy of this Fund is to invest its assets predominantly in other EEA domiciled UCITS collective investment schemes including UCITS exchange traded funds which may be managed by the Investment Manager or an Affiliate. The underlying asset class exposure of UCITS exchange traded funds invested in by the Fund will comprise equities and fixed income. The Fund may also invest in UCITS eligible exchange traded commodities. The issue of the exchange traded commodities invested in by the Fund may be arranged and advised by the Investment Manager or an Affiliate. The underlying asset class exposure of the exchange traded commodities invested in by the Fund will comprise precious metals. The Fund's investments will, at the time of purchase, comply with the Fund's ESG criteria as outlined above. If any of the Fund's investments cease to comply with the Fund's ESG criteria, the Fund may continue to hold the investment until such time it is possible and practicable (in the Investment Manager's view) to liquidate the position. ● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i> The Fund will seek to invest at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprising bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors such as MSCI).

	● What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy? There is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies? BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers where appropriate. In relation to those underlying index funds in which the Fund may invest which are BlackRock-managed and which are themselves SFDR Article 8 or Article 9 Funds, BlackRock carries out due diligence on index providers and engages with them on an ongoing basis with regard to the index methodologies of the benchmark indexes used by such underlying funds, including their assessment of good governance criteria set out by SFDR. This may include where the index providers of the benchmark indices of such underlying funds exclude issuers (1) based on an assessment of an issuer's involvement in ESG related controversies, and/or (2) that are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environmental).
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	What is the asset allocation planned for this financial product? The Fund will seek to invest at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprising bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors) and which are therefore aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ("#2 Other").  <pre> graph LR A[Investments] --- B[#1 Aligned with E/S Characteristics] A --- C[#2 Other] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

This Fund does not currently commit to investing more than 0% of its assets in investments in environmentally sustainable economic activities within the meaning of the EU Taxonomy.

● **Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁵?**

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

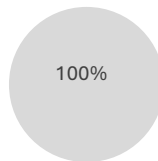
✓ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

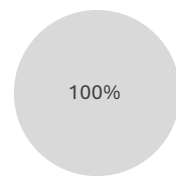
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

● **What is the minimum share of investments in transitional and enabling activities?**

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.

⁵ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? Not applicable as the Fund does not commit to investing in sustainable investments with an environmental objective.
	 What is the minimum share of socially sustainable investments? Not applicable as the Fund does not currently commit to investing more than 0% of its assets in socially sustainable investments.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings are limited to 20% and may include cash, money market funds, shares or units of collective investments schemes, UCITS-eligible exchange traded commodities and derivatives. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or for hedging. Other holdings will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? Not applicable. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? Not applicable.
	● How does the designated index differ from a relevant broad market index? Not applicable.
	● Where can the methodology used for the calculation of the designated index be found? Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares India Equity Enhanced Active UCITS ETF	
	Legal entity identifier: 529900T8YGT33W9KSI23	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	☒ ☐ Yes ☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ ☐ No ☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund invests a minimum of 20% of its total assets in Sustainable Investments, across environmental and social objectives. BlackRock defines Sustainable Investments as investments in issuers or securities that contribute to an environmental or social objective, do not significantly harm any of those objectives and where investee companies follow good governance practices. BlackRock refers to relevant sustainability frameworks to identify the alignment of the investment to environmental or social objectives. Sustainable Investments should also meet the do no significant harm (DNSH) requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria to assess whether an issuer or investment does significant harm. The Fund promotes environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect	

	emissions that occur in an issuer's value chain but Scope 3 is not covered in the reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund's holdings are used to measure this aim. Additionally, the Fund promotes environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of exclusionary screens. The Fund promotes social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons, nuclear warheads and nuclear missiles, and/or essential components for exclusive use in nuclear weapons, issuers that have ties to automatic/semi-automatic firearms or ammunition production intended for civilian use, or those that derive revenue from the production or distribution of firearms and/or small arms ammunition intended for civilian use, (b) better health and wellbeing by excluding direct investment in issuers involved in production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of exclusionary screens. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question "What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?" below. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, MSCI India Index (the "Index") is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in Sustainable Investments, as described above. • The Fund's carbon emissions intensity, as described above. • The Fund's exclusion of holdings in issuers identified by the exclusion criteria set out in the exclusionary screens, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock's DNSH standard outlined below. BlackRock invests in Sustainable Investments which contribute to environmental and / or social objectives relating to alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education or that are otherwise identified by the United Nations Sustainable Development Goals ("Environmental and Social Objectives").

	An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer's business activity contributes to an Environmental and/or Social Objective; or b) the issuer's business practices contribute to an Environmental and/or Social Objective.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the Regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment's business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a "do not significant harm" principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The "do no significant harm" principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i>

		Any other sustainable investments must also not significantly harm any environmental or social objectives.
		Does this financial product consider principal adverse impacts on sustainability factors?
		✓ Yes
		☐ No The Fund considers PAIs on sustainability factors through the application of exclusionary screens and its carbon reduction target. The Fund takes into account the following PAIs: • GHG emissions • Carbon footprint • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, this Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. This Fund will provide information on the PAIs in its annual report.
		What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance		The investment objective of the Fund is to achieve long-term capital growth. The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity related instruments (namely, futures) of companies domiciled in, listed in, or the main business of which is in, India. The Fund does not have any specific industry focus. The Fund's assets will be invested in accordance with the ESG Policy. The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock

selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value (companies whose share price is indicative of good value, for example by reference to its estimated future earnings), momentum (companies that have experienced share price increases over a period of time) and quality (companies that demonstrate good quality characteristics such as the profitability of the company, the stability of its earnings and low levels of leverage/debt)), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform the Investment Manager's selection of stocks in the Fund's portfolio, removing any that conflict with the Fund's ESG Policy and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before trading them to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel. The Investment Manager may therefore decline to implement a position generated by the automated tool where it considers this appropriate in light of such factors.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets outside India. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities. Such underlying equity securities may be issued from within emerging markets jurisdictions.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("Cash Holdings") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely, futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together “FDI Cash Holdings”) in one or more daily dealing money market collective investment schemes as set out under the heading “Management of Cash Holdings and FDI Cash Holdings”.

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the Prospectus.

The Fund’s Investments will be limited to investments permitted by the Regulations which are described in more detail in the Prospectus. The Fund’s Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Investment Manager will apply exclusionary screens.

The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI India Index (the “Index”). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund’s investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager’s view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund’s investment policy.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund’s carbon emissions intensity is lower than that of the Index.
- Application of the exclusionary screens described below:
 - (x) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
 - (xi) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
 - (xii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).

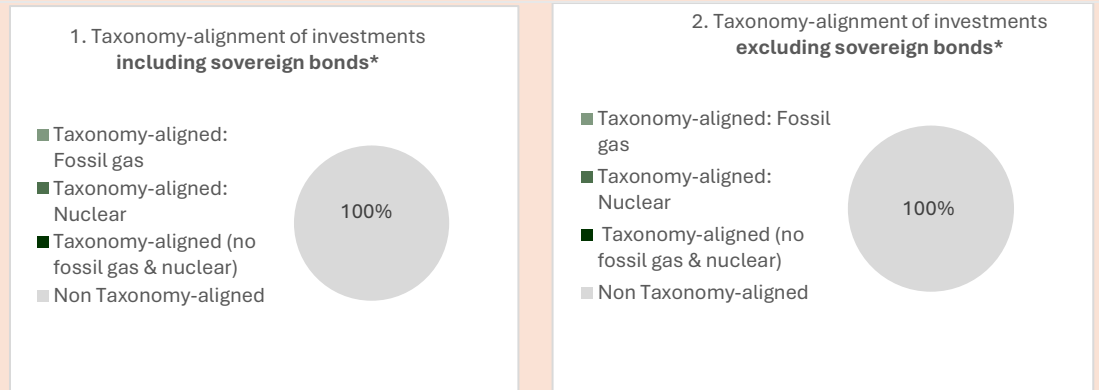
		(xiii) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons. (xiv) Issuers which produce tobacco products. (xv) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use. (xvi) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use. (xvii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use. (xviii) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). • Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.
		● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
		There is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.		● <i>What is the policy to assess good governance practices of the investee companies?</i> The Investment Manager assesses good governance practices of the investee companies by combining proprietary insights by the Investment Manager, with data from external ESG research providers. The Investment Manager uses data from external ESG research providers to initially identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance. Where issuers are identified as potentially having issues with regards to good governance, the issuers are reviewed to ensure that, where the Investment Manager agrees with this external assessment, the Investment Manager is satisfied that the issuer has either taken remediation actions or will take remedial actions within a reasonable time frame. The Investment Manager may also decide to reduce exposure to such issuers.
		What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities		A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ('#2 Other').

of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	<pre> graph LR Investments --> #1["#1 Aligned with E/S Characteristics"] Investments --> #2["#2 Other"] #1 --> #1A["#1A Sustainable"] #1 --> #1B["#1B Other E/S characteristics"] #1A --> OtherEnv["Other environmental"] #1A --> Social["Social"] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers: – The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives. – The sub-category #1B Other E/S characteristics covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.
To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For nuclear energy, the criteria include comprehensive safety and waste management rules. Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives	<i>How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?</i> The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.  To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.  Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁶? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ☒ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy. <i>The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign</i>

⁶ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left

are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

The Fund does not commit to making investments in transitional and enabling activities.

What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate.

The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.

What is the minimum share of socially sustainable investments?

A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate.

What investments are included under "#2 Other", what is their purpose and are there any minimum environmental or social safeguards?

hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging. These other holdings are not considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No. Please note that the MSCI India Index is used to compare certain ESG characteristics promoted by the Fund.
	● <i>How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?</i> Not applicable.
	● <i>How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?</i> Not applicable.
	● <i>How does the designated index differ from a relevant broad market index?</i> Not applicable.
	● <i>Where can the methodology used for the calculation of the designated index be found?</i> Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Product name: iShares Japan Equity Enhanced Active UCITS ETF

Legal entity identifier: 529900QCY70U6P55SU63

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.

The **EU Taxonomy** is a classification system laid down in Regulation (EU) 2020/852, establishing a list of **environmentally sustainable economic activities**. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.



Environmental and/or social characteristics

Does this financial product have a sustainable investment objective?

☒ ☒ ☐ Yes	☒ ☐ ☒ ✓ No
☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective
	☐ It promotes E/S characteristics, but will not make any sustainable investments

What environmental and/or social characteristics are promoted by this financial product?

The Fund invests a minimum of 20% of its total assets in Sustainable Investments, across environmental and social objectives. BlackRock defines Sustainable Investments as investments in issuers or securities that contribute to an environmental or social objective, do not significantly harm any of those objectives and where investee companies follow good governance practices. BlackRock refers to relevant sustainability frameworks to identify the alignment of the investment to environmental or social objectives.

Sustainable Investments should also meet the do no significant harm (DNSH) requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria to assess whether an issuer or investment does significant harm.

The Fund promotes environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect

	emissions that occur in an issuer's value chain but Scope 3 is not covered in the reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund's holdings are used to measure this aim. Additionally, the Fund promotes environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of exclusionary screens. The Fund promotes social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons, nuclear warheads and nuclear missiles, and/or essential components for exclusive use in nuclear weapons, issuers that have ties to automatic/semi-automatic firearms or ammunition production intended for civilian use, or those that derive revenue from the production or distribution of firearms and/or small arms ammunition intended for civilian use, (b) better health and wellbeing by excluding direct investment in issuers involved in production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of exclusionary screens. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question "What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?" below. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, MSCI Japan Index (the "Index") is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in Sustainable Investments, as described above. • The Fund's carbon emissions intensity, as described above. • The Fund's exclusion of holdings in issuers identified by the exclusion criteria set out in the exclusionary screens, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock's DNSH standard outlined below. BlackRock invests in Sustainable Investments which contribute to environmental and / or social objectives relating to alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education or that are otherwise identified by the United Nations Sustainable Development Goals ("Environmental and Social Objectives").

	An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer's business activity contributes to an Environmental and/or Social Objective; or b) the issuer's business practices contribute to an Environmental and/or Social Objective.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?
	Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>

	Does this financial product consider principal adverse impacts on sustainability factors? ✓ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of exclusionary screens and its carbon reduction target. The Fund takes into account the following PAIs: • GHG emissions • Carbon footprint • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, this Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. This Fund will provide information on the PAIs in its annual report.
 The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	What investment strategy does this financial product follow? The investment objective of the Fund is to achieve long-term capital growth. The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in Japan. The Fund does not have any specific industry focus. The Fund's assets will be invested in accordance with the ESG Policy. The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value, momentum and quality), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform the Investment Manager's selection of stocks in the Fund's portfolio, removing any that conflict with the Fund's ESG Policy and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before trading them to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in

relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel. The Investment Manager retains the ultimate discretion when selecting stocks identified by the quantitative model and may therefore decline to implement a position generated by the automated tool where it considers this appropriate in light of such factors.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets outside Japan. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities. Such underlying equity securities may be issued from within emerging markets jurisdictions.

The Fund may also invest up to 10% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, Japan. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

The maximum proportion of the Net Asset Value of the Fund that can be subject to total return swaps is 100%. The expected proportion of the Net Asset Value of the Fund that will be subject to total return swaps is 0%. The expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in the

Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Investment Manager will apply exclusionary screens.

The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI Japan Index (the 'Index'). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund's carbon emissions intensity is lower than that of the Index.
- Application of the exclusionary screens described below:
 - (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
 - (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
 - (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
 - (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
 - (v) Issuers which produce tobacco products.
 - (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.
 - (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use.
 - (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use.

		(ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.
		● What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?
		There is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.		● What is the policy to assess good governance practices of the investee companies?
		The Investment Manager assesses good governance practices of the investee companies by combining proprietary insights by the Investment Manager, with data from external ESG research providers. The Investment Manager uses data from external ESG research providers to initially identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance. Where issuers are identified as potentially having issues with regards to good governance, the issuers are reviewed to ensure that, where the Investment Manager agrees with this external assessment, the Investment Manager is satisfied that the issuer has either taken remediation actions or will take remedial actions within a reasonable time frame. The Investment Manager may also decide to reduce exposure to such issuers.
		What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: turnover reflecting the share of revenue from green activities of investee companies capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. operational expenditure (OpEx) reflecting green operational activities of investee companies.		A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ('#2 Other').
		<pre> graph LR A[Investments] --- B["#1 Aligned with E/S Characteristics 80%"] A --- C["#2 Other 20%"] </pre>

	#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers: – The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives. – The sub-category #1B Other E/S characteristics covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.
	<i>How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?</i> The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.
To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For nuclear energy, the criteria include comprehensive safety and waste management rules. Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.	 To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy. ☒ Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ☒ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

¹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds. 1. Taxonomy-alignment of investments including sovereign bonds* 2. Taxonomy-alignment of investments excluding sovereign bonds* <i>* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures</i>
	● What is the minimum share of investments in transitional and enabling activities? The Fund does not commit to making investments in transitional and enabling activities.
 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate. The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.
	 What is the minimum share of socially sustainable investments? A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?

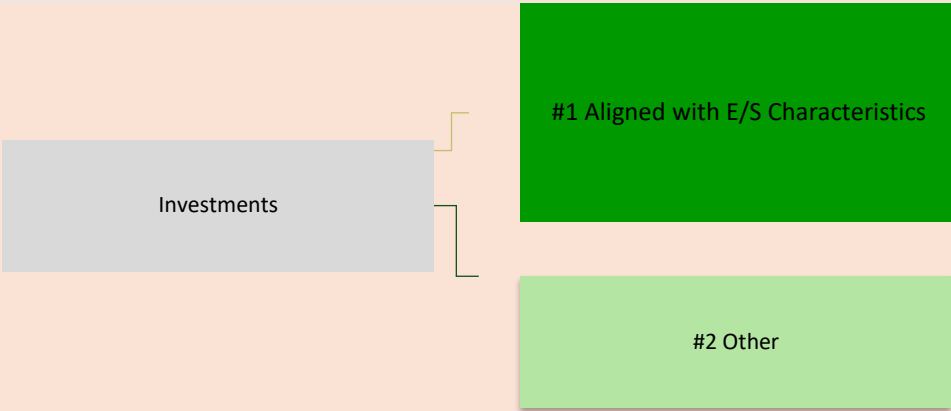
	Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging. These other holdings are not considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No. Please note that the MSCI Japan Index is used to compare certain ESG characteristics promoted by the Fund. ● <i>How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?</i> Not applicable. ● <i>How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?</i> Not applicable. ● <i>How does the designated index differ from a relevant broad market index?</i> Not applicable. ● <i>Where can the methodology used for the calculation of the designated index be found?</i> Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.iShares.com.

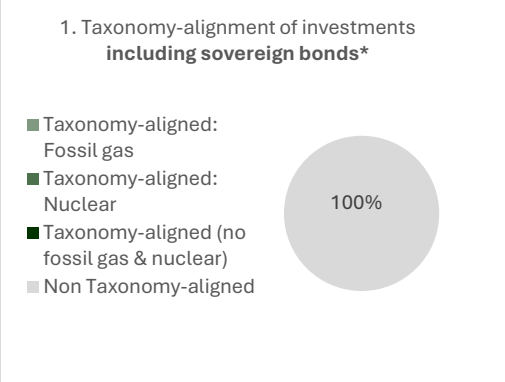
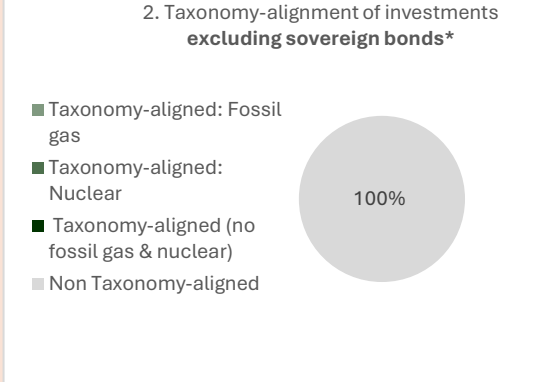
**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares Moderate Portfolio UCITS ETF	
	Legal entity identifier: 549300JWKBITVRFT095	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	☒ ☒ Yes	☒ ☐ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of ____% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☐ with a social objective ☒ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is actively managed. The Fund seeks to promote environmental and social characteristics by investing at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG Screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprised of bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors such as MSCI) (together the “ESG Criteria”). In relation to underlying UCITS exchange traded funds incorporating ESG Screens, such ESG Screens exclude issuers that are involved in business lines / activities (or related activities) that are contrary to ESG criteria. Examples of such business lines / activities include: controversial weapons (including landmines, cluster munitions, biological and chemical weapons, depleted uranium weapons, blinding lasers, incendiary weapons and non-detectable fragments), nuclear weapons, conventional weapons, civilian firearms, tobacco, adult entertainment, alcohol, gambling, nuclear power, genetically modified organisms, oil sands and thermal coal. The definition of “involvement” in each business line / activity may be based on percentage of revenue, a defined total revenue threshold, or any connection to a business line / activity regardless of the amount of revenue received. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes.	

Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in UCITS exchange traded funds which track indices incorporating ESG Screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprised of bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors) (see What environmental and/or social characteristics are promoted by this financial product? above). • The Fund's consideration of principal adverse impacts (PAIs) on sustainability factors, as described below (see Does this financial product consider principal adverse impacts on sustainability factors?).
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i> This Fund does not commit to investing in sustainable investments. ● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Not applicable as the Fund does not commit to investing in sustainable investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>

	Does this financial product consider principal adverse impacts on sustainability factors?
	☒ Yes ☐ No The Fund takes into consideration principal adverse impacts (PAIs) on sustainability factors by investing in UCITS exchange traded funds which track indices incorporating certain ESG criteria in the selection of index constituents and which in turn take into consideration such PAIs. The Investment Manager has determined that the following principal adverse impacts (PAIs) are considered by the Fund: • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) The Fund's annual report will include information on the principal adverse impacts on sustainability factors set out above.
	What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The Fund is actively managed and the Investment Manager has the discretion to select the Fund's Investments. In order to achieve its investment objective, the investment policy of this Fund is to invest its assets predominantly in other EEA domiciled UCITS collective investment schemes including UCITS exchange traded funds which may be managed by the Investment Manager or an Affiliate. The underlying asset class exposure of UCITS exchange traded funds invested in by the Fund will comprise equities and fixed income. The Fund may also invest in UCITS eligible exchange traded commodities. The issue of the exchange traded commodities invested in by the Fund may be arranged and advised by the Investment Manager or an Affiliate. The underlying asset class exposure of the exchange traded commodities invested in by the Fund will comprise precious metals. The Fund's investments will, at the time of purchase, comply with the Fund's ESG criteria as outlined above. If any of the Fund's investments cease to comply with the Fund's ESG criteria, the Fund may continue to hold the investment until such time it is possible and practicable (in the Investment Manager's view) to liquidate the position. ● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i> The Fund will seek to invest at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprising bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors such as MSCI).
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no commitment to reduce the scope of investments by a minimum rate.

Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies? BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers where appropriate. In relation to those underlying index funds in which the Fund may invest which are BlackRock-managed and which are themselves SFDR Article 8 or Article 9 Funds, BlackRock carries out due diligence on index providers and engages with them on an ongoing basis with regard to the index methodologies of the benchmark indexes used by such underlying funds, including their assessment of good governance criteria set out by SFDR. This may include where the index providers of the benchmark indices of such underlying funds exclude issuers (1) based on an assessment of an issuer's involvement in ESG related controversies, and/or (2) that are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environmental).
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	What is the asset allocation planned for this financial product? The Fund will seek to invest at least 80% of its assets in UCITS exchange traded funds tracking indices incorporating ESG screens, or, in the case of government bond exposures, indices incorporating ESG requirements or comprising bonds issued by governments that have an ESG sovereign rating of at least BB (as defined by third party data vendors) and which are therefore aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). The Fund may invest up to 20% of its total assets in other investments (“#2 Other”).  #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For nuclear energy, the criteria include comprehensive safety and waste management rules. Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.	How does the use of derivatives attain the environmental or social characteristics promoted by the financial product? The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.  To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? This Fund does not currently commit to investing more than 0% of its assets in investments in environmentally sustainable economic activities within the meaning of the EU Taxonomy. ● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ✓ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy. The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds. 1. Taxonomy-alignment of investments including sovereign bonds*  2. Taxonomy-alignment of investments excluding sovereign bonds*  * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures
	● What is the minimum share of investments in transitional and enabling activities? This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the Taxonomy Regulation.

¹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? Not applicable as the Fund does not commit to investing in sustainable investments with an environmental objective.
	 What is the minimum share of socially sustainable investments? Not applicable as the Fund does not currently commit to investing more than 0% of its assets in socially sustainable investments.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings are limited to 20% and may include cash, money market funds, shares or units of collective investments schemes, UCITS-eligible exchange traded commodities and derivatives. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or for hedging. Other holdings will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? Not applicable. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? Not applicable.
	● How does the designated index differ from a relevant broad market index? Not applicable.
	● Where can the methodology used for the calculation of the designated index be found? Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares MSCI Pacific ex-Japan CTB Enhanced ESG UCITS ETF	
	Legal entity identifier: 549300OR5NBNHQB3QN82	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●○ ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 15% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the MSCI Pacific ex-Japan ESG Enhanced CTB Index, its Benchmark Index: 1. exclusion of issuers deemed to be involved in certain activities considered to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to have violated United Nations Global Compact principles; 3. exclusion of issuers deemed to be involved in very severe ESG related controversies or severe environmental controversies; 4. exposure to issuers with a better ESG score relative to the MSCI Pacific ex-Japan Index (Parent Index); 5. exposure to issuers which have been selected and weighted in accordance with the minimum standards of a climate transition benchmark as based on the climate commitments laid down in the Paris Agreement; and 6. exposure to investments qualifying as sustainable investments. These environmental and social characteristics are incorporated through the selection and weighting of constituents in the Fund's Benchmark Index at each index rebalance (as described below). The Benchmark Index has been labelled by the index provider as an EU Climate	

Transition benchmark (“CTB”) (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation in respect of the criteria for the selection, weighting and, where applicable, exclusion of the underlying assets, to align with the climate commitments laid down in the Paris Agreement.

The Benchmark Index has been labelled by the index provider as an EU Climate Transition Benchmark and does not aim to meet the minimum standards for EU Paris-Aligned Benchmarks (as set out in the Commission Delegated Regulation (EU) 2020/1818). Both EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks are subject to minimum standards that are based on the commitments laid down in the Paris Agreement. While EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks pursue similar objectives and minimum standards that are common to both benchmarks, they vary in their level of ambition. As such, the Benchmark Index does not incorporate any thresholds or exclusionary criteria to meet any minimum standards applicable only to EU Paris-Aligned benchmarks.

The Benchmark Index excludes issuers that are involved in the following business lines/activities (or related activities):

- controversial weapons;
- nuclear weapons;
- production of civilian firearms (relating to automatic and semi-automatic civilian firearms and small arms ammunition);
- distribution of civilian firearms or small arms ammunition;
- tobacco;
- thermal coal; and
- unconventional oil and gas.

The index provider defines what constitutes “involvement” in each restricted activity, this may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. Issuers that are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment) are also excluded.

The Benchmark Index also excludes issuers which have a ‘red’ MSCI ESG controversy flag or an ‘orange’ environmental controversy flag (based on an MSCI ESG controversy score or an MSCI environmental controversy score, as appropriate). An MSCI ESG controversy score measures an issuer’s involvement (or alleged involvement) in serious controversies based on an assessment of an issuer’s operations and/or products which are deemed to have a negative ESG impact. An MSCI ESG or environmental controversy score may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. An MSCI ESG controversy score may also consider involvement in adverse impact activities in relation to social issues such as human rights, labour management relations, discrimination and workforce diversity.

Companies are also rated by the index provider based on their ability to manage their ESG risks and opportunities and are given an MSCI ESG rating. An MSCI ESG rating is designed to measure an issuer’s resilience to long-term industry material ESG risks and how well it manages ESG risks and opportunities relative to industry peers. The index provider may consider the following environmental themes when determining an issuer’s ESG score as part of the ESG rating methodology: climate change mitigation based on greenhouse gas

	emissions, waste and other emissions, land use and biodiversity. The index provider may also consider the following social themes when determining an issuer's ESG score as part of the ESG rating methodology: access to basic services, community relations, data privacy and security, human capital, health and safety and product governance. The MSCI ESG rating methodology recognises that certain environmental and social issues are more material based on the type of activity that the issuer is involved in by weighting the issues differently in the scoring methodology. Those issuers with higher MSCI ESG scores are determined by the index provider to be those issuers that may be better positioned to manage future ESG-related challenges and risks compared to their industry peers. Issuers that have not been assessed or rated by the index provider for an MSCI ESG or environmental controversy score, an MSCI ESG rating or ESG score are excluded from the Benchmark Index. Following the application of the above exclusionary criteria, the constituents of the Benchmark Index are selected and weighted using the index provider's optimisation process at each index rebalance which seeks to: • reduce the weighted average greenhouse gas (GHG) intensity (Scope 1+2+3 emissions) by 30% compared to the Parent Index; • reduce the weighted average GHG intensity (Scope 1+2+3 emissions) by 7% on an annual basis; • optimise exposure to sectors with a high impact on climate change that is at least equivalent to the Parent Index; and • achieve a better ESG score compared with the Parent Index. In addition, companies which have been identified as having a 'red' MSCI ESG controversy flag, or which have been classified as violating United Nations Global Compact principles, or that are involved in activities related to controversial weapons or tobacco production, may also be removed from the Benchmark Index in between index rebalances in accordance with the index methodology. For more information on where details of the methodology of the Benchmark Index can be found see Where can the methodology used for the calculation of the designated index be found? below.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of companies classified as violating United Nations Global Compact principles by the Benchmark Index as described above (see What environmental and/or social characteristics are promoted by this financial product? above). 3. The exclusion of companies identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product? above). 4. The exposure to sectors with a high impact on climate change as described above (see What environmental and/or social characteristics are promoted by this financial product?). 5. The GHG intensity relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 6. The decarbonisation rate of GHG intensity per year as described above (see What environmental and/or social characteristics are promoted by this financial product?).

	7. The ESG score versus the Parent Index as described above (expected to be better than the Parent Index) (see What environmental and/or social characteristics are promoted by this financial product?) 8. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 9. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index. Where a constituent is removed from the Benchmark Index in between index rebalances, the Fund's portfolio will be re-aligned thereafter as soon as possible and practicable (in the Investment Manager's view) to align with the Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	By investing in a portfolio of equity securities that, as far as possible and practicable, consists of the component securities of the Fund's Benchmark Index, a proportion of the Fund's investments will be in activities deemed to contribute to positive environmental and/or social impacts or in companies which have committed to science-based carbon reduction targets (as described below). The Fund's Benchmark Index seeks to allocate a proportion of the Benchmark Index to companies that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The Benchmark Index uses the MSCI ESG Sustainable Impact Metrics which aim to measure revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related frameworks. The MSCI ESG Sustainable Impact Metrics consider positive environmental impacts in relation to themes such as climate change and natural capital and seek to identify those companies that may derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution prevention and control and sustainable agriculture. The MSCI ESG Sustainable Impact Metrics also consider positive societal impacts in relation to themes such as basic needs and empowerment and seek to identify those companies that may derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, small and medium enterprises (SMEs) finance, education and connectivity. The environmental and social themes together with the revenue alignment thresholds are determined by the index provider and are applied at each index rebalance of the Benchmark Index. The Benchmark Index also seeks to identify constituents with a commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for companies and financial institutions to reduce greenhouse gas

	(GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund may contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the starting universe of the Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	At each index rebalance, all investments qualifying as sustainable are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, companies are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where a company has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. By tracking the Benchmark Index which incorporates these environmental and social related screens, the Investment Manager has determined that, at each index rebalance (or as soon as possible and practicable thereafter), the Fund's investments qualifying as sustainable, will not cause significant harm to any environmental or social sustainable objective within the meaning of applicable law and regulation.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable. As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) companies deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions) (2) companies with an "orange" MSCI ESG controversy flag that have been deemed to be involved in severe ESG controversies (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) companies with an MSCI ESG rating of B or below, which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). At each index rebalance, the Benchmark Index also excludes: (1) companies with a "red" MSCI ESG controversy flag which includes companies determined to be in violation of international and/or national standards (taking into account indicators concerning violations of United Nations Global Compact principles and OECD Guidelines for Multinational Enterprises), and (2) companies determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	The Fund's Benchmark Index excludes issuers with a "red" ESG controversy flag which excludes issuers which have been determined by the index provider to be in violation of the UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational

Enterprises. The Benchmark Index applies the above exclusionary criteria at each index rebalance.

The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.

The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

Any other sustainable investments must also not significantly harm any environmental or social objectives.

Does this financial product consider principal adverse impacts on sustainability factors?

☒ Yes

☐ No

Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as “X” in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance.

The Fund’s annual report will include information on the principal adverse impacts on sustainability factors set out below.

	PAI Description	Benchmark Index Selection Criteria				
		Minimum% reduction of carbon emission intensity and potential carbon emissions targets	Exclusion of issuers deriving% revenue from thermal coal and unconventional oil and gas	Exclusion of Issuers based on an MSCI ESG controversy Score	Exclusion of issuers classified as violating United Nations Global Compact principles	Exclusion of issuers determined to have any tie to controversial weapons
Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X				
	1.(b) GHG emissions (Scope 3)	X				
	2. Carbon footprint	X				
	3. GHG intensity	X				
	4. % in Fossil Fuels		X			
	5. Non-Renewable / Renewable %					
	6. High impact sector energy consumption					
Biodiversity	7. Negative impact to Biodiversity sensitive areas			X		
Water	8. Emissions to Water			X		
Waste	9. Hazardous Waste			X		
Social and employee matters	10. UNGC + OECD Violations			X	X	
	11. UNGC + OECD Process, Monitoring					
	12. Unadjusted gender pay gap					
	13. Board gender diversity					
	14. Controversial weapons					X



The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

What investment strategy does this financial product follow?

The investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?).

The Fund seeks to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index where possible and practicable.

By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index.

Governance Processes

The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are that the Fund will invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index.

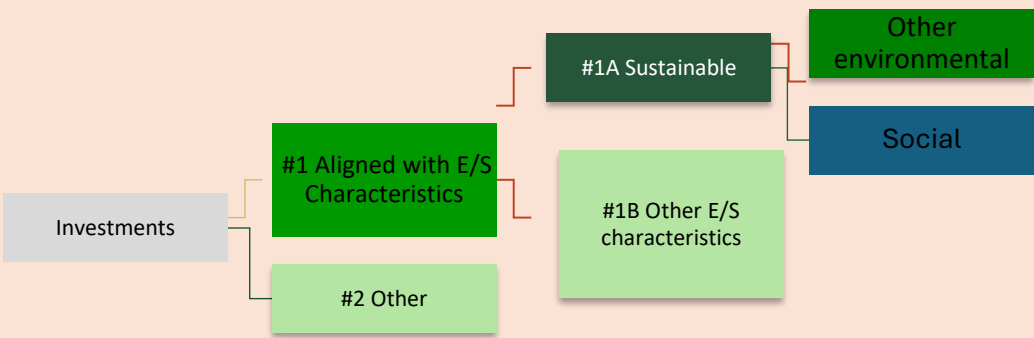
In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

● ***What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?***

There is no committed minimum rate to reduce the scope of the Fund's investments.

The Fund's Benchmark Index seeks to reduce the number of constituents from the Parent Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index.

The rate of reduction may vary over time depending on the issuers that make up the Parent Index. For example, if issuers in the Parent Index engage in fewer activities that are excluded from the Parent Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the

	ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● What is the policy to assess good governance practices of the investee companies?
	Good governance checks are incorporated within the methodology of the Benchmark Index. At each index rebalance, the index provider excludes companies from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) and excludes companies that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product? above).
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	What is the asset allocation planned for this financial product? The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in securities within the Benchmark Index. As such, at each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 15% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index. Where any investment ceases to qualify as a sustainable investment between index rebalances, the Fund's holdings in sustainable investments may fall below the minimum proportion of sustainable investments. The Fund may invest up to 20% of its assets in other investments ("#2 Other").
	 <pre> graph LR Investments --> N1["#1 Aligned with E/S Characteristics"] Investments --> N2["#2 Other"] N1 --> N1A["#1A Sustainable"] N1 --> N1B["#1B Other E/S characteristics"] N1A --> N1A1["Other environmental"] N1A --> N1A2["Social"] </pre>
	#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient Portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy²?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and

² Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

among others have greenhouse gas emission levels corresponding to the best performance.	1. Taxonomy-alignment of investments including sovereign bonds* 2. Taxonomy-alignment of investments excluding sovereign bonds* * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures
	● What is the minimum share of investments in transitional and enabling activities?
	This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the Taxonomy Regulation.
 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? A minimum of 15% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be a mix of sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What is the minimum share of socially sustainable investments? A minimum of 15% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be a mix of sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.



Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.

Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

Yes, this Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the MSCI Pacific ex-Japan ESG Enhanced CTB Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria.

● ***How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?***

At each index rebalance, the index provider applies the ESG selection criteria to the Parent Index to exclude issuers that do not meet such ESG selection criteria.

● ***How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?***

At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.

● ***How does the designated index differ from a relevant broad market index?***

The Benchmark Index has been labelled by the index provider as an EU Climate Transition benchmark (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation. The Benchmark Index selects, weights and, where applicable, excludes issuers from the Parent Index to align with the climate commitments laid down in the Paris Agreement.

The ESG selection criteria that is applied by the index provider is set out above (see What environmental and/or social characteristics are promoted by this financial product?).

● ***Where can the methodology used for the calculation of the designated index be found?***

The methodology of the Fund's Benchmark Index can be found by copying and pasting the following link into your web browser:

<https://www.msci.com/index/methodology/latest/ESGEnhancedFocusCTB>

The methodology of the Fund's Benchmark Index can also be found on the index provider's website at <https://www.msci.com/indexes/ishares>



Where can I find more product specific information online?

More product-specific information can be found on the website:

For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares MSCI World Paris-Aligned Climate UCITS ETF	
	Legal entity identifier: 549300RDSGEJQW85Q898	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●○ ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☐ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 25% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the MSCI World Climate Paris Aligned Benchmark Select Index, its Benchmark Index: 1. exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes. 2. exclusion of issuers deemed to be involved in very severe ESG related controversies; 3. exclusion of issuers deemed to be involved in very severe or severe controversies relating to environmental issues; 4. exposure to issuers which have been selected and weighted to align with the climate commitments laid down in the Paris Agreement; and 5. exposure to investments qualifying as sustainable investments. These environmental and social characteristics are incorporated through the selection of constituents in the Fund's Benchmark Index at each index rebalance (as described below). The Benchmark Index has been labelled by the index provider as an EU Paris-aligned Benchmark ("PAB") (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation in respect of the criteria for the selection, weighting and, where applicable, exclusion of the underlying assets, to align with the climate commitments laid down in the Paris Agreement.	

	The Benchmark Index excludes issuers that are involved in the following business lines/activities (or related activities): • controversial weapons • tobacco • thermal coal mining • oil fuels • gaseous fuels • power generation (relating to thermal coal-based power generation, liquid fuel-based power generation and natural gas based power generation) The index provider defines what constitutes 'involvement' in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. The Benchmark Index also excludes issuers with a 'red' MSCI ESG controversy flag (based on an MSCI ESG controversy score of 0). An MSCI ESG controversy score measures an issuer's involvement (or alleged involvement) in serious controversies based on an assessment of an issuer's operations, products and/or services which are deemed to have a negative ESG impact. An MSCI ESG controversy score may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. An MSCI ESG controversy score may also consider involvement in adverse impact activities in relation to social issues such as human rights, labour management relations, discrimination and workforce diversity. Companies with a 'red' or 'orange' MSCI environmental controversy flag (based on an MSCI environmental controversy score) are also excluded from the Benchmark Index. Following the application of the above exclusionary criteria, the constituents of the Benchmark Index are selected and weighted using the index provider's optimisation process at each index rebalance which seeks to: • reduce the weighted average greenhouse gas (GHG) intensity (Scope 1+2+3) by 50% compared to the Parent Index; • reduce the weighted average GHG intensity (Scope 1+2+3) by 7% on an annual basis; and • optimise exposure to sectors with a high impact on climate change that is at least equivalent to the Parent Index (to align with the objective of a PAB to include exposure to sectors that have a need to actively reduce GHG emissions). In addition, companies which have been identified as having a 'red' MSCI ESG controversy flag, or that are involved in activities related to controversial weapons or tobacco production, may also be removed from the Benchmark Index in between index rebalances in accordance with the index methodology. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>

characteristics promoted by the financial product are attained.

The following sustainability indicators are based on of the ESG selection criteria of the Benchmark Index tracked by the Fund and are used to measure the attainment of the environmental and social characteristics promoted by the Fund:

1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?).
2. The exclusion of companies identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product?).
3. The exclusion of companies identified as being involved in environmental controversies as described above (see What environmental and/or social characteristics are promoted by this financial product?).
4. The exposure to sectors with a high impact on climate change as described above (see What environmental and/or social characteristics are promoted by this financial product?).
5. The GHG intensity relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?).
6. The reduction of the weighted average GHG intensity per year in line with the minimum PAB standards (7%).
7. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?).

The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index.

Where a constituent is removed from the Benchmark Index in between index rebalances, the Fund's portfolio will be re-aligned thereafter as soon as possible and practicable (in the Investment Manager's view) to align with the Benchmark Index.

● ***What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?***

By investing in a portfolio of equity securities that, as far as possible and practicable, consists of the component securities of the Fund's Benchmark Index, a proportion of the Fund's investments will be in activities deemed to contribute to positive environmental and/or social impacts or in companies which have committed to science-based carbon reduction targets (as described below).

The index provider seeks to allocate a proportion of the Benchmark Index to companies that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi).

The Benchmark Index uses the MSCI ESG Sustainable Impact Metrics which aim to measure revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related

	frameworks. The MSCI ESG Sustainable Impact Metrics consider positive environmental impacts in relation to themes such as climate change and natural capital and seek to identify those companies that may derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution prevention and control and sustainable agriculture. The MSCI ESG Sustainable Impact Metrics also consider positive societal impacts in relation to themes such as basic needs and empowerment and seek to identify those companies that may derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, small and medium enterprises (SME) finance, education and connectivity. The environmental and social themes together with the revenue alignment thresholds are determined by the index provider and are applied at each index rebalance of the Benchmark Index. The Benchmark Index also seeks to identify constituents with a commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for companies and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund may contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the starting universe of the Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> At each index rebalance, all investments qualifying as sustainable investments are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, companies are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where a company has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. By tracking the Benchmark Index which incorporates these environmental and social related screens, the Investment Manager has determined that, at each index rebalance (or as soon as possible and practicable thereafter), the Fund's investments qualifying as sustainable investments, will not cause significant harm to any environmental or social sustainable objective within the meaning of applicable law and regulation.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable investments. As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) companies deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions), (2) companies with an 'orange' MSCI ESG controversy flag that have been deemed to be involved in severe or very severe ESG related controversies (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) companies with an MSCI

	ESG rating of B or below, which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). The Benchmark Index also excludes: (1) companies with a ‘red’ MSCI ESG controversy flag which includes companies determined to be in violation of international and/or national standards (taking into account indicators concerning violations of United Nations Global Compact principles and OECD Guidelines for Multinational Enterprises), and (2) companies determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).																										
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>																										
	The Fund’s Benchmark Index excludes issuers with a ‘red’ ESG controversy flag which excludes issuers which have been determined by the index provider to be in violation of the UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational Enterprises. The Benchmark Index applies the above exclusionary criteria at each index rebalance.																										
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>																										
	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes																										
	☐ No Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as ‘X’ in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance. The Fund’s annual report will include information on the principal adverse impacts on sustainability factors set out below. <table><tr><th rowspan="2"></th><th rowspan="2">PAI Description</th><th colspan="4">Benchmark Index Selection Criteria</th></tr><tr><th>Minimum % reduction of GHG emissions and carbon intensity</th><th>Exclusion of issuers based on certain environmental screens (listed above)</th><th>Exclusion of Issuers based on an MSCI ESG controversy Score</th><th>Exclusion of issuers determined to have any tie to controversial weapons</th></tr><tr><td rowspan="3">Greenhouse Gas (GHG) emissions</td><td>1.(a) GHG emissions (Scope 1/2)</td><td>X</td><td></td><td></td><td></td></tr><tr><td>1.(b) GHG emissions (Scope 3)</td><td>X</td><td></td><td></td><td></td></tr><tr><td>2. Carbon footprint</td><td>X</td><td></td><td></td><td></td></tr></table>		PAI Description	Benchmark Index Selection Criteria				Minimum % reduction of GHG emissions and carbon intensity	Exclusion of issuers based on certain environmental screens (listed above)	Exclusion of Issuers based on an MSCI ESG controversy Score	Exclusion of issuers determined to have any tie to controversial weapons	Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X				1.(b) GHG emissions (Scope 3)	X				2. Carbon footprint	X			
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		● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
		There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the Parent Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the Parent Index. For example, if issuers in the Parent Index engage in fewer activities that are excluded from the Parent Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.		● <i>What is the policy to assess good governance practices of the investee companies?</i>
		Good governance checks are incorporated within the methodology of the Benchmark Index. The index provider excludes companies from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) and excludes companies that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product? above).
		What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities		The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in securities within the Benchmark Index. As such, at each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 25% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index. Where any investment ceases to qualify as a sustainable investment between index rebalances, the Fund's holdings in sustainable investments may fall below the minimum proportion of sustainable investments.

of investee companies.	The Fund may invest up to 20% of its total assets in other investments ('#2 Other').
	<pre> graph LR Investments[Investments] --> N1[#1 Aligned with E/S Characteristics] Investments --> N2[#2 Other] N1 --> N1A[#1A Sustainable] N1 --> N1B[#1B Other E/S characteristics] N1A --> N1A1[Other environmental] N1A --> N1A2[Social] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers: – The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives. – The sub-category #1B Other E/S characteristics covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments. <i>How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?</i> The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy³?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

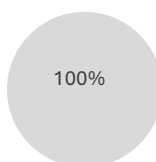
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

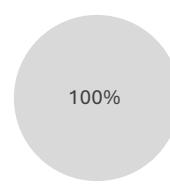
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

The Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 25% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.

³ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

activities under the EU Taxonomy.	
	 What is the minimum share of socially sustainable investments?
	A minimum of 25% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?
Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the MSCI World Climate Paris Aligned Benchmark Select Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria.
	 How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?
	At each index rebalance, the index provider applies the ESG selection criteria to the Parent Index to exclude issuers that do not meet such ESG selection criteria.
	 How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?
	At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	 How does the designated index differ from a relevant broad market index?
	The Benchmark Index has been labelled by the index provider as an EU Paris-aligned benchmark (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation. The Benchmark Index selects, weights and, where applicable, excludes issuers from the Parent Index to align with the climate commitments laid down in the Paris Agreement. The ESG selection criteria that is applied by the index provider is set out above (see What environmental and/or social characteristics are promoted by this financial product?).
	 Where can the methodology used for the calculation of the designated index be found?
	The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.msci.com/indexes/ishares.

	Further details of the Fund's Benchmark Index (including its constituents) are also available on the index provider's website at: https://www.msci.com/constituents.
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to the Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares MSCI World Small Cap CTB Enhanced ESG UCITS ETF	
	Legal entity identifier: 549300BI81RXTGHYGC95	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 15% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the MSCI World Small Cap ESG Enhanced CTB Index, its Benchmark Index: 1. exclusion of issuers deemed to be involved in certain activities considered to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to have violated United Nations Global Compact principles; 3. exclusion of issuers deemed to be involved in very severe ESG related controversies or severe environmental controversies; 4. exposure to issuers with a better ESG score relative to the MSCI World Small Cap Index (Parent Index); 5. exposure to issuers which have been selected and weighted in accordance with the minimum standards of a climate transition benchmark as based on the climate commitments laid down in the Paris Agreement; and 6. exposure to investments qualifying as sustainable investments. These environmental and social characteristics are incorporated through the selection and weighting of constituents in the Fund's Benchmark Index at each index rebalance (as described below). The Benchmark Index has been labelled by the index provider as an EU Climate	

Transition benchmark (“CTB”) (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation in respect of the criteria for the selection, weighting and, where applicable, exclusion of the underlying assets, to align with the climate commitments laid down in the Paris Agreement.

The Benchmark Index has been labelled by the index provider as an EU Climate Transition Benchmark and does not aim to meet the minimum standards for EU Paris-Aligned Benchmarks (as set out in the Commission Delegated Regulation (EU) 2020/1818). Both EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks are subject to minimum standards that are based on the commitments laid down in the Paris Agreement. While EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks pursue similar objectives and minimum standards that are common to both benchmarks, they vary in their level of ambition. As such, the Benchmark Index does not incorporate any thresholds or exclusionary criteria to meet any minimum standards applicable only to EU Paris-Aligned benchmarks.

The Benchmark Index excludes issuers that are involved in the following business lines/activities (or related activities):

- controversial weapons;
- nuclear weapons;
- production of civilian firearms (relating to automatic and semi-automatic civilian firearms and small arms ammunition);
- distribution of civilian firearms or small arms ammunition;
- tobacco;
- thermal coal; and
- unconventional oil and gas.

The index provider defines what constitutes “involvement” in each restricted activity, this may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. Issuers that are classified as violating United Nations Global Compact principles (which are widely accepted corporate sustainability principles that meet fundamental responsibilities in areas such as anti-corruption, human rights, labour and environment) are also excluded.

The Benchmark Index also excludes issuers which have a ‘red’ MSCI ESG controversy flag or an ‘orange’ environmental controversy flag (based on an MSCI ESG controversy score or an MSCI environmental controversy score, as appropriate). An MSCI ESG controversy score measures an issuer’s involvement (or alleged involvement) in serious controversies based on an assessment of an issuer’s operations and/or products which are deemed to have a negative ESG impact. An MSCI ESG or environmental controversy score may consider involvement in adverse impact activities in relation to environmental issues such as biodiversity and land use, energy and climate change, water stress, toxic emissions and waste issues. An MSCI ESG controversy score may also consider involvement in adverse impact activities in relation to social issues such as human rights, labour management relations, discrimination and workforce diversity.

Companies are also rated by the index provider based on their ability to manage their ESG risks and opportunities and are given an MSCI ESG rating. An MSCI ESG rating is designed to measure an issuer’s resilience to long-term industry material ESG risks and how well it manages ESG risks and opportunities relative to industry peers. The index provider may consider the following environmental themes when determining an issuer’s ESG score as part

	of the ESG rating methodology: climate change mitigation based on greenhouse gas emissions, waste and other emissions, land use and biodiversity. The index provider may also consider the following social themes when determining an issuer's ESG score as part of the ESG rating methodology: access to basic services, community relations, data privacy and security, human capital, health and safety and product governance. The MSCI ESG rating methodology recognises that certain environmental and social issues are more material based on the type of activity that the issuer is involved in by weighting the issues differently in the scoring methodology. Those issuers with higher MSCI ESG scores are determined by the index provider to be those issuers that may be better positioned to manage future ESG-related challenges and risks compared to their industry peers. Issuers that have not been assessed or rated by the index provider for an MSCI ESG or environmental controversy score, an MSCI ESG rating or ESG score are excluded from the Benchmark Index. Following the application of the above exclusionary criteria, the constituents of the Benchmark Index are selected and weighted using the index provider's optimisation process at each index rebalance which seeks to: • reduce the weighted average greenhouse gas (GHG) intensity (Scope 1+2+3 emissions) by 30% compared to the Parent Index; • reduce the weighted average GHG intensity (Scope 1+2+3 emissions) by 7% on an annual basis; • optimise exposure to sectors with a high impact on climate change that is at least equivalent to the Parent Index; and • achieve a better ESG score compared with the Parent Index. In addition, companies which have been identified as having a 'red' MSCI ESG controversy flag, or which have been classified as violating United Nations Global Compact principles, or that are involved in activities related to controversial weapons or tobacco production, may also be removed from the Benchmark Index in between index rebalances in accordance with the index methodology. For more information on where details of the methodology of the Benchmark Index can be found see Where can the methodology used for the calculation of the designated index be found? below.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of companies classified as violating United Nations Global Compact principles by the Benchmark Index as described above (see What environmental and/or social characteristics are promoted by this financial product? above). 3. The exclusion of companies identified as being involved in ESG related controversies as described above (see What environmental and/or social characteristics are promoted by this financial product? above).

	4. The exposure to sectors with a high impact on climate change as described above (see What environmental and/or social characteristics are promoted by this financial product?). 5. The GHG intensity relative to the Parent Index as described above (see What environmental and/or social characteristics are promoted by this financial product?). 6. The decarbonisation rate of GHG intensity per year as described above (see What environmental and/or social characteristics are promoted by this financial product?). 7. The ESG score versus the Parent Index (expected to be better than the Parent Index) as described above (see What environmental and/or social characteristics are promoted by this financial product?). 8. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 9. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index. Where a constituent is removed from the Benchmark Index in between index rebalances, the Fund's portfolio will be re-aligned thereafter as soon as possible and practicable (in the Investment Manager's view) to align with the Benchmark Index.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	By investing in a portfolio of equity securities that, as far as possible and practicable, consists of the component securities of the Fund's Benchmark Index, a proportion of the Fund's investments will be in activities deemed to contribute to positive environmental and/or social impacts or in companies which have committed to science-based carbon reduction targets (as described below). The Fund's Benchmark Index seeks to allocate a proportion of the Benchmark Index to companies that either: (1) derive a minimum percentage of their revenue from products or services with positive impacts on the environment and/or society, or (2) have one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The Benchmark Index uses the MSCI ESG Sustainable Impact Metrics which aim to measure revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related frameworks. The MSCI ESG Sustainable Impact Metrics consider positive environmental impacts in relation to themes such as climate change and natural capital and seek to identify those companies that may derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution

	prevention and control and sustainable agriculture. The MSCI ESG Sustainable Impact Metrics also consider positive societal impacts in relation to themes such as basic needs and empowerment and seek to identify those companies that may derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, small and medium enterprises (SMEs) finance, education and connectivity. The environmental and social themes together with the revenue alignment thresholds are determined by the index provider and are applied at each index rebalance of the Benchmark Index. The Benchmark Index also seeks to identify constituents with a commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for companies and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund may contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the starting universe of the Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	At each index rebalance, all investments qualifying as sustainable are screened by the index provider against certain minimum environmental and social indicators. As part of the screening criteria applied by the index provider, companies are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where a company has been identified by the index provider as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment. By tracking the Benchmark Index which incorporates these environmental and social related screens, the Investment Manager has determined that, at each index rebalance (or as soon as possible and practicable thereafter), the Fund's investments qualifying as sustainable, will not cause significant harm to any environmental or social sustainable objective within the meaning of applicable law and regulation.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the screening criteria applied by the index provider in the selection of index constituents qualifying as sustainable. As a result of the screening criteria applied by the index provider, the following investments within the Benchmark Index shall not qualify as sustainable investments: (1) companies deriving a minimum % revenue from thermal coal (as determined by the index provider) which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions) (2) companies with an "orange" MSCI ESG controversy flag that have been deemed to be involved in severe ESG controversies (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) companies with an MSCI ESG rating of B or below, which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (including in relation to indicators concerning greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). At each index rebalance, the Benchmark Index also excludes: (1) companies with a "red" MSCI ESG controversy flag which includes companies determined to be in violation of international

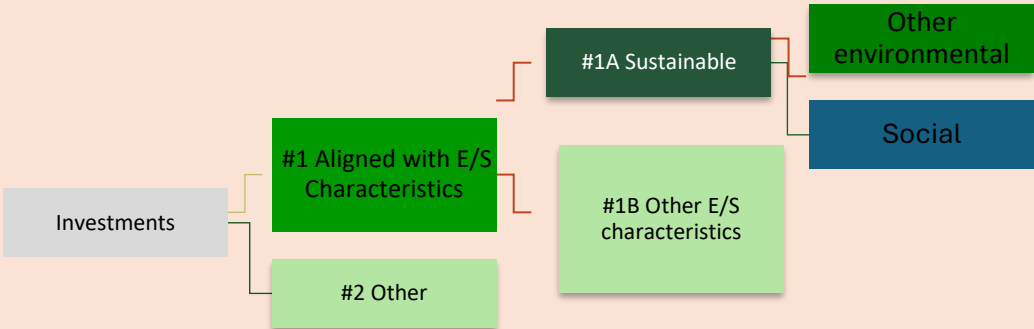
		and/or national standards (taking into account indicators concerning violations of United Nations Global Compact principles and OECD Guidelines for Multinational Enterprises), and (2) companies determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).																																																															
		How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:																																																															
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		The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria. The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities. Any other sustainable investments must also not significantly harm any environmental or social objectives.																																																															
		Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes																																																															
		☐ No Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as “X” in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance. The Fund’s annual report will include information on the principal adverse impacts on sustainability factors set out below.																																																															
		<table><tr><th rowspan="2"></th><th rowspan="2">PAI Description</th><th colspan="5">Benchmark Index Selection Criteria</th></tr><tr><th>Minimum% reduction of carbon emission intensity and potential carbon emissions targets</th><th>Exclusion of issuers deriving% revenue from thermal coal and unconventional oil and gas</th><th>Exclusion of Issuers based on an MSCI ESG controversy Score</th><th>Exclusion of issuers classified as violating United Nations Global Compact principles</th><th>Exclusion of issuers determined to have any tie to controversial weapons</th></tr><tr><td rowspan="6">Greenhouse Gas (GHG) emissions</td><td>1.(a) GHG emissions (Scope 1/2)</td><td>X</td><td></td><td></td><td></td><td></td></tr><tr><td>1.(b) GHG emissions (Scope 3)</td><td>X</td><td></td><td></td><td></td><td></td></tr><tr><td>2. Carbon footprint</td><td>X</td><td></td><td></td><td></td><td></td></tr><tr><td>3. GHG intensity</td><td>X</td><td></td><td></td><td></td><td></td></tr><tr><td>4. % in Fossil Fuels</td><td></td><td>X</td><td></td><td></td><td></td></tr><tr><td>5. Non-Renewable / Renewable %</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td></td><td>6. High impact sector energy consumption</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Biodiversity</td><td>7. Negative impact to Biodiversity sensitive areas</td><td></td><td></td><td>X</td><td></td><td></td></tr></table>		PAI Description	Benchmark Index Selection Criteria					Minimum% reduction of carbon emission intensity and potential carbon emissions targets	Exclusion of issuers deriving% revenue from thermal coal and unconventional oil and gas	Exclusion of Issuers based on an MSCI ESG controversy Score	Exclusion of issuers classified as violating United Nations Global Compact principles	Exclusion of issuers determined to have any tie to controversial weapons	Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)	X					1.(b) GHG emissions (Scope 3)	X					2. Carbon footprint	X					3. GHG intensity	X					4. % in Fossil Fuels		X				5. Non-Renewable / Renewable %							6. High impact sector energy consumption						Biodiversity	7. Negative impact to Biodiversity sensitive areas			X		
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	Water	8. Emissions to Water			X		
	Waste	9. Hazardous Waste			X		
	Social and employee matters	10. UNGC + OECD Violations			X	X	
		11. UNGC + OECD Process, Monitoring					
		12. Unadjusted gender pay gap					
		13. Board gender diversity					
		14. Controversial weapons					X
	What investment strategy does this financial product follow?						
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product? above). By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund may use optimisation techniques in order to achieve a similar return to the Benchmark Index which means that it is permitted to invest in securities that are not underlying constituents of the Benchmark Index where such securities provide similar performance (with matching risk profile) to certain securities that make up the Benchmark Index. If the Fund does so, its investment strategy is to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. If such securities cease to comply with the ESG requirements of the Benchmark Index, the Fund may hold such securities only until the next portfolio rebalance and when it is possible and practicable (in the Investment Manager's view) to liquidate the position. The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index. <u>Governance Processes</u> The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.						
	What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?						
	The binding elements of the investment strategy are that the Fund will invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index. As the Fund is able to use optimisation techniques and may invest in securities that are not underlying constituents of the Benchmark Index, where it does so, its investment strategy is						

	to invest only in issuers in the Benchmark Index or in issuers that meet the ESG requirements of the Benchmark Index at the time of purchase. In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and/or it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the Parent Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the Parent Index. For example, if issuers in the Parent Index engage in fewer activities that are excluded from the Parent Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i>
	Good governance checks are incorporated within the methodology of the Benchmark Index. At each index rebalance, the index provider excludes companies from the Benchmark Index based on an ESG controversy score (which measures an issuer's involvement in ESG related controversies) and excludes companies that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product? above).
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx)	The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in securities within the Benchmark Index. As such, at each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (this includes 15% of the Fund's assets that are qualified as sustainable investments) (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The assessment of the Fund's investments qualifying as sustainable is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index. Where any investment ceases to qualify as a sustainable investment between index rebalances, the Fund's holdings in sustainable investments may fall below the minimum proportion of sustainable investments.

reflecting green operational activities of investee companies.

The Fund may invest up to 20% of its assets in other investments (“#2 Other”).



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁴?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

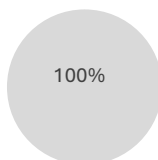
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

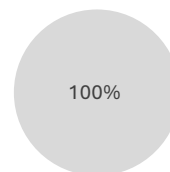
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the Taxonomy Regulation.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 15% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be a mix of sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable is

⁴ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

activities under the EU Taxonomy.	determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What is the minimum share of socially sustainable investments?
	A minimum of 15% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be a mix of sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the issuers within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? Yes, this Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the MSCI World Small Cap ESG Enhanced CTB Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria. ● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? At each index rebalance, the index provider applies the ESG selection criteria to the Parent Index to exclude issuers that do not meet such ESG selection criteria. ● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	● How does the designated index differ from a relevant broad market index?
	The Benchmark Index has been labelled by the index provider as an EU Climate Transition benchmark (within the meaning of the Benchmarks Regulation) and therefore has to be constructed in accordance with the minimum standards prescribed by the Benchmarks Regulation. The Benchmark Index selects, weights and, where applicable, excludes issuers from the Parent Index to align with the climate commitments laid down in the Paris Agreement. The ESG selection criteria that is applied by the index provider is set out above (see What environmental and/or social characteristics are promoted by this financial product?).
	● Where can the methodology used for the calculation of the designated index be found?

	The methodology of the Fund's Benchmark Index can be found by copying and pasting the following link into your web browser: https://www.msci.com/index/methodology/latest/ESGEnhancedFocusCTB The methodology of the Fund's Benchmark Index can also be found on the index provider's website at https://www.msci.com/indexes/ishares
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares S&P 500 Scored and Screened UCITS ETF	
	Legal entity identifier: 549300PRRPHGBZXJP339	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	☒ ☒ ☐ Yes	☒ ☐ ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 15% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
The Fund is passively managed and seeks to promote the following environmental and social characteristics by tracking the performance of the S&P 500 Scored and Screened Index, its Benchmark Index: 1. exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes; 2. exclusion of issuers deemed to have violated or are at risk of violating commonly accepted international norms and standards; 3. exclusion of issuers with lower environmental, social and governance (ESG) scores. These environmental and social characteristics are incorporated through the selection of constituents in the Fund's Benchmark Index at each index rebalance (as described below). The Benchmark Index excludes issuers from the S&P 500 (the 'Parent Index') based on their involvement in certain activities deemed to have negative environmental or social outcomes. Issuers are excluded from the Benchmark Index based on their involvement in the following business lines/activities (or related activities): • thermal coal • tobacco • controversial weapons		

		• small arms • military contracting • oil sand The index provider defines what constitutes 'involvement' in each restricted activity. This may be based on percentage of revenue, a defined total revenue threshold, or any connection to a restricted activity regardless of the amount of revenue received. The Benchmark Index also excludes issuers from the Parent Index which are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs), and their underlying conventions. In addition, companies with an S&P DJI ESG Score that is in the lowest 25% of S&P DJI ESG Scores within each Global Industry Classification Standard (GICS) industry sector are excluded from the Benchmark Index at each annual rebalance. S&P DJI ESG Scores are based on an analysis of ESG factors which identify companies that are able to recognise and respond to emerging sustainability opportunities and challenges in the global market. For more information on where details of the methodology of the Benchmark Index can be found please see Where can the methodology used for the calculation of the designated index be found? (below).
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>	The following sustainability indicators form part of the ESG selection criteria of the Benchmark Index tracked by the Fund: 1. The exclusion of issuers involved in certain activities deemed to have negative environmental and/or social outcomes as described above (see What environmental and/or social characteristics are promoted by this financial product?). 2. The exclusion of issuers deemed to have violated commonly accepted international norms and standards as described above (see What environmental and/or social characteristics are promoted by this financial product?). 3. The exclusion of issuers with the lowest S&P DJI ESG Score as described above (see What environmental and/or social characteristics are promoted by this financial product?). 4. The Fund's investments qualifying as sustainable investments as described below (see What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?). 5. The consideration of the principal adverse impacts on sustainability factors as identified in the table below (see Does this financial product consider principal adverse impacts on sustainability factors?). The ESG selection criteria of the Benchmark Index is applied by the index provider at each index rebalance. At each index rebalance (or as soon as possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index. Where the Fund's portfolio ceases to meet any of these characteristics in between index rebalances, the Fund's portfolio will be re-aligned at the next index rebalance (or as soon as possible and practicable thereafter) in accordance with the Benchmark Index.

	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund's investments qualifying as sustainable investments will be either in: (1) activities deemed to contribute to positive environmental and/or social impacts, or (2) companies which have committed to one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi). The Fund's investments will be assessed against their revenue exposure to positive sustainable impacts in line with the United Nations' Sustainable Development Goals, the European Union Taxonomy and other sustainability-related frameworks. The positive environmental impacts considered as part of this assessment may relate to themes such as climate change and natural capital and identify companies that may derive revenues from activities (or related activities) such as alternative energy, energy efficiency and green building, sustainable water, pollution prevention and control and sustainable agriculture. The positive societal impacts considered as part of this assessment may relate to themes such as basic needs and empowerment and identify companies that may derive revenues from activities (or related activities) such as nutrition, major disease treatments, sanitation, affordable real estate, small and medium enterprise (SME) finance, education and connectivity. The Fund's investments will also be assessed on their commitment to one or more active carbon emissions reduction target(s) approved by the SBTi. The SBTi seeks to provide a clearly defined pathway for companies and financial institutions to reduce greenhouse gas (GHG) emissions to align with the goals of the Paris Agreement and help prevent the worst impacts of climate change. The sustainable investments within the Fund may contribute to either an environmental objective or a social objective or a combination of the two. The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> At each index rebalance, all investments qualifying as sustainable investments are assessed against certain minimum environmental and social indicators. As part of the assessment, companies are assessed on their involvement in activities deemed to have highly negative environmental and social impacts. Where a company has been identified as being involved in activities with highly negative environmental and social impacts, it shall not be eligible as a sustainable investment.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The mandatory indicators for adverse impacts on sustainability factors (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered at each index rebalance through the assessment of the Fund's investments qualifying as sustainable investments. Following this assessment, the following investments shall not qualify as sustainable investments: (1) companies deemed to be deriving at least 1% of its revenue from thermal coal

	which is significantly carbon intensive and a major contributor to greenhouse gas emissions (taking into account indicators relating to GHG emissions) (2) companies that have been deemed to be involved in severe ESG related controversies (taking into account indicators relating to greenhouse gas emissions, biodiversity, water, waste and social and employee matters), and (3) companies which are deemed to be lagging industry peers based on their high exposure and failure to manage significant ESG risks (taking into account indicators relating to greenhouse gas emissions, biodiversity, water, waste, unadjusted gender pay gap and board gender diversity). The Benchmark Index also excludes: (1) companies which are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs) and their underlying conventions and (2) companies determined to have any tie to controversial weapons (taking into account indicators concerning ties to controversial weapons).											
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>											
	The Fund's Benchmark Index excludes issuers which are classified as violating or are at risk of violating commonly accepted international norms and standards, enshrined in the United Nations Global Compact (UNGC) Principles, the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs) and their underlying conventions. The Benchmark Index applies the above exclusionary criteria at each index rebalance.											
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>											
	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes											
	☐ No Yes, the Fund takes into consideration principal adverse impacts on sustainability factors by tracking the Benchmark Index which incorporates certain ESG criteria in the selection of index constituents. The Investment Manager has determined that those principal adverse impacts (PAIs) marked as 'X' in the table below are considered as part of the selection criteria of the Benchmark Index at each index rebalance. The Fund's annual report will include information on the principal adverse impacts on sustainability factors set out below. <table><tr><th rowspan="2">PAI Description</th><th colspan="3">Benchmark Index Selection Criteria</th></tr><tr><th>Exclusion of issuers based on certain environmental</th><th>Exclusion of issuers classified as violating commonly</th><th>Exclusion of issuers determined to have any tie to</th></tr><tr><td></td><td></td><td></td><td></td></tr></table>	PAI Description	Benchmark Index Selection Criteria			Exclusion of issuers based on certain environmental	Exclusion of issuers classified as violating commonly	Exclusion of issuers determined to have any tie to				
PAI Description	Benchmark Index Selection Criteria											
	Exclusion of issuers based on certain environmental	Exclusion of issuers classified as violating commonly	Exclusion of issuers determined to have any tie to									

		screens (listed above)	accepted international norms and standards	controversial weapons
Greenhouse Gas (GHG) emissions	1.(a) GHG emissions (Scope 1/2)			
	1.(b) GHG emissions (Scope 3)			
	2. Carbon footprint			
	3. GHG intensity			
	4. % in Fossil Fuels	X		
	5. Non-Renewable / Renewable %			
Biodiversity	6. High impact sector energy consumption			
	7. Negative impact to Biodiversity sensitive areas		X	
Water	8. Emissions to Water		X	
Waste	9. Hazardous Waste		X	
Social and employee matters	10. UNGC + OECD Violations		X	
	11. UNGC + OECD Process, Monitoring			
	12. Unadjusted gender pay gap			
	13. Board gender diversity			
	14. Controversial weapons			X



What investment strategy does this financial product follow?

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The investment policy of the Fund is to invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the Benchmark Index which incorporates certain ESG criteria in the selection of constituents. The index methodology of its Benchmark Index is described above (see What environmental and/or social characteristics are promoted by this financial product?).

The Fund seeks to replicate the constituents of the Benchmark Index by holding all of the securities comprising the Benchmark Index in a similar proportion to their weightings in the Benchmark Index where possible and practicable.

By investing in the constituents of its Benchmark Index, the Fund's investment strategy enables it to comply with the ESG requirements of its Benchmark Index as determined by the index provider. In the event that any investments cease to comply, the Fund may continue to hold such investments only until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.

The strategy is implemented at each portfolio rebalance of the Fund, which follows the index rebalance of its Benchmark Index.

Governance Processes

The Investment Manager carries out due diligence on the index providers and engages with them on an ongoing basis with regard to index methodologies including their assessment of good governance criteria set out by the SFDR which include sound management structures, employee relations, remuneration of staff and tax compliance at the level of investee companies.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

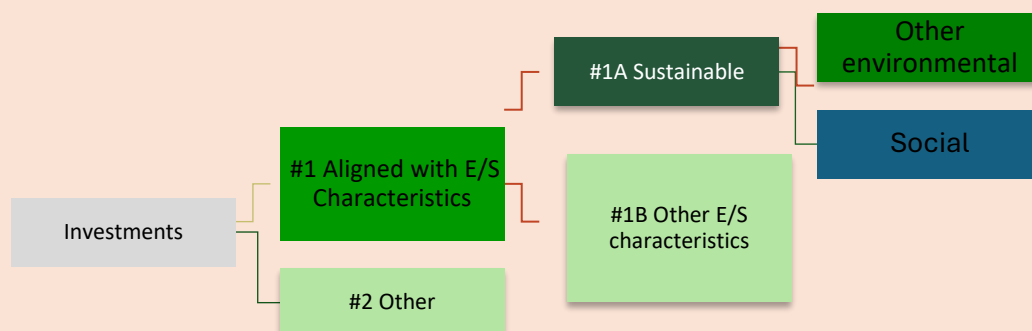
The binding elements of the investment strategy are that the Fund will invest in a portfolio of equity securities that as far as possible and practicable consists of the component securities of the Benchmark Index and thereby comply with the ESG characteristics of its Benchmark Index.

In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments only until such time as the

	relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	There is no committed minimum rate to reduce the scope of the Fund's investments. The Fund's Benchmark Index seeks to reduce the number of constituents from the Parent Index through the application of the ESG selection criteria. However, there is no minimum rate of reduction applied or targeted by the index provider in the selection of constituents for the Benchmark Index. The rate of reduction may vary over time depending on the issuers that make up the Parent Index. For example, if issuers in the Parent Index engage in fewer activities that are excluded from the Parent Index based on the ESG selection criteria applied by the Benchmark Index, the rate of reduction may reduce over time. Conversely, if the index provider increases the ESG selection criteria in the Benchmark Index as ESG standards evolve, the rate of reduction may increase over time.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.	● <i>What is the policy to assess good governance practices of the investee companies?</i> Good governance checks are incorporated within the methodology of the Benchmark Index. The index provider applies a daily filtering, screening and analysis of controversies related to companies within the index. Controversies which may be considered by the index provider include economic crime and corruption, fraud, illegal commercial practices, human rights issues, labour disputes, workplace safety, catastrophic accidents and environmental disasters. Companies may be removed from the Benchmark Index based on an assessment by the index provider of their involvement in serious ESG related controversies. The Benchmark Index also excludes companies that are classified as violating United Nations Global Compact principles (see What environmental and/or social characteristics are promoted by this financial product? above).
	What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a	The Fund seeks to invest in a portfolio of securities that as far as possible and practicable consists of the component securities of the Benchmark Index. It is expected that at least 80% of the Fund's assets will be invested in securities within the Benchmark Index. As such, at each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund will be rebalanced in line with its Benchmark Index so that at least 80% of the Fund's assets will be aligned with the ESG characteristics of the Benchmark Index (as determined at that rebalance). In the event that any investments cease to comply with the ESG requirements of the Benchmark Index, the Fund may continue to hold such investments until such time as the relevant securities cease to form part of the Benchmark Index and it is possible and practicable (in the Investment Manager's view) to liquidate the position. The Fund may invest up to 20% of its total assets in other investments ('#2 Other').

transition to a green economy.

- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

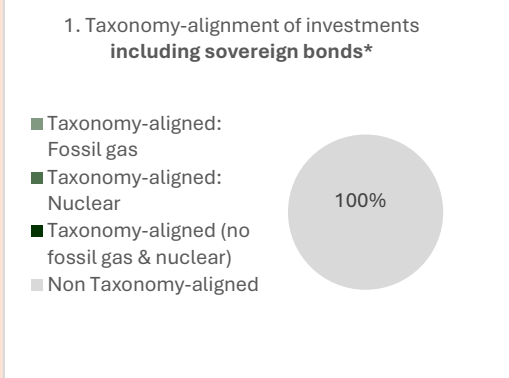
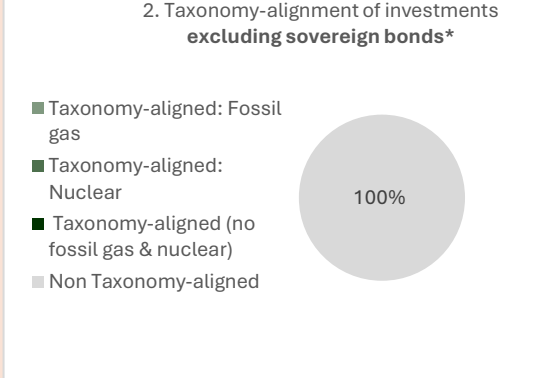
The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management in connection with the environmental or social characteristics promoted by the Fund. Where the Fund uses derivatives for promoting environmental or social characteristics, any ESG rating or analyses referenced above will apply to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

This Fund does not currently commit to investing more than 0% of its assets in investments in environmentally sustainable economic activities within the meaning of the EU Taxonomy.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of

2035. For nuclear energy, the criteria include comprehensive safety and waste management rules. Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.	● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁵? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ✓ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy. The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds. 1. Taxonomy-alignment of investments including sovereign bonds*  2. Taxonomy-alignment of investments excluding sovereign bonds*  * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures
	● What is the minimum share of investments in transitional and enabling activities? This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.
 are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? A minimum of 15% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What is the minimum share of socially sustainable investments?

⁵ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

	A minimum of 15% of the Fund's assets will be invested in sustainable investments. These sustainable investments will be sustainable investments with either an environmental objective that is not committed to align with the EU Taxonomy or a social objective (or a combination of the two). The combination of sustainable investments with an environmental or social objective may change over time depending on the activities of the companies within the Benchmark Index. The assessment of the Fund's investments qualifying as sustainable investments is determined on or around each index rebalance, where the Fund's portfolio is rebalanced in line with its Benchmark Index.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings may include cash, money market funds and derivatives. Such investments may only be used for the purpose of efficient portfolio management, except for derivatives used for currency hedging for any currency hedged share class. Any ESG rating or analyses applied by the index provider will apply only to the derivatives relating to individual issuers used by the Fund. Derivatives based on financial indices, interest rates, or foreign exchange instruments will not be considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? Yes, the Fund seeks to achieve the environmental and social characteristics it promotes by tracking the performance of the S&P 500 Scored and Screened Index, its Benchmark Index, which incorporates the index provider's ESG selection criteria.
	● <i>How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?</i> At each index rebalance, the index provider applies the ESG selection criteria to the Parent Index to exclude issuers that do not meet such ESG selection criteria.
	● <i>How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?</i> At each index rebalance (or as soon as reasonably possible and practicable thereafter), the portfolio of the Fund is also rebalanced in line with its Benchmark Index.
	● <i>How does the designated index differ from a relevant broad market index?</i> The Benchmark Index excludes issuers that do not meet its ESG selection criteria from its Parent Index, which is a broad market index. The ESG selection criteria that is excluded is set out above (see What environmental and/or social characteristics are promoted by this financial product?).
	● <i>Where can the methodology used for the calculation of the designated index be found?</i> The methodology of the Fund's Benchmark Index can be found on the index provider's website at: https://www.spglobal.com/spdji/en/indices/esg/sp-500-esg-index/#overview
	Where can I find more product specific information online? More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares U.S. Equity High Income Active UCITS ETF	
	Legal entity identifier: 5299008DW2F6VTFUDN69	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund aims to promote environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund’s holdings are used to measure this aim. Additionally, the Fund aims to promote environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of exclusionary screens. The Fund aims to promote social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons, nuclear warheads and nuclear missiles, and/or essential components for exclusive use in nuclear weapons, issuers that have ties to automatic/semi-automatic firearms or	

	ammunition production intended for civilian use, or those that derive revenue from the production or distribution of firearms and/or small arms ammunition intended for civilian use, (b) better health and wellbeing by excluding direct investment in issuers involved in production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of exclusionary screens. The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question “What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?” below. The Fund invests at least 20% of its holdings in Sustainable Investments, as determined by the Investment Manager, which contribute to the objectives outlined below and which are aligned with the environmental and/or social characteristics being promoted by the Fund. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, S&P 500 Index (the “Index”) is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund include: • The Fund’s holdings in Sustainable Investments, as described above. • The Fund’s carbon emissions intensity, as described above. • The Fund’s exclusion of holdings in issuers identified by the exclusion criteria set out in the exclusionary screens, as described below. • The Fund’s consideration of principal adverse impacts (PAIs) on sustainability factors, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock’s DNSH standard outlined above. BlackRock invests in Sustainable Investments which contribute to a range of environmental and / or social objectives which may include but are not limited to, alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education and the UN Sustainable Development Goals (“Environmental and Social Objectives”). An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer’s business activity contributes to an Environmental and/or Social Objective; or b) the issuer’s business practices contribute to an Environmental and/or Social Objective.

Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment's business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators. Further information on the above can be found by copying and pasting the following link into your web browser: https://www.blackrock.com/corporate/literature/publication/blackrock-sfdr-sustainable-investments-methodology.pdf
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i> Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>



Does this financial product consider principal adverse impacts on sustainability factors?

☒ Yes

☐ No

The Fund considers PAIs on sustainability factors through the application of exclusionary screens and its carbon reduction target.

The Fund takes into account the following PAIs:

- GHG emissions
- GHG intensity of investee companies
- Exposure to companies active in the fossil fuel sector
- Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises
- Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons)

In addition, the Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. The Fund will provide information on the PAIs in its annual report.



What investment strategy does this financial product follow?

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The Fund is actively managed. In order to achieve its investment objective, the Fund will employ the following strategies: (i) holding long position in US large capitalisation equity securities (as determined by the Investment Manager); (ii) selling call options on a large capitalisation US equity index, such as the S&P 500 Index; and (iii) buying futures on a large capitalisation US equity index, such as the S&P 500 Index.

In normal market conditions, the Fund will invest at least 80% of its total assets in the equity and equity-related instruments (namely, call options, futures and swaps) of large capitalisation companies domiciled in, listed in, or the main business of which is in, the United States of America.

To generate income, the Fund will sell (write) call options on a large cap US equity index, such as the S&P 500 Index. An options contract is an agreement between a buyer and seller that gives the purchaser of the option the right to buy (in the case of a call an agreed upon price (commonly known as the "strike price"). When the Fund writes (sells) a call option, the Fund is entitled to receive a premium. Although not perfectly correlated, such call options may have the impact of capping potential gains from the Fund's long position in equity securities. Therefore, to reduce the potential impact of this cap on the potential gains (with actual results dependent on various factors including the degree of options and futures activity over time), the Fund will buy futures on a large cap US equity index, such as the S&P 500 Index. A futures contract is a legal agreement to buy or sell a particular commodity asset, or security at a predetermined price at a specified time in the future.

In addition, the Fund's assets will be invested in accordance with the ESG Policy.

The Fund uses quantitative (i.e. mathematical or statistical) forecast models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. These forecast models are designed to prioritise insights that

demonstrate downside protection as well as identify aspects of mispricing across stocks which the Fund can seek to capture by over- and under-weighting particular equity securities versus the S&P 500 Index while seeking to control incremental risk. The Investment Manager then constructs and rebalances the portfolio by integrating its investment insights with the model-based optimisation process. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also invest up to 10% of its total assets in fixed income securities (which shall be investment grade), corporate or government issued, and fixed or floating rate) and up to 20% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

In addition to the use of call options and futures, the Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of US companies. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

The maximum proportion of the Net Asset Value of the Fund that can be subject to total return swaps is 15%. The expected proportion of the Net Asset Value of the Fund that will be subject to total return swaps is 5%. The expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund's Investments, other than

its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the relevant Fund (within a reasonable period of time).

The Investment Manager will apply exclusionary screens.

The Fund will invest in accordance with exclusionary screens. BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers depending on the particular ESG strategy applicable to the Fund.

The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a lower carbon emissions intensity score relative to the S&P 500 Index. At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

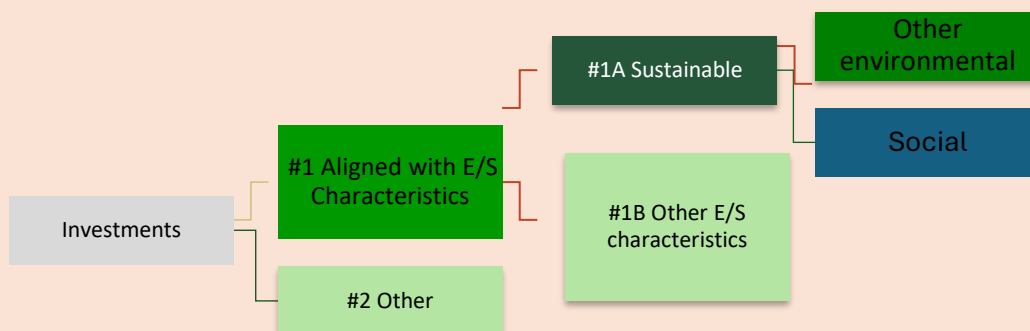
● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund's carbon emissions intensity score is lower than that of the Index.
- Application of the exclusionary screens described below:
 - (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
 - (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
 - (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
 - (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
 - (v) Issuers which produce tobacco products.
 - (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.

		(vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use. (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use. (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). • Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.
		● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
		Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.		● <i>What is the policy to assess good governance practices of the investee companies?</i>
		BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies		What is the asset allocation planned for this financial product?
		A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics).
		The Fund may invest up to 20% of its total assets in other investments ("#2 Other").

- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

Derivatives are not used to attain the environmental or social characteristics promoted by the Fund.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁶?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

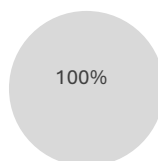
Transitional activities are activities for which low-carbon alternatives

⁶ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

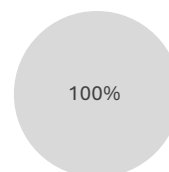
1. Taxonomy-alignment of investments including sovereign bonds*

- Taxonomy-aligned: Fossil gas
- Taxonomy-aligned: Nuclear
- Taxonomy-aligned (no fossil gas & nuclear)
- Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

- Taxonomy-aligned: Fossil gas
- Taxonomy-aligned: Nuclear
- Taxonomy-aligned (no fossil gas & nuclear)
- Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

The Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.

What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate.

The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.

What is the minimum share of socially sustainable investments?

A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate.

What investments are included under "#2 Other", what is their purpose and are there any minimum environmental or social safeguards?

Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide.

These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging.

No other holdings are considered against minimum environmental or social safeguards.

are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.



Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.

Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

No.

Please note that the S&P 500 Index is used to compare certain ESG characteristics promoted by the Fund.

● ***How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?***

Not applicable.

● ***How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?***

Not applicable.

● ***How does the designated index differ from a relevant broad market index?***

Not applicable.

● ***Where can the methodology used for the calculation of the designated index be found?***

Not applicable.



Where can I find more product specific information online?

More product-specific information can be found on the website:

For further details specific to the Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares US Equity Enhanced Active UCITS ETF	
	Legal entity identifier: 5299003D86IH3A9XFV32	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	●● ☐ Yes	●● ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund invests a minimum of 20% of its total assets in Sustainable Investments, across environmental and social objectives. BlackRock defines Sustainable Investments as investments in issuers or securities that contribute to an environmental or social objective, do not significantly harm any of those objectives and where investee companies follow good governance practices. BlackRock refers to relevant sustainability frameworks to identify the alignment of the investment to environmental or social objectives. Sustainable Investments should also meet the do no significant harm (DNSH) requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria to assess whether an issuer or investment does significant harm. The Fund aims to promote environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the	

	reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund's holdings are used to measure this aim. Additionally, the Fund aims to promote environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of exclusionary screens. The Fund aims to promote social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons, nuclear warheads and nuclear missiles, and/or essential components for exclusive use in nuclear weapons, issuers that have ties to automatic/semi-automatic firearms or ammunition production intended for civilian use, or those that derive revenue from the production or distribution of firearms and/or small arms ammunition intended for civilian use, (b) better health and wellbeing by excluding direct investment in issuers involved in production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of exclusionary screens. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question "What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?" below. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question "What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?" below. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, MSCI USA Index (the "Index") is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in Sustainable Investments, as described above. • The Fund's carbon emissions intensity, as described above. • The Fund's consideration of principal adverse impacts (PAIs) on sustainability factors, as described below. • The Fund's exclusion of holdings in issuers identified by the exclusion criteria set out in the exclusionary screens, as described below.

	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock's DNSH standard outlined above. BlackRock invests in Sustainable Investments which contribute to a range of environmental and / or social objectives which may include but are not limited to, alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education and the UN Sustainable Development Goals ("Environmental and Social Objectives"). An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer's business activity contributes to an Environmental and/or Social Objective; or b) the issuer's business practices contribute to an Environmental and/or Social Objective.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment's business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the

	International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>
	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of exclusionary screens and its carbon reduction target. The Fund takes into account the following PAIs: • GHG emissions • Carbon footprint • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Share of non-renewable energy consumption and production • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, this Fund takes into account the PAIs through BlackRock’s DNSH standard for Sustainable Investments. This Fund will provide information on the PAIs in its annual report.
	What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The investment objective of the Fund is to achieve long-term capital growth. The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, the United States. The Fund does not have any specific industry focus. The Fund’s assets will be invested in accordance with the ESG Policy. The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly

according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value, momentum and quality), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also invest up to 10% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) ("Cash Holdings") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, the United States. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

The maximum proportion of the Net Asset Value of the Fund that can be subject to total return swaps is 100%. The expected proportion of the Net Asset Value of the Fund that will be subject to total return swaps is 0%. The expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings". The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Investment Manager will apply exclusionary screens. The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI USA Index (the '**Index**'). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

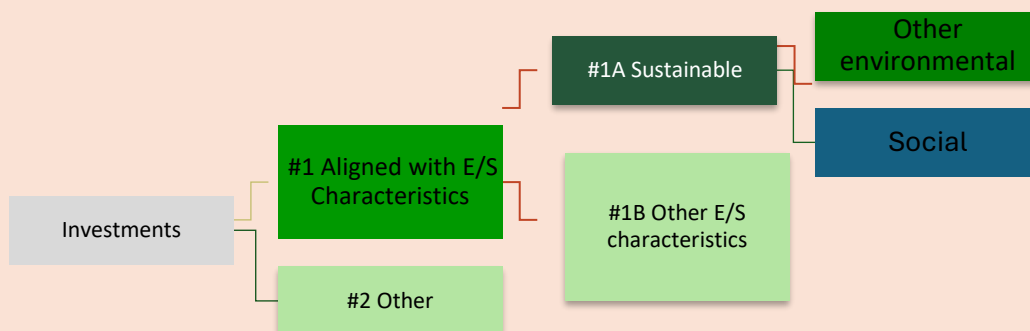
● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund's carbon emissions intensity is lower than that of the Index.
- Application of the exclusionary screens described below:
 - (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
 - (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
 - (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
 - (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
 - (v) Issuers which produce tobacco products.
 - (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use.

		(vii) Issuers that more than 5% of their revenue from the production of firearms intended for civilian use. (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use. (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). • Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.
		● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
		Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.		● <i>What is the policy to assess good governance practices of the investee companies?</i>
		BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies		What is the asset allocation planned for this financial product?
		A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics).
		The Fund may invest up to 20% of its total assets in other investments ('#2 Other').

- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁷?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and

⁷ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

among others have greenhouse gas emission levels corresponding to the best performance.	1. Taxonomy-alignment of investments including sovereign bonds* 2. Taxonomy-alignment of investments excluding sovereign bonds* * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures
are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable economic activities under the EU Taxonomy.	What is the minimum share of investments in transitional and enabling activities? This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy. What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate. The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.
	What is the minimum share of socially sustainable investments? A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate.
	What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards? Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging. No other holdings are considered against minimum environmental or social safeguards.



Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.

Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

No.

Please note that the MSCI USA Index is used to compare certain ESG characteristics promoted by the Fund.

● ***How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?***

Not applicable.

● ***How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?***

Not applicable.

● ***How does the designated index differ from a relevant broad market index?***

Not applicable.

● ***Where can the methodology used for the calculation of the designated index be found?***

Not applicable.



Where can I find more product specific information online?

More product-specific information can be found on the website:

For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices. The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	Product name: iShares World Equity Enhanced Active UCITS ETF	
	Legal entity identifier: 529900F8Y1GXYQ921260	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
	☒ ☐ Yes	☒ ☐ No
☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments	
☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy	
☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	
☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective	
☐ It promotes E/S characteristics, but will not make any sustainable investments	☐ It promotes E/S characteristics, but will not make any sustainable investments	
	What environmental and/or social characteristics are promoted by this financial product?	
The Fund invests a minimum of 20% of its total assets in Sustainable Investments, across environmental and social objectives. BlackRock defines Sustainable Investments as investments in issuers or securities that contribute to an environmental or social objective, do not significantly harm any of those objectives and where investee companies follow good governance practices. BlackRock refers to relevant sustainability frameworks to identify the alignment of the investment to environmental or social objectives. Sustainable Investments should also meet the do no significant harm (DNSH) requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria to assess whether an issuer or investment does significant harm. The Fund aims to promote environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the		

	reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund's holdings are used to measure this aim. Additionally, the Fund aims to promote environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of exclusionary screens. The Fund aims to promote social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons, nuclear warheads and nuclear missiles, and/or essential components for exclusive use in nuclear weapons, issuers that have ties to automatic/semi-automatic firearms or ammunition production intended for civilian use, or those that derive revenue from the production or distribution of firearms and/or small arms ammunition intended for civilian use, (b) better health and wellbeing by excluding direct investment in issuers involved in production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of exclusionary screens. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question "What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?" below. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, MSCI World Index (the "Index") is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in Sustainable Investments, as described above. • The Fund's carbon emissions intensity, as described above. • The Fund's consideration of principal adverse impacts (PAIs) on sustainability factors, as described below. • The Fund's exclusion of holdings in issuers identified by the exclusion criteria set out in the exclusionary screens, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock's DNSH standard outlined above. BlackRock invests in Sustainable Investments which contribute to a range of environmental and / or social objectives which may include but are not limited to, alternative and renewable

	energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education and the UN Sustainable Development Goals (“Environmental and Social Objectives”). An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer’s business activity contributes to an Environmental and/or Social Objective; or b) the issuer’s business practices contribute to an Environmental and/or Social Objective.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment’s business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock’s Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.

	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>
	Does this financial product consider principal adverse impacts on sustainability factors? ✓ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of exclusionary screens and its carbon reduction target. The Fund takes into account the following PAIs: • GHG emissions • Carbon footprint • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Share of non-renewable energy consumption and production • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, this Fund takes into account the PAIs through BlackRock’s DNSH standard for Sustainable Investments. This Fund will provide information on the PAIs in its annual report.
 The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	What investment strategy does this financial product follow? The investment objective of the Fund is to achieve long-term capital growth. The Fund is actively managed. In order to achieve its investment objective, the Fund will invest at least 70% of its total assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, global developed markets. The Fund does not have any specific industry focus. The Fund’s assets will be invested in accordance with the ESG Policy. The Fund uses quantitative (i.e. mathematical or statistical) models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. The models select stocks from a broad universe of equities and rank them broadly according to three categories: company fundamentals, market sentiment and macro-economic themes (each of which is described below). The Investment Manager assigns a weighting to

each category within the models based on an assessment of the performance, volatility, correlation and turnover within each model. Within the company fundamentals category, the Fund uses techniques to assess stock characteristics such as relative valuation, strength of earnings, quality of balance sheet and cashflow trends. Within the market sentiment category, the Fund uses techniques to assess drivers such as the views of other market participants (for example, sell-side analysts, other investors and company management teams) as well as trends exhibited by related companies. Within the macro-economic themes category, the Fund uses techniques to position the portfolio with respect to certain industries, styles (such as value, momentum and quality), countries and markets which are best placed for prevailing macro conditions. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to compare against the categories (as described above) inputted to the model and to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also indirectly invest in equities by investing in ADRs or GDRs, which are listed or traded on stock exchanges and regulated markets outside emerging markets. ADRs and GDRs are investments issued by financial institutions which give exposure to underlying equity securities.

The Fund may also invest up to 10% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) ("Cash Holdings") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, global developed markets. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

The maximum proportion of the Net Asset Value of the Fund that can be subject to total return swaps is 100%. The expected proportion of the Net Asset Value of the Fund that will be subject to total return swaps is 0%. The expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

The Investment Manager will apply exclusionary screens. The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a carbon emissions intensity that is lower than that of the MSCI World Index (the 'Index'). At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

Should any Fund holdings, compliant at the time of investment with the Fund's investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the Fund (within a reasonable period of time).

For the purposes of the AMF ESG Rules, this ESG policy constitutes the measurable ESG objectives that are incorporated into the Fund's investment policy.

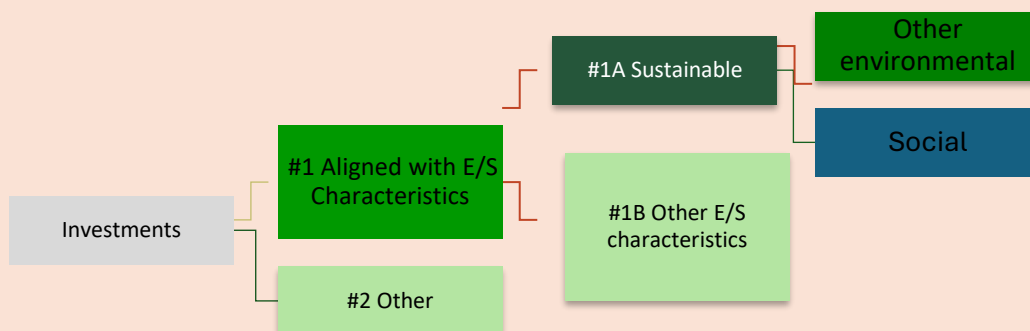
● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund's carbon emissions intensity is lower than that of the Index.
- Application of the exclusionary screens described below:
 - (i) Issuers which are engaged in, or are otherwise exposed to the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
 - (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
 - (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
 - (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.
 - (v) Issuers which produce tobacco products.

		(vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use. (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use. (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use. (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). • Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.
		● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
		Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.		● <i>What is the policy to assess good governance practices of the investee companies?</i> BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies		What is the asset allocation planned for this financial product? A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ('#2 Other').

- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁸?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

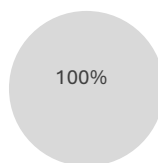
The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

⁸ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

among others have greenhouse gas emission levels corresponding to the best performance.

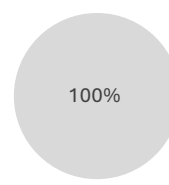
1. Taxonomy-alignment of investments including sovereign bonds*

- Taxonomy-aligned: Fossil gas
- Taxonomy-aligned: Nuclear
- Taxonomy-aligned (no fossil gas & nuclear)
- Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

- Taxonomy-aligned: Fossil gas
- Taxonomy-aligned: Nuclear
- Taxonomy-aligned (no fossil gas & nuclear)
- Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.

What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or asocial objective or a combination of both, and the exact composition may fluctuate.

The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.

What is the minimum share of socially sustainable investments?

A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate.

What investments are included under "#2 Other", what is their purpose and are there any minimum environmental or social safeguards?

Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide.

These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging.

No other holdings are considered against minimum environmental or social safeguards.

are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.



Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.

Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

No.

Please note that the MSCI World Index is used to compare certain ESG characteristics promoted by the Fund.

● ***How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?***

Not applicable.

● ***How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?***

Not applicable.

● ***How does the designated index differ from a relevant broad market index?***

Not applicable.

● ***Where can the methodology used for the calculation of the designated index be found?***

Not applicable.



Where can I find more product specific information online?

More product-specific information can be found on the website:

For further details specific to this Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares World Equity High Income Active UCITS ETF	
	Legal entity identifier: 529900DLKXPXUN42KW34	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	☒ ☒ ☐ Yes	☒ ☐ ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund aims to promote environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund’s holdings are used to measure this aim. Additionally, the Fund aims to promote environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of the BlackRock EMEA Baseline Screens. The Fund aims to promote social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons, nuclear warheads and nuclear missiles, and/or essential components for exclusive use in nuclear weapons, issuers that have ties to automatic/semi-automatic firearms or ammunition	

	production intended for civilian use, or those that derive revenue from the production or distribution of firearms and/or small arms ammunition intended for civilian use, (b) better health and wellbeing by excluding direct investment in issuers involved in production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of exclusionary screens. The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question “What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?” below. The Fund invests at least 20% of its holdings in Sustainable Investments, as determined by the Investment Manager, which contribute to the objectives outlined below and which are aligned with the environmental and/or social characteristics being promoted by the Fund. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, MSCI World Index (the “Index”) is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i> The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund include: • The Fund’s holdings in Sustainable Investments, as described above. • The Fund’s carbon emissions intensity, as described above. • The Fund’s exclusion of holdings in issuers identified by the exclusion criteria set out in the exclusionary screens, as described below. • The Fund’s consideration of principal adverse impacts (PAIs) on sustainability factors, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock’s DNSH standard outlined above. BlackRock invests in Sustainable Investments which contribute to a range of environmental and / or social objectives which may include but are not limited to, alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education and the UN Sustainable Development Goals (“Environmental and Social Objectives”). An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) minimum proportion of the issuer’s business activity contributes to an Environmental and/or Social Objective; or b) the issuer’s business practices contribute to an Environmental and/or Social Objective.

Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment's business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators. Further information on the above can be found by copying and pasting the following link into your web browser: https://www.blackrock.com/corporate/literature/publication/blackrock-sfdr-sustainable-investments-methodology.pdf
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i> Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>



Does this financial product consider principal adverse impacts on sustainability factors?

☒ Yes

☐ No

The Fund considers PAIs on sustainability factors through the application of exclusionary screens and its carbon reduction target.

The Fund takes into account the following PAIs:

- GHG emissions
- GHG intensity of investee companies
- Exposure to companies active in the fossil fuel sector
- Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises
- Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons)

In addition, the Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. The Fund will provide information on the PAIs in its annual report.



What investment strategy does this financial product follow?

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance

The Fund is actively managed. In order to achieve its investment objective, the Fund will employ the following strategies: (i) holding long position in developed market large and mid capitalisation equity securities (as determined by the Investment Manager); (ii) selling call options on a large and mid capitalisation developed market equity indices, such as the S&P 500, FTSE 100, Nikkei and Euro Stoxx 50; and (iii) buying futures on a large and mid capitalisation developed market equity indices, such as the S&P 500, FTSE 100, Nikkei and Euro Stoxx 50.

In normal market conditions, the Fund will invest at least 80% of its total assets in the equity and equity-related instruments (namely, call options, futures and swaps) of development market large and mid capitalisation companies globally.

To generate income, the Fund will sell (write) call options on a large and mid capitalisation developed market equity indices, such as the S&P 500, FTSE 100, Nikkei and Euro Stoxx 50. An options contract is an agreement between a buyer and seller that gives the purchaser of the option the right to buy (in the case of a call an agreed upon price (commonly known as the "strike price"). When the Fund writes (sells) a call option, the Fund is entitled to receive a premium. Although not perfectly correlated, such call options may have the impact of capping potential gains from the Fund's long position in equity securities. Therefore, to reduce the potential impact of this cap on the potential gains (with actual results dependent on various factors including the degree of options and futures activity over time), the Fund will buy futures on a large and mid capitalisation developed market equity indices, such as the S&P 500, FTSE 100, Nikkei and Euro Stoxx 50. A futures contract is a legal agreement to buy or sell a particular commodity asset, or security at a predetermined price at a specified time in the future.

In addition, the Fund's assets will be invested in accordance with the ESG Policy.

The Fund uses quantitative (i.e. mathematical or statistical) forecast models which are proprietary to the Investment Manager in order to achieve a systematic (i.e. rule based) approach to stock selection. These forecast models are designed to prioritise insights that demonstrate downside protection as well as identify aspects of mispricing across stocks which the Fund can seek to capture by over- and under-weighting particular equity securities versus the MSCI World Index while seeking to control incremental risk. The Investment Manager then constructs and rebalances the portfolio by integrating its investment insights with the model-based optimisation process. These quantitative models, combined with an automated portfolio construction tool which is proprietary to the Investment Manager, inform which stocks will comprise the Fund's portfolio, removing any that conflict with the Fund's ESG Policy and replacing them with stocks from within the same universe with a similar expected return. The Investment Manager reviews the positions generated by the portfolio construction tool before they are traded to consider the impact of any subsequent public information in relation to the positions such as merger and acquisition announcements, significant litigation or changes in senior management personnel.

The Fund may also invest up to 10% of its total assets in fixed income securities (which shall be investment grade), corporate or government issued, and fixed or floating rate) and up to 20% of its total assets in cash and deposits (excluding any cash held for the purposes of supporting positions in FDI) ("**Cash Holdings**") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

In addition to the use of call options and futures, the Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities and for currency hedging purposes.

The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of developed market companies. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

The maximum proportion of the Net Asset Value of the Fund that can be subject to total return swaps is 15%. The expected proportion of the Net Asset Value of the Fund that will be subject to total return swaps is 5%. The expected proportion is not a limit and the actual percentage may vary over time depending on factors including, but not limited to, market conditions.

In the event that the Fund invests in non-fully funded FDI, the Fund may invest (i) cash representing up to the notional amount of such FDI less margin payments (if any) in such FDI, and (ii) any variation margin cash collateral received in respect of such FDI (together "FDI Cash Holdings") in one or more daily dealing money market collective investment schemes as set out under the heading "Management of Cash Holdings and FDI Cash Holdings".

The Fund will not invest in fully funded FDI, including fully funded swaps.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed “Efficient Portfolio Management” and in the Prospectus.

The Fund’s Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund’s Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus. Potential investors in the Fund may obtain a breakdown of the constituents of the Fund from the official iShares website (www.iShares.com) or from the Investment Manager.

Should any Fund holdings, compliant at the time of investment with the Fund’s investment objective and policy and/or ESG Policy, subsequently become ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager’s view) to be divested by the relevant Fund (within a reasonable period of time).

The Investment Manager will apply exclusionary screens.

The Fund will invest in accordance with exclusionary screens, as described below. BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers depending on the particular ESG strategy applicable to the Fund.

The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a lower carbon emissions intensity score relative to the MSCI World Index. At least 90% of the issuers of securities the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.

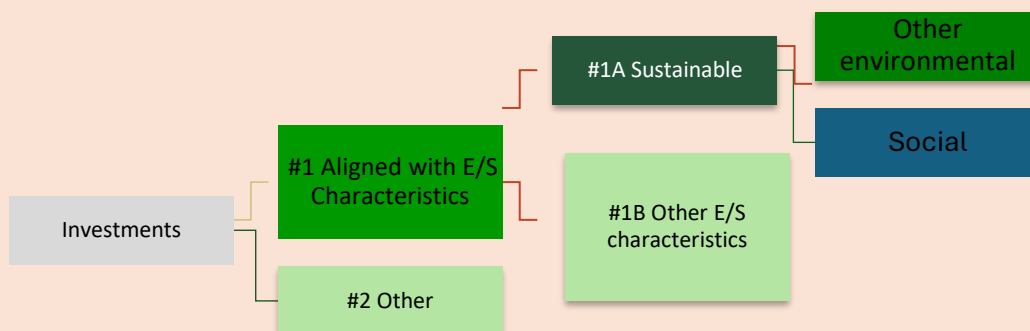
● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund’s carbon emissions intensity score is lower than that of the Index.
- Application of the exclusionary screens described below:
 - (i) Issuers which are engaged in, or are otherwise exposed to, the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
 - (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
 - (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).
 - (iv) Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons.

		(v) Issuers which produce tobacco products. (vi) Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use. (vii) Issuers that derive more than 5% of their revenue from the production of firearms intended for civilian use. (viii) Issuers that derive more than 5% of their revenue from distribution of firearms intended for civilian use. (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). • Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.
		● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
		Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.		● <i>What is the policy to assess good governance practices of the investee companies?</i>
		BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.
 Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities of investee companies		What is the asset allocation planned for this financial product?
		A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics).
		The Fund may invest up to 20% of its total assets in other investments (“#2 Other”).

- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

Derivatives are not used to attain the environmental or social characteristics promoted by the Fund.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy⁹?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

✓ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

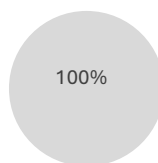
Transitional activities are activities for which low-carbon alternatives are not yet available and

⁹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

among others have greenhouse gas emission levels corresponding to the best performance.

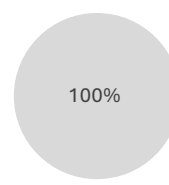
1. Taxonomy-alignment of investments including sovereign bonds*

- Taxonomy-aligned: Fossil gas
- Taxonomy-aligned: Nuclear
- Taxonomy-aligned (no fossil gas & nuclear)
- Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

- Taxonomy-aligned: Fossil gas
- Taxonomy-aligned: Nuclear
- Taxonomy-aligned (no fossil gas & nuclear)
- Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

● What is the minimum share of investments in transitional and enabling activities?

The Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.

🚫 What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or asocial objective or a combination of both, and the exact composition may fluctuate.

The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.

👤 What is the minimum share of socially sustainable investments?

A minimum of 20% of the Fund's total assets will be invested in Sustainable Investments. As noted above, these Sustainable Investments will be a mix of Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy or a social objective or a combination of both, and the exact composition may fluctuate.

🔍 What investments are included under "#2 Other", what is their purpose and are there any minimum environmental or social safeguards?

Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide.

These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging.

No other holdings are considered against minimum environmental or social safeguards.

are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.



Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.

Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

No.

Please note that the MSCI World Index is used to compare certain ESG characteristics promoted by the Fund.

● ***How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?***

Not applicable.

● ***How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?***

Not applicable.

● ***How does the designated index differ from a relevant broad market index?***

Not applicable.

● ***Where can the methodology used for the calculation of the designated index be found?***

Not applicable.



Where can I find more product specific information online?

More product-specific information can be found on the website:

For further details specific to the Fund, please refer to the sections of this prospectus entitled 'Investment Objective' and 'Investment Policy', 'SFDR' and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares World Equity Factor Rotation Active UCITS ETF	
	Legal entity identifier: 5299002V6EYRV3MABS85	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	☒ ☒ ☐ Yes	☒ ☐ ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
	☐ It will make a minimum of sustainable investments with a social objective: ____%	☒ with a social objective ☐ It promotes E/S characteristics, but will not make any sustainable investments
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund promotes environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1 million of sales revenue across the Fund’s holdings are used to measure this aim. Additionally, the Fund promotes environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of the BlackRock EMEA Baseline Screens. The Fund promotes social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons and nuclear weapons, and production and distribution of civilian firearms, (b) better health and wellbeing by excluding direct investment in issuers involved in production and distribution of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption	

	by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of the BlackRock EMEA Baseline Screens. The definition of “involved” in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question “What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?” below. The Fund invests at least 20% of its holdings in Sustainable Investments, as determined by the Investment Manager, which contribute to the objectives outlined below and which are aligned with the environmental and/or social characteristics being promoted by the Fund. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, MSCI World Index (the “Index”) is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by the Fund include: • The Fund’s holdings in Sustainable Investments, as described above. • The Fund’s carbon emissions intensity, as described above. • The Fund’s exclusion of holdings in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens, as described above. • The Fund’s consideration of principal adverse impacts (PAIs) on sustainability factors, as described below.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock’s DNSH standard outlined above. BlackRock invests in Sustainable Investments which contribute to a range of environmental and / or social objectives which may include but are not limited to, alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education and the UN Sustainable Development Goals “Environmental and Social Objectives”). An investment will be assessed as contributing to an Environmental and/or Social Objective where: a) at least 20% of the issuer’s revenue attributable to products or services is determined by the Investment Manager as contributing to an Environmental or Social Objective; or b) the issuer has one or more active carbon emissions reduction target(s) approved by the Science Based Targets initiative (SBTi) or the Investment Manager has determined that the issuer is an enabler of sustainable practices.

Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i> Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment's business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i> The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i> Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a “do not significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i> <i>Any other sustainable investments must also not significantly harm any environmental or social objectives.</i>

	Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes
	☐ No The Fund considers PAIs on sustainability factors through the application of the BlackRock EMEA Baseline Screens and its carbon reduction target. The Fund takes into account the following PAIs: • GHG emissions • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, the Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. The Fund will provide information on the PAIs in its annual report.
	What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance	The Fund is actively managed. In order to achieve its investment objective the Fund will invest at least 80% of its assets in the equity and equity-related instruments (namely, total return swaps, futures and options on futures) of companies domiciled in, listed in, or the main business of which is in, global developed markets selected based on a proprietary factor rotation model developed by the Investment Manager and its affiliates (the "Model"). The Model uses commonly-used equity style factors such as momentum (companies that have experienced share price increases over a period of time), quality (companies that demonstrate good quality characteristics such as the profitability of the company, the stability of its earnings and low levels of leverage/debt), value (companies whose share price is indicative of good value, for example by reference to its estimated future earnings), size (companies with lower market capitalization are assigned a higher weight in the portfolio) and minimum volatility (companies with lower volatility that can achieve greater risk-adjusted returns). The Investment Manager will allocate the factors across the Fund's portfolio and seek to emphasise those factors with the strongest near-term return prospects. The Investment Manager will do so by comparing the relative attractiveness of each factor based on the current economic cycle as well as the valuations and recent trends of each factor and seek to guide the portfolio to tilt into favorable factors and away from unfavorable factors in pursuit of incremental returns. While each factor may have positive returns over the long run, they are driven by different market forces and therefore can be cyclical in the short term. This short-term cyclicality allows the Investment Manager to identify those factors with the most attractive near-term potential and increase the Fund's exposure accordingly. The tactical factor positioning is based on a diversified set of insights that consider the broader market environment as well as each factor's fundamental and technical metrics relative to their own history. Factor views can be favourable or unfavourable depending on the current economic cycle. The Investment Manager may reflect a negative perspective on a factor by opting for contrasting exposures—for instance, in respect of the size factor, tilting the portfolio to larger capitalization companies when the Investment Manager holds a negative view on small sized companies based on the then current economic cycle. The portfolio is then built from the bottom-up (i.e., at the stock level) as a function of the factor views, the exposure of the desired factor within each stock and risk.

The Fund may invest up to 10% of its total assets in fixed income securities which shall be investment grade (or deemed by the Investment Manager to be of an equivalent rating), corporate or government issued, and fixed or floating rate.

The Fund may also invest in cash, deposits ("Cash Holdings") and ancillary liquid assets (which will normally have dividend/income receivables) subject to the limits set out in Schedule III of the Prospectus. The Fund may, to preserve the value of such Cash Holdings, invest in one or more daily dealing money market collective investment schemes as set out below under the heading "Management of Cash Holdings and FDI Cash Holdings".

In order to assist in achieving its investment objective, the Fund may, subject to the provisions of the Regulations and the conditions imposed by the Central Bank, invest up to 10% of its total assets in aggregate in other open-ended collective investment undertakings, including exchange traded funds.

The Fund may invest in FDI for direct investment purposes or for efficient portfolio management purposes, namely total return swaps, futures and options on futures and forward currency exchange contracts in accordance with the limitations set down in Schedule II of the Prospectus (subject to the conditions and within the limits laid down by the Central Bank) to assist in achieving its investment objective, to gain exposure to the equities described above and for currency hedging purposes. The reference assets underlying the total return swaps, if any, shall be any security, basket of securities or eligible indices which are consistent with the investment policy of the Fund which are expected to include, without limitation, equity indices giving access to equity securities of companies domiciled in, listed in, or the main business of which is in, global developed markets. Details of equity indices utilised by the Fund will be provided in the annual report of the Company.

The Fund may also employ techniques and instruments relating to transferable securities for efficient portfolio management purposes in accordance with the terms set out in the section headed "Efficient Portfolio Management" below and in the Prospectus.

The Fund's Investments will be limited to investments permitted by the Regulations which are described in more detail in Schedule III of the Prospectus. The Fund's Investments, other than its Investments in OTC FDI, fixed income securities traded OTC and unlisted open-ended collective investment undertakings, will normally be listed or traded on Regulated Markets set out in Schedule I of the Prospectus.

Should any Fund holdings, compliant at the time of investment, with the Fund's investment objective and policy and/or ESG Policy, subsequently becomes ineligible, they may continue to be held until it is possible and practicable (in the Investment Manager's view) to be divested by the relevant Fund (within a reasonable period of time).

The Investment Manager will apply the BlackRock EMEA Baseline Screens.

The Fund will invest in accordance with the BlackRock EMEA Baseline Screens. BlackRock evaluates underlying investments in companies according to the good governance criteria outlined in the SFDR where relevant data is available and as appropriate given the underlying investment type. These criteria relate to sound management structures, employee relations, remuneration of staff and tax compliance. BlackRock may consider additional factors relating to good governance in its assessment of the sustainability related characteristics of underlying issuers depending on the particular ESG strategy applicable to the Fund.

The Fund will invest in Sustainable Investments.

In addition, the Fund will seek to have a lower carbon emissions intensity score relative to the MSCI World Index. At least 90% of the issuers of securities of the Fund invests in are ESG rated or have been analysed for ESG purposes. To undertake this analysis, the Investment

	Manager may use data provided by external ESG data providers, proprietary models and local intelligence and may undertake site visits.
	● <i>What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?</i>
	The binding elements of the investment strategy are as follows: • Maintain that the Fund holds at least 20% in Sustainable Investments. • Maintain that the Fund's carbon emissions intensity score is lower than that of the Index. • The Fund's exclusion of holdings in issuers identified by the exclusion criteria set out in the BlackRock EMEA Baseline Screens, as described below. (i) Issuers which are engaged in, or are otherwise exposed to the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons). (ii) Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation, with the exception of "green bonds", that are considered to comply with the International Capital Markets Association's Green Bond Principles, from such issuers. (iii) Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands). (iv) Issuers deriving any revenue from direct involvement in the production of nuclear weapons or nuclear weapon components or delivery platforms, or the provision of auxiliary services related to nuclear weapons. (v) Issuers which produce tobacco products. (vi) Issuers which derive more than 5% of their revenue from the production, distribution, retail and supply of tobacco-related products. (vii) Issuers which produce firearms and/or small arms ammunition intended for retail to civilians. (viii) Issuers which derive more than 5% of their revenue from the distribution (wholesale or retail) of firearms and/or small arms ammunition intended for civilian use. (ix) Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). • The Fund's consideration of principal adverse impacts (PAIs) on sustainability factors, as described below. • Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.
	● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
	Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate.

Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.



Asset allocation describes the share of investments in specific assets.

Taxonomy-aligned activities are expressed as a share of:

- **turnover** reflecting the share of revenue from green activities of investee companies
- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies.

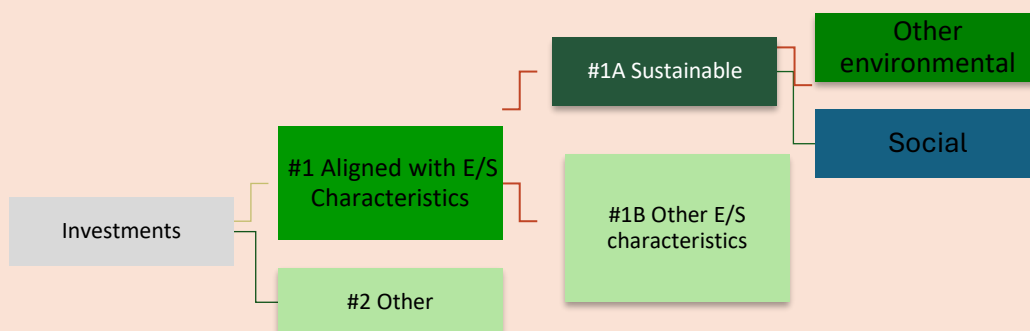
● **What is the policy to assess good governance practices of the investee companies?**

BlackRock assesses good governance practices of the investee companies by combining proprietary insights, with data from external ESG research providers. BlackRock uses data from external ESG research providers to identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance.

What is the asset allocation planned for this financial product?

A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable), and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics).

The Fund may invest up to 20% of its total assets in other investments ('#2 Other').



#1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product.

#2 Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments.

The category **#1 Aligned with E/S characteristics** covers:

- The sub-category **#1A Sustainable** covers sustainable investments with environmental or social objectives.
- The sub-category **#1B Other E/S characteristics** covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments.

How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?

Derivatives are not used to attain the environmental or social characteristics promoted by the Fund.

To comply with the EU Taxonomy, the criteria for **fossil gas** include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For **nuclear energy**, the criteria include comprehensive safety and waste management rules.

Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy.

● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹⁰?

☐ Yes:

☐ In fossil gas ☐ In nuclear energy

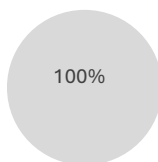
☒ No

The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy.

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.

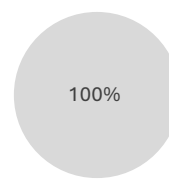
1. Taxonomy-alignment of investments including sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



2. Taxonomy-alignment of investments excluding sovereign bonds*

■ Taxonomy-aligned: Fossil gas
■ Taxonomy-aligned: Nuclear
■ Taxonomy-aligned (no fossil gas & nuclear)
■ Non Taxonomy-aligned



* For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures

● What is the minimum share of investments in transitional and enabling activities?

This Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.



are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective that are not aligned with the EU Taxonomy.

The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.

¹⁰ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

		What is the minimum share of socially sustainable investments?
		The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with a social objective.
		What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
		Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund’s (non ESG) investment objective, for the purposes of liquidity management and/or hedging. No other holdings are considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.		Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?
		No.
		Please note that the MSCI World Index is used to compare certain ESG characteristics promoted by the Fund.
		<i>How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?</i>
		Not applicable.
		<i>How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?</i>
		Not applicable.
		<i>How does the designated index differ from a relevant broad market index?</i>
		Not applicable.
		<i>Where can the methodology used for the calculation of the designated index be found?</i>
		Not applicable.
		Where can I find more product specific information online?
		More product-specific information can be found on the website: For further details specific to this Fund, please refer to the sections of this prospectus entitled ‘Investment Objective’ and ‘Investment Policy’, ‘SFDR’ and also the product page for the Fund, which can be found by typing the name of the Fund into the search bar on the iShares website: www.iShares.com.

**Pre-contractual disclosure for the financial products referred to in
Article 8, paragraphs 1, 2 and 2a, of Regulation (EU) 2019/2088 and Article 6,
first paragraph, of Regulation (EU) 2020/852**

Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective, provided that the investment does not significantly harm any environmental or social objective and that the investee companies follow good governance practices.	Product name: iShares World Thematic Rotation Active UCITS ETF	
	Legal entity identifier: 529900YYGT5YFVXWZ908	
	Environmental and/or social characteristics	
	Does this financial product have a sustainable investment objective?	
The EU Taxonomy is a classification system laid down in Regulation (EU) 2020/852, establishing a list of environmentally sustainable economic activities. That Regulation does not include a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.	☒ ☒ ☐ Yes	☒ ☐ ☒ No
	☐ It will make a minimum of sustainable investments with an environmental objective: ____%	☒ It promotes Environmental/Social (E/S) characteristics and while it does not have as its objective a sustainable investment, it will have a minimum proportion of 20% of sustainable investments
	☐ in economic activities that qualify as environmentally sustainable under the EU Taxonomy	☐ with an environmental objective in economic activities that qualify as environmentally sustainable under the EU Taxonomy
	☐ in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy	☒ with an environmental objective in economic activities that do not qualify as environmentally sustainable under the EU Taxonomy
		☒ with a social objective
	What environmental and/or social characteristics are promoted by this financial product?	
	The Fund invests a minimum of 20% of its total assets in Sustainable Investments, across environmental and social objectives. BlackRock defines Sustainable Investments as investments in issuers or securities that contribute to an environmental or social objective, do not significantly harm any of those objectives and where investee companies follow good governance practices. BlackRock refers to relevant sustainability frameworks to identify the alignment of the investment to environmental or social objectives. Sustainable Investments should also meet the do no significant harm (DNSH) requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria to assess whether an issuer or investment does significant harm. The Fund promotes environmental characteristics related to the reduction of carbon emissions by seeking to have a lower greenhouse gas emission intensity (for Scope 1 and 2) within its portfolio relative to the Index (as defined below). Greenhouse gas emissions are categorised into three groups or “scopes” by the most widely-used international accounting tool, the Greenhouse Gas (GHG) Protocol. Scope 1 covers direct emissions from owned or controlled sources. Scope 2 covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting issuer. Scope 3 includes all other indirect emissions that occur in an issuer’s value chain but Scope 3 is not covered in the reduction. The estimated greenhouse gas (Scope 1 and Scope 2) emissions per \$1	

	million of sales revenue across the Fund's holdings are used to measure this aim. Additionally, the Fund promotes environmental characteristics related to reduction of environmental pollution by excluding direct investment in companies that are involved in thermal coal and tar and sands extraction, as well as thermal coal-based power generation, through application of exclusionary screens. The Fund promotes social characteristics related to: (a) reduction of the availability of weapons by excluding direct investment in issuers involved in the production of controversial weapons, nuclear warheads and nuclear missiles, and/or essential components for exclusive use in nuclear weapons, issuers that have ties to automatic/semi-automatic firearms or ammunition production intended for civilian use, or those that derive revenue from the production or distribution of firearms and/or small arms ammunition intended for civilian use (b) better health and wellbeing by excluding direct investment in issuers involved in production of tobacco; and (c) support for human rights, labour standards, the environment and anti-corruption by excluding direct investment in issuers deemed to have failed to comply with the 10 UN Global Compact Principles, through application of the exclusionary screens referred to above. The definition of "involved" in relation to each activity may be based on generating or deriving a revenue from the activity that exceeds a percentage of revenue or a defined total revenue threshold, or any exposure to the activity regardless of the amount of revenue received. Further detail on the exclusions applied to promote environmental and/or social characteristics is included in the response to the question <i>"What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?"</i> below. The Fund does not use a reference benchmark for the purposes of attaining the ESG characteristics that it promotes, however, MSCI World Net Index (the "Index") is used to compare certain ESG characteristics promoted by the Fund.
Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.	● <i>What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?</i>
	The sustainability indicators used to measure the attainment of the environmental or social characteristics promoted by this Fund include: • The Fund's holdings in Sustainable Investments as described above (expected to be a minimum of 20%). • The Fund's carbon emissions intensity, as described above. • The percentage of the Fund (expected to be 0%) directly invested in issuers identified by the exclusionary screens, as described above.
	● <i>What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?</i>
	The Fund invests at least 20% of its holdings in Sustainable Investments in pursuit of its investment objective. All Sustainable Investments will be assessed by the Investment Manager to comply with BlackRock's DNSH standard outlined below. BlackRock invests in Sustainable Investments which contribute to environmental and social objectives relating to alternative and renewable energy, energy efficiency, pollution prevention or mitigation, reuse and recycling, health, nutrition, sanitation and education or that are otherwise identified by the United Nations Sustainable Development Goals or other sustainability-related frameworks ("Environmental and Social Objectives").

	An investment will be assessed as contributing to an Environmental and/or a Social Objective where: a) minimum proportion of the issuer's business activity contributes to an Environmental and/or Social Objective; or b) the issuer's business practices contribute to an Environmental and/or Social Objective.
Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti- corruption and anti- bribery matters.	● <i>How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?</i>
	Sustainable Investments meet the DNSH requirements, as defined by applicable law and regulation. BlackRock has developed a set of criteria across all Sustainable Investments to assess whether an issuer or investment does significant harm. Investments considered to be causing significant harm do not qualify as Sustainable Investments. The Investment Manager assesses the indicators for adverse impacts on sustainability factors for each type of investment as defined by the regulation. Criteria for adverse impacts are assessed using third-party vendor data regarding an investment's business involvement (in specific activities identified as having negative environmental or social impacts) or environmental or social controversies to exclude investments which the Investment Manager has determined are harmful to sustainability indicators subject to limited exceptions, for example, where the data is determined to be inaccurate or not up to date. Where no data is available, or it is substantially incomplete, fundamental analysis will be undertaken using reasonable efforts to identify impacts which the Investment Manager determines to be harmful to the sustainability indicators.
	— — — <i>How have the indicators for adverse impacts on sustainability factors been taken into account?</i>
	The indicators for adverse impacts on sustainability factors for each type of investment are assessed using BlackRock's Sustainable Investments proprietary methodology. BlackRock uses third-party data and/or fundamental analysis to identify investments which negatively impact sustainability factors and cause significant harm.
	— — — <i>How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:</i>
	Sustainable Investments are assessed to consider any detrimental impacts and ensure compliance with international standards of the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights. Issuers deemed to have violated these conventions are not considered as Sustainable Investments.
	<i>The EU Taxonomy sets out a "do not significant harm" principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.</i> <i>The "do no significant harm" principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.</i>

		Any other sustainable investments must also not significantly harm any environmental or social objectives.
		Does this financial product consider principal adverse impacts on sustainability factors? ☒ Yes,
		☐ No The Fund considers PAIs on sustainability factors through the application of exclusionary screens and its carbon reduction target. The Fund takes into account the following PAIs: • GHG emissions • Carbon footprint • GHG intensity of investee companies • Exposure to companies active in the fossil fuel sector • Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises • Exposure to controversial weapons (anti personnel mines, cluster munitions, chemical weapons and biological weapons) In addition, the Fund takes into account the PAIs through BlackRock's DNSH standard for Sustainable Investments. The Fund will provide information on the PAIs in its annual report.
		What investment strategy does this financial product follow?
The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance		The Fund is actively managed. In order to achieve its investment objective the Fund will invest, under normal circumstances, at least 80% of its total assets in the equity and equity-related instruments (namely, common and preferred stock, warrants, ADRs and GDRs) of companies domiciled in, listed in, or the main business of which is in, global developed markets selected based on a thematic rotation model which is proprietary to the Investment Manager and its Affiliates (the "Model"). The Investment Manager selects investments for the Fund and uses the Model to inform its investment decisions. The Model is a systematic framework used by the Investment Manager to analyse companies and ensure proactive risk-management and which focuses on (i) theme identification, (ii) theme and company evaluation, and (iii) portfolio aggregation and construction (each as described further below). Using the Model, the Investment Manager seeks to construct a portfolio comprised primarily of developed market large and mid-capitalisation equity securities with exposure to multiple market-relevant investment themes, including emerging and structural trends. An example of a market-relevant investment theme is a rapid shift to a work-from-home environment. An example of a market-relevant investment theme is a rapid shift to a work-from-home environment. An example of an emerging or a structural trend might be a release of a breakthrough innovation. Themes may frequently cut across traditional boundaries like industries, styles, or geographies.

Theme Identification: The Investment Manager uses statistical techniques, curated data sets, and the Model's analysis which is continually updated for current market data to identify relevant transitory themes. To make each theme investible, the Investment Manager constructs a custom basket with respect to each theme where stock weights are intended to reflect the relevance of the theme to that company; a larger stock weight signifies a stronger relationship between a security and the given theme, as determined by the Investment Manager.

Theme and Company Evaluation: The Investment Manager seeks to evaluate the attractiveness of (i) each identified theme and (ii) each company included in the investible universe using proprietary alpha signals of the Model. A signal is a pattern or a feature derived from a data set. An alpha signal is a signal which identifies a potential investment opportunity. The Model's proprietary methodology analyses data to generate alpha signals pointing to, for example, investment flow activity, investor sentiment and fundamentals of investment themes. This produces (i) a return forecast for each theme that seeks to emphasise themes with desirable attributes, such as attractive flow activity and investor sentiment and (ii) a return forecast for each company that seeks to emphasise companies with strong fundamentals and other characteristics with constructive outlooks. Evaluating these themes and companies helps the Investment Manager trade in and out of themes and securities over time.

Portfolio Aggregation and Construction: The Investment Manager then invests across multiple themes and individual companies based on the return forecasts identified by the Model, to seek to deliver a diversified portfolio of securities.

The Model investment process generates investment ideas informed by macroeconomic inputs and company fundamentals as well as data-driven insights. Data-driven insights may be produced using machine learning and artificial intelligence methods based on large language models to analyse information from a variety of text sources, including analyst reports, corporate earnings call transcripts, news articles, and social media. These techniques are used to produce sentiment analysis and factor and thematic insights, helping to identify investment opportunities in market-relevant themes as well as measuring whether a security may be over- or under-valued.

The Fund has no stated minimum holding period for investments and may buy or sell securities whenever the Investment Manager identifies an appropriate opportunity. The Fund may engage in active and frequent trading of its investments.

The Fund's assets will be invested in accordance with the Fund's ESG Policy.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The binding elements of the investment strategy are as follows:

- Maintain that the Fund holds at least 20% in Sustainable Investments.
- Maintain that the Fund's carbon emissions intensity is lower than that of the Index.
- Application of the exclusionary screens described below.
- Issuers which are engaged in or are otherwise exposed to the production of controversial weapons (including, but not limited to, cluster munitions, biological chemical, landmines, depleted uranium, blinding laser, non-detectable fragments and/or incendiary weapons).
- Issuers deriving more than 5% of their revenue from thermal coal extraction and/or thermal coal-based power generation.
- Issuers deriving more than 5% of their revenue from the production and generation of tar sands (also known as oil sands).

		• Issuers deriving any revenue from direct involvement in the production of nuclear warheads and nuclear missiles, or essential components for exclusive use in nuclear weapons • Issuers which produce tobacco products. • Issuers that have any ties to automatic/semi-automatic firearms or ammunition production intended for civilian use. • Issuers that derive more than 5% of their revenue from the production of automatic/semi-automatic firearms intended for civilian use. • Issuers that derive more than 5% of their revenue from distribution of automatic/semi-automatic firearms intended for civilian use. • Issuers which have been deemed to have failed to comply with UN Global Compact Principles (which cover human rights, labour standards, the environment and anticorruption). • Ensure that more than 90% of the issuers of securities in which the Fund invests (excluding money market funds) shall be ESG rated or have been analysed for ESG purposes.
		● <i>What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?</i>
		Whilst the Fund applies exclusionary screens to avoid investment in the activities listed above, there is no commitment to reduce the scope of investments by a minimum rate.
Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.		● <i>What is the policy to assess good governance practices of the investee companies?</i>
		The Investment Manager assesses good governance practices of the investee companies by combining proprietary insights by the Investment Manager with data from external ESG research providers. The Investment Manager uses data from external ESG research providers to initially identify issuers which may not have satisfactory governance practices in relation to key performance indicators (KPIs) related to sound management structure, employee relations, remuneration of staff and tax compliance. Where issuers are identified as potentially having issues with regards to good governance, the issuers are reviewed to ensure that, where the Investment Manager agrees with this external assessment, the Investment Manager is satisfied that the issuer has either taken remediation actions or will take remedial actions within a reasonable time frame. The Investment Manager may also decide to reduce exposure to such issuers.
		What is the asset allocation planned for this financial product?
Asset allocation describes the share of investments in specific assets. Taxonomy-aligned activities are expressed as a share of: – turnover reflecting the share of revenue from green activities		A minimum of 80% of the Fund's total assets will be invested in investments that are aligned with the environmental and/or social characteristics described above (#1 Aligned with E/S characteristics). In relation to these investments, a minimum of 20% of the Fund's total assets will be invested in Sustainable Investments (#1A Sustainable) and the remainder will be invested in investments aligned with other environmental and/or social characteristics described above (#1B Other E/S characteristics). The Fund may invest up to 20% of its total assets in other investments ('#2 Other').

of investee companies – capital expenditure (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy. – operational expenditure (OpEx) reflecting green operational activities of investee companies.	<pre> graph LR Investments[Investments] --> N1[#1 Aligned with E/S Characteristics] Investments --> N2[#2 Other] N1 --> N1A[#1A Sustainable] N1 --> N1B[#1B Other E/S characteristics] N1A --> N1A1[Other environmental] N1A --> N1A2[Social] </pre> #1 Aligned with E/S characteristics includes the investments of the financial product used to attain the environmental or social characteristics promoted by the financial product. #2Other includes the remaining investments of the financial product which are neither aligned with the environmental or social characteristics, nor are qualified as sustainable investments. The category #1 Aligned with E/S characteristics covers: – The sub-category #1A Sustainable covers sustainable investments with environmental or social objectives. – The sub-category #1B Other E/S characteristics covers investments aligned with the environmental or social characteristics that do not qualify as sustainable investments. ● <i>How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?</i> The Fund may use derivatives for investment purposes and for the purposes of efficient portfolio management. For derivatives, any ESG rating or analyses referenced above will apply only to the underlying investment.
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To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2035. For nuclear energy, the criteria include comprehensive safety and waste management rules. Enabling activities directly enable other activities to make a substantial contribution to an environmental objective. Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.	To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy? The Fund does not currently commit to investing more than 0% of its assets in sustainable investments with an environmental objective aligned with the EU Taxonomy ● Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy¹¹? ☐ Yes: ☐ In fossil gas ☐ In nuclear energy ☒ No The Fund does not currently commit to invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy. <i>The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy-alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy-alignment only in relation to the investments of the financial product other than sovereign bonds.</i> 1. Taxonomy-alignment of investments including sovereign bonds* 2. Taxonomy-alignment of investments excluding sovereign bonds* * For the purpose of these graphs, 'sovereign bonds' consist of all sovereign exposures
	● What is the minimum share of investments in transitional and enabling activities?
	The Fund does not currently commit to investing more than 0% of its assets in investments in transitional and enabling activities within the meaning of the EU Taxonomy.
are sustainable investments with an environmental objective that do not take into account the criteria for environmentally sustainable	What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy? The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with an environmental objective that is not aligned with the EU Taxonomy. The Fund invests in Sustainable Investments that are not aligned with the EU Taxonomy for the following reasons: (i) it is part of the investment strategy of the Fund; (ii) data to determine EU

¹¹ Fossil gas and/or nuclear related activities will only comply with the EU Taxonomy where they contribute to limiting climate change ("climate change mitigation") and do not significantly harm any EU Taxonomy objective - see explanatory note in the left hand margin. The full criteria for fossil gas and nuclear energy economic activities that comply with the EU Taxonomy are laid down in Commission Delegated Regulation (EU) 2022/1214.

economic activities under the EU Taxonomy.	Taxonomy-alignment may be unavailable; and / or (iii) underlying economic activities may not be eligible under the EU Taxonomy's available technical screening criteria or may not comply with all requirements set out in such technical screening criteria.
	 What is the minimum share of socially sustainable investments?
	The Fund does not commit to investing more than 0% of its assets in Sustainable Investments with a social objective.
	 What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?
	Other holdings are limited to 20% and may include derivatives, cash and near cash instruments and shares or units of CIS and fixed income transferable securities (also known as debt securities) issued by governments and agencies worldwide. These investments may be used for investment purposes in pursuit of the Fund's (non ESG) investment objective, for the purposes of liquidity management and/or hedging. These other holdings are not considered against minimum environmental or social safeguards.
 Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.	Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes? No.
	● How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product? Not applicable.
	● How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis? Not applicable.
	● How does the designated index differ from a relevant broad market index? Not applicable.
	● Where can the methodology used for the calculation of the designated index be found? Not applicable.
	Where can I find more product specific information online? More product-specific information can be found on the website: Please refer to the website page for the Fund, which can be found by typing the name of the Fund into the search bar on the BlackRock website: www.blackrock.com.



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